

# Solutions to

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*Introduction to Modern Economic Growth*

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Zijun Meng and Claude Opus 5

Chapters 2–21

The 286 exercises that the instructor’s solutions manual of Peters and Simsek (2009) leaves unsolved, with the numerical parts computed by the Python programs in `code/`.

Each chapter opens with the list of the exercises it covers and those the manual already solves.

The exercise statements are not reproduced here: read them in Acemoglu’s *Introduction to Modern Economic Growth*.

Each solution is headed by the number of its exercise in the book; notation, the part letters (a), (b), ... follow the statements there.

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## Chapter 2

# The Solow Growth Model

Solutions to the fourteen exercises of Chapter 2 of Daron Acemoglu, *Introduction to Modern Economic Growth* (Princeton University Press, 2009), that are left unsolved in the instructor's solutions manual of Peters and Simsek (2009): Exercises 2.1–2.6, 2.8, 2.9, 2.10, 2.13, 2.15, 2.24, 2.25 and 2.26. The remaining thirteen exercises of the chapter (2.7, 2.11, 2.12, 2.14, 2.16–2.23 and 2.27) are solved there. Assumptions, propositions and equations cited as ASSUMPTION 2, PROPOSITION 2.5 or (2.18) refer to the book. Throughout,  $F$  is the aggregate production function,  $f(k) \equiv F(k, 1, A)$  the per capita production function,  $k \equiv K/L$  the capital-labor ratio,  $w(k) \equiv f(k) - kf'(k)$  the wage, and  $R(k) \equiv f'(k)$  the rental rate of capital. The numerical parts are computed by `code/ch2.py`.

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### Exercise 2.1

Fix a date  $t$  and write  $\bar{L}(t) > 0$  for the (finite, inelastically supplied) labor endowment and  $K(t)$  for the capital stock used in production. In a competitive equilibrium the representative firm solves (2.5),

$$\max_{K \geq 0, L \geq 0} F(K, L, A(t)) - R(t)K - w(t)L,$$

taking  $(R(t), w(t))$  as given, and factor markets clear in the complementary slackness form (2.4):

$$L(t) \leq \bar{L}(t), \quad w(t) \geq 0, \quad (L(t) - \bar{L}(t))w(t) = 0.$$

Suppose, to get a contradiction, that  $w(t) = 0$ . Let  $(K(t), L(t))$  be the equilibrium factor demands, which must be finite since they cannot exceed the endowments. Consider raising employment to  $L(t) + \varepsilon$  for  $\varepsilon > 0$ , holding capital fixed. Profits change by

$$F(K(t), L(t) + \varepsilon, A(t)) - F(K(t), L(t), A(t)) - w(t)\varepsilon = \int_{L(t)}^{L(t)+\varepsilon} F_L(K(t), \ell, A(t)) d\ell > 0,$$

because  $w(t) = 0$  and  $F_L > 0$  everywhere by ASSUMPTION 1. So the firm strictly prefers more labor at *every* finite  $L$ : the maximization problem has no solution, and in particular  $(K(t), L(t))$  is not profit maximizing. That contradicts firm optimization, so  $w(t) > 0$ .

Given  $w(t) > 0$ , the complementary slackness condition in (2.4) forces  $L(t) - \bar{L}(t) = 0$ , which is exactly the simple market clearing condition (2.3),  $L(t) = \bar{L}(t)$ . This is why (2.3) can be used throughout in place of (2.4).

*Remark.* Only  $F_L > 0$  is used; neither constant returns nor the Inada conditions are needed. The identical argument with  $F_K > 0$  shows  $R(t) > 0$ , so the capital market also clears with equality,  $K(t) = \bar{K}(t)$ . Note also that *some* bound on labor demand is essential to the argument: it is the finiteness of the endowment that turns “the firm always wants more labor” into a contradiction.

**Exercise 2.2**

Fix  $A$  and write  $F(K, L)$  for  $F(K, L, A)$ , which by ASSUMPTION 1 is twice differentiable and homogeneous of degree 1 in  $(K, L)$ , with  $F_{KK} < 0$  and  $F_{LL} < 0$ .

*The Hessian is singular.* By THEOREM 2.1 (Euler's Theorem), the partial derivatives  $F_K$  and  $F_L$  are homogeneous of degree 0. Applying Euler's Theorem to each of them,

$$KF_{KK} + LF_{KL} = 0 \quad \text{and} \quad KF_{LK} + LF_{LL} = 0.$$

Hence, for  $K, L > 0$ ,

$$F_{KL} = -\frac{K}{L}F_{KK} > 0 \quad \text{and} \quad F_{KL} = -\frac{L}{K}F_{LL} > 0,$$

the signs following from  $F_{KK} < 0$  and  $F_{LL} < 0$ . Multiplying the two expressions,

$$F_{KL}^2 = \left(-\frac{K}{L}F_{KK}\right)\left(-\frac{L}{K}F_{LL}\right) = F_{KK}F_{LL},$$

so that the Hessian

$$\mathbf{H} = \begin{pmatrix} F_{KK} & F_{KL} \\ F_{KL} & F_{LL} \end{pmatrix} \quad \text{has} \quad \det \mathbf{H} = F_{KK}F_{LL} - F_{KL}^2 = 0.$$

*Concavity.* A twice differentiable function is concave if and only if its Hessian is negative semidefinite everywhere. Here the leading principal minors are  $F_{KK} < 0$  and  $\det \mathbf{H} = 0$ , so  $\mathbf{H}$  is negative semidefinite (its eigenvalues are 0 and  $F_{KK} + F_{LL} < 0$ ). Therefore  $F$  is concave in  $(K, L)$ .

*But not strictly.* Strict concavity would require  $\mathbf{H}$  to be negative definite, which fails since  $\det \mathbf{H} = 0$ ; the null direction is  $(K, L)'$  itself, because  $\mathbf{H} \begin{pmatrix} K \\ L \end{pmatrix} = \begin{pmatrix} KF_{KK} + LF_{KL} \\ KF_{LK} + LF_{LL} \end{pmatrix} = \begin{pmatrix} 0 \\ 0 \end{pmatrix}$ . The failure is easy to see directly: along any ray through the origin, constant returns make  $F$  linear,

$$F(\lambda K + (1 - \lambda)\lambda'K, \lambda L + (1 - \lambda)\lambda'L) = [\lambda + (1 - \lambda)\lambda']F(K, L) = \lambda F(K, L) + (1 - \lambda)F(\lambda'K, \lambda'L),$$

so the concavity inequality holds with equality for any two points on a ray. This is the sense in which the production function can be “concave but not strictly concave” even though  $F_{KK} < 0$  and  $F_{LL} < 0$ : it curves in every direction except the direction in which the two inputs are scaled together.

*Remark.* The per capita function  $f(k) \equiv F(k, 1)$  is strictly concave, since  $f''(k) = F_{KK}(k, 1) < 0$ . Strict concavity of  $f$ , not of  $F$ , is what the uniqueness arguments of the chapter use.

**Exercise 2.3**

Write the profit function as

$$\pi(K, L) \equiv F(K, L, A) - RK - wL.$$

Since  $F$  is homogeneous of degree 1 in  $(K, L)$ , so is  $\pi$ : for every  $\lambda > 0$ ,

$$\pi(\lambda K, \lambda L) = \lambda \pi(K, L).$$

For  $L > 0$  write  $\kappa \equiv K/L$ ; then constant returns give

$$\pi(K, L) = L[f(\kappa) - R\kappa - w] \equiv L\varphi(\kappa), \quad f(\kappa) \equiv F(\kappa, 1, A).$$

Everything therefore depends on the sign of the maximized value of  $\varphi$ , and only three cases can arise.

*Case 1:*  $\varphi(\kappa) > 0$  for some  $\kappa$  (equivalently  $\pi(K_0, L_0) > 0$  for some  $(K_0, L_0)$ ). Then  $\pi(\lambda K_0, \lambda L_0) = \lambda\pi(K_0, L_0) \rightarrow \infty$  as  $\lambda \rightarrow \infty$ : profits are unbounded and no maximizer exists. This is the case in which factor prices are “too low” relative to marginal products.

*Case 2:*  $\varphi(\kappa) < 0$  for every  $\kappa \geq 0$ . Then  $\pi(K, L) < 0$  whenever  $L > 0$ . On the boundary  $L = 0$  constant returns give  $F(K, 0, A) = K F(1, 0, A)$ , and

$$F(1, 0, A) = \lim_{L \rightarrow 0} Lf(1/L) = \lim_{k \rightarrow \infty} \frac{f(k)}{k} = 0$$

by ASSUMPTION 2, so  $\pi(K, 0) = -RK \leq 0$  with equality only at  $K = 0$ . Since  $\pi(0, 0) = 0$ , the unique maximizer is  $K = L = 0$  and maximal profit is zero.

*Case 3:*  $\max_{\kappa} \varphi(\kappa) = 0$ , attained at some  $\kappa^* > 0$ . Then  $\pi(K, L) = 0$  for every  $(K, L)$  with  $K/L = \kappa^*$ , and  $\pi(K, L) < 0$  otherwise (for  $L > 0$ ), so the solution set is the entire ray

$$\{(K, L) : K/L = \kappa^*, L \geq 0\},$$

a continuum: the scale of the firm is completely indeterminate, only its capital-labor ratio is pinned down.

These are the only possibilities, since  $\max_{\kappa} \varphi$  is either positive, negative, or zero. In equilibrium it is Case 3 that must obtain: factor supplies are fixed and finite, so Case 1 is inconsistent with market clearing and Case 2 would leave the supplies unemployed. Hence equilibrium factor prices satisfy  $\varphi(\kappa^*) = 0$  with  $\varphi'(\kappa^*) = f'(\kappa^*) - R = 0$ , which is (2.7), and then  $w = f(\kappa^*) - \kappa^* f'(\kappa^*)$ , which is (2.6); profits are zero, as PROPOSITION 2.1 states. The indeterminacy of scale is why the model determines only aggregates, and why the representative firm can be taken to operate at the economy's endowment point.

---

#### Exercise 2.4

It is convenient to factor the function once and for all:

$$f(k) = k(k-1)(k-2)(k-3), \quad \text{so} \quad \frac{f(k)}{k} = (k-1)(k-2)(k-3).$$

Also

$$\begin{aligned} f'(k) &= 4k^3 - 18k^2 + 22k - 6, & f''(k) &= 12k^2 - 36k + 22, \\ w(k) &= f(k) - kf'(k) = -k^2(3k^2 - 12k + 11). \end{aligned}$$

(a) *Violations.* The underlying production function is  $F(K, L) = Lf(K/L)$ , so  $F_K = f'(k)$ ,  $F_{KK} = f''(k)/L$ ,  $F_L = w(k)$  and  $F_{LL} = (K^2/L^3)f''(k)$ . Constant returns to scale hold by construction, and  $f$  is a polynomial, hence twice (indeed infinitely) differentiable. Everything else in ASSUMPTION 1 fails somewhere:

- *Nonnegativity of output.*  $f(k) < 0$  for  $k \in (0, 1) \cup (2, 3)$  — for instance  $f(1/2) = -0.9375$  — so  $F$  does not map into  $\mathbb{R}_+$ .
- *Positive marginal products.*  $f'(0) = -6 < 0$ , so  $F_K > 0$  fails near  $k = 0$  (and again on part of  $(2, 3)$ ). Likewise  $w(k) < 0$  for  $k < 2 - 1/\sqrt{3}$  and for  $k > 2 + 1/\sqrt{3}$ , e.g.  $w(3) = -18$ , so  $F_L > 0$  fails.
- *Diminishing marginal products.*  $f''(k) = 12k^2 - 36k + 22$  is positive outside the interval between its roots  $k = (9 \pm \sqrt{15})/6$ , i.e. on  $(0, 0.8545) \cup (2.1455, \infty)$  — for instance  $f''(0) = 22 > 0$ . So  $F_{KK} < 0$  and  $F_{LL} < 0$  both fail there.

Of ASSUMPTION 2, only  $F(0, L, A) = 0$  survives ( $f(0) = 0$ ). Both Inada conditions for capital fail:  $\lim_{k \rightarrow 0} f'(k) = -6 \neq \infty$  and  $f'(k) \rightarrow +\infty$  rather than 0 as  $k \rightarrow \infty$  (e.g.  $f'(10) = 2414$ ). The Inada conditions for labor fail as well, since  $F_L = w(k) \rightarrow -\infty$  as  $k \rightarrow \infty$ .

(b) *Three steady states.* With population growth  $n$  and depreciation  $\delta$ , the fundamental law of motion (2.33) is

$$\frac{\dot{k}(t)}{k(t)} = s \frac{f(k(t))}{k(t)} - (n + \delta),$$

so an interior steady state is a solution of

$$(k - 1)(k - 2)(k - 3) = h, \quad h \equiv \frac{n + \delta}{s} > 0. \quad (*)$$

The cubic on the left has derivative  $3k^2 - 12k + 11$ , which vanishes at  $k = 2 \mp 1/\sqrt{3}$ ; it therefore rises to a local maximum at  $k = 2 - 1/\sqrt{3} \approx 1.42265$ , falls to a local minimum at  $k = 2 + 1/\sqrt{3}$ , and rises thereafter. The two extreme values are

$$\left(1 - \frac{1}{\sqrt{3}}\right)\left(-\frac{1}{\sqrt{3}}\right)\left(-1 - \frac{1}{\sqrt{3}}\right) = \frac{2}{3\sqrt{3}} = \frac{2\sqrt{3}}{9} \approx 0.38490 \quad \text{and} \quad -\frac{2\sqrt{3}}{9}.$$

Hence (\*) has exactly three positive roots whenever

$$0 < \frac{n + \delta}{s} < \frac{2\sqrt{3}}{9} \approx 0.38490,$$

one in  $(1, 2 - 1/\sqrt{3})$ , one in  $(2 - 1/\sqrt{3}, 2)$ , and one in  $(3, \infty)$ ; it has exactly one (in  $(3, \infty)$ ) when  $h > 2\sqrt{3}/9$ . For example, with  $n = 0$  and  $\delta/s = 1/4$  the three steady states are

$$k_1^* = 1.162435, \quad k_2^* = 1.730406, \quad k_3^* = 3.107160.$$

Figure 1 plots the cubic together with the horizontal line  $h$ .

(c) *Stability.* Since  $\dot{k} = k s [(k - 1)(k - 2)(k - 3) - h]$ , the sign of  $\dot{k}$  is the sign of the vertical distance between the cubic and the line, and at a steady state

$$\left. \frac{\partial \dot{k}}{\partial k} \right|_{k=k^*} = s k^* \cdot \frac{d}{dk} \left[ \frac{f(k)}{k} \right]_{k=k^*},$$

so a steady state is locally stable exactly when the cubic crosses the line *downward*. The cubic crosses upward at  $k_1^*$  (rising branch), downward at  $k_2^*$  (falling branch), and upward again at  $k_3^*$ :

$$\text{at } k_1^* : +1.1045, \quad \text{at } k_2^* : -0.7820, \quad \text{at } k_3^* : +2.6774,$$

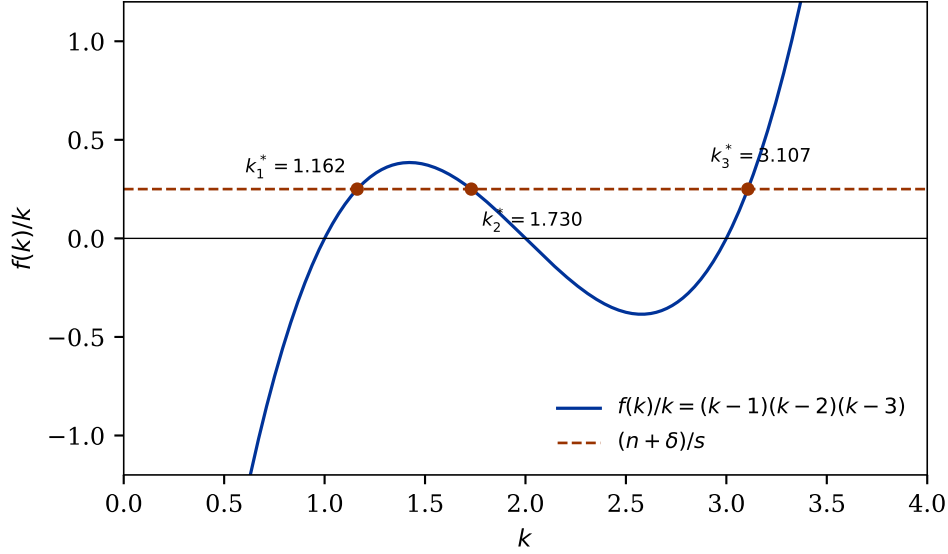


FIGURE 1. Steady states of the quartic economy: the interior steady states are the intersections of  $f(k)/k = (k-1)(k-2)(k-3)$  with the horizontal line  $(n+\delta)/s$ , drawn here at  $1/4$ .

for the derivative of  $f(k)/k$ . Therefore  $k_2^*$  is locally asymptotically stable while  $k_1^*$  and  $k_3^*$  are unstable. In addition  $k = 0$  is a rest point of the differential equation, and it is locally stable: for small  $k > 0$  we have  $f(k)/k < 0 < h$ , so  $\dot{k} < 0$  and the economy collapses to zero. The complete phase line is

$$\underbrace{0}_{\text{stable}} \longleftarrow \underbrace{k_1^*}_{\text{unstable}} \longrightarrow \underbrace{k_2^*}_{\text{stable}} \longleftarrow \underbrace{k_3^*}_{\text{unstable}} \longrightarrow \infty.$$

An economy starting with  $k(0) < k_1^*$  collapses to  $k = 0$ ; one starting in  $(k_1^*, k_3^*)$  converges to  $k_2^*$ ; one starting above  $k_3^*$  grows without bound. This is a poverty-trap configuration: history (the initial condition) decides the long-run outcome.

Finally, *no* steady state can be globally stable. Global asymptotic stability requires convergence to the same point from every initial condition; but an economy that starts at another steady state stays there forever, so the existence of more than one rest point rules global stability out immediately.

*Remark.* Part (c) of the exercise asks one to prove that *two* of the three steady states in (b) are locally stable. Of the three *interior* steady states exactly one — the middle one — is locally stable, as the sign pattern above shows: on the rising branches of  $f(k)/k$  the economy is pushed away from the steady state. The count in the book is recovered only if the degenerate rest point  $k = 0$ , which the text elsewhere excludes as having “no economic content”, is included among the steady states; then two of the four rest points ( $k = 0$  and  $k_2^*$ ) are stable and two are unstable.

### Exercise 2.5

We must show that under ASSUMPTIONS 1 and 2 the continuous-time Solow model with population growth at the rate  $n$  has a unique steady-state equilibrium, with  $k^* \in (0, \infty)$  solving (2.34),  $y^* = f(k^*)$  and  $c^* = (1-s)f(k^*)$ .



By (2.33) the equilibrium path satisfies  $\dot{k}(t)/k(t) = sf(k(t))/k(t) - (n + \delta)$ , so a steady state with  $k > 0$  is precisely a solution of

$$\psi(k) \equiv \frac{f(k)}{k} = \frac{n + \delta}{s}. \quad (*)$$

$\psi$  is continuous and strictly decreasing. Continuity is immediate from ASSUMPTION 1. For monotonicity, differentiate:

$$\psi'(k) = \frac{f'(k)k - f(k)}{k^2} = -\frac{w(k)}{k^2}, \quad w(k) = f(k) - kf'(k).$$

Since  $f$  is strictly concave with  $f(0) = 0$  (ASSUMPTION 2), strict concavity gives  $f(k) > f(0) + kf'(k) = kf'(k)$ , that is  $w(k) > 0$  for every  $k > 0$ ; equivalently,  $w(k) = F_L > 0$  is the wage, which is positive by ASSUMPTION 1. Hence  $\psi'(k) < 0$  for all  $k > 0$ .

*The limits.* Both  $f(k) \rightarrow 0$  and  $k \rightarrow 0$  as  $k \rightarrow 0$ , so l'Hôpital's rule and ASSUMPTION 2 give

$$\lim_{k \rightarrow 0} \psi(k) = \lim_{k \rightarrow 0} f'(k) = \lim_{K \rightarrow 0} F_K = \infty, \quad \lim_{k \rightarrow \infty} \psi(k) = \lim_{k \rightarrow \infty} f'(k) = \lim_{K \rightarrow \infty} F_K = 0.$$

(The second limit also follows from  $0 < f(k)/k$  and concavity.)

*Existence and uniqueness.*  $\psi$  is continuous on  $(0, \infty)$  with limits  $\infty$  at 0 and 0 at  $\infty$ , so by the Intermediate Value Theorem it attains the value  $(n + \delta)/s > 0$  at some  $k^* \in (0, \infty)$ ; since  $\psi$  is strictly decreasing, that value is attained exactly once. Hence there is a unique steady-state capital-labor ratio, given by (2.34).

Finally, at  $k^*$  the level of output per capita is  $y^* = f(k^*)$  by definition of  $f$ , and since a constant fraction  $s$  of income is saved, consumption per capita is  $c^* = (1 - s)f(k^*)$ , with the corresponding investment  $sf(k^*) = (n + \delta)k^*$  exactly replacing depreciated capital and equipping the new workers.

*Remark.* The proof is that of PROPOSITION 2.2 with  $\delta$  replaced by  $n + \delta$ : going from discrete to continuous time, and adding population growth, changes nothing essential. Population growth acts exactly like faster depreciation, since both erode the capital-labor ratio at a constant proportional rate.

## Exercise 2.6

Let  $f(k) = A\tilde{f}(k)$  with  $\tilde{f}$  satisfying ASSUMPTIONS 1 and 2, and let  $k^*$  be the unique steady state of Exercise 2.5, i.e. the solution of

$$G(k^*; A, s, \delta, n) \equiv sA \frac{\tilde{f}(k^*)}{k^*} - (n + \delta) = 0.$$

Writing  $\tilde{w}(k) \equiv \tilde{f}(k) - k\tilde{f}'(k) > 0$  for the wage per unit of  $A$ , the computation in Exercise 2.5 gives

$$\frac{\partial G}{\partial k^*} = sA \cdot \frac{d}{dk} \left[ \frac{\tilde{f}(k)}{k} \right]_{k=k^*} = -\frac{sA \tilde{w}(k^*)}{(k^*)^2} < 0,$$

so the Implicit Function Theorem applies at every parameter configuration and yields  $\partial k^*/\partial x = -(\partial G/\partial x)/(\partial G/\partial k^*)$  for each parameter  $x$ . Since  $\partial G/\partial A = s\tilde{f}(k^*)/k^* > 0$ ,  $\partial G/\partial s = A\tilde{f}(k^*)/k^* > 0$ ,  $\partial G/\partial \delta = -1$  and  $\partial G/\partial n = -1$ ,

$$\frac{\partial k^*}{\partial A} = \frac{k^* \tilde{f}(k^*)}{A \tilde{w}(k^*)} > 0, \quad \frac{\partial k^*}{\partial s} = \frac{k^* \tilde{f}(k^*)}{s \tilde{w}(k^*)} > 0, \quad \frac{\partial k^*}{\partial \delta} = \frac{\partial k^*}{\partial n} = -\frac{(k^*)^2}{sA \tilde{w}(k^*)} < 0.$$

This proves the four statements about  $k^*$ .

For output,  $y^* = A\tilde{f}(k^*)$ , so for  $x \in \{s, \delta, n\}$  the chain rule gives

$$\frac{\partial y^*}{\partial x} = A\tilde{f}'(k^*)\frac{\partial k^*}{\partial x},$$

which has the same sign as  $\partial k^*/\partial x$  because  $\tilde{f}' > 0$ :  $\partial y^*/\partial s > 0$  and  $\partial y^*/\partial \delta, \partial y^*/\partial n < 0$ . For  $A$  there is in addition a direct effect, and both effects push the same way:

$$\frac{\partial y^*}{\partial A} = \tilde{f}(k^*) + A\tilde{f}'(k^*)\frac{\partial k^*}{\partial A} > 0.$$

The economics is transparent. A higher saving rate or a better technology raises investment at every capital-labor ratio and so shifts the  $sf(k)/k$  schedule up, moving its intersection with the horizontal line  $n + \delta$  to the right. A higher depreciation rate or a higher rate of population growth raises the amount of investment needed merely to hold  $k$  constant — capital must be replaced, and new workers must be equipped — and so moves the intersection to the left. The only new result relative to PROPOSITION 2.3 is the effect of  $n$ , and it enters exactly as  $\delta$  does: countries with faster population growth are, other things equal, poorer in per capita terms.

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### Exercise 2.8

Throughout,  $F$  is twice differentiable and exhibits constant returns to scale,  $f(k) = F(k, 1, A)$  is concave (so  $f'' \leq 0$ ) with  $f(0) = 0$ , and the Inada conditions of ASSUMPTION 2 hold. What is *not* assumed is  $F_{KK} < 0$ ,  $F_{LL} < 0$ , or even  $F_K > 0$  and  $F_L > 0$ . The first thing to notice is that the missing sign restrictions on the first derivatives come for free.

*Step 1: the marginal product of capital is nonnegative.* Concavity makes  $f'$  nonincreasing. If  $f'(k_0) < 0$  for some  $k_0$ , then  $f'(k) \leq f'(k_0) < 0$  for every  $k \geq k_0$ , contradicting the Inada condition  $\lim_{k \rightarrow \infty} f'(k) = 0$ . Hence  $f'(k) \geq 0$ , that is  $F_K \geq 0$ , for all  $k > 0$ . (One cannot get more: a technology that is affine from some  $k_0$  on has  $f' \equiv 0$  beyond  $k_0$  and still satisfies every hypothesis. As the rest of the argument shows,  $f' \geq 0$  is all that is needed.)

*Step 2: the wage is strictly positive.* Write  $w(k) = f(k) - kf'(k)$ . Since  $f(0) = 0$ ,

$$w(k) = \int_0^k [f'(x) - f'(k)] dx,$$

and the integrand is nonnegative because  $f'$  is nonincreasing. It is moreover strictly positive on a set of positive measure:  $f'(x) \rightarrow \infty$  as  $x \rightarrow 0$  while  $f'(k) < \infty$ , so  $f'(x) > f'(k)$  for all small  $x$ . Hence  $w(k) > 0$  for every  $k > 0$ ; that is,  $F_L > 0$ , and the “not necessarily strictly” concave technology still pays a positive wage.

**PROPOSITION 2.2: existence and uniqueness of the steady state.** Exactly as in Exercise 2.5,  $\psi(k) \equiv f(k)/k$  satisfies  $\psi'(k) = -w(k)/k^2 < 0$  by Step 2, so  $\psi$  is *strictly* decreasing even though  $f$  is only weakly concave. Its limits are  $\infty$  at 0 and 0 at  $\infty$  by ASSUMPTION 2 and l'Hôpital's rule. The Intermediate Value Theorem therefore gives a unique  $k^* \in (0, \infty)$  with  $f(k^*)/k^* = \delta/s$ , and then  $y^* = f(k^*)$  and  $c^* = (1-s)f(k^*)$ . Nothing in the argument used strict concavity; it used only that  $w > 0$ , which Step 2 delivers.

**PROPOSITION 2.5: global stability.** Let  $g(k) \equiv sf(k) + (1-\delta)k$ , so that the discrete time law of motion is  $k(t+1) = g(k(t))$  and  $k^* = g(k^*)$ . By Step 1,  $g'(k) = sf'(k) + 1 - \delta > 0$ . By Step 2,

$\delta = sf(k^*)/k^* > sf'(k^*)$ , whence

$$g'(k^*) = sf'(k^*) + 1 - \delta \in (0, 1),$$

and local stability follows from COROLLARY 2.1. For global stability, take  $k(t) \in (0, k^*)$ . Since  $g$  is strictly increasing,  $k(t+1) = g(k(t)) < g(k^*) = k^*$ ; and since  $\psi$  is strictly decreasing,

$$\frac{k(t+1) - k(t)}{k(t)} = s \frac{f(k(t))}{k(t)} - \delta > s \frac{f(k^*)}{k^*} - \delta = 0.$$

So  $k(t+1) \in (k(t), k^*)$ : the sequence is increasing and bounded above by  $k^*$ , hence convergent, and its limit is a fixed point of  $g$  in  $(0, k^*]$ , which can only be  $k^*$  by uniqueness. The argument starting from  $k(0) > k^*$  is identical with the inequalities reversed. Monotone global convergence therefore survives the weakening of ASSUMPTION 1.

PROPOSITION 2.6 *must be weakened to weak monotonicity*. The proposition asserts that  $\{w(t)\}$  is an increasing and  $\{R(t)\}$  a decreasing sequence when  $k(0) < k^*$ . With  $f'' \leq 0$  instead of  $f'' < 0$  we get

$$R'(k) = f''(k) \leq 0 \quad \text{and} \quad w'(k) = -kf''(k) \geq 0,$$

so the correct statement is that  $\{w(t)\}$  is *nondecreasing* and  $\{R(t)\}$  is *nonincreasing* (with the inequalities reversed when  $k(0) > k^*$ ). Both can be locally constant: on any interval where  $f$  is affine — the production function is then locally an  $AK$  technology — the capital-labor ratio keeps rising while factor prices do not move at all. Strict monotonicity is restored as soon as  $f'' < 0$  on the relevant range, which is what ASSUMPTION 1 guarantees.

### Exercise 2.9

Let ASSUMPTIONS 1 and 2 hold and suppose  $k(0) < k^*$ . By PROPOSITION 2.5 the capital-labor ratio increases monotonically to  $k^*$ :  $k(t+1) > k(t)$  for every  $t$ , with  $k(t) \rightarrow k^*$ .

In equilibrium factor prices are the marginal products, and with constant returns they depend on the capital-labor ratio alone:

$$R(t) = F_K(K(t), L(t), A) = f'(k(t)),$$

$$w(t) = F_L(K(t), L(t), A) = f(k(t)) - k(t)f'(k(t)) = w(k(t)).$$

Differentiating the two expressions in  $k$ ,

$$\frac{dR}{dk} = f''(k) < 0, \quad \frac{dw}{dk} = f'(k) - f'(k) - kf''(k) = -kf''(k) > 0,$$

both strict by ASSUMPTION 1, which has  $f''(k) = F_{KK}(k, 1, A) < 0$ .

So  $R(\cdot)$  is a strictly decreasing and  $w(\cdot)$  a strictly increasing function of  $k$ . Composing with the strictly increasing sequence  $\{k(t)\}$  gives

$$w(t+1) = w(k(t+1)) > w(k(t)) = w(t), \quad R(t+1) = f'(k(t+1)) < f'(k(t)) = R(t),$$

that is,  $\{w(t)\}_{t=0}^\infty$  is an increasing and  $\{R(t)\}_{t=0}^\infty$  a decreasing sequence, and they converge to  $w(k^*)$  and  $f'(k^*)$ . If instead  $k(0) > k^*$ , PROPOSITION 2.5 gives a strictly decreasing  $\{k(t)\}$  and the two conclusions are reversed.

The economics is the usual scarcity argument: capital deepening makes capital abundant relative to labor, so the marginal product of capital — and with it the rental rate and the interest rate  $r = R - \delta$  — falls, while the marginal product of labor, and hence the wage, rises. Along the transition the entire increase in output per worker that is not saved accrues to labor.

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### Exercise 2.10

*Part 1.* The linear equation  $\dot{x}(t) = ax(t)$  with  $x(0)$  given has the unique solution  $x(t) = x(0) \exp(at)$ . If  $a < 0$  then  $\exp(at) \rightarrow 0$ , so  $x(t) \rightarrow 0$  for every initial condition: the steady state  $x^* = 0$  is globally asymptotically stable. (If  $a > 0$  the solution diverges unless  $x(0) = 0$ , and if  $a = 0$  every point is a steady state.)

*Part 2.* Let  $g$  be differentiable in a neighborhood of  $x^*$ , with  $g(x^*) = 0$  and  $g'(x^*) < 0$ . This is the scalar case ( $n = 1$ ) of THEOREM 2.5: the Jacobian is the number  $g'(x^*)$ , its unique eigenvalue is  $g'(x^*) < 0$ , which has negative real part, so  $x^*$  is locally asymptotically stable. The direct argument is just as short. Since  $g$  is continuous with  $g(x^*) = 0$  and  $g'(x^*) < 0$ , there is  $\varepsilon > 0$  with

$$g(x) < 0 \text{ for } x \in (x^*, x^* + \varepsilon) \quad \text{and} \quad g(x) > 0 \text{ for } x \in (x^* - \varepsilon, x^*),$$

so on that neighborhood  $\dot{x}$  always points toward  $x^*$ ; Part 3 applied to the interval  $(x^* - \varepsilon, x^* + \varepsilon)$  then gives convergence.

*Part 3.* Let  $g$  be continuously differentiable with  $g(x^*) = 0$ ,  $g(x) < 0$  for  $x > x^*$  and  $g(x) > 0$  for  $x < x^*$ . Take any  $x(0) < x^*$  (the case  $x(0) > x^*$  is symmetric, and  $x(0) = x^*$  is trivial).

Because  $g$  is continuously differentiable it is locally Lipschitz, so by the Picard–Lindelöf theorem the solution through any point is unique. The constant function  $x \equiv x^*$  solves the equation, so the trajectory starting below  $x^*$  can never reach  $x^*$  in finite time, and *a fortiori* never crosses it:  $x(t) < x^*$  for all  $t$ . Consequently  $g(x(t)) > 0$  and  $\dot{x}(t) > 0$  for all  $t$ , so  $x(\cdot)$  is strictly increasing and bounded above by  $x^*$ . A monotone bounded function converges; let  $L \equiv \lim_{t \rightarrow \infty} x(t) \leq x^*$ .

Suppose  $L < x^*$ . By continuity  $\dot{x}(t) = g(x(t)) \rightarrow g(L) > 0$ , so there are  $T$  and  $\eta > 0$  with  $\dot{x}(t) \geq \eta$  for all  $t \geq T$ , whence  $x(t) \geq x(T) + \eta(t - T) \rightarrow \infty$ , contradicting  $x(t) \leq x^*$ . Therefore  $L = x^*$ , and  $x(t) \rightarrow x^*$  from every initial condition:  $x^*$  is globally asymptotically stable.

*Remark.* Part 3 is what makes the continuous-time Solow model so much better behaved than its discrete-time counterpart. In discrete time a one-dimensional map can jump over its fixed point, so a sign condition on  $g$  alone does not preclude two-cycles; EXERCISE 2.21 constructs exactly such a cycle. In continuous time trajectories are continuous and cannot cross a rest point, which is why the analogue of Part 3 fails in discrete time.

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### Exercise 2.13

*The law of motion.* Labor income per worker is the wage  $w(k) = f(k) - kf'(k)$ , of which a fraction  $s$  is saved; capital income  $f'(k)k$  is entirely consumed. Aggregate saving is therefore  $sw(k(t))L(t)$ , and with population growth at the rate  $n$  and depreciation  $\delta$  the capital-labor ratio obeys

$$\dot{k}(t) = sw(k(t)) - (n + \delta)k(t), \quad \text{so} \quad \frac{\dot{k}(t)}{k(t)} = s\phi(k(t)) - (n + \delta), \quad \phi(k) \equiv \frac{w(k)}{k}.$$

Interior steady states are the solutions of

$$\phi(k) = \frac{w(k)}{k} = \frac{n + \delta}{s}. \quad (*)$$

The contrast with the baseline model is exactly the replacement of  $f(k)/k$  by  $w(k)/k$ . In the baseline model  $f(k)/k$  is strictly decreasing, which is what delivered uniqueness in Exercise 2.5. Nothing of the sort holds for  $w(k)/k$ .

When is  $\phi$  increasing? Differentiating,

$$\phi'(k) = \frac{k w'(k) - w(k)}{k^2} = \frac{-k^2 f''(k) - w(k)}{k^2},$$

using  $w'(k) = -k f''(k)$ . Now recall that for a constant returns technology the elasticity of substitution (2.37) can be written as

$$\sigma(k) = \frac{f'(k) w(k)}{-k f(k) f''(k)},$$

so that  $-k^2 f''(k) = \alpha_K(k) w(k)/\sigma(k)$  with  $\alpha_K(k) \equiv k f'(k)/f(k)$  the share of capital in national income. Substituting,

$$\phi'(k) = \frac{w(k)}{k^2} \left[ \frac{\alpha_K(k)}{\sigma(k)} - 1 \right], \quad \text{hence} \quad \phi'(k) > 0 \iff \sigma(k) < \alpha_K(k).$$

So  $w(k)/k$  rises precisely where capital and labor are hard to substitute relative to the capital share. Intuitively, when  $\sigma$  is small an increase in capital raises the wage more than proportionately, because labor becomes the scarce complementary factor; saving out of wages then feeds back into more capital, and the economy can have several rest points.

*An explicit example.* Let

$$f(k) = A[\gamma k^\rho + (1 - \gamma)]^{1/\rho} + Bk^\alpha, \quad \rho = \frac{\sigma - 1}{\sigma} < 0, \quad \alpha \in (0, 1), \quad B > 0 :$$

a CES technology with a low elasticity of substitution plus a small Cobb–Douglas term. Both terms are increasing, strictly concave and homogeneous of degree one in  $(K, L)$  when written as  $Lf(K/L)$ , so ASSUMPTION 1 holds. The CES term alone would violate ASSUMPTION 2, since  $f'_{\text{CES}}(0) = A\gamma^{1/\rho} < \infty$  and  $w_{\text{CES}}(\infty) = A(1 - \gamma)^{1/\rho} < \infty$ ; the Cobb–Douglas term repairs both, because  $Bk^\alpha$  contributes  $B\alpha k^{\alpha-1} \rightarrow \infty$  to  $f'(k)$  as  $k \rightarrow 0$  and  $(1 - \alpha)Bk^\alpha \rightarrow \infty$  to  $w(k)$  as  $k \rightarrow \infty$ . So  $f$  satisfies ASSUMPTIONS 1 and 2 in full, and

$$w(k) = A(1 - \gamma)[\gamma k^\rho + (1 - \gamma)]^{(1-\rho)/\rho} + (1 - \alpha)Bk^\alpha.$$

Take  $A = 1$ ,  $\gamma = 1/2$ ,  $\sigma = 1/4$  (so  $\rho = -3$ ),  $B = 0.02$  and  $\alpha = 1/2$ . Then  $\phi(k) = w(k)/k$  falls from  $+\infty$  to a local minimum  $\phi = 0.03005$  at  $k = 0.1509$ , rises to a local maximum  $\phi = 0.60360$  at  $k = 1.4340$ , and falls back to 0; the turning points are exactly where  $\sigma(k)$  crosses  $\alpha_K(k)$ :

|               |        |        |        |        |
|---------------|--------|--------|--------|--------|
| $k$           | 0.05   | 0.30   | 1.00   | 3.00   |
| $\sigma(k)$   | 1.8871 | 0.3581 | 0.2537 | 0.3264 |
| $\alpha_K(k)$ | 0.9667 | 0.9603 | 0.5000 | 0.0483 |
| $\phi'(k)$    | -0.438 | +0.286 | +0.495 | -0.115 |

Consequently (\*) has *three* solutions for every  $(n + \delta)/s$  strictly between 0.03005 and 0.60360. With  $(n + \delta)/s = 0.045$  they are

$$k_1^* = 0.04972, \quad k_2^* = 0.27684, \quad k_3^* = 29.19752,$$

and since  $\dot{k}$  has the sign of  $\phi(k) - (n + \delta)/s$ , the outer two are locally asymptotically stable ( $\phi'(k_1^*) = -0.442$ ,  $\phi'(k_3^*) = -0.002$ ) while the middle one is unstable ( $\phi'(k_2^*) = +0.240$ ). Figure 2 plots  $\phi$  and the horizontal line. The economy converges to the poor or to the rich steady state according to whether it starts below or above  $k_2^*$ : with saving out of wages alone, the Solow model produces a poverty trap.

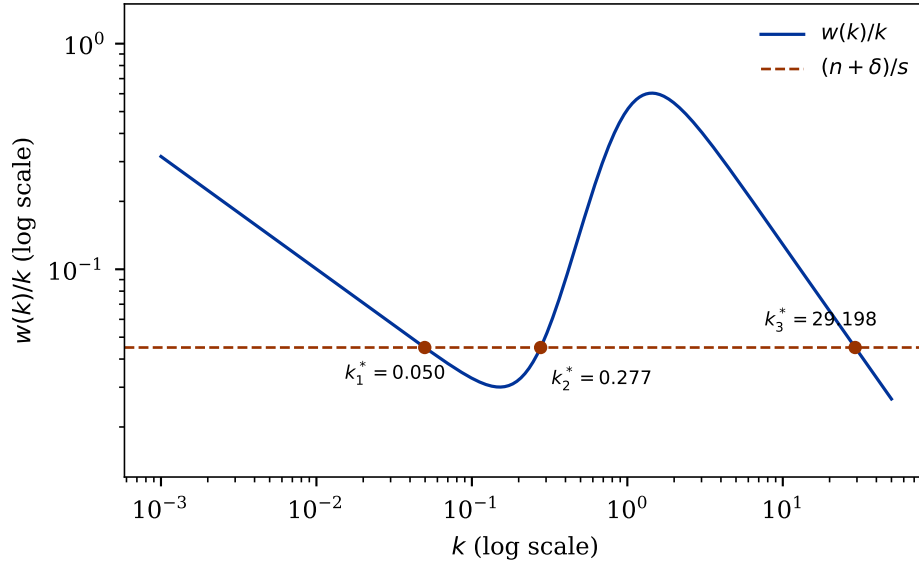


FIGURE 2. Saving out of labor income only: steady states are the intersections of  $w(k)/k$  with the horizontal line  $(n + \delta)/s$ , drawn here at 0.045, for the technology of the text.

*Remark.* The comparison with EXERCISE 2.12 is instructive. When only capital income is saved, the law of motion is  $\dot{k}/k = s_K f'(k) - (n + \delta)$ , and  $f'$  is strictly decreasing by ASSUMPTION 1: the steady state is unique and globally stable, whatever the elasticity of substitution. It is the wage — the factor price that *rises* with capital — that can generate the self-reinforcing accumulation behind multiplicity.

### Exercise 2.15

With constant returns, output per worker and the wage are both functions of the capital-labor ratio alone:

$$y = f(k), \quad w = F_L = f(k) - k f'(k),$$

the second equality being the competitive wage. Along the family of economies indexed by  $k$ ,

$$\frac{dy}{dk} = f'(k), \quad \frac{dw}{dk} = f'(k) - f'(k) - k f''(k) = -k f''(k) > 0,$$

so  $w$  is a strictly increasing function of  $k$  and can be inverted; by the chain rule,

$$\frac{\partial y}{\partial w} = \frac{dy/dk}{dw/dk} = \frac{f'(k)}{-k f''(k)}.$$

Therefore

$$\varepsilon_{y,w} = \frac{\partial y}{\partial w} \cdot \frac{w}{y} = \frac{f'(k)}{-kf''(k)} \cdot \frac{f(k) - kf'(k)}{f(k)} = \frac{f'(k)[f(k) - kf'(k)]}{-kf(k)f''(k)}. \quad (*)$$

It remains to check that the right-hand side of (\*) is the elasticity of substitution (2.37). With constant returns,  $F_K = f'(k)$  and  $F_L = f(k) - kf'(k)$ , so

$$\frac{\partial \log(F_K/F_L)}{\partial \log k} = k \frac{d}{dk} \left[ \log f'(k) - \log(f(k) - kf'(k)) \right] = k \left[ \frac{f''(k)}{f'(k)} + \frac{kf''(k)}{f(k) - kf'(k)} \right].$$

Putting the bracket over a common denominator,

$$\frac{\partial \log(F_K/F_L)}{\partial \log k} = kf''(k) \frac{[f(k) - kf'(k)] + kf'(k)}{f'(k)[f(k) - kf'(k)]} = \frac{kf(k)f''(k)}{f'(k)[f(k) - kf'(k)]},$$

and hence, by the definition (2.37),

$$\sigma = - \left[ \frac{\partial \log(F_K/F_L)}{\partial \log(K/L)} \right]^{-1} = \frac{f'(k)[f(k) - kf'(k)]}{-kf(k)f''(k)},$$

which is exactly (\*). Therefore  $\varepsilon_{y,w} = \sigma$ .

The result is the basis of the empirical strategy of Arrow et al. (1961) taken up in EXERCISE 2.16: regressing the logarithm of output per capita on the logarithm of the wage across economies (or across time) estimates the elasticity of substitution directly, and a slope of 1 — which is what those authors found to be a good approximation — says that the technology is Cobb–Douglas. It also gives a clean reading of  $\sigma$ : it measures how much richer, in output per worker, an economy must be in order to sustain a given proportional increase in its wage.

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### Exercise 2.24

Normalize the technology terms to  $A_H = A_K = A_L = 1$  (they only rescale the arguments and the level, and none of the limits below depends on them) and write the per capita form of (2.38) as

$$f(k) = [\gamma k^\rho + (1 - \gamma)]^{1/\rho}, \quad \rho \equiv \frac{\sigma - 1}{\sigma} \in (-\infty, 1), \quad \gamma \in (0, 1),$$

so that  $\sigma > 1 \iff \rho \in (0, 1)$ ,  $\sigma < 1 \iff \rho < 0$  and  $\sigma = 1$  is the Cobb–Douglas limit  $f(k) = k^\gamma$ . Differentiating,

$$f'(k) = \gamma k^{\rho-1} [\gamma k^\rho + (1 - \gamma)]^{(1-\rho)/\rho}, \quad w(k) = f(k) - kf'(k) = (1 - \gamma) [\gamma k^\rho + (1 - \gamma)]^{(1-\rho)/\rho}.$$

Recall that ASSUMPTION 2 requires four limits —  $F_K \rightarrow \infty$  as  $K \rightarrow 0$ ,  $F_K \rightarrow 0$  as  $K \rightarrow \infty$ ,  $F_L \rightarrow \infty$  as  $L \rightarrow 0$ ,  $F_L \rightarrow 0$  as  $L \rightarrow \infty$  — together with  $F(0, L, A) = 0$ . In per capita terms  $F_K = f'(k)$  and  $F_L = w(k)$ , and  $L \rightarrow 0$  with  $K$  fixed means  $k \rightarrow \infty$ , while  $L \rightarrow \infty$  means  $k \rightarrow 0$ .

Case  $\sigma > 1$  (i.e.  $0 < \rho < 1$ ). As  $k \rightarrow 0$  the bracket tends to  $1 - \gamma > 0$ , so

$$f(0) = (1 - \gamma)^{1/\rho} > 0,$$

and capital is not essential:  $F(0, L, A) > 0$ , the last requirement of ASSUMPTION 2, fails. As  $k \rightarrow \infty$  the bracket behaves like  $\gamma k^\rho$ , so

$$f'(k) \longrightarrow \gamma k^{\rho-1} (\gamma k^\rho)^{(1-\rho)/\rho} = \gamma^{1/\rho} > 0,$$

so  $\lim_{K \rightarrow \infty} F_K = 0$  fails too: the marginal product of capital is bounded below by a positive number, and the technology is asymptotically linear in capital — an  $AK$  technology in the limit, which is exactly why EXERCISE 2.23(a) finds sustained growth in this case. Finally, as  $k \rightarrow 0$  (that is,  $L \rightarrow \infty$  for given  $K$ ), the bracket tends to  $1 - \gamma$  and

$$w(k) \rightarrow (1 - \gamma)(1 - \gamma)^{(1-\rho)/\rho} = (1 - \gamma)^{1/\rho} > 0,$$

so  $\lim_{L \rightarrow \infty} F_L = 0$  fails as well: labor remains productive at the margin however abundant it is, because output does not require capital. (The two remaining limits,  $f'(0) = \infty$  and  $w(\infty) = \infty$ , do hold, the latter because  $w(k) \sim (1 - \gamma)\gamma^{(1-\rho)/\rho}k^{1-\rho}$  with  $1 - \rho > 0$ .)

Case  $\sigma < 1$  (i.e.  $\rho < 0$ ). Now  $k^\rho \rightarrow \infty$  as  $k \rightarrow 0$ , so the bracket diverges and, since  $1/\rho < 0$ ,  $f(0) = 0$ : capital is essential, as ASSUMPTION 2 wants. But

$$f'(k) \rightarrow \gamma k^{\rho-1} (\gamma k^\rho)^{(1-\rho)/\rho} = \gamma^{1/\rho} < \infty \quad \text{as } k \rightarrow 0,$$

so the Inada condition  $\lim_{K \rightarrow 0} F_K = \infty$  fails. At the other end, as  $k \rightarrow \infty$  the bracket tends to  $1 - \gamma$  and

$$w(k) \rightarrow (1 - \gamma)^{1/\rho} < \infty,$$

so  $\lim_{L \rightarrow 0} F_L = \infty$  fails as well. (The two remaining limits,  $f'(\infty) = 0$  and  $w(0) = 0$ , do hold.)

Case  $\sigma = 1$ . Then  $f(k) = k^\gamma$  with  $\gamma \in (0, 1)$ :  $f(0) = 0$ ,  $f'(k) = \gamma k^{\gamma-1} \rightarrow \infty$  as  $k \rightarrow 0$  and  $\rightarrow 0$  as  $k \rightarrow \infty$ , and  $w(k) = (1 - \gamma)k^\gamma \rightarrow 0$  as  $k \rightarrow 0$  and  $\rightarrow \infty$  as  $k \rightarrow \infty$ . All the requirements of ASSUMPTION 2 hold.

Hence ASSUMPTION 2 holds for the CES technology if and only if  $\sigma = 1$ . The failure is economically meaningful rather than technical: with  $\sigma > 1$  the two factors are good enough substitutes that capital alone can produce, and accumulating it never drives its marginal product to zero; with  $\sigma < 1$  they are such poor substitutes that the first units of capital are not infinitely productive, and an economy with a fixed labor force cannot make the wage arbitrarily large.

*Remark.* ASSUMPTION 1, by contrast, holds for every finite  $\sigma > 0$ . Logarithmic differentiation of  $f'$  gives

$$\frac{f''(k)}{f'(k)} = \frac{\rho - 1}{k} + \frac{(1 - \rho)\gamma k^{\rho-1}}{\gamma k^\rho + (1 - \gamma)} = -\frac{(1 - \rho)(1 - \gamma)}{k[\gamma k^\rho + (1 - \gamma)]} < 0 \quad \text{for all } \rho < 1,$$

so  $f'' < 0$ , and  $F_{KK}, F_{LL} < 0$  follow. The text on page 55 states instead that “the CES production function with  $\sigma > 1$  violates Assumption 1”; what the computation above shows, and what this exercise asks one to prove, is that what fails is ASSUMPTION 2.

### Exercise 2.25

With Harrod-neutral technological progress at the rate  $g$  and population growth at the rate  $n$ , the effective capital-labor ratio  $k(t) = K(t)/(A(t)L(t))$  obeys (2.51), and the BGP value  $k^*$  solves (2.52),

$$H(k^*; s, \delta, n, g) \equiv s \frac{f(k^*)}{k^*} - (\delta + g + n) = 0.$$



The level of technology does not enter.  $A(0)$  appears nowhere in this equation — it has been normalized away by the definition of  $k$  — so

$$\frac{\partial k^*(A(0), s, \delta, n, g)}{\partial A(0)} = 0.$$

The other comparative statics. Exactly as in Exercise 2.5,

$$\frac{\partial H}{\partial k^*} = s \cdot \frac{d}{dk} \left[ \frac{f(k)}{k} \right]_{k=k^*} = -\frac{s w(k^*)}{(k^*)^2} < 0,$$

where  $w(k) = f(k) - k f'(k) > 0$ . The Implicit Function Theorem applies and gives, with  $\partial H / \partial s = f(k^*) / k^* > 0$  and  $\partial H / \partial \delta = \partial H / \partial n = \partial H / \partial g = -1$ ,

$$\frac{\partial k^*}{\partial s} = \frac{k^* f(k^*)}{s w(k^*)} > 0, \quad \frac{\partial k^*}{\partial n} = \frac{\partial k^*}{\partial \delta} = \frac{\partial k^*}{\partial g} = -\frac{(k^*)^2}{s w(k^*)} < 0.$$

Output per capita. Along the BGP, income per capita is  $y^*(t) = A(t)f(k^*) = A(0)e^{gt}f(k^*)$  by (2.50). Hence, for each  $t$ ,

$$\frac{\partial y^*}{\partial A(0)} = e^{gt}f(k^*) > 0,$$

which is the one comparative static that is new relative to PROPOSITION 2.8: a higher initial technology level leaves the effective capital-labor ratio untouched but raises income per capita proportionately, at every date. For the remaining parameters the effect runs through  $k^*$  alone,

$$\frac{\partial y^*}{\partial x} = A(0)e^{gt}f'(k^*)\frac{\partial k^*}{\partial x}, \quad x \in \{s, \delta, n\},$$

which is positive for  $s$  and negative for  $\delta$  and  $n$ , since  $f' > 0$ .

*Remark.* The proposition lists no comparative static with respect to  $g$ , and for good reason: a higher  $g$  lowers  $k^*$  and hence the level of income per capita at any fixed date, but it raises its growth rate, so  $\partial y^*(t) / \partial g$  changes sign as  $t$  grows. This is the first appearance of a theme that recurs throughout the book — level effects and growth effects need not point the same way.

## Exercise 2.26

Let ASSUMPTIONS 1 and 2 hold and consider the law of motion (2.51) of the effective capital-labor ratio,

$$\dot{k}(t) = G(k(t)), \quad G(k) \equiv sf(k) - (\delta + g + n)k.$$

$G$  is continuously differentiable on  $(0, \infty)$  by ASSUMPTION 1, and by PROPOSITION 2.11 it has a unique zero  $k^* \in (0, \infty)$ , characterized by  $f(k^*)/k^* = (\delta + g + n)/s$ .

Write  $G(k) = k[s\psi(k) - (\delta + g + n)]$  with  $\psi(k) \equiv f(k)/k$ . As established in Exercise 2.5,  $\psi$  is strictly decreasing, with  $\psi(k) \rightarrow \infty$  as  $k \rightarrow 0$  and  $\psi(k) \rightarrow 0$  as  $k \rightarrow \infty$ . Therefore

$$k < k^* \implies \psi(k) > \psi(k^*) = \frac{\delta + g + n}{s} \implies G(k) > 0,$$

$$k > k^* \implies \psi(k) < \psi(k^*) \implies G(k) < 0.$$

That is exactly the hypothesis of part 3 of COROLLARY 2.2 (proved in Exercise 2.10), which therefore gives global asymptotic stability: starting from any  $k(0) > 0$ ,  $k(t) \rightarrow k^*$ . Moreover the convergence is monotone, since  $\dot{k}$  keeps a constant sign along the path: an economy that starts

below its BGP accumulates effective capital throughout the transition, and one that starts above decumulates it.

Local stability can also be read off the derivative at the rest point. Using  $sf(k^*) = (\delta + g + n)k^*$ ,

$$G'(k^*) = sf'(k^*) - (\delta + g + n) = sf'(k^*) - \frac{sf(k^*)}{k^*} = -\frac{sw(k^*)}{k^*} < 0,$$

because the wage  $w(k^*) = f(k^*) - k^*f'(k^*)$  is strictly positive. So the linearization has a strictly negative eigenvalue, confirming local asymptotic stability by part 2 of COROLLARY 2.2, and giving in addition the speed of convergence: near the BGP the gap  $k(t) - k^*$  closes at the exponential rate  $sw(k^*)/k^* = (\delta + g + n)\alpha_L(k^*)$ , where  $\alpha_L = w/f$  is the share of labor in national income.

Since  $k(t) \rightarrow k^*$  and  $y(t) = A(t)f(k(t))$ , output per capita converges to the balanced growth path  $A(0)e^{gt}f(k^*)$  and grows asymptotically at the rate  $g$ : with Harrod-neutral progress, transitional dynamics and long-run growth separate cleanly, and the model behaves exactly as it did without technological change once variables are measured per efficiency unit of labor.

## Chapter 3

# The Solow Model and the Data

The seven exercises of Chapter 3 left unsolved in the instructor's manual: Exercises 3.3–3.8 and 3.11. The manual solves 3.1, 3.2, 3.9 and 3.10. Notation follows the book:  $k \equiv K/(AL)$  is the effective capital-labor ratio,  $\hat{y} \equiv Y/(AL)$ ,  $y \equiv Y/L$ ,  $y^*(t) \equiv A(t)f(k^*)$  is the steady-state (BGP) level of output per capita, and  $\varepsilon_k(k) \equiv f'(k)k/f(k)$  is the elasticity of the per capita production function (3.9). The numerical parts are computed by `code/ch3.py`.

### Exercise 3.3

Write the technology in labor-augmenting form,  $Y = K^\alpha(AL)^{1-\alpha}$ , so that in terms of the effective capital-labor ratio  $k = K/(AL)$ ,

$$\hat{y} = k^\alpha, \quad y = Ak^\alpha, \quad \frac{\dot{k}}{k} = sk^{\alpha-1} - (\delta + g + n), \quad k^* = \left( \frac{s}{\delta + g + n} \right)^{\frac{1}{1-\alpha}}.$$

*The exact equation.* Differentiating  $y = Ak^\alpha$  logarithmically and substituting the law of motion, with no approximation at all,

$$\frac{\dot{y}}{y} = g + \alpha \frac{\dot{k}}{k} = g + \alpha [sk^{\alpha-1} - (\delta + g + n)] = g + \alpha(\delta + g + n) \left[ \left( \frac{k}{k^*} \right)^{\alpha-1} - 1 \right],$$

the last step using  $s(k^*)^{\alpha-1} = \delta + g + n$ . Since  $y/y^* = (k/k^*)^\alpha$ , we have  $\log k - \log k^* = \alpha^{-1}(\log y - \log y^*)$ , and therefore

$$\boxed{\frac{\dot{y}(t)}{y(t)} = g + \alpha(\delta + g + n) \left[ \exp\left(-\frac{1-\alpha}{\alpha}(\log y(t) - \log y^*(t))\right) - 1 \right]} \quad (*)$$

which is the exact analogue of (3.10). Expanding the exponential to first order around  $\log y = \log y^*$  returns  $\dot{y}/y \approx g - (1-\alpha)(\delta + g + n)(\log y - \log y^*)$ , which is (3.11): the book's equation is the linearization of (\*).

*The rate of convergence is not a constant.* Write  $z \equiv \log y(t) - \log y^*(t)$  for the gap and define the convergence coefficient implicitly by  $\dot{y}/y = g - \beta(z)z$ , so that from (\*)

$$\beta(z) = \alpha(\delta + g + n) \frac{1 - e^{-cz}}{z}, \quad c \equiv \frac{1-\alpha}{\alpha} > 0.$$

The function  $\varphi(u) \equiv (1 - e^{-u})/u$  has  $\varphi'(u) = e^{-u}[u + 1 - e^u]/u^2 < 0$  for  $u \neq 0$ , because  $e^u > 1 + u$ ; and  $\varphi(u) \rightarrow 1$  as  $u \rightarrow 0$ . Hence

$$\beta \text{ is strictly decreasing in } z, \quad \beta(0) = \alpha(\delta + g + n)c = (1-\alpha)(\delta + g + n),$$

$$\beta(z) \rightarrow \infty \text{ as } z \rightarrow -\infty, \quad \beta(z) \rightarrow 0 \text{ as } z \rightarrow +\infty.$$

So for a country *below* its steady state ( $z < 0$ , the empirically relevant case) the true speed of convergence *exceeds* the constant  $(1-\alpha)(\delta + g + n)$  of the linearized equation, and it does so by more the poorer the country is; for a country above its steady state convergence is slower than the

linear approximation says. With the parameter values of EXAMPLE 3.1 ( $\alpha = 1/3$ ,  $\delta + g + n = 0.08$ , so  $(1 - \alpha)(\delta + g + n) = 0.0533$ ):

| $y/y^*$          | 0.10   | 0.25   | 0.50   | 0.80   | 1.25   | 2.00   | 10.0   |
|------------------|--------|--------|--------|--------|--------|--------|--------|
| $\beta$          | 1.1465 | 0.2885 | 0.1154 | 0.0672 | 0.0430 | 0.0289 | 0.0115 |
| $\beta/\beta(0)$ | 21.5   | 5.41   | 2.16   | 1.26   | 0.81   | 0.54   | 0.21   |

A country at a tenth of its steady-state income converges twenty times faster than the log-linear coefficient suggests. Figure 3 plots  $\beta$ .

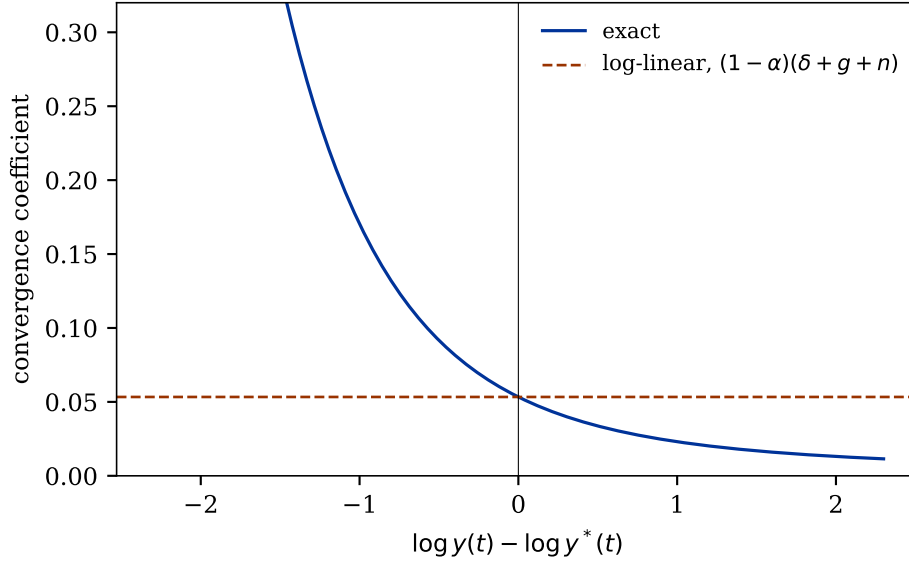


FIGURE 3. The exact convergence coefficient  $\beta$  as a function of the gap  $\log y - \log y^*$ , against the constant coefficient of the log-linearized equation (3.11).

*Remark.* This is a first hint of why growth regressions of the form (3.12)–(3.14), which impose a *constant* coefficient  $b_1$  on  $\log y_{i,t-1}$ , are hard to interpret. Even within the Solow model with a common technology, the correct coefficient varies systematically with how far a country is from its own steady state, so the estimated  $b_1$  is some average of very different speeds — and the average depends on the composition of the sample.

### Exercise 3.4

*Log-linear answer.* By (3.11), each country's gap  $z_i(t) \equiv \log y_i(t) - \log y^*(t)$  obeys  $\dot{z}_i = -\beta z_i$  with  $\beta = (1 - \alpha)(\delta + g + n)$ . Since the two countries share  $y^*(t)$ , the *relative* gap  $D(t) \equiv \log y_1(t) - \log y_2(t) = z_1(t) - z_2(t)$  obeys the same linear equation,

$$\dot{D} = -\beta D \quad \implies \quad D(t) = D(0)e^{-\beta t}.$$

With  $\alpha = 1/3$ ,  $g = 0.02$ ,  $n = 0.01$  and  $\delta = 0.05$  we get  $\beta = \frac{2}{3} \times 0.08 = 0.0533$  per year. Starting from  $D(0) = \log 2 = 0.6931$  and requiring  $D(T) = \log 1.1 = 0.0953$ ,

$$T = \frac{1}{\beta} \log \frac{\log 2}{\log 1.1} = \frac{\log(7.273)}{0.0533} = \frac{1.9843}{0.0533} \approx 37.2 \text{ years.}$$

The half-life of the gap is  $\log 2/\beta = 13.0$  years, which is the “little more than 10 years” quoted in EXAMPLE 3.1.

*Exact answer.* The Cobb–Douglas model can be solved in closed form, so the approximation can be checked. With  $x \equiv k^{1-\alpha}$  the law of motion is linear,  $\dot{x} = (1 - \alpha)[s - (\delta + g + n)x]$ , so

$$\frac{x(t)}{x^*} = 1 + \left(\frac{x(0)}{x^*} - 1\right)e^{-\beta t}, \quad \frac{y(t)}{y^*(t)} = \left(\frac{x(t)}{x^*}\right)^{\frac{\alpha}{1-\alpha}},$$

with the *same*  $\beta = (1 - \alpha)(\delta + g + n)$  now appearing exactly. The log gap between the two countries is no longer exactly exponential, because the map from  $x$  to  $y$  is concave, so the answer depends on where the pair sits relative to the common steady state:

|                                  |      |      |      |
|----------------------------------|------|------|------|
| country 1 starts at $y_1(0)/y^*$ | 0.8  | 1.0  | 2.0  |
| years until $y_1/y_2 = 1.1$      | 21.4 | 27.4 | 49.9 |

The log-linear figure of 37 years is of the right order but not accurate: when both countries are below the steady state the true convergence is faster (Exercise 3.3), and when both are above it is slower.

Either way the message is the one the book draws: the basic Solow model with a capital share of one third predicts that a twofold income gap between otherwise identical countries is largely gone within a few decades. That is far faster than anything in the data — the gaps documented in Chapter 1 have persisted for a century and more — which is one of the motivations for the augmented model of Section 3.3 (where a larger effective capital share slows convergence) and, ultimately, for models in which  $y^*$  itself differs permanently across countries.

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### Exercise 3.5

Index economies by  $i$  and let each be a Solow economy with its own saving rate  $s_i$ , depreciation rate  $\delta_i$ , population growth rate  $n_i$  and technology level  $A_i(t)$ , with a common rate of technological progress  $g$  (so that a stable world income distribution is possible). Each economy in isolation obeys (3.7), so its steady-state effective capital-labor ratio  $k_i^*$  solves

$$s_i \frac{f(k_i^*)}{k_i^*} = \delta_i + g + n_i,$$

and its steady-state output per capita is  $y_i^*(t) = A_i(t)f(k_i^*)$ .

Repeating the derivation of (3.10) economy by economy — nothing in it used cross-country homogeneity — gives the country-specific convergence equation

$$\frac{\dot{y}_i(t)}{y_i(t)} \approx g - (1 - \varepsilon_k(k_i^*))(\delta_i + g + n_i)(\log y_i(t) - \log y_i^*(t)).$$

Writing  $\beta_i \equiv (1 - \varepsilon_k(k_i^*))(\delta_i + g + n_i)$  and discretizing between  $t - 1$  and  $t$ ,

$$g_{i,t,t-1} \approx \underbrace{[g + \beta_i \log y_i^*(t - 1)]}_{b_i^0} - \beta_i \log y_{i,t-1}. \quad (*)$$

This is (3.13),  $g_{i,t,t-1} = b_i^0 + b_1 \log y_{i,t-1} + \varepsilon_{i,t}$ , with  $b_1 = -\beta_i$ : the constant term is country specific, precisely because the steady state  $y_i^*$  is. Two observations complete the derivation.

*The slope is common when the elasticity is.* With a Cobb–Douglas technology  $\varepsilon_k \equiv \alpha$  and  $\beta_i = (1 - \alpha)(\delta_i + g + n_i)$ , so the slope varies across countries only through  $\delta_i + n_i$ . Since  $\delta + n$  moves within a narrow range across countries while  $y_i^*$  varies enormously, treating  $b_1$  as common and  $b_i^0$  as country specific — exactly what (3.13) does — is the natural first approximation. (That  $b_1$  is in principle country specific is the caveat the book records after (3.13).)

*The intercept is a function of observable country characteristics.* With Cobb–Douglas technology  $y_i^*(t) = A_i(t)[s_i/(\delta_i + g + n_i)]^{\alpha/(1-\alpha)}$ , so

$$b_i^0 = g + (1 - \alpha)(\delta_i + g + n_i) \left[ \log A_i(t-1) + \frac{\alpha}{1-\alpha} (\log s_i - \log(\delta_i + g + n_i)) \right].$$

Modeling  $b_i^0$  as a linear function of  $\log s_i$ ,  $\log(\delta_i + g + n_i)$  and proxies for  $\log A_i$  — schooling, institutions, openness, and the rest — delivers the empirical specification (3.14),  $g_{i,t-1} = X_{i,t}^T \beta + b_1 \log y_{i,t-1} + \varepsilon_{i,t}$ . Conditional convergence is then the statement that  $b_1 < 0$  once these characteristics are held fixed, whereas unconditional convergence — the regression (3.12) with a common intercept — need not show  $b_1 < 0$  at all: omitting  $b_i^0$  puts it in the error term, and since economies with low  $y_i^*$  also tend to have low  $y_{i,t-1}$ , the resulting  $\text{Cov}(b_i^0, \log y_{i,t-1}) > 0$  biases the estimate of  $b_1$  upward.

### Exercise 3.6

The system to be studied is

$$\dot{k} = G_k(k, h) \equiv s_k f(k, h) - (\delta_k + g + n)k, \quad \dot{h} = G_h(k, h) \equiv s_h f(k, h) - (\delta_h + g + n)h,$$

on  $\mathbb{R}_{++}^2$ , where  $f(k, h) = F(k, h, 1)$  is strictly increasing and strictly concave in  $(k, h)$  by ASSUMPTION 1' and satisfies the Inada conditions of ASSUMPTION 2'. By PROPOSITION 3.1 there is exactly one rest point  $(k^*, h^*) \in \mathbb{R}_{++}^2$ . We must show that every solution starting in  $\mathbb{R}_{++}^2$  converges to it.

*Step 1: the system is cooperative, hence the flow is monotone.* The off-diagonal entries of the Jacobian are

$$\frac{\partial G_k}{\partial h} = s_k f_h(k, h) > 0, \quad \frac{\partial G_h}{\partial k} = s_h f_k(k, h) > 0,$$

so the vector field is *cooperative*: each variable helps the other accumulate — more human capital raises output and therefore physical investment, and conversely. By Kamke's comparison theorem the flow preserves the componentwise order: if  $(k_1(0), h_1(0)) \leq (k_2(0), h_2(0))$  then  $(k_1(t), h_1(t)) \leq (k_2(t), h_2(t))$  for all  $t \geq 0$ . Two consequences will be used repeatedly. First, a solution that starts above (below)  $(k^*, h^*)$  stays above (below) it, since  $(k^*, h^*)$  is itself a solution. Second, if the vector field is nonpositive in both coordinates at the initial point, then the solution is nonincreasing in both coordinates for all  $t$ : the solution started at time  $\tau > 0$  lies below the one started at time 0, and both solve the same autonomous equation.

*Step 2: a supersolution and a subsolution.* Recall from the proof of PROPOSITION 3.1 that the loci  $\{G_k = 0\}$  and  $\{G_h = 0\}$  are increasing curves in  $(k, h)$  space that cross exactly once, at  $(k^*, h^*)$ , with  $\{G_k = 0\}$  steeper there; moreover  $\{G_k = 0\}$  lies below  $\{G_h = 0\}$  for small  $(k, h)$  and above it for large  $(k, h)$ . Since  $G_k$  is increasing in  $h$  and  $G_h$  is increasing in  $k$ ,

$$G_k < 0 \text{ to the right of } \{G_k = 0\}, \quad G_h < 0 \text{ above } \{G_h = 0\}.$$

For  $k > k^*$  the region between the two curves is therefore a set on which  $G_k < 0$  and  $G_h < 0$ ; it is nonempty and, because both curves are increasing and unbounded (by ASSUMPTION 2',  $f(k, h)/k \rightarrow 0$  as  $k \rightarrow \infty$  forces  $h \rightarrow \infty$  along  $\{G_k = 0\}$ ), it contains points  $(\bar{k}, \bar{h})$  with  $\bar{k} \geq k(0)$  and  $\bar{h} \geq h(0)$ , as large as we please. Symmetrically, for  $k < k^*$  the region between the two curves has  $G_k > 0$  and  $G_h > 0$  and contains points  $(\underline{k}, \underline{h})$  with  $\underline{k} \leq k(0)$ ,  $\underline{h} \leq h(0)$ , as small as we please.

*Step 3: the sandwich.* Consider the solution started at  $(\bar{k}, \bar{h})$ . By Step 1 it is nonincreasing in both coordinates, and it is bounded below by  $(k^*, h^*)$  — it started above the rest point, so it stays above. A monotone bounded trajectory converges, and its limit is a rest point of the system; by uniqueness, the limit is  $(k^*, h^*)$ . Exactly the same argument applied at  $(\underline{k}, \underline{h})$  gives a trajectory that is nondecreasing, bounded above by  $(k^*, h^*)$ , and convergent to it. Finally, by monotonicity of the flow, the solution started at  $(k(0), h(0))$  is trapped between these two for all  $t \geq 0$ :

$$(\underline{k}(t), \underline{h}(t)) \leq (k(t), h(t)) \leq (\bar{k}(t), \bar{h}(t)),$$

and both bounds converge to  $(k^*, h^*)$ . Hence  $(k(t), h(t)) \rightarrow (k^*, h^*)$  from any initial condition in  $\mathbb{R}_{++}^2$ , which is the assertion of PROPOSITION 3.2.

*Remark.* The phase diagram in Figure 3.1 of the book is exactly this argument in pictures: the two loci cut the positive quadrant into four regions, in two of which both variables move toward the steady state, while in the other two the trajectory must cross into one of those. What the monotone-flow argument adds is the step the picture cannot supply — that no trajectory can cycle around the rest point instead of converging to it. Cooperativity is what rules that out; for planar cooperative systems there are no closed orbits.

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### Exercise 3.7

The steady state solves (3.17)–(3.18),

$$\Phi_1(k, h) \equiv s_k f(k, h) - (\delta_k + g + n)k = 0, \quad \Phi_2(k, h) \equiv s_h f(k, h) - (\delta_h + g + n)h = 0.$$

Write  $J$  for the Jacobian of  $(\Phi_1, \Phi_2)$  in  $(k, h)$ , evaluated at  $(k^*, h^*)$ :

$$J = \begin{pmatrix} s_k f_k - (\delta_k + g + n) & s_k f_h \\ s_h f_k & s_h f_h - (\delta_h + g + n) \end{pmatrix} = \begin{pmatrix} J_{11} & J_{12} \\ J_{21} & J_{22} \end{pmatrix}.$$

*Signs of the entries and of  $\det J$ .* The off-diagonal entries are positive. For the diagonal ones, substitute  $\delta_k + g + n = s_k f(k^*, h^*)/k^*$  from (3.17):

$$J_{11} = s_k \left[ f_k(k^*, h^*) - \frac{f(k^*, h^*)}{k^*} \right] < 0,$$

because strict concavity of  $f$  in  $k$  together with  $f(0, h^*) \geq 0$  gives  $f > k f_k$ ; similarly  $J_{22} < 0$ . For the determinant, substituting both steady-state conditions,

$$\det J = (\delta_k + g + n)(\delta_h + g + n) - s_k f_k(\delta_h + g + n) - s_h f_h(\delta_k + g + n) = \frac{s_k s_h f}{k^* h^*} [f - k^* f_k - h^* f_h] > 0,$$

the bracket being positive by strict concavity of  $f$  (this is the same inequality that made the two loci cross only once in PROPOSITION 3.1).

*The comparative statics.* By the Implicit Function Theorem,  $\partial(k^*, h^*)^T / \partial \theta = -J^{-1} \partial(\Phi_1, \Phi_2)^T / \partial \theta$  with

$$J^{-1} = \frac{1}{\det J} \begin{pmatrix} J_{22} & -J_{12} \\ -J_{21} & J_{11} \end{pmatrix}.$$

Since  $\partial \Phi / \partial s_k = (f, 0)^T$ ,  $\partial \Phi / \partial s_h = (0, f)^T$  and  $\partial \Phi / \partial n = (-k^*, -h^*)^T$ ,

$$\begin{aligned} \frac{\partial k^*}{\partial s_k} &= \frac{-J_{22}f}{\det J} > 0, & \frac{\partial h^*}{\partial s_k} &= \frac{J_{21}f}{\det J} = \frac{s_h f_k f}{\det J} > 0, \\ \frac{\partial k^*}{\partial s_h} &= \frac{J_{12}f}{\det J} = \frac{s_k f_h f}{\det J} > 0, & \frac{\partial h^*}{\partial s_h} &= \frac{-J_{11}f}{\det J} > 0, \\ \frac{\partial k^*}{\partial n} &= \frac{J_{22}k^* - J_{12}h^*}{\det J} < 0, & \frac{\partial h^*}{\partial n} &= \frac{J_{11}h^* - J_{21}k^*}{\det J} < 0, \end{aligned}$$

the last two because  $J_{11}, J_{22} < 0$  while  $J_{12}, J_{21} > 0$ . Since  $f$  is increasing in both arguments, output per effective unit of labor  $\hat{y}^* = f(k^*, h^*)$  inherits the signs: it rises with either saving rate and falls with population growth.

*Interpretation.* The novelty relative to the basic model is the *cross* effect: a higher saving rate in physical capital raises the steady-state stock of *human* capital as well, and vice versa. The mechanism is the complementarity of the two factors in  $f$  — more physical capital raises output, and since a constant fraction  $s_h$  of output is invested in schooling, it raises human capital investment too. This is the “multiplier” that makes the augmented model fit cross-country income differences so much better than the basic one: the elasticity of steady-state income with respect to  $s_k$  is  $\alpha/(1 - \alpha - \beta)$  rather than  $\alpha/(1 - \alpha)$ , as (3.22)–(3.23) show explicitly for the Cobb–Douglas case.

### Exercise 3.8

*The accounting equation.* With  $Y = F(K, H, AL)$ , differentiate with respect to time and divide by  $Y$ :

$$\frac{\dot{Y}}{Y} = \frac{F_K K}{Y} \frac{\dot{K}}{K} + \frac{F_H H}{Y} \frac{\dot{H}}{H} + \frac{F_{AL} AL}{Y} \left( \frac{\dot{A}}{A} + \frac{\dot{L}}{L} \right),$$

where  $F_{AL}$  is the derivative with respect to the third argument. With competitive factor markets the elasticities are the observed income shares:  $R = F_K$  gives  $\alpha_K = F_K K / Y$ ; the rental rate of human capital  $R_H = F_H$  gives  $\alpha_H = F_H H / Y$ ; and the wage per worker is  $w = A F_{AL}$ , so  $\alpha_L = wL / Y = F_{AL} AL / Y$ . Constant returns in the three arguments make the three shares sum to one. Writing  $g_X$  for the growth rate of  $X$ ,

$$g_Y = \alpha_K g_K + \alpha_H g_H + \alpha_L (g_A + g_L)$$

so that the estimate of TFP growth — the part of output growth not accounted for by measured inputs — is

$$\hat{x} = g_Y - \alpha_K g_K - \alpha_H g_H - \alpha_L g_L, \quad \text{and} \quad g_A = \frac{\hat{x}}{\alpha_L}.$$

Two differences from the fundamental growth accounting equation (3.3) of the basic model deserve emphasis. First, the accumulation of human capital is now an *input*, so growth in schooling and skills is no longer part of the residual. Second, because technology is labor augmenting, the residual  $\hat{x}$  measures  $\alpha_L g_A$ , not  $g_A$ : with a labor share of about 2/3, the implied rate of technological progress is one and a half times the measured residual.



*Using data.* One needs (i) output growth  $g_Y$ , from national accounts; (ii) capital stock growth  $g_K$ , from a perpetual inventory calculation on investment series; (iii) growth in efficiency units of labor  $g_H$ , constructed as in Section 3.5 from schooling data and Mincerian returns, and  $g_L$  from employment; and (iv) the three factor shares. The last item is the binding constraint, and it is where the exercise bites: national accounts report a split of value added into capital income and labor income, but labor income here is the sum of two conceptually different payments,  $R_H H$  and  $wL$ . Some identifying assumption is unavoidable. The two used in practice are

- impose a functional form and calibrate: with  $Y = K^\alpha H^\beta (AL)^{1-\alpha-\beta}$  as in (3.21), the shares are the constants  $\alpha$ ,  $\beta$  and  $1 - \alpha - \beta$ , and  $\beta$  is pinned down from microeconomic (Mincerian) estimates of the return to schooling; or
- avoid the split altogether by folding human capital into effective labor,  $Y = F(K, AH)$ , as in (3.29): then only two shares are needed,  $\alpha_K$  and  $1 - \alpha_K$ , and the accounting equation collapses to  $g_Y = \alpha_K g_K + (1 - \alpha_K)(g_A + g_H)$ , at the price of imposing that raw labor and human capital are perfect substitutes in efficiency units.

Either way the residual absorbs everything the measurement misses — quality of schooling, capacity utilization, reallocation across sectors and firms, and pure measurement error — so it remains, in Abramovitz’s phrase, a measure of our ignorance; adding human capital narrows that ignorance rather than eliminating it.

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### Exercise 3.11

(a) *The accounting.* Work in per worker terms,  $y_j \equiv Y_j/L_j$  and  $\kappa_j \equiv K_j/L_j$ . Constant returns make output per worker a function of the capital-labor ratio and technology alone,  $y = \phi(\kappa; A)$ , and competitive markets make the elasticity of that function equal to the *observed* capital share:

$$\frac{\partial \log y}{\partial \log \kappa} = \frac{F_K K}{Y} = \alpha^K.$$

This is all that is needed: no functional form, no assumption about how  $A$  enters. Order the countries by their capital-labor ratio,  $\kappa_{(1)} \leq \kappa_{(2)} \leq \dots \leq \kappa_{(J)}$ . If two adjacent countries had the same technology, the whole of their income difference would have to come from capital deepening,

$$\Delta \log y_{\text{capital}} = \bar{\alpha}^K \Delta \log \kappa, \quad \bar{\alpha}^K = \frac{1}{2}(\alpha_{(i)}^K + \alpha_{(i+1)}^K),$$

a Divisia (Törnqvist) index that uses the average of the two observed shares over the interval. The residual is the estimated technology gap,

$$\log \frac{A_{(i+1)}}{A_{(i)}} = (\log y_{(i+1)} - \log y_{(i)}) - \bar{\alpha}^K (\log \kappa_{(i+1)} - \log \kappa_{(i)}),$$

and cumulating these differences along the ordered cross section gives every country’s productivity relative to a numeraire country (the United States, say). Equivalently, and in one step for any pair,

$$\log \frac{A_j}{A_{\text{US}}} = \log \frac{y_j}{y_{\text{US}}} - \bar{\alpha}^K \log \frac{\kappa_j}{\kappa_{\text{US}}}.$$

The contribution of technology to cross-country income differences is then measured by the dispersion of  $\log A_j$  relative to the dispersion of  $\log y_j$ , and the “predicted” income of country  $j$

under a common technology is  $\log \hat{y}_j = \log y_{\text{US}} + \bar{\alpha}^K \log(\kappa_j/\kappa_{\text{US}})$ . (With a common Cobb–Douglas technology  $\alpha_j^K \equiv \alpha$  and this is exactly the calibration of Section 3.5.) Only if the shares vary across countries does the chaining matter, and then the index is exact only up to the usual path dependence, which is second order when the share varies slowly.

(b) *What do large  $A$  differences mean?* Not necessarily that countries have access to different production possibility sets. The residual  $A_j$  is defined as whatever makes the accounting identity hold, so it absorbs every reason why a country produces less from the *measured* inputs than the numeraire country does:

- unmeasured or mismeasured inputs — human capital (part (c)), land and natural resources, capital quality and capacity utilization, hours per worker;
- allocative efficiency — misallocation of capital and labor across firms and sectors, distortions, credit constraints, monopoly power, informality;
- organization and institutions — the efficiency with which given inputs are combined;
- genuinely different technical knowledge or its adoption.

Only the last is technology in the engineering sense. Since a country can, in principle, adopt known technologies, the finding of very large  $A$  gaps is better read as a statement that *something other than the accumulation of measured factors* accounts for most of cross-country income differences — which is precisely what motivates Chapter 4’s search for fundamental causes.

(c) *What data are needed with  $F(K, H, A)$ ?* Efficiency units of labor must be measured: the schooling distribution of the workforce (attainment by level), an estimate of how schooling maps into productivity (Mincerian returns, ideally allowing the return to vary by level and country), experience profiles, and — if one wants  $\alpha_H$  separately from  $\alpha_L$  — the split of labor income into payments to raw labor and to skills. Data on schooling quality (test scores, expenditure per pupil, teacher quality) are needed to avoid the bias in part (d), as are hours worked if labor input is to be measured consistently.

(d) *Quality of schooling shows up as productivity.* Suppose the truth is  $Y_j = K_j^\alpha (AH_j)^{1-\alpha}$  with a common  $A$ , and that the true stock of efficiency units is  $H_j = Q_j \hat{H}_j$ , where  $\hat{H}_j$  is the measure constructed from years of schooling as in Section 3.5 and  $Q_j > 0$  captures the quality of a year of schooling. The calibration of Section 3.5 computes productivity as the residual from the measured stock  $\hat{H}_j$ :

$$\hat{A}_j \equiv \left[ \frac{Y_j}{K_j^\alpha \hat{H}_j^{1-\alpha}} \right]^{\frac{1}{1-\alpha}} = \left[ \frac{K_j^\alpha (AQ_j \hat{H}_j)^{1-\alpha}}{K_j^\alpha \hat{H}_j^{1-\alpha}} \right]^{\frac{1}{1-\alpha}} = A Q_j.$$

So the estimated productivity of country  $j$  relative to the United States is

$$\frac{\hat{A}_j}{\hat{A}_{\text{US}}} = \frac{Q_j}{Q_{\text{US}}},$$

even though all countries share the same technology: *every* estimated productivity difference is schooling quality in disguise. The bias goes the empirically awkward way, too. Poor countries are generally thought to have lower  $Q$ , so  $\hat{A}_j$  is understated for them, and the calibration attributes to

“technology” what is really an unmeasured input — which is exactly the criticism of the Hall–Jones and Klenow–Rodríguez calibrations that the quality-adjustment literature (Caselli, 2005) takes up.

## Chapter 4

# Fundamental Determinants of Differences in Economic Performance

The two exercises of Chapter 4 left unsolved in the instructor's manual: Exercises 4.1 and 4.2, both on the Simon–Kremer model of Section 4.2. The manual solves 4.3. Throughout, world output is  $Y(t) = L(t)^\alpha (A(t)Z)^{1-\alpha}$  with  $Z$  normalized to 1, so that  $Y = L^\alpha A^{1-\alpha}$ , and population responds to output through (4.2),  $L(t) = \phi Y(t)$ .

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### Exercise 4.1

*Population as a function of the stock of ideas.* Substituting the production function into (4.2),

$$L = \phi Y = \phi L^\alpha A^{1-\alpha} \quad \implies \quad L^{1-\alpha} = \phi A^{1-\alpha} \quad \implies \quad L(t) = \phi^{\frac{1}{1-\alpha}} A(t). \quad (*)$$

The Malthusian channel thus ties population to the stock of knowledge one for one: any improvement in technology is absorbed by a proportional increase in the number of people it has to feed.

*Equation (4.3).* Each individual discovers ideas at the rate  $\lambda$ , so by (4.1)  $\dot{A} = \lambda L$ . Substituting (\*),

$$\dot{A}(t) = \lambda \phi^{\frac{1}{1-\alpha}} A(t),$$

which is (4.3): the *level* of the flow of new ideas is proportional to the existing stock, because the population that generates them is.

*Equation (4.4).* This is a linear differential equation with constant coefficient; separating variables,  $d \log A = \lambda \phi^{1/(1-\alpha)} dt$ , so with the initial condition  $A(0) > 0$ ,

$$A(t) = \exp(\lambda \phi^{1/(1-\alpha)} t) A(0),$$

which is (4.4). Technology grows exponentially at the constant rate  $g \equiv \lambda \phi^{1/(1-\alpha)}$ , and so do population, by (\*), and world output, since

$$Y = L^\alpha A^{1-\alpha} = (\phi^{\frac{1}{1-\alpha}} A)^\alpha A^{1-\alpha} = \phi^{\frac{\alpha}{1-\alpha}} A.$$

*Remark.* Income per capita, however, does not grow at all:  $y = Y/L = 1/\phi$  at every date, directly from (4.2). The model produces a growing *world* — more people, more ideas, more output — with living standards pinned down by the Malthusian relation between income and population. That is the sense in which economies of scale in population are a theory of world growth rather than of prosperity, and it is the observation that Exercise 4.3(a) formalizes.

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### Exercise 4.2

*Derivation.* Simon and Kremer replace (4.1) by the assumption that population determines the *proportional* rate of improvement,

$$\frac{\dot{A}(t)}{A(t)} = \lambda L(t).$$

The static relations are unchanged, so (\*) of Exercise 4.1 still gives  $L(t) = \phi^{1/(1-\alpha)} A(t)$  and therefore

$$\dot{A}(t) = \lambda \phi^{\frac{1}{1-\alpha}} A(t)^2.$$

This is separable:  $dA/A^2 = \lambda \phi^{1/(1-\alpha)} dt$ , and integrating from 0 to  $t$ ,

$$\frac{1}{A(0)} - \frac{1}{A(t)} = \lambda \phi^{\frac{1}{1-\alpha}} t \quad \implies \quad A(t) = \frac{1}{A(0)^{-1} - \lambda \phi^{1/(1-\alpha)} t},$$

which is (4.5).

*How the behavior differs.* Under (4.4) the growth rate of technology is the constant  $\lambda \phi^{1/(1-\alpha)}$ . Under (4.5) it is

$$\frac{\dot{A}(t)}{A(t)} = \lambda \phi^{\frac{1}{1-\alpha}} A(t) = \frac{\lambda \phi^{1/(1-\alpha)}}{A(0)^{-1} - \lambda \phi^{1/(1-\alpha)} t},$$

which is increasing in  $t$ : growth accelerates. Indeed the acceleration is violent. The denominator of (4.5) vanishes at

$$T^* = \frac{1}{\lambda \phi^{1/(1-\alpha)} A(0)} < \infty,$$

so technology, population and output all become infinite in *finite* time; the solution does not merely grow fast, it blows up. Starting from a small  $A(0)$ ,  $T^*$  is large and the early path is nearly flat, which is what gives the model its appeal as a story of millennia of stagnation followed by a takeoff.

*Why.* The difference is in how an idea is assumed to interact with the stock of ideas already available. Under (4.1) a discovery adds a fixed increment to the pool: a person is worth  $\lambda$  units of  $A$  per unit of time regardless of how much is already known. Under the Simon–Kremer assumption a discovery raises the stock *proportionally*: each person contributes  $\lambda$  percentage points of growth per unit of time, so a discovery is worth more the more is already known — the “standing on the shoulders of giants” externality. Since the Malthusian channel makes population itself proportional to  $A$ , the second assumption makes the growth rate proportional to  $A$ , and a differential equation whose growth rate grows linearly in the state explodes in finite time.

*Which is more plausible?* Neither is comfortable, and they fail in different places.

Taken as a description of the very long run, the Simon–Kremer version is the better one. It is essentially the only simple mechanism that delivers the qualitative shape of the historical record — hundreds of millennia of near-stagnation followed by an acceleration — and Kremer’s evidence that the growth rate of world population has risen with the *level* of world population over a million years is direct support for the proportional specification.

Taken literally as a model, however, it cannot be right. Finite-time blow-up is not a prediction about any observable world, so the specification must fail at some scale; and the mechanism is a pure scale effect, so it predicts that larger populations grow faster — a prediction rejected when the units are countries (the European population was below that of Asia for two millennia, yet modern growth began in Europe), and rescued only by insisting that the relevant unit is the world as a whole.

The assumption in (4.1) has the more defensible microfoundation — independent discoveries arriving at a constant rate per person, which is exactly the probabilistic story the section tells — but it can only generate steady exponential growth, never a takeoff.

The binding weakness, though, is shared and lies elsewhere: it is (4.2). Both models force income per capita to equal  $1/\phi$  at every date, so neither can speak to living standards at all, and the Malthusian link between income and population on which they rest broke down precisely when modern growth began, with the demographic transition reversing the sign of the relation between income and fertility. A mechanism that is silent about income per capita and about *where* growth started is, as the chapter concludes, at best a theory of world growth — not a fundamental cause of cross-country differences.

## Chapter 5

# Foundations of Neoclassical Growth

The six exercises of Chapter 5 left unsolved in the instructor's manual: Exercises 5.3–5.8. The manual solves 5.1, 5.2 and 5.9–5.14. Notation follows the book:  $\mathcal{H}$  is the set of households,  $p = (p_1, \dots, p_N)$  the price vector,  $w^h$  household  $h$ 's income,  $v^h(p, w^h)$  its indirect utility,  $\omega^h$  its endowment and  $\theta_f^h$  its share in firm  $f$ .

### Exercise 5.3

Each household  $h \in \mathcal{H}$  has indirect utility of the Gorman form (5.3),

$$v^h(p, w^h) = a^h(p) + b(p)w^h,$$

with a common  $b(\cdot)$ , and a positive demand for every commodity. We must show that aggregate demand is the demand of a single household with indirect utility  $v(p, w) = a(p) + b(p)w$ , where  $a(p) \equiv \int_{h \in \mathcal{H}} a^h(p) dh$  and  $w \equiv \int_{h \in \mathcal{H}} w^h dh$ .

*Step 1: what homogeneity forces.* Any indirect utility function is homogeneous of degree 0 in  $(p, w)$ , so for every  $\lambda > 0$  and every  $w^h$ ,

$$a^h(\lambda p) + b(\lambda p)\lambda w^h = a^h(p) + b(p)w^h.$$

Both sides are affine in  $w^h$ , and the household's income can be varied freely, so the constant terms and the slopes must agree separately:

$$a^h(\lambda p) = a^h(p) \quad \text{and} \quad b(\lambda p) = \lambda^{-1}b(p),$$

that is,  $a^h$  is homogeneous of degree 0 and  $b$  of degree  $-1$ . Since  $v^h$  is strictly increasing in income,  $b(p) > 0$ .

*Step 2: individual demands.* Assume  $a^h$  and  $b$  differentiable. By Roy's Identity, household  $h$ 's demand for commodity  $j$  is

$$x_j^h(p, w^h) = -\frac{\partial v^h / \partial p_j}{\partial v^h / \partial w^h} = -\frac{1}{b(p)} \frac{\partial a^h(p)}{\partial p_j} - \frac{1}{b(p)} \frac{\partial b(p)}{\partial p_j} w^h. \quad (*)$$

(The hypothesis that each household consumes a positive amount of every commodity is what makes the demands interior, so that Roy's Identity applies and no household sits at a corner where the envelope argument would fail.) Note the structure: the Engel curve of household  $h$  for commodity  $j$  is a straight line in  $w^h$  whose *slope*,  $-b^{-1} \partial b / \partial p_j$ , does not depend on  $h$ . All the household-specific information sits in the intercept.

*Step 3: aggregation.* Integrating  $(*)$  over  $\mathcal{H}$  and exchanging differentiation and integration,

$$\begin{aligned} x_j(p) &\equiv \int_{h \in \mathcal{H}} x_j^h(p, w^h) dh = -\frac{1}{b(p)} \frac{\partial}{\partial p_j} \int_{h \in \mathcal{H}} a^h(p) dh - \frac{1}{b(p)} \frac{\partial b(p)}{\partial p_j} \int_{h \in \mathcal{H}} w^h dh \\ &= -\frac{1}{b(p)} \frac{\partial a(p)}{\partial p_j} - \frac{1}{b(p)} \frac{\partial b(p)}{\partial p_j} w. \end{aligned}$$

Now consider the hypothetical household with indirect utility  $v(p, w) = a(p) + b(p)w$ . It is a legitimate indirect utility function:  $a$  is homogeneous of degree 0 and  $b$  of degree  $-1$  by Step 1, so  $v$  is homogeneous of degree 0; it is increasing in  $w$  and decreasing in each  $p_j$  wherever the individual ones are. Applying Roy's Identity to it gives demands

$$-\frac{1}{b(p)} \frac{\partial a(p)}{\partial p_j} - \frac{1}{b(p)} \frac{\partial b(p)}{\partial p_j} w,$$

which is exactly  $x_j(p)$ . Hence aggregate demand is generated by the maximization problem of the single household with indirect utility  $v(p, w)$ : the economy admits a representative household, and THEOREM 5.2 is proved.

*Step 4: the representative household is strong.* Aggregate demand depends on the distribution of income only through the aggregate  $w = \int w^h dh$ , so any redistribution of income across households leaves it unchanged. The converse also holds, which is why the Gorman form is not merely sufficient but necessary: if two households  $h$  and  $h'$  had Engel curves of different slopes for commodity  $j$ , that is  $b_h^{-1} \partial b_h / \partial p_j \neq b_{h'}^{-1} \partial b_{h'} / \partial p_j$ , then transferring a unit of income from  $h'$  to  $h$  would change aggregate demand for  $j$ , and no single household's demand function could reproduce aggregate demand at all income distributions.

*Remark.* Nothing in the argument used  $N < \infty$  beyond writing the derivatives coordinate by coordinate, and nothing used  $\mathcal{H}$  finite: the integral is a Lebesgue integral and covers a continuum of households. What the theorem does *not* deliver is a *normative* representative household — the utility  $v(p, w)$  reproduces aggregate demand but need not rank allocations the way any Pareto criterion would. That requires the additional structure of THEOREM 5.3, in particular  $a^h(p) = a^h$  independent of  $p$  for the converse direction.

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#### Exercise 5.4

Let the commodity space be indexed by  $j \in J \equiv [0, 1]$  with the Lebesgue measure (nothing depends on the particular index set;  $J = \mathbb{R}_+$  for a continuous-time horizon reads the same way). A consumption bundle is a measurable function  $x : J \rightarrow \mathbb{R}$ , and we take the commodity space to be  $L^\infty(J)$  with prices in its predual  $L^1(J)$ , so that the value of a bundle is

$$p \cdot x = \int_J p(j)x(j) dj,$$

which is finite for  $p \in L^1$ ,  $x \in L^\infty$ . (Any dual pair with a bilinear form of this kind will do; what matters is that values are given by integrals and that the dual space is rich enough to separate points.) Household  $h$ 's preferences have the Gorman representation  $v^h(p, w^h) = a^h(p) + b(p)w^h$ , each household demands a positive amount of (almost) every commodity, and the aggregate production possibilities set  $Y \subset L^\infty(J)$  is convex. The claim is that THEOREM 5.3 survives verbatim:

- (1) any feasible allocation that maximizes  $v(p, w) = \int_{\mathcal{H}} a^h(p) dh + b(p)w$ , with  $w = \int_{\mathcal{H}} w^h dh$ , is Pareto optimal;
- (2) if in addition  $a^h(p) = a^h$  for all  $p$  and all  $h$ , then every Pareto optimal allocation maximizes  $v(p, w)$ .



*What carries over unchanged.* The proof of THEOREM 5.3 is an argument about the *objective*

$$\max_{h \in \mathcal{H}} \sum \alpha^h v^h(p, w^h) = \max \left[ \int_{\mathcal{H}} \alpha^h a^h(p) dh + b(p) \int_{\mathcal{H}} \alpha^h w^h dh \right]$$

subject to market clearing and to net supplies being profit maximizing at  $p$ , exactly as in (5.7). Every step of it is linear in the commodity index: sums  $\sum_{j=1}^N p_j y_j$  become integrals  $\int_J p(j) y(j) dj$ , and Roy's Identity becomes the same formula with the functional (Gâteaux) derivatives  $\delta a^h(p)/\delta p(j)$  and  $\delta b(p)/\delta p(j)$  in place of partial derivatives. The linearity of the Gorman form in  $w^h$  — which is what makes the Pareto weights enter only through the weighted aggregate income and lets one substitute income transfers for commodity reallocations — is a statement about incomes, not about commodities, so it is untouched. With  $b(p) > 0$ , the objective is still increasing in aggregate income, and part 1 follows as before; with  $a^h(p) = a^h$  constant, the argument by contradiction that produced (5.9)–(5.11) goes through with integrals.

*What genuinely needs an extra assumption.* Two things that are automatic in  $\mathbb{R}^N$  are not automatic here.

- *Existence of supporting prices.* In  $\mathbb{R}^N$  a convex set can always be separated from a disjoint convex set. In an infinite-dimensional space the separating hyperplane theorem requires a topological condition — for instance that  $Y$  (or the set of preferred allocations) have nonempty interior in the sup-norm topology, or that preferences satisfy Mas-Colell's properness condition. Without it a Pareto optimum need not be supported by any price system in the chosen dual space, and the phrase “at price vector  $p$ ” in the theorem would be empty. This is the same hypothesis the book adds in THEOREMS 5.6 and 5.7 when it proves the Second Welfare Theorem with infinitely many commodities; here it is needed for exactly the same reason.
- *Integrability.* The aggregates  $a(p) = \int_{\mathcal{H}} a^h(p) dh$  and  $w = \int_{\mathcal{H}} w^h dh$  must be finite, and the interchange of  $\delta/\delta p(j)$  with  $\int_{\mathcal{H}} dh$  must be legitimate — guaranteed, for instance, by a uniform integrable bound on the family  $\{\delta a^h(p)/\delta p(j)\}$ . With a continuum of commodities one must also require  $p \cdot x^h < \infty$  for each household, which Exercise 5.5 delivers from local nonsatiation.

*Conclusion.* With these two provisos — a price system exists in the dual, and the household aggregates are well defined — THEOREM 5.3 holds word for word with  $\sum_{j=1}^N$  replaced by  $\int_J dj$ . The economics of the result is therefore robust to the infinite-dimensional setting that growth models live in: it is the *linearity of Gorman preferences in income*, not the finiteness of the commodity space, that makes the representative household normative.

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### Exercise 5.5

“Household  $h$  chooses  $x^h$  at prices  $p$ ” means that  $x^h$  solves

$$\max_{x \in X^h} U^h(x) \quad \text{subject to} \quad p \cdot x \leq w^h, \quad w^h \equiv p \cdot \left( \omega^h + \sum_{f \in \mathcal{F}} \theta_f^h y^f \right),$$

and local nonsatiation is DEFINITION 5.3: at every  $x \in X^h$ ,  $U^h$  is strictly increasing in at least one of its arguments, and  $U^h(x) < \infty$ .

*Step 1: the income of a locally nonsatiated household that makes a choice is finite.* Suppose  $w^h = \infty$ . Then the budget constraint does not bind anywhere and the problem reduces to maximizing  $U^h$  over  $X^h$ . But local nonsatiation says that at *every* point of  $X^h$  there is a coordinate  $j'$  in which  $U^h$  is strictly increasing, so for any candidate  $x$  the bundle  $x(\varepsilon)$  that adds  $\varepsilon > 0$  to coordinate  $j'$  — which is in  $X^h$  for small  $\varepsilon$ , this being exactly the construction used in the proof of THEOREM 5.5 — satisfies  $U^h(x(\varepsilon)) > U^h(x)$  and is still affordable. No maximum exists, so no bundle is chosen, contradicting the hypothesis. Hence  $w^h < \infty$ .

*Step 2: the chosen bundle is affordable, hence of finite value.* Since  $x^h$  is in the budget set,

$$p \cdot x^h \leq w^h < \infty.$$

*Step 3: in fact the budget holds with equality.* Suppose  $p \cdot x^h < w^h$ . By local nonsatiation there is a coordinate  $j'$  in which  $U^h$  is strictly increasing at  $x^h$ ; for  $\varepsilon$  small enough the bundle  $x^h(\varepsilon)$  obtained by adding  $\varepsilon$  to that coordinate still costs less than  $w^h$  and yields strictly higher utility, contradicting optimality. Therefore

$$p \cdot x^h = w^h < \infty.$$

*Remark.* In a finite-dimensional economy this is a triviality — a finite sum of finite terms. Its content is in the infinite-dimensional case relevant to growth theory, where  $p \cdot x = \sum_{t=0}^{\infty} p_t x_t$  is an infinite series that may diverge. The result says that at any chosen bundle the series converges, and this is precisely what the proof of the First Welfare Theorem needs: (5.17)–(5.18) are summed over households, and the sums are meaningless unless each term is finite. It is also the reason DEFINITION 5.3 builds  $U^h(x^h) < \infty$  into local nonsatiation: an infinite-utility plan would allow a household to be indifferent to budget constraints, and both the definition of a competitive equilibrium and the welfare theorems would lose their force.

### Exercise 5.6

(a) *Demands and indirect utility.* Write  $\hat{x}_j^h \equiv x_j^h - \xi_j^h$  and  $\hat{w}^h \equiv w^h - \sum_j p_j \xi_j^h > 0$  (positive by the assumption  $\sum_j p_j \bar{\xi} < w^h$ ). The problem

$$\max \left[ \sum_{j=1}^N (\hat{x}_j^h)^{\frac{\sigma-1}{\sigma}} \right]^{\frac{\sigma}{\sigma-1}} \quad \text{s.t.} \quad \sum_{j=1}^N p_j \hat{x}_j^h \leq \hat{w}^h$$

is the textbook CES problem. The first-order conditions give  $(\hat{x}_j^h)^{-1/\sigma} = \mu p_j$  for a multiplier  $\mu > 0$ , hence  $\hat{x}_j^h \propto p_j^{-\sigma}$ , and the budget constraint fixes the factor:

$$\hat{x}_j^h = \frac{\hat{w}^h p_j^{-\sigma}}{P}, \quad P \equiv \sum_{k=1}^N p_k^{1-\sigma}, \quad \text{that is} \quad x_j^h = \xi_j^h + \frac{(w^h - \sum_k p_k \xi_k^h) p_j^{-\sigma}}{\sum_k p_k^{1-\sigma}}.$$

Substituting back,

$$\sum_j (\hat{x}_j^h)^{\frac{\sigma-1}{\sigma}} = \left( \frac{\hat{w}^h}{P} \right)^{\frac{\sigma-1}{\sigma}} \sum_j p_j^{1-\sigma} = \left( \frac{\hat{w}^h}{P} \right)^{\frac{\sigma-1}{\sigma}} P,$$

so that

$$v^h(p, w^h) = \left[ \left( \frac{\hat{w}^h}{P} \right)^{\frac{\sigma-1}{\sigma}} P \right]^{\frac{\sigma}{\sigma-1}} = \hat{w}^h P^{\frac{1}{\sigma-1}} = \frac{-\sum_j p_j \xi_j^h + w^h}{[\sum_j p_j^{1-\sigma}]^{\frac{1}{1-\sigma}}},$$

which is (5.5). It is of the Gorman form (5.3) with

$$b(p) = P^{\frac{1}{\sigma-1}} > 0 \quad \text{and} \quad a^h(p) = -\left(\sum_j p_j \xi_j^h\right) P^{\frac{1}{\sigma-1}},$$

and the household-specific term enters only through  $a^h$ , exactly as THEOREM 5.2 requires. It is homogeneous of degree 0:  $\hat{w}^h$  is homogeneous of degree 1 in  $(p, w)$  and  $P^{1/(\sigma-1)}$  of degree  $-1$ .

(b) *The representative household.* The utility function (5.6) is the same CES form with  $\xi_j \equiv \int_{\mathcal{H}} \xi_j^h dh$ , so the computation in (a) applies verbatim and gives

$$v(p, w) = \frac{-\sum_j p_j \xi_j + w}{[\sum_j p_j^{1-\sigma}]^{\frac{1}{1-\sigma}}} = \int_{\mathcal{H}} a^h(p) dh + b(p)w,$$

using  $\int_{\mathcal{H}} a^h(p) dh = -(\sum_j p_j \xi_j) P^{1/(\sigma-1)}$  and  $w = \int_{\mathcal{H}} w^h dh$ . This is precisely the indirect utility of the representative household constructed in THEOREM 5.2, so (5.6) is the utility function that rationalizes aggregate demand.

(c) *Dropping the outer exponent.* Let now  $\tilde{U}^h = \sum_j (x_j^h - \xi_j^h)^{(\sigma-1)/\sigma}$ . Take  $\sigma > 1$ , so that  $(\sigma-1)/\sigma > 0$  and  $\tilde{U}^h = (U^h)^{(\sigma-1)/\sigma}$  is a strictly increasing transformation of the utility in part (a). Demands are therefore unchanged, and the indirect utility function is the same transformation of (5.5):

$$\tilde{v}^h(p, w^h) = [\hat{w}^h P^{\frac{1}{\sigma-1}}]^{\frac{\sigma-1}{\sigma}} = (w^h - \sum_j p_j \xi_j^h)^{\frac{\sigma-1}{\sigma}} P^{\frac{1}{\sigma}}.$$

It is still homogeneous of degree 0 — the first factor has degree  $(\sigma-1)/\sigma$  and the second  $(1-\sigma)/\sigma$  — but it is *not* of the Gorman form: it is a strictly concave, not affine, function of  $w^h$ , so the Engel curves are no longer straight lines. The monotone transformation  $z \mapsto z^{\sigma/(\sigma-1)}$  restores (5.5) and with it the Gorman form.

*Is that enough?* For the positive question — does the economy admit a (strong) representative household? — yes. Demand is an ordinal object: it is invariant to strictly increasing transformations of utility, so what matters is whether *some* representation of preferences takes the Gorman form, not whether the one we happened to write down does. This is the point the book makes right after THEOREM 5.2, and part (c) is the example that makes it concrete: aggregate demand here is exactly as in part (b).

Two caveats keep the answer from being an unqualified yes. First, under uncertainty utility is cardinal: the transformation  $z \mapsto z^{\sigma/(\sigma-1)}$  changes the household's attitude to risk, so two representations that are equivalent for a deterministic exchange economy are *not* equivalent once expected utility is taken over lotteries — the aggregation result survives only for the representation that is also the Bernoulli utility index. Second, for a *normative* representative household the transformation matters as well: THEOREM 5.3(2) requires the Gorman representation to have  $a^h(p) = a^h$  independent of prices, which is a restriction on a particular cardinalization, and Pareto weights attached to  $\tilde{v}^h$  and to  $v^h$  define different social objectives. Aggregation of demand is ordinal; welfare analysis is not.

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**Exercise 5.7**

*Survival.* Death arrives as the first event of a Poisson process with intensity  $\nu$ , so the random date of death  $T$  is exponentially distributed:

$$\Pr\{T > t\} = e^{-\nu t}, \quad \mathbb{E}[T] = \frac{1}{\nu} < \infty.$$

The individual's expected lifetime is  $1/\nu$ , which is how one calibrates  $\nu$ .

*Expected utility.* Normalize the flow utility after death to  $u(0) = 0$ , and let  $[c(t)]_{t \geq 0}$  be the consumption plan conditional on being alive. Discounting the future at the pure rate  $\rho$ , expected lifetime utility at date 0 is

$$U_0 = \mathbb{E} \left[ \int_0^T e^{-\rho t} u(c(t)) dt \right] = \mathbb{E} \left[ \int_0^\infty e^{-\rho t} u(c(t)) \mathbf{1}\{T > t\} dt \right].$$

The integrand is nonnegative and measurable, so Fubini's theorem allows the expectation to be taken inside:

$$U_0 = \int_0^\infty e^{-\rho t} u(c(t)) \Pr\{T > t\} dt = \int_0^\infty e^{-\rho t} e^{-\nu t} u(c(t)) dt = \int_0^\infty e^{-(\rho+\nu)t} u(c(t)) dt.$$

This is the objective of an infinitely lived individual with discount rate

$\rho_{\text{eff}} = \rho + \nu$

Since the constraint set — the flow budget constraint and the no-Ponzi condition — is unaffected by the *form* of the objective, the individual's problem is identical to that of an infinitely lived agent who discounts at  $\rho + \nu$ . Her behavior, in particular her Euler equation  $\dot{c}/c = (r(t) - \rho - \nu)/\theta$  for the CRRA case, is that of the infinite-horizon model with the larger discount rate.

*Consistency with (5.12).* In discrete time the book obtains  $\beta = \hat{\beta}(1 - \nu)$ ; writing  $\hat{\beta} = e^{-\rho\Delta}$  and  $1 - \nu \approx e^{-\nu\Delta}$  for a period of length  $\Delta$  gives  $\beta \approx e^{-(\rho+\nu)\Delta}$ , which is the same statement: the probability of not surviving acts exactly like impatience.

*Remark.* The result says that mortality raises the *effective discount rate*, not that it makes people poorer. Whether it also changes consumption growth depends on the asset market. With actuarially fair annuities — the Blanchard–Yaari setting of Chapter 9 — a surviving individual earns  $r + \nu$  rather than  $r$  on her savings, because the assets of those who die are shared among the survivors, and the two effects cancel in the individual Euler equation:  $\dot{c}/c = [(r + \nu) - (\rho + \nu)]/\theta = (r - \rho)/\theta$ . What mortality then changes is the *aggregate*, through the arrival of newborns who hold no assets, which is exactly why the perpetual youth model breaks Ricardian equivalence while the individual problem looks infinite horizon.

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**Exercise 5.8**

(a) *Different utility functions across generations.* Yes — the dynastic recursion still collapses into an infinite-horizon maximization, but the problem loses stationarity. Let generation  $t$  value its own consumption through  $u_t$  and the continuation value of its descendant with factor  $\beta$ :

$$V_t(y_t) = \max_{c_t + b_t \leq y_t} \{u_t(c_t) + \beta V_{t+1}(b_t + w)\}.$$

Iterating forward,

$$V_0 = \max \sum_{t=0}^{\infty} \beta^t u_t(c_t),$$

provided the sum converges (e.g. if the  $u_t$  are uniformly bounded). So a dynasty of one-period-lived altruistic individuals again behaves like a single infinitely lived agent.

Two things should be said about what does and does not survive. The objective remains *time-consistent*: viewed from date  $t$ , the dynasty maximizes  $\sum_{s \geq t} \beta^{s-t} u_s(c_s)$ , which ranks continuation plans exactly as  $\sum_{s \geq 0} \beta^s u_s(c_s)$  does, because the two differ by the positive factor  $\beta^t$  and by terms that are already sunk. Geometric discounting, not the identity of the period utility functions, is what delivers consistency (compare EXERCISE 5.1). What is lost is *stationarity*: the maximization problem is no longer autonomous, so the stationary dynamic programming of Chapter 6 does not apply directly and one needs its nonstationary version (Section 6.7), with value functions indexed by time. Balanced growth also imposes a restriction: if  $u_t(c) = \gamma^t u(c)$  for a constant  $\gamma > 0$  — taste change at a constant rate — the objective is  $\sum (\beta\gamma)^t u(c_t)$  and stationarity is restored with the modified discount factor  $\beta\gamma$ , which must satisfy  $\beta\gamma < 1$ . For general sequences  $\{u_t\}$  neither a steady state nor a balanced growth path need exist.

(b) *Caring about grandchildren directly.* Now

$$V_t = u(c_t) + \beta V_{t+1} + \delta V_{t+2}, \quad \beta, \delta > 0.$$

Expanding, the weight  $a_s$  that generation  $t$  attaches to  $u(c_{t+s})$  obeys the linear recursion

$$a_0 = 1, \quad a_1 = \beta, \quad a_s = \beta a_{s-1} + \delta a_{s-2} \quad (s \geq 2),$$

whose solution is a combination of the powers of the roots of  $x^2 = \beta x + \delta$ , the dominant one being  $\varphi = (\beta + \sqrt{\beta^2 + 4\delta})/2$ . Three consequences follow.

First, the objective is still an infinite discounted sum,  $V_t = \sum_{s \geq 0} a_s u(c_{t+s})$ , and it converges if and only if  $\varphi < 1$ , which is equivalent to

$$\beta + \delta < 1.$$

So the extra altruism must be paid for out of the total weight on the future.

Second — and this is the substantive difference — the discounting is *not* geometric. The ratios of successive weights are

$$\frac{a_1}{a_0} = \beta, \quad \frac{a_2}{a_1} = \beta + \frac{\delta}{\beta} > \beta,$$

and they keep changing (converging to  $\varphi$  only in the limit). A sequence of weights that falls at a varying rate is exactly the structure of the hyperbolic discounting of EXERCISE 5.1(b), and it has the same consequence: the plan that generation  $t$  would like its descendants to follow is not the plan that generation  $t+1$  chooses, because generation  $t$  discounts dates  $t+1$  and  $t+2$  in the ratio  $\beta$  to  $\beta^2 + \delta$ , while generation  $t+1$  discounts the same two dates in the ratio 1 to  $\beta$ . Preferences are *time-inconsistent*, and the dynasty can no longer be represented as a single maximizing agent.

Third, the modeling consequence: the right solution concept is not a maximization problem but an intergenerational *game*, in which each generation takes the decision rules of its descendants as given; the natural equilibrium notion is a Markov-perfect (or “consistent-planning”) equilibrium,

and saving behavior in it generally differs from the commitment solution — the dynasty saves less than generation  $t$  would wish, since it cannot bind its descendant to treat the grandchild as generously as it would like. The economics is the same as in the individual hyperbolic-discounting model: an extra, non-geometric concern for a more distant date creates a conflict between successive decision makers.

## Chapter 6

# Infinite-Horizon Optimization and Dynamic Programming

The fourteen exercises of Chapter 6 left unsolved in the instructor's manual: Exercises 6.1, 6.4, 6.5, 6.6, 6.10, 6.11, 6.13, 6.14, 6.15, 6.16, 6.17, 6.19, 6.20 and 6.21. The manual solves 6.2, 6.3, 6.7, 6.8, 6.9, 6.12 and 6.18. Notation follows the book: PROBLEM 6.2 is the sequence problem, PROBLEM 6.3 the Bellman equation,  $T$  the operator (6.18),  $\Phi(x(0))$  the set of feasible plans, and  $\pi$  the policy function. Assumptions numbered 6.1–6.5 are the dynamic programming assumptions; Assumptions 1, 2 and 3' are those on technology and preferences. The numerical part is computed by `code/ch6.py`.

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### Exercise 6.1

Following EXAMPLE 6.1, the state is  $x = k$ , the control is next period's capital  $y = k'$ , and

$$U(k, k') = u(g(k) - k'), \quad g(k) \equiv f(k) + (1 - \delta)k, \quad G(k) = [0, g(k)],$$

the constraint  $k' \leq g(k)$  being  $c \geq 0$ . Assumptions 1 and 2 of Chapter 2 restrict  $f$  only, so throughout we also use the standard assumptions on the utility function collected in Assumption 3':  $u$  is continuous, strictly increasing, strictly concave, and (for ASSUMPTION 6.5) continuously differentiable.

*A compact state space.* First note that the state can be confined to a compact interval. By Assumption 2,  $\lim_{k \rightarrow \infty} f(k)/k = 0$ , so there is a unique  $\bar{k} > 0$  with  $f(\bar{k}) = \delta\bar{k}$ : at  $\bar{k}$  the whole of output is needed to replace depreciated capital, and no feasible plan starting below  $\bar{k}$  can ever exceed it. Hence, with  $\vec{k} \equiv g(\max\{k(0), \bar{k}\})$ , every feasible plan from  $k(0)$  remains in  $X \equiv [0, \vec{k}]$ , a compact set.

ASSUMPTION 6.1.  $G(k) \ni 0$  is nonempty for every  $k \in X$ . Since  $X$  is compact,  $g$  is continuous and  $u$  is continuous,  $U$  is bounded on  $X_G$  (a continuous function on a compact set), say  $|U| \leq \bar{U} < \infty$ . Then for any feasible plan  $\sum_{t=0}^n \beta^t U(k(t), k(t+1))$  is a Cauchy sequence, since the tail is bounded by  $\bar{U}\beta^{n+1}/(1 - \beta)$ ; the limit exists and is finite.

ASSUMPTION 6.2.  $X$  is a compact subset of  $\mathbb{R}$ .  $G(k) = [0, g(k)]$  is nonempty- and compact-valued, and it is continuous: both endpoints are continuous functions of  $k$ , which gives upper and lower hemicontinuity.  $U$  is continuous on  $X_G = \{(k, k') : 0 \leq k' \leq g(k)\}$  as the composition of the continuous functions  $u$  and  $(k, k') \mapsto g(k) - k'$ .

ASSUMPTION 6.3. Take  $(k, k'), (\tilde{k}, \tilde{k}') \in X_G$  and  $\alpha \in (0, 1)$ . Since  $f$  is concave (Assumption 1), so is  $g$ , and since  $u$  is increasing and concave,

$$\begin{aligned} U(\alpha k + (1 - \alpha)\tilde{k}, \alpha k' + (1 - \alpha)\tilde{k}') &= u(g(\alpha k + (1 - \alpha)\tilde{k}) - \alpha k' - (1 - \alpha)\tilde{k}') \\ &\geq u(\alpha[g(k) - k'] + (1 - \alpha)[g(\tilde{k}) - \tilde{k}']) \\ &\geq \alpha U(k, k') + (1 - \alpha)U(\tilde{k}, \tilde{k}'), \end{aligned}$$

the first inequality by concavity of  $g$  and monotonicity of  $u$ , the second by concavity of  $u$ . If  $k \neq \tilde{k}$  the first inequality is strict, because  $f$  is strictly concave (Assumption 1 has  $f'' < 0$ ) and  $u$  is strictly increasing — which is exactly the strict inequality required by ASSUMPTION 6.3. Convexity of  $G$  is the same computation: if  $k' \leq g(k)$  and  $\tilde{k}' \leq g(\tilde{k})$  then  $\alpha k' + (1 - \alpha)\tilde{k}' \leq \alpha g(k) + (1 - \alpha)g(\tilde{k}) \leq g(\alpha k + (1 - \alpha)\tilde{k})$ .

ASSUMPTION 6.4.  $U(\cdot, k')$  is strictly increasing because  $\partial U / \partial k = u'(c)g'(k) = u'(c)[f'(k) + 1 - \delta] > 0$ , using  $u' > 0$  and  $f' > 0$  (Assumption 1). And  $g$  is increasing, so  $k \leq \tilde{k}$  implies  $G(k) = [0, g(k)] \subset [0, g(\tilde{k})] = G(\tilde{k})$ : a larger capital stock relaxes the constraint set.

ASSUMPTION 6.5. On the interior of  $X_G$  — where  $c = g(k) - k' > 0$  —  $U$  is continuously differentiable, since  $u$  is continuously differentiable and  $f$  is twice differentiable by Assumption 1.

All five assumptions therefore hold, and THEOREMS 6.1–6.6 apply to the optimal growth model, which is what licenses the recursive treatment in Sections 6.6 and 6.8.

*Remark.* Only two properties of the technology did real work: concavity of  $f$  (for ASSUMPTION 6.3) and the Inada condition  $f(k)/k \rightarrow 0$  (for compactness of  $X$ ). The second is indispensable in this form of the argument: an  $AK$  technology, which violates Assumption 2, has an unbounded state space, and the contraction-based theory of this chapter does not apply directly — which is why the book turns to continuous-time methods for endogenous growth models.

### Exercise 6.4

Recall the setting:  $\dot{x}(t) = f(x(t))$  with  $x(0) = c$ , where  $f$  is Lipschitz with constant  $M$ , and for  $g \in C[0, s]$ ,

$$Tg(z) = c + \int_0^z f(g(x)) \, dx, \quad z \in [0, s].$$

(a)  $T$  maps  $C[0, s]$  into itself, and its fixed points are the solutions. If  $g$  is continuous then  $f \circ g$  is continuous, so the integral is well defined and  $Tg$  is continuously differentiable, hence continuous:  $T : C[0, s] \rightarrow C[0, s]$ . If  $Tg = g$  then  $g(z) = c + \int_0^z f(g(x)) \, dx$ , so  $g(0) = c$  and, by the Fundamental Theorem of Calculus,  $g$  is differentiable with  $\dot{g}(z) = f(g(z))$ :  $g$  solves (6.7). Conversely, integrating (6.7) shows every continuous solution is a fixed point. For the contraction property, Lipschitz continuity gives, for every  $z \in [0, s]$ ,

$$|Tg(z) - T\tilde{g}(z)| \leq \int_0^z |f(g(x)) - f(\tilde{g}(x))| \, dx \leq M \int_0^z |g(x) - \tilde{g}(x)| \, dx \leq Mz\|g - \tilde{g}\|, \quad (*)$$

so  $\|Tg - T\tilde{g}\| \leq Ms\|g - \tilde{g}\|$ . For  $s < 1/M$  this is a contraction, and since  $C[0, s]$  with the sup norm is complete, THEOREM 6.7 gives a unique fixed point: (6.7) has exactly one continuous solution on  $[0, s]$  when  $s < 1/M$ .



(b) *The second iterate.* The useful form of (\*) is the *pointwise* bound  $|Tg(z) - T\tilde{g}(z)| \leq Mz\|g - \tilde{g}\|$ . Applying  $T$  again and using it inside the integral,

$$|T^2g(z) - T^2\tilde{g}(z)| \leq M \int_0^z |Tg(x) - T\tilde{g}(x)| dx \leq M \int_0^z Mx\|g - \tilde{g}\| dx = \frac{M^2 z^2}{2} \|g - \tilde{g}\|,$$

and taking the supremum over  $z \in [0, s]$  gives  $\|T^2g - T^2\tilde{g}\| \leq M^2 \frac{s^2}{2} \|g - \tilde{g}\|$ .

(c) *Induction.* Suppose  $|T^n g(z) - T^n \tilde{g}(z)| \leq M^n \frac{z^n}{n!} \|g - \tilde{g}\|$  for all  $z \in [0, s]$ , which is (\*) for  $n = 1$ . Then

$$|T^{n+1}g(z) - T^{n+1}\tilde{g}(z)| \leq M \int_0^z \frac{M^n x^n}{n!} \|g - \tilde{g}\| dx = \frac{M^{n+1} z^{n+1}}{(n+1)!} \|g - \tilde{g}\|,$$

completing the induction; the sup over  $[0, s]$  gives the stated bound.

(d) *Any interval.* Fix  $s \in \mathbb{R}_+$  arbitrary. Since  $M^n s^n / n! \rightarrow 0$  as  $n \rightarrow \infty$  — the terms of the convergent series for  $e^{Ms}$  — there is  $n$  with  $M^n s^n / n! < 1$ , so  $T^n$  is a contraction on the complete metric space  $C[0, s]$ . By EXERCISE 6.2, if some iterate  $T^n$  is a contraction then  $T$  itself has a unique fixed point. Hence (6.7) has a unique continuous solution on  $[0, s]$ , for *every*  $s$ , not merely for  $s < 1/M$ .

*Remark.* This is the Picard–Lindelöf theorem, proved by contraction. The restriction  $s < 1/M$  in EXAMPLE 6.3 is an artifact of using  $T$  rather than its iterates: the factorial in part (c) beats the geometric growth of  $M^n s^n$ , so the solution never breaks down at a finite horizon. The same device — show that some iterate is a contraction even when the map itself is not — is what makes the contraction method usable in dynamic programming problems where the one-step operator is not a contraction, for instance with  $\beta = 1$  but a bounded number of periods of “effective” discounting.

### Exercise 6.5

The hypotheses are that  $\varphi : \mathbb{R} \times [a, b] \rightarrow \mathbb{R}$  is continuously differentiable with  $0 < m \leq \partial\varphi(y, x)/\partial y \leq M < \infty$  for all  $(y, x)$ .

(a)  *$T$  is a contraction.* For  $y, \tilde{y}$  and any  $x \in [a, b]$ , the Mean Value Theorem gives a  $\xi$  between  $y(x)$  and  $\tilde{y}(x)$  with  $\varphi(y(x), x) - \varphi(\tilde{y}(x), x) = \varphi_y(\xi, x)[y(x) - \tilde{y}(x)]$ . Therefore

$$Ty(x) - T\tilde{y}(x) = [y(x) - \tilde{y}(x)] \left[ 1 - \frac{\varphi_y(\xi, x)}{M} \right],$$

and since  $m \leq \varphi_y \leq M$  we have  $0 \leq 1 - \varphi_y/M \leq 1 - m/M$ . Hence

$$\|Ty - T\tilde{y}\| \leq \left(1 - \frac{m}{M}\right) \|y - \tilde{y}\|, \quad \beta \equiv 1 - \frac{m}{M} \in [0, 1),$$

so  $T$  is a contraction with modulus  $\beta$ . That  $T$  maps continuous functions to continuous functions is immediate from continuity of  $\varphi$ .

(b) *The theorem.*  $C([a, b])$  with the sup norm is a complete metric space, so by THEOREM 6.7  $T$  has a unique fixed point  $y^*$ . By construction

$$Ty^* = y^* \iff \frac{\varphi(y^*(x), x)}{M} = 0 \iff \varphi(y^*(x), x) = 0 \quad \text{for all } x \in [a, b],$$

which is the existence and uniqueness assertion of the Implicit Function Theorem. Differentiability follows once existence is in hand: since  $\varphi$  is continuously differentiable and  $\varphi_y \geq m > 0$ , the identity

$\varphi(y^*(x), x) = 0$  can be differentiated to give

$$\frac{dy^*(x)}{dx} = -\frac{\varphi_x(y^*(x), x)}{\varphi_y(y^*(x), x)},$$

which is continuous, so  $y^* \in C^1([a, b])$ .

*Remark.* The exercise suggests working directly in  $C^1([a, b])$ . That is the natural guess but the wrong space: with the  $C^1$  norm  $\|y\| + \|\dot{y}\|$ ,  $T$  need not be a contraction, because differentiating  $Ty$  brings in  $\varphi_x$  and the derivative  $\dot{y}$  with a coefficient that is not bounded by  $\beta$ . The clean route is the one above — contract on  $C([a, b])$ , where the sup-norm estimate is exactly the one-dimensional bound  $|1 - \varphi_y/M| \leq 1 - m/M$ , and recover continuous differentiability afterwards from the implicit relation. The uniform bound  $\varphi_y \geq m > 0$  is what makes the modulus strictly less than one, and it is the same hypothesis that makes the implicit function well defined globally on  $[a, b]$  rather than only locally.

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### Exercise 6.6

Recall

$$TV(x) = \max_{y \in G(x)} \{U(x, y) + \beta V(y)\}, \quad V \in C(X).$$

Under ASSUMPTION 6.2,  $X$  is compact,  $G$  is nonempty- and compact-valued and continuous, and  $U$  is continuous; so the maximum is attained (Weierstrass) and  $TV \in C(X)$  by Berge's Maximum Theorem. Since  $X$  is compact, every  $V \in C(X)$  is bounded, and  $C(X)$  with the sup norm is a complete metric space. We verify Blackwell's two sufficient conditions (THEOREM 6.9).

*Monotonicity.* Let  $V, W \in C(X)$  with  $V(y) \leq W(y)$  for all  $y$ . For every  $x$  and every  $y \in G(x)$ ,

$$U(x, y) + \beta V(y) \leq U(x, y) + \beta W(y) \leq TW(x),$$

the last step because  $TW(x)$  is the maximum over  $y \in G(x)$ . Taking the maximum of the left-hand side over  $y \in G(x)$  gives  $TV(x) \leq TW(x)$  for all  $x$ , that is  $TV \leq TW$ .

*Discounting.* For a constant  $c \geq 0$ ,

$$T(V + c)(x) = \max_{y \in G(x)} \{U(x, y) + \beta V(y) + \beta c\} = \left[ \max_{y \in G(x)} \{U(x, y) + \beta V(y)\} \right] + \beta c = TV(x) + \beta c,$$

because the additive constant  $\beta c$  does not affect which  $y$  attains the maximum. So  $T(V + c) \leq TV + \beta c$ , with  $\beta \in [0, 1)$  the discount factor.

Both of Blackwell's conditions hold, so by THEOREM 6.9  $T$  is a contraction on  $C(X)$  with modulus  $\beta$ , and THEOREM 6.7 then delivers the unique fixed point  $V \in C(X)$  that solves PROBLEM 6.3.

*Remark.* The proof shows that discounting does all the work: the modulus of the contraction *is* the discount factor. This is why  $\beta < 1$  is not a technical convenience but the substantive hypothesis of the whole theory — with  $\beta = 1$  the operator satisfies monotonicity but not discounting, the fixed point need not be unique or even exist, and problems like EXERCISE 6.15 have no solution at all.

**Exercise 6.10**

It is enough to exhibit one. Take the log/Cobb–Douglas optimal growth model of EXAMPLE 6.4 with full depreciation:

$$\max \sum_{t=0}^{\infty} \beta^t \log c(t) \quad \text{s.t.} \quad k(t+1) = k(t)^\alpha - c(t), \quad k(0) > 0.$$

The Euler equation (6.50) here is

$$\frac{1}{c(t)} = \beta \alpha k(t+1)^{\alpha-1} \frac{1}{c(t+1)}. \quad (*)$$

The Euler equations alone leave one degree of freedom. Let  $u(t) \equiv c(t)/k(t)^\alpha$  be the consumption share, so that  $k(t+1) = (1 - u(t))k(t)^\alpha$ . Substituting into (\*) and simplifying, the Euler equation is equivalent to the first-order difference equation

$$u(t+1) = \frac{\alpha\beta u(t)}{1 - u(t)},$$

with fixed points  $u^* = 1 - \alpha\beta$  — the familiar optimal policy,  $c = (1 - \alpha\beta)k^\alpha$  — and  $u = 0$ . The derivative of the map at  $u^*$  is  $\alpha\beta/(1 - u^*)^2 = 1/(\alpha\beta) > 1$ , so  $u^*$  is *unstable* going forward, while  $u = 0$  is stable (derivative  $\alpha\beta < 1$ ). Consequently, for any  $u(0) \neq u^*$  the resulting path satisfies *every* Euler equation, and:

- if  $u(0) > u^*$  the consumption share rises until it exceeds 1 and capital would have to be negative: the plan is infeasible after finitely many periods;
- if  $u(0) < u^*$  the path is feasible forever, but  $u(t) \rightarrow 0$  geometrically — the economy saves an ever larger fraction of output and consumption vanishes relative to output.

The second family is the answer: these plans are feasible, satisfy all the Euler equations, and are strictly suboptimal.

*They fail transversality.* The transversality condition (6.51) here is

$$\lim_{t \rightarrow \infty} \beta^t f'(k(t)) u'(c(t)) k(t) = \lim_{t \rightarrow \infty} \beta^t \frac{\alpha k(t)^\alpha}{c(t)} = \lim_{t \rightarrow \infty} \frac{\alpha\beta^t}{u(t)} = 0.$$

On the optimal path  $u(t) \equiv u^*$  and the expression is  $\alpha\beta^t/u^* \rightarrow 0$ . On an over-saving path  $u(t+1) \approx \alpha\beta u(t)$  once  $u$  is small, so  $u(t) \sim C(\alpha\beta)^t$  and

$$\frac{\alpha\beta^t}{u(t)} \sim \frac{\alpha}{C} \left(\frac{1}{\alpha}\right)^t \rightarrow \infty,$$

so transversality fails as badly as possible.

*And they are strictly worse.* With  $\alpha = 1/3$ ,  $\beta = 0.9$  and  $k(0) = 1$ , so that  $u^* = 0.7$ :

|                                      | optimal, $u(0) = 0.70$ | $u(0) = 0.60$        | $u(0) = 0.50$        |
|--------------------------------------|------------------------|----------------------|----------------------|
| value $\sum \beta^t \log c(t)$       | -8.7266                | -98.1473             | -105.2498            |
| loss relative to the optimum         | —                      | 89.42                | 96.52                |
| $\beta^t \alpha / u(t)$ at $t = 100$ | $4.3 \times 10^{-7}$   | $4.1 \times 10^{46}$ | $9.8 \times 10^{46}$ |

Figure 4 plots the consumption share and the transversality expression along one such path.

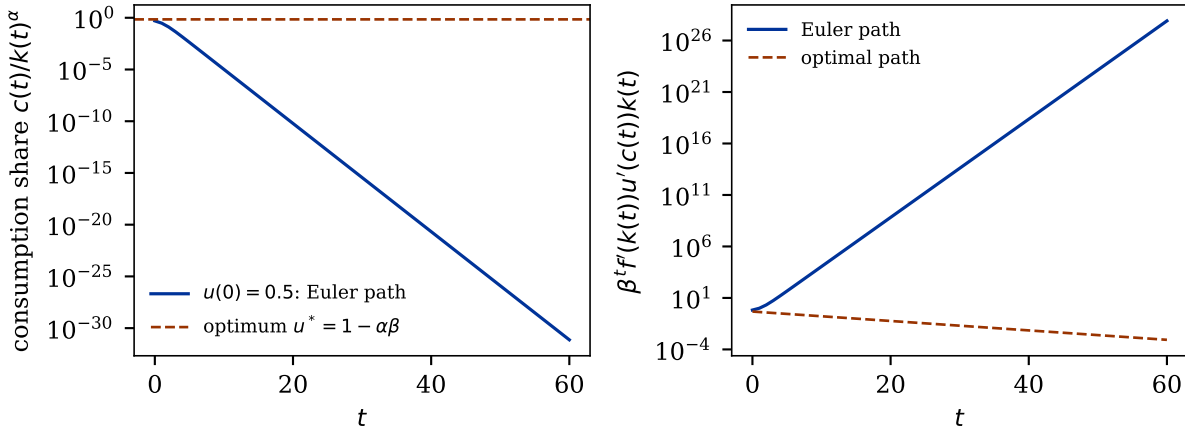


FIGURE 4. An Euler path that is not optimal. Left: the consumption share  $u(t) = c(t)/k(t)^\alpha$  drifts away from the optimal  $u^* = 1 - \alpha\beta$  and vanishes. Right: the transversality expression  $\beta^t f'(k(t)) u'(c(t)) k(t)$ , which tends to zero on the optimal path and diverges on the Euler path.

The economics is transparent: the household keeps accumulating capital it never consumes. Each Euler equation is a statement about a *local, one-period* deviation — shifting a little consumption between  $t$  and  $t+1$  cannot improve matters — and every such deviation is indeed unprofitable along these paths. What they miss is the *global* deviation of consuming a fraction of the terminal capital stock, which is what the transversality condition prices: when  $\lim \beta^t D_x U(x^*(t), x^*(t+1)) \cdot x^*(t+1) > 0$ , the plan leaves asymptotically valuable capital unconsumed, and shrinking the whole capital path by a factor  $1 - \varepsilon$  raises utility. That is exactly the perturbation used in the proof of THEOREM 6.10.

*Remark.* The instability of the Euler map is not a defect of the example but the general situation: the Euler equations form a second-order difference equation in the state, whose steady state is a saddle, so the initial condition  $k(0)$  pins down only one of the two degrees of freedom and transversality selects the saddle path. It also means that one cannot compute the optimum by iterating the Euler equation forward — even starting exactly at  $u^*$ , rounding error grows by a factor  $1/(\alpha\beta)$  per period. The accompanying program therefore imposes the optimal path exactly rather than iterating it.

### Exercise 6.11

*Shifting consumption up is always affordable.* The only constraint is the flow budget constraint

$$a(t+1) = (1 + r(t))a(t) + w(t) - c(t), \quad a(0) \text{ given.}$$

Given a path  $\{c(t)\}$  with assets  $\{a(t)\}$ , define  $c'(t) \equiv c(t) + \gamma$  and let  $\{a'(t)\}$  be generated by the same flow constraint from the same  $a(0)$ . The difference  $d(t) \equiv a'(t) - a(t)$  satisfies  $d(0) = 0$  and  $d(t+1) = (1 + r(t))d(t) - \gamma$ , so

$$d(t) = -\gamma \sum_{s=0}^{t-1} \prod_{j=s+1}^{t-1} (1 + r(j)) < 0.$$

Every equation of the flow constraint holds by construction, so  $\{c'(t)\}$  is feasible: the extra consumption is simply borrowed, and the debt is rolled over forever. With  $r(t) \geq 0$  the debt grows at least linearly, and  $a'(t) \rightarrow -\infty$ .

Hence no optimum exists. Since  $u$  is strictly increasing,

$$\sum_{t=0}^{\infty} \beta^t u(c(t) + \gamma) > \sum_{t=0}^{\infty} \beta^t u(c(t)) \quad \text{for every } \gamma > 0,$$

so no feasible path can be optimal: whatever is proposed, adding  $\gamma$  to consumption at every date is also feasible and strictly better. If in addition  $u$  is unbounded above, letting  $\gamma \rightarrow \infty$  makes the supremum  $+\infty$ ; if  $u$  is bounded above by  $\bar{u}$ , the supremum is  $\bar{u}/(1 - \beta)$  and is still not attained. Either way the maximization problem is not well posed — ASSUMPTION 6.1 fails, and with it the entire dynamic programming apparatus.

*Why market economies exclude these paths.* The path finances consumption by borrowing and never repaying: the present value of the consumer's debt does not go to zero, so in present-value terms he is consuming resources he never earns. Nobody would take the other side of that trade. Formally, the lender's own optimization imposes that the value of the loan be recovered, so equilibrium requires a *no-Ponzi-game* condition

$$\lim_{t \rightarrow \infty} \frac{a(t)}{\prod_{j=0}^{t-1} (1 + r(j))} \geq 0,$$

or, equivalently and more primitively, the *natural debt limit* (6.44): the consumer can borrow at most the present value of his future labor income, since that is all he can ever repay with nonnegative consumption. Either restriction restores a compact feasible set and a well-posed problem, and in general equilibrium the restriction is not an extra assumption at all — aggregate assets must equal the aggregate capital stock, which is finite, so debts must be backed by someone's assets.

*Remark.* This is the discrete-time counterpart of the transversality condition of EXERCISE 6.10, seen from the household's side. There the danger was accumulating capital forever and never consuming it; here it is borrowing forever and never repaying. Both are ruled out by the same kind of terminal condition, and both show that the Euler equations alone do not characterize optimal behavior in infinite horizon.

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### Exercise 6.13

Write  $q(t) \equiv \prod_{j=0}^{t-1} (1 + r(j))^{-1}$  for the price at date 0 of a unit of the good at date  $t$  (with  $q(0) = 1$ ), and let

$$W(t) \equiv \sum_{s=0}^{\infty} \left( \prod_{j=0}^s \frac{1}{1 + r(t+j)} \right) w(t+s)$$

be the present value at  $t$  of current and future labor income, so that  $\bar{W} = \max_t W(t)$ .

(a) *The natural debt limit.* Iterating the flow budget constraint forward from  $t$  and dividing by the accumulated interest factors,

$$\sum_{s=0}^T \left( \prod_{j=0}^s \frac{1}{1 + r(t+j)} \right) c(t+s) = a(t) + \sum_{s=0}^T \left( \prod_{j=0}^s \frac{1}{1 + r(t+j)} \right) w(t+s) - \left( \prod_{j=0}^T \frac{1}{1 + r(t+j)} \right) a(t+T+1).$$

The debt is repayable only if the household can make the left-hand side nonnegative for every  $T$  while letting the last term vanish. Since consumption cannot be negative, the most the household can ever dedicate to repayment is its entire future labor income; taking  $T \rightarrow \infty$  and imposing  $c \geq 0$  gives

$$a(t) \geq -\sum_{s=0}^{\infty} \left( \prod_{j=0}^s \frac{1}{1+r(t+j)} \right) w(t+s) = -W(t),$$

which is (6.44). It binds exactly when the household plans zero consumption forever, which is why it is called *natural*: it is implied by feasibility alone, not by any extra market restriction.

(b) *Bounds on assets.* The lower bound is immediate:  $a(t) \geq -W(t) \geq -\bar{W}$ . For the upper bound, work with total wealth  $\Omega(t) \equiv a(t) + W(t) \geq 0$ , which evolves as  $\Omega(t+1) = (1+r(t))(\Omega(t) - c(t))$ . So  $\Omega$  is nonincreasing as soon as the household consumes at least the interest on its wealth,

$$c(t) \geq \frac{r(t)}{1+r(t)} \Omega(t),$$

and a sufficient condition for that at the optimum is  $\beta(1+r(t)) \leq 1$  for all  $t$ : with the Euler equation (6.45),  $\beta(1+r(t+1)) \leq 1$  makes consumption nonincreasing, which (given the intertemporal budget constraint) requires consuming at least the annuity value of wealth. Under that condition  $\Omega(t) \leq \Omega(0) = a(0) + W(0) \leq a(0) + \bar{W}$ , and since  $W(t) \geq 0$ ,

$$a(t) = \Omega(t) - W(t) \leq a(0) + \bar{W}.$$

So the conditions are:  $\bar{W} < \infty$  (finite lifetime resources) and  $\beta(1+r(t)) \leq 1$  for all  $t$  (the household is at least as impatient as the market). Both are needed — EXERCISE 6.12(b) shows that with  $r > \beta^{-1} - 1$  assets grow without bound and no such  $\bar{a}$  exists.

(c) *The level of initial consumption.* The Euler equation (6.45) determines the whole path from its first element: define recursively  $c(t) = h_t(c(0))$  by  $u'(c(t)) = \beta(1+r(t+1))u'(c(t+1))$ , so each  $h_t$  is strictly increasing in  $c(0)$  because  $u'$  is strictly decreasing. The transversality condition — equivalently the no-Ponzi condition holding with equality,  $\lim_{t \rightarrow \infty} q(t)a(t) = 0$  — turns the flow constraints into the single intertemporal budget constraint

$$\sum_{t=0}^{\infty} q(t) h_t(c(0)) = a(0) + \sum_{t=0}^{\infty} q(t) w(t) \equiv \Omega(0), \quad (*)$$

which determines  $c(0)$  implicitly. The left-hand side is continuous and strictly increasing in  $c(0)$  (from 0 to  $\infty$ ), so the solution exists and is unique. Differentiating (\*),

$$\frac{\partial c(0)}{\partial a(0)} = \left[ \sum_{t=0}^{\infty} q(t) h'_t(c(0)) \right]^{-1} > 0 :$$

an increase in initial assets raises initial consumption. With CRRA utility  $h_t(c(0)) = c(0) \prod_{j=1}^t [\beta(1+r(j))]^{1/\theta}$ , so  $c(0) = \Omega(0) / \sum_t q(t) \prod_{j \leq t} [\beta(1+r(j))]^{1/\theta}$  and the derivative is the marginal propensity to consume out of wealth, a number in  $(0, 1]$ .

(d) *Retiming earnings.* Let  $\{\tilde{w}(t)\}$  satisfy  $\tilde{w}(t) > w(t)$  for  $t < T$ ,  $\tilde{w}(t) \leq w(t)$  for  $t \geq T$ , and  $\sum_t (1+r)^{-t} w(t) = \sum_t (1+r)^{-t} \tilde{w}(t)$ . Then  $\Omega(0)$  is unchanged, so by (\*) the whole consumption path  $\{c(t)\}$  — not merely  $c(0)$  — is unchanged. What changes is the asset path: with income

arriving earlier, the household saves the difference, so

$$\tilde{a}(t) - a(t) = \sum_{s < t} (1+r)^{t-s} [\tilde{w}(s) - w(s)] > 0 \quad \text{for } 0 < t \leq T,$$

and the extra assets are run down thereafter, reaching zero in present value again.

The intuition is the permanent income hypothesis in its purest form. With perfect capital markets, a complete set of borrowing and lending opportunities at the market interest rate, and no binding constraint, the household cares only about the *present value* of its earnings; the timing affects only the portfolio decision, not consumption. Two qualifications are worth noting, because they are where the result breaks in applications: if the natural debt limit (6.44) or a tighter borrowing constraint binds, a shift of income toward the present relaxes it and does raise consumption; and if the interest rate at which the household can borrow exceeds that at which it can lend, the equivalence fails as well. Here neither applies — the change makes the household unambiguously less constrained early on.

### Exercise 6.14

*Conditions.* The natural hypotheses are the stationary ones imposed *uniformly in t*:

- (1)  $X \subset \mathbb{R}^K$  is compact, and for every  $t$ ,  $G(t, \cdot)$  is nonempty-valued, compact-valued and continuous, with the graph  $X_G(t) = \{(x, y) : y \in G(t, x)\}$  closed;
- (2)  $U(t, \cdot, \cdot)$  is continuous on  $X_G(t)$  for each  $t$ , and *uniformly bounded*, in the sense that  $\bar{U} \equiv \sup_t \sup_{(x, y) \in X_G(t)} |U(t, x, y)|$  is finite;
- (3)  $\beta \in [0, 1)$ .

Let  $C(\mathbb{Z}_+ \times X)$  be the space of functions  $V(t, x)$ , continuous in  $x$  for each  $t$  and bounded, with the sup norm  $\|V\| = \sup_{t, x} |V(t, x)|$ . This is a complete metric space.

*T is a well-defined self-map.* For each  $(t, x)$  the maximand is continuous in  $y$  on the compact set  $G(t, x)$ , so the maximum is attained (Weierstrass); by Berge's Maximum Theorem  $TV(t, \cdot)$  is continuous; and  $\|TV\| \leq \bar{U} + \beta\|V\| < \infty$ , so  $TV \in C(\mathbb{Z}_+ \times X)$ . Uniform boundedness of  $U$  is exactly what is needed here — without it the sup norm over all  $t$  is infinite and the space is not the right one.

*T is a contraction.* Blackwell's conditions hold verbatim as in Exercise 6.6, because  $t$  is carried along as a parameter: if  $V \leq W$  pointwise then  $TV \leq TW$ ; and  $T(V + c)(t, x) = TV(t, x) + \beta c$  for any constant  $c$ . By THEOREM 6.9,  $T$  is a contraction of modulus  $\beta$ , so by THEOREM 6.7 it has a unique fixed point  $V \in C(\mathbb{Z}_+ \times X)$ , the value function of the nonstationary problem.

*The equivalents of THEOREMS 6.2–6.6.* Write  $\Phi(t, x)$  for the set of feasible plans from state  $x$  at date  $t$ , and  $V^*(t, x)$  for the supremum of  $\sum_{s \geq t} \beta^{s-t} U(s, x(s), x(s+1))$ .

- *Principle of optimality (6.2).*  $V^*(t, x^*(t)) = U(t, x^*(t), x^*(t+1)) + \beta V^*(t+1, x^*(t+1))$  for an optimal plan, and any feasible plan satisfying this relation at every  $t$  attains  $V^*(t, x)$ . The proof is the stationary one with the date carried along: truncate the plan at  $n$ , use uniform boundedness to control the tail by  $\bar{U}\beta^{n+1}/(1-\beta)$ , and pass to the limit.

- *Existence (6.3)*. The fixed point  $V$  exists and is unique by the contraction argument above, and  $V = V^*$ ; the maximum in the Bellman equation is attained, which defines a (possibly set-valued) optimal policy  $\pi(t, x)$ . Equivalently one can argue directly on the sequence problem:  $\Phi(t, x)$  is compact in the product topology (Tychonoff), the objective is continuous, and Weierstrass applies.
- *Concavity (6.4)*. If in addition  $U(t, \cdot, \cdot)$  is concave and  $G(t, \cdot)$  has convex graph for each  $t$ , then  $V(t, \cdot)$  is concave for each  $t$ . Proof: the set of  $V$  that are concave in  $x$  for every  $t$  is a closed subset of  $C(\mathbb{Z}_+ \times X)$ , and  $T$  maps it into the (smaller) set of functions strictly concave in  $x$  when  $U$  is strictly concave; apply THEOREM 6.8(2).
- *Monotonicity (6.5)*. If  $U(t, \cdot, y)$  is strictly increasing and  $G(t, \cdot)$  is monotone for each  $t$ , the same closed-subset argument gives  $V(t, \cdot)$  strictly increasing.
- *Differentiability (6.6)*. If  $U(t, \cdot, \cdot)$  is continuously differentiable and the optimal policy is interior,  $x \in \text{Int } X$  and  $\pi(t, x) \in \text{Int } G(t, x)$ , then  $V(t, \cdot)$  is differentiable at  $x$  with  $D_x V(t, x) = D_x U(t, x, \pi(t, x))$ . The Benveniste–Scheinkman argument is unchanged:  $W(z) \equiv U(t, z, \pi(t, x)) + \beta V(t+1, \pi(t, x))$  is differentiable, lies below  $V(t, \cdot)$ , and touches it at  $x$ .

*Remark.* The one substantive difference from the stationary theory is uniformity. Continuity and boundedness must hold uniformly in  $t$ , since otherwise  $C(\mathbb{Z}_+ \times X)$  with the sup norm is not the relevant space and the contraction modulus is not  $\beta$ . Economically this rules out problems in which the environment deteriorates or improves without bound — for instance a wage sequence that diverges, which is precisely why EXAMPLE 6.5 needs  $\bar{W} < \infty$ . The book’s own treatment in Section 6.7 proves the analogous results by working directly with the sequence problem; the contraction route above is shorter but buys that brevity with the uniform bounds.

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### Exercise 6.15

Note two features: there is no discounting ( $\beta = 1$ ) and no production, so the problem is to divide a fixed cake  $k(0)$  among infinitely many dates. Feasibility requires  $c(t) \geq 0$  and  $\sum_{t=0}^{\infty} c(t) \leq k(0)$ . Normalize  $u(0) = 0$ ; this is without loss, since if  $u(0) > 0$  then every plan that consumes nothing in infinitely many periods already has value  $+\infty$  and the problem is ill posed for a still cruder reason, while if  $u(0) < 0$  the same is true with  $-\infty$ .

*The supremum is not attained.* Consider the plans

$$c_n(t) = \begin{cases} k(0)/n, & t = 0, \dots, n-1, \\ 0, & t \geq n, \end{cases}$$

which are feasible and give value  $V_n = n u(k(0)/n)$ . Because  $u$  is strictly concave with  $u(0) = 0$ , the ratio  $u(c)/c$  is strictly decreasing in  $c$ , so

$$V_n = k(0) \cdot \frac{u(k(0)/n)}{k(0)/n}$$

is strictly increasing in  $n$ , with

$$\lim_{n \rightarrow \infty} V_n = k(0) \cdot \lim_{c \downarrow 0} \frac{u(c)}{c} = k(0) u'(0^+) \in (0, \infty].$$



On the other hand every feasible plan satisfies, again by strict concavity and  $u(0) = 0$ ,

$$\sum_t u(c(t)) < u'(0^+) \sum_t c(t) \leq u'(0^+)k(0)$$

whenever  $u'(0^+) < \infty$  and some  $c(t) > 0$ . So the supremum equals  $u'(0^+)k(0)$  and is approached by the sequence  $\{c_n\}$  but attained by no feasible plan: any candidate can be improved by splitting its consumption into more, smaller pieces. If  $u'(0^+) = \infty$  the same computation shows the supremum is  $+\infty$ , and again no plan attains it. In both cases there is no solution.

*Why.* Without discounting there is no cost to postponing consumption, while strict concavity means that the *average* utility per unit consumed,  $u(c)/c$ , rises as the portions shrink. Spreading the cake ever more thinly over ever more dates therefore always raises total utility, and the “optimum” would be to consume infinitesimal amounts forever — which is not a feasible plan. In the language of the chapter, ASSUMPTION 6.1 fails: with  $\beta = 1$  the limit  $\lim_n \sum_{t=0}^n U(x(t), x(t+1))$  need not behave well, the objective is not continuous in the product topology (the tail of a plan matters in the limit), and the Bellman operator satisfies Blackwell’s monotonicity but not the discounting condition of Exercise 6.6, so it is not a contraction. Boundedness of  $u$  does not rescue matters — it makes the supremum finite when  $u'(0^+) < \infty$ , but attainment is what fails.

*Remark.* The example isolates discounting as the substantive assumption. Economists sometimes treat  $\beta < 1$  as a mere technical device; here it is what makes the problem have a solution at all. When one does want to study undiscounted problems — the golden rule, or the Ramsey problem with  $\beta = 1$  — the optimality criterion itself has to be weakened, to overtaking or catching-up criteria, as the footnote to ASSUMPTION 6.1 notes.

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### Exercise 6.16

(a) *Recursive formulation.* With  $k$  the state and next period’s capital  $k'$  the control,

$$V(k) = \max_{k' \in G(k)} \{u(f(k) - k') + \beta V(k')\}, \quad G(k) = [0, f(k)].$$

As in Exercise 6.1, the state can be confined to the compact interval  $[0, \bar{k}]$ , where  $\bar{k}$  solves  $f(\bar{k}) = \bar{k}$  (full depreciation makes the maximum sustainable stock the fixed point of  $f$ ) and  $\bar{k} = f(\max\{k(0), \bar{k}\})$ .

(b) *Existence, uniqueness and shape.* The problem satisfies ASSUMPTIONS 6.1–6.4 by the argument of Exercise 6.1, with  $g(k) = f(k)$ . Hence:

- THEOREM 6.3 gives a unique continuous bounded  $V$  solving the Bellman equation, and an optimal plan exists;
- THEOREM 6.4 gives strict concavity of  $V$ , since  $U(k, k') = u(f(k) - k')$  satisfies ASSUMPTION 6.3;
- COROLLARY 6.1 then gives a *unique* optimal plan, generated by a continuous policy function  $k' = \pi(k)$ , equivalently  $c = \pi_c(k) = f(k) - \pi(k)$ ;
- THEOREM 6.5 gives that  $V$  is strictly increasing.

That  $\pi$  is nondecreasing follows from the revealed-preference argument used for PROPOSITION 6.1: if  $k' > k$  but  $\pi(k) > \pi(k')$ , adding the two optimality inequalities gives

$$u(z - \pi(k')) - u(z - \pi(k)) \leq u(z' - \pi(k')) - u(z' - \pi(k)), \quad z \equiv f(k) < z' \equiv f(k'),$$

which contradicts strict concavity of  $u$ , since the two consumption differences are equal in size but taken at strictly higher levels on the right. Monotonicity of the consumption function follows from the Euler equation as in Exercise 6.17.

(c) *Differentiability.* THEOREM 6.6 gives differentiability of  $V$  at any  $k$  such that  $u$  and  $f$  are continuously differentiable near the relevant point (ASSUMPTION 6.5) and the optimal policy is interior,  $\pi(k) \in \text{Int } G(k)$ , that is  $0 < \pi(k) < f(k)$  — equivalently both consumption and investment are strictly positive. Interiority is guaranteed if  $u$  and  $f$  satisfy Inada conditions ( $u'(0) = \infty$  rules out  $c = 0$ ;  $f'(0) = \infty$  rules out  $k' = 0$ ). Then

$$V'(k) = \frac{\partial U(k, \pi(k))}{\partial k} = f'(k) u'(f(k) - \pi(k)).$$

Without differentiability of  $u$  (or at corner solutions)  $V$  can have kinks, though it always has left and right derivatives by concavity.

(d) *The Euler equation.* The first-order condition of the Bellman problem is  $u'(c) = \beta V'(k')$ , and the envelope condition just derived is  $V'(k) = f'(k) u'(c)$ . Combining, with  $c(t) = f(k(t)) - k(t+1)$ ,

$$\boxed{u'(c(t)) = \beta f'(k(t+1)) u'(c(t+1))}$$

the familiar condition that the marginal utility given up today equals the discounted marginal utility gained tomorrow, multiplied by the marginal product of the capital carried forward.

(e) *Is it enough?* No. Substituting  $c(t) = f(k(t)) - k(t+1)$ , the Euler equation is a *second order* difference equation in  $\{k(t)\}$ ,

$$u'(f(k(t)) - k(t+1)) = \beta f'(k(t+1)) u'(f(k(t+1)) - k(t+2)),$$

so the initial condition  $k(0)$  leaves a one-parameter family of solutions, as EXERCISE 6.10 shows explicitly. The missing condition is the transversality condition

$$\lim_{t \rightarrow \infty} \beta^t f'(k(t)) u'(c(t)) k(t) = 0,$$

which by THEOREM 6.10 is necessary and sufficient, together with the Euler equations, for optimality of an interior plan. Intuitively it says that the present value of the capital stock left over at the end of time must be zero: capital is worth holding only for the consumption it eventually delivers, so a plan that keeps accumulating capital of positive present value forever is wasting resources. It is the infinite-horizon analogue of the terminal condition  $k(T+1) = 0$  in a finite-horizon problem — one would never end a finite life with capital left in the ground.

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### Exercise 6.17

*The consumption function is nondecreasing.* By PROPOSITION 6.1 the policy function  $s(k)$  — the capital carried into the next period — is nondecreasing, and by PROPOSITION 6.2 the value function  $V$  is differentiable; it is strictly concave by THEOREM 6.4, so  $V'$  is strictly decreasing. The

first-order condition of the recursive problem (6.48) is

$$u'(c(k)) = \beta V'(s(k)).$$

Take  $k' > k$ . Then  $s(k') \geq s(k)$ , so  $V'(s(k')) \leq V'(s(k))$ , and therefore

$$u'(c(k')) = \beta V'(s(k')) \leq \beta V'(s(k)) = u'(c(k)).$$

Since  $u$  is strictly concave,  $u'$  is strictly decreasing, and the inequality inverts:  $c(k') \geq c(k)$ . Hence  $c(\cdot)$  is nondecreasing, as claimed.

*Monotone convergence of consumption.* Suppose  $k(0) < k^*$ . By PROPOSITION 6.3 the capital stock increases monotonically to the steady state,  $k(t) \uparrow k^*$ . Composing with the nondecreasing and continuous function  $c(\cdot)$ ,

$$c(t) = c(k(t)) \text{ is nondecreasing, and } c(t) \rightarrow c(k^*)$$

by continuity of  $c(\cdot)$  (COROLLARY 6.1). The limit is the steady-state consumption level: at  $k^*$  the resource constraint with  $k(t+1) = k(t) = k^*$  gives

$$c^* = f(k^*) + (1 - \delta)k^* - k^* = f(k^*) - \delta k^*.$$

Thus  $c(t) \uparrow c^*$ . If instead  $k(0) > k^*$ , PROPOSITION 6.3 gives  $k(t) \downarrow k^*$  and the same argument gives  $c(t) \downarrow c^*$ .

*Remark.* The result is worth contrasting with the Solow model. There the saving rate is constant, so consumption is a fixed fraction of output and inherits its monotonicity mechanically. Here the saving rate is chosen, and could in principle move in either direction; what pins the sign down is the combination of two facts — the economy accumulates capital monotonically, and the marginal value of capital falls as capital rises. Note also what is *not* claimed: the saving *rate* need not be monotone along the transition, and generally is not.

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### Exercise 6.19

Suppose, to get a contradiction, that there are arbitrarily small  $\varepsilon > 0$  with  $s(\varepsilon) \leq \varepsilon$ . Along the optimal path starting from  $k = \varepsilon$ , the Euler equation (6.50) holds:

$$u'(c(\varepsilon)) = \beta \left[ f'(s(\varepsilon)) + 1 - \delta \right] u'(c(s(\varepsilon))).$$

By PROPOSITION 6.4 (Exercise 6.17) the consumption function is nondecreasing, so  $s(\varepsilon) \leq \varepsilon$  implies  $c(s(\varepsilon)) \leq c(\varepsilon)$  and hence  $u'(c(s(\varepsilon))) \geq u'(c(\varepsilon)) > 0$ , because  $u'$  is decreasing. Dividing the Euler equation by  $u'(c(\varepsilon))$ ,

$$1 = \beta \left[ f'(s(\varepsilon)) + 1 - \delta \right] \frac{u'(c(s(\varepsilon)))}{u'(c(\varepsilon))} \geq \beta \left[ f'(s(\varepsilon)) + 1 - \delta \right],$$

that is

$$f'(s(\varepsilon)) \leq \frac{1}{\beta} - 1 + \delta < \infty.$$

But  $0 < s(\varepsilon) \leq \varepsilon$ , so letting  $\varepsilon \rightarrow 0$  forces  $s(\varepsilon) \rightarrow 0$ , and Assumption 2 (the Inada condition  $\lim_{k \rightarrow 0} f'(k) = \infty$ ) gives  $f'(s(\varepsilon)) \rightarrow \infty$  — contradicting the bound just derived. Hence for all sufficiently small  $\varepsilon$  we must have  $s(\varepsilon) > \varepsilon$ .

*Intuition.* Near zero the marginal product of capital is arbitrarily large, so an extra unit of saving returns arbitrarily much tomorrow. A household with a finite rate of time preference — the right-hand side  $\beta^{-1} - 1 + \delta$  is a fixed, finite number, the effective required return — will always take that trade: at very low capital the return to accumulation exceeds the required return by an unbounded margin. Thus the economy cannot optimally run its capital stock down toward zero, and  $k = 0$ , though a rest point of the resource constraint, is never approached from a positive initial stock. This is precisely what the proof of PROPOSITION 6.3 needs to conclude that the monotone sequence  $\{k(t)\}$  converges to the *positive* steady state  $k^*$  rather than to zero.

### Exercise 6.20

The claims of PROPOSITION 6.1 are: there exist a unique value function  $V$  and consumption function  $c(k)$ , with  $s(k) = f(k) + (1 - \delta)k - c(k)$ ;  $V$  is strictly increasing and strictly concave; and  $s(k)$  is nondecreasing. Assume  $u$  is continuous, strictly increasing and strictly concave, but *not* necessarily differentiable, and let  $f$  satisfy Assumptions 1 and 2.

*Step 1: the dynamic programming assumptions still hold.* Exercise 6.1 verified ASSUMPTIONS 6.1–6.4 using only continuity, monotonicity and strict concavity of  $u$  together with concavity and monotonicity of  $f$ ; differentiability entered only in ASSUMPTION 6.5. So ASSUMPTIONS 6.1–6.4 hold as before, while ASSUMPTION 6.5 is dropped.

*Step 2: existence, uniqueness, concavity, monotonicity.* THEOREMS 6.3, 6.4 and 6.5 and COROLLARY 6.1 require only ASSUMPTIONS 6.1–6.4. They give, in order: a unique continuous bounded  $V$  solving the Bellman equation (6.48), with an optimal plan existing;  $V$  strictly concave;  $V$  strictly increasing; and a unique optimal plan generated by a continuous policy function. None of these arguments differentiates anything: the contraction argument uses Blackwell's conditions (Exercise 6.6), and strict concavity is obtained from THEOREM 6.8(2), by showing that  $T$  maps the closed set of weakly concave functions into the set of strictly concave ones.

*Step 3:  $s(k)$  is nondecreasing.* This is the only part of PROPOSITION 6.1 whose proof might seem to need calculus, and it does not: the book's argument is a revealed-preference argument. Suppose  $k' > k$  but  $s(k) > s(k')$ . Both  $s(k)$  and  $s(k')$  are feasible at both states, since  $f(k) + (1 - \delta)k < f(k') + (1 - \delta)k'$  and  $s(k') < s(k)$ . Optimality at  $k$  and at  $k'$  gives

$$\begin{aligned} u(z - s(k)) + \beta V(s(k)) &\geq u(z - s(k')) + \beta V(s(k')), \\ u(z' - s(k')) + \beta V(s(k')) &\geq u(z' - s(k)) + \beta V(s(k)), \end{aligned}$$

with  $z \equiv f(k) + (1 - \delta)k < z' \equiv f(k') + (1 - \delta)k'$ . Adding and rearranging eliminates  $V$ :

$$u(z - s(k')) - u(z - s(k)) \leq u(z' - s(k')) - u(z' - s(k)).$$

But the two consumption increments are equal,  $(z - s(k')) - (z - s(k)) = (z' - s(k')) - (z' - s(k)) = s(k) - s(k') > 0$ , while the right-hand pair is evaluated at strictly higher consumption levels ( $z' > z$ ). Strict concavity of  $u$  makes equal increments worth strictly less at higher levels, so the right-hand side is *strictly smaller* than the left — a contradiction. Hence  $s(k)$  is nondecreasing.

This completes the proof of PROPOSITION 6.1 using only continuity, monotonicity and strict concavity.

*Remark.* What is genuinely lost without differentiability is PROPOSITION 6.2 — that  $V$  is differentiable — and with it the Euler equation (6.50) in its classical form. Concavity still gives  $V$  left and right derivatives everywhere, and the first-order condition becomes the inclusion  $u'_-(c) \geq \beta V'_+(s)$  and  $u'_+(c) \leq \beta V'_-(s)$ , or in the language of convex analysis,  $0 \in \partial[u(z - s) + \beta V(s)]$  with  $\partial$  the superdifferential. All the qualitative conclusions of Sections 6.8 — uniqueness of the steady state, monotone convergence — survive, because they rest on the monotonicity of  $s(\cdot)$  established above rather than on calculus.

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### Exercise 6.21

*The two problems generate the same difference equations.* In the competitive equilibrium, firms hire capital and labor competitively, so

$$R(t) = f'(k(t)), \quad 1 + r(t+1) = f'(k(t)) + 1 - \delta, \quad w(t) = f(k(t)) - k(t)f'(k(t)),$$

and asset market clearing requires  $a(t) = k(t)$ . Substituting the factor prices into the household's flow budget constraint (6.54),

$$a(t+1) = (1 + r(t))a(t) + w(t) - c(t) = k(t) + [f'(k(t)) - \delta]k(t) + f(k(t)) - k(t)f'(k(t)) - c(t),$$

that is

$$k(t+1) = f(k(t)) + (1 - \delta)k(t) - c(t),$$

which is exactly the resource constraint (6.47) of the optimal growth problem. Substituting the same factor prices into the household's Euler equation (6.55) gives (6.56),

$$u'(c(t)) = \beta [f'(k(t+1)) + 1 - \delta] u'(c(t+1)),$$

which is identical to the planner's Euler equation (6.50). The two problems also share the initial condition  $k(0)$ , and the household's no-Ponzi condition with  $a(t) = k(t)$ ,  $\lim_{t \rightarrow \infty} \beta^t u'(c(t))k(t+1) = 0$ , is the planner's transversality condition (6.51).

*Uniqueness closes the argument.* By THEOREM 6.10, for this problem the Euler equations together with the transversality condition are necessary *and* sufficient for optimality, and by COROLLARY 6.1 — the objective being strictly concave and the constraint set convex — the optimal plan is unique. So there is exactly one sequence  $\{k(t), c(t)\}$  satisfying (i) the resource constraint, (ii) the Euler equation, (iii)  $k(0)$  given, and (iv) transversality. The competitive equilibrium path satisfies all four, and so does the optimal growth path; therefore they coincide.

*Both directions.* The argument above takes an equilibrium and shows it solves the planner's problem. The converse is equally immediate: given the optimal path  $\{k(t), c(t)\}$ , define prices by the marginal product conditions above and set  $a(t) = k(t)$ . Then firms maximize profits by construction (they take prices as given and earn zero profits, by Euler's Theorem and constant returns), the household's budget constraint holds at every date by the computation above, its Euler equation is the planner's, and its transversality condition holds. Hence the optimal allocation, supported by these prices, is a competitive equilibrium.

*Remark.* This is the First and Second Welfare Theorems of Chapter 5 in action, made concrete: the equivalence holds because there are no externalities, no distortions and no missing markets, and because the natural debt limit rules out the Ponzi schemes of EXERCISE 6.11. The practical payoff is large — it is why one

may compute equilibria of the neoclassical growth model by solving a single planner's dynamic programming problem, a device used throughout the rest of the book. It is also worth noting where it stops: as soon as Chapter 11 onward introduces externalities or monopolistic competition, the planner's and the equilibrium paths separate, and this shortcut is no longer available.

## Chapter 7

# An Introduction to the Theory of Optimal Control

The sixteen exercises of Chapter 7 left unsolved in the instructor's manual: Exercises 7.3, 7.4, 7.6–7.9, 7.11–7.16, 7.20, 7.22, 7.27 and 7.29. The manual solves 7.1, 7.2, 7.5, 7.10, 7.17–7.19, 7.21, 7.23–7.26 and 7.28. Notation follows the book:  $x$  is the state,  $y$  the control,  $\lambda$  the costate,  $H(t, x, y, \lambda) = f + \lambda g$  the Hamiltonian (7.16),  $M(t, x, \lambda) = \max_y H$  the maximized Hamiltonian (7.20), and  $\hat{H} = e^{\rho t} H$  the current-value Hamiltonian with costate  $\mu = e^{\rho t} \lambda$ . The numerical part is computed by `code/ch7.py`.

### Exercise 7.3

Put the problem in control form by treating the derivative as the control: set

$$y(t) \equiv \dot{x}(t), \quad f(t, x, y) \equiv F(t, x, y), \quad g(t, x, y) \equiv y,$$

so the state equation  $\dot{x} = g(t, x, y) = y$  holds by definition and the problem is exactly the one covered by THEOREM 7.2. The Hamiltonian (7.16) is

$$H(t, x, y, \lambda) = F(t, x, y) + \lambda(t)y.$$

THEOREM 7.2 gives a continuously differentiable costate  $\lambda$  with, for all  $t \in [0, t_1]$ ,

$$H_y = 0 : \quad \frac{\partial F(t, x, \dot{x})}{\partial \dot{x}} + \lambda(t) = 0, \tag{*}$$

$$\dot{\lambda} = -H_x : \quad \dot{\lambda}(t) = -\frac{\partial F(t, x, \dot{x})}{\partial x}. \tag{**}$$

From (\*),  $\lambda(t) = -F_{\dot{x}}(t, x(t), \dot{x}(t))$ , which is differentiable in  $t$  along the (continuously differentiable) solution. Differentiating and substituting into (\*\*),

$$-\frac{d}{dt} \left[ \frac{\partial F(t, x(t), \dot{x}(t))}{\partial \dot{x}} \right] = -\frac{\partial F(t, x(t), \dot{x}(t))}{\partial x},$$

that is,

$$\boxed{\frac{\partial F(t, x(t), \dot{x}(t))}{\partial x} - \frac{d}{dt} \left[ \frac{\partial F(t, x(t), \dot{x}(t))}{\partial \dot{x}} \right] = 0}$$

which is the Euler–Lagrange equation. The costate has a clean reading here:  $\lambda(t) = -F_{\dot{x}}$  is (minus) the marginal value of the rate of change of the state, and the Euler–Lagrange equation is the statement that its rate of change must equal the marginal value of the state itself.

*Remark.* The book writes the last term as  $\partial^2 F / \partial \dot{x} \partial t$ . That notation is correct only if the symbol is read as the *total* derivative along the solution path,

$$\frac{d}{dt} F_{\dot{x}} = F_{\dot{x}t} + F_{\dot{x}x} \dot{x}(t) + F_{\dot{x}\dot{x}} \ddot{x}(t),$$

and not as the partial derivative of  $F_{\dot{x}}$  with respect to its explicit time argument, which would drop the last two terms. It is the total derivative that the variational argument produces, as (\*) and (\*\*) show.

**Exercise 7.4**

Here  $F(t, x, \dot{x}) = -\sqrt{1 + \dot{x}^2}$ , which does not depend on  $x$  or on  $t$  explicitly, so

$$F_x = 0, \quad F_{\dot{x}} = -\frac{\dot{x}}{\sqrt{1 + \dot{x}^2}}.$$

The Euler–Lagrange equation of Exercise 7.3,  $F_x - \frac{d}{dt}F_{\dot{x}} = 0$ , therefore reduces to

$$\frac{d}{dt} \left[ \frac{x'(t)}{\sqrt{1 + (x'(t))^2}} \right] = 0.$$

(The same conclusion follows from the general fact that when  $F$  does not depend on  $x$ , the costate is constant:  $\dot{\lambda} = -F_x = 0$  and  $\lambda = -F_{\dot{x}}.$ )

Carrying out the differentiation,

$$\frac{d}{dt} \left[ x'(1 + (x')^2)^{-1/2} \right] = x''(1 + (x')^2)^{-1/2} - x' \cdot x'x''(1 + (x')^2)^{-3/2} = \frac{x''(t)}{(1 + (x'(t))^2)^{3/2}}.$$

Since  $(1 + (x')^2)^{3/2} > 0$  always, the Euler–Lagrange equation holds if and only if

$$x''(t) = 0 \quad \text{for all } t,$$

so  $x(t) = a + bt$ : the extremal is a straight line, and the constants are pinned down by the endpoints,  $b = (u_1 - u_0)/(z_1 - z_0)$  and  $a = u_0$  after the normalization  $(z_0, u_0) = (0, 0)$ .

Finally, the extremal really is the minimizer of length rather than merely a stationary point:  $F$  does not depend on  $x$  at all, so the maximized Hamiltonian  $M(t, x, \lambda)$  is constant — in particular concave — in  $x$ , and THEOREM 7.6 applies, giving a global maximum of  $-\int \sqrt{1 + (x')^2}$ , that is a global minimum of arc length. Equivalently,  $p \mapsto -\sqrt{1 + p^2}$  is strictly concave, so the stationary path is the unique minimizer.

*Remark.* The expression printed in the book,  $d[x'(t)(1 + (x'(t))^2)]/dt = 0$ , has the bracket raised to the power +1; the derivative of  $-\sqrt{1 + \dot{x}^2}$  gives the power  $-1/2$ , as above. The conclusion  $x'' = 0$  is unaffected — indeed the misprinted expression also implies  $x'' = 0$ , since  $\frac{d}{dt}[x'(1 + (x')^2)] = x''(1 + 3(x')^2)$  and  $1 + 3(x')^2 > 0$  — but only the form with the power  $-1/2$  is the Euler–Lagrange equation of this problem.

**Exercise 7.6**

*Setting.* The problem is  $\max \int_0^1 e^{-\rho t} u(c) dt$  subject to  $\dot{a} = ra + w - c$ ,  $a(t) \geq 0$ ,  $a(0) > 0$  given, and — as the book argues —  $a(1) = 0$ . THEOREM 7.2 gives the costate equation and the first-order condition

$$e^{-\rho t} u'(c(t)) = \lambda(t), \quad \dot{\lambda}(t) = -r\lambda(t) \implies \lambda(t) = \lambda(0)e^{-rt},$$

so that consumption satisfies

$$u'(c(t)) = u'(c(0))e^{(\rho-r)t}. \quad (*)$$

Integrating the flow constraint with  $a(1) = 0$  gives the intertemporal budget constraint

$$\int_0^1 e^{-rt} c(t) dt = a(0) + \int_0^1 e^{-rt} w dt = a(0) + \frac{w(1 - e^{-r})}{r} \equiv \Omega. \quad (**)$$



(a) *Initial consumption.* Equation (\*) writes every  $c(t)$  as an increasing function of  $c(0)$ :  $c(t) = h_t(c(0))$  with  $h_t \equiv (u')^{-1}[u'(c(0))e^{(\rho-r)t}]$ , increasing because  $u'$  is strictly decreasing. Substituting into (\*\*),

$$\int_0^1 e^{-rt} h_t(c(0)) dt = \Omega,$$

whose left-hand side is continuous and strictly increasing in  $c(0)$ , from 0 to  $\infty$ :  $c(0)$  is uniquely determined. With the CRRA specification  $u(c) = c^{1-\theta}/(1-\theta)$  this can be solved in closed form. Then (\*) gives  $c(t) = c(0)e^{(r-\rho)t/\theta}$ , and (\*\*) gives

$$c(0) \int_0^1 e^{-\zeta t} dt = \Omega, \quad \zeta \equiv r - \frac{r-\rho}{\theta},$$

so that

$$c(0) = \frac{\zeta}{1-e^{-\zeta}} \left[ a(0) + \frac{w(1-e^{-r})}{r} \right]$$

(with  $c(0) = \Omega$  in the knife-edge case  $\zeta = 0$ ). For log utility ( $\theta = 1$ ),  $\zeta = \rho$  and  $c(0) = \rho\Omega/(1-e^{-\rho})$ .

(b) *A rise in initial assets.* Differentiating,

$$\frac{\partial c(0)}{\partial a(0)} = \frac{\zeta}{1-e^{-\zeta}} > 0,$$

and since  $c(t) = c(0)e^{(r-\rho)t/\theta}$  with the growth rate independent of wealth, the *entire* consumption path shifts up by the same proportional factor: preferences are homothetic, so wealth effects are neutral across dates. The slope of the path,  $(r-\rho)/\theta$ , is unchanged — consumption grows if  $r > \rho$  and falls if  $r < \rho$ , whatever the level of assets. (For general  $u$  the same argument gives  $\partial c(0)/\partial a(0) = [\int_0^1 e^{-rt} h'_t dt]^{-1} > 0$ , though the path need no longer scale proportionally unless  $u$  is CRRA.)

(c) *A time-varying earnings profile.* Replacing  $w$  by  $[w(t)]_{t=0}^1$  changes *only* the constant  $\Omega$ , which becomes  $a(0) + \int_0^1 e^{-rt} w(t) dt$ : the Euler equation (\*) is untouched, because labor income does not enter the first-order conditions. Hence

- if the present value of earnings is unchanged, the consumption path is exactly unchanged — only the asset path moves, the household saving when income arrives early and borrowing when it arrives late;
- if the present value rises, the whole path shifts up proportionally, as in part (b).

This is the permanent income logic: with a perfect capital market the timing of income is irrelevant, only its present value matters.

The qualification matters here, though, because EXAMPLE 7.1 imposes  $a(t) \geq 0$ : the household cannot borrow at all. If the earnings profile is back-loaded enough that the unconstrained solution would require  $a(t) < 0$  on some interval, the constraint binds there. On such an interval the household simply consumes its income,  $c(t) = w(t)$  and  $a(t) = 0$ , and the Euler equation holds with an inequality ( $e^{-\rho t} u'(c(t)) \geq \lambda(t)$ , the multiplier on  $a \geq 0$  being positive). In that case the timing of income *does* affect consumption, and a shift of income toward the present raises welfare even holding its present value fixed.

**Exercise 7.7**

Let  $x_1, x_2$  be in the (convex) domain,  $\alpha \in (0, 1)$ , and let  $y_1, y_2$  attain the maxima defining  $M(x_1)$  and  $M(x_2)$ . Then  $(\alpha x_1 + (1 - \alpha)x_2, \alpha y_1 + (1 - \alpha)y_2)$  is a feasible pair, so

$$M(\alpha x_1 + (1 - \alpha)x_2) \geq \varphi(\alpha x_1 + (1 - \alpha)x_2, \alpha y_1 + (1 - \alpha)y_2) \geq \alpha \varphi(x_1, y_1) + (1 - \alpha)\varphi(x_2, y_2),$$

and the right-hand side is  $\alpha M(x_1) + (1 - \alpha)M(x_2)$ : the first inequality holds because  $M$  is a maximum and the second by joint concavity of  $\varphi$ . Hence  $M$  is concave.

If  $\varphi$  is *strictly* jointly concave and  $x_1 \neq x_2$ , the second inequality is strict — strict concavity applies because the two points  $(x_1, y_1)$  and  $(x_2, y_2)$  differ (their first coordinates do) — and therefore  $M$  is strictly concave.

If the maximum is not attained, the same argument runs with  $\varepsilon$ -maximizers: choose  $y_i$  with  $\varphi(x_i, y_i) \geq M(x_i) - \varepsilon$ , conclude  $M(\alpha x_1 + (1 - \alpha)x_2) \geq \alpha M(x_1) + (1 - \alpha)M(x_2) - \varepsilon$ , and let  $\varepsilon \rightarrow 0$ .

*Remark.* This little lemma is what makes Arrow's sufficiency conditions usable. THEOREMS 7.6 and 7.8 require concavity of the *maximized* Hamiltonian  $M(t, x, \lambda)$  in  $x$ , which is not an assumption one can check directly; the lemma reduces it to joint concavity of  $H(t, x, y, \lambda)$  in  $(x, y)$ , which is usually immediate from concavity of  $f$  and linearity or concavity of  $g$  — provided  $\lambda(t) \geq 0$ , since  $H = f + \lambda g$  inherits concavity from  $g$  only when the multiplier is nonnegative.

**Exercise 7.8**

*Claim.* Consider  $\max \int_0^{t_1} f(t, x, y) dt$  subject to  $\dot{x} = g(t, x, y)$ ,  $x(0) = x_0$  and  $x(t_1) = x_1$ , with  $f, g$  continuously differentiable. Suppose the admissible pair  $(\hat{x}, \hat{y})$  satisfies the necessary conditions of THEOREM 7.2:  $H_y(t, \hat{x}, \hat{y}, \lambda) = 0$ ,  $\dot{\lambda} = -H_x(t, \hat{x}, \hat{y}, \lambda)$  and  $\hat{\dot{x}} = g$ . If  $X$  is convex and  $M(t, x, \lambda) \equiv \max_y H(t, x, y, \lambda)$  is concave in  $x$  for every  $t \in [0, t_1]$ , then  $(\hat{x}, \hat{y})$  attains the global maximum; if  $M$  is strictly concave in  $x$ , it is the unique solution.

*Proof.* Let  $(x, y)$  be any admissible pair, so that  $x(0) = x_0$  and — this is the only change from THEOREM 7.6 —  $x(t_1) = x_1 = \hat{x}(t_1)$ . By definition of  $M$  and of the Hamiltonian,

$$f(t, x, y) = H(t, x, y, \lambda) - \lambda g(t, x, y) \leq M(t, x, \lambda) - \lambda(t)\dot{x}(t),$$

with equality along  $(\hat{x}, \hat{y})$  because  $\hat{y}$  maximizes  $H$  (which is what  $H_y = 0$  plus concavity gives). Integrating and subtracting,

$$W(x, y) - W(\hat{x}, \hat{y}) \leq \int_0^{t_1} [M(t, x, \lambda) - M(t, \hat{x}, \lambda)] dt - \int_0^{t_1} \lambda(t) [\dot{x}(t) - \dot{\hat{x}}(t)] dt.$$

Concavity of  $M$  in  $x$  gives  $M(t, x, \lambda) - M(t, \hat{x}, \lambda) \leq M_x(t, \hat{x}, \lambda) [x(t) - \hat{x}(t)]$ , and by the envelope theorem (EXERCISE 7.2)  $M_x(t, \hat{x}, \lambda) = H_x(t, \hat{x}, \hat{y}, \lambda) = -\dot{\lambda}(t)$ . Hence

$$W(x, y) - W(\hat{x}, \hat{y}) \leq - \int_0^{t_1} \dot{\lambda} [x - \hat{x}] dt - \int_0^{t_1} \lambda [\dot{x} - \dot{\hat{x}}] dt = - \left[ \lambda(t) (x(t) - \hat{x}(t)) \right]_0^{t_1},$$

integrating by parts. At  $t = 0$  both paths start at  $x_0$ , so the lower limit vanishes. At  $t = t_1$  the *terminal constraint* gives  $x(t_1) = \hat{x}(t_1) = x_1$ , so the upper limit vanishes as well. Therefore

$$W(x, y) \leq W(\hat{x}, \hat{y}),$$

which is the assertion. If  $M$  is strictly concave in  $x$ , the concavity inequality is strict whenever  $x(t) \neq \hat{x}(t)$  on a set of positive measure, so any other admissible pair is strictly worse and the solution is unique.

*Remark.* The comparison with THEOREM 7.6 is instructive: there the boundary term is killed by the transversality condition  $\lambda(t_1) = 0$ , which says that leftover state is worthless; here it is killed by the constraint  $x(t_1) = x_1$ , which says that every admissible path ends at the same place, so the value of leftover state is irrelevant. Exactly one of the two is needed, which is why THEOREMS 7.2 and 7.1 differ only in this boundary condition.

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### Exercise 7.9

The problem is that of THEOREM 7.2 with the terminal condition weakened to  $x(t_1) \geq x_1$ . Let  $(\hat{x}, \hat{y})$  be an interior continuous solution and consider, as in the proofs of THEOREMS 7.1 and 7.2, the variations  $y(t, \varepsilon) = \hat{y}(t) + \varepsilon \eta(t)$  with the induced state path  $x(t, \varepsilon)$ ,  $x(0, \varepsilon) = x_0$ . Writing  $W(\varepsilon)$  for the value of the objective and introducing a continuously differentiable costate  $\lambda$ , the same integration by parts as in the proof of THEOREM 7.1 gives

$$\left. \frac{dW}{d\varepsilon} \right|_{\varepsilon=0} = \int_0^{t_1} \left[ H_x(t, \hat{x}, \hat{y}, \lambda) + \dot{\lambda}(t) \right] x_\varepsilon(t, 0) dt + \int_0^{t_1} H_y(t, \hat{x}, \hat{y}, \lambda) \eta(t) dt - \lambda(t_1) x_\varepsilon(t_1, 0). \quad (*)$$

*The interior conditions.* Restrict attention first to variations with  $x_\varepsilon(t_1, 0) = 0$  — feasible whatever the terminal constraint, since they do not move the endpoint. Choosing  $\lambda$  to solve the linear terminal-value problem  $\dot{\lambda} = -H_x(t, \hat{x}, \hat{y}, \lambda)$  kills the first integral, and optimality then requires  $\int H_y \eta dt = 0$  for all such  $\eta$ , whence  $H_y = 0$  for all  $t$ , that is (7.11); and  $\dot{\lambda} = -H_x$  is (7.12). These are exactly the conditions of THEOREM 7.2.

*The terminal condition.* With (7.11) and (7.12) in hand,  $(*)$  reduces to

$$\left. \frac{dW}{d\varepsilon} \right|_{\varepsilon=0} = -\lambda(t_1) x_\varepsilon(t_1, 0).$$

Two cases arise.

- $\hat{x}(t_1) > x_1$  (*the constraint is slack*). For small  $\varepsilon$  the terminal constraint continues to hold whichever sign  $x_\varepsilon(t_1, 0)$  takes, so both signs are feasible; optimality requires  $dW/d\varepsilon = 0$  for both, hence  $\lambda(t_1) = 0$ .
- $\hat{x}(t_1) = x_1$  (*the constraint binds*). Only variations with  $x_\varepsilon(t_1, 0) \geq 0$  are feasible, so optimality requires  $-\lambda(t_1) x_\varepsilon(t_1, 0) \leq 0$  for all such variations, that is  $\lambda(t_1) \geq 0$ ; nothing forces it to vanish.

In both cases

$$\lambda(t_1) \geq 0 \quad \text{and} \quad \lambda(t_1)(\hat{x}(t_1) - x_1) = 0,$$

which is the complementary slackness condition of THEOREM 7.3.

*Interpretation.*  $\lambda(t_1)$  is the shadow value of the state at the terminal date. If the planner ends with more of the state than required, the marginal unit must be worthless — otherwise it would have been converted into payoff earlier; if the terminal requirement binds, the marginal unit has positive value, exactly as the multiplier on a binding constraint in static optimization.

### Exercise 7.11

The problem is

$$\max_{x,y} \int_0^{t_1} f(t, x(t), y(t)) dt \quad \text{s.t.} \quad \dot{x}(t) = G(t, x(t), y(t)), \quad x(0) = x_0,$$

with  $x(t) \in X \subset \mathbb{R}^{K_x}$ ,  $y(t) \in Y \subset \mathbb{R}^{K_y}$ , and an interior continuous solution  $(\hat{x}, \hat{y})$ . The argument is the one-dimensional proof of THEOREM 7.1 written with inner products.

*Variations.* Take any piecewise continuous  $\eta : [0, t_1] \rightarrow \mathbb{R}^{K_y}$  and set  $y(t, \varepsilon) = \hat{y}(t) + \varepsilon \eta(t)$ . Since  $\hat{y}(t) \in \text{Int } Y$  and  $[0, t_1]$  is compact,  $y(t, \varepsilon) \in Y$  for  $|\varepsilon|$  small. Let  $x(t, \varepsilon)$  be the corresponding state path, which exists, is unique and is differentiable in  $\varepsilon$  because  $G$  is continuously differentiable; write  $x_\varepsilon(t) \equiv \partial x(t, \varepsilon) / \partial \varepsilon|_{\varepsilon=0}$ , which satisfies the linearized state equation

$$\dot{x}_\varepsilon(t) = D_x G(t, \hat{x}, \hat{y}) x_\varepsilon(t) + D_y G(t, \hat{x}, \hat{y}) \eta(t), \quad x_\varepsilon(0) = 0.$$

*The derivative of the objective.* For any continuously differentiable  $\lambda : [0, t_1] \rightarrow \mathbb{R}^{K_x}$  the state equation lets us write, with  $H$  as in (7.28),

$$W(\varepsilon) = \int_0^{t_1} \left[ H(t, x(t, \varepsilon), y(t, \varepsilon), \lambda) - \lambda(t) \cdot \dot{x}(t, \varepsilon) \right] dt,$$

and integrating the last term by parts,

$$W(\varepsilon) = \int_0^{t_1} \left[ H + \dot{\lambda}(t) \cdot x(t, \varepsilon) \right] dt - \lambda(t_1) \cdot x(t_1, \varepsilon) + \lambda(0) \cdot x_0.$$

Differentiating at  $\varepsilon = 0$ ,

$$\left. \frac{dW}{d\varepsilon} \right|_0 = \int_0^{t_1} \left[ D_x H(t, \hat{x}, \hat{y}, \lambda) + \dot{\lambda}(t) \right] \cdot x_\varepsilon(t) dt + \int_0^{t_1} D_y H(t, \hat{x}, \hat{y}, \lambda) \cdot \eta(t) dt - \lambda(t_1) \cdot x_\varepsilon(t_1).$$

*Choosing the costate.* Let  $\lambda$  solve the linear terminal-value problem

$$\dot{\lambda}(t) = -D_x H(t, \hat{x}(t), \hat{y}(t), \lambda(t)), \quad \lambda(t_1) = 0,$$

which has a unique continuously differentiable solution on  $[0, t_1]$  because the right-hand side is linear in  $\lambda$  with continuous coefficients. This is (7.30) and the terminal condition in (7.31), and it annihilates the first and third terms above, leaving

$$\left. \frac{dW}{d\varepsilon} \right|_0 = \int_0^{t_1} D_y H(t, \hat{x}, \hat{y}, \lambda) \cdot \eta(t) dt.$$

*Conclusion.* Since  $(\hat{x}, \hat{y})$  is optimal and the variations are two-sided, this derivative must vanish for every admissible  $\eta$ . Taking  $\eta$  supported on a small interval around any  $t$  and equal to each coordinate direction in turn, and using continuity of  $D_y H$  along the solution, gives

$$D_y H(t, \hat{x}(t), \hat{y}(t), \lambda(t)) = 0 \quad \text{for all } t \in [0, t_1],$$

which is (7.29). Finally  $\dot{x} = D_\lambda H = G$  is the state equation with  $x(0) = x_0$ , completing (7.31). This proves THEOREM 7.7.

### Exercise 7.12

Let  $(\hat{x}, \hat{y})$  satisfy (7.29)–(7.31) and let  $X$  be convex. Write

$$M(t, x, \lambda) \equiv \max_{y \in Y} H(t, x, y, \lambda)$$

and suppose it is concave in  $x$ . Take any admissible pair  $(x, y)$ . As in Exercise 7.8, for every  $t$ ,

$$f(t, x, y) = H(t, x, y, \lambda) - \lambda(t) \cdot G(t, x, y) \leq M(t, x, \lambda) - \lambda(t) \cdot \dot{x}(t),$$

with equality along  $(\hat{x}, \hat{y})$  since  $\hat{y}$  maximizes  $H$  pointwise. Subtracting and using concavity of  $M$  in  $x$  together with the envelope relation  $D_x M(t, \hat{x}, \lambda) = D_x H(t, \hat{x}, \hat{y}, \lambda) = -\dot{\lambda}(t)$ ,

$$\begin{aligned} W(x, y) - W(\hat{x}, \hat{y}) &\leq \int_0^{t_1} \left[ D_x M(t, \hat{x}, \lambda) \cdot (x - \hat{x}) - \lambda \cdot (\dot{x} - \dot{\hat{x}}) \right] dt \\ &= \int_0^{t_1} \left[ -\dot{\lambda} \cdot (x - \hat{x}) - \lambda \cdot (\dot{x} - \dot{\hat{x}}) \right] dt = - \left[ \lambda(t) \cdot (x(t) - \hat{x}(t)) \right]_0^{t_1}. \end{aligned}$$

The lower limit vanishes because both paths start at  $x_0$ , and the upper limit vanishes because  $\lambda(t_1) = 0$  by (7.31). Hence  $W(x, y) \leq W(\hat{x}, \hat{y})$  for every admissible pair:  $(\hat{x}, \hat{y})$  is a global maximum.

If  $M(t, \cdot, \lambda)$  is strictly concave, the first inequality is strict unless  $x(t) = \hat{x}(t)$  almost everywhere, so the maximizer is unique (and then  $y = \hat{y}$  wherever  $H$  has a unique maximizer).

*Remark.* Exercise 7.7 is what makes the hypothesis checkable: joint concavity of  $H$  in  $(x, y)$  — which follows from concavity of  $f$ , linearity of  $G$  in  $(x, y)$ , and  $\lambda \geq 0$  — implies concavity of  $M$  in  $x$ . In the growth applications of the next chapters  $G$  is linear (capital accumulation) and  $f$  is concave (utility), so the conditions hold automatically.

### Exercise 7.13

Let  $(\hat{x}, \hat{y})$  be admissible and satisfy (7.39)–(7.41), let  $X$  be convex, let  $M(t, x, \lambda)$  be concave in  $x$  for all  $t$ , and suppose

$$\lim_{t \rightarrow \infty} \lambda(t)(\hat{x}(t) - \tilde{x}(t)) \leq 0 \quad \text{for every admissible } \tilde{x}. \quad (*)$$

Take any admissible pair  $(\tilde{x}, \tilde{y})$ . Exactly as in Exercise 7.8, for each finite  $T$ ,

$$\int_0^T f(t, \tilde{x}, \tilde{y}) dt - \int_0^T f(t, \hat{x}, \hat{y}) dt \leq - \left[ \lambda(t)(\tilde{x}(t) - \hat{x}(t)) \right]_0^T = \lambda(T)(\hat{x}(T) - \tilde{x}(T)),$$

using  $\tilde{x}(0) = \hat{x}(0) = x_0$  for the lower limit. This is the “additional term” the hint refers to: in finite horizon it was eliminated by  $\lambda(t_1) = 0$  or by a fixed endpoint, and here it survives.

Now let  $T \rightarrow \infty$ . The left-hand side converges to  $W(\tilde{x}, \tilde{y}) - W(\hat{x}, \hat{y})$  whenever the two improper integrals exist (which admissibility guarantees), and the right-hand side is bounded above by zero by hypothesis (\*). Hence

$$W(\tilde{x}, \tilde{y}) - W(\hat{x}, \hat{y}) \leq \limsup_{T \rightarrow \infty} \lambda(T)(\hat{x}(T) - \tilde{x}(T)) \leq 0,$$

so  $(\hat{x}, \hat{y})$  achieves the global maximum of (7.32). If  $M(t, \cdot, \lambda)$  is strictly concave, the inequality leading to the display is strict unless  $\tilde{x} = \hat{x}$  almost everywhere, so the solution is unique.

*Remark.* Condition (\*) is the honest price of infinite horizon, and the book rightly calls it hard to check: it involves *all* admissible comparison paths. Two special cases make it usable. If the state is nonnegative and  $\lambda(t) \geq 0$  with  $\lim_{t \rightarrow \infty} \lambda(t)\hat{x}(t) = 0$  — the transversality condition (7.69) — then  $\lambda(T)(\hat{x}(T) - \tilde{x}(T)) \leq \lambda(T)\hat{x}(T) \rightarrow 0$  and (\*) holds automatically. This is exactly how THEOREM 7.14 is used in the applications: check the transversality condition, and concavity does the rest.

### Exercise 7.14

The discounted problem has  $f(t, x, y) = e^{-\rho t} f(x, y)$  and  $g(t, x, y) = g(x, y)$ . Write the present-value Hamiltonian and its current-value counterpart,

$$H(t, x, y, \lambda) = e^{-\rho t} f(x, y) + \lambda(t)g(x, y), \quad \hat{H}(t, x, y, \mu) \equiv e^{\rho t} H(t, x, y, \lambda) = f(x, y) + \mu(t)g(x, y),$$

where the current-value costate is

$$\mu(t) \equiv e^{\rho t} \lambda(t) \quad \Longleftrightarrow \quad \lambda(t) = e^{-\rho t} \mu(t).$$

THEOREM 7.9 applies to the problem and gives, at points of continuity of  $\hat{y}$ , the necessary conditions (7.39)–(7.41). Translate each in turn.

(7.65).  $H_y = 0$  reads  $e^{-\rho t} f_y + \lambda g_y = 0$ . Multiplying by  $e^{\rho t} > 0$ ,

$$f_y(x, y) + \mu(t)g_y(x, y) = \hat{H}_y(t, \hat{x}, \hat{y}, \mu) = 0,$$

which is (7.65).

(7.66). Differentiating  $\lambda = e^{-\rho t} \mu$ ,

$$\dot{\lambda}(t) = e^{-\rho t} [\dot{\mu}(t) - \rho \mu(t)],$$

while  $H_x = e^{-\rho t} f_x + \lambda g_x = e^{-\rho t} [f_x + \mu g_x] = e^{-\rho t} \hat{H}_x$ . Substituting into  $\dot{\lambda} = -H_x$  and cancelling  $e^{-\rho t} > 0$ ,

$$\dot{\mu}(t) - \rho \mu(t) = -\hat{H}_x(t, \hat{x}, \hat{y}, \mu) \quad \Longleftrightarrow \quad \rho \mu(t) - \dot{\mu}(t) = \hat{H}_x(t, \hat{x}, \hat{y}, \mu),$$

which is (7.66).

(7.67). The state equation is unchanged:  $\dot{x} = H_\lambda = g(x, y) = \hat{H}_\mu$ , with  $x(0) = x_0$  and the limiting constraint  $\lim_{t \rightarrow \infty} b(t)x(t) \geq x_1$  carried over from (7.41).

Since THEOREM 7.9 gives (7.39)–(7.41) as necessary conditions for an interior piecewise continuous solution, and the three translations above are equivalences, (7.65)–(7.67) are necessary as well.

*Remark.* The point of the current-value formulation is visible in (7.66): the term  $\rho \mu$  appears because  $\mu$  is measured in date- $t$  rather than date-0 units, so its required rate of return has to cover the discount rate. Written as  $\dot{\mu}/\mu = \rho - \hat{H}_x/\mu$ , the condition is an asset-pricing equation — the shadow price of the state must appreciate at the discount rate less its “dividend”.

**Exercise 7.15**

(a) *Rewriting the objective.* For any continuously differentiable  $\lambda$ , the constraint  $\dot{x} = g$  gives  $f = H - \lambda\dot{x}$  with  $H(t, x, y) \equiv f(t, x, y) + \lambda(t)g(t, x, y)$ . Hence

$$W = \int_0^{t_1} f \, dt = \int_0^{t_1} [H - \lambda(t)\dot{x}(t)] \, dt,$$

and integrating the last term by parts,  $\int_0^{t_1} \lambda\dot{x} \, dt = \lambda(t_1)x(t_1) - \lambda(0)x_0 - \int_0^{t_1} \dot{\lambda}x \, dt$ , so

$$W(x(t), y(t)) = \int_0^{t_1} [H(t, x(t), y(t)) + \dot{\lambda}(t)x(t)] \, dt - \lambda(t_1)x(t_1) + \lambda(0)x_0,$$

as required.

(b) *Feasible variations.* Let  $(\hat{x}, \hat{y}, \hat{t}_1)$  be optimal. Perturb the control on the original interval and extend the horizon:

$$y(t, \varepsilon) = \hat{y}(t) + \varepsilon\eta(t) \quad \text{on } [0, \hat{t}_1], \quad y(t, \varepsilon) = \hat{y}(\hat{t}_1) + \varepsilon\eta(t) \quad \text{on } [\hat{t}_1, \hat{t}_1 + \varepsilon\Delta t],$$

with  $t_1 = \hat{t}_1 + \varepsilon\Delta t$ . For  $|\varepsilon|$  small this is feasible:  $\hat{y}(t)$  is interior to  $Y$  and  $\hat{x}(t)$  interior to  $X$  on a compact interval, so small perturbations stay inside, and the state path  $x(t, \varepsilon)$  generated by  $\dot{x} = g$  is well defined and differentiable in  $\varepsilon$  (the extension is over an interval of length  $O(\varepsilon)$ , on which the state moves by  $O(\varepsilon)$ ).

(c) *The derivative.* Differentiating the expression in (a) at  $\varepsilon = 0$ , three groups of terms appear. The interior variation contributes  $\int_0^{\hat{t}_1} [H_x + \dot{\lambda}]x_\varepsilon \, dt + \int_0^{\hat{t}_1} H_y\eta \, dt$ . The moving upper limit contributes  $H(\hat{t}_1, \hat{x}(\hat{t}_1), \hat{y}(\hat{t}_1))\Delta t$  from the integral and  $-\lambda(\hat{t}_1)\dot{x}(\hat{t}_1)\Delta t$  from  $-\lambda(t_1)x(t_1)$ ; the endpoint term also contributes  $-\lambda(\hat{t}_1)x_\varepsilon(\hat{t}_1)$ . Since the second of these enters  $-\lambda(t_1)x(t_1)$  with a minus sign and the total derivative of  $x(t_1, \varepsilon)$  with respect to  $\varepsilon$  is  $x_\varepsilon(\hat{t}_1) + \dot{x}(\hat{t}_1)\Delta t$ , collecting terms gives exactly

$$\left. \frac{dW}{d\varepsilon} \right|_0 = \int_0^{\hat{t}_1} [H_x + \dot{\lambda}]x_\varepsilon \, dt + \int_0^{\hat{t}_1} H_y\eta \, dt + H(\hat{t}_1, \hat{x}(\hat{t}_1), \hat{y}(\hat{t}_1))\Delta t - \lambda(\hat{t}_1)x_\varepsilon(\hat{t}_1) + \lambda(\hat{t}_1)\dot{x}(\hat{t}_1)\Delta t,$$

the expression in the exercise.

(d) *Why it vanishes.*  $(\hat{x}, \hat{y}, \hat{t}_1)$  maximizes  $W$  over a set that contains the whole family  $\{(x(\cdot, \varepsilon), y(\cdot, \varepsilon), \hat{t}_1 + \varepsilon\Delta t)\}$  for  $\varepsilon$  in a neighborhood of 0 — both signs are feasible, since the horizon may be lengthened or shortened and the control perturbed in either direction. A differentiable function of  $\varepsilon$  attaining an interior maximum at  $\varepsilon = 0$  has zero derivative there.

The conditions of the Maximum Principle follow. Taking  $\Delta t = 0$  and  $\eta$  arbitrary, and choosing  $\lambda$  to satisfy  $\dot{\lambda} = -H_x$  with  $\lambda(\hat{t}_1) = 0$ , gives  $H_y = 0$  as usual. Then, with  $\lambda(\hat{t}_1) = 0$ , the remaining terms leave  $H(\hat{t}_1, \hat{x}(\hat{t}_1), \hat{y}(\hat{t}_1))\Delta t = 0$  for every  $\Delta t$ , so

$$H(\hat{t}_1, \hat{x}(\hat{t}_1), \hat{y}(\hat{t}_1), \lambda(\hat{t}_1)) = 0$$

— the extra transversality condition associated with a free terminal date. Its meaning is an optimal stopping rule: continue as long as the flow value of continuing, measured by the Hamiltonian, is positive, and stop when it reaches zero.

(e) Letting  $\hat{t}_1 \rightarrow \infty$ . The condition becomes

$$\lim_{t \rightarrow \infty} H(t, \hat{x}(t), \hat{y}(t), \lambda(t)) = 0,$$

which is precisely the infinite-horizon transversality condition (7.56) of THEOREM 7.12. So the “vanishing Hamiltonian” that is usually presented as a separate infinite-horizon result is the same condition as the free-terminal-time condition of the finite-horizon problem: an infinite horizon is a horizon that is optimally never reached, and the value of stopping at the margin must be zero at every sufficiently distant date.

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### Exercise 7.16

The discounted problem has  $f(t, x, y) = e^{-\rho t} f(x, y)$  and  $g(t, x, y) = g(x, y)$ : neither the payoff apart from the discount factor nor the constraint depends on calendar time.

*Admissibility.* The continuation satisfies  $\dot{\hat{x}}(t) = g(\hat{x}(t), \hat{y}(t))$  for all  $t \geq s$  and  $\hat{x}(s)$  is its own initial condition, with  $(\hat{x}(t), \hat{y}(t)) \in X \times Y$ ; so it is admissible for the problem started at  $s$  with initial state  $\hat{x}(s)$ .

*Optimality.* The objective of the date- $s$  problem is

$$W_s(x, y) \equiv \int_s^\infty e^{-\rho(t-s)} f(x(t), y(t)) dt = e^{\rho s} \int_s^\infty e^{-\rho t} f(x(t), y(t)) dt,$$

so it ranks continuation plans exactly as the date-0 objective does: the two differ by the positive constant  $e^{\rho s}$ . Suppose the continuation were not optimal. Then there is an admissible  $(\tilde{x}, \tilde{y})$  on  $[s, \infty)$  with  $\tilde{x}(s) = \hat{x}(s)$  and

$$\int_s^\infty e^{-\rho t} f(\tilde{x}, \tilde{y}) dt > \int_s^\infty e^{-\rho t} f(\hat{x}, \hat{y}) dt.$$

Splice the plans:

$$(\vec{x}(t), \vec{y}(t)) = \begin{cases} (\hat{x}(t), \hat{y}(t)), & t \in [0, s), \\ (\tilde{x}(t), \tilde{y}(t)), & t \geq s. \end{cases}$$

This is admissible from  $x_0$ : it satisfies the state equation on each piece, and the two pieces agree at  $t = s$  because  $\tilde{x}(s) = \hat{x}(s)$ , so  $\vec{x}$  is continuous and satisfies  $\dot{\vec{x}} = g(\vec{x}, \vec{y})$  throughout. Its value at date 0 is

$$\int_0^s e^{-\rho t} f(\hat{x}, \hat{y}) dt + \int_s^\infty e^{-\rho t} f(\tilde{x}, \tilde{y}) dt > \int_0^\infty e^{-\rho t} f(\hat{x}, \hat{y}) dt,$$

contradicting the optimality of  $(\hat{x}, \hat{y})$  from date 0. Hence the continuation is optimal for the date- $s$  problem.

*Remark.* Two features do the work, and both are needed: the objective is *exponentially* discounted, so that re-dating multiplies it by a constant and leaves the ranking of continuations unchanged; and  $g$  is autonomous, so that the constraint faced from  $s$  onward is the same correspondence, only with a different initial state. Drop the first and time consistency fails — this is exactly EXERCISE 7.22(b), where  $\beta(t) = e^{-\rho t}$  turns out to be necessary as well as sufficient. The statement in the exercise writes the date- $s$  initial condition as  $x(s) = x_0$ ; what is meant, and what is proved above, is that the continuation is optimal for the problem started at the state the optimal path has reached,  $x(s) = \hat{x}(s)$ .



**Exercise 7.20**

Recall the problem: maximize  $\int_0^\infty e^{-\rho t} u(y(t)) dt$  subject to  $\dot{x} = -y$ ,  $x(0) = 1$ ,  $x(t) \geq 0$ , with  $u : [0, 1] \rightarrow \mathbb{R}$  strictly increasing, continuously differentiable and strictly concave. The Hamiltonian is  $H(t, x, y, \lambda) = e^{-\rho t} u(y) - \lambda y$ , and THEOREM 7.9 gives (7.58) and (7.59):

$$u'(\hat{y}(t)) = e^{\rho t} \lambda(t), \quad \dot{\lambda}(t) = 0 \implies \lambda(t) \equiv \lambda(0) > 0,$$

so that the Hotelling rule  $\dot{\mu}/\mu = \rho$  holds for  $\mu = e^{\rho t} \lambda$  and

$$\hat{y}(t) = (u')^{-1}[\lambda(0)e^{\rho t}].$$

Since  $u'$  is strictly decreasing and  $\lambda(0)e^{\rho t} \rightarrow \infty$ , extraction falls monotonically with  $\hat{y}(t) \rightarrow 0$ ; the constant  $\lambda(0)$  is fixed by exhaustion,  $\int_0^\infty \hat{y}(t) dt = x(0)$ .

*Checking* (7.56). The condition is  $\lim_{t \rightarrow \infty} H(t, \hat{x}(t), \hat{y}(t), \lambda(t)) = 0$ . Here

$$H(t, \hat{x}(t), \hat{y}(t), \lambda(t)) = e^{-\rho t} u(\hat{y}(t)) - \lambda(0) \hat{y}(t).$$

Both terms vanish in the limit:

- $\hat{y}(t) \rightarrow 0$  and  $u$  is continuous on  $[0, 1]$ , so  $u(\hat{y}(t)) \rightarrow u(0)$ , a finite number, and  $e^{-\rho t} u(\hat{y}(t)) \rightarrow 0$ ;
- $\lambda(0) \hat{y}(t) \rightarrow 0$  because  $\hat{y}(t) \rightarrow 0$  and  $\lambda(0)$  is a constant.

Hence  $\lim_{t \rightarrow \infty} H = 0$ : the transversality condition (7.56) holds.

*An explicit case.* With  $u(y) = \log y$  (unbounded below at 0, so strictly outside the stated domain, but the standard illustration),  $\hat{y}(t) = e^{-\rho t} / \lambda(0)$ , and exhaustion  $\int_0^\infty \hat{y} dt = 1/(\rho \lambda(0)) = x(0)$  gives  $\lambda(0) = 1/(\rho x(0))$  and  $\hat{y}(t) = \rho x(0) e^{-\rho t}$ : the resource is depleted at the constant proportional rate  $\rho$ . Then

$$H(t) = e^{-\rho t} \log(\rho x(0) e^{-\rho t}) - \frac{1}{\rho x(0)} \rho x(0) e^{-\rho t} = e^{-\rho t} [\log(\rho x(0)) - \rho t - 1] \longrightarrow 0,$$

since  $t e^{-\rho t} \rightarrow 0$ .

*Remark.* Note which transversality condition is being verified. The *stronger* condition (7.69) requires  $\lim_{t \rightarrow \infty} e^{-\rho t} \mu(t) \hat{x}(t)$  to vanish; since  $e^{-\rho t} \mu(t) = \lambda(0)$  here, it reduces to  $\lambda(0) \lim \hat{x}(t) = 0$ , which holds precisely because the resource is fully exhausted,  $\hat{x}(t) \rightarrow 0$ . EXERCISE 7.18 modifies the problem so that a positive stock  $x_1$  must be left behind. The stronger condition then fails, while the weaker one still holds — which is exactly why the book states (7.56) as the general result.

**Exercise 7.22**

(a) *Necessary conditions.* The Hamiltonian is

$$H(t, x, y, \lambda) = \beta(t) f(x, y) + \lambda(t) g(x, y),$$

and THEOREM 7.9 gives, along an interior solution,

$$H_y = 0 : \quad \beta(t) f_y(x, y) + \lambda(t) g_y(x, y) = 0, \quad \dot{\lambda} = -H_x : \quad \dot{\lambda}(t) = -[\beta(t) f_x + \lambda(t) g_x],$$

together with  $\dot{x} = g(x, y)$ ,  $x(0) = x_0$  and the transversality condition (7.56). Assume  $g_y \neq 0$ , so the first condition can be solved for the costate:

$$\lambda(t) = -\beta(t) \frac{f_y(x(t), y(t))}{g_y(x(t), y(t))} \equiv \beta(t) \Lambda(t), \quad (*)$$

where  $\Lambda$  depends on the path only, not on the discount function.

(b) *Time consistency forces exponential discounting.* Consider re-solving the problem at date  $s > 0$  with the same structure — that is, with discount function  $\beta(t - s)$  applied to returns  $t - s$  away — starting from the state  $\hat{x}(s)$  that the original plan has reached. Its necessary conditions are the same with  $\beta(t)$  replaced by  $\beta(t - s)$  and costate  $\lambda_s$ . Time consistency means that the original path  $(\hat{x}, \hat{y})$  continues to solve this problem, so it must satisfy both sets of conditions. From (\*) applied to each,

$$\lambda(t) = \beta(t)\Lambda(t), \quad \lambda_s(t) = \beta(t - s)\Lambda(t) \implies \lambda_s(t) = k(t)\lambda(t), \quad k(t) \equiv \frac{\beta(t - s)}{\beta(t)}.$$

Both costates satisfy their own costate equations along the *same* path:

$$\dot{\lambda} = -[\beta(t)f_x + \lambda g_x], \quad \dot{\lambda}_s = -[\beta(t - s)f_x + \lambda_s g_x] = -[k(t)\beta(t)f_x + k(t)\lambda g_x] = k(t)\dot{\lambda}(t).$$

But differentiating  $\lambda_s = k\lambda$  directly gives  $\dot{\lambda}_s = \dot{k}\lambda + k\dot{\lambda}$ . Comparing,  $\dot{k}(t)\lambda(t) = 0$ , and since  $\lambda(t) \neq 0$  along an interior solution,  $\dot{k}(t) = 0$ : the ratio  $\beta(t - s)/\beta(t)$  is independent of  $t$ . Evaluating it at  $t = s$  gives  $k = \beta(0)/\beta(s)$ , so for all  $t \geq s \geq 0$ ,

$$\beta(t - s)\beta(s) = \beta(t)\beta(0).$$

Normalizing  $\beta(0) = 1$ , this is the Cauchy functional equation  $\beta(t - s)\beta(s) = \beta(t)$ ; its only positive continuous solutions are

$$\beta(t) = e^{-\rho t} \quad \text{for some } \rho,$$

with  $\rho \geq 0$  if the discount function is nonincreasing (and  $\rho > 0$  needed for the objective to converge). Conversely, if  $\beta(t) = e^{-\rho t}$ , then  $\beta(t - s) = e^{\rho s}\beta(t)$ , the two systems differ by the positive constant  $e^{\rho s}$ , and the original path satisfies both — time consistency, which is Exercise 7.16.

(c) *Interpretation, and the contrast with LEMMA 7.1.* The result is the continuous-time counterpart of the discrete-time statement in EXERCISE 5.1: only exponential discounting makes the trade-off between two future dates independent of the date from which it is viewed. With any other  $\beta$  — hyperbolic discounting, say — the planner's relative valuation of dates  $t$  and  $t'$  changes as time passes, so at date  $s$  she would like to revise the plan made at date 0 even though nothing has been learned and no state has been surprised.

The contrast with LEMMA 7.1 is worth stating carefully, since the lemma is also called a principle of optimality and holds for general  $f(t, x, y)$ . LEMMA 7.1 says that the value function computed *from the date-0 perspective* is recursive:  $V(t_0, x) = \int_{t_0}^{t_1} f dt + V(t_1, \hat{x}(t_1))$ . That is a statement about one fixed objective, and it is true whatever the discount function, because  $V(t_1, \cdot)$  is itself defined with the date-0 weights. Time consistency in the sense of part (b) is a different claim: that the plan optimal under the date-0 objective is still optimal under the *date-s* objective, which applies  $\beta(t - s)$  rather than  $\beta(t)$ . Only exponential discounting makes the two objectives agree, up to scale, on the

ranking of continuations. In short, LEMMA 7.1 is about a consistent bookkeeping of one plan; part (b) is about whether a later self would keep it.

### Exercise 7.27

The problem of Section 7.8 is

$$\max \int_0^\infty e^{-rt} [f(K) - I - \phi(I)] dt \quad \text{s.t.} \quad \dot{K} = I - \delta K, \quad K(0) > 0,$$

with  $f$  satisfying Assumptions 1 and 2 of Chapter 2 and  $\phi$  strictly increasing, strictly convex, continuously differentiable, with  $\phi(0) = \phi'(0) = 0$ .

(a) ASSUMPTION 7.1 on a compact state space. Restrict  $K \in [\varepsilon, \bar{k}]$  with  $0 < \varepsilon < \bar{k} < \infty$ ; investment can then also be restricted to a compact interval, since  $\dot{K} = I - \delta K$  and  $K$  is bounded, and since paying  $I + \phi(I)$  for arbitrarily large  $I$  is never optimal. Now check the three parts:

- (1) *Monotonicity.* The payoff  $f(K) - I - \phi(I)$  is increasing in  $K$  (as  $f' > 0$ ) and decreasing in  $I$  (as  $1 + \phi' > 0$ ), so it is weakly monotone in each argument;  $g(K, I) = I - \delta K$  is increasing in  $I$ , decreasing in  $K$ , and independent of  $t$ .
- (2)  $|g_I| \geq m$ . Here  $g_I \equiv 1$ , so the condition holds with  $m = 1$  — the control moves the state one for one.
- (3)  $|f_I| \leq M$ . Here  $|f_I| = 1 + \phi'(I)$ , which is bounded on the compact interval to which  $I$  has been restricted, so the condition holds with  $M = 1 + \max \phi'$ .

It is the third condition that fails on the unbounded state space, since  $\phi'$  is unbounded; this is exactly why the compactification is needed before THEOREM 7.13 can be invoked.

(b) *From the modified problem to the original one.* Suppose the modified problem has a solution  $(\hat{K}, \hat{I})$  with  $\hat{K}(t) > \varepsilon$  for all  $t$ , so the artificial constraint never binds. Then  $(\hat{K}, \hat{I})$  satisfies the necessary conditions (7.85) of the unconstrained problem, including the transversality condition  $\lim_{t \rightarrow \infty} e^{-rt} q(t) \hat{K}(t) = 0$ . Now appeal to sufficiency rather than necessity: the current-value Hamiltonian

$$\hat{H}(K, I, q) = f(K) - I - \phi(I) + q[I - \delta K]$$

is strictly concave in  $(K, I)$  —  $f$  is strictly concave,  $-\phi$  is strictly concave, and the remaining terms are linear — so by Exercise 7.7 the maximized Hamiltonian is strictly concave in  $K$ , and THEOREM 7.14 applies on the *whole* feasible set  $K \in \mathbb{R}_+$ : any path satisfying the necessary conditions together with the transversality condition is the unique global maximum among all feasible paths, not merely among those confined to  $[\varepsilon, \bar{k}]$ . Hence  $(\hat{K}, \hat{I})$  solves the original problem. (Note that sufficiency does not use ASSUMPTION 7.1 at all; the assumption was needed only to obtain the strong transversality condition as a *necessary* condition.)

(c) *Such an  $\varepsilon$  exists.* The steady state of the system (7.84), (7.88) satisfies

$$I^* = \delta K^*, \quad f'(K^*) = (r + \delta)(1 + \phi'(I^*)),$$

which has a unique positive solution because the left side is strictly decreasing in  $K$  from  $\infty$  to 0 (Assumptions 1 and 2) while the right side is strictly increasing in  $K$ . The optimal path is the stable arm of a saddle point — the linearized system has one positive and one negative eigenvalue

— and  $K(t)$  moves monotonically from  $K(0)$  to  $K^*$ . Therefore

$$\inf_{t \geq 0} K(t) = \min\{K(0), K^*\} > 0,$$

and any  $\varepsilon < \min\{K(0), K^*\}$  works: the modified problem's solution never touches the artificial lower bound, and part (b) applies.

With  $f(K) = K^{1/3}$ ,  $\phi(I) = I^2$ ,  $\delta = r = 0.05$ , the numbers are

$$K^* = 3.767391, \quad I^* = \delta K^* = 0.188370, \quad q^* = 1 + \phi'(I^*) = 1.376739,$$

and the eigenvalues of the linearized system are  $-0.108440$  and  $+0.158440$  — one of each sign, as the saddle-path structure requires. Figure 5 shows the phase diagram and the stable arm, which stays well away from  $K = 0$ .

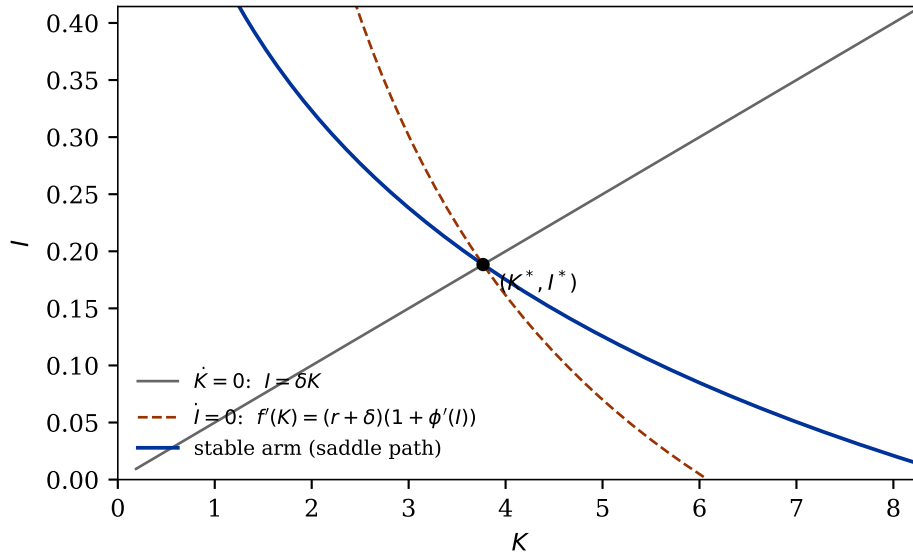


FIGURE 5. The  $q$ -theory phase diagram: the loci  $\dot{K} = 0$  and  $\dot{I} = 0$ , their intersection at  $(K^*, I^*)$ , and the stable arm along which the firm approaches the steady state.

*Remark.* Adjustment costs lower the steady-state capital stock: with  $\phi \equiv 0$  the steady state would solve  $f'(K) = r + \delta$ , giving  $K = 6.085806$  in this parameterization, against 3.767391 with adjustment costs. The reason is visible in the steady-state condition — the required marginal product is scaled up by  $q^* = 1 + \phi'(I^*) > 1$ , the shadow price of installed capital, because replacing depreciated capital is itself costly.

### Exercise 7.29

Suppose the candidate path has  $I(t) = 0$  for all  $t \geq t'$ . Then from (7.84) its capital stock decays exponentially,

$$K(t) = K(t')e^{-\delta(t-t')} \longrightarrow 0 \quad \text{as } t \rightarrow \infty.$$

*The deviation.* Fix  $T > t'$  and  $\epsilon > 0$  small, and consider investing  $\epsilon$  at every date  $t \geq T$  instead of nothing. Two things make the accounting simple. First, the extra *cost* at each date is  $\epsilon + \phi(\epsilon)$ , and since  $\phi(0) = \phi'(0) = 0$  we have  $\phi(\epsilon) = o(\epsilon)$ : to first order the adjustment cost of a small investment is zero, so the cost is  $\epsilon$  per unit time. Second, the extra *capital* raises output at the margin by

$f'(K(t))$  per unit. To first order in  $\epsilon$  the change in the present value of profits is therefore

$$\Delta = \epsilon \int_T^\infty e^{-rt} [f'(K(t)) - 1] dt + o(\epsilon).$$

*The sign.* By Assumption 2 of Chapter 2,  $\lim_{K \rightarrow 0} f'(K) = \infty$ . Since  $K(t) \rightarrow 0$  along the candidate path, there is a  $\tilde{K} > 0$  with  $f'(K) > 1$  for all  $K < \tilde{K}$ , and a date  $T$  with  $K(t) < \tilde{K}$  — hence  $f'(K(t)) > 1$  — for all  $t \geq T$ . For that  $T$  the integrand is strictly positive throughout, so  $\Delta > 0$  for  $\epsilon$  small: the deviation strictly raises the present value of profits, and the candidate path is not optimal.

*Quantitatively,* with  $f(K) = AK^\alpha$  the threshold is explicit:  $f'(K) > 1$  if and only if  $K < (A\alpha)^{1/(1-\alpha)}$ , which equals 0.192450 for  $A = 1$ ,  $\alpha = 1/3$ . Starting from the steady state  $K^* = 3.767391$  and switching investment off, capital falls below that threshold after  $\log(K^*/0.19245)/\delta \approx 59.5$  periods, and  $f'(K(t)) \rightarrow \infty$  thereafter.

*Conclusion.* No optimal path sets investment to zero permanently after a finite date: gross investment is strictly positive in the long run, and indeed the optimal path converges to the steady state with  $I^* = \delta K^* > 0$ . The economics is the Inada condition doing its usual work — capital that has become scarce is arbitrarily productive at the margin, while the marginal cost of a small amount of investment is only its purchase price, adjustment costs being second order at  $I = 0$ .

*Remark.* The same argument shows why the constraint  $I \geq 0$  studied in EXERCISE 7.28(f) — irreversible investment — binds only on the way *down*, never permanently: a firm may wish to disinvest faster than depreciation allows, but never to abstain from investment forever.

## Chapter 8

# The Neoclassical Growth Model

The twenty-four exercises of Chapter 8 left unsolved in the instructor's manual: Exercises 8.1, 8.3–8.6, 8.8–8.10, 8.12, 8.14, 8.16–8.18, 8.20–8.22, 8.24, 8.26, 8.28, 8.29, 8.32, 8.35, 8.36 and 8.39. The manual solves 8.2, 8.7, 8.11, 8.13, 8.15, 8.19, 8.23, 8.25, 8.27, 8.30, 8.31, 8.33, 8.34, 8.37 and 8.38. Notation follows the book:  $a = A/L$  are per capita assets,  $k$  the capital-labor ratio (the effective capital-labor ratio  $K/AL$  from Section 8.7 on),  $\tilde{c} = c/A$  normalized consumption,  $\mu$  the current-value costate, and  $\varepsilon_u(c) = -u''(c)c/u'(c)$ . The numerical parts are computed by `code/ch8.py`.

### Exercise 8.1

(a) *The household's problem.* The household has  $L(t) = e^{nt}$  members, is fully altruistic and utilitarian, so at each date it values the sum of its members' instantaneous utilities,  $\int_0^{L(t)} u(c_i(t)) di$ , and discounts this flow at the subjective rate  $\rho$ . Its members share the total consumption  $C(t)$  that the household's budget allows, and the household's assets accumulate at the market return. Hence

$$\max \int_0^\infty e^{-\rho t} \left[ \int_0^{L(t)} u(c_i(t)) di \right] dt \quad \text{s.t.} \quad \int_0^{L(t)} c_i(t) di \leq C(t), \quad \dot{A}(t) = r(t)A(t) + W(t) - C(t),$$

with  $W(t) = w(t)L(t)$  total labor income and  $A(0)$  given.

(b) *Reduction.* Fix a date and a total  $C(t)$ . The inner problem is to maximize  $\int_0^L u(c_i) di$  subject to  $\int_0^L c_i di = C$ . Since  $u$  is strictly concave, Jensen's inequality gives

$$\frac{1}{L} \int_0^L u(c_i) di \leq u\left(\frac{1}{L} \int_0^L c_i di\right) = u\left(\frac{C}{L}\right),$$

with equality if and only if  $c_i$  is the same for (almost) every member. So the cooperative household gives every member  $c(t) \equiv C(t)/L(t)$ , and the date- $t$  flow of utility is

$$L(t)u(c(t)) = e^{nt}u(c(t)).$$

Discounting at  $\rho$  therefore gives the objective

$$\int_0^\infty e^{-\rho t} e^{nt} u(c(t)) dt = \int_0^\infty e^{-(\rho-n)t} u(c(t)) dt,$$

which is (8.3). For the constraint, divide  $\dot{A} = rA + wL - cL$  by  $L(t)$  and use  $a = A/L$ , so that  $\dot{a} = \dot{A}/L - a\dot{L}/L$ :

$$\dot{a}(t) = r(t)a(t) + w(t) - c(t) - na(t) = (r(t) - n)a(t) + w(t) - c(t),$$

which is (8.8).

*Intuition.* Two adjustments turn a growing household into a single infinitely lived consumer. The *effective discount rate* falls from  $\rho$  to  $\rho - n$ : the household discounts the future at  $\rho$  but there are more members to enjoy it, at the rate  $n$ , and with utilitarian altruism the two effects net out. The *effective return* falls from  $r$  to  $r - n$ : assets have to be spread over a population growing at  $n$ , so per

capita assets earn only  $r - n$ . Both adjustments make the population growth rate behave exactly like a shift in impatience and in the return — which is why Assumption 4' requires  $\rho > n$ , so that the transformed problem still discounts.

### Exercise 8.3

*Accumulation with zero consumption.* With  $c \equiv 0$  the law of motion (8.7) is the linear differential equation  $\dot{A}(s) = r(s)A(s) + w(s)L(s)$ . Its solution with  $A(t) = 0$  is, by the integrating-factor formula,

$$A(T) = \int_t^T w(s)L(s) \exp\left(\int_s^T r(z) dz\right) ds,$$

so, discounting back to  $t$ ,

$$A(T) \exp\left(-\int_t^T r(z) dz\right) = \int_t^T w(s)L(s) \exp\left(-\int_t^s r(z) dz\right) ds \xrightarrow{T \rightarrow \infty} \bar{W}(t).$$

$\bar{W}(t)$  is thus the present value at  $t$  of the household's entire future labor income.

*Why the limit.* A household that never defaults must be able to repay its debt out of future resources. Consumption cannot be negative, so the largest present value it can ever devote to repayment is exactly  $\bar{W}(t)$ . Hence feasibility (in the absence of bankruptcy) requires

$$A(t) \geq -\bar{W}(t),$$

and any consumption-asset path violating this at some date is infeasible.

*Per capita form* (8.11). Divide by  $L(t)$  and use  $L(s) = L(t)e^{n(s-t)}$ :

$$a(t) = \frac{A(t)}{L(t)} \geq -\int_t^\infty w(s) \frac{L(s)}{L(t)} e^{-\int_t^s r(z) dz} ds = -\int_t^\infty w(s) \exp\left(-\int_t^s (r(z) - n) dz\right) ds,$$

which is (8.11): population growth discounts the future wage stream at the *effective* rate  $r - n$ , exactly as it discounts utility at  $\rho - n$ .

*Relation to (6.44).* The discrete-time limit reads  $a(t) \geq -\sum_{s \geq 0} [\prod_{j=0}^s (1 + r(t+j))^{-1}] w(t+s)$ . Replacing the product of gross returns by the exponential of the integral of the instantaneous rate, and the sum by an integral, gives (8.11): the two are the same statement — borrowing is limited by the present value of the endowment stream — written in the two time conventions.

### Exercise 8.4

Write  $q(t) \equiv \exp(-\int_0^t (r(s) - n) ds)$  for the effective discount factor, and let

$$\tilde{a}(t) \equiv a(t)q(t)$$

be discounted per capita assets. From (8.8),

$$\dot{\tilde{a}}(t) = q(t)[\dot{a}(t) - (r(t) - n)a(t)] = q(t)[w(t) - c(t)] \leq q(t)w(t), \quad (*)$$

using  $c \geq 0$ .

Suppose (8.11) fails at some finite  $t'$ , that is

$$a(t') < -\int_{t'}^\infty w(s) \exp\left(-\int_{t'}^s (r(z) - n) dz\right) ds,$$

equivalently, multiplying by  $q(t') > 0$ ,

$$\tilde{a}(t') < - \int_{t'}^{\infty} q(s)w(s) ds.$$

Integrating (\*) from  $t'$  to  $T$  and letting  $T \rightarrow \infty$ ,

$$\lim_{T \rightarrow \infty} \tilde{a}(T) \leq \tilde{a}(t') + \int_{t'}^{\infty} q(s)w(s) ds < 0.$$

So the discounted asset position converges to a strictly negative limit, which is precisely what (8.12) rules out: the household ends with debt whose present value does not vanish, so it could not have repaid it even with zero consumption from  $t'$  on. Hence (8.12) implies (8.11) at every date, and there is no loss of generality in imposing the single limiting constraint rather than a continuum of them.

*Remark.* The logic is the same one that makes a single terminal condition suffice in finite horizon: the budget set is defined by the flow constraint plus *one* solvency requirement, because the flow constraint already links all the dates. This is why the book can work with (8.12), and later with the no-Ponzi condition (8.14), rather than with the family (8.11).

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### Exercise 8.5

Equation (8.13) states, for every  $T > 0$ ,

$$\int_0^T c(t)L(t)e^{\int_t^T r(s)ds} dt + A(T) = \int_0^T w(t)L(t)e^{\int_t^T r(s)ds} dt + A(0)e^{\int_0^T r(s)ds}.$$

Differentiate both sides with respect to  $T$ . For a term of the form  $\Phi(T) = \int_0^T h(t)e^{\int_t^T r(s)ds} dt$ , Leibniz's rule gives

$$\dot{\Phi}(T) = h(T) + r(T)\Phi(T),$$

since differentiating the exponent brings down  $r(T)$  inside the integral. Applying this to both integrals and to the last term,

$$c(T)L(T) + r(T) \int_0^T c(t)L(t)e^{\int_t^T r} dt + \dot{A}(T) = w(T)L(T) + r(T) \int_0^T w(t)L(t)e^{\int_t^T r} dt + r(T)A(0)e^{\int_0^T r}.$$

Now use (8.13) itself to replace the two  $r(T) \times (\cdot)$  terms: their difference is  $r(T)[A(0)e^{\int_0^T r} + \int_0^T wLe^{\int_t^T r} - \int_0^T cLe^{\int_t^T r}] - r(T)A(0)e^{\int_0^T r} = r(T)A(T)$ . Hence

$$\dot{A}(T) = r(T)A(T) + w(T)L(T) - c(T)L(T),$$

which is (8.7). Dividing by  $L(T)$  and using  $a = A/L$  with  $\dot{L}/L = n$ , as in Exercise 8.1, gives

$$\dot{a}(t) = (r(t) - n)a(t) + w(t) - c(t),$$

which is (8.8). The two formulations are therefore equivalent: the lifetime constraint carried forward to any date  $T$  is the integrated version of the flow constraint.



**Exercise 8.6**

The transversality condition (8.19) of the household problem is

$$\lim_{t \rightarrow \infty} \left[ e^{-(\rho-n)t} \mu(t) a(t) \right] = 0.$$

From (8.24) — the integrated form of the costate equation (8.18) — the current-value costate is

$$\mu(t) = \mu(0) \exp\left(-\int_0^t (r(s) - \rho) ds\right), \quad \mu(0) = u'(c(0)) > 0.$$

Hence

$$e^{-(\rho-n)t} \mu(t) = \mu(0) \exp\left(-(\rho-n)t - \int_0^t r(s) ds + \rho t\right) = \mu(0) \exp\left(-\int_0^t (r(s) - n) ds\right),$$

so that (8.19) becomes

$$\mu(0) \lim_{t \rightarrow \infty} \left[ a(t) \exp\left(-\int_0^t (r(s) - n) ds\right) \right] = 0.$$

Since  $\mu(0) = u'(c(0)) > 0$ , the limit itself must vanish:

$$\lim_{t \rightarrow \infty} \left[ a(t) \exp\left(-\int_0^t (r(s) - n) ds\right) \right] = 0,$$

which is (8.16).

The role of (8.14) is to make this an equality rather than merely an upper bound. The no-Ponzi condition states that the same limit is  $\geq 0$ : the household may not end with debt of positive present value. Optimization then rules out the opposite slack: by the transversality condition the household does not end with *assets* of positive present value either, since those could have been consumed. Putting the two together gives (8.16), the statement that the lifetime budget constraint (8.15) holds with equality.

*Remark.* This is the continuous-time counterpart of the familiar finite-horizon simplification  $A(T) \geq 0$  plus local nonsatiation implying  $A(T) = 0$ . Financial markets impose the inequality; the household's own optimization supplies the equality.

**Exercise 8.8**

(a) *One direction.* Suppose  $\lim_{t \rightarrow \infty} a(t) \geq \hat{a} > -\infty$ , and note that in any equilibrium  $r(t) \rightarrow r^* > n$  (see (8.36)), so that  $\int_0^t (r(s) - n) ds \rightarrow \infty$  and the effective discount factor  $q(t) = \exp(-\int_0^t (r(s) - n) ds)$  tends to 0. Then for large  $t$ ,  $a(t) \geq \hat{a} - \varepsilon$ , so

$$a(t)q(t) \geq (\hat{a} - \varepsilon)q(t) \rightarrow 0,$$

whence  $\lim_{t \rightarrow \infty} a(t)q(t) \geq 0$ , which is (8.14). A bounded debt is always repayable in present value.

*The converse fails.* Take  $w(t) = e^{gt}w(0)$  and  $r(t) = r$  constant, and consider the asset path

$$a(t) = -Me^{(r-n)t/2}, \quad M > 0.$$

Then  $a(t)q(t) = -Me^{-(r-n)t/2} \rightarrow 0$ , so (8.14) holds with equality, yet  $a(t) \rightarrow -\infty$ , so (8.12) cannot hold with any finite  $\hat{a}$ . Debt that grows, but more slowly than the interest factor, is ruled out by the natural debt limit only if that limit is finite — and the no-Ponzi condition permits it.

(b) *With sustained growth the natural debt limit is vacuous.* The relaxed limit (8.12) bounds assets below by

$$\hat{a} = -\lim_{t \rightarrow \infty} \bar{w}(t), \quad \bar{w}(t) \equiv \int_t^\infty w(s) \exp\left(-\int_t^s (r(z) - n) dz\right) ds.$$

Along the BGP of Section 8.7 wages grow at the rate  $g$  and the interest rate is constant at  $r^* = \rho + \theta g$ , so

$$\bar{w}(t) = \frac{w(t)}{r^* - n - g} = \frac{w(0)e^{gt}}{\rho - n - (1 - \theta)g},$$

which is finite at each date — exactly Assumption 4 — but grows without bound. Hence  $\hat{a} = -\lim_{t \rightarrow \infty} \bar{w}(t) = -\infty$ : the constraint set is unbounded below, so there is no lower bound on the state variable, and the compactness-type hypotheses behind THEOREMS 7.13 and 7.14 (in particular the requirement in Theorem 7.14 that  $\lim e^{-(\rho-n)t} \mu(t)a(t) \geq 0$  for *all* feasible paths) cannot be verified from the natural debt limit. The no-Ponzi condition (8.14) supplies exactly that requirement directly, which is why the book adopts it.

### Exercise 8.9

Let  $r(t) \rightarrow r^* > n$  and  $w(t) \rightarrow w < \infty$ . Choose  $\varepsilon > 0$  with  $r^* - \varepsilon > n$  and a date  $T$  such that for all  $s \geq T$ ,

$$r(s) \geq r^* - \varepsilon \quad \text{and} \quad w(s) \leq w + \varepsilon.$$

Then for every  $t \geq T$ ,

$$\bar{w}(t) = \int_t^\infty w(s) \exp\left(-\int_t^s (r(z) - n) dz\right) ds \leq (w + \varepsilon) \int_t^\infty e^{-(r^* - \varepsilon - n)(s-t)} ds = \frac{w + \varepsilon}{r^* - \varepsilon - n} < \infty,$$

a bound independent of  $t$ . Hence

$$\hat{a} = -\lim_{t \rightarrow \infty} \bar{w}(t) \geq -\frac{w + \varepsilon}{r^* - \varepsilon - n} > -\infty.$$

The two hypotheses are exactly what is needed, and each is indispensable. If  $r^* \leq n$  the geometric discounting at the effective rate  $r - n$  fails and the integral diverges even for constant wages; if wages grow without bound — the case of technological progress in Exercise 8.8(b) — the numerator grows faster than the discounting shrinks. In the model without technological progress both hold at the steady state:  $r^* = f'(k^*) - \delta = \rho > n$  by Assumption 4', and  $w^* = f(k^*) - k^* f'(k^*) < \infty$ .

### Exercise 8.10

(a) *Same necessary conditions, same solution.* Consider maximizing (8.3) subject to (8.8) and  $\lim_{t \rightarrow \infty} a(t) \geq \hat{a}$  with  $\hat{a} > -\infty$ . The current-value Hamiltonian is the same as in Section 8.2.2,

$$\hat{H}(t, a, c, \mu) = u(c) + \mu[w(t) + (r(t) - n)a - c],$$

and the state is now bounded below, so THEOREM 7.13 applies and yields the same candidate conditions (8.17)–(8.19):  $u'(c) = \mu$ ,  $\dot{\mu}/\mu = -(r - \rho)$  and  $\lim e^{-(\rho-n)t} \mu(t)a(t) = 0$ . Concavity of  $\hat{H}$  in  $(a, c)$  then makes THEOREM 7.14 applicable, so these conditions are also sufficient.

It remains to check that the extra constraint does not bind. By Exercise 8.6, the transversality condition is equivalent to  $\lim a(t)q(t) = 0$  with  $q(t) = \exp(-\int_0^t (r - n))$ . A path with  $\lim a(t) = \hat{a}$  finite also has  $\lim a(t)q(t) = 0$ , so the constraint is satisfied with slack at the optimum: the household never wants to run its debt down to the natural limit, since doing so would require zero consumption forever, which is dominated whenever  $u'(0) > 0$ . Hence the two problems have the same solution, characterized by the Euler equation (8.22) and (8.16).

(b) *In equilibrium.* Market clearing gives  $a(t) = k(t) \geq 0$ , and the equilibrium path converges to the steady state with

$$r^* = f'(k^*) - \delta = \rho > n \quad \text{and} \quad w^* = f(k^*) - k^* f'(k^*) < \infty$$

by Assumption 4' and (8.36). These are precisely the hypotheses of Exercise 8.9, so  $\hat{a} > -\infty$ : in the model without technological progress the natural debt limit is a legitimate way to close the household problem, and it gives the same answer as the no-Ponzi condition. (With technological progress it is not, by Exercise 8.8(b).)

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### Exercise 8.12

The two loci in Figure 8.1 are

$$\dot{c} = 0 : \quad f'(k) = \rho + \delta \quad (\text{a vertical line at } k^*), \quad \dot{k} = 0 : \quad c = f(k) - (n + \delta)k.$$

The second is a hump-shaped curve whose maximum is at the golden rule capital-labor ratio, defined by

$$\frac{d}{dk} [f(k) - (n + \delta)k] = 0 \quad \Longleftrightarrow \quad f'(k_{\text{gold}}) = n + \delta.$$

*The comparison.* Assumption 4' states  $\rho > n$ , hence

$$f'(k^*) = \rho + \delta > n + \delta = f'(k_{\text{gold}}),$$

and since  $f$  is strictly concave,  $f'$  is strictly decreasing, so

$$k^* < k_{\text{gold}}.$$

The vertical line therefore always cuts the hump on its *upward-sloping* portion, strictly to the left of the peak. With the parameters of the accompanying program ( $\alpha = 1/3$ ,  $\delta = 0.05$ ,  $\rho = 0.02$ ,  $n = 0.01$ ,  $g = 0.02$ ,  $\theta = 1$ , so that the relevant comparison is  $f'(k^*) = \rho + \delta + \theta g = 0.09$  against  $f'(k_{\text{gold}}) = n + g + \delta = 0.08$ ):

$$k^* = 7.1278 < k_{\text{gold}} = 8.5052.$$

*Why they differ.* The golden rule maximizes *steady-state* consumption, treating all dates alike. The household does not: it discounts future utility at  $\rho > n$ , so it is unwilling to give up consumption today in order to raise consumption in a distant steady state. The modified golden rule (8.35) equates the net marginal product of capital to the discount rate rather than to the replacement requirement, and since  $\rho > n$  the household stops accumulating short of  $k_{\text{gold}}$ .

Two consequences are worth recording. First, the neoclassical economy is never dynamically inefficient: because  $k^* < k_{\text{gold}}$ , there is no way to raise consumption at all dates by cutting capital, in contrast to the Solow model with an arbitrarily high saving rate. Second, the gap between  $k^*$  and

$k_{\text{gold}}$  is a pure measure of impatience — it closes as  $\rho \downarrow n$  and widens as households become less patient.

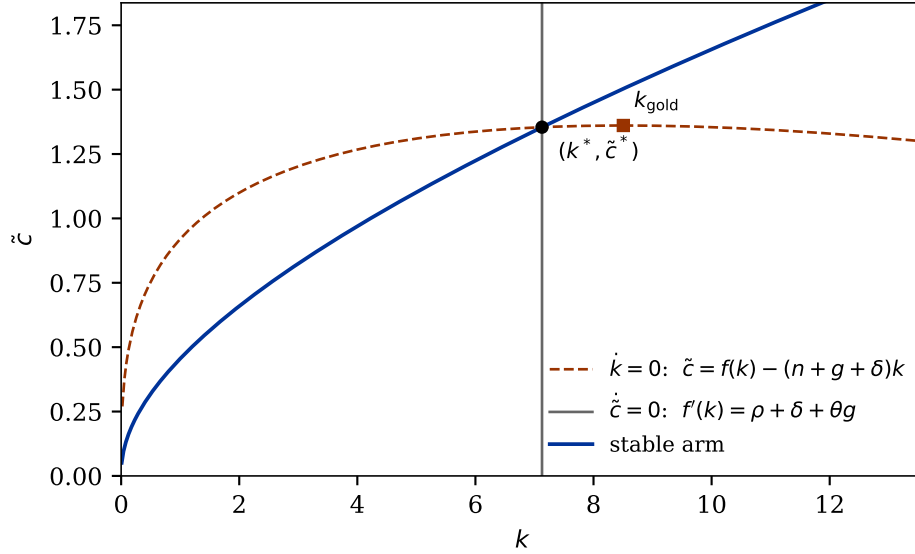


FIGURE 6. The neoclassical phase diagram: the vertical  $\dot{c} = 0$  locus cuts the hump-shaped  $\dot{k} = 0$  locus strictly to the left of  $k_{\text{gold}}$ , and the stable arm is the unique equilibrium path.

#### Exercise 8.14

(a) *What happens at and after  $T$ .* Output per capita is  $f(k)$  with  $f(0) = 0$  (Assumption 2), and capital cannot be negative, so once  $k(T) = 0$  the economy has no resources: feasibility forces

$$c(t) = 0 \quad \text{and} \quad k(t) = 0 \quad \text{for all } t \geq T.$$

Along the approach, the interest rate is  $r(t) = f'(k(t)) - \delta$ , and the Inada condition  $\lim_{k \rightarrow 0} f'(k) = \infty$  gives

$$\lim_{t \rightarrow T} r(t) = \infty.$$

Capital becomes infinitely scarce, so its rental rate explodes.

(b) *A profitable deviation.* Consider a household that, at some  $t' < T$ , reduces consumption by a small  $\epsilon > 0$  for an instant and saves the proceeds until  $T$ . The utility cost, in date-0 units, is approximately

$$\text{cost} \simeq \epsilon e^{-(\rho-n)t'} u'(c(t')) < \infty,$$

which is finite because  $c(t') > 0$  for  $t' < T$ . The saving accumulates at the market rate, so at  $T$  the household has  $\epsilon \exp(\int_{t'}^T r(t) dt)$  extra units to consume, at a marginal utility of  $u'(0) \geq u'(c(t'))$  (and  $u'(0) = \infty$  if  $u$  satisfies an Inada condition). The utility gain is approximately

$$\text{gain} \simeq \epsilon \exp\left(-(\rho - n)T + \int_{t'}^T r(t) dt\right) u'(0).$$

Since  $u'(0) \geq u'(c(t'))$ , the deviation is profitable as soon as

$$\exp\left(-(\rho - n)T + \int_{t'}^T r(t) dt\right) > e^{-(\rho - n)t'} \iff \frac{1}{T - t'} \int_{t'}^T r(t) dt > \rho - n.$$

By part (a),  $r(t) \rightarrow \infty$  as  $t \rightarrow T$ , so the average of  $r$  over  $[t', T]$  diverges as  $t' \uparrow T$ , while  $\rho - n$  is a fixed finite number. Hence for  $t'$  close enough to  $T$  the inequality holds strictly: every household strictly prefers to save rather than follow the candidate path.

Therefore the candidate is not consistent with household optimization and cannot be an equilibrium. Equilibrium paths never exhaust the capital stock in finite time — this is the content of the lower branch of Figure 8.1 being ruled out, and it is what leaves the stable arm as the unique equilibrium.

### Exercise 8.16

The household now values only consumption *per member*, without weighting by the number of members: it is no longer utilitarian over its own members but treats the representative member's consumption as the object of interest. The budget constraint is unchanged, since it is an accounting identity:  $\dot{a} = (r - n)a + w - c$ .

*Necessary conditions.* The current-value Hamiltonian is

$$\hat{H}(t, a, c, \mu) = u(c) + \mu[w + (r - n)a - c],$$

discounted at  $\rho$  rather than  $\rho - n$ , so THEOREM 7.13 gives

$$u'(c) = \mu, \quad \rho\mu - \dot{\mu} = \mu(r - n) \iff \frac{\dot{\mu}}{\mu} = -(r - n - \rho),$$

and hence the Euler equation

$$\frac{\dot{c}(t)}{c(t)} = \frac{1}{\varepsilon_u(c(t))} (r(t) - n - \rho).$$

The transversality condition becomes

$$\lim_{t \rightarrow \infty} \left[ e^{-\rho t} \mu(t) a(t) \right] = 0,$$

with  $e^{-\rho t}$  in place of  $e^{-(\rho - n)t}$ .

*Steady state.* Setting  $\dot{c} = 0$  gives  $r^* = \rho + n$ , and with  $r = f'(k) - \delta$ ,

$$f'(k^*) = \rho + n + \delta.$$

Comparing with (8.35): population growth now *does* affect the steady state, and

$$\frac{\partial k^*}{\partial n} = \frac{1}{f''(k^*)} < 0,$$

whereas in the baseline model  $\partial k^* / \partial n = 0$  (PROPOSITION 8.3). Faster population growth lowers the steady-state capital-labor ratio and hence output per capita.

*Why.* In the baseline model two effects of population growth cancel exactly: assets must be spread over more people, which lowers the effective return to  $r - n$ , but the household also values the consumption of its new members, which lowers the effective discount rate to  $\rho - n$ . Here only the first effect is present — the household does not care that there are more members to enjoy consumption — so saving must earn  $\rho + n$  rather than  $\rho$  to be worthwhile, and the capital stock is

correspondingly lower. Finally, discounting now requires only  $\rho > 0$  rather than  $\rho > n$ : Assumption 4' can be weakened accordingly.

### Exercise 8.17

With  $f(k) = A\tilde{f}(k)$  the steady state (8.35) is

$$A\tilde{f}'(k^*) = \rho + \delta, \quad (*)$$

and steady-state consumption is  $c^* = A\tilde{f}(k^*) - (n + \delta)k^*$  by (8.37).

*The capital-labor ratio.* Differentiating (\*) implicitly, and using  $\tilde{f}'' < 0$ ,

$$\frac{\partial k^*}{\partial A} = -\frac{\tilde{f}'(k^*)}{A\tilde{f}''(k^*)} > 0, \quad \frac{\partial k^*}{\partial \rho} = \frac{\partial k^*}{\partial \delta} = \frac{1}{A\tilde{f}''(k^*)} < 0, \quad \frac{\partial k^*}{\partial n} = 0,$$

the last because  $n$  does not appear in (\*) at all: the effective return  $r - n$  and the effective discount rate  $\rho - n$  shift together, as Exercise 8.16 makes explicit.

*Consumption.* Differentiating  $c^*$  and using (\*) to substitute  $A\tilde{f}'(k^*) = \rho + \delta$ ,

$$\frac{\partial c^*}{\partial x} = [A\tilde{f}'(k^*) - (n + \delta)] \frac{\partial k^*}{\partial x} + \frac{\partial}{\partial x} \Big|_{k^* \text{ fixed}} = (\rho - n) \frac{\partial k^*}{\partial x} + \frac{\partial}{\partial x} \Big|_{k^* \text{ fixed}},$$

where the second term collects the direct effect. Since  $\rho > n$  by Assumption 4', the coefficient  $(\rho - n)$  is strictly positive, so the indirect effect always has the same sign as  $\partial k^*/\partial x$ . Hence

$$\begin{aligned} \frac{\partial c^*}{\partial A} &= \tilde{f}(k^*) + (\rho - n) \frac{\partial k^*}{\partial A} > 0, & \frac{\partial c^*}{\partial \rho} &= (\rho - n) \frac{\partial k^*}{\partial \rho} < 0, \\ \frac{\partial c^*}{\partial n} &= -k^* < 0, & \frac{\partial c^*}{\partial \delta} &= (\rho - n) \frac{\partial k^*}{\partial \delta} - k^* < 0. \end{aligned}$$

This is PROPOSITION 8.3.

*Remark.* The positivity of  $\rho - n$  is doing real work here, and it is the same fact as Exercise 8.12: because  $k^* < k_{\text{gold}}$ , the economy is on the upward-sloping part of the steady-state consumption curve, so anything that raises  $k^*$  also raises  $c^*$ . In the Solow model, where the saving rate is a free parameter, this is not guaranteed — an economy above the golden rule raises consumption by saving *less* (Exercise 8.19 pursues this contrast).

### Exercise 8.18

*Without technological progress.* The Euler equation (8.22) is

$$\frac{\dot{c}(t)}{c(t)} = \frac{1}{\varepsilon_u(c(t))} (r(t) - \rho).$$

In a steady state consumption per capita is constant,  $\dot{c} = 0$ ; since  $\varepsilon_u(c)$  is finite and positive, the *only* way to have  $\dot{c} = 0$  is

$$r^* = \rho \quad \Longleftrightarrow \quad f'(k^*) = \rho + \delta,$$

whatever the shape of  $u$ . The utility function drops out because it enters the Euler equation only through the factor  $1/\varepsilon_u$  multiplying  $r - \rho$ , and multiplying zero by any finite number gives zero. What  $u$  does affect is the *speed* of the transition:  $\varepsilon_u$  governs how fast consumption responds to a given gap between  $r$  and  $\rho$ , and hence the eigenvalue of the linearized system.

*With technological progress.* Now per capita consumption grows at the rate  $g$  in the BGP, so the left-hand side of the Euler equation is no longer zero. With CRRA preferences (8.49),  $\varepsilon_u \equiv \theta$ , and a steady state with  $\dot{c}/c = g$  requires

$$g = \frac{1}{\theta}(r^* - \rho) \quad \Longleftrightarrow \quad r^* = \rho + \theta g \quad \Longleftrightarrow \quad f'(k^*) = \rho + \delta + \theta g,$$

which is (8.53): the elasticity now appears. The economics is transparent. A growing consumption path means that marginal utility is falling over time, and the rate at which it falls is  $\theta g$ . The household is willing to hold capital only if its return compensates it both for impatience,  $\rho$ , and for the fact that the extra consumption arrives when it is already better off,  $\theta g$ . The less willing the household is to substitute consumption across time (the larger  $\theta$ , the smaller the elasticity  $1/\theta$ ), the larger the required return and the smaller the steady-state effective capital-labor ratio.

In one sentence: preferences matter for the steady state only when marginal utility is changing along it, and that happens exactly when there is growth.

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### Exercise 8.20

On the BGP consumption per capita grows at the constant rate  $g$ , so  $c(t) = c(0)e^{gt}$ , and with CRRA preferences (8.49) the objective is

$$U = \int_0^\infty e^{-(\rho-n)t} \frac{c(t)^{1-\theta} - 1}{1-\theta} dt = \frac{c(0)^{1-\theta}}{1-\theta} \int_0^\infty e^{-[(\rho-n)-(1-\theta)g]t} dt - \frac{1}{1-\theta} \int_0^\infty e^{-(\rho-n)t} dt.$$

The second integral converges if and only if  $\rho > n$ , which is Assumption 4' and is implied by Assumption 4 whenever  $\theta \leq 1$ ; the first converges if and only if its exponent is negative:

$$(\rho - n) - (1 - \theta)g > 0 \quad \Longleftrightarrow \quad \rho - n > (1 - \theta)g,$$

which is exactly Assumption 4. When it holds,

$$U = \frac{c(0)^{1-\theta}}{(1-\theta)[\rho - n - (1-\theta)g]} - \frac{1}{(1-\theta)(\rho - n)} < \infty;$$

when it fails, the first integral diverges, and  $U = +\infty$  for  $\theta < 1$  (so no allocation can be optimal and the maximization problem is not well posed).

For the logarithmic case  $\theta = 1$  the computation is direct:  $u(c(t)) = \log c(0) + gt$ , so

$$U = \int_0^\infty e^{-(\rho-n)t} [\log c(0) + gt] dt = \frac{\log c(0)}{\rho - n} + \frac{g}{(\rho - n)^2},$$

finite if and only if  $\rho > n$ , which is Assumption 4 with  $\theta = 1$  since  $(1 - \theta)g = 0$ .

*Remark.* The condition has a clean reading: the effective discount rate  $\rho - n$  must exceed the growth rate of *utility*, which is  $(1 - \theta)g$  rather than  $g$  itself, because a household with a low intertemporal elasticity ( $\theta$  large) values additional consumption less as it grows richer. For  $\theta \geq 1$  Assumption 4 is implied by  $\rho > n$ , which is Exercise 8.29.

**Exercise 8.21**

The problem is to maximize (8.49) subject to (8.8) and the no-Ponzi condition (8.14). The current-value Hamiltonian is

$$\widehat{H}(t, a, c, \mu) = \frac{c^{1-\theta} - 1}{1-\theta} + \mu(t)[w(t) + (r(t) - n)a - c].$$

THEOREM 7.14 requires three things.

- (1) *A well-defined, finite objective.* By Exercise 8.20, Assumption 4 is exactly the condition under which the integral converges along the BGP (and hence along any path converging to it), so the value function is finite.
- (2) *Concavity.*  $\widehat{H}$  is the sum of a strictly concave function of  $c$  and a function that is linear in  $(a, c)$ , hence concave in  $(a, c)$  and strictly concave in  $c$ . By Exercise 7.7 the maximized Hamiltonian is concave in the state, so the concavity hypothesis holds.
- (3) *The limiting condition.* THEOREM 7.14 needs  $\lim_{t \rightarrow \infty} e^{-(\rho-n)t} \mu(t)a(t) \geq 0$  for every feasible  $(a(t), c(t))$ . Substituting  $\mu(t) = \mu(0) \exp(-\int_0^t (r - \rho) ds)$  as in Exercise 8.6, this is

$$\lim_{t \rightarrow \infty} \left[ a(t) \exp\left(-\int_0^t (r(s) - n) ds\right) \right] \geq 0,$$

which is precisely the no-Ponzi condition (8.14): no feasible path violates it, by construction of the constraint set.

Hence any path satisfying the necessary conditions (8.17)–(8.19) is a global maximum, and by strict concavity in  $c$  it is the unique one.

*If Assumption 4 fails.* Then  $\rho - n \leq (1 - \theta)g$  and, by Exercise 8.20, utility along the BGP is infinite. Every feasible path that grows at rate  $g$  yields  $+\infty$ , so there is no meaningful ranking of allocations: the maximization problem has no solution in the usual sense, the value function is not finite, and THEOREM 7.14 — whose statement presumes a finite objective — cannot be applied. The transversality condition (8.52) also fails, since the exponent  $\rho - n - (1 - \theta)g$  is no longer positive. Economically, the household is too patient relative to the growth rate of the economy: it would always postpone consumption, and no equilibrium with a well-defined intertemporal allocation exists.

**Exercise 8.22**

With labor-augmenting progress at rate  $g$  and CRRA preferences, the equilibrium is characterized by the planar system

$$\dot{k}(t) = f(k(t)) - \tilde{c}(t) - (n + g + \delta)k(t), \quad \frac{d\tilde{c}/dt}{\tilde{c}} = \frac{1}{\theta} [f'(k(t)) - \delta - \rho - \theta g], \quad (*)$$

with  $k(0) > 0$  given and the transversality condition (8.52).

*Step 1: a unique steady state with positive consumption.* Setting the second equation to zero gives  $f'(k^*) = \rho + \delta + \theta g$ , which has a unique positive solution because  $f'$  is continuous, strictly decreasing and, by Assumption 2, ranges over  $(0, \infty)$ . Setting the first to zero at  $k^*$  gives  $\tilde{c}^* =$



$f(k^*) - (n + g + \delta)k^*$ , and this is strictly positive because

$$f'(k^*) = \rho + \delta + \theta g > n + g + \delta \quad \Longleftrightarrow \quad \rho - n > (1 - \theta)g,$$

which is Assumption 4. So  $k^* < k_{\text{gold}}$  and the steady state lies on the upward-sloping part of the  $\dot{k} = 0$  locus, where  $f(k) - (n + g + \delta)k > 0$ .

*Step 2: the steady state is a saddle.* The Jacobian of  $(*)$  at  $(k^*, \tilde{c}^*)$  is

$$J = \begin{pmatrix} f'(k^*) - (n + g + \delta) & -1 \\ \frac{\tilde{c}^* f''(k^*)}{\theta} & 0 \end{pmatrix}, \quad \text{tr } J = \rho - n - (1 - \theta)g > 0, \quad \det J = \frac{\tilde{c}^* f''(k^*)}{\theta} < 0,$$

using  $f'' < 0$  and  $\tilde{c}^* > 0$ . A negative determinant means the two eigenvalues are real and of opposite sign,

$$\xi_1 = \frac{1}{2} \left[ \text{tr } J - \sqrt{(\text{tr } J)^2 - 4 \det J} \right] < 0 < \xi_2,$$

so the steady state is a saddle point with a one-dimensional stable manifold. With the parameters of the program ( $\alpha = 1/3$ ,  $\delta = 0.05$ ,  $\rho = 0.02$ ,  $n = 0.01$ ,  $g = 0.02$ ,  $\theta = 1$ ) the eigenvalues are  $-0.1019$  and  $+0.1119$ .

*Step 3: the stable arm is the unique equilibrium.* Fix  $k(0) > 0$ . There is exactly one value  $\tilde{c}(0)$  on the stable manifold, and starting from it the path converges to  $(k^*, \tilde{c}^*)$ . Any other choice of  $\tilde{c}(0)$  leads off the manifold, and the phase diagram leaves only two possibilities:

- $\tilde{c}(0)$  too high: the path crosses the  $\dot{k} = 0$  locus and capital falls, reaching  $k = 0$  in finite time. By Exercise 8.14 such a path cannot be an equilibrium — households would deviate, since the interest rate diverges as capital vanishes.
- $\tilde{c}(0)$  too low: consumption falls to zero while capital rises above  $k_{\text{gold}}$  toward the level  $\bar{k}$  with  $f'(\bar{k}) < \delta + g + n$ . Then the exponent in the transversality condition (8.52) stays bounded away from  $-\infty$ , so  $\lim k(t) \exp(-\int_0^t [f'(k) - g - \delta - n]) > 0$ : the condition fails, and by THEOREM 7.14 the path is dominated. It is also plainly wasteful — the economy accumulates capital it never consumes.

Hence for each  $k(0) > 0$  there is a unique equilibrium, the one starting on the stable arm.

*Step 4: convergence is monotone.* Along the stable arm the sign of  $\dot{k}$  does not change: the arm lies below the  $\dot{k} = 0$  locus for  $k < k^*$  and above it for  $k > k^*$ , and it cannot cross either locus without leaving the manifold. Therefore  $k(t)$  moves monotonically to  $k^*$  and, since  $\tilde{c}$  is an increasing function of  $k$  along the arm (its slope is  $\text{tr } J - \xi_1 > 0$ , equal to 0.1119 in the numerical example, which the program confirms against a numerically traced arm, 0.1123), normalized consumption converges monotonically to  $\tilde{c}^*$  as well. This establishes PROPOSITION 8.7.

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### Exercise 8.24

Set  $\theta = 1$  in (8.55) and (8.56). With  $x \equiv k^{\alpha-1}$  (so that  $x = f(k)/k$  is the average product of capital) and  $z \equiv \tilde{c}/k$ , the system becomes

$$\frac{\dot{x}}{x} = -(1 - \alpha)[x - \delta - g - n - z], \quad \frac{\dot{z}}{z} = z - (1 - \alpha)x - (\rho - n). \quad (*)$$

*The steady state in closed form.* From the second equation  $\dot{z} = 0$  gives  $z^* = (1 - \alpha)x^* + \rho - n$ , and from the first  $x^* = \delta + g + n + z^*$ . Solving the two,

$$x^* = \frac{\rho + \delta + g}{\alpha}, \quad z^* = x^* - (\delta + g + n) = \frac{\rho + \delta + g}{\alpha} - (\delta + g + n),$$

equivalently  $k^* = [\alpha/(\rho + \delta + g)]^{1/(1-\alpha)}$  and  $\tilde{c}^* = f(k^*) - (n + g + \delta)k^*$ , which is (8.53)–(8.54) with  $\theta = 1$ .

*The transition in closed form.* The system (\*) is a planar quadratic system and does not have an elementary general solution, but its behavior near the BGP does, and that is what the transitional dynamics require. Linearizing the original system in  $(k, \tilde{c})$  at the steady state, as in Exercise 8.22 with  $\theta = 1$ ,

$$\begin{aligned} \text{tr } J &= \rho - n, & \det J &= \tilde{c}^* f''(k^*) = -\frac{(1 - \alpha)(\rho + \delta + g)\tilde{c}^*}{k^*}, \\ \xi_{1,2} &= \frac{(\rho - n) \mp \sqrt{(\rho - n)^2 + 4(1 - \alpha)(\rho + \delta + g)\tilde{c}^*/k^*}}{2}, & \xi_1 &< 0 < \xi_2, \end{aligned}$$

and along the stable arm the solution is, in closed form,

$$\boxed{k(t) = k^* + (k(0) - k^*)e^{\xi_1 t}, \quad \tilde{c}(t) = \tilde{c}^* + (\rho - n - \xi_1)(k(0) - k^*)e^{\xi_1 t}}$$

the coefficient  $\rho - n - \xi_1 = \text{tr } J - \xi_1 > 0$  being the slope of the stable arm, obtained from the eigenvector of  $J$  associated with  $\xi_1$ . The speed of convergence is  $|\xi_1|$ , so the half-life of the transition is  $\log 2/|\xi_1|$ . With  $\alpha = 1/3$ ,  $\delta = 0.05$ ,  $\rho = 0.02$ ,  $n = 0.01$ ,  $g = 0.02$ :

$$k^* = 7.1278, \quad \tilde{c}^* = 1.3543, \quad \xi_1 = -0.1019, \quad \xi_2 = +0.1119, \quad \text{slope} = 0.1119, \quad \text{half-life} = 6.80.$$

The program checks the closed-form slope against a numerically traced stable arm (0.1123).

*Remark.* There is one parameter configuration in which (\*) can be solved exactly rather than only near the BGP: when  $\theta = \alpha$ , the term  $(\alpha - \theta)x$  in (8.56) vanishes and the  $z$  equation decouples,

$$\frac{\dot{z}}{z} = z - \frac{\rho}{\alpha} + n - \frac{(1 - \alpha)\delta}{\alpha},$$

a logistic equation with an explicit solution, after which  $x(t)$  follows by quadrature. This is the closed-form case identified by Smith (2006); with logarithmic preferences ( $\theta = 1$ ) the coupling is present and the linearized solution above is the appropriate closed form.

### Exercise 8.26

The problem is

$$\max \sum_{t=0}^{\infty} \beta^t \log c(t) \quad \text{s.t.} \quad k(t+1) = k(t)^\alpha - c(t), \quad k(0) > 0,$$

full depreciation making the resource constraint this simple.

*Euler equation and steady state.* The Euler equation (6.50) is

$$\frac{1}{c(t)} = \beta \alpha k(t+1)^{\alpha-1} \frac{1}{c(t+1)}.$$

In a steady state  $c(t) = c^*$  and  $k(t) = k^*$ , so  $1 = \beta\alpha(k^*)^{\alpha-1}$  and

$$k^* = (\alpha\beta)^{\frac{1}{1-\alpha}}, \quad c^* = (k^*)^\alpha - k^* = (\alpha\beta)^{\frac{\alpha}{1-\alpha}}(1 - \alpha\beta).$$

This is the discrete-time counterpart of (8.35): the marginal product of capital,  $\alpha(k^*)^{\alpha-1}$ , equals the gross discount rate  $1/\beta$ .

*The exact policy rule.* Guess that a constant fraction of output is saved,  $k(t+1) = sk(t)^\alpha$ , so that  $c(t) = (1-s)k(t)^\alpha$ . Substituting into the Euler equation,

$$\frac{1}{(1-s)k(t)^\alpha} = \beta\alpha(sk(t)^\alpha)^{\alpha-1} \frac{1}{(1-s)(sk(t)^\alpha)^\alpha} \implies s = \alpha\beta,$$

after cancelling. So the exact optimal policy is

$$\boxed{c(t) = (1 - \alpha\beta)k(t)^\alpha, \quad k(t+1) = \alpha\beta k(t)^\alpha}$$

— the saving rate is constant at  $\alpha\beta$ , exactly as in the Solow model but here derived rather than assumed. (That the guess is the solution follows from uniqueness: the policy function of the concave dynamic programming problem is unique by COROLLARY 6.1, and this candidate satisfies the Euler equation and the transversality condition.)

*The transition, exactly.* Taking logarithms of the law of motion,

$$\log k(t+1) = \log(\alpha\beta) + \alpha \log k(t) \implies \log k(t) - \log k^* = \alpha^t [\log k(0) - \log k^*],$$

since  $\log k^* = \log(\alpha\beta)/(1-\alpha)$  is the fixed point. The economy converges monotonically to  $k^*$ , and the log gap closes at the exact geometric rate  $\alpha$  per period — a rare case in which the entire transition, not merely its linearization, is available in closed form. With  $\alpha = 1/3$ ,  $\beta = 0.96$  and  $k(0) = 0.2k^*$  the iterated and closed-form paths agree to every printed digit ( $k^* = 0.181019$ ,  $k(1) = 0.105861$ ,  $k(5) = 0.179824$ ).

*Remark.* The knife-edge assumption is full depreciation: with  $\delta < 1$  the resource constraint becomes  $k(t+1) = k(t)^\alpha + (1-\delta)k(t) - c(t)$ , the constant-saving-rate guess fails, and no closed form is known. It is worth noting that here the neoclassical model reproduces the Solow model exactly, with the saving rate pinned down by preferences as  $\alpha\beta$  rather than left free.

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### Exercise 8.28

(a) *Faster technological progress.* The steady state (8.53) is  $f'(k^*) = \rho + \delta + \theta g$ , so a rise from  $g$  to  $g' > g$  raises the required marginal product and *lowers* the steady-state effective capital-labor ratio  $k^*$ ; it also lowers  $\tilde{c}^* = f(k^*) - (n + g + \delta)k^*$ , both because  $k^*$  falls (and the economy is to the left of the golden rule, where the curve is increasing) and because the replacement requirement  $n + g + \delta$  rises. The growth rate of consumption per capita rises from  $g$  to  $g'$ .

On impact,  $k$  is predetermined and  $\tilde{c}$  jumps onto the new stable arm. Since the economy starts at the old  $k^*$ , which exceeds the new  $k^*$ , it is to the *right* of the new steady state, and the arm is upward sloping there: normalized consumption therefore jumps above its new steady-state level, and  $k$  falls monotonically toward the new  $k^*$ .

Whether *actual* consumption  $c(0) = A(0)\tilde{c}(0)$  rises or falls is genuinely ambiguous, and the ambiguity is the familiar one between income and substitution effects:

- faster growth makes the household richer in present-value terms, which pushes consumption up now (income effect);
- it also raises the equilibrium interest rate to  $r^* = \rho + \theta g'$ , making future consumption cheaper, which pushes consumption down now (substitution effect).

With CRRA preferences the two are balanced by  $\theta$ : the substitution effect dominates when  $\theta < 1$  (intertemporal elasticity  $1/\theta > 1$ ), so consumption falls on impact and saving rises; the income effect dominates when  $\theta > 1$ , so consumption rises; and for  $\theta = 1$  (log) the two exactly cancel in the sense that the consumption-wealth ratio is unchanged.

(b) *An announced future tax cut.* Assume, as in Section 8.8, that the tax proceeds are rebated lump-sum, so that there is no wealth effect and only the intertemporal price changes. With a capital tax the steady state (8.57) is

$$f'(k^*) = \frac{\delta + \rho + \theta g}{1 - \tau},$$

so a lower  $\tau'$  lowers the required marginal product and *raises*  $k^*$  and  $\tilde{c}^*$ .

Between  $T$  and  $T'$  the old dynamics still apply — the tax is still  $\tau$  — but the path must arrive exactly on the *new* stable arm at  $T'$ , since from then on the new dynamics govern and only the new arm converges. The new arm passes through a steady state with higher  $k^*$ , so at  $T'$  the economy must have accumulated capital. This requires  $\dot{k} > 0$  between  $T$  and  $T'$ , that is, consumption below the  $\dot{k} = 0$  locus. Hence at the moment of the announcement consumption *jumps down*: households start saving immediately in anticipation of the higher after-tax return, capital rises between  $T$  and  $T'$ , and after  $T'$  the economy travels up the new stable arm to the new steady state, with consumption rising throughout and ending above its original level.

The contrast between the two parts is instructive: in (a) the change is immediate and the sign of the impact effect depends on  $\theta$ ; in (b) the change is anticipated, so the whole adjustment before  $T'$  is driven by the substitution effect alone, and its sign is unambiguous.

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### Exercise 8.29

With technological progress, the transversality condition (8.52) evaluated along the BGP reduces, as the book shows, to the requirement that

$$\rho - n - (1 - \theta)g > 0,$$

which is Assumption 4. If  $\theta > 1$  then  $(1 - \theta)g < 0$ , so the requirement becomes

$$\rho - n > (1 - \theta)g, \quad \text{with a negative right-hand side,}$$

which is implied by Assumption 4',  $\rho > n$  — the condition needed even in the model without growth. So for  $\theta > 1$  Assumption 4 imposes nothing beyond ordinary discounting, and the transversality condition holds automatically.

The reason is visible in the utility function. For  $\theta > 1$  the CRRA felicity  $(c^{1-\theta} - 1)/(1 - \theta)$  is negative and *bounded above* by  $1/(\theta - 1)$ : as consumption grows without bound, flow utility rises toward a finite ceiling. Growth therefore cannot make the discounted integral diverge, and the only requirement is that the discount factor itself be summable,  $\rho > n$ . For  $\theta < 1$  the felicity is

unbounded above and grows like  $c^{1-\theta} = c(0)^{1-\theta}e^{(1-\theta)gt}$ , so growth races against discounting and the extra condition  $\rho - n > (1 - \theta)g$  is needed; see Exercise 8.20.

*Remark.* Empirically this is reassuring rather than restrictive: most estimates of the intertemporal elasticity of substitution  $1/\theta$  lie below one, that is  $\theta > 1$ , so the canonical model's parameter restrictions are satisfied in the range of interest.

### Exercise 8.32

Each country  $j$  is a closed neoclassical economy with the same technology and the same  $\delta$ ,  $n$ ,  $g$  and  $\theta$ , differing only in its discount rate  $\rho_j$ . Its BGP effective capital-labor ratio solves

$$f'(k_j^*) = \rho_j + \delta + \theta g,$$

so with the Cobb–Douglas form  $f(k) = k^\alpha$ ,

$$k_j^* = \left[ \frac{\alpha}{\rho_j + \delta + \theta g} \right]^{\frac{1}{1-\alpha}}, \quad y_j^* = (k_j^*)^\alpha = \left[ \frac{\alpha}{\rho_j + \delta + \theta g} \right]^{\frac{\alpha}{1-\alpha}}.$$

All countries grow at the same rate  $g$ ; only the *level* of income per capita differs, and

$$\frac{y_j^*}{y_{j'}^*} = \left[ \frac{\rho_{j'} + \delta + \theta g}{\rho_j + \delta + \theta g} \right]^{\frac{\alpha}{1-\alpha}}, \quad \frac{d \log y^*}{d \log (\rho + \delta + \theta g)} = -\frac{\alpha}{1-\alpha}.$$

With a capital share of about  $\alpha = 1/3$  the elasticity is only  $-1/2$ , and it applies to  $\rho + \delta + \theta g$ , not to  $\rho$  alone — which is what makes the effect small.

*The numbers.* Take  $\delta = 0.05$ ,  $g = 0.02$ ,  $\theta = 1$ , and compare  $\rho = 0.02$  with  $\rho' = 0.022$  — a 10% difference in patience:

$$\frac{y^*(\rho')}{y^*(\rho)} = \left( \frac{0.090}{0.092} \right)^{1/2} = 0.9891,$$

a difference of only 1.1%. Even with no depreciation and no growth ( $\delta = g = 0$ ), where the discount rate is the whole of the required return,

$$\frac{y^*(\rho')}{y^*(\rho)} = \left( \frac{0.020}{0.022} \right)^{1/2} = 0.9535,$$

a difference of 4.7%.

*Interpretation.* Preference heterogeneity of a plausible size cannot account for cross-country income differences: a tenfold income gap would require  $(\rho_{j'} + \delta + \theta g)/(\rho_j + \delta + \theta g) = 10^2 = 100$ , that is discount rates differing by orders of magnitude. The reason is the same diminishing-returns arithmetic that limits the Solow model's ability to explain income differences through saving rates: with a capital share of one third, the elasticity of steady-state income with respect to any determinant of the capital stock is only  $\alpha/(1 - \alpha) = 1/2$ . This is precisely why the book turns from proximate to fundamental causes, and later to models in which technology itself differs across countries.

**Exercise 8.35**

*The two budget constraints.* The government finances a constant flow of spending  $g$  per capita with lump-sum taxes  $T(t)$  and debt  $b(t)$ :

$$\dot{b}(t) = r(t)b(t) + g - T(t), \quad \lim_{t \rightarrow \infty} \left[ b(t) \exp\left(-\int_0^t (r(s) - n) ds\right) \right] = 0.$$

Integrating forward and using the no-Ponzi condition gives the government's intertemporal budget constraint,

$$\int_0^\infty T(t)q(t) dt = b(0) + \int_0^\infty g q(t) dt, \quad q(t) \equiv \exp\left(-\int_0^t (r(s) - n) ds\right). \quad (*)$$

The household holds assets  $a(t) = k(t) + b(t)$  and faces

$$\dot{a}(t) = (r(t) - n)a(t) + w(t) - T(t) - c(t),$$

so, integrating forward with its own no-Ponzi condition,

$$\int_0^\infty c(t)q(t) dt = a(0) + \int_0^\infty [w(t) - T(t)]q(t) dt. \quad (**)$$

*The proof.* Substitute  $(*)$  into  $(**)$  and use  $a(0) = k(0) + b(0)$ :

$$\int_0^\infty c(t)q(t) dt = k(0) + b(0) + \int_0^\infty w(t)q(t) dt - \left[ b(0) + \int_0^\infty g q(t) dt \right] = k(0) + \int_0^\infty [w(t) - g]q(t) dt.$$

The path of taxes has disappeared, and so has the initial debt: the household's lifetime budget constraint depends only on the initial *capital* stock and on the present value of wages net of government spending. The household's problem — maximize (8.3) subject to this constraint — is therefore unchanged by any reshuffling of  $[T(t)]$  that satisfies  $(*)$ , so its consumption path is unchanged; and since  $k(t) = a(t) - b(t)$  and the resource constraint  $\dot{k} = f(k) - c - g - (n + \delta)k$  does not involve taxes either, the equilibrium path of the capital-labor ratio is unchanged as well. This is Ricardian equivalence.

*Interpretation.* Government debt is not net wealth. A tax cut today financed by borrowing must be paid for by higher taxes later whose present value is exactly equal; the infinitely lived household sees this, saves the entire tax cut, and leaves its consumption plan untouched. Only the *present value* of government spending matters, not how it is financed.

The result is a benchmark, not a description, and it is worth being explicit about what it assumes: taxes are lump-sum (distortionary taxes change relative prices, as in Exercise 8.39); the horizon is infinite with full altruism (in the overlapping generations models of Chapter 9 the future taxpayers are different people, and the equivalence fails); capital markets are perfect (binding borrowing constraints make the timing of taxes matter, as in Exercise 6.13); and there is no uncertainty about the incidence of future taxes.

**Exercise 8.36**

*Capital jumps immediately.* Firms are competitive and can rent as much capital as they like at the world rate, so the domestic marginal product must equal the world cost of capital at every instant:

$$f'(k(t)) - \delta = r^* \quad \implies \quad k(t) = k^o \equiv (f')^{-1}(r^* + \delta) \quad \text{for all } t > 0.$$

The capital-labor ratio is pinned down by the world interest rate alone, independently of preferences and of the country's own wealth, and it is reached *immediately*: if  $k(0) < k^o$  the economy imports the difference on the first instant, borrowing  $k^o - k(0)$  from abroad. There are no transitional dynamics in capital or in output — the entire adjustment happens at  $t = 0$  — which is the sharpest contrast with the closed economy, where convergence takes decades.

*Consumption.* The Euler equation is  $\dot{c}/c = (r^* - \rho)/\theta$ , so consumption grows, is constant or falls according to whether  $r^* \gtrless \rho$ . A steady state with constant consumption therefore requires the knife-edge condition

$$r^* = \rho,$$

which is the standard assumption in small open economy models; otherwise the country accumulates foreign assets without bound ( $r^* > \rho$ ) or runs its consumption down to zero ( $r^* < \rho$ ), and no steady state exists. Assume  $r^* = \rho$ . Then  $c(t) = c^*$  is constant and is determined by the country's intertemporal budget constraint: with net foreign debt  $d(t) = k(t) - a(t)$  and the no-Ponzi condition,

$$c^* = (r^* - n) \left[ a(0) + \int_0^\infty [w(t)] e^{-(r^* - n)t} dt \right],$$

that is, consumption equals the annuity value of national wealth — initial assets plus the present value of labor income.

*How the debt is repaid.* It is not repaid in the sense of being extinguished; it is *serviced* forever out of the higher output the imported capital makes possible. In the steady state,

$$c^* = f(k^o) - (n + \delta)k^o - (r^* - n)d,$$

so the country runs a permanent trade surplus of  $(r^* - n)d$  — the interest bill net of the growth of the population over which it is spread — while its debt-to-labor ratio  $d$  stays constant. The no-Ponzi condition requires exactly this: the present value of the debt must go to zero, which permits debt growing at rate  $n$  but not faster.

*Remark.* The comparison with the closed economy is the point of the exercise. Openness removes the *capital accumulation* channel entirely: income per worker is  $f(k^o)$  from the first instant, so cross-country differences in patience or initial capital show up in *consumption* and in net foreign asset positions, not in output. This is why the empirical failure of convergence is so hard to reconcile with open capital markets — the Lucas paradox of Chapter 1.

**Exercise 8.39**

*The Solow model.* Saving is a fixed fraction  $s$  of income, whatever the rate of return. A tax on capital income at the rate  $\tau$ , rebated lump-sum to households, changes the *distribution* of income but not its total: output is still  $f(k)$ , and total saving is still  $sf(k)$ . The fundamental law of motion

is therefore unchanged,

$$\dot{k}(t) = sf(k(t)) - (n + \delta)k(t),$$

and so is the steady state  $f(k^*)/k^* = (n + \delta)/s$ . The tax is neutral. (If instead the revenue were thrown away or spent on something outside the model, the effect would come through the resource constraint, not through behavior; the point is that no *behavioral* margin responds.)

*The neoclassical model.* Here saving is chosen, and what the household compares is its discount rate with the *after-tax* return

$$r(t) = (1 - \tau)f'(k(t)) - \delta.$$

The Euler equation (8.50) then gives, in a BGP with consumption growing at  $g$ ,  $r^* = \rho + \theta g$ , so that

$$f'(k^*) = \frac{\delta + \rho + \theta g}{1 - \tau},$$

which is (8.57). Since  $f'$  is strictly decreasing, a higher  $\tau$  raises the required pre-tax marginal product and therefore *lowers*  $k^*$ , output per effective worker, and consumption. With  $\alpha = 1/3$  the elasticity is again  $\alpha/(1 - \alpha) = 1/2$ , so a tax that raises the required return by 10% lowers steady-state income by about 5%.

*Why the difference.* In the Solow model the saving rate is a behavioral primitive that does not respond to prices, so a tax that changes the return to capital changes nothing that anyone decides. In the neoclassical model saving is the outcome of an intertemporal optimization, and the after-tax return *is* the relative price of future against present consumption. Taxing it drives a wedge between the marginal product of capital — what an extra unit of capital produces — and the rate at which households can convert consumption today into consumption tomorrow. Households equate their marginal rate of substitution to the after-tax return, firms equate the marginal product to the pre-tax return, and the wedge between the two shows up as a permanently lower capital stock.

This is a general lesson rather than a fact about capital taxes: whenever a model replaces a behavioral rule by optimization, policies that alter intertemporal prices acquire effects they did not have before. It is also why the neoclassical model, unlike the Solow model, can speak to the effects of policy and institutions on income levels — the theme the book takes up in Section 8.8 and in Part VIII.



## Chapter 9

# Growth with Overlapping Generations

The twenty-one exercises of Chapter 9 left unsolved in the instructor's manual: Exercises 9.2, 9.4, 9.5, 9.9–9.14, 9.18, 9.19, 9.22, 9.23, 9.25–9.31 and 9.33. The manual solves 9.1, 9.3, 9.6–9.8, 9.15–9.17, 9.20, 9.21, 9.24 and 9.32. Notation follows the book:  $c_1(t)$  and  $c_2(t+1)$  are the consumption of a generation born at  $t$  when young and old,  $s(t)$  its saving,  $k = K/L$  the capital-labor ratio,  $R = 1 + r$  the gross return,  $\nu$  the flow rate of death,  $n$  the arrival rate of new households, and  $c(t | \tau)$  the consumption at  $t$  of a cohort born at  $\tau$ . Capital depreciates fully in the two-period model ( $\delta = 1$ ) unless stated otherwise. The numerical parts are computed by `code/ch9.py`.

### Exercise 9.2

Recall Shell's economy of Section 9.1: households and commodities are both indexed by  $i \in \mathbb{N}$ , household  $i$  has preferences  $u^i = c_i^i + c_{i+1}^i$ , and the reallocated endowment vector  $\tilde{\omega}^{i'}$  gives

- household  $i < i'$  : one unit of good  $i$ ;      household  $i'$  : one unit each of goods  $i'$  and  $i' + 1$ ;  
household  $i > i'$  : one unit of good  $i + 1$ .

The allocation to be supported is  $\tilde{x}^{i'}$ : households  $i < i'$  consume good  $i$ , household  $i'$  consumes one unit each of goods  $i'$  and  $i' + 1$ , and each household  $i > i'$  consumes one unit of good  $i + 1$ .

*Household optimization at  $\tilde{p}$ .* Preferences are linear, so household  $i$  spends its entire income on whichever of the two goods it likes,  $i$  and  $i + 1$ , is cheaper, and is indifferent between them when their prices coincide.

- $i < i'$ : both goods  $i$  and  $i + 1$  satisfy  $j \leq i'$ , so  $\tilde{p}_i = \tilde{p}_{i+1} = 1$ . Income is  $\tilde{p}_i = 1$ , and the household is indifferent; consuming its own endowment, one unit of good  $i$ , is optimal.
- $i = i'$ :  $\tilde{p}_{i'} = 1$  and  $\tilde{p}_{i'+1} = \rho^0 = 1$ , so income is  $\tilde{p}_{i'} + \tilde{p}_{i'+1} = 2$  and the two goods cost 1 each. Buying one unit of each is optimal.
- $i > i'$ : the endowment is one unit of good  $i + 1$ , so income is  $\tilde{p}_{i+1} = \rho^{i-i'}$ , while the prices of the two goods the household cares about are  $\tilde{p}_i = \rho^{i-i'-1}$  and  $\tilde{p}_{i+1} = \rho^{i-i'}$ . Since  $\rho < 1$ , good  $i + 1$  is *strictly* cheaper, so the household spends everything on it and buys

$$\frac{\tilde{p}_{i+1}}{\tilde{p}_{i+1}} = 1 \text{ unit of good } i + 1,$$

which is exactly its assignment in  $\tilde{x}^{i'}$ , and now the optimum is unique.

*Market clearing.*  $\tilde{x}^{i'}$  is the same allocation as in PROPOSITION 9.3, where each good  $j$  is consumed in total quantity one, matching the aggregate endowment. Hence  $(\tilde{p}, \tilde{x}^{i'})$  is a competitive equilibrium given  $\tilde{\omega}^{i'}$ .

*Remark.* The geometric price vector does more than reproduce PROPOSITION 9.3 — it explains it. At  $\tilde{p}$  the value of the aggregate endowment is

$$\sum_{j \in \mathbb{N}} \tilde{p}_j = \underbrace{i'}_{j \leq i'} + \sum_{j > i'} \rho^{j-i'-1} = i' + \frac{1}{1-\rho} < \infty,$$

whereas at the price vector  $\bar{p} \equiv 1$  of PROPOSITION 9.1 it is  $+\infty$ . The finiteness of  $\sum_h \sum_j p_j^* \omega_j^h$  is exactly the hypothesis of THEOREM 5.6, so at  $\tilde{p}$  the extended First Welfare Theorem applies and *proves* that the equilibrium is Pareto optimal, while at  $\bar{p}$  it does not apply and the equilibrium is in fact suboptimal. Exercise 9.11 shows that the same distinction — a finite or an infinite value of the aggregate endowment — separates the efficient from the inefficient equilibria of the overlapping generations model.

#### Exercise 9.4

The hint asks what happens to undepreciated capital, and that is the whole of the answer. At the end of date  $t$  the old own the capital stock  $K(t)$ , of which  $(1-\delta)K(t)$  survives. Since the old consume everything and leave nothing behind, they must *sell* the undepreciated capital, and the only agents with any wealth to buy it are the young. Consequently the young's savings buy the whole capital stock of the next period: both the undepreciated part and the new investment.

*Returns.* A unit of capital rented out at  $t+1$  earns the rental  $f'(k(t+1))$  and is then worth  $1-\delta$  units of the final good. The gross return to saving is therefore

$$R(t+1) = f'(k(t+1)) + 1 - \delta, \quad (*)$$

which replaces (9.3); the wage is still  $w(t) = f(k(t)) - k(t)f'(k(t))$ , as in (9.4), since the wage bill is unaffected by what happens to the capital afterwards.

*Accumulation.* Let  $I(t+1)$  be new investment at  $t+1$ . The young at  $t+1$  buy the surviving capital from the old and finance the new investment, so

$$s(t+1)L(t+1) = (1-\delta)K(t+1) + I(t+1) = K(t+2),$$

that is,

$$K(t+1) = L(t) s(w(t), R(t+1)),$$

which is (9.7) verbatim. Dividing by  $L(t+1) = (1+n)L(t)$  gives the fundamental law of motion

$$k(t+1) = \frac{s(f(k(t)) - k(t)f'(k(t)), f'(k(t+1)) + 1 - \delta)}{1+n},$$

which is (9.8) with the return  $(*)$  in place of  $f'(k(t+1))$ . Setting  $\delta = 1$  recovers the text exactly.

*Consistency with the resource constraint.* At  $t+1$  the economy has  $F(K(t+1), L(t+1))$  of output and  $(1-\delta)K(t+1)$  of surviving capital. The old consume  $R(t+1)K(t+1)$ , the young consume  $[w(t+1) - s(t+1)]L(t+1)$ , and  $K(t+2) = s(t+1)L(t+1)$  is carried forward. Adding these and using Euler's theorem,  $F = wL + f'(k)K$ , gives

$$\begin{aligned} & [w(t+1) - s(t+1)]L(t+1) + [f'(k(t+1)) + 1 - \delta]K(t+1) + s(t+1)L(t+1) \\ & = F(K(t+1), L(t+1)) + (1-\delta)K(t+1), \end{aligned}$$

so the allocation is feasible.

The substantive point is that the two-period structure makes the young the owners of *all* the economy's wealth at every date, whatever the depreciation rate. Setting  $\delta = 1$  is therefore a normalization of the return, not a restriction on the dynamics.

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**Exercise 9.5**

Substituting the two budget constraints into the Euler equation (9.5), saving solves

$$\Phi(s; w, R) \equiv u'(w - s) - \beta R u'(Rs) = 0.$$

Since  $u'' < 0$ ,

$$\Phi_s = -u''(w - s) - \beta R^2 u''(Rs) > 0,$$

so  $\Phi$  is strictly increasing in  $s$  and the root is unique; the implicit function theorem applies.

*Wages.*  $\Phi_w = u''(w - s) < 0$ , hence

$$s_w = -\frac{\Phi_w}{\Phi_s} = \frac{-u''(c_1)}{-u''(c_1) - \beta R^2 u''(c_2)} \in (0, 1),$$

writing  $c_1 = w - s$  and  $c_2 = Rs$ . Saving is strictly increasing in the wage, and by less than one for one: both goods are normal, so a richer household spreads the extra income over both periods of its life. This is the property the text uses to obtain  $s_w \in (0, 1)$  in (9.12).

*The interest rate.* Differentiating,

$$\Phi_R = -\beta u'(Rs) - \beta R s u''(Rs) = -\beta u'(c_2) [1 - \varepsilon_u(c_2)], \quad \varepsilon_u(c) \equiv -\frac{c u''(c)}{u'(c)} > 0,$$

so that

$$s_R = -\frac{\Phi_R}{\Phi_s} = \frac{\beta u'(c_2) [1 - \varepsilon_u(c_2)]}{-u''(c_1) - \beta R^2 u''(c_2)}, \quad \text{sgn } s_R = \text{sgn} [1 - \varepsilon_u(c_2)].$$

Hence a sufficient (and, pointwise, necessary) condition for saving to be increasing in  $R$  is

$$\varepsilon_u(c) < 1 \quad \text{for all } c > 0 \quad \Longleftrightarrow \quad c \mapsto c u'(c) \text{ is strictly increasing,}$$

that is, the elasticity of intertemporal substitution  $1/\varepsilon_u$  must exceed one. For the CRRA family (9.10),  $\varepsilon_u \equiv \theta$ , and this reproduces the text's  $s_R > 0 \Leftrightarrow \theta < 1$ ,  $s_R < 0 \Leftrightarrow \theta > 1$ ,  $s_R = 0$  for log preferences.

*Why.* A higher  $R$  makes future consumption cheaper, which pushes saving up (substitution), but it also makes the household wealthier in present-value terms, which pushes consumption up in both periods and saving down (income). The elasticity  $\varepsilon_u$  measures how fast marginal utility falls, that is, how strong the income effect is;  $\varepsilon_u = 1$  is the knife edge at which the two cancel.

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**Exercise 9.9**

(a) *Equilibrium.* Preferences are  $\log c_1(t) + \beta \log c_2(t+1)$ , technology is  $f(k) = k^\alpha$  with  $\delta = 1$ , and population grows at  $n$ . A competitive equilibrium is a sequence

$$\{K(t), c_1(t), c_2(t), R(t), w(t)\}_{t=0}^{\infty}$$

such that

- (1) factor prices are competitive:  $R(t) = f'(k(t)) = \alpha k(t)^{\alpha-1}$  and  $w(t) = f(k(t)) - k(t)f'(k(t)) = (1 - \alpha)k(t)^\alpha$ , where  $k(t) = K(t)/L(t)$ ;  
 (2) each generation maximizes its utility subject to its two budget constraints,

$$c_1(t) + s(t) = w(t), \quad c_2(t+1) = R(t+1)s(t);$$

- (3) the capital market clears:  $K(t+1) = L(t)s(t)$ , with  $K(0) > 0$  given.

A steady state is an equilibrium with  $k(t) = k^*$  constant.

(b) *Characterization.* With log preferences the Euler equation gives  $c_2(t+1) = \beta R(t+1)c_1(t)$ , and substituting the budget constraints yields (9.19),

$$s(t) = \frac{\beta}{1+\beta} w(t) = \frac{\beta(1-\alpha)}{1+\beta} k(t)^\alpha,$$

a constant saving rate out of labor income, independent of  $R$ . Hence

$$k(t+1) = \frac{s(t)}{1+n} = \frac{\beta(1-\alpha)}{(1+n)(1+\beta)} k(t)^\alpha, \quad k^* = \left[ \frac{\beta(1-\alpha)}{(1+n)(1+\beta)} \right]^{\frac{1}{1-\alpha}},$$

which is (9.20). The map is a concave power function through the origin, so convergence to  $k^*$  is monotone and global, exactly as in the Solow model. The steady-state gross return is

$$R^* = \alpha(k^*)^{\alpha-1} = \frac{\alpha(1+n)(1+\beta)}{\beta(1-\alpha)}.$$

*Dynamic inefficiency* means  $r^* < n$ , that is  $R^* < 1+n$ :

$$\frac{\alpha(1+\beta)}{\beta(1-\alpha)} < 1 \iff \alpha(1+\beta) < \beta(1-\alpha) \iff \alpha < \beta(1-2\alpha).$$

So, explicitly,

the economy overaccumulates  $\iff \alpha < \frac{1}{2}$  and  $\beta > \frac{\alpha}{1-2\alpha}$

Population growth drops out entirely: raising  $n$  lowers  $k^*$  and raises  $R^*$  in exactly the proportion in which it raises the golden-rule threshold  $1+n$ .

(c) *Is this plausible?* A period in this model is a working lifetime, say thirty years. The condition needs a low capital share and a very patient household:

|                              |         |         |         |
|------------------------------|---------|---------|---------|
| $\alpha$                     | 0.20    | 0.25    | 0.30    |
| $\beta > \alpha/(1-2\alpha)$ | 0.333   | 0.500   | 0.750   |
| implied annual discount rate | < 3.73% | < 2.34% | < 0.96% |

and at  $\alpha = 1/3$  the condition becomes  $\beta > 1$ , that is a *negative* rate of time preference. With a conventional calibration —  $\alpha = 1/3$ , an annual discount rate of 2% ( $\beta = 0.98^{30} = 0.545$ ) and annual population growth of 1% ( $1+n = 1.01^{30}$ , so  $n = 0.348$ ) — the program gives

$$k^* = 0.0729 < k_{\text{gold}} = 0.1230, \quad R^* = 1.911 > 1+n = 1.348,$$

an annualized real interest rate of 2.18% against population growth of 1%: the economy is comfortably dynamically *efficient*. This matches what the data say — capital income exceeds investment

in essentially every developed economy — so dynamic inefficiency, while a genuine theoretical possibility, is not a description of any economy one would worry about.

(d) *Unfunded social security.* Let the government collect a constant  $d$  from each young individual and hand  $(1+n)d$  to each old one. A generation now solves

$$\max \log(w(t) - s(t) - d) + \beta \log(R(t+1)s(t) + (1+n)d),$$

whose solution is

$$s(t) = \frac{\beta w(t) - [\beta + (1+n)/R(t+1)]d}{1+\beta}, \quad (1+n)k(t+1) = s(t). \quad (\dagger)$$

Saving falls, so the transfer reduces capital accumulation — which is precisely what is wanted when  $k^* > k_{\text{gold}}$ .

Two observations establish the Pareto improvement.

*The steady-state comparison, analytically.* Index steady states by  $k$  and use the Euler equation  $c_2 = \beta f'(k)c_1$  together with the resource constraint  $c_1 + c_2/(1+n) = C(k) \equiv f(k) - (1+n)k$ . Solving,

$$c_1 = \frac{(1+n)C(k)}{(1+n) + \beta f'(k)}, \quad U(k) = (1+\beta) \log c_1 + \beta \log(\beta f'(k)) + \text{const},$$

and differentiating, after collecting the two terms in  $f''$ ,

$$\frac{dU}{dk} = (1+\beta) \underbrace{\frac{f'(k) - (1+n)}{C(k)}}_{\text{resource effect}} + \underbrace{\frac{\beta f''(k)[(1+n) - f'(k)]}{f'(k)[(1+n) + \beta f'(k)]}}_{\text{price effect}}.$$

When  $f'(k) < 1+n$  — exactly dynamic inefficiency — the first term is negative and, since  $f'' < 0$  and  $(1+n) - f'(k) > 0$ , so is the second. Hence  $dU/dk < 0$ : *reducing* the steady-state capital-labor ratio strictly raises the lifetime utility of every generation living in the steady state. Both channels point the same way: less capital frees resources, and it raises the interest rate on which the old live.

*The whole transition, numerically.* Analysis of the steady states alone does not settle the fate of the generations passing through the transition, so the program iterates  $(\dagger)$ . Take  $\alpha = 0.25$ ,  $\beta = 0.9$ ,  $n = 0$ , which satisfies the condition in (b):  $k^* = 0.2516 > k_{\text{gold}} = 0.1575$  and  $R^* = 0.704 < 1$ . Introducing at  $t = 0$  a constant  $d$  equal to 2% of the steady-state wage gives

| $t$          | 0       | 1       | 2       | 3       | 10      | $\infty$ |
|--------------|---------|---------|---------|---------|---------|----------|
| $k(t)$       | 0.2516  | 0.2389  | 0.2358  | 0.2350  | 0.2347  | 0.2347   |
| $U(t) - U^*$ | +0.0488 | +0.0329 | +0.0288 | +0.0277 | +0.0274 | +0.0274  |

Every generation from  $t = 0$  on is strictly better off, the smallest gain over the entire transition being +0.0274; and the generation old at  $t = 0$  receives  $(1+n)d > 0$  out of nowhere. The allocation therefore Pareto dominates the laissez-faire equilibrium, which is PROPOSITION 9.8 made explicit.

*Remark.* The mechanism is a pyramid scheme that pays off. Unfunded social security transfers at the implicit rate  $n$ ; investing in capital pays  $r^*$ . When  $r^* < n$  the pyramid is the better technology for moving resources across dates, so switching some resources into it makes everyone richer. When  $r^* > n$  the same scheme is a bad investment, and Exercise 9.17 shows that it then necessarily hurts some future generation.

**Exercise 9.10**

Keep log preferences and  $f(k) = k^\alpha$  with  $\delta = 1$ , and suppose an individual supplies one unit of labor when young and  $z \geq 0$  units when old. ( $z = 0$  is the baseline model of Section 9.3 and  $z = 1$  the symmetric case.)

(a) *Equilibrium.* Total labor supply at  $t$  is

$$N(t) = L(t) + zL(t-1) = L(t) \frac{1+n+z}{1+n},$$

so it is natural to work with capital per unit of labor,  $\hat{k} \equiv K/N$ . Competitive factor prices are  $R(t) = \alpha \hat{k}(t)^{\alpha-1}$  and  $w(t) = (1-\alpha)\hat{k}(t)^\alpha$  per unit of labor. A generation born at  $t$  solves

$$\max \log c_1(t) + \beta \log c_2(t+1) \quad \text{s.t.} \quad c_1(t) + s(t) = w(t), \quad c_2(t+1) = R(t+1)s(t) + zw(t+1),$$

and the capital market clears with  $K(t+1) = s(t)L(t)$ : only the young hold assets, since the old consume their wage and their accumulated savings and leave nothing. A steady state is an equilibrium with  $\hat{k}$  constant.

Note that the constraint  $s(t) \geq 0$  is no longer automatic: an individual with substantial old-age earnings may wish to borrow against them. We proceed without imposing it and note below when it binds.

(b) *Characterization.* Lifetime wealth is  $W(t) = w(t) + zw(t+1)/R(t+1)$ , and log preferences give  $c_1(t) = W(t)/(1+\beta)$ , hence

$$s(t) = w(t) - \frac{W(t)}{1+\beta} = \frac{\beta w(t) - zw(t+1)/R(t+1)}{1+\beta}.$$

Because  $w(t+1)/R(t+1) = (1-\alpha)\hat{k}(t+1)^\alpha / [\alpha \hat{k}(t+1)^{\alpha-1}] = (1-\alpha)\hat{k}(t+1)/\alpha$ , this is linear in  $\hat{k}(t+1)$ . Using  $K(t+1) = s(t)L(t)$  and  $N(t+1) = L(t+1)(1+n+z)/(1+n) = L(t)(1+n+z)$ ,

$$(1+n+z)\hat{k}(t+1) = \frac{\beta(1-\alpha)\hat{k}(t)^\alpha - z(1-\alpha)\hat{k}(t+1)/\alpha}{1+\beta},$$

and collecting the terms in  $\hat{k}(t+1)$ ,

$$\hat{k}(t+1) = A(z)\hat{k}(t)^\alpha, \quad A(z) = \frac{\alpha\beta(1-\alpha)}{\alpha(1+\beta)(1+n+z) + z(1-\alpha)}$$

Setting  $z = 0$  gives  $A(0) = \beta(1-\alpha)/[(1+\beta)(1+n)]$  and recovers (9.20).

The law of motion is again a concave power function through the origin, so there is a unique positive steady state

$$\hat{k}^* = A(z)^{\frac{1}{1-\alpha}},$$

and from any  $\hat{k}(0) > 0$  the economy converges to it monotonically — the transitional dynamics are those of the Solow model, exactly as in PROPOSITION 9.5. Since  $A(z)$  is strictly decreasing in  $z$ , the steady-state capital-labor ratio falls as the old earn more.

(c) *Overaccumulation.* The golden rule maximizes steady-state consumption per unit of labor,  $f(\hat{k}) - (1+n)\hat{k}$ , so  $f'(\hat{k}_{\text{gold}}) = 1+n$  and  $\hat{k}_{\text{gold}} = [\alpha/(1+n)]^{1/(1-\alpha)}$ . Hence

$$\hat{k}^* > \hat{k}_{\text{gold}} \iff A(z) > \frac{\alpha}{1+n} \iff \beta(1-\alpha)(1+n) > \alpha(1+\beta)(1+n+z) + z(1-\alpha),$$

that is,

$$\text{overaccumulation} \iff z < \bar{z} \equiv \frac{(1+n)[\beta(1-2\alpha) - \alpha]}{1+\alpha\beta}$$

which requires  $\beta(1-2\alpha) > \alpha$  — precisely the condition of Exercise 9.9 — and then caps  $z$ . So the answer is: yes, but only if old-age labor income is small. With  $\alpha = 0.25$ ,  $\beta = 0.9$ ,  $n = 0$  the threshold is  $\bar{z} = 0.163$ , and the program gives

|                                   |       |       |       |       |       |
|-----------------------------------|-------|-------|-------|-------|-------|
| $z$                               | 0     | 0.1   | 0.163 | 0.2   | 1.0   |
| $\hat{k}^*/\hat{k}_{\text{gold}}$ | 1.598 | 1.177 | 1.000 | 0.918 | 0.292 |

The old supplying a sixth of a young worker's labor is already enough to eliminate overaccumulation; the symmetric case  $z = 1$  is nowhere near it.

*Why.* In the baseline model the entire reason for saving is that the old have no income at all, so each generation must carry its whole retirement into the future as capital. Giving the old an income both reduces the amount that must be saved and — because the young can now capitalize it — lets them borrow against it. This is the same force that makes the continuous-time perpetual youth model of Section 9.8 always underaccumulate: there labor income is constant over the whole of life, which is the opposite extreme from the Samuelson–Diamond model. Exercise 9.30 completes the picture by showing that a *declining* path of labor income brings overaccumulation back.

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### Exercise 9.11

Write the OLG economy as an Arrow–Debreu economy: the commodities are dated consumption goods, and the households are the generations. Generation  $t$  is endowed with one unit of labor at date  $t$  and nothing else, and there are  $L(t) = (1+n)^t L(0)$  of them. With the date-0 good as numeraire, the date- $t$  price is

$$q(t) = \prod_{s=1}^t \frac{1}{R(s)} \quad \text{so that in a steady state} \quad q(t) = \frac{1}{(1+r^*)^t},$$

and the value of one unit of date- $t$  labor is  $w(t)q(t)$ , which in a steady state is  $w^*/(1+r^*)^t$  — the ratio in the hint. The total value of the economy's endowments is therefore

$$\sum_{h \in \mathcal{H}} \sum_{j=0}^{\infty} p_j^* \omega_j^h = \sum_{t=0}^{\infty} L(t) w(t) q(t) = L(0) w^* \sum_{t=0}^{\infty} \left( \frac{1+n}{1+r^*} \right)^t. \quad (*)$$

(a)  $r^* < n$ . Then  $(1+n)/(1+r^*) > 1$ , the terms of the geometric series in  $(*)$  do not even tend to zero, and the sum is  $+\infty$ . The hypothesis of THEOREM 5.6 fails, so the theorem says nothing — and PROPOSITION 9.6 shows that the conclusion genuinely fails too: the equilibrium is Pareto suboptimal. The economics is transparent. Each date brings  $(1+n)$  times as many endowment units as the last, while discounting shrinks their value only by  $(1+r^*)$ ; when  $r^* < n$  the economy's

aggregate endowment has infinite present value, and with infinite wealth there is room to give everyone more by rearranging *who* consumes *when*.

(b)  $r^* > n$ . Then  $(1+n)/(1+r^*) < 1$  and

$$\sum_h \sum_j p_j^* \omega_j^h = \frac{L(0)w^*(1+r^*)}{r^* - n} < \infty.$$

(Outside the steady state the same conclusion holds as long as  $r(t) \rightarrow r^* > n$ : the tail of the series is dominated by a convergent geometric one, and the finitely many initial terms are finite.) Every hypothesis of THEOREM 5.6 is then met — preferences are continuous and locally nonsatiated, the allocation is a competitive equilibrium, and the value of the aggregate endowment is finite — so the theorem applies and the competitive equilibrium is Pareto efficient.

*Remark.* The comparison with Exercise 9.2 is exact. In Shell's economy, the equilibrium price vector  $\bar{p} \equiv 1$  gives the aggregate endowment infinite value and the equilibrium is suboptimal; the geometric price vector  $\tilde{p}$  gives it finite value and the equilibrium is optimal. In the OLG model the analogous role is played by the comparison of  $r^*$  with  $n$ . Note also what is *not* the source of the inefficiency: not market incompleteness (Shell's households can all trade with each other), and not externalities (there are none). It is only that the value of the aggregate endowment can be infinite, which is exactly what THEOREM 5.6 forbids.

### Exercise 9.12

*The theorem is silent.* With  $r^* = n$  the series (\*) of Exercise 9.11 is  $L(0)w^* \sum_{t \geq 0} 1 = +\infty$ , so the hypothesis of THEOREM 5.6 fails. A sufficient condition failing proves nothing, so the theorem gives no information either way.

*Pareto optimality when  $u$  and  $f$  are strictly concave.* At  $r^* = n$  the steady state is the golden rule:  $f'(k^*) = 1 + n$ . Its allocation is

$$s^* = (1+n)k^*, \quad c_1^* = w^* - s^*, \quad c_2^* = (1+n)s^*, \quad \text{so} \quad c_1^* + \frac{c_2^*}{1+n} = w^* = C^* \equiv f(k^*) - (1+n)k^*.$$

Suppose some feasible allocation  $\{\hat{c}_1(t), \hat{c}_2(t), \hat{k}(t)\}$  with  $\hat{k}(0) = k^*$  Pareto dominates it. Feasibility, per young person, is

$$f(\hat{k}(t)) = (1+n)\hat{k}(t+1) + \hat{c}_1(t) + \frac{\hat{c}_2(t)}{1+n}, \quad t \geq 0. \quad (\text{F})$$

Two *value losses* organize the argument. On the production side, strict concavity of  $f$  and  $f'(k^*) = 1 + n$  give

$$\lambda(t) \equiv f(k^*) + (1+n)[\hat{k}(t) - k^*] - f(\hat{k}(t)) \geq 0, \quad \lambda(t) = 0 \iff \hat{k}(t) = k^*.$$

On the consumption side, note that at the golden rule the relative price of old-age consumption is  $1/R^* = 1/(1+n)$ , so the cost of generation  $t$ 's bundle is  $\hat{m}(t) \equiv \hat{c}_1(t) + \hat{c}_2(t)/(1+n)$ . Strict concavity of  $u$  makes the expenditure function strictly increasing in utility with a unique minimizer, so

$$\mu(t) \equiv \hat{m}(t) - w^* \geq 0, \quad \mu(t) = 0 \iff (\hat{c}_1(t), \hat{c}_2(t)) = (c_1^*, c_2^*),$$

for every generation that is at least as well off as in the steady state.



Now sum (F) over  $t = 0, \dots, T$ , rearranging the consumption terms by generation:

$$\sum_{t=0}^T \left[ \hat{c}_1(t) + \frac{\hat{c}_2(t)}{1+n} \right] = \frac{\hat{c}_2(0)}{1+n} + \sum_{t=0}^{T-1} \hat{m}(t) + \hat{c}_1(T),$$

while the production side gives

$$\sum_{t=0}^T \left[ f(\hat{k}(t)) - (1+n)\hat{k}(t+1) \right] = (T+1)C^* + (1+n)[\hat{k}(0) - \hat{k}(T+1)] - \sum_{t=0}^T \lambda(t).$$

Equating the two, using  $C^* = w^*$ ,  $\hat{k}(0) = k^*$ ,  $\hat{c}_2(0) \geq c_2^*$  and  $c_2^*/(1+n) = (1+n)k^*$ , and cancelling  $Tw^*$  from both sides,

$$\sum_{t=0}^T \lambda(t) + \sum_{t=0}^{T-1} \mu(t) + \frac{\hat{c}_2(0) - c_2^*}{1+n} + \hat{c}_1(T) + (1+n)\hat{k}(T+1) \leq w^*. \quad (\ddagger)$$

Every term is nonnegative and the bound is uniform in  $T$ , so both series converge; hence  $\lambda(t) \rightarrow 0$  and  $\mu(t) \rightarrow 0$ . Since  $\lambda$  vanishes only at  $k^*$  and is continuous with  $\lambda(k) \rightarrow \infty$  as  $k \rightarrow \infty$ , this forces  $\hat{k}(t) \rightarrow k^*$ ; and since the minimum-cost bundle at utility  $U^*$  is unique,  $\mu(t) \rightarrow 0$  forces  $(\hat{c}_1(t), \hat{c}_2(t+1)) \rightarrow (c_1^*, c_2^*)$ , so  $\hat{c}_1(T) \rightarrow c_1^*$ . Letting  $T \rightarrow \infty$  in  $(\ddagger)$  and using  $w^* = c_1^* + (1+n)k^*$ ,

$$\sum_{t=0}^{\infty} \lambda(t) + \sum_{t=0}^{\infty} \mu(t) + \frac{\hat{c}_2(0) - c_2^*}{1+n} \leq 0.$$

A sum of nonnegative terms bounded above by zero is zero term by term:  $\lambda \equiv 0$ ,  $\mu \equiv 0$  and  $\hat{c}_2(0) = c_2^*$ . So  $\hat{k}(t) = k^*$  for all  $t$  and every generation has exactly the steady-state bundle — the supposed improvement is the steady state itself, and no one is strictly better off. The golden-rule equilibrium is Pareto optimal. ■

*An example with Pareto suboptimality.* Strict concavity is what makes the argument work, and dropping it breaks the conclusion. Let  $u$  be linear,  $u(c) = c$ , with  $\beta = 1/(1+n)$ , and let  $f$  be strictly concave with  $f'(k^*) = 1+n$ . (With  $\beta(1+n) = 1$  each generation is exactly indifferent along its budget line, so savings are indeterminate and  $k^*$  is one of a continuum of equilibria.) Lifetime utility is then

$$U_t = c_1(t) + \beta c_2(t+1) = c_1(t) + \frac{c_2(t+1)}{1+n},$$

which is precisely the *cost* of the bundle at the golden-rule prices. Now take any  $\varepsilon \in (0, c_1^*]$  and consider

$$\hat{k}(t) = k^*, \quad \hat{c}_1(t) = c_1^* - \varepsilon, \quad \hat{c}_2(t) = c_2^* + (1+n)\varepsilon \quad \text{for all } t \geq 0.$$

This is feasible: at every date  $\hat{c}_1(t) + \hat{c}_2(t)/(1+n) = c_1^* + c_2^*/(1+n) = C^*$ . Each generation  $t \geq 0$  has

$$\hat{U}_t = (c_1^* - \varepsilon) + \frac{c_2^* + (1+n)\varepsilon}{1+n} = c_1^* + \frac{c_2^*}{1+n} = U^*,$$

so no one is worse off; and the generation already old at  $t = 0$  consumes  $c_2^* + (1+n)\varepsilon > c_2^*$  and is strictly better off. The equilibrium is therefore Pareto *suboptimal*.

*Remark.* The example is Samuelson's transfer scheme in its purest form: a permanent gift from each young generation to the old, at the implicit rate of return  $n$ . When  $r^* = n$  the scheme is exactly break-even for

everyone born afterwards, and pure profit for the generation alive when it starts. With strictly concave  $u$  the same perturbation moves each generation *off* its optimum along a budget line of unchanged value and so makes it strictly worse off — which is exactly the  $\mu(t) > 0$  term in (‡), and exactly why strict concavity restores optimality. The knife edge is genuinely a knife edge.

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**Exercise 9.13**

Under a fully funded system the government collects  $d(t)$  from each young individual, invests it in capital, and returns  $R(t+1)d(t)$  in old age. The generation's problem is

$$\max u(c_1(t)) + \beta u(c_2(t+1)) \quad \text{s.t.} \quad c_1(t) + s(t) + d(t) \leq w(t), \quad c_2(t+1) \leq R(t+1)(s(t) + d(t)).$$

*Part 2: no constraint on  $s$ .* Change variables to *total* saving  $\hat{s}(t) \equiv s(t) + d(t)$ . The two constraints become

$$c_1(t) + \hat{s}(t) \leq w(t), \quad c_2(t+1) \leq R(t+1)\hat{s}(t),$$

which are the constraints of the problem *without* social security, in the variable  $\hat{s}$ . Since  $d(t)$  has disappeared from the problem entirely, the optimal  $\hat{s}(t)$  is the same function  $s(w(t), R(t+1))$  of (9.6), and the individual simply offsets the contribution one for one:

$$s(t) = s(w(t), R(t+1)) - d(t).$$

Total investment is  $\hat{s}(t)L(t) = (1+n)k(t+1)L(t)$ , exactly (9.7). Hence the sequences  $\{k(t)\}$ ,  $\{w(t)\}$ ,  $\{R(t)\}$  and all consumption levels are identical with and without the program: the set of competitive equilibria is the same, and the program changes only the *label* attached to a part of each household's portfolio.

*Part 1:  $s(t) \geq 0$  imposed.* If, given the feasible sequence  $\{d(t)\}$ , the optimal saving sequence satisfies  $s(t) > 0$  for all  $t$ , then the constraint is slack at the optimum, so the solution coincides with the unconstrained one, and part 2 applies verbatim. Conversely, take any competitive equilibrium without social security; there  $\hat{s}(t) = s(w(t), R(t+1)) > 0$ , and provided  $d(t) < s(w(t), R(t+1))$  — which is what the hypothesis  $s(t) > 0$  says — the same allocation is a competitive equilibrium with social security. The two sets coincide. ■

The result is the exact analogue of Ricardian equivalence (Exercise 8.35), and for the same reason: a fully funded system makes no transfer between generations. Each generation receives back, at the market rate, precisely what it paid in, so its lifetime budget constraint  $c_1 + c_2/R = w$  is untouched. Only the composition of saving — private versus public — changes, and nothing in the model depends on that label. Exercise 9.14 shows that this is not merely a neutrality result: the program cannot help even when it is forced to bind.

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**Exercise 9.14**

If the constraint never binds —  $d(t) < s(w(t), R(t+1))$  at every date — then by PROPOSITION 9.7 the allocation is exactly the laissez-faire one, so there is nothing to improve. Suppose then that the constraint binds somewhere, and let  $T$  be the first date at which it does, so that  $s(T) = 0$  and total saving is  $d(T)$ .

*Nothing changes before  $T$ .* For  $t < T$  the constraint is slack, so by PROPOSITION 9.7 the capital-labor ratios  $k(t)$ ,  $t \leq T$ , and hence the factor prices  $w(t)$ ,  $R(t)$  for  $t \leq T$ , coincide with the laissez-faire ones. In particular generation  $T - 1$ , whose consumption depends on  $w(T - 1)$  and  $R(T)$ , is exactly as well off as before, and so are all earlier generations and the initial old. The initial old, incidentally, could only gain from a transfer, and a fully funded system makes none.

*Generation  $T$  is strictly worse off.* Its wage  $w(T)$  is unchanged, since  $k(T)$  is. Total saving is  $(1 + n)k(T + 1) = d(T)$ . Write  $g(k) \equiv s(w(T), f'(k)) - (1 + n)k$ , so that the laissez-faire  $k_{\text{LF}}(T + 1)$  is the root of  $g$ , and the binding of the constraint says  $g(d(T)/(1 + n)) < 0$ . Under the stability condition maintained throughout the chapter (under which  $g$  crosses zero once, from above — it holds automatically whenever  $s_R \geq 0$ , and in particular in PROPOSITION 9.4), this gives

$$k(T + 1) = \frac{d(T)}{1 + n} > k_{\text{LF}}(T + 1) \quad \implies \quad R(T + 1) = f'(k(T + 1)) < R_{\text{LF}}(T + 1).$$

Generation  $T$  therefore faces the budget set

$$\left\{ (c_1, c_2) \geq 0 : c_1 + \frac{c_2}{R(T + 1)} \leq w(T) \right\} \subsetneq \left\{ (c_1, c_2) \geq 0 : c_1 + \frac{c_2}{R_{\text{LF}}(T + 1)} \leq w(T) \right\},$$

a *strict* subset — the same intercept  $w(T)$  on the  $c_1$  axis, a strictly lower one on the  $c_2$  axis. And within that smaller set it is not even free to choose: the constraint  $s(T) \geq 0$  forces it to the point  $c_1(T) = w(T) - d(T)$ , which is not its optimum. Both effects push the same way, so generation  $T$  is strictly worse off than in the laissez-faire equilibrium.

Hence no fully funded program yields a Pareto improvement. ■

*The general lesson.* A fully funded system is, by construction, an intergenerational transfer of zero present value; it cannot relax anybody's lifetime budget constraint, and the only thing it can do is restrict choice. Exploiting dynamic inefficiency requires transferring resources *from* later generations *to* earlier ones at a rate above the market return, and only an unfunded system does that (Exercise 9.9(d) and PROPOSITION 9.8). Forcing additional saving in an economy that already saves too much is, if anything, exactly the wrong intervention.

### Exercise 9.18

An individual dies at the end of each period with probability  $\nu$ , independently across periods. The probability of living exactly  $\ell$  periods is therefore

$$\Pr[\text{life} = \ell] = (1 - \nu)^{\ell-1} \nu, \quad \ell = 1, 2, \dots,$$

a geometric distribution: surviving the first  $\ell - 1$  periods and then dying. These probabilities sum to  $\nu \sum_{\ell \geq 1} (1 - \nu)^{\ell-1} = \nu/[1 - (1 - \nu)] = 1$ , as they must. Expected life is

$$\mathbb{E}[\text{life}] = \nu + 2(1 - \nu)\nu + 3(1 - \nu)^2\nu + \dots = \nu \sum_{\ell=1}^{\infty} \ell q^{\ell-1}, \quad q \equiv 1 - \nu \in (0, 1).$$

To evaluate the sum, differentiate the geometric series  $\sum_{\ell \geq 0} q^\ell = 1/(1-q)$  term by term (legitimate inside the radius of convergence):

$$\sum_{\ell=1}^{\infty} \ell q^{\ell-1} = \frac{d}{dq} \left[ \frac{1}{1-q} \right] = \frac{1}{(1-q)^2} = \frac{1}{\nu^2}.$$

Hence

$$E[\text{life}] = \frac{\nu}{\nu^2} = \frac{1}{\nu} < \infty,$$

which is (9.31).

*Perpetual youth.* What makes the name apt is that the geometric distribution is memoryless: conditional on having survived to any date, the remaining life is again geometric with the same parameter, so the expected further life is  $1/\nu$  at every age. Age carries no information about longevity, which is why in Section 9.7 the annuity payment (9.33) depends on assets alone and not on when the individual was born, and why in Section 9.8 the Euler equation (9.43) is the same for every cohort. The continuous-time counterpart is the exponential distribution with rate  $\nu$ , whose mean is likewise  $1/\nu$  (Exercise 9.25(b)).

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### Exercise 9.19

*Individual choice.* The function  $c^\eta b^{1-\eta}$  is a strictly increasing transform of  $\eta \log c + (1-\eta) \log b$ , so it represents the same preferences as the logarithmic specification with  $\beta$  replaced by  $(1-\eta)/\eta$ . Maximizing subject to  $c^i(t) + b^i(t) \leq y^i(t)$  gives the constant bequest share

$$b^i(t) = (1-\eta)y^i(t) = (1-\eta)[w(t) + R(t)b^i(t-1)], \quad c^i(t) = \eta y^i(t)$$

which is (9.27) with  $\beta/(1+\beta)$  replaced by  $1-\eta$ .

*Equilibrium.* A competitive equilibrium is, as in DEFINITION 9.2, a sequence of consumption and bequest levels  $\{[c^i(t)]_{i \in [0,1]}, [b^i(t)]_{i \in [0,1]}\}_{t \geq 0}$  solving the above, a sequence of capital-labor ratios given by  $k(t+1) = \int_0^1 b^i(t) di$ , and factor prices  $w(t) = f(k(t)) - k(t)f'(k(t))$ ,  $R(t) = f'(k(t))$ .

*Aggregate dynamics.* Integrating the bequest rule across the unit measure of individuals and using Euler's theorem,  $w(t) + R(t)k(t) = f(k(t))$ ,

$$k(t+1) = \int_0^1 b^i(t) di = (1-\eta)[w(t) + R(t)k(t)] = (1-\eta)f(k(t)),$$

the analogue of (9.28). As there, the aggregate law of motion is independent of the distribution of bequests, and it is a strictly concave function of  $k(t)$  through the origin. By Assumptions 1 and 2 there is a unique positive steady state

$$k^* = (1-\eta)f(k^*),$$

to which the economy converges monotonically from any  $k(0) > 0$  — Solow dynamics again.

*The distribution of wealth.* At the steady-state factor prices  $w^* = f(k^*) - k^*f'(k^*)$  and  $R^* = f'(k^*)$ , individual bequests follow the affine recursion  $b^i(t) = (1-\eta)[w^* + R^*b^i(t-1)]$ . Its slope satisfies

$$(1-\eta)R^* = (1-\eta)f'(k^*) < (1-\eta)\frac{f(k^*)}{k^*} = 1$$

by strict concavity of  $f$  and the definition of  $k^*$ , so the recursion is a contraction and every individual's bequest converges to the same level,

$$b^* = \frac{(1-\eta)w^*}{1-(1-\eta)R^*},$$

the analogue of (9.30). Deviations from  $b^*$  shrink by the factor  $(1-\eta)R^*$  per generation, so the cross-sectional variance of wealth falls at the rate  $[(1-\eta)R^*]^2$ . With  $f(k) = Ak^\alpha$  one computes  $R^* = \alpha/(1-\eta)$ , so the contraction factor is exactly  $\alpha$ : wealth inequality dies out at the rate of the capital share, independently of  $\eta$  and  $A$ . The economy therefore reproduces PROPOSITION 9.9 in full.

*Remark.* Nothing substantive changes, and the reason is worth stating plainly: the individual's problem is static, so only the *ordinal* content of preferences matters, and  $c^\eta b^{1-\eta}$  is ordinally identical to the logarithmic case. Exercise 9.20, which allows  $u_1(c) + u_2(b)$  with general  $u_1$  and  $u_2$ , is where the additional structure is genuinely needed: there the bequest share varies with income, aggregate dynamics can depend on the distribution, and stability and convergence to equality have to be assumed rather than derived.

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### Exercise 9.22

Population is constant and capital fully depreciates, so steady-state consumption is  $f(k) - k$  and the golden rule is  $f'(k_{\text{gold}}) = 1$ . Since  $f'$  is strictly decreasing,

$$k^* > k_{\text{gold}} \iff f'(k^*) < 1.$$

From (9.29),  $k^* = [\beta/(1+\beta)]f(k^*)$ , that is  $f(k^*)/k^* = (1+\beta)/\beta$ . Writing  $\phi(k) \equiv kf'(k)/f(k)$  for the elasticity of output with respect to capital,

$$f'(k^*) = \phi(k^*) \frac{f(k^*)}{k^*} = \phi(k^*) \frac{1+\beta}{\beta},$$

so the condition becomes

$$k^* > k_{\text{gold}} \iff \phi(k^*) < \frac{\beta}{1+\beta}$$

the elasticity of output with respect to capital must fall short of the warm glow bequest rate.

*Cobb–Douglas.* With  $f(k) = Ak^\alpha$ ,  $\phi \equiv \alpha$  and  $k^* = [\beta A/(1+\beta)]^{1/(1-\alpha)}$ , so

$$f'(k^*) = \frac{\alpha(1+\beta)}{\beta} \quad \text{and} \quad k^* > k_{\text{gold}} \iff \alpha(1+\beta) < \beta \iff \alpha < \frac{\beta}{1+\beta},$$

independently of  $A$ . With  $\alpha = 1/3$  this needs only  $\beta > 1/2$ ; taking  $\beta = 0.6$ , the program gives  $k^* = 0.2296 > k_{\text{gold}} = 0.1925$  and  $f'(k^*) = 0.889 < 1$ . So yes, the warm glow economy overaccumulates for entirely ordinary parameters.

*Comparison with the baseline model.* Exercise 9.9 showed that the Samuelson–Diamond model overaccumulates only if  $\alpha(1+2\beta) < \beta$ . Side by side,

|                       |       |       |       |
|-----------------------|-------|-------|-------|
| $\beta$               | 0.4   | 0.6   | 1.0   |
| warm glow: $\alpha <$ | 0.286 | 0.375 | 0.500 |
| baseline: $\alpha <$  | 0.222 | 0.273 | 0.333 |

The warm glow condition is always the weaker one. The reason is visible in the two accumulation equations: here  $k(t+1) = [\beta/(1+\beta)]f(k(t))$ , a constant fraction of *total* income, whereas in the baseline model  $k(t+1) = \beta w(t)/[(1+n)(1+\beta)]$ , a constant fraction of *labor* income alone. Bequests are made out of capital income too, so the economy saves a strictly larger share of output and reaches a higher capital-labor ratio.

*Remark.* This matters for how one reads the dynamic inefficiency literature. The baseline OLG model makes overaccumulation look like a parameter curiosity, needing implausible patience (Exercise 9.9(c)); the warm glow model, which is no less reasonable a description of bequests, produces it routinely. Whether an economy overaccumulates is therefore a question about the *structure* of saving — out of what income, for what motive — rather than about preferences alone.

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### Exercise 9.23

Population evolves by (9.34): a fraction  $\nu$  of the  $L(t)$  individuals alive at  $t$  dies, and  $nL(t)$  new households arrive, so

$$L(t+1) = (1-\nu)L(t) + nL(t) = (1+n-\nu)L(t), \quad L(0) = 1 \quad \implies \quad L(t) = (1+n-\nu)^t.$$

*Cohort sizes.* The individuals who are of age  $s$  at date  $t$  were born at date  $t-s+1$ , when the population was  $L(t-s)$ , so at birth they numbered

$$nL(t-s) = n(1+n-\nu)^{t-s}.$$

Deaths are independent across individuals and dates with probability  $\nu$ , so a fraction  $(1-\nu)$  of the cohort survives each period. By date  $t$  the cohort has lived through  $s-1$  such periods, so its size is

$$n(1+n-\nu)^{t-s}(1-\nu)^{s-1},$$

which is the claim. Setting  $s = 1, 2, 3$  gives  $n(1+n-\nu)^{t-1}$ ,  $n(1+n-\nu)^{t-2}(1-\nu)$  and  $n(1+n-\nu)^{t-3}(1-\nu)^2$ , the three cases listed in the text.

*Consistency.* The cohorts born after date 0 have ages  $s = 1, \dots, t$ , and the survivors of the initial population have age  $t$  and number  $(1-\nu)^t L(0) = (1-\nu)^t$ . Writing  $r \equiv (1-\nu)/(1+n-\nu)$ , so that  $1-r = n/(1+n-\nu)$ , the total is

$$\sum_{s=1}^t n(1+n-\nu)^{t-s}(1-\nu)^{s-1} + (1-\nu)^t = n(1+n-\nu)^{t-1} \frac{1-r^t}{1-r} + (1-\nu)^t,$$

and since  $n(1+n-\nu)^{t-1}/(1-r) = (1+n-\nu)^t$ , this equals

$$(1+n-\nu)^t [1-r^t] + (1-\nu)^t = (1+n-\nu)^t - (1-\nu)^t + (1-\nu)^t = (1+n-\nu)^t = L(t),$$

as it must.

*What the formula says.* The age distribution at date  $t$  is geometric: the share of  $s$ -year-olds relative to  $(s+1)$ -year-olds is  $(1+n-\nu)/(1-\nu) > 1$ , a constant. The population therefore has a stationary age structure from the first date onward, which is precisely the tractability the perpetual youth assumption buys: one never has to keep track of who is how old, because the shape of the age pyramid never changes. Exercise 9.25 derives the continuous-time counterpart, where the age density is exactly  $ne^{-n \cdot \text{age}}$ .

**Exercise 9.25**

(a) *Cohort sizes.* Aggregate population obeys (9.38),  $\dot{L}(t) = (n - \nu)L(t)$ , which with  $L(0) = 1$  integrates to

$$L(\tau) = \exp((n - \nu)\tau).$$

New households arrive at the exponential rate  $n$ , so the *flow* of births at  $\tau$  is

$$L(\tau | \tau) = nL(\tau) = n \exp((n - \nu)\tau),$$

which is the initial size (strictly, the density) of the cohort born at  $\tau$ .

*Remark.* The exercise as stated omits the factor  $n$ ; (9.39) carries it, and it must, since the cohort born in an instant is a flow. The quantity  $\exp((n - \nu)\tau)$  in the exercise is the population  $L(\tau)$ , of which the newborn cohort is the fraction  $n$  per unit time.

(b) *Survival.* Let  $S(x)$  be the probability of being alive  $x$  units of time after birth. The Poisson death rate  $\nu$  means  $S(x + dx) = S(x)(1 - \nu dx) + o(dx)$ , so  $\dot{S} = -\nu S$  with  $S(0) = 1$ , whence

$$S(x) = e^{-\nu x}, \quad \text{and for a cohort born at } \tau, \quad S(t - \tau) = \exp(-\nu(t - \tau)).$$

(Equivalently, length of life is exponential with rate  $\nu$ , mean  $1/\nu$ , memoryless — the continuous-time form of Exercise 9.18.)

(c) *Equation (9.39).* The cohort born at  $\tau$  has size  $n \exp((n - \nu)\tau)$  at birth, and a fraction  $\exp(-\nu(t - \tau))$  of it is still alive at  $t$ . Multiplying,

$$L(t | \tau) = n \exp(-\nu(t - \tau) + (n - \nu)\tau),$$

which is (9.39). It integrates correctly: since the economy starts at  $t = 0$  with  $L(0) = 1$  newborns,

$$\int_0^t L(t | \tau) d\tau + e^{-\nu t} = n e^{-\nu t} \int_0^t e^{n\tau} d\tau + e^{-\nu t} = e^{-\nu t} (e^{nt} - 1) + e^{-\nu t} = e^{(n-\nu)t} = L(t).$$

A useful by-product: the density of individuals of age  $a = t - \tau$  in the population is  $L(t | t - a)/L(t) = n e^{-na}$ , an exponential age distribution with mean age  $1/n$  — the continuous-time counterpart of the geometric age pyramid of Exercise 9.23.

(d) *An arbitrary initial age distribution.* Formula (9.39) describes the age structure generated by letting the birth-and-death process run from the infinite past (or, as here, from a date at which everybody is newborn). Suppose instead that at  $t = 0$  the economy contains a mass  $M(0)$  of individuals with an arbitrary age distribution. At any later  $t$  the population splits into two groups:

- the survivors of the date-0 population, of mass  $M(0)e^{-\nu t}$ , whose ages are the initial ages shifted up by  $t$  and whose distribution is therefore the initial one shifted, not the exponential one;
- the cohorts born in  $(0, t]$ , which do follow (9.39).

Since  $M(0)e^{-\nu t} > 0$  for every finite  $t$ , the first group never disappears, so the age distribution never exactly equals the stationary one at any finite date. It only converges: total population still

satisfies  $\dot{L} = (n - \nu)L$ , so  $L(t) = M(0)e^{(n-\nu)t}$  and the share of the initial group is

$$\frac{M(0)e^{-\nu t}}{M(0)e^{(n-\nu)t}} = e^{-nt} \xrightarrow{t \rightarrow \infty} 0,$$

at the exponential rate  $n$  — the rate at which new households arrive and wash the initial composition out. The stationary age structure of (9.39) is thus a long-run property of the demographic process, not an identity, which is why the text is careful to start the economy with  $L(0) = 1$  newborns.

### Exercise 9.26

*Step 1: the lifetime budget constraint.* The flow constraint (9.40) is  $\dot{a}(t | \tau) = (r(t) + \nu)a(t | \tau) - c(t | \tau) + w(t)$ . Multiplying by the integrating factor  $\exp(-\int_t^x (r(z) + \nu) dz)$  and integrating from  $t$  to  $T$ ,

$$a(T | \tau) \exp\left(-\int_t^T (r(z) + \nu) dz\right) - a(t | \tau) = \int_t^T [w(x) - c(x | \tau)] \exp\left(-\int_t^x (r(z) + \nu) dz\right) dx.$$

The transversality condition (9.44) sends the first term to zero as  $T \rightarrow \infty$ , so

$$a(t | \tau) + \underbrace{\int_t^\infty w(x) \exp\left(-\int_t^x (r(z) + \nu) dz\right) dx}_{= \omega(t)} = \int_t^\infty c(x | \tau) \exp\left(-\int_t^x (r(z) + \nu) dz\right) dx. \quad (*)$$

The left side is total wealth: assets plus human wealth. Human wealth is discounted at  $r + \nu$ , not  $r$ , because the individual loses the earnings stream when he dies, at the rate  $\nu$ ; and it does not depend on  $\tau$ , since every survivor faces the same future wages.

*Step 2: substitute the Euler equation.* Integrating (9.43),  $\dot{c}(x | \tau)/c(x | \tau) = r(x) - \rho$ , gives

$$c(x | \tau) = c(t | \tau) \exp\left(\int_t^x (r(z) - \rho) dz\right).$$

Putting this into the right side of (\*), the interest rates cancel exactly:

$$\int_t^\infty c(t | \tau) \exp\left(\int_t^x (r(z) - \rho) dz - \int_t^x (r(z) + \nu) dz\right) dx = c(t | \tau) \int_t^\infty e^{-(\rho+\nu)(x-t)} dx = \frac{c(t | \tau)}{\rho + \nu}.$$

Therefore

$$\boxed{c(t | \tau) = (\rho + \nu)[a(t | \tau) + \omega(t)]}$$

which is (9.45). ■

Two features of this consumption function drive everything in Section 9.8. It is *linear* in wealth — a consequence of logarithmic preferences, which make the propensity to consume independent of the interest rate path — so individual consumption functions can simply be added up to give the aggregate (9.46), even though cohorts differ in their assets. And the propensity to consume out of wealth is the *effective* discount rate  $\rho + \nu$  rather than  $\rho$ : the shorter the expected life, the faster wealth is run down. The two facts together produce the extra term  $-(\rho + \nu)nk/c$  in the aggregate Euler equation (9.48): the newborn arriving at rate  $n$  hold no assets, only human wealth, so their consumption is below average and drags aggregate consumption growth down.



**Exercise 9.27**

*Setup.* Let  $A(t) = A(0)e^{gt}$  multiply labor, and let  $k \equiv K/(AL)$  be the effective capital-labor ratio and  $\tilde{c} \equiv c/A$  normalized average consumption per capita. Factor prices are  $R(t) = f'(k(t))$ ,  $r(t) = f'(k(t)) - \delta$  and  $w(t) = A(t)[f(k(t)) - k(t)f'(k(t))]$ . Effective labor  $A(t)L(t)$  grows at  $n - \nu + g$ , so (9.42) becomes

$$\dot{k}(t) = f(k(t)) - (n - \nu + g + \delta)k(t) - \tilde{c}(t). \quad (\text{K})$$

*The aggregate Euler equation.* Nothing in the derivation of the text changes until the last step: individual consumption is still  $c(t | \tau) = (\rho + \nu)[a(t | \tau) + \omega(t)]$  by Exercise 9.26, average assets still satisfy  $\dot{a} = (r - (n - \nu))a + w - c$  and human wealth still satisfies  $(r + \nu)\omega = \dot{\omega} + w$ , so

$$\dot{c}(t) = (r(t) - \rho)c(t) - (\rho + \nu)na(t), \quad a(t) = A(t)k(t).$$

Writing  $c = A\tilde{c}$ , so that  $\dot{c} = A(\dot{\tilde{c}} + g\tilde{c})$ , and dividing by  $A\tilde{c}$ ,

$$\frac{\dot{\tilde{c}}(t)}{\tilde{c}(t)} = f'(k(t)) - \delta - \rho - g - (\rho + \nu)n \frac{k(t)}{\tilde{c}(t)}, \quad (\text{C})$$

which is (9.48) with the extra  $-g$ : growth raises the required return exactly as in the neoclassical model with logarithmic preferences (Exercise 8.18).

*Uniqueness of the steady state.* Setting (C) to zero and substituting into (K),

$$\frac{\tilde{c}^*}{k^*} = \frac{(\rho + \nu)n}{f'(k^*) - \delta - \rho - g}, \quad \Psi(k) \equiv \frac{f(k)}{k} - (n - \nu + g + \delta) - \frac{(\rho + \nu)n}{f'(k) - \delta - \rho - g} = 0. \quad (\text{S})$$

Consider  $\Psi$  on  $(0, k_{\text{mgr}})$ , where  $f'(k_{\text{mgr}}) = \rho + \delta + g$  so that the denominator is positive. There  $f(k)/k$  is strictly decreasing, and  $f'(k) - \delta - \rho - g$  is strictly decreasing and positive, so the subtracted fraction is strictly increasing:  $\Psi$  is strictly decreasing. By Assumption 2,  $f(k)/k \rightarrow \infty$  and  $f'(k) \rightarrow \infty$  as  $k \rightarrow 0$ , so  $\Psi \rightarrow +\infty$ ; and as  $k \uparrow k_{\text{mgr}}$  the denominator tends to  $0^+$  and  $\Psi \rightarrow -\infty$ . Hence there is exactly one root  $k^*$ , and it satisfies

$$k^* < k_{\text{mgr}} :$$

underaccumulation relative to the modified golden rule persists, exactly as in PROPOSITION 9.10.

*Saddle-path stability.* The Jacobian of (K)–(C) at  $(k^*, \tilde{c}^*)$  is

$$J = \begin{pmatrix} f'(k^*) - (n - \nu + g + \delta) & -1 \\ \tilde{c}^* f''(k^*) - (\rho + \nu)n & f'(k^*) - \delta - \rho - g \end{pmatrix}.$$

Using (S) to substitute  $(\rho + \nu)n = [f(k^*)/k^* - (n - \nu + g + \delta)][f'(k^*) - \delta - \rho - g]$ , the determinant collapses to

$$\det J = \left[ f'(k^*) - \frac{f(k^*)}{k^*} \right] [f'(k^*) - \delta - \rho - g] + \tilde{c}^* f''(k^*) < 0,$$

since  $f'(k^*) < f(k^*)/k^*$  by strict concavity with  $f(0) = 0$ , the second bracket is positive because  $k^* < k_{\text{mgr}}$ , and  $f'' < 0$ . A negative determinant means two real eigenvalues of opposite sign: the steady state is a saddle with a one-dimensional stable manifold. Globally, the  $\dot{k} = 0$  locus is concave through the origin and the  $\dot{\tilde{c}} = 0$  locus  $\tilde{c} = (\rho + \nu)nk/[f'(k) - \delta - \rho - g]$  is convex through the origin and diverges at  $k_{\text{mgr}}$ , so they cross exactly once; above the stable arm feasibility fails, below

it consumption goes to zero and (9.44) is violated. Convergence is monotone along the unique upward-sloping stable arm.

A higher  $g$ . Differentiating (S),

$$\frac{\partial \Psi}{\partial g} = -1 - \frac{(\rho + \nu)n}{[f'(k) - \delta - \rho - g]^2} < 0, \quad \frac{\partial \Psi}{\partial k} < 0 \quad \implies \quad \frac{dk^*}{dg} = -\frac{\partial \Psi / \partial g}{\partial \Psi / \partial k} < 0.$$

So the effective capital-labor ratio *falls*, and with it output per effective worker; since  $k^* < k_{\text{mgr}} < k_{\text{gold}}$ , the  $\dot{k} = 0$  locus is increasing at  $k^*$ , so  $\tilde{c}^* = f(k^*) - (n - \nu + g + \delta)k^*$  falls too — both because  $k^*$  falls and because the replacement requirement rises. Meanwhile consumption and output *per capita* now grow at  $g$  instead of being constant. Faster technological progress thus lowers the level of the normalized variables and raises the growth rate of the actual ones, precisely as in Exercise 8.28(a) with  $\theta = 1$ : the higher required return  $\rho + \delta + g$  is what does the work, and with logarithmic preferences the income and substitution effects on the impact consumption jump exactly cancel.

### Exercise 9.28

This is the case  $g = 0$  of Exercise 9.27. The system is

$$\dot{k} = f(k) - (n - \nu + \delta)k - c, \quad \dot{c} = c[f'(k) - \delta - \rho] - (\rho + \nu)nk,$$

the second being (9.48) cleared of the denominator. Its Jacobian at the steady state is

$$J = \begin{pmatrix} f'(k^*) - (n - \nu + \delta) & -1 \\ c^* f''(k^*) - (\rho + \nu)n & f'(k^*) - \delta - \rho \end{pmatrix},$$

with

$$\text{tr } J = 2f'(k^*) - (n - \nu + \delta) - \delta - \rho, \quad \det J = [f'(k^*) - (n - \nu + \delta)][f'(k^*) - \delta - \rho] + c^* f''(k^*) - (\rho + \nu)n.$$

Steady state (9.50) states  $(\rho + \nu)n = [f(k^*)/k^* - (n - \nu + \delta)][f'(k^*) - \delta - \rho]$ ; substituting, the terms in  $(n - \nu + \delta)$  cancel and

$$\det J = \left[ f'(k^*) - \frac{f(k^*)}{k^*} \right] [f'(k^*) - \delta - \rho] + c^* f''(k^*) < 0$$

because  $f'(k^*) < f(k^*)/k^*$  (strict concavity with  $f(0) = 0$ ),  $f'(k^*) > \delta + \rho$  (the text's  $k^* < k_{\text{mgr}}$ ),  $c^* > 0$  and  $f'' < 0$ . Since  $\det J$  is the product of the eigenvalues and the discriminant  $(\text{tr } J)^2 - 4\det J > 0$ , the eigenvalues are real, nonzero and of opposite sign. The steady state is a saddle: exactly one initial value of  $c(0)$  puts the economy on the stable manifold, which is the unique equilibrium path, and every other choice violates either feasibility or the transversality condition (9.44).

With  $f(k) = k^{1/3}$ ,  $\delta = 0.06$ ,  $\rho = 0.02$ ,  $n = \nu = 0.02$  the program gives

$$(k^*, c^*) = (7.8829, 1.5172), \quad \text{tr } J = +0.0283, \quad \det J = -0.0115,$$

with eigenvalues  $-0.0940$  and  $+0.1223$ , and the closed-form determinant above reproduces  $-0.0115$  exactly. For reference  $k_{\text{mgr}} = 8.5052$  and  $k_{\text{gold}} = 13.0946$ , so  $k^* < k_{\text{mgr}} < k_{\text{gold}}$ , as PROPOSITION 9.10 requires.

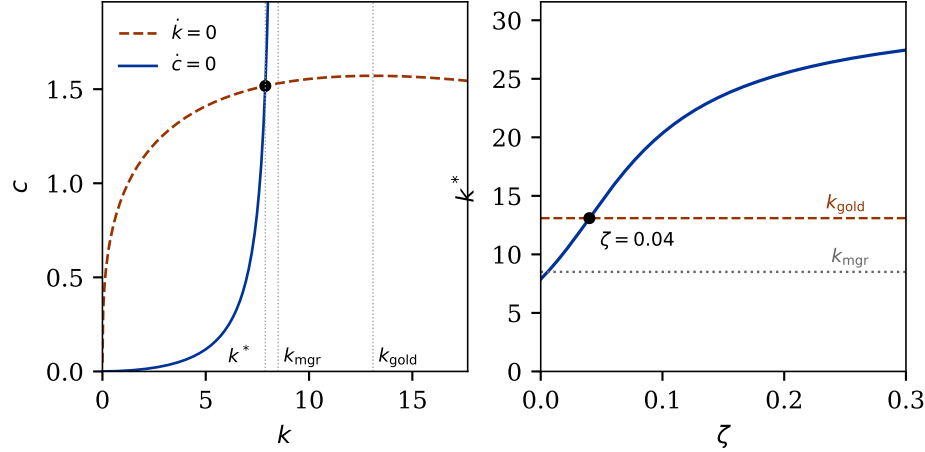


FIGURE 7. Left: the continuous-time perpetual youth model. The convex  $\dot{c} = 0$  locus cuts the concave  $\dot{k} = 0$  locus once, at a  $k^*$  below both  $k_{\text{mgr}}$  and  $k_{\text{gold}}$ : there is always underaccumulation. Right: with labor income declining at the rate  $\zeta$  (Exercise 9.30),  $k^*$  rises with  $\zeta$  and passes  $k_{\text{gold}}$  at  $\zeta = 0.04$ .

### Exercise 9.29

Write the steady-state condition (9.50) as

$$\Phi(k; n, \nu) \equiv \frac{f(k)}{k} - (n - \nu + \delta) - \frac{(\rho + \nu)n}{f'(k) - \delta - \rho} = 0,$$

which, as in Exercise 9.27, is strictly decreasing in  $k$  on  $(0, k_{\text{mgr}})$ :  $\partial\Phi/\partial k < 0$ . Hence  $\text{sgn}(dk^*/dx) = \text{sgn}(\partial\Phi/\partial x)$  for  $x \in \{n, \nu\}$ .

*The arrival rate of new households.*

$$\frac{\partial\Phi}{\partial n} = -1 - \frac{\rho + \nu}{f'(k^*) - \delta - \rho} < 0 \quad \implies \quad \frac{dk^*}{dn} < 0.$$

Both terms push the same way: a larger  $n$  raises the effective replacement requirement  $n - \nu + \delta$ , and it increases the flow of newborns who arrive with no assets and therefore consume less than average, which is the dilution term  $(\rho + \nu)nk/c$ .

*The death rate.* Here the two forces conflict — a larger  $\nu$  raises the effective discount rate  $\rho + \nu$  but lowers net population growth  $n - \nu$  — and

$$\frac{\partial\Phi}{\partial \nu} = 1 - \frac{n}{f'(k^*) - \delta - \rho}.$$

To sign it, use the steady-state relations. From (9.49),  $(\rho + \nu)n/[f'(k^*) - \delta - \rho] = c^*/k^*$ , so  $n/[f'(k^*) - \delta - \rho] = c^*/[k^*(\rho + \nu)]$ ; and from (9.46) with  $a^* = k^*$ ,  $c^* = (\rho + \nu)(k^* + \omega^*)$ , where  $\omega^* > 0$  is steady-state human wealth per capita. Therefore

$$\boxed{\frac{\partial\Phi}{\partial \nu} = 1 - \frac{k^* + \omega^*}{k^*} = -\frac{\omega^*}{k^*} < 0 \quad \implies \quad \frac{dk^*}{d\nu} < 0.}$$

The discounting effect dominates, and by exactly the ratio of human to physical wealth: shorter expected lives make households consume a larger fraction of their wealth, and the larger their human wealth relative to their assets, the more this matters.

*Consumption.* Differentiating  $c^* = f(k^*) - (n - \nu + \delta)k^*$  and using  $f'(k^*) > n - \nu + \delta$  (which holds because  $k^* < k_{\text{gold}}$ ),

$$\frac{dc^*}{dn} = [f'(k^*) - (n - \nu + \delta)] \frac{dk^*}{dn} - k^* < 0,$$

unambiguously negative: both the fall in  $k^*$  and the higher replacement requirement reduce consumption. For  $\nu$ ,

$$\frac{dc^*}{d\nu} = [f'(k^*) - (n - \nu + \delta)] \frac{dk^*}{d\nu} + k^*,$$

a negative indirect effect against a positive direct one (a higher death rate means slower population growth and hence less capital widening). With the parameters of Exercise 9.28 the program gives

$$\frac{dk^*}{dn} = -30.27, \quad \frac{dc^*}{dn} = -8.61, \quad \frac{dk^*}{d\nu} = -10.86, \quad \frac{dc^*}{d\nu} = +7.62,$$

and  $\omega^* = c^*/(\rho + \nu) - k^* = 30.05$ , so  $-\omega^*/k^* = -3.81 < 0$  as claimed. The direct term dominates in  $dc^*/d\nu$  by a wide margin:  $f'(k^*) - (n - \nu + \delta) = 0.024$  is small because  $k^*$  is not far below  $k_{\text{gold}}$  in consumption terms, while  $k^* = 7.88$  is large.

*Remark.* It is worth being clear about what  $\nu$  is not doing. In the neoclassical growth model of Chapter 8 the analogous parameter would simply add to the discount rate and nothing else; here it enters three times — through the effective discount rate  $\rho + \nu$ , through population growth  $n - \nu$ , and through the annuity return  $r + \nu$  — and the three effects have to be disentangled before the sign is clear. That  $n$  and  $\nu$  both lower  $k^*$  while moving  $c^*$  in opposite directions is a reminder that finite lives and the arrival of new households are distinct forces, a theme the book pursues in Exercises 9.30 and 9.32.

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### Exercise 9.30

(a) *Human wealth and the aggregate Euler equation.* Each individual is born with one unit of effective labor, which decays at the rate  $\zeta > 0$ , so an individual of cohort  $\tau$  earns  $e^{-\zeta(t-\tau)}w(t)$  at  $t$ , where  $w$  is the wage per efficiency unit. Repeating Exercise 9.26 with this earnings stream, the present value of future earnings is

$$\omega(t | \tau) = \int_t^\infty \exp\left(-\int_t^s (r(z) + \nu) dz\right) e^{-\zeta(s-\tau)} w(s) ds,$$

which is (9.51), and logarithmic preferences again give  $c(t | \tau) = (\rho + \nu)[a(t | \tau) + \omega(t | \tau)]$ . Factoring out the cohort's current efficiency,  $\omega(t | \tau) = e^{-\zeta(t-\tau)}\tilde{\omega}(t)$  with  $\tilde{\omega}(t) \equiv \int_t^\infty \exp(-\int_t^s (r + \nu + \zeta))w(s) ds$ , so that differentiating,

$$\dot{\tilde{\omega}}(t) = (r(t) + \nu + \zeta)\tilde{\omega}(t) - w(t).$$

The effective discount rate applied to labor income is now  $r + \nu + \zeta$ : earnings are lost both when the individual dies, at rate  $\nu$ , and as his productivity decays, at rate  $\zeta$ . Averaging over cohorts (the age density is  $ne^{-na}$  by Exercise 9.25, so average efficiency and average human wealth carry the same constant factor  $n/(n + \zeta)$ , which cancels below), average human wealth per capita obeys  $\dot{\omega} = (r + \nu + \zeta)\omega - \bar{w}$ , where  $\bar{w}$  is average labor income per capita, while average assets obey

$\dot{a} = (r - (n - \nu))a + \bar{w} - c$ . Hence

$$\dot{c} = (\rho + \nu)(\dot{a} + \dot{w}) = (\rho + \nu)\left[(r + \nu + \zeta)(a + \omega) - (n + \zeta)a - c\right] = (r + \zeta - \rho)c - (\rho + \nu)(n + \zeta)a,$$

using  $c = (\rho + \nu)(a + \omega)$  in the last step. Dividing by  $c$  and setting  $a = k$ ,  $r = f'(k) - \delta$ ,

$$\frac{\dot{c}(t)}{c(t)} = f'(k(t)) - \delta - \rho + \zeta - (\rho + \nu)(n + \zeta)\frac{k(t)}{c(t)},$$

which is (9.52); (9.42) is unchanged. Setting  $\zeta = 0$  recovers (9.48).

(b) *Overaccumulation*. The steady state now solves

$$\Phi(k; \zeta) \equiv \frac{f(k)}{k} - (n - \nu + \delta) - \frac{(\rho + \nu)(n + \zeta)}{f'(k) - \delta - \rho + \zeta} = 0, \quad c^* = f(k^*) - (n - \nu + \delta)k^*,$$

and  $\partial\Phi/\partial k < 0$  as before. Differentiating in  $\zeta$ ,

$$\frac{\partial\Phi}{\partial\zeta} = -\frac{(\rho + \nu)[f'(k) - \delta - \rho - n]}{[f'(k) - \delta - \rho + \zeta]^2} > 0 \quad \text{whenever } f'(k) < n + \delta + \rho,$$

so  $k^*$  is increasing in  $\zeta$  over the relevant range. As  $\zeta \rightarrow \infty$  the fraction tends to  $\rho + \nu$ , so the steady-state condition becomes

$$\frac{f(k)}{k} = n - \nu + \delta + \rho + \nu = n + \delta + \rho,$$

which defines a limiting  $k_\infty$ . Since  $k_{\text{gold}}$  solves  $f'(k_{\text{gold}}) = n - \nu + \delta$ ,

$$k_\infty > k_{\text{gold}} \iff f'(k_\infty) < n - \nu + \delta,$$

and with  $f(k) = Ak^\alpha$  one has  $f'(k_\infty) = \alpha f(k_\infty)/k_\infty = \alpha(n + \delta + \rho)$ , so the condition is the transparent

$$\boxed{\alpha(n + \delta + \rho) < n - \nu + \delta}$$

For  $\alpha = 1/3$ ,  $\delta = 0.06$ ,  $\rho = 0.02$ ,  $n = \nu = 0.02$  the left side is 0.0333 and the right side 0.06: the condition holds, and the program traces

|                       |      |       |       |       |       |                      |
|-----------------------|------|-------|-------|-------|-------|----------------------|
| $\zeta$               | 0    | 0.02  | 0.05  | 0.10  | 0.25  | $\rightarrow \infty$ |
| $k^*$                 | 7.88 | 10.27 | 14.54 | 20.35 | 26.65 | 31.62                |
| $k^*/k_{\text{gold}}$ | 0.60 | 0.78  | 1.11  | 1.55  | 2.04  | 2.42                 |

with  $k^* = k_{\text{gold}}$  exactly at  $\zeta = 0.04$  and overaccumulation above it (see the right panel of Figure 7). Note how little decay is needed:  $\zeta = 0.04$  means effective labor halves about every seventeen years, which is not an extreme life-cycle earnings profile.

*Intuition*. With a flat earnings path an individual can finance old-age consumption out of current wages and has no need to accumulate; that is why the model of Section 9.8 always underaccumulates. A declining path forces saving for the future, and the steeper the decline the more must be saved. As  $\zeta \rightarrow \infty$  all labor income is concentrated at birth, which is exactly the Samuelson–Diamond configuration — income when young, none when old — and overaccumulation duly reappears. Exercise 9.10 makes the same point from the other direction, by letting the old earn. The book completes the argument with Exercise 9.32: overaccumulation requires  $n > 0$  and survives even with  $\nu = 0$ , so it is the arrival of new individuals rather than finite lives that is essential.

**Exercise 9.31**

*The government.* Let  $b = B/L$  be debt per capita,  $g = G/L$  spending per capita and  $T(t)$  the lump-sum tax levied on each individual alive at  $t$ . The government's flow constraint and no-Ponzi condition are

$$\dot{b}(t) = (r(t) - (n - \nu))b(t) + g - T(t), \quad \lim_{t \rightarrow \infty} b(t) \exp\left(-\int_0^t (r(s) - (n - \nu)) ds\right) = 0,$$

which integrate to the intertemporal budget constraint

$$\int_0^\infty T(t) q(t) dt = b(0) + \int_0^\infty g q(t) dt, \quad q(t) \equiv \exp\left(-\int_0^t (r(s) - (n - \nu)) ds\right). \quad (G)$$

Any tax path satisfying (G) is feasible.

*The household.* An individual of cohort  $\tau$  now faces  $\dot{a}(t | \tau) = (r(t) + \nu)a(t | \tau) - c(t | \tau) + w(t) - T(t)$ , and Exercise 9.26 gives

$$c(t | \tau) = (\rho + \nu)[a(t | \tau) + \omega(t)], \quad \omega(t) = \int_t^\infty \exp\left(-\int_t^s (r(z) + \nu) dz\right) [w(s) - T(s)] ds.$$

Here is the wedge. The household discounts future taxes at  $r + \nu$ , because it may be dead when they fall due; the government discounts them at  $r - (n - \nu)$ , because it can levy them on people not yet born. The two rates differ by

$$(r + \nu) - (r - (n - \nu)) = n,$$

the arrival rate of new households — and by nothing else.

*Failure of equivalence.* Consider a tax cut  $dT < 0$  at date 0 financed by a path of higher taxes  $\{dT(s)\}_{s>0}$  satisfying (G), so that  $\int_0^\infty q(s) dT(s) ds = -dT > 0$ . The household's human wealth changes by

$$d\omega(0) = -dT - \int_0^\infty \exp\left(-\int_0^s (r + \nu)\right) dT(s) ds > -dT - \int_0^\infty q(s) dT(s) ds = 0,$$

the strict inequality because  $\exp(-\int_0^s (r + \nu)) < q(s)$  for every  $s > 0$  when  $n > 0$ . Households value the deferred tax bill at strictly less than the government's cost of deferring it, so they perceive themselves as richer and raise consumption immediately.

The same point appears in the aggregate dynamics. Redoing the derivation of (9.48) with taxes and debt, average assets are  $a = k + b$  and

$$\dot{a} = (r - (n - \nu))a + w - T - c, \quad \dot{\omega} = (r + \nu)\omega - (w - T),$$

so that  $\dot{c} = (\rho + \nu)(\dot{a} + \dot{\omega}) = (r - \rho)c - (\rho + \nu)na$  and

$$\boxed{\dot{k} = f(k) - (n - \nu + \delta)k - c - g, \quad \frac{\dot{c}}{c} = f'(k) - \delta - \rho - (\rho + \nu)n \frac{k(t) + b(t)}{c(t)}}.$$

Government debt enters the equilibrium conditions *on its own*, not merely through the present value of spending. Two tax paths with the same present value generate different debt paths  $\{b(t)\}$ , hence different  $\{k(t), c(t)\}$ . Ricardian equivalence fails. ■

*Interpretation, and the contrast with Chapter 8.* In the neoclassical growth model (Exercise 8.35) the household that receives the tax cut is the same infinitely lived entity that will pay the higher taxes, and it discounts both at the same rate; debt is therefore not net wealth and the timing of taxes is irrelevant. Here part of the future tax bill falls on individuals who are not yet alive, and the current generation does not internalize their burden. Government debt is net wealth to the extent of that externality, a deficit today raises current consumption, crowds out capital and lowers the capital-labor ratio.

The magnitude of the wedge is exactly  $n$ , which delivers a sharp corollary: if  $n = 0$  — nobody new ever arrives — the household's discount rate  $r + \nu$  and the government's  $r + \nu$  coincide, and Ricardian equivalence holds *even with*  $\nu > 0$ , that is, even with finite lives. What breaks equivalence is not mortality but the arrival of new households, the same conclusion the book reaches about overaccumulation in Exercise 9.32.

### Exercise 9.33

The technology is  $Y(t) = AK(t)^{1-\alpha}L(t)^\alpha$  with  $L \equiv 1$  and full depreciation, so  $Y(t) = AK(t)^{1-\alpha}$ , the capital share is  $1 - \alpha$ , and competitive factor prices are

$$R(t) = (1 - \alpha)AK(t)^{-\alpha}, \quad w(t) = \alpha AK(t)^{1-\alpha}.$$

Capital income is taxed at  $\tau$  and the proceeds,  $\tau R(t)K(t)$ , are consumed by the government, so the private resource constraint is  $c(t) + K(t+1) = [1 - \tau(1 - \alpha)]AK(t)^{1-\alpha}$ .

*Economy 1: infinitely lived households.* The household maximizes  $\sum_{t \geq 0} \beta^t \log c(t)$  taking  $w$  and the after-tax return  $(1 - \tau)R$  as given, so the Euler equation is

$$\frac{1}{c(t)} = \beta(1 - \tau)R(t+1) \frac{1}{c(t+1)} = \beta(1 - \tau)(1 - \alpha)AK(t+1)^{-\alpha} \frac{1}{c(t+1)}.$$

Guess a constant saving rate out of after-tax income; substituting  $c(t) = (1 - \sigma)[1 - \tau(1 - \alpha)]AK(t)^{1-\alpha}$  into the Euler equation and cancelling gives

$$K(t+1) = \beta(1 - \tau)(1 - \alpha)AK(t)^{1-\alpha}, \quad K^* = [\beta(1 - \tau)(1 - \alpha)A]^{-\frac{1}{\alpha}}, \quad Y^* = A(K^*)^{1-\alpha}$$

(the guess is the solution because the policy function of this strictly concave dynamic programming problem is unique, by COROLLARY 6.1). Hence

$$\frac{d \log Y^*}{d \log(1 - \tau)} = \frac{1 - \alpha}{\alpha} > 0 :$$

taxation strictly reduces the steady-state capital stock and output.

*Economy 2: overlapping generations.* A generation born at  $t$  works when young, saves  $s(t)$  and consumes the after-tax proceeds when old:

$$\max \log c_1(t) + \beta \log c_2(t+1) \quad \text{s.t.} \quad c_1(t) = w(t) - s(t), \quad c_2(t+1) = (1 - \tau)R(t+1)s(t).$$

With log preferences the Euler equation gives  $c_2(t+1) = \beta(1 - \tau)R(t+1)c_1(t)$  and hence

$$s(t) = \frac{\beta}{1 + \beta} w(t) = \frac{\beta \alpha A}{1 + \beta} K(t)^{1-\alpha},$$

in which  $\tau$  does not appear: the after-tax return cancels, because with log preferences income and substitution effects offset exactly. Since  $K(t+1) = s(t)$ ,

$$K(t+1) = \frac{\beta\alpha A}{1+\beta} K(t)^{1-\alpha}, \quad K^* = \left[ \frac{\beta\alpha A}{1+\beta} \right]^{\frac{1}{\alpha}}, \quad \frac{dY^*}{d\tau} = 0.$$

Taxation is completely neutral for output. With  $\alpha = 2/3$  (a capital share of  $1/3$ ),  $\beta = 0.98^{30}$  and  $A = 1$ , the program gives

| $\tau$            | 0      | 0.10   | 0.25   | 0.50   |
|-------------------|--------|--------|--------|--------|
| $Y^*$ (economy 1) | 0.4264 | 0.4045 | 0.3693 | 0.3015 |
| $Y^*$ (economy 2) | 0.4851 | 0.4851 | 0.4851 | 0.4851 |

a tax of 50% costing the first economy 29.3% of output and the second nothing.

*Interpretation.* In the OLG economy the tax is levied on the return received by the *old*, whose saving decision is already behind them, and it is financed out of a saving rate that — with log preferences — does not respond to the return. It is effectively a lump-sum levy on a generation that has no margin left to distort. In the infinite-horizon economy the same household earns the wage, owns the capital and is on the intertemporal margin at *every* date; the after-tax return is the price at which it converts consumption today into consumption tomorrow, so taxing it drives a permanent wedge between the marginal product of capital and the intertemporal rate of substitution, and the capital stock falls accordingly.

*Remark.* Two caveats sharpen the lesson. First, the OLG neutrality is a knife edge: with CRRA preferences of curvature  $\theta$ , saving is  $s(t) = w(t)/\{1+\beta^{-1/\theta}[(1-\tau)R(t+1)]^{-(1-\theta)/\theta}\}$ , which does depend on  $\tau$  unless  $\theta = 1$ . What is robust is not the exact zero but the fact that the effect runs through a single, weak channel rather than through a repeated intertemporal margin. Second, even economy 1 generates only modest differences: the elasticity  $(1-\alpha)/\alpha$  equals  $1/2$  at a capital share of one third, so accounting for a tenfold income gap would require  $(1-\tau)$  to differ by a factor of 100. Together with Exercise 8.32, which reaches the same conclusion for discount rates, this is decisive evidence that differences in capital income taxation cannot explain the cross-country income distribution — and part of the case for the book's turn, in Part VIII, toward technology and institutions.



## Chapter 10

# Human Capital and Economic Growth

The fourteen exercises of Chapter 10 left unsolved in the instructor's manual: Exercises 10.1, 10.3–10.5, 10.8–10.13, 10.15–10.17 and 10.19. The manual solves 10.2, 10.6, 10.7, 10.14, 10.18 and 10.20. Notation follows the book:  $s(t)$  is the fraction of time spent in schooling,  $h$  human capital,  $\eta(S)$  the human capital produced by  $S$  years of full-time schooling,  $\phi$  the Ben-Porath human capital production function,  $f(k, h)$  the per capita production function of Section 10.4,  $\kappa = K/H$  the effective capital-labor ratio of Section 10.5, and  $\lambda$  the worker's share of output in Section 10.6. The numerical parts are computed by `code/ch10.py`.

### Exercise 10.1

*The environment.* Time is discrete,  $t = 0, 1, \dots, T$  with  $T \leq \infty$ . The individual discounts at the factor  $\beta \in (0, 1)$  and faces a constant probability of death  $\nu \in [0, 1]$  per period, so his objective is

$$\sum_{t=0}^T [\beta(1 - \nu)]^t u(c(t)), \quad (\text{D1})$$

with  $u$  strictly increasing. Human capital evolves according to

$$h(t+1) = G(t, h(t), s(t)), \quad h(0) \text{ given}, \quad (\text{D2})$$

where  $s(t) \in [0, 1]$  is the fraction of time devoted to schooling, subject to the further restriction

$$s(t) \in S(t) \subset [0, 1]. \quad (\text{D3})$$

The individual faces an exogenous path of wages per unit of human capital  $[w(t)]_{t=0}^T$ , an exogenous path of raw labor  $[\omega(t)]_{t=0}^T$  and a constant gross interest rate  $1 + r > 1$  at which he may borrow and lend freely. His lifetime budget constraint is

$$\sum_{t=0}^T \frac{c(t)}{(1+r)^t} \leq \sum_{t=0}^T \frac{w(t)[1-s(t)][h(t) + \omega(t)]}{(1+r)^t} \equiv Y([s, h]). \quad (\text{D4})$$

(As in Exercises 8.5 and 9.5, (D4) is the integrated form of the flow constraint  $a(t+1) = (1+r)a(t) + w(t)[1-s(t)][h(t) + \omega(t)] - c(t)$  together with  $a(0) = 0$  and the terminal condition  $\lim_{t \rightarrow \infty} a(t)/(1+r)^t \geq 0$ ; free borrowing and lending at the single rate  $r$  is what collapses the  $T+1$  flow constraints into the one constraint (D4).)

**Separation Theorem (discrete time).** Suppose  $u$  is strictly increasing and  $r > 0$ .

Then  $[\hat{c}(t), \hat{s}(t), \hat{h}(t)]_{t=0}^T$  solves the maximization of (D1) subject to (D2)–(D4) if and only if

- (1)  $[\hat{s}(t), \hat{h}(t)]_{t=0}^T$  maximizes the present value of earnings  $Y([s, h])$  subject to (D2) and (D3); and
- (2)  $[\hat{c}(t)]_{t=0}^T$  maximizes (D1) subject to  $\sum_t (1+r)^{-t} c(t) \leq \hat{Y} \equiv Y([\hat{s}, \hat{h}])$ .

*Proof of “only if”.* Suppose  $[\hat{c}, \hat{s}, \hat{h}]$  solves the full problem but  $[\hat{s}, \hat{h}]$  does not maximize  $Y$ . Then there is a feasible  $[\tilde{s}, \tilde{h}]$  with  $\tilde{Y} \equiv Y([\tilde{s}, \tilde{h}]) > \hat{Y}$ . Feasibility of  $[\hat{c}, \hat{s}, \hat{h}]$  gives  $\sum_t (1+r)^{-t} \hat{c}(t) \leq \hat{Y}$ . For  $\varepsilon > 0$  set  $c(t) = \hat{c}(t) + \varepsilon$  for all  $t$ , together with  $s = \tilde{s}$  and  $h = \tilde{h}$ . Then

$$\sum_{t=0}^T \frac{c(t)}{(1+r)^t} = \sum_{t=0}^T \frac{\hat{c}(t)}{(1+r)^t} + \varepsilon A(T), \quad A(T) \equiv \sum_{t=0}^T \frac{1}{(1+r)^t} = \frac{1 - (1+r)^{-(T+1)}}{1 - (1+r)^{-1}} \leq \frac{1+r}{r} < \infty,$$

the annuity factor — the discrete-time counterpart of  $[1 - e^{-rT}]/r$ , and finite even for  $T = \infty$  precisely because  $r > 0$ . Hence  $\sum_t (1+r)^{-t} c(t) \leq \hat{Y} + \varepsilon A(T)$ , and choosing  $\varepsilon < (\tilde{Y} - \hat{Y})/A(T)$  makes this at most  $\tilde{Y}$ . So  $[c, \tilde{s}, \tilde{h}]$  is feasible; and since  $u$  is strictly increasing and  $c(t) > \hat{c}(t)$  at every date, it is strictly preferred to  $[\hat{c}, \hat{s}, \hat{h}]$ , contradicting optimality. Therefore  $[\hat{s}, \hat{h}]$  maximizes  $Y$ , and given that,  $[\hat{c}]$  must maximize (D1) on the budget set it generates.

*Proof of “if”.* Suppose  $[\hat{s}, \hat{h}]$  maximizes  $Y$ , with value  $\hat{Y}$ , and  $[\hat{c}]$  maximizes (D1) subject to  $\sum_t (1+r)^{-t} c(t) \leq \hat{Y}$ . Take any feasible  $[c, s, h]$  for the full problem. Its schooling plan yields  $Y([s, h]) \leq \hat{Y}$ , so the budget constraint (D4) gives  $\sum_t (1+r)^{-t} c(t) \leq Y([s, h]) \leq \hat{Y}$ ; hence  $[c]$  lies in the budget set over which  $[\hat{c}]$  was optimal, and so  $[c]$  is weakly worse than  $[\hat{c}]$ . Therefore  $[\hat{c}, \hat{s}, \hat{h}]$  solves the full problem. ■

*What the proof uses.* Only three things: (i)  $u$  is strictly increasing, so a uniformly larger consumption path is strictly better; (ii) there is a *single* lifetime budget constraint, which requires borrowing and lending at a common rate with no quantity limits; and (iii) schooling enters the problem *only* through that constraint — there is no leisure, so  $s$  does not appear in  $u$ . Exercise 10.2 shows that the theorem fails when (ii) is dropped (a borrowing constraint makes the timing of earnings matter, not just their present value) or when (iii) is dropped (with  $u(c, 1-l)$  the marginal rate of substitution between schooling and consumption is no longer independent of the consumption plan).

*Remark.* This is Fisher separation for human capital: with a complete market for intertemporal trade, the individual’s “firm” — his stock of human capital — should be run to maximize its present value, and preferences determine only how that value is spread across dates. The discrete-time proof is if anything cleaner than the continuous-time one, since the annuity factor  $A(T)$  is an explicit finite sum.

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### Exercise 10.3

By THEOREM 10.1 the optimal  $S$  maximizes the present value of earnings, (10.8):

$$V(S) = \int_S^\infty e^{-(r+\nu)t} w(t) h(t) dt.$$

Two substitutions do the work. Wages grow at  $g_w$  by (10.7), so  $w(t) = w(0)e^{g_w t}$ . Human capital equals  $\eta(S)$  at graduation and grows at  $g_h$  thereafter by (10.6), so for  $t \geq S$ ,

$$h(t) = \eta(S)e^{g_h(t-S)}.$$

Hence the integrand is

$$e^{-(r+\nu)t} w(0)e^{g_w t} \eta(S)e^{g_h(t-S)} = w(0)\eta(S)e^{-g_h S} e^{-(r+\nu-g_w-g_h)t},$$

and since  $g_w + g_h < r + \nu$  the integral converges:

$$V(S) = w(0)\eta(S)e^{-g_h S} \frac{e^{-(r+\nu-g_w-g_h)S}}{r+\nu-g_h-g_w} = \frac{\eta(S) w(0) \exp(-(r+\nu-g_w)S)}{r+\nu-g_h-g_w},$$

the two exponents in  $S$  combining because  $-g_h S - (r + \nu - g_w - g_h)S = -(r + \nu - g_w)S$ . This is (10.9). With  $r = 0.10$ ,  $\nu = g_w = 0.02$ ,  $g_h = 0$  and  $S = 8$  the program evaluates the integral numerically as 15.158858689 against the closed form 15.158858689.

*Reading the formula.* The numerator is the human capital the individual owns on graduation day, valued at the current wage and discounted for the delay  $S$  at the rate  $r + \nu - g_w$ ; the denominator turns the flow into a stock, an annuity factor at the effective rate  $r + \nu - g_h - g_w$ . The first-order condition is then (10.10),

$$\frac{\eta'(S^*)}{\eta(S^*)} = r + \nu - g_w,$$

which equates the *proportional* gain in earnings from an extra year of schooling to the cost of postponing the whole earnings stream by a year.

*Remark.* The text justifies the uniqueness of  $S^*$  by saying that “since  $\eta(S)$  is concave, the objective function in (10.9) is strictly concave.” That is not quite the right argument: for  $\Psi(S) = \eta(S)e^{-aS}$  one has  $\Psi'' = e^{-aS}[\eta'' - 2a\eta' + a^2\eta]$ , whose sign is not determined by  $\eta'' < 0$ . What is true, and is all that is needed, is that  $\Psi$  is strictly *log*-concave:  $\log \Psi(S) = \log \eta(S) - aS$  and  $\log \eta$  is strictly concave whenever  $\eta$  is positive, increasing and strictly concave. Equivalently  $\eta'/\eta$  is strictly decreasing, so (10.10) has at most one solution, and the objective is strictly quasiconcave, which gives a unique maximizer. The same observation is what makes the comparative static of Exercise 10.4 unambiguous.

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#### Exercise 10.4

*Higher  $r$ , less schooling.* By (10.10) the individual's schooling solves

$$\Lambda'(S^*) = r + \nu - g_w, \quad \Lambda(S) \equiv \log \eta(S),$$

and  $\Lambda' = \eta'/\eta$  is strictly decreasing, since

$$\frac{d}{dS} \frac{\eta'}{\eta} = \frac{\eta''\eta - (\eta')^2}{\eta^2} < 0.$$

Implicit differentiation therefore gives

$$\frac{dS^*}{dr} = \frac{1}{[\eta''\eta - (\eta')^2]/\eta^2} < 0.$$

Impatient individuals weigh the foregone earnings of an extra year more heavily against the proportional wage gain it delivers, and stop schooling sooner. (The same computation shows  $dS^*/d\nu < 0$  and  $dS^*/dg_w > 0$ .)

*What the wage regression recovers.* Cross-sectionally, log earnings of an individual with schooling  $S_j$  and experience  $e_j$  are, from the derivation of (10.12),

$$\log W_j = \text{constant} + \Lambda(S_j) + g_h e_j.$$

The relation between log wages and schooling is thus the *human capital production function*  $\Lambda = \log \eta$ , whatever generates the variation in  $S$ . Estimating the linear equation (10.12) by least squares

(controlling for experience) delivers

$$\hat{\gamma}_s = \frac{\text{Cov}(\Lambda(S_j), S_j)}{\text{Var}(S_j)},$$

which, since  $\Lambda$  is strictly concave, is a weighted average of the individual marginal returns

$$\Lambda'(S_j) = r_j + \nu - g_w.$$

Three conclusions follow.

(i) *The regression is consistent, but for a population average.* Because  $r_j$  affects wages *only* through schooling — it does not enter the wage equation — there is no omitted-variable bias of the usual “ability bias” kind, and  $\hat{\gamma}_s$  estimates the average marginal return in the population. Had the heterogeneity been in  $\eta$  (ability) rather than in  $r$ ,  $S_j$  would be correlated with the error and OLS would be inconsistent. The source of the variation, not its size, is what determines whether the regression means anything.

(ii) *But what it estimates is a preference parameter, not a technological one.* The marginal return is  $r_j + \nu - g_w$ , the individual’s own discount rate adjusted for mortality and wage growth. A cross section in which schooling varies only because patience varies traces out the *marginal return schedule*  $\Lambda'$ , so the returns to schooling coefficient reveals how impatient people are, not how productive schooling is. The empirical range  $\gamma_s \in [0.06, 0.10]$  then says that effective discount rates lie in roughly that range, which is exactly the reading the text gives when it calibrates  $r \approx 0.10$ ,  $\nu \approx 0.02$  and  $g_w \approx 0.02$  to obtain  $\gamma_s \approx 0.10$ .

(iii) *A single number conceals very heterogeneous returns.* Take  $\eta(S) = \exp(aS - \frac{b}{2}S^2)$ , so that  $\Lambda'(S) = a - bS$  and  $S^*(r) = [a - (r + \nu - g_w)]/b$  is linear in  $r$ . With  $a = 0.20$ ,  $b = 0.012$ ,  $\nu = g_w = 0.02$  and  $r$  spread uniformly over  $[0.04, 0.16]$ , the program gives

|                 |       |       |       |       |       |
|-----------------|-------|-------|-------|-------|-------|
| $r$             | 0.04  | 0.07  | 0.10  | 0.13  | 0.16  |
| $S^*$ (years)   | 13.33 | 10.83 | 8.33  | 5.83  | 3.33  |
| marginal return | 0.040 | 0.070 | 0.100 | 0.130 | 0.160 |

and an OLS Mincer coefficient of  $\hat{\gamma}_s = 0.100$  — the population mean. But the marginal return ranges from 4% for the most-schooled to 16% for the least-schooled. A policy that induces the impatient to stay one more year earns 16%; one that extends the schooling of the already highly educated earns 4%. Neither is  $\hat{\gamma}_s$ . Figure 8 shows the gap: the true relation  $\Lambda(S)$  is concave, and the fitted line crosses it twice.

*Remark.* This is the theoretical core of the returns-to-schooling literature that follows Card (1999): when marginal returns are heterogeneous, an instrument that shifts the *cost* of schooling recovers a local average of the returns for the individuals it moves, not a common parameter — and it can exceed the OLS estimate precisely because the individuals whose schooling responds to cost shifters are the ones with the highest marginal returns. The model here is the simplest environment in which that statement is exactly true.

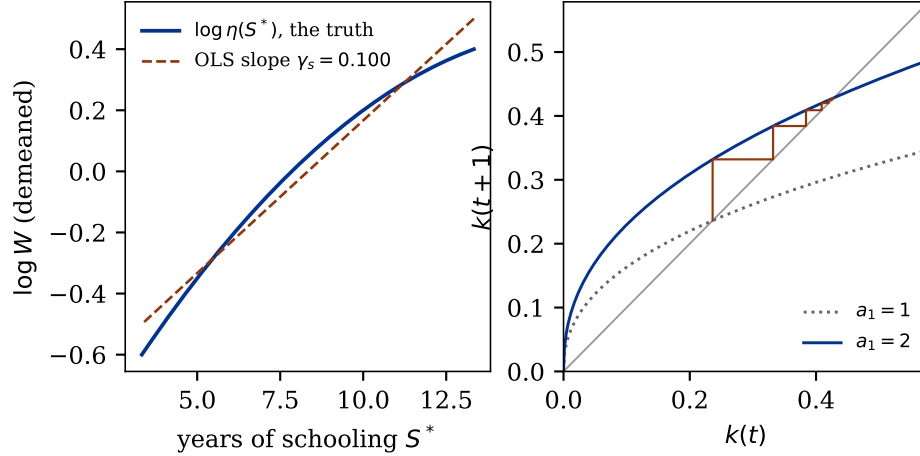


FIGURE 8. Left (Exercise 10.4): when schooling varies only because discount rates vary, the true relation between log wages and schooling is the concave function  $\log \eta(S)$ , and the Mincer coefficient is the average of the individual marginal returns. Right (Exercise 10.19): in the closed economy of Section 10.6, a rise in one group's ability shifts the accumulation map upward, and the economy climbs to a higher  $k^*$  — raising the *other* group's human capital from the next period on.

### Exercise 10.5

The problem is

$$\max_{[s(t)]} \int_0^\infty e^{-(r+\nu)t} (1-s(t))h(t) dt \quad \text{s.t.} \quad \dot{h}(t) = \phi(s(t)h(t)) - \delta_h h(t), \quad s(t) \in [0, 1], \quad h(0) > 0.$$

*Step 1: the state is confined to a compact interval.* Setting  $s = 1$  gives the fastest possible accumulation,  $\dot{h} \leq \phi(h) - \delta_h h$ . Since  $\phi$  is strictly concave, increasing and eventually flat,  $\phi(h) - \delta_h h$  is negative for large  $h$ ; let  $\bar{h}$  solve  $\phi(\bar{h}) = \delta_h \bar{h}$ . Then

$$h(t) \leq h_{\max} \equiv \max\{h(0), \bar{h}\} \quad \text{for all } t.$$

For a lower bound, note that the optimal path converges monotonically to the steady state  $h^* = \phi(x^*)/\delta_h > 0$  of (10.17)–(10.18), so  $\inf_t h(t) = \min\{h(0), h^*\} > 0$ ; pick  $\epsilon$  strictly below that number. This is the argument of Exercise 7.27(c) applied here, and it is what the hint means by imitating Section 7.7. The state therefore lives in the compact interval  $[\epsilon, h_{\max}] \subset (0, \infty)$ , and the objective is bounded:

$$\left| \int_0^\infty e^{-(r+\nu)t} (1-s)h dt \right| \leq \frac{h_{\max}}{r+\nu} < \infty.$$

*Step 2: THEOREM 7.13 gives the necessary conditions.* The control set  $[0, 1]$  is compact,  $G(h, s) = \phi(sh) - \delta_h h$  is continuously differentiable, the state is confined to a compact interval, and the objective converges. Theorem 7.13 therefore applies to the current-value Hamiltonian

$$\mathcal{H}(h, s, \mu) = (1-s)h + \mu[\phi(sh) - \delta_h h]$$

and yields (10.14):  $\mathcal{H}_s = 0$ ,  $\mathcal{H}_h = (r+\nu)\mu - \dot{\mu}$  and  $\lim_{t \rightarrow \infty} e^{-(r+\nu)t} \mu(t)h(t) = 0$ . The first is an equality rather than an inequality because the optimum is interior:  $\mathcal{H}_s = -h + \mu h \phi'(sh)$  is  $+\infty$  at

$s = 0$  (since  $\phi'(0) = \infty$ ) and negative at  $s = 1$  (since  $\phi'$  has fallen to zero by then), so no corner can be optimal.

*Step 3:* THEOREM 7.14 gives sufficiency — after a change of variable. Theorem 7.14 requires the maximized Hamiltonian to be concave in the state. As written,  $\mathcal{H}$  is *not* jointly concave in  $(h, s)$ : the term  $(1 - s)h$  is bilinear, with Hessian  $\begin{pmatrix} 0 & -1 \\ -1 & 0 \end{pmatrix}$  and eigenvalues  $\pm 1$ , and  $\phi(sh)$  is not jointly concave either. Take instead the control

$$x(t) \equiv s(t)h(t) \in [0, h(t)],$$

which is the transformation the text introduces immediately after (10.14). The problem becomes

$$\max \int_0^\infty e^{-(r+\nu)t} [h(t) - x(t)] dt \quad \text{s.t.} \quad \dot{h} = \phi(x) - \delta_h h, \quad 0 \leq x(t) \leq h(t),$$

whose Hamiltonian

$$\mathcal{H}(h, x, \mu) = h - x + \mu[\phi(x) - \delta_h h]$$

is *linear* in  $h$  and, since  $\mu = 1/\phi'(x) > 0$  by (10.15), strictly concave in  $x$ : jointly concave in  $(h, x)$ . The constraint set  $\{(h, x) : 0 \leq x \leq h\}$  is convex, and the change of variable is a bijection for  $h > 0$ , so the two problems have the same solutions.

Finally, Theorem 7.14 needs  $\lim_{t \rightarrow \infty} e^{-(r+\nu)t} \mu(t)h(t) \geq 0$  along every feasible path, which is immediate here because  $h \geq 0$  and  $\mu > 0$ . Hence the conditions (10.14) are sufficient as well as necessary, and strict concavity of  $\phi$  makes the maximizing  $x$  — and therefore the whole optimal path — unique.

*Remark.* The change of variable is usually presented as algebraic convenience, a way of reducing (10.14) to the two equations (10.15) and (10.16). This exercise shows that it is doing something more substantial: it is what convexifies the problem. Whenever a control enters multiplicatively with the state, it is worth asking whether the product is the natural control.

### Exercise 10.8

Write  $z = (k, h, i_k, i_h)$  and

$$\begin{aligned} \widehat{H}(z; \mu_k, \mu_h) &= \underbrace{u(f(k, h) - i_h - i_k)}_{= (u \circ g)(z)} + \underbrace{\mu_h(i_h - \delta_h h) + \mu_k(i_k - \delta_k k)}_{\text{linear in } z}, \quad g(z) \equiv f(k, h) - i_k - i_h. \end{aligned}$$

The second group of terms is linear in  $z$  for any values of the costates, hence concave, so it suffices to show that  $u \circ g$  is concave.

$g$  is concave.  $f$  is jointly strictly concave in  $(k, h)$  by Assumptions 1' and 2', and  $-i_k - i_h$  is linear; a concave function plus a linear one is concave.

A concave increasing function of a concave function is concave. Let  $z_0, z_1$  and  $\lambda \in [0, 1]$ , and write  $z_\lambda = \lambda z_1 + (1 - \lambda)z_0$ . Then

$$g(z_\lambda) \geq \lambda g(z_1) + (1 - \lambda)g(z_0)$$

by concavity of  $g$ ; applying  $u$ , which is strictly increasing,

$$u(g(z_\lambda)) \geq u(\lambda g(z_1) + (1 - \lambda)g(z_0)) \geq \lambda u(g(z_1)) + (1 - \lambda)u(g(z_0)),$$

the second inequality by concavity of  $u$ . Hence  $u \circ g$  is concave, and so is  $\hat{H}$ . ■

Both hypotheses are needed: if  $u$  were decreasing the first inequality would reverse, and if  $u$  were convex the second would. Assumption 3 supplies exactly  $u' > 0$  and  $u'' < 0$ .

Concavity of  $\hat{H}$  in the states *and* the controls jointly implies concavity of the maximized Hamiltonian in the states (Exercise 7.7), which is what THEOREM 7.14 requires; with the transversality conditions, the conditions listed after (10.24) therefore characterize the optimum.

*Remark.*  $\hat{H}$  is concave but not *strictly* so, and the failure is informative. Along any direction that changes  $i_k$  and  $i_h$  in opposite directions by the same amount,  $g$  is constant and  $u \circ g$  is unchanged; only the linear terms move. The composition of investment is therefore not pinned down by concavity, which is precisely why the first-order conditions deliver  $\mu_k = \mu_h$  — the two investments are perfect substitutes in the resource constraint — and why, as the text observes after PROPOSITION 10.1, the economy can jump instantaneously to the balanced ratio with  $i_k(0)$  very negative and  $i_h(0)$  very large.

### Exercise 10.9

Write (10.25) as  $\Delta(k, h) = 0$  with

$$\Delta(k, h) \equiv f_k(k, h) - f_h(k, h) - (\delta_k - \delta_h).$$

*Uniqueness.* For fixed  $k > 0$ ,

$$\frac{\partial \Delta}{\partial h} = f_{kh}(k, h) - f_{hh}(k, h) > 0,$$

since  $f_{kh} > 0$  by the maintained complementarity assumption and  $f_{hh} < 0$  by strict concavity. So  $\Delta(k, \cdot)$  is strictly increasing and has at most one zero.

*Existence.* By Assumption 2',  $f_h(k, h) \rightarrow \infty$  as  $h \rightarrow 0$  while  $f_k(k, h)$  stays finite, so  $\Delta(k, h) \rightarrow -\infty$ ; and as  $h \rightarrow \infty$ ,  $f_h(k, h) \rightarrow 0$  while  $f_k(k, h)$  increases without bound (since  $f_{kh} > 0$ ; for  $f = k^\alpha h^\beta$ ,  $f_k = \alpha k^{\alpha-1} h^\beta \rightarrow \infty$ ), so  $\Delta(k, h) \rightarrow +\infty$ . By continuity there is exactly one root, which defines  $\xi(k)$ .

*Monotonicity and smoothness.*  $f$  is twice continuously differentiable and  $\Delta_h \neq 0$ , so the implicit function theorem (THEOREM A.25) makes  $\xi$  continuously differentiable, with

$$\xi'(k) = -\frac{\Delta_k}{\Delta_h} = \frac{f_{kh}(k, h) - f_{kk}(k, h)}{f_{kh}(k, h) - f_{hh}(k, h)} \Big|_{h=\xi(k)} > 0$$

because  $f_{kk} < 0$ ,  $f_{hh} < 0$  and  $f_{kh} > 0$  make both numerator and denominator strictly positive.

*An illustration.* With  $f(k, h) = k^\alpha h^\beta$ ,  $\alpha = \beta = 1/3$ ,  $\delta_k = 0.08$  and  $\delta_h = 0.04$ , the program gives

|           |        |        |        |        |
|-----------|--------|--------|--------|--------|
| $k$       | 0.5    | 1.0    | 2.0    | 5.0    |
| $\xi(k)$  | 0.5508 | 1.1302 | 2.3353 | 6.1819 |
| $\xi'(k)$ | 1.1377 | 1.1772 | 1.2294 | 1.3267 |

matching a numerical derivative to six digits. In the special case  $\delta_k = \delta_h$  the locus is exactly linear,  $h = (\beta/\alpha)k$ ; a higher depreciation rate on physical capital tilts the economy toward human capital, and here  $h^*/k^* = 1.667$  rather than 1.

*What the result says.* Physical and human capital are always in balance, at a ratio determined entirely by technology and depreciation, because the two are produced from the same good at the same price and can be converted into each other freely. The economy therefore has only one effective state variable — which is the content of PROPOSITION 10.1 and the reason imbalances require irreversibility (Exercise 10.14) or labor market frictions (Section 10.6).

### Exercise 10.10

(a) *Consumption.* The first two conditions after (10.24) give  $\mu_k(t) = \mu_h(t) = u'(c(t)) \equiv \mu(t)$ . The third then reads

$$f_k(k, h)u'(c) - \mu\delta_k = \rho\mu - \dot{\mu} \quad \implies \quad \frac{\dot{\mu}}{\mu} = \rho + \delta_k - f_k(k, h).$$

Since  $\mu = u'(c)$ ,

$$\frac{\dot{\mu}}{\mu} = \frac{u''(c)\dot{c}}{u'(c)} = -\varepsilon_u(c)\frac{\dot{c}}{c}, \quad \varepsilon_u(c) = -\frac{u''(c)c}{u'(c)},$$

so that, substituting  $h = \xi(k)$  from Exercise 10.9,

$$\frac{\dot{c}(t)}{c(t)} = \frac{1}{\varepsilon_u(c(t))} \left[ f_k(k(t), \xi(k(t))) - \delta_k - \rho \right].$$

*Capital.* Along the optimal path  $h(t) = \xi(k(t))$ , so  $\dot{h} = \xi'(k)\dot{k}$ . From (10.21) and (10.22),

$$i_k = \dot{k} + \delta_k k, \quad i_h = \dot{h} + \delta_h h = \xi'(k)\dot{k} + \delta_h \xi(k),$$

and substituting into the resource constraint (10.23), which binds,

$$c + \dot{k} + \delta_k k + \xi'(k)\dot{k} + \delta_h \xi(k) = f(k, \xi(k)).$$

Collecting the terms in  $\dot{k}$ ,

$$\dot{k}(t) = \frac{1}{1 + \xi'(k(t))} \left[ f(k(t), \xi(k(t))) - \delta_h \xi(k(t)) - \delta_k k(t) - c(t) \right],$$

which is the second equation of PROPOSITION 10.1. The factor  $1/[1 + \xi'(k)]$  is the price of raising  $k$  by one unit: doing so requires  $\xi'(k)$  additional units of human capital to keep the economy on the locus.

*Transversality.* Integrating  $\dot{\mu}/\mu = \rho + \delta_k - f_k$ ,

$$e^{-\rho t} \mu(t) = \mu(0) \exp \left( - \int_0^t [f_k(k(s), \xi(k(s))) - \delta_k] ds \right),$$

so  $\lim_{t \rightarrow \infty} e^{-\rho t} \mu_k(t)k(t) = 0$  is equivalent to

$$\lim_{t \rightarrow \infty} k(t) \exp \left( - \int_0^t [f_k(k(s), \xi(k(s))) - \delta_k] ds \right) = 0,$$

and the second transversality condition, in  $h$ , is then implied by  $h = \xi(k)$  and  $\mu_h = \mu_k$ . The system is a planar one in  $(k, c)$  with exactly the structure of the one-sector neoclassical model of Chapter 8, so it has a unique steady state at  $f_k(k^*, \xi(k^*)) = \delta_k + \rho$ , saddle-path stable, with monotone convergence. ■



*Remark.* The transversality condition as printed in PROPOSITION 10.1 omits  $\delta_k$  from the exponent. The derivation above shows that the correct exponent carries the depreciation rate,  $-\int_0^t [f_k - \delta_k] ds$ , that is  $-\int_0^t r(s) ds$  with  $r = f_k - \delta_k$  the net interest rate, exactly as in (8.32) and PROPOSITION 8.7. Since  $f_k - \delta_k \rightarrow \rho > 0$  along the equilibrium path, both versions are satisfied by the optimal path and nothing substantive turns on it.

(b) *The other form.* Repeat the argument with the *fourth* condition after (10.24) in place of the third:

$$f_h(k, h)u'(c) - \mu\delta_h = \rho\mu - \dot{\mu} \quad \implies \quad \frac{\dot{\mu}}{\mu} = \rho + \delta_h - f_h(k, h),$$

so that

$$\frac{\dot{c}(t)}{c(t)} = \frac{1}{\varepsilon_u(c(t))} \left[ f_h(k(t), \xi(k(t))) - \delta_h - \rho \right].$$

The two expressions are identical because subtracting the two costate equations gives

$$f_k(k, h) - \delta_k = f_h(k, h) - \delta_h,$$

which is exactly (10.25). The program confirms it: with  $f = k^{1/3}h^{1/3}$ ,  $\delta_k = 0.08$ ,  $\delta_h = 0.04$ , the columns  $f_k - \delta_k$  and  $f_h - \delta_h$  agree to six digits at every  $k$  on the locus, and the steady state has

$$k^* = 61.728, \quad h^* = 102.881, \quad f_k(k^*, h^*) - \delta_k = f_h(k^*, h^*) - \delta_h = \rho = 0.02.$$

*Why.* Both capitals are assets, both are produced from the consumption good one for one, and both can be accumulated or decumulated freely. No-arbitrage therefore forces their net rates of return to be equal, and that common value *is* the interest rate  $r(t)$  the household faces. The Euler equation compares  $r$  with  $\rho$ ; it is indifferent about which of the two assets one uses to measure  $r$ .

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### Exercise 10.11

Modify the resource constraint to  $c + (1 + \tau)(i_k + i_h) \leq f(k, h)$ , as in Section 8.10, and repeat the optimization. The current-value Hamiltonian is

$$\hat{H} = u(f(k, h) - (1 + \tau)(i_k + i_h)) + \mu_k(i_k - \delta_k k) + \mu_h(i_h - \delta_h h),$$

and the first-order conditions in the two investments give

$$\mu_k = \mu_h = (1 + \tau)u'(c).$$

The costate equation in  $k$  is  $f_k u'(c) - \mu_k \delta_k = \rho \mu_k - \dot{\mu}_k$ , so

$$\frac{\dot{\mu}_k}{\mu_k} = \rho + \delta_k - \frac{f_k(k, h)}{1 + \tau},$$

the distortion entering because a unit of forgone consumption now buys only  $1/(1 + \tau)$  units of capital. In a steady state  $\dot{c} = 0$ , hence  $\dot{\mu}_k = 0$ , and likewise for  $h$ :

$$f_k(k^*, h^*) = (1 + \tau)(\rho + \delta_k), \quad f_h(k^*, h^*) = (1 + \tau)(\rho + \delta_h). \quad (*)$$

*Cobb–Douglas.* With  $Y = K^\alpha H^\beta L^{1-\alpha-\beta}$  and  $L = 1$ , so  $y = k^\alpha h^\beta$ , the two conditions in  $(*)$  read  $\alpha y/k = A_k$  and  $\beta y/h = A_h$ , where  $A_k \equiv (1 + \tau)(\rho + \delta_k)$  and  $A_h \equiv (1 + \tau)(\rho + \delta_h)$ . Hence  $k = \alpha y/A_k$

and  $h = \beta y / A_h$ , and substituting back into  $y = k^\alpha h^\beta$ ,

$$y = \left(\frac{\alpha y}{A_k}\right)^\alpha \left(\frac{\beta y}{A_h}\right)^\beta = y^{\alpha+\beta} \left(\frac{\alpha}{A_k}\right)^\alpha \left(\frac{\beta}{A_h}\right)^\beta \implies y = \left[\left(\frac{\alpha}{A_k}\right)^\alpha \left(\frac{\beta}{A_h}\right)^\beta\right]^{\frac{1}{1-\alpha-\beta}}.$$

Both  $A_k$  and  $A_h$  are proportional to  $1 + \tau$ , so  $y \propto (1 + \tau)^{-(\alpha+\beta)/(1-\alpha-\beta)}$  and

$$\frac{Y(\tau)}{Y(\tau')} = \left(\frac{1 + \tau'}{1 + \tau}\right)^{\frac{\alpha+\beta}{1-\alpha-\beta}}$$

which is (10.26). ■

*How much this adds.* The elasticity is  $(\alpha + \beta)/(1 - \alpha - \beta)$  where the one-capital model of Chapter 8 gave  $\alpha/(1 - \alpha)$ :

| $(\alpha, \beta)$    | (1/3, 0) | (1/3, 1/6) | (1/3, 1/3) |
|----------------------|----------|------------|------------|
| exponent             | 0.50     | 1.00       | 2.00       |
| eightfold distortion | 2.83     | 8.00       | 64.00      |

Adding a human capital share equal to the physical capital share quadruples the exponent, and the income ratio a given distortion can generate rises from under threefold to sixty-fourfold.

*Remark.* The mechanism deserves scepticism, and the text supplies it. The large number comes entirely from an extremely elastic human capital response: the model has human capital adjusting to after-tax returns exactly as physical capital does, so a tax on investment compounds across both margins. Whether schooling decisions really respond to corporate taxes or to corruption in that way is doubtful, and the exercise's arithmetic is the same arithmetic that makes the Mankiw–Romer–Weil accounting attribute so much to human capital — which Chapter 3 found the evidence does not support. What the calculation establishes is a logical possibility, not a measurement.

### Exercise 10.12

(a) *The consumer.* The representative household owns the two capital stocks and rents them to firms at  $R_k(t)$  and  $R_h(t)$ , and supplies its unit of raw labor at the wage  $w(t)$ . It solves

$$\max \int_0^\infty e^{-\rho t} u(c(t)) dt \quad \text{s.t.} \quad c(t) + i_k(t) + i_h(t) \leq R_k(t)k(t) + R_h(t)h(t) + w(t),$$

$$\dot{k}(t) = i_k(t) - \delta_k k(t), \quad \dot{h}(t) = i_h(t) - \delta_h h(t), \quad k(0), h(0) > 0 \text{ given,}$$

together with the no-Ponzi conditions  $\lim_{t \rightarrow \infty} k(t)e^{-\int_0^t (R_k - \delta_k)} \geq 0$  and the analogue in  $h$ . Prices are taken as given.

(b) *Equilibrium.* A competitive equilibrium is a path

$$[c(t), i_k(t), i_h(t), k(t), h(t), R_k(t), R_h(t), w(t)]_{t=0}^\infty$$

such that

- (1) the household's path solves the problem in (a) given prices;
- (2) firms maximize: with  $F(K, H, L)$  constant returns to scale and  $L = 1$ ,

$$R_k(t) = f_k(k(t), h(t)), \quad R_h(t) = f_h(k(t), h(t)), \quad w(t) = f(k(t), h(t)) - k(t)f_k - h(t)f_h;$$

(3) markets clear: the factor markets by (2), and the goods market by  $c(t) + i_k(t) + i_h(t) = f(k(t), h(t))$ , which follows from (2) and Euler's theorem.

(c) *Characterization.* The household's current-value Hamiltonian is

$$\hat{H} = u(R_k k + R_h h + w - i_k - i_h) + \mu_k(i_k - \delta_k k) + \mu_h(i_h - \delta_h h),$$

with  $R_k, R_h, w$  exogenous to the household. The conditions in the two investments give  $\mu_k = \mu_h = u'(c)$  again, and the two costate equations give

$$\frac{\dot{\mu}_k}{\mu_k} = \rho + \delta_k - R_k(t), \quad \frac{\dot{\mu}_h}{\mu_h} = \rho + \delta_h - R_h(t).$$

Equality of the costates forces the *no-arbitrage condition*

$$R_k(t) - \delta_k = R_h(t) - \delta_h \equiv r(t),$$

and substituting the firms' conditions from (2) turns this into  $f_k(k, h) - f_h(k, h) = \delta_k - \delta_h$ , which is (10.25); so  $h(t) = \xi(k(t))$  in equilibrium too. The Euler equation is

$$\frac{\dot{c}}{c} = \frac{1}{\varepsilon_u(c)} [r(t) - \rho] = \frac{1}{\varepsilon_u(c)} [f_k(k, \xi(k)) - \delta_k - \rho],$$

the resource constraint reproduces the second equation of PROPOSITION 10.1, and the transversality conditions are the ones derived in Exercise 10.10.

Every equilibrium condition is therefore identical to an optimality condition of the planner's problem, and conversely; since both problems have a unique solution given  $k(0)$ , the competitive equilibrium and the optimal growth path coincide. ■

*Why they coincide, and what is doing the work.* There are no externalities, technology has constant returns, markets are complete and the household is a price taker, so the First and Second Welfare Theorems of Chapter 5 apply. What is worth noticing is the interpretation of (10.25): in the planner's problem it is a first-order condition, an instruction to keep the two capitals in balance; in the market it is a *no-arbitrage condition*, forced by the fact that both assets are produced from the same good at the same price and can be converted at will. The balance the planner chooses is the balance arbitrage imposes.

### Exercise 10.13

Let  $Y(t) = F(K(t), H(t), A(t)L)$  with  $A(t) = A(0)e^{gt}$ ,  $L = 1$  and  $F$  constant returns to scale in its three arguments; preferences are CRRA with curvature  $\theta$ .

(a) *Equilibrium* is defined exactly as in Exercise 10.12, with the firm's conditions

$$R_k(t) = F_K, \quad R_h(t) = F_H, \quad w(t) = F_L \cdot A(t),$$

where  $w$  is now the wage per unit of raw labor and grows over time.

(b) *Transformed variables.* Because progress is labor augmenting and  $F$  has constant returns, the natural normalization is by effective labor:

$$\hat{k} \equiv \frac{K}{AL}, \quad \hat{h} \equiv \frac{H}{AL}, \quad \hat{c} \equiv \frac{c}{A}, \quad f(\hat{k}, \hat{h}) \equiv F(\hat{k}, \hat{h}, 1),$$

and these are the variables constant in a steady state;  $c$ ,  $k$ ,  $h$  and  $y$  all grow at  $g$ . The accumulation equations become

$$\dot{\hat{k}} = \hat{v}_k - (\delta_k + g)\hat{k}, \quad \dot{\hat{h}} = \hat{v}_h - (\delta_h + g)\hat{h},$$

effective labor growing at  $g$  adding to the effective depreciation rate of both stocks.

(c) *Steady state and dynamics.* The two investment conditions again give  $\mu_k = \mu_h$ , and the two costate equations again give

$$f_k(\hat{k}, \hat{h}) - \delta_k = f_h(\hat{k}, \hat{h}) - \delta_h,$$

which is (10.25) unchanged: the balance locus  $\hat{h} = \xi(\hat{k})$  is the *same function* as without technological progress, since  $g$  enters both stocks symmetrically. The Euler equation with CRRA preferences is

$$\frac{\hat{c}}{\bar{c}} = \frac{1}{\theta} [f_k(\hat{k}, \xi(\hat{k})) - \delta_k - \rho - \theta g],$$

so the steady state is

$$\boxed{f_k(\hat{k}^*, \xi(\hat{k}^*)) = \rho + \delta_k + \theta g, \quad f_h(\hat{k}^*, \hat{h}^*) = \rho + \delta_h + \theta g, \quad \hat{h}^* = \xi(\hat{k}^*),}$$

the modified golden rule of Chapter 8 applied to each capital stock, and

$$\dot{\hat{k}} = \frac{1}{1 + \xi'(\hat{k})} [f(\hat{k}, \xi(\hat{k})) - (\delta_h + g)\xi(\hat{k}) - (\delta_k + g)\hat{k} - \hat{c}].$$

This is a planar system in  $(\hat{k}, \hat{c})$  with exactly the structure of PROPOSITION 8.7: a unique steady state, saddle-path stable, with monotone convergence along the stable arm. A higher  $g$  raises the required marginal product  $\rho + \delta_k + \theta g$  and therefore *lowers*  $\hat{k}^*$  and  $\hat{h}^*$ ; the technology-adjusted levels fall while the growth rates rise. Assumption 4 —  $\rho > (1 - \theta)g$  with  $n = 0$  — is again needed for finite utility.

(d) *Why human capital accumulates faster.* Two observations combine.

First, along the balanced growth path  $\hat{h} = H/(AL)$  is constant, so the *stock* of human capital grows at exactly the rate  $g$ . A higher  $g$  therefore means permanently faster human capital accumulation, not just faster output growth.

Second, the mechanism is complementarity. Human capital is complementary with effective labor,  $F_{HA} > 0$ ; as  $A$  rises, the marginal product of a given stock of human capital rises with it, and by (10.25) the return to human capital must remain tied to the return to physical capital. So the return to human capital investment rises one for one with the rate of technological progress, and the household responds by accumulating  $H$  at the rate  $g$ . Since  $\hat{h} = \xi(\hat{k})$  is a fixed relation, human capital tracks physical capital exactly: anything that raises the growth rate of  $K$  raises that of  $H$  by the same amount. With  $f = \hat{k}^\alpha \hat{h}^\beta$  and  $\delta_k = \delta_h$  the ratio is literally constant,  $\hat{h}^*/\hat{k}^* = \beta/\alpha$ , regardless of  $g$ .

*Remark.* This is the model's answer to a recurring empirical question — whether skill-biased technological change should raise or lower the incentive to invest in skills. Here the answer is unambiguous, because progress is factor-neutral in the relevant sense and the two capitals are tied by (10.25). Models in which technology and skills are chosen jointly, and in which the *direction* of technological change responds to relative supplies, are the subject of Chapter 15, and there the answer is considerably less simple.

**Exercise 10.15**

By constant returns to scale and Euler's theorem,

$$F_K(K, H)K + F_H(K, H)H = F(K, H) \quad \text{for all } K, H > 0.$$

Differentiate with respect to  $K$ :

$$F_{KK}K + F_K + F_{HK}H = F_K \quad \implies \quad F_{KK}K + F_{KH}H = 0,$$

that is

$$F_{KH} = -\frac{K}{H}F_{KK} \geq 0$$

since  $F$  is concave in  $K$  (Assumption 1), so  $F_{KK} \leq 0$ , and  $K, H > 0$ . If  $F$  is *strictly* concave in  $K$  the inequality is strict. ■

The symmetric computation, differentiating Euler's identity with respect to  $H$ , gives  $F_{KH} = -\frac{H}{K}F_{HH}$ , and multiplying the two,

$$F_{KH}^2 = F_{KK}F_{HH} \quad \implies \quad \det \begin{pmatrix} F_{KK} & F_{KH} \\ F_{KH} & F_{HH} \end{pmatrix} = 0.$$

The Hessian of a constant-returns production function is always singular, with null direction  $(K, H)$  — the direction in which the function is linear.

*Verification.* For the CES  $F = (K^\rho + H^\rho)^{1/\rho}$  with  $\rho = -1/2$  (elasticity of substitution 2/3), the program computes  $F_{KK}$  and  $F_{KH}$  by finite differences:

| $(K, H)$       | (1, 1)    | (1, 3)    | (4, 1)    |
|----------------|-----------|-----------|-----------|
| $F_{KK}$       | -0.093750 | -0.139899 | -0.009260 |
| $F_{KH}$       | +0.093750 | +0.046634 | +0.037037 |
| $-(K/H)F_{KK}$ | +0.093750 | +0.046633 | +0.037039 |

*What this means.* With exactly two factors and constant returns, capital and human capital *cannot* be substitutes in the sense  $F_{KH} < 0$ ; complementarity is not an assumption but a theorem. The intuition is that constant returns tie the two marginal products together: doubling both factors doubles output and leaves both marginal products unchanged, so if raising  $K$  alone lowers  $F_K$ , raising  $H$  must raise it. Note that this argument is special to two factors — with three or more, a pair of factors can be substitutes while constant returns still hold, which is why the production function  $F(K, H, L)$  of Section 10.4 needs  $f_{kh} > 0$  as a separate assumption.

**Exercise 10.16**

As in Exercise 9.4, the accounting question is who holds the undepreciated capital. Each adult of generation  $t$  owns  $b_i(t-1)$ , rents it to firms, and at the end of the period receives the rental  $f'(\kappa(t))b_i(t-1)$  together with the  $(1-\delta)b_i(t-1)$  that has not depreciated. His gross return is therefore

$$R(t) = f'(\kappa(t)) + 1 - \delta,$$

replacing (10.32), while the wage per unit of human capital is unchanged,

$$w(t) = f(\kappa(t)) - \kappa(t)f'(\kappa(t)).$$

*What does not change.* The individual's problem is still to maximize  $m_i(t) - \gamma(h_i(t)/a)$  by Exercise 10.17, and  $m_i(t) = w(t)h_i(t) + R(t)b_i(t-1)$  is linear in  $h_i$  with coefficient  $w(t)$ , which does not involve  $\delta$ . So the human capital condition (10.35) and its solution (10.36),

$$aw(t) = \gamma' \left( \frac{h_i(t)}{a} \right), \quad h_i(t) = h(t) \equiv a \gamma'^{-1} \left( a [f(\kappa(t)) - \kappa(t)f'(\kappa(t))] \right),$$

are word for word the same. Every individual still chooses the same human capital, and it still depends on nothing but the effective capital-labor ratio: the two substantive conclusions of Section 10.5 survive untouched.

*What changes, and how little.* Bequests are still  $b_i(t) = (1 - \eta)m_i(t)$ , so

$$K(t+1) = \int_0^1 b_i(t) di = (1 - \eta)[w(t)H(t) + R(t)K(t)] = (1 - \eta)[Y(t) + (1 - \delta)K(t)],$$

using Euler's theorem  $w(t)H(t) + f'(\kappa(t))K(t) = Y(t)$ . Dividing by  $H(t+1) = h(t+1)$  and using  $Y(t) = f(\kappa(t))h(t)$ ,

$$\kappa(t+1) = \frac{(1 - \eta)[f(\kappa(t)) + (1 - \delta)\kappa(t)]h(t)}{h(t+1)},$$

which is (10.37) with  $f$  replaced by

$$\tilde{f}(\kappa) \equiv f(\kappa) + (1 - \delta)\kappa$$

in the accumulation term only (the factor prices still involve  $f$  itself). The steady state is

$$\kappa^* = (1 - \eta)\tilde{f}(\kappa^*) = (1 - \eta)[f(\kappa^*) + (1 - \delta)\kappa^*],$$

in place of (10.38). This equation has a unique positive root for exactly the same reason:  $\tilde{f}$  is strictly concave with  $\tilde{f}(0) = 0$  and  $\tilde{f}'(0) = \infty$ , and  $(1 - \eta)\tilde{f}'(\kappa) \rightarrow (1 - \eta)(1 - \delta) < 1$ , so  $(1 - \eta)\tilde{f}(\kappa) - \kappa$  is positive near zero and eventually negative. PROPOSITION 10.2 therefore holds verbatim with  $\tilde{f}$  in place of  $f$ , and the conclusion drawn from it — that capital-skill complementarity pins down a target ratio  $\kappa^*$  and so rules out large imbalances — is unaffected.

*Remark.* The exercise says the dynamics “remain unchanged”; strictly they do not — the steady-state condition acquires the term  $(1 - \delta)\kappa^*$ , and  $\kappa^*$  is larger for  $\delta < 1$  than for  $\delta = 1$ , since more capital survives each period. What is unchanged is everything the section uses: the human capital decision, its independence of the wealth distribution, the uniqueness of  $\kappa^*$ , and the balance result. Setting  $\delta = 1$  is a normalization that shortens (10.38), not a substantive restriction.

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### Exercise 10.17

Preferences (10.28) are

$$\eta^{-\eta}(1 - \eta)^{-(1-\eta)}c_i(t)^\eta b_i(t)^{1-\eta} - \gamma \left( \frac{h_i(t)}{a} \right),$$

and the budget constraint (10.29) is  $c_i(t) + b_i(t) \leq m_i(t)$ .

(10.33). The effort term does not involve  $c_i$  or  $b_i$ , so the consumption-bequest split solves  $\max c^\eta b^{1-\eta}$  subject to  $c + b = m$  (the constraint binds since the objective is strictly increasing). Taking logs and differentiating,

$$\frac{\eta}{c} = \frac{1-\eta}{b} \quad \implies \quad b = \frac{1-\eta}{\eta} c, \quad \text{so} \quad c \left(1 + \frac{1-\eta}{\eta}\right) = \frac{c}{\eta} = m,$$

giving

$$c_i(t) = \eta m_i(t), \quad b_i(t) = (1-\eta) m_i(t),$$

which is (10.33): constant shares, as always with Cobb–Douglas preferences.

(10.34). Substituting back,

$$\eta^{-\eta} (1-\eta)^{-(1-\eta)} (\eta m)^\eta ((1-\eta)m)^{1-\eta} = \eta^{-\eta} (1-\eta)^{-(1-\eta)} \eta^\eta (1-\eta)^{1-\eta} m^{\eta+(1-\eta)} = m,$$

every constant cancelling against the normalizing factor. Hence the indirect utility function is

$$\boxed{m_i(t) - \gamma \left( \frac{h_i(t)}{a} \right)}$$

which is (10.34). ■

*The point of the normalization.* The factor  $\eta^{-\eta} (1-\eta)^{-(1-\eta)}$  is chosen so that indirect utility is exactly *linear* in income, with a coefficient of one. That makes the human capital decision a pure income-maximization problem: from (10.34) the individual chooses  $h_i$  to maximize  $w(t)h_i - \gamma(h_i/a)$ , which involves neither his inherited wealth  $b_i(t-1)$  nor any preference parameter other than  $\gamma$ . Consequently

- every individual chooses the *same* human capital, (10.36), however unequal their bequests — there are no income effects in schooling;
- aggregate dynamics do not depend on the distribution of wealth, which is what makes (10.37) a scalar difference equation;
- the human capital choice “separates from” the consumption-bequest choice.

The last point is THEOREM 10.1 in a two-period discrete-time setting: here it is delivered not by perfect capital markets but by quasi-linear preferences, which serve the same purpose of making the marginal value of income independent of how much of it there is. Exercise 10.20 in Section 9.6 — general  $u_1(c) + u_2(b)$  — is where dropping this structure starts to matter.

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### Exercise 10.19

*Closing the economy.* Suppose there are two groups, of measures  $\pi$  and  $1-\pi$ , with abilities  $a_1$  and  $a_2$ . Everything in Section 10.6 is unchanged except that the interest rate no longer comes from world markets: capital per firm is whatever last period’s bequests supply,

$$\widehat{k}(t) = \int_0^1 b_i(t-1) di = K(t),$$

and  $R(t)$  adjusts to clear the capital market,  $R(t) = (1-\lambda) \int_0^1 F_k(\widehat{k}(t), h_i(t)) di$ . The essential change is that  $\widehat{k}(t)$  is *predetermined*: firms invest before they know which worker they will meet, and the aggregate they can invest was fixed a period earlier.

Given  $\widehat{k}(t)$ , each worker chooses human capital from

$$\lambda a_i F_h(\widehat{k}(t), h_i) = \gamma' \left( \frac{h_i}{a_i} \right), \quad (\text{W})$$

which defines  $\widehat{h}_i(\widehat{k}(t); a_i)$ . Differentiating (W) in  $\widehat{k}$  and in  $a_i$ ,

$$\frac{\partial \widehat{h}_i}{\partial \widehat{k}} = \frac{\lambda a_i F_{hk}}{\gamma''/a_i - \lambda a_i F_{hh}} > 0, \quad \frac{\partial \widehat{h}_i}{\partial a_i} = \frac{\lambda F_h + \gamma'' h_i / a_i^2}{\gamma''/a_i - \lambda a_i F_{hh}} > 0,$$

both denominators positive because  $\gamma$  is strictly convex and  $F$  concave in  $h$ , and both numerators positive because  $F_{hk} \geq 0$  by Exercise 10.15. With Cobb–Douglas bequests as in Section 10.5, total income equals total output and

$$\widehat{k}(t+1) = (1-\eta) \Phi(\widehat{k}(t)), \quad \Phi(\widehat{k}) \equiv \int_0^1 F(\widehat{k}, \widehat{h}_i(\widehat{k})) di = Y(t). \quad (\text{K})$$

*The externality.* Raise  $a_1$ . At the impact date  $t = 0$ :

- group 1's human capital rises, by  $\partial \widehat{h}_1 / \partial a_1 > 0$ ;
- current output  $Y(0) = \Phi(\widehat{k}(0))$  rises, since  $F$  is increasing in  $h$ ;
- group 2's human capital is *unchanged*, because  $\widehat{h}_2$  depends on  $a_2$  and on  $\widehat{k}(0)$ , and  $\widehat{k}(0)$  is predetermined.

From  $t = 1$  on, by (K), the higher output raises bequests and therefore  $\widehat{k}(1)$ ; the higher capital per firm raises  $\widehat{h}_i$  for *every*  $i$ , including group 2, which raises output again, and so on. The long-run effect is

$$\frac{d\widehat{k}^*}{da_1} = \frac{(1-\eta) \partial \Phi / \partial a_1}{1 - (1-\eta) \Phi'(\widehat{k}^*)} > 0, \quad \Phi'(\widehat{k}) = \int_0^1 \left[ F_k + F_h \frac{\partial \widehat{h}_i}{\partial \widehat{k}} \right] di > \int_0^1 F_k di,$$

with the multiplier  $1/[1 - (1-\eta) \Phi'(\widehat{k}^*)] > 1$  under the stability condition  $(1-\eta) \Phi'(\widehat{k}^*) < 1$ . Group 2's steady-state human capital rises by  $(\partial \widehat{h}_2 / \partial \widehat{k}) d\widehat{k}^* / da_1 > 0$ .

*An explicit example.* Take  $F(k, h) = k^{1/3} h^{2/3}$ ,  $\gamma(e) = e^3/3$ ,  $\lambda = 1/2$ ,  $\eta = 0.4$ ,  $\pi = 1/2$ ,  $a_1 = a_2 = 1$ . Then (W) solves in closed form,  $\widehat{h}_i = [\frac{2}{3} \lambda a_i^3 \widehat{k}^{1/3}]^{3/7} \propto a_i^{9/7} \widehat{k}^{1/7}$ , and (K) becomes  $\widehat{k}(t+1) = (1-\eta) C \widehat{k}(t)^{3/7}$ , a contraction with a unique stable steady state. Raising  $a_1$  by 10% gives

| $t$                     | 0       | 1       | 2       | 3       | 5       | $\infty$ |
|-------------------------|---------|---------|---------|---------|---------|----------|
| $\widehat{k}(t)$        | 0.23616 | 0.24621 | 0.25065 | 0.25257 | 0.25376 | 0.25403  |
| $\widehat{h}_2(t)$ gain | 0.000%  | 0.597%  | 0.854%  | 0.965%  | 1.032%  | 1.047%   |

The closed forms are  $d \log \widehat{k}^* / d \log a_1 = 0.750$  and  $d \log \widehat{h}_2^* / d \log a_1 = 0.107$ , which the numerical experiment reproduces (0.765 and 0.109 for a discrete 10% change). Group 2 ends up with over 1% more human capital, without any change in its own ability, preferences or constraints. The right panel of Figure 8 shows the accumulation map (K) shifting up and the economy climbing to the new steady state.

*Why this is different from the open economy.* In the open economy of PROPOSITION 10.3,  $\widehat{k}$  is pinned down by  $(1-\lambda) \int F_k(\widehat{k}, \widehat{h}_i(\widehat{k})) di = R^*$ , so a rise in  $a_1$  does raise  $\widehat{k}$  and hence  $\widehat{h}_2$  — but instantaneously, and financed from abroad. Here the adjustment must be financed out of the



economy's own saving, so it takes time, arrives only from the next period, and compounds: higher output this period buys more capital next period, which raises everyone's human capital, which raises output again. That is the sense in which the externality is *dynamic*.

*Remark.* The externality exists at all only because of the labor market friction. With competitive labor markets (Sections 10.4 and 10.5) each worker is paid his marginal product and internalizes the full return to his human capital, so raising one group's ability changes the others' decisions only through factor prices in the usual, second-order way. Here random matching plus a fixed sharing rule  $\lambda$  means the return each worker captures depends on the capital *other* people's investments have called forth; complementarity then turns a private improvement into a public one. This is the mechanism Chapter 21 develops into a full theory of human capital externalities and virtuous cycles.

## Chapter 11

# First-Generation Models of Endogenous Growth

The thirteen exercises of Chapter 11 left unsolved in the instructor's manual: Exercises 11.1–11.3, 11.5–11.7, 11.9–11.13, 11.19 and 11.20. The manual solves 11.4, 11.8, 11.14–11.18 and 11.21. Notation follows the book:  $A$  is the productivity of the linear technology,  $g^*$  the equilibrium growth rate,  $\theta$  the inverse of the intertemporal elasticity of substitution,  $\kappa$  the share of capital in the investment sector of Section 11.3, and  $\tilde{f}(L) \equiv F(1, BL)$  the normalized production function of the Romer model of Section 11.4. The numerical parts are computed by `code/ch11.py`.

### Exercise 11.1

Write  $\lambda \equiv A - \delta - n$  and  $g \equiv \theta^{-1}(A - \delta - \rho)$ , so that (11.13) is the first-order linear nonautonomous equation

$$\dot{k}(t) = \lambda k(t) - c(0)e^{gt}.$$

Multiply by the integrating factor  $e^{-\lambda t}$ :

$$\frac{d}{dt} [k(t)e^{-\lambda t}] = -c(0)e^{(g-\lambda)t},$$

and integrate. Provided  $g \neq \lambda$ ,

$$k(t)e^{-\lambda t} = \kappa - \frac{c(0)}{g - \lambda} e^{(g-\lambda)t} \quad \implies \quad k(t) = \kappa e^{\lambda t} + \frac{c(0)}{\lambda - g} e^{gt},$$

where  $\kappa$  is a constant of integration. Finally,

$$\lambda - g = (A - \delta - n) - \frac{A - \delta - \rho}{\theta} = \frac{(A - \delta)(\theta - 1) + \rho}{\theta} - n = (A - \delta)(\theta - 1)\theta^{-1} + \rho\theta^{-1} - n,$$

so that

$$k(t) = \kappa e^{(A-\delta-n)t} + [(A - \delta)(\theta - 1)\theta^{-1} + \rho\theta^{-1} - n]^{-1} [c(0) \exp(\theta^{-1}(A - \delta - \rho)t)],$$

which is (11.14). ■

*The sign of  $\lambda - g$ .* The second inequality in (11.12) states  $\rho + \delta > (1 - \theta)(A - \delta) + \theta n + \delta$ , that is  $\rho > (1 - \theta)(A - \delta) + \theta n$ ; dividing by  $\theta > 0$  gives exactly  $\lambda - g > 0$ . (This is also what makes the household's utility finite: along the equilibrium path consumption grows at  $g$ , and  $\int_0^\infty e^{-(\rho-n)t} c(t)^{1-\theta} dt$  converges if and only if  $\rho - n > (1 - \theta)g$ , which rearranges to the same inequality.)

*Why the constant vanishes.* Substituting (11.14) into the transversality condition (11.10), and noting that  $k(t)e^{-\lambda t} = \kappa + \frac{c(0)}{\lambda - g} e^{-(\lambda - g)t}$ ,

$$\lim_{t \rightarrow \infty} k(t)e^{-\lambda t} = \kappa,$$

because  $\lambda - g > 0$  kills the second term. The transversality condition therefore forces  $\kappa = 0$ , leaving

$$k(t) = \frac{c(0)}{\lambda - g} e^{gt} = k(0) e^{gt}, \quad c(0) = (\lambda - g)k(0),$$

which are (11.15) and (11.16). Capital, consumption and output all grow at  $g$  from the very first instant: there are no transitional dynamics.

*Remark.* The knife-edge case  $g = \lambda$  is excluded by (11.12), but it is worth knowing what it looks like: the particular solution is then  $-c(0)te^{\lambda t}$  and  $k(t) = [\kappa - c(0)t]e^{\lambda t}$ , which is eventually negative for any  $\kappa$ . The condition  $\lambda > g$  is thus not a technicality — it is what makes a positive capital stock consistent with consumption growing at the Euler rate forever.

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### Exercise 11.2

Two proofs; the direct one is more informative.

*The optimal growth problem.* The planner maximizes (11.1) subject to the resource constraint  $\dot{k} = (A - \delta - n)k - c$  and  $k(0) > 0$ . The current-value Hamiltonian is

$$\widehat{H}(k, c, \mu) = \frac{c^{1-\theta} - 1}{1-\theta} + \mu[(A - \delta - n)k - c],$$

so the conditions of THEOREM 7.13 are

$$c(t)^{-\theta} = \mu(t), \quad \mu(t)(A - \delta - n) = (\rho - n)\mu(t) - \dot{\mu}(t), \quad \lim_{t \rightarrow \infty} e^{-(\rho-n)t} \mu(t)k(t) = 0.$$

The second gives  $\dot{\mu}/\mu = \rho - (A - \delta)$ , and since  $\mu = c^{-\theta}$  implies  $\dot{\mu}/\mu = -\theta\dot{c}/c$ ,

$$\frac{\dot{c}(t)}{c(t)} = \frac{1}{\theta}(A - \delta - \rho),$$

which is (11.9). For the transversality condition, substitute  $\mu(t) = c(0)^{-\theta} e^{-(A-\delta-\rho)t}$ :

$$e^{-(\rho-n)t} \mu(t)k(t) = c(0)^{-\theta} k(t) e^{-(A-\delta-n)t},$$

so the condition is exactly (11.10). Every condition of the planner's problem therefore coincides with an equilibrium condition.

*Sufficiency and uniqueness.*  $\widehat{H}$  is the sum of a strictly concave function of  $c$  and a function linear in  $(k, c)$ , hence concave in  $(k, c)$  and strictly concave in  $c$ ; and  $\lim_{t \rightarrow \infty} e^{-(\rho-n)t} \mu(t)k(t) \geq 0$  for every feasible path because  $\mu > 0$  and  $k \geq 0$ . THEOREM 7.14 therefore applies: the conditions above are sufficient, and by strict concavity in  $c$  the optimum is unique. Since the competitive equilibrium of PROPOSITION 11.1 satisfies them, it *is* the optimum, and in particular it is Pareto optimal. ■

*The Welfare Theorem route.* Alternatively, the economy has a representative household, all markets are competitive and there are no externalities, so THEOREM 5.6 applies provided the value of the aggregate endowment at equilibrium prices is finite. Here the household's only endowment is its initial capital  $k(0)$  — labor earns nothing, since  $Y = AK$  does not use labor — so that value is  $k(0) < \infty$ , trivially. Hence the equilibrium is Pareto optimal.

*Remark.* It is worth being explicit about why sustained endogenous growth and Pareto optimality coexist here, when they will not in Section 11.4. Growth in the *AK* model comes from the *absence of diminishing returns*, not from any externality: each firm's private marginal product of capital,  $A$ , is also its social marginal

product. In the Romer model the two differ, and PROPOSITION 11.6 shows the equilibrium then grows too slowly. Endogenous growth is not, in itself, a source of inefficiency.

### Exercise 11.3

(a) *Equilibrium.* With  $Y(t) = AK(t) + BL(t)$ , both factors have constant marginal products, so competitive pricing gives

$$R(t) = A, \quad r(t) = r = A - \delta, \quad w(t) = w = B \quad \text{for all } t.$$

A competitive equilibrium is a path  $[c(t), k(t), w(t), R(t)]_{t=0}^{\infty}$  such that the representative household maximizes  $\int_0^{\infty} e^{-(\rho-n)t} \frac{c^{1-\theta}-1}{1-\theta} dt$  subject to  $\dot{a} = (r-n)a + w - c$  and the no-Ponzi condition, given  $k(0)$ ; factor prices are as above; and  $a(t) = k(t)$ .

(b) *Characterization.* The current-value Hamiltonian is

$$\hat{H}(a, c, \mu) = \frac{c^{1-\theta} - 1}{1-\theta} + \mu[(r-n)a + w - c],$$

giving  $c^{-\theta} = \mu$ ,  $\dot{\mu}/\mu = \rho - r$  and the transversality condition. Hence

$$\frac{\dot{c}(t)}{c(t)} = \frac{1}{\theta}(A - \delta - \rho) \equiv g,$$

a constant, exactly as in the baseline  $AK$  model. The capital accumulation equation is now

$$\dot{k}(t) = \lambda k(t) + B - c(0)e^{gt}, \quad \lambda \equiv A - \delta - n,$$

which differs from (11.13) by the constant  $B$  — labor income. Solving as in Exercise 11.1,

$$k(t) = \kappa e^{\lambda t} - \frac{B}{\lambda} + \frac{c(0)}{\lambda - g} e^{gt},$$

and the transversality condition again forces  $\kappa = 0$ , so that

$$\boxed{k(t) + \frac{B}{\lambda} = \left[k(0) + \frac{B}{\lambda}\right] e^{gt}, \quad c(0) = (\lambda - g) \left[k(0) + \frac{B}{\lambda}\right].}$$

The object that grows at the constant rate  $g$  is not capital but *total wealth*: physical capital plus  $B/\lambda$ , the present value of the constant labor income stream discounted at the effective rate  $\lambda = r - n$ .

*Transitional dynamics.* Since  $k(t)$  itself is total wealth minus a constant,

$$\frac{\dot{k}(t)}{k(t)} = g \left[1 + \frac{B}{\lambda k(t)}\right] > g,$$

which is strictly decreasing in  $k$  and tends to  $g$  only as  $t \rightarrow \infty$ . Capital therefore grows *faster* than consumption at every finite date, at a rate that falls monotonically toward  $g$ : the economy has nontrivial transitional dynamics even though consumption growth is constant. Output  $y = Ak + B$  behaves the same way,

$$\frac{\dot{y}}{y} = \frac{A\dot{k}}{Ak + B} = g \frac{A(k + B/\lambda)}{Ak + B} > g \quad (\text{because } A/\lambda > 1),$$

again falling monotonically to  $g$ . With  $A = 0.15$ ,  $B = 0.30$ ,  $\delta = 0.05$ ,  $\rho = 0.02$ ,  $n = 0.01$ ,  $\theta = 3$  and  $k(0) = 1$  the program gives  $g = 0.02667$  and

|             |        |        |        |        |        |
|-------------|--------|--------|--------|--------|--------|
| $t$         | 0      | 25     | 50     | 100    | 200    |
| $\dot{k}/k$ | 0.1156 | 0.0441 | 0.0334 | 0.0282 | 0.0268 |
| $\dot{y}/y$ | 0.0385 | 0.0317 | 0.0290 | 0.0272 | 0.0267 |

(c) *The labor share.* Labor income is  $BL$  and output is  $AK + BL$ , so

$$\frac{w(t)L(t)}{Y(t)} = \frac{B}{Ak(t) + B},$$

which is strictly decreasing in  $k$  and, since  $k(t) \rightarrow \infty$ , falls monotonically to zero. In the calibration above it goes from 0.667 at  $t = 0$  to 0.132 at  $t = 50$  and 0.0022 at  $t = 200$  (Figure 9, right panel). The capital share rises to one. This is the baseline  $AK$  model's counterfactual prediction arriving more slowly rather than being avoided: adding raw labor delays the outcome without changing it, because labor is a factor in fixed supply whose marginal product does not grow.

(d) *An unanticipated rise in  $B$ .* The growth rate  $g$  depends only on  $A$ ,  $\delta$ ,  $\rho$  and  $\theta$ , so it is unchanged — permanently. What changes is the level. Human wealth  $B/\lambda$  jumps up, so consumption jumps up immediately by  $(\lambda - g)\Delta B/\lambda$ ; capital is predetermined and does not jump, but its subsequent growth rate  $g[1 + B/(\lambda k)]$  is higher at every  $k$ , so  $k$  and  $y$  rise over time relative to the old path. The labor share jumps up and then resumes its decline to zero. So the effect is a level effect asymptotically, arriving through a temporary increase in the growth rate — the opposite pattern from a change in  $A$ , which changes the asymptotic growth rate itself.

(e) *Pareto optimality.* The planner's resource constraint is  $\dot{k} = (A - \delta - n)k + B - c$  and its Hamiltonian is concave in  $(k, c)$ , strictly so in  $c$ ; repeating Exercise 11.2 word for word gives the same Euler equation, the same transversality condition and hence the same allocation. THEOREM 7.14 makes the conditions sufficient, so the equilibrium is the unique optimum. Equivalently, THEOREM 5.6 applies because the value of the aggregate endowment at equilibrium prices,  $k(0) + B/\lambda$ , is finite — which is exactly the condition  $\lambda > g > 0$  established in Exercise 11.1.

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### Exercise 11.5

*The growth rate.* With the budget constraint (11.18),  $\dot{a} = ((1 - \tau)r - n)a + w - c$ , the current-value Hamiltonian is

$$\widehat{H} = \frac{c^{1-\theta} - 1}{1 - \theta} + \mu[(1 - \tau)r - n)a + w - c],$$

so  $c^{-\theta} = \mu$  and

$$\frac{\dot{\mu}}{\mu} = (\rho - n) - ((1 - \tau)r - n) = \rho - (1 - \tau)r.$$

Using  $\dot{\mu}/\mu = -\theta\dot{c}/c$  and  $r = A - \delta$ ,

$$g = \frac{\dot{c}}{c} = \frac{(1 - \tau)(A - \delta) - \rho}{\theta},$$

which is (11.19). The tax reduces growth one for one with the after-tax return, and  $dg/d\tau = -(A - \delta)/\theta < 0$ .

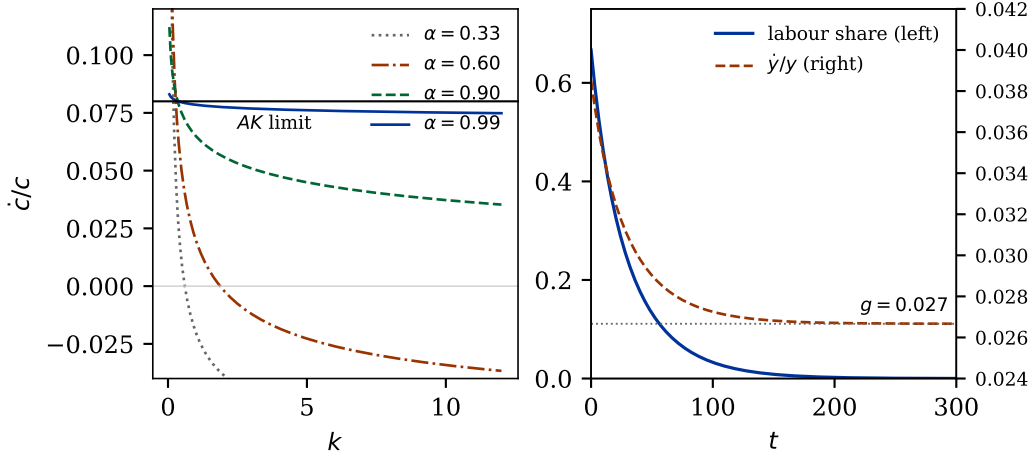


FIGURE 9. Left (Exercise 11.6): the growth rate of consumption in the neoclassical model with  $y = Ak^\alpha$  and log preferences. As  $\alpha \rightarrow 1$  the curve flattens onto the  $AK$  line  $A - \delta - \rho$  and the steady state disappears to infinity. Right (Exercise 11.3): in the  $AK + BL$  economy the labor share falls to zero while output growth declines monotonically to  $g$  — nontrivial transitional dynamics in a model with a constant consumption growth rate.

*The saving rate.* Assume, as in Section 8.10, that the revenue is rebated lump-sum, so the *aggregate* resource constraint is still  $\dot{k} = (A - \delta - n)k - c$ . Solving it as in Exercise 11.1 with  $g$  now given by (11.19), the transversality condition again eliminates the homogeneous solution and  $k$  grows at  $g$ . The saving rate is therefore

$$s = \frac{\dot{K} + \delta K}{Y} = \frac{\dot{k}/k + n + \delta}{A} = \frac{1}{A} \left[ \frac{(1 - \tau)(A - \delta) - \rho}{\theta} + n + \delta \right].$$

Multiplying numerator and denominator by  $\theta$  and collecting the terms in  $\delta$ ,

$$\theta A s = (1 - \tau)A - (1 - \tau)\delta - \rho + \theta n + \theta\delta = (1 - \tau)A - \rho + \theta n - (1 - \tau - \theta)\delta,$$

that is

$$s = \frac{(1 - \tau)A - \rho + \theta n - (1 - \tau - \theta)\delta}{\theta A}$$

which is (11.20); setting  $\tau = 0$  recovers (11.17). Differentiating,

$$\frac{\partial s}{\partial \tau} = \frac{-A + \delta}{\theta A} = -\frac{A - \delta}{\theta A} < 0 \quad \text{provided } A > \delta,$$

as the text states.

*What is new relative to Chapter 8.* There the saving rate was also endogenous, but a capital tax changed only the *level* of the steady state. Here the saving rate is constant *and* the growth rate depends on it, so a permanent difference in  $\tau$  becomes a permanent difference in growth — and hence an unbounded difference in income. Exercise 11.7 puts numbers on this.

**Exercise 11.6**

*The equilibrium.* With  $\theta = 1$  the equilibrium is the planar system

$$\frac{\dot{c}(t)}{c(t)} = \alpha A k(t)^{\alpha-1} - \delta - \rho, \quad \dot{k}(t) = A k(t)^\alpha - c(t) - (n + \delta)k(t),$$

with  $k(0) > 0$  given and the transversality condition of Chapter 8. There is a unique steady state,

$$\alpha A (k^*)^{\alpha-1} = \rho + \delta \quad \Longleftrightarrow \quad k^* = \left[ \frac{\alpha A}{\rho + \delta} \right]^{\frac{1}{1-\alpha}}, \quad c^* = A (k^*)^\alpha - (n + \delta)k^*,$$

saddle-path stable with monotone convergence along the stable arm (PROPOSITION 8.7 with  $\theta = 1$ ,  $g = 0$ ).

*The limit  $\alpha \rightarrow 1$ .* Three things happen at once.

- (1) *The Euler equation becomes the AK Euler equation.* For any fixed  $k$ ,

$$\alpha A k^{\alpha-1} - \delta - \rho \longrightarrow A - \delta - \rho,$$

which is (11.9) with  $\theta = 1$ : the growth rate becomes independent of  $k$ .

- (2) *The steady state runs off to infinity.* Provided  $A > \rho + \delta$ , the base  $\alpha A / (\rho + \delta)$  exceeds one for  $\alpha$  close to one while the exponent  $1/(1-\alpha)$  diverges, so  $k^* \rightarrow \infty$ : there is no finite point at which accumulation stops.

- (3) *Convergence becomes infinitely slow.* The stable eigenvalue of the linearized system is  $\xi_1 = \frac{1}{2} [\text{tr } J - \sqrt{(\text{tr } J)^2 - 4 \det J}]$  with  $\text{tr } J = \rho - n$  and, using  $\alpha A (k^*)^{\alpha-1} = \rho + \delta$  to eliminate  $k^*$ ,

$$\det J = c^* f''(k^*) = (\alpha - 1)(\rho + \delta) \left[ \frac{\rho + \delta}{\alpha} - (n + \delta) \right] \longrightarrow 0,$$

so  $\xi_1 \rightarrow 0$  and the half-life  $\log 2 / |\xi_1| \rightarrow \infty$ .

With  $A = 0.15$ ,  $\delta = 0.05$ ,  $\rho = 0.02$ ,  $n = 0$  the program gives

|                        |         |         |         |          |            |
|------------------------|---------|---------|---------|----------|------------|
| $\alpha$               | 1/3     | 0.6     | 0.9     | 0.99     | 0.9999     |
| $\log_{10} k^*$        | -0.22   | 0.27    | 2.85    | 32.66    | 3309.50    |
| $\xi_1$                | -0.0770 | -0.0343 | -0.0072 | -0.00070 | -0.0000070 |
| half-life              | 9.0     | 20.2    | 96.8    | 990      | 99,021     |
| $\dot{c}/c$ at $k = 1$ | -0.020  | 0.020   | 0.065   | 0.0785   | 0.07999    |

against the  $AK$  growth rate  $A - \delta - \rho = 0.08$ . The left panel of Figure 9 shows the curve  $\dot{c}/c$  flattening onto the  $AK$  line.

*Interpretation.* The  $AK$  model is not a different model but the boundary case of the neoclassical one. What stops growth in the neoclassical model is diminishing returns — the failure of  $f'$  to stay bounded away from zero — and  $\alpha \rightarrow 1$  is precisely the limit in which that force disappears. Three familiar statements are the same statement: “the Inada condition  $\lim_{k \rightarrow \infty} f'(k) = 0$  fails,” “the steady state is at infinity,” and “there are no transitional dynamics.”

This also explains why the convergence evidence of Chapter 3 bears directly on endogenous growth. Convergence rates of about 2% a year correspond to a capital share well below one; a capital share

close to one would predict essentially no convergence at all. The debate over whether  $\alpha$  should be measured as the narrow physical capital share ( $\approx 1/3$ ) or a broad share including human capital ( $\approx 2/3$  or more) is, in this light, a debate about how close the world is to the  $AK$  boundary.

### Exercise 11.7

*The arithmetic.* By (11.19),

$$g(\tau) = \frac{(1 - \tau)(A - \delta) - \rho}{\theta} = \frac{(1 - \tau)(0.10) - 0.02}{3},$$

so

$$g(0.2) = \frac{0.08 - 0.02}{3} = 0.0200, \quad g(0.4) = \frac{0.06 - 0.02}{3} = 0.0133,$$

a growth gap of 0.00667 a year. Starting from the same income in 1900, by 2000

$$\frac{Y(0.2, 100)}{Y(0.4, 100)} = e^{0.00667 \times 100} = e^{2/3} = 1.948,$$

so the low-tax country is almost exactly twice as rich. And the gap keeps widening without bound:

|                 |       |       |       |       |
|-----------------|-------|-------|-------|-------|
| horizon (years) | 50    | 100   | 200   | 500   |
| income ratio    | 1.396 | 1.948 | 3.794 | 28.03 |

The saving rates, from (11.20), are 0.467 and 0.422: a difference of four and a half percentage points, sustained forever.

*Comparison with the neoclassical model.* The same tax difference in the model of Chapter 8 produces only a permanent *level* difference,  $[(1 - \tau)/(1 - \tau')]^{\alpha/(1-\alpha)}$ , which is 1.155 at  $\alpha = 1/3$  and 1.333 at  $\alpha = 1/2$ . The  $AK$  model converts a bounded 15% level effect into an unbounded growth effect.

*Is it plausible?* The mechanism is coherent but the implications are hard to accept, for four reasons.

*First, the world income distribution would have to diverge without limit.* Tax rates, expropriation risk and other determinants of the after-tax return differ across countries by far more than twenty percentage points, and they have done so for decades. The model then predicts that relative incomes should be spreading apart at an accelerating rate. The evidence in Chapter 1 is that the postwar world income distribution has been roughly stable, with substantial mobility but no systematic divergence of the whole distribution.

*Second, the capital share must tend to one,* since  $Y = AK$  leaves nothing for labor. Factor shares have been roughly constant, which is the first of the Kaldor facts. Exercise 11.3 shows that adding raw labor only postpones this problem; Section 11.2 solves it, but by making human capital accumulate linearly, which relocates rather than removes the difficulty.

*Third, the sensitivity is extreme.* Here  $dg/d\tau = -(A - \delta)/\theta = -0.033$ , so each *percentage point* of capital tax costs a third of a tenth of a percentage point of growth forever — about 3.4% of income per century. No estimate of the effect of taxation on growth is anywhere near this large, and cross-country growth regressions find policy variables explaining level differences far better than they explain persistent growth differences.

*Fourth, and most fundamentally, the result is an artifact of exact linearity.* The reason small policy differences compound forever is that the marginal product of capital never falls. Any diminishing



returns at all —  $\alpha < 1$  in Exercise 11.6 — restores a steady state and converts the growth effect into a level effect, however slowly. A model in which the answer flips discontinuously at  $\alpha = 1$  is not a good guide to a world in which  $\alpha$  is measured with error.

*Remark.* The honest conclusion is the one the text draws: the *AK* class shows that endogenous growth and policy-sensitive growth rates are *possible* in a neoclassical environment, which was worth establishing. It does not show that they are what generates the observed cross-country income distribution. That is why Part IV turns to models in which technology is chosen purposefully and in which the linearity that sustains growth is derived from the economics of innovation rather than assumed.

### Exercise 11.9

*The effective capital-labor ratio is constant.* The household's conditions (11.25) are  $\mu_a = \mu_h$ ,  $w(t) - \delta_h = r(t)$  and  $\dot{c}/c = \theta^{-1}(r(t) - \rho)$ . The first says that the shadow values of a unit of physical and a unit of human capital must coincide, since both are bought with the same good and neither is subject to a nonnegativity constraint; the second is the no-arbitrage condition it implies, equating the net returns. Substituting the competitive factor prices (11.24),  $R = f'(k)$  and  $w = f(k) - kf'(k)$  with  $k = K/H$ , the no-arbitrage condition reads

$$f'(k(t)) - \delta_k = f(k(t)) - k(t)f'(k(t)) - \delta_h. \quad (*)$$

The left side is strictly decreasing in  $k$  (derivative  $f'' < 0$ ) and the right side strictly increasing (derivative  $-kf'' > 0$ ), so  $(*)$  has at most one solution. It has at least one: as  $k \rightarrow 0$ , Assumption 2 gives  $f'(k) \rightarrow \infty$  while  $f(k) - kf'(k) \rightarrow 0$ , so the left side exceeds the right; as  $k \rightarrow \infty$ ,  $f'(k) \rightarrow 0$  while  $f(k) - kf'(k) \rightarrow \infty$ , so the inequality reverses. Hence there is a unique  $k^*$  solving (11.26), and

$$k(t) = k^* \quad \text{for all } t \geq 0,$$

*including*  $t = 0$ : the economy jumps immediately to the balanced ratio by reallocating its initial stocks, which is feasible because investment in either capital may be negative.

*Growth.* With  $k$  constant,  $r(t) = r^* = f'(k^*) - \delta_k$  is constant, so the Euler equation gives the constant growth rate

$$g^* = \frac{f'(k^*) - \delta_k - \rho}{\theta}.$$

Since  $k = K/H$  is constant,  $K$  and  $H$  grow at a common rate; output  $Y = F(K, H) = Hf(k^*)$  grows at that same rate; and the aggregate resource constraint

$$\dot{K} + \dot{H} = F(K, H) - C - \delta_k K - \delta_h H$$

then reads, after dividing by  $H$  and using  $K = k^*H$ ,

$$g(1 + k^*) = f(k^*) - \frac{C}{H} - (\delta_k k^* + \delta_h),$$

so  $C/H$  is constant if and only if  $g$  is, and the Euler equation pins  $g = g^*$ .

*No transitional dynamics and uniqueness.* Given  $g^*$ , the accumulation equation for  $H$  is linear and nonautonomous, exactly as in Exercise 11.1; its homogeneous solution is eliminated by the transversality condition, so  $H$  (and therefore  $K$ ,  $Y$  and  $C$ ) grows at  $g^*$  from the first instant. The

current-value Hamiltonian is concave in states and controls and strictly concave in  $c$  (the argument of Exercise 10.8), so THEOREM 7.14 makes the conditions sufficient and the path unique.

*The factor shares.* The share of capital in national income is

$$\frac{R(t)K(t)}{Y(t)} = \frac{f'(k^*)k^*}{f(k^*)} \in (0, 1),$$

constant over time and strictly less than one by strict concavity of  $f$  with  $f(0) = 0$ . This is the model's advantage over the baseline  $AK$  economy.

*The conditions.*  $f'(k^*) > \rho + \delta_k$  gives  $g^* > 0$ , and  $\rho + \delta_k > (1 - \theta)(f'(k^*) - \delta_k) + \delta_k$ , that is  $\rho > (1 - \theta)(f'(k^*) - \delta_k)$ , is equivalent to  $\rho > (1 - \theta)g^*$  — the finiteness of utility and the transversality condition, exactly as in Exercise 11.1. ■

*Remark.* The mechanism is worth naming. The economy behaves like an  $AK$  model because, once  $k$  is pinned at  $k^*$ , the pair  $(K, H)$  accumulates linearly:  $\dot{K} + \dot{H}$  is proportional to  $K + H$ . Diminishing returns to each factor separately are perfectly consistent with constant returns to the reproducible factors taken together, and it is the latter that sustains growth. This is the observation the text makes at the start of Section 11.3: what matters is that the *accumulation* technology is linear, not that the production function is  $AK$ .

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### Exercise 11.10

*The planner's problem.* With  $n = 0$  and  $L = 1$ , the planner maximizes (11.1) subject to

$$\dot{K} = i_K - \delta_k K, \quad \dot{H} = i_H - \delta_h H, \quad c + i_K + i_H \leq F(K, H),$$

given  $K(0), H(0) > 0$ . The current-value Hamiltonian, after substituting the binding resource constraint, is

$$\hat{H} = \frac{c^{1-\theta} - 1}{1 - \theta} + \mu_K(i_K - \delta_k K) + \mu_H(i_H - \delta_h H), \quad c = F(K, H) - i_K - i_H.$$

The conditions in the two investments give

$$\mu_K = \mu_H = c^{-\theta} \equiv \mu,$$

and the two costate equations give

$$\frac{\dot{\mu}_K}{\mu_K} = \rho + \delta_k - F_K(K, H), \quad \frac{\dot{\mu}_H}{\mu_H} = \rho + \delta_h - F_H(K, H).$$

Equality of the costates therefore forces

$$F_K(K, H) - \delta_k = F_H(K, H) - \delta_h.$$

Since  $F$  is homogeneous of degree one,  $F_K(K, H) = f'(k)$  and  $F_H(K, H) = f(k) - kf'(k)$  with  $k = K/H$ , so this is exactly (11.26) and hence  $k(t) = k^*$  for all  $t$ , by the uniqueness established in Exercise 11.9. The Euler equation is

$$\frac{\dot{c}}{c} = \frac{1}{\theta} [F_K(K, H) - \delta_k - \rho] = \frac{1}{\theta} [r^* - \rho],$$

and the two transversality conditions are those of the household's problem.

*Coincidence.* Every condition of the planner's problem is an equilibrium condition of Section 11.2 and conversely: (11.24) turns  $F_K$  into  $R$  and  $F_H$  into  $w$ , so the planner's no-arbitrage condition is the market's, and the planner's Euler equation is the household's.  $\widehat{H}$  is concave in  $(K, H, i_K, i_H)$  by the argument of Exercise 10.8 — a concave increasing  $u$  composed with the concave  $F(K, H) - i_K - i_H$ , plus linear terms — so THEOREM 7.14 applies and both problems have the same unique solution. The competitive equilibrium is therefore the optimal growth path, and in particular Pareto optimal. ■

*The Welfare Theorem route.* Alternatively, the economy has a representative household, competitive markets and no externalities, and the value of its endowment at equilibrium prices —  $a(0)$  plus the value of  $h(0)$ , both finite — is finite, so THEOREM 5.6 applies.

*Remark.* The comparison with Exercise 10.12 is exact and worth making. There the same no-arbitrage condition  $F_K - \delta_k = F_H - \delta_h$  defined a *locus*  $h = \xi(k)$  along which the economy travelled to a steady state; here, because  $F$  is homogeneous of degree one in the two *reproducible* factors, the same condition pins down a single *ratio*  $k^*$  and the economy grows along it forever. The difference between a neoclassical model and an endogenous growth model, in this family, is entirely whether the third factor — raw labor in Chapter 10 — is present.

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### Exercise 11.11

*The result.* In Section 11.1 the equilibrium growth rate of consumption, capital and output per capita is

$$g^* = \frac{A - \delta - \rho}{\theta},$$

in which  $n$  does not appear. In Section 11.2 it is

$$g^* = \frac{f'(k^*) - \delta_k - \rho}{\theta}, \quad f'(k^*) - \delta_k = f(k^*) - k^* f'(k^*) - \delta_h,$$

and again  $n$  appears nowhere:  $k^* = K/H$  is a ratio of two accumulated stocks, so reinstating population growth in that section changes nothing.

*Why.* The growth rate of consumption per capita comes from the Euler equation, which compares one number, the net return  $r$ , with another, the discount rate  $\rho$ . In these models  $r$  is determined by technology alone —  $A - \delta$ , or  $f'(k^*) - \delta_k$  — because returns to the reproducible factors do not diminish. Population growth affects neither. More precisely,  $n$  enters the household's problem twice and the two effects cancel exactly: it lowers the effective return on assets from  $r$  to  $r - n$  (assets must be spread over more people) and it lowers the effective discount rate from  $\rho$  to  $\rho - n$  (there are more people to enjoy consumption), so the difference  $r - \rho$  that drives the Euler equation is untouched. This is the same cancellation as in Exercise 8.1.

Population growth is not entirely without effect. From (11.17),

$$s = \frac{A - \rho + \theta n + (\theta - 1)\delta}{\theta A},$$

which is strictly increasing in  $n$ : a faster-growing population requires more capital widening, so the economy saves more. And aggregate output grows at  $g^* + n$  rather than  $g^*$ . What is invariant is the growth rate of the *per capita* variables.

*Is it plausible?* The prediction sits at a knife edge between two forces that the models of this chapter both switch off.

*Against, from above: scale effects.* In the Romer model of Section 11.4 the growth rate is  $\theta^{-1}(\tilde{f}(L) - L\tilde{f}'(L) - \delta - \rho)$ , which is strictly increasing in  $L$ , so a larger population grows faster — and if population were growing the growth rate would rise without bound (Exercise 11.18). Any model in which ideas are nonrival has this feature: more people means more people generating ideas that everyone can use. The very long-run evidence discussed in Chapter 4 — accelerating growth over millennia as population grew — favors some scale effect. Chapter 13 shows how to keep the idea without the counterfactual acceleration.

*Against, from below: diminishing returns to a fixed factor.* In a Malthusian economy with land, faster population growth lowers income per capita. The  $AK$  models have no fixed factor at all — indeed Section 11.1 has no factor but capital — so this channel is absent too.

The models of this chapter therefore predict exact neutrality precisely because they contain neither of the two mechanisms that would break it. Empirically the cross-country correlation between population growth and growth in income per capita is weakly negative rather than zero, though, as Chapter 4 discusses, the direction of causation is very hard to establish. Exact neutrality is best read as a benchmark, not a prediction.

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### Exercise 11.12

Replace (11.27) by a general constant-returns technology in the consumption sector,  $C(t) = G(K_C(t), L_C(t))$ , keeping  $I(t) = AK_I(t)$ . Write  $g(k_C) \equiv G(k_C, 1)$  for the intensive form, with  $k_C \equiv K_C/L_C$ .

*Along any growth path,  $k_C \rightarrow \infty$ .* Labor is used only in the consumption sector and is in fixed supply, so  $L_C = L$  is constant. On a BGP the share  $\kappa$  of capital in the investment sector is constant, so  $K_C = (1 - \kappa)K$  grows at the rate  $g_K > 0$  of the capital stock. Hence

$$k_C(t) = \frac{(1 - \kappa)K(t)}{L} \rightarrow \infty.$$

*The factor shares.* Labor income arises only in the consumption sector, so with  $p_C = 1$  the wage bill is

$$w(t)L = G(K_C, L) - K_C G_K(K_C, L) = [1 - \sigma(k_C)]C(t), \quad \sigma(k) \equiv \frac{k g'(k)}{g(k)},$$

$\sigma$  being the elasticity of the consumption technology with respect to capital. GDP at current prices is  $p_C C + p_I I$ , so the labor share of GDP is

$$\frac{w(t)L}{C(t) + p_I(t)I(t)} = [1 - \sigma(k_C(t))] \cdot \frac{C(t)}{C(t) + p_I(t)I(t)}.$$

On a BGP the two components of GDP must grow at the same rate — otherwise their ratio diverges and the composition of output is not constant — so the second factor is constant. The labor share of GDP is therefore constant if and only if  $\sigma(k_C(t))$  is constant.

*Only Cobb–Douglas has constant  $\sigma$ .* Suppose  $\sigma(k) = \alpha$  for all  $k$  in an interval. Then

$$\frac{d \log g(k)}{d \log k} = \alpha \quad \implies \quad \log g(k) = \alpha \log k + \text{const} \quad \implies \quad g(k) = Bk^\alpha,$$

that is  $G(K_C, L_C) = BK_C^\alpha L_C^{1-\alpha}$ . Since  $k_C$  ranges over an unbounded interval along the BGP, constancy of  $\sigma$  over that whole range forces Cobb–Douglas globally. Conversely, for any non-Cobb–Douglas constant-returns  $G$  the share drifts. For the CES family  $g(k) = B[\gamma k^{(\sigma_E-1)/\sigma_E} + 1 - \gamma]^{\sigma_E/(\sigma_E-1)}$  with elasticity of substitution  $\sigma_E$ ,

$$\sigma(k) \longrightarrow \begin{cases} 1 & \text{if } \sigma_E > 1, \\ 0 & \text{if } \sigma_E < 1, \end{cases} \quad \text{as } k \rightarrow \infty,$$

so the capital share in the consumption sector tends to one or to zero. ■

*Why this matters.* The two-sector model was introduced precisely to deliver sustained growth *with* constant factor shares, avoiding the baseline  $AK$  model’s capital share of one. This exercise shows the achievement is fragile: it rests on Cobb–Douglas, which is exactly the functional form that makes factor shares independent of factor proportions. Since the model’s whole point is that the capital-labor ratio in the consumption sector rises without bound, any departure from unit elasticity of substitution lets the shares drift — and if  $\sigma_E > 1$  the model reproduces the very defect it was built to avoid.

### Exercise 11.13

From (11.33) and (11.34),

$$g_K^* = \frac{A - \delta - \rho}{1 - \alpha(1 - \theta)}, \quad g_C^* = \alpha g_K^* = \frac{\alpha(A - \delta - \rho)}{1 - \alpha(1 - \theta)}.$$

Differentiating, and writing  $D \equiv 1 - \alpha(1 - \theta) > 0$ ,

$$\boxed{\frac{\partial g_K^*}{\partial \alpha} = \frac{(A - \delta - \rho)(1 - \theta)}{D^2}, \quad \frac{\partial g_C^*}{\partial \alpha} = \frac{A - \delta - \rho}{D^2} > 0.}$$

So consumption, output and wages always grow faster when  $\alpha$  is larger, but the capital stock does so only when  $\theta < 1$ ; for  $\theta > 1$  capital grows *more slowly*, and for  $\theta = 1$  its growth rate is independent of  $\alpha$  altogether. With  $A = 0.15$ ,  $\delta = 0.05$ ,  $\rho = 0.02$  the program gives

|                                     | $\alpha = 0.3$   | $\alpha = 0.5$   | $\alpha = 0.7$   |
|-------------------------------------|------------------|------------------|------------------|
| $\theta = 0.5 \quad (g_K^*, g_C^*)$ | (0.0941, 0.0282) | (0.1067, 0.0533) | (0.1231, 0.0862) |
| $\theta = 1$                        | (0.0800, 0.0240) | (0.0800, 0.0400) | (0.0800, 0.0560) |
| $\theta = 2$                        | (0.0615, 0.0185) | (0.0533, 0.0267) | (0.0471, 0.0329) |
| $\theta = 3$                        | (0.0500, 0.0150) | (0.0400, 0.0200) | (0.0333, 0.0233) |

*Why consumption growth rises.* Two channels, both positive. The *technological* channel is direct:  $\alpha$  is the elasticity of consumption output with respect to capital, and  $g_C = \alpha g_K$ , so a given rate of capital accumulation buys more consumption growth. The *price* channel works through the return. By (11.30) the relative price of investment goods falls at the rate  $(1 - \alpha)g_K$ , so the consumption-denominated return is

$$r_C = A - \delta - (1 - \alpha)g_K.$$

A higher  $\alpha$  means the consumption sector uses capital more intensively, so the same capital deepening depresses the price of investment goods by less, and  $r_C$  is higher. A higher return raises consumption growth through the Euler equation.

*Why capital growth can fall.* The higher return raises  $g_C$ , but  $g_K = g_C/\alpha$  and  $\alpha$  has risen too. Which effect wins is exactly the usual income-versus-substitution question: when  $\theta > 1$  the income effect of a higher return dominates, the household does not increase saving proportionately, and  $g_K$  falls even though  $g_C$  rises. Intuitively, when capital is more productive in making consumption goods, the economy needs *less* capital accumulation to deliver any given consumption growth, and a sufficiently income-driven household takes part of the gain as a lower rate of accumulation.

*Remark.* The exercise asks “Why does it increase the rate of capital accumulation?” — which is correct only for  $\theta < 1$ . The unambiguous statement is about consumption (and hence output and wages), whose growth rate rises with  $\alpha$  at every  $\theta$ . Since most estimates put  $\theta > 1$ , the empirically relevant case is the one in which  $\alpha$  and  $g_K^*$  move in *opposite* directions. The rate of capital deepening,  $g_K^* - g_C^* = (1 - \alpha)g_K^*$ , falls with  $\alpha$  for every  $\theta$ : a more capital-intensive consumption sector means less divergence between the capital stock and output, which is the sense in which raising  $\alpha$  moves the model back toward the Kaldor facts.

### Exercise 11.19

*The wedge.* By (11.39) and PROPOSITION 11.6,

$$g_C^* = \frac{1}{\theta}(\tilde{f}(L) - L\tilde{f}'(L) - \delta - \rho), \quad g_C^S = \frac{1}{\theta}(\tilde{f}(L) - \delta - \rho),$$

so the entire gap is the term

$$L\tilde{f}'(L) = \frac{w(t)L}{K(t)},$$

using  $w(t) = K(t)\tilde{f}'(L)$  from (11.37). Firms pay capital its *private* marginal product  $\tilde{f}(L) - L\tilde{f}'(L)$ , but a unit of capital also raises  $A = BK$  and so raises every firm’s output; the external part of its social marginal product is exactly the wage bill per unit of capital. Any policy that closes the gap must raise the household’s net return from  $\tilde{f}(L) - L\tilde{f}'(L) - \delta$  to  $\tilde{f}(L) - \delta$ .

*Policy 1: a Pigouvian subsidy to capital.* Pay a flow subsidy of  $\varsigma$  units of output per unit of capital, financed by lump-sum taxes, and set

$$\varsigma^* = L\tilde{f}'(L).$$

The household’s net return becomes  $\tilde{f}(L) - L\tilde{f}'(L) + \varsigma^* - \delta = \tilde{f}(L) - \delta$ , so its Euler equation delivers  $g_C^S$  and the equilibrium coincides with the optimum. As a proportional subsidy to capital income the rate is

$$\varsigma^* = \frac{L\tilde{f}'(L)}{\tilde{f}(L) - L\tilde{f}'(L)} = \frac{\text{labor share}}{\text{capital share}},$$

which *exceeds* one whenever the labor share exceeds the capital share. With  $F = K^\alpha(AL)^{1-\alpha}$ ,  $A = BK$  and  $\alpha = 1/3$ , the program gives  $\varsigma^* = 2$ : the subsidy must be 200% of capital income.

The financing has a striking property. The total cost of the subsidy is  $\varsigma^*K(t) = L\tilde{f}'(L)K(t) = w(t)L$  — exactly the wage bill, at every date. Since labor is supplied inelastically, a tax on labor income is lump-sum here, so

*a 100% tax on labor income, handed to capital, balances the budget instant by instant and implements the optimum.*

Calibrating  $\tilde{f}(L) = 0.30$  (a capital-output ratio of 3.3) with  $\alpha = 1/3$ ,  $\delta = 0.05$ ,  $\rho = 0.02$  and  $\theta = 2$ , the program gives  $R = 0.10$ , an equilibrium growth rate of 1.5% and an optimal growth rate of 11.5%.

*Policy 2: a consumption tax falling over time.* Let consumers face the price  $q(t)$  per unit of consumption, so that the budget constraint is  $\dot{a} = ra + w - q(t)c$ . The current-value Hamiltonian gives  $c^{-\theta} = \mu q$ , hence

$$\frac{\dot{c}}{c} = \frac{1}{\theta} \left( r - \rho - \frac{\dot{q}}{q} \right).$$

Setting

$$\frac{\dot{q}(t)}{q(t)} = -L\tilde{f}'(L)$$

— a consumption tax whose rate declines, equivalently a consumption subsidy growing at the rate  $L\tilde{f}'(L)$ , financed by lump-sum taxes — again yields  $g_C = g_C^S$ . This policy leaves the return to capital untouched and works purely on the intertemporal price of consumption.

*Why these are genuinely different.* Policy 1 corrects the externality where it arises, at the margin at which capital is rewarded; it would remain correct if the household's preferences changed. Policy 2 corrects the household's intertemporal margin instead, and its required rate happens to coincide only because the two margins are linked one for one in this model. A third variant — an investment subsidy at a *constant* rate, lowering the purchase price of capital goods once and for all — does *not* work: a constant relative price leaves the rate of return unchanged, so it produces a level effect and no growth effect at all.

*Remark.* The size of the required intervention is the real content here. The optimal subsidy is not a small correction but a transfer of the entire wage bill to capital, and it triples the growth rate in the calibration above. That is a measure of how much work the externality (11.36) is doing: assuming  $A = BK$  makes the social return to capital the whole output-capital ratio rather than the capital share of it. It is a reason to read the Romer model of this section as a tractable illustration rather than a quantitative theory — and a reason why Part IV models the returns to knowledge through the profits of innovators, where the wedge is disciplined by the market structure rather than assumed.

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### Exercise 11.20

(a) *Equilibrium.* Firms take  $A(t)$  as given, so

$$R(t) = F_K(K(t), A(t)L), \quad w(t) = A(t)F_L(K(t), A(t)L),$$

where  $F_L$  denotes the derivative with respect to the second argument. Imposing  $A(t) = K(t)$  and writing  $\tilde{f}(L) \equiv F(1, L)$ , homogeneity of degree one gives  $F(K, KL) = K\tilde{f}(L)$ , while  $F_K$  is homogeneous of degree zero, so

$$R(t) = F_K(1, L) = \tilde{f}(L) - L\tilde{f}'(L) \equiv R, \quad w(t) = K(t)\tilde{f}'(L),$$

both exactly as in continuous time.  $R$  is a constant, independent of  $K$ . A competitive equilibrium is a path  $[C(t), K(t), R(t), w(t)]_{t=0}^{\infty}$  such that the household maximizes  $\sum_t \beta^t \frac{C(t)^{1-\theta}-1}{1-\theta}$  subject to

$$C(t) + K(t+1) = R(t)K(t) + w(t)L$$

taking  $(R, w)$  as given; firms maximize as above; and  $A(t) = K(t)$ . (Full depreciation makes  $R$  the gross return.) Market clearing gives the resource constraint

$$C(t) + K(t+1) = RK(t) + K(t)L\tilde{f}'(L) = \tilde{f}(L)K(t) = Y(t).$$

(b) *The BGP.* The household's Euler equation is

$$C(t)^{-\theta} = \beta R C(t+1)^{-\theta} \quad \implies \quad \boxed{\frac{C(t+1)}{C(t)} = (\beta R)^{1/\theta} \equiv 1 + g}$$

a constant, because  $R$  does not depend on  $K$ . Positive growth requires

$$\beta R > 1,$$

and finite utility (equivalently the transversality condition  $\lim_{t \rightarrow \infty} \beta^t C(t)^{-\theta} K(t+1) = 0$ , which reduces to  $\beta(1+g)^{1-\theta} < 1$ ) requires

$$\beta R^{1-\theta} < 1.$$

Together,

$$\frac{1}{R} < \beta < R^{\theta-1},$$

an interval that is nonempty if and only if  $R^{\theta} > 1$ , that is  $R > 1$ : the private gross return must exceed one, which with full depreciation is the requirement that capital more than replace itself. Positive consumption also needs  $\tilde{f}(L) > 1 + g$ , which holds automatically for  $\theta \geq 1$  since then  $(\beta R)^{1/\theta} \leq \beta R < R < \tilde{f}(L)$ . With  $F = K^{\alpha}(AL)^{1-\alpha}$ ,  $\alpha = 1/3$  and  $\tilde{f}(L) = 4$ , so that  $R = \alpha \tilde{f}(L) = 4/3$ , the program gives

| $\theta$                 | 0.5            | 1              | 2              | 3              |
|--------------------------|----------------|----------------|----------------|----------------|
| admissible $\beta$       | (0.750, 0.866) | (0.750, 1.000) | (0.750, 1.333) | (0.750, 1.778) |
| $1 + g$ at $\beta = 0.8$ | 1.1378         | 1.0667         | 1.0328         | 1.0217         |
| planner's $1 + g$        | 10.24          | 3.200          | 1.7889         | 1.4736         |

The planner internalizes  $A = K$  and so faces the return  $\tilde{f}(L)$  rather than  $R$ , giving  $(\beta \tilde{f}(L))^{1/\theta} > 1 + g$  — when her problem is well posed, which for  $\theta < 1$  it need not be (at  $\theta = 0.5$  and  $\beta = 0.8$ ,  $\beta \tilde{f}(L)^{1-\theta} = 1.6 > 1$  and her objective is infinite).

(c) *No transitional dynamics.* The Euler equation holds at *every* date, and its right side is a constant, so consumption grows at  $1 + g$  from  $t = 0$  whatever  $K(0)$  is. Substituting  $C(t) = C(0)(1 + g)^t$  into the resource constraint gives the linear difference equation

$$K(t+1) = \tilde{f}(L)K(t) - C(0)(1 + g)^t,$$

whose general solution is

$$K(t) = \kappa \tilde{f}(L)^t + \frac{C(0)}{\tilde{f}(L) - (1 + g)}(1 + g)^t.$$



Now use the transversality condition. Since  $\beta^t C(t)^{-\theta} = C(0)^{-\theta} [\beta(1+g)^{-\theta}]^t = C(0)^{-\theta} R^{-t}$ , the condition  $\lim \beta^t C(t)^{-\theta} K(t+1) = 0$  becomes

$$\lim_{t \rightarrow \infty} R^{-t} K(t+1) = 0.$$

The homogeneous part contributes  $\tilde{f}(L) [\tilde{f}(L)/R]^t \rightarrow \infty$ , because  $\tilde{f}(L) > R$ ; so  $\kappa = 0$ . The particular part contributes  $(1+g) [(1+g)/R]^t \rightarrow 0$  precisely when  $1+g < R$ , which is the condition  $\beta < R^{\theta-1}$  already imposed. Hence

$$K(t) = K(0)(1+g)^t, \quad C(0) = [\tilde{f}(L) - (1+g)]K(0),$$

and the economy is on the balanced growth path from the first period. ■

*Remark.* The exercise's part (c) refers to “the BGP characterized in part c”, evidently a slip for part (b). The substantive point is the discrete-time counterpart of Exercise 11.1: a constant private return makes the Euler equation autonomous, so consumption growth is immediately constant, and the transversality condition then eliminates the explosive homogeneous solution for capital. The linearity that produces endogenous growth is also what produces the absence of transitional dynamics; the two are the same property seen from different sides.

## Chapter 12

# Modeling Technological Change

The eight exercises of Chapter 12 left unsolved in the instructor's manual: Exercises 12.1, 12.3, 12.4, 12.6–12.8, 12.10 and 12.12. The manual solves 12.2, 12.5, 12.9, 12.11, 12.13 and 12.14. Notation follows the book:  $\psi$  is the pre-innovation marginal cost,  $\lambda > 1$  the size of a process innovation,  $\mu$  its cost,  $D(p)$  demand,  $\varepsilon_D(p) = -pD'(p)/D(p)$  the elasticity of demand,  $p^M$  the post-innovation monopoly price,  $\hat{p}^M$  the pre-innovation one, and  $\varepsilon$  the elasticity of substitution between Dixit–Stiglitz varieties. It is convenient throughout to write

$$\Pi^M(c) \equiv \max_p D(p)(p - c)$$

for the gross monopoly profit at marginal cost  $c$ , with maximizer  $p^M(c)$ . The numerical parts are computed by `code/ch12.py`.

### Exercise 12.1

After a successful innovation the firm's marginal cost is  $\lambda^{-1}\psi$ , and as an unconstrained monopolist it solves

$$\max_p \pi(p) = D(p)(p - \lambda^{-1}\psi).$$

The first-order condition is

$$D'(p)(p - \lambda^{-1}\psi) + D(p) = 0 \quad \implies \quad p - \lambda^{-1}\psi = -\frac{D(p)}{D'(p)}.$$

Writing the elasticity of demand as  $\varepsilon_D(p) \equiv -pD'(p)/D(p) > 0$ , we have  $-D(p)/D'(p) = p/\varepsilon_D(p)$ , so

$$p\left(1 - \frac{1}{\varepsilon_D(p)}\right) = \lambda^{-1}\psi \quad \implies \quad \boxed{p^M = \frac{\lambda^{-1}\psi}{1 - \varepsilon_D(p^M)^{-1}}}$$

which is (12.2). ■

Three remarks complete the derivation. First, a positive price requires  $\varepsilon_D(p^M) > 1$ : a monopolist never operates on the inelastic part of its demand curve, because raising the price there would raise revenue and cut cost simultaneously. Second, the first-order condition is sufficient when marginal revenue  $p(1 - \varepsilon_D(p)^{-1})$  is increasing in  $p$ , which holds for all the demand curves used below. Third, the same computation with  $\lambda = 1$  gives the pre-innovation monopoly price  $\hat{p}^M = p^M(\psi)$  of (12.6).

*The drastic threshold.* The innovation is drastic when firm 1 can charge  $p^M$  without being undercut by rivals still producing at cost  $\psi$ , that is when  $p^M \leq \psi$ . Substituting (12.2),

$$\frac{\lambda^{-1}\psi}{1 - \varepsilon_D(p^M)^{-1}} \leq \psi \quad \iff \quad \lambda \geq \lambda^* \equiv \frac{1}{1 - \varepsilon_D(p^M)^{-1}},$$

as the text states. The threshold is exactly the monopoly markup factor: the innovation must cut cost by at least as much as the monopolist would like to mark up.

*Remark.* With the constant-elasticity demand  $D(p) = Ap^{-\varepsilon}$  the formula collapses to  $p^M = \frac{\varepsilon}{\varepsilon-1}\lambda^{-1}\psi$ , a fixed proportional markup, and  $\lambda^* = \varepsilon/(\varepsilon - 1)$ . This is the same expression as the Dixit–Stiglitz price (12.15)

of Section 12.4, and for the same reason: (12.10) makes each variety's demand isoelastic with elasticity  $\varepsilon$ . The two halves of the chapter share one formula.

### Exercise 12.3

*Deriving* (12.5). Before the innovation the industry is competitive at price  $\psi$ , so producer surplus is zero. Measure everything as a change from that benchmark.

Under monopoly pricing (the drastic case,  $p^M \leq \psi$ ), firm 1 sells  $D(p^M)$  at the markup  $p^M - \lambda^{-1}\psi$ , so producer surplus rises by  $D(p^M)(p^M - \lambda^{-1}\psi)$ ; the price falls from  $\psi$  to  $p^M$ , so consumer surplus rises by  $\int_{p^M}^{\psi} D(p) dp$ ; and the innovation costs  $\mu$ . Hence

$$\tilde{S}_1^I = D(p^M)(p^M - \lambda^{-1}\psi) + \int_{p^M}^{\psi} D(p) dp - \mu.$$

Under limit pricing (the non-drastic case), the price stays at  $\psi$ , so consumers gain nothing and the whole gain is the cost saving on the units still sold:

$$S_1^I = D(\psi)(\psi - \lambda^{-1}\psi) - \mu = D(\psi)\lambda^{-1}(\lambda - 1)\psi - \mu,$$

which is (12.5). Note that  $S_1^I = \pi_1^I$  exactly: with limit pricing the private and social values of the innovation coincide, because the innovator captures the entire gain.

*Proving* PROPOSITION 12.2. It is cleanest to treat the two regimes as one function of the size of the innovation. For each  $\lambda > 1$  let

$$p_1(\lambda) \equiv \min\{p^M(\lambda^{-1}\psi), \psi\}$$

be the equilibrium price, and define the gross (pre- $\mu$ ) private value and equilibrium surplus

$$\Pi(\lambda) = D(p_1)(p_1 - \lambda^{-1}\psi), \quad \Sigma(\lambda) = \Pi(\lambda) + \int_{p_1}^{\psi} D(p) dp, \quad S(\lambda) = \int_{\lambda^{-1}\psi}^{\psi} D(p) dp,$$

so that  $\Pi = \pi_1^I + \mu$  and  $\Sigma = S_1^I + \mu$  for  $\lambda < \lambda^*$ , while  $\Pi = \hat{\pi}_1^I + \mu$  and  $\Sigma = \tilde{S}_1^I + \mu$  for  $\lambda \geq \lambda^*$ , and  $S = S^I + \mu$  throughout.

*Step 1:*  $\Pi(\lambda) < \Sigma(\lambda) < S(\lambda)$  at every  $\lambda$ . The first inequality is immediate, since  $\Sigma - \Pi = \int_{p_1}^{\psi} D \geq 0$ , with equality only under limit pricing. For the second, split the integral at  $p_1$ :

$$S(\lambda) - \Sigma(\lambda) = \int_{\lambda^{-1}\psi}^{p_1} D(p) dp - D(p_1)(p_1 - \lambda^{-1}\psi) > 0,$$

because  $D$  is strictly decreasing, so  $D(p) > D(p_1)$  for every  $p < p_1$  and the integral strictly exceeds the rectangle. This is the deadweight loss of pricing above marginal cost. Combining,  $\Pi < \Sigma < S$ , which gives both  $\hat{\pi}_1^I < S^I$  and  $\tilde{S}_1^I < S^I$ , and (for  $\lambda < \lambda^*$ , where  $\Pi = \Sigma$ )  $\pi_1^I = S_1^I < S^I$ .

*Step 2:* both are strictly increasing in  $\lambda$ . For  $\lambda < \lambda^*$ ,  $\Pi(\lambda) = \Sigma(\lambda) = D(\psi)\psi(1 - \lambda^{-1})$ , plainly increasing. For  $\lambda \geq \lambda^*$ ,  $\Pi(\lambda) = \Pi^M(\lambda^{-1}\psi)$  and the envelope theorem gives

$$\frac{d\Pi}{d\lambda} = \frac{D(p^M)\psi}{\lambda^2} > 0, \quad \frac{d\Sigma}{d\lambda} = \frac{D(p^M)\psi}{\lambda^2} - D(p^M)\frac{dp^M}{d\lambda} > 0,$$

the second term positive because a larger  $\lambda$  lowers marginal cost and hence  $p^M$ . Both functions are continuous at  $\lambda^*$  (there  $p^M = \psi$ ), so they are strictly increasing throughout. Since  $\hat{\pi}_1^I$  and  $\tilde{S}_1^I$  refer

to values of  $\lambda$  above  $\lambda^*$  while  $\pi_1^I$  and  $S_1^I$  refer to values below it,

$$\pi_1^I < \hat{\pi}_1^I \quad \text{and} \quad S_1^I < \tilde{S}_1^I,$$

which completes PROPOSITION 12.2. ■

With  $D(p) = p^{-3}$  and  $\psi = 1$ , so that  $\lambda^* = 1.5$ , the program gives

| $\lambda$           | 1.1    | 1.3    | 1.5    | 1.8    | 2.5    |
|---------------------|--------|--------|--------|--------|--------|
| private             | 0.0909 | 0.2308 | 0.3333 | 0.4800 | 0.9259 |
| equilibrium surplus | 0.0909 | 0.2308 | 0.3333 | 0.7000 | 1.8148 |
| full social value   | 0.1050 | 0.3450 | 0.6250 | 1.1200 | 2.6250 |

— the three columns coinciding in the limit-pricing region and fanning out once monopoly pricing takes over (Figure 10).

*Reading the proposition.* The first chain is the *appropriability effect*: even with a perfectly enforced patent, the innovator captures only part of the surplus its innovation creates, because it cannot price-discriminate and so leaves consumer surplus on the table. The second is the familiar deadweight loss: conditional on innovating, monopoly pricing does not realize the whole gain. Patents therefore buy innovation at the price of static inefficiency, and they still buy too little of it.

#### Exercise 12.4

Subtracting the two definitions,

$$\tilde{S}_1^I - \hat{\pi}_1^I = \left[ D(p^M)(p^M - \lambda^{-1}\psi) + \int_{p^M}^{\psi} D(p) dp - \mu \right] - \left[ D(p^M)(p^M - \lambda^{-1}\psi) - \mu \right] = \int_{p^M}^{\psi} D(p) dp.$$

In the regime where  $\hat{\pi}_1^I$  is the relevant profit the innovation is drastic, so  $p^M \leq \psi$  and the integral is over an interval of nonnegative length with a nonnegative integrand. Hence

$$\tilde{S}_1^I \geq \hat{\pi}_1^I > 0. \quad \blacksquare$$

The non-drastic branch is even simpler: there  $S_1^I = \pi_1^I$  identically, so the implication holds with equality. With  $\lambda = 1.8$  and  $D(p) = p^{-3}$  the program reports a gap of 0.2200, the consumer surplus gain.

*Why this matters.* The difference between the social and private values is exactly the consumer surplus created, and in this environment that difference is a *gain*, never a loss. So in the competitive industry of Section 12.3.3 there can be no *excessive* innovation: any innovation a patent-holding firm is willing to pay for is one society should want. All the inefficiency runs one way, toward too little innovation. Exercise 12.8 asks whether this survives when the innovator displaces an incumbent monopolist rather than a competitive fringe, and the answer turns out to be more delicate than the text suggests.

#### Exercise 12.6

The comparison is between two firms facing the same innovation opportunity but different market positions. A firm in the competitive industry of Section 12.3.3 earns nothing before innovating; the monopolist of Section 12.3.4 already earns  $\Pi^M(\psi) > 0$  and has no rivals, so after innovating it

prices freely at  $p^M(\lambda^{-1}\psi)$  in either regime. Their gross values of the innovation are

$$\begin{aligned} \text{competitive firm: } V_C(\lambda) &= \begin{cases} D(\psi)(\psi - \lambda^{-1}\psi) & \lambda < \lambda^*, \\ \Pi^M(\lambda^{-1}\psi) & \lambda \geq \lambda^*, \end{cases} \\ \text{monopolist: } V_I(\lambda) &= \Pi^M(\lambda^{-1}\psi) - \Pi^M(\psi). \end{aligned}$$

*The drastic branch.* Here

$$V_C - V_I = \Pi^M(\psi) > 0,$$

so  $\Delta\hat{\pi}_1^I = V_I - \mu < V_C - \mu = \hat{\pi}_1^I$ . The gap is *exactly* the profit the monopolist destroys by innovating — Arrow's replacement effect in its purest form.

*The limit-pricing branch.* Now  $V_C = D(\psi)(\psi - \lambda^{-1}\psi)$ , which is *smaller* than  $\Pi^M(\lambda^{-1}\psi)$ , so the comparison is no longer immediate. Use the envelope theorem on  $\Pi^M$ : since  $\partial[D(p)(p - c)]/\partial c = -D(p)$ ,

$$\frac{d\Pi^M(c)}{dc} = -D(p^M(c)) \quad \implies \quad V_I = \Pi^M(\lambda^{-1}\psi) - \Pi^M(\psi) = \int_{\lambda^{-1}\psi}^{\psi} D(p^M(c)) dc.$$

Meanwhile

$$V_C = D(\psi)(\psi - \lambda^{-1}\psi) = \int_{\lambda^{-1}\psi}^{\psi} D(\psi) dc.$$

Compare the integrands. In the non-drastic case  $p^M(\lambda^{-1}\psi) > \psi$ , and  $p^M(\cdot)$  is increasing, so  $p^M(c) \geq p^M(\lambda^{-1}\psi) > \psi$  for every  $c \in [\lambda^{-1}\psi, \psi]$ ; since  $D$  is strictly decreasing,

$$D(p^M(c)) < D(\psi) \quad \text{for all such } c,$$

and therefore  $V_I < V_C$ , that is

$$\boxed{\Delta\hat{\pi}_1^I < \pi_1^I} \quad \blacksquare$$

Combining the two branches with PROPOSITION 12.2's  $\pi_1^I < \hat{\pi}_1^I$  gives the full chain of PROPOSITION 12.3. With  $D(p) = p^{-3}$ ,  $\psi = 1$  and  $\Pi^M(\psi) = 0.1481$ , the program gives

| $\lambda$   | 1.1    | 1.3    | 1.8    | 4.0    |
|-------------|--------|--------|--------|--------|
| competitive | 0.0909 | 0.2308 | 0.4800 | 2.3704 |
| incumbent   | 0.0311 | 0.1022 | 0.3319 | 2.2222 |
| gap         | 0.0598 | 0.1285 | 0.1481 | 0.1481 |

the gap settling at exactly  $\Pi^M(\psi)$  once the innovation becomes drastic.

*Two readings of the same integral.* The envelope formula says that the value of a cost reduction is the quantity sold, integrated over the cost range — the innovator saves  $D$  per unit of cost reduction. The competitive firm computes that quantity at the *competitive* price  $\psi$ ; the monopolist computes it at its own, higher, monopoly price, where it sells less. The monopolist therefore values the same cost reduction less, both because it sells fewer units and because part of its gain merely replaces profits it was already making. Hence COROLLARY 12.1: entrants innovate more than incumbents, which is the germ of the Schumpeterian growth models of Chapter 14.

**Exercise 12.7**

*The threshold.* Write  $\Pi_E \equiv V_C(\lambda)$  for the entrant's gross value — it earns nothing today and becomes the seller if it innovates — and  $V_I = \Pi^M(\lambda^{-1}\psi) - \Pi^M(\psi)$  for the incumbent's, as in Exercise 12.6. Net values are  $\Pi_E - \chi\mu$  and  $V_I - \mu$ , so the entrant has the stronger incentive when

$$\Pi_E - \chi\mu > V_I - \mu \quad \Longleftrightarrow \quad (\chi - 1)\mu < \Pi_E - V_I,$$

that is

$$\chi < \bar{\chi} \equiv 1 + \frac{\Pi_E - V_I}{\mu}$$

Exercise 12.6 established  $\Pi_E - V_I > 0$  in both pricing regimes, so  $\bar{\chi} > 1$  always: a *slightly* handicapped entrant still out-invests the incumbent, and the size of the handicap it can absorb is the replacement effect measured in units of the research cost. In the drastic case  $\Pi_E - V_I = \Pi^M(\psi)$  exactly, so  $\bar{\chi} = 1 + \Pi^M(\psi)/\mu$ .

*The elasticity of demand.* Take  $D(p) = p^{-\varepsilon}$  with  $\psi = 1$ , for which

$$p^M(c) = \frac{\varepsilon}{\varepsilon - 1}c, \quad \Pi^M(c) = \frac{c^{1-\varepsilon}}{\varepsilon - 1} \left( \frac{\varepsilon - 1}{\varepsilon} \right)^\varepsilon \quad \Longrightarrow \quad \frac{\Pi^M(\lambda^{-1})}{\Pi^M(1)} = \lambda^{\varepsilon-1}.$$

In the drastic region the ratio of the two gross incentives is therefore

$$\frac{\Pi_E}{V_I} = \frac{\Pi^M(\lambda^{-1})}{\Pi^M(\lambda^{-1}) - \Pi^M(1)} = \frac{\lambda^{\varepsilon-1}}{\lambda^{\varepsilon-1} - 1},$$

which is strictly *decreasing* in  $\varepsilon$ , and so is  $\bar{\chi} - 1 = \Pi^M(1)/\mu$ , since  $\Pi^M(1) = \frac{1}{\varepsilon-1}(\frac{\varepsilon-1}{\varepsilon})^\varepsilon$  falls with  $\varepsilon$ . With  $\lambda = 1.8$  and  $\mu = 0.05$  the program gives

|               |      |      |      |      |       |
|---------------|------|------|------|------|-------|
| $\varepsilon$ | 1.5  | 2    | 3    | 5    | 10    |
| $\bar{\chi}$  | 7.26 | 5.89 | 3.96 | 2.64 | 1.77  |
| $\Pi_E/V_I$   | 3.38 | 2.22 | 1.45 | 1.11 | 1.005 |

*Intuition.* The incumbent's handicap is the rent it destroys,  $\Pi^M(\psi)$ , and that rent is a markup times a quantity. More elastic demand means a smaller markup: the incumbent has less to lose, so the replacement effect weakens and the entrant's relative advantage shrinks toward nothing as  $\varepsilon \rightarrow \infty$  (where the incumbent is effectively a competitive firm and the two coincide). Read in reverse: the replacement effect is strongest precisely where market power is strongest, so it is in the most concentrated, least elastic industries that one should expect innovation to come from outside.

*Remark.* This gives some content to a familiar empirical puzzle. Incumbents do a great deal of R&D, which the replacement effect alone would not predict. The model points to the answer: incumbents innovate when their cost advantage in research is large ( $\chi$  well above  $\bar{\chi}$ ), and  $\bar{\chi}$  is small exactly where demand is elastic and markups thin. Both incumbent-led incremental innovation and entrant-led radical innovation are consistent with the same mechanism at different parameter values.

**Exercise 12.8**

(a) *First, the environment of Section 12.3.4 will not produce it.* Suppose an entrant makes a process innovation and displaces a monopolist whose marginal cost is  $\psi$ . Measure surplus against

the *pre-innovation* outcome, in which the incumbent charges  $\hat{p}^M = p^M(\psi)$ . After entry the price is  $p_1 = \min\{p^M(\lambda^{-1}\psi), \psi\} \leq \psi < \hat{p}^M$ , so

$$\Delta S = \underbrace{\Pi^M(\lambda^{-1}\psi) - \Pi^M(\psi)}_{\text{producer surplus}} + \underbrace{\int_{p_1}^{\hat{p}^M} D(p) dp}_{\text{consumer surplus}} - \mu, \quad \text{entrant's value} = \Pi_E - \mu,$$

and in the drastic case  $\Pi_E = \Pi^M(\lambda^{-1}\psi)$ , so

$$\Delta S - (\Pi_E - \mu) = \int_{p_1}^{\hat{p}^M} D(p) dp - \Pi^M(\psi).$$

But  $\Pi^M(\psi) = D(\hat{p}^M)(\hat{p}^M - \psi)$ , and since  $D$  is decreasing and  $p_1 \leq \psi$ ,

$$\int_{p_1}^{\hat{p}^M} D(p) dp \geq \int_{\psi}^{\hat{p}^M} D(p) dp > D(\hat{p}^M)(\hat{p}^M - \psi) = \Pi^M(\psi),$$

so  $\Delta S > \Pi_E - \mu$ : the social value *exceeds* the private value, and excessive innovation is impossible. The same computation with the limit-pricing  $\Pi_E$  gives the same conclusion. The program confirms it at every  $\lambda$  for both isoelastic and linear demand.

The reason is structural. A process innovation under Bertrand competition must *undercut* the incumbent to be worth anything, so it necessarily drags the price from  $\hat{p}^M$  down to at most  $\psi$ , and the consumer surplus that releases always outweighs the rent it destroys.

*An environment in which it does occur.* What the business-stealing intuition requires is an innovation that captures the incumbent's rents *without* competing them into consumer surplus. Suppose the innovation is a new product that replaces the incumbent's rather than undercutting it: the entrant's good has the same marginal cost  $\psi$  but is  $\lambda > 1$  times more appealing, in the sense that its demand curve is  $\lambda D(p)$ . The entrant becomes the monopolist and, since scaling demand does not change the optimal price, charges the same  $\hat{p}^M$ . Then

$$\text{social gain} = (\lambda - 1)[\Pi^M(\psi) + CS(\hat{p}^M)] - \mu, \quad \text{private gain} = \lambda \Pi^M(\psi) - \mu,$$

where  $CS(p) = \int_p^\infty D(q) dq$ . The private gain exceeds the social gain when

$$\lambda \Pi^M(\psi) > (\lambda - 1)[\Pi^M(\psi) + CS(\hat{p}^M)] \iff (\lambda - 1)CS(\hat{p}^M) < \Pi^M(\psi),$$

that is, whenever

$$\lambda < 1 + \frac{\Pi^M(\hat{p}^M)}{CS(\hat{p}^M)}$$

For  $D(p) = p^{-\varepsilon}$  the ratio  $\Pi^M/CS$  equals  $\psi/\hat{p}^M = (\varepsilon - 1)/\varepsilon$ , so the condition is  $\lambda < 2 - 1/\varepsilon$ . Taking  $\varepsilon = 3$ ,  $\psi = 1$  and  $\lambda = 1.2$ , the program gives  $\Pi^M(\psi) = 0.14815$  and  $CS(\hat{p}^M) = 0.22222$ , hence

$$\text{social gain} = 0.074074 - \mu, \quad \text{private gain} = 0.177778 - \mu.$$

For any  $\mu \in (0.0741, 0.1778)$  — at  $\mu = 0.12$ , a private value of +0.0578 against a social value of −0.0459 — the entrant innovates and total surplus *falls*. This proves PROPOSITION 12.4. ■

*Remark.* The text asserts PROPOSITION 12.4 with  $\tilde{S}_1^I$  as defined in (12.5), but that quantity measures surplus against a *competitive* benchmark priced at  $\psi$ , and Exercise 12.4 shows it can never fall short of  $\hat{\pi}_1^I$ .

Measured correctly against the incumbent monopolist's outcome, the first calculation above shows that a process innovation cannot be excessive either. The proposition is nonetheless true, and the intuition the text gives for it is exactly right — “the social planner values the profits made by the monopolist, the entrant only values the profits it will make” — but it needs an environment in which the entrant takes those profits without passing them to consumers. The quality-ladder models of Chapter 14, where each innovator limit-prices at its predecessor's price, are of precisely that kind.

(b) *What makes it more likely.* The condition  $(\lambda - 1)CS < \Pi^M$  names the forces directly.

- *Small innovations.* The social gain is proportional to  $\lambda - 1$  while the business stolen is proportional to  $\lambda$ ; as  $\lambda \downarrow 1$  the genuine improvement vanishes but the rents transferred do not. Excessive innovation is a phenomenon of incremental, rent-seeking improvements, not of radical ones.
- *Large incumbent rents relative to consumer surplus.* The threshold is  $1 + \Pi^M/CS$ , so anything that raises profit relative to consumer surplus at the monopoly price widens the region. With isoelastic demand  $\Pi^M/CS = (\varepsilon - 1)/\varepsilon$ , so, perhaps surprisingly, *more* elastic demand makes excessive innovation more likely: a flat demand curve leaves little consumer surplus above the monopoly price relative to the rectangle of profit.
- *Innovations that displace rather than undercut.* This is the decisive structural condition, and it is what fails in part (a). New varieties, quality improvements sold at the old price, and business-model innovations all transfer rents without a price war; pure cost reductions under Bertrand competition do not.
- *Duplication of research effort.* Not modeled here, but the most important force in practice: if  $n$  firms each spend  $\mu$  racing for the same prize, society pays  $n\mu$  for one innovation while each firm compares its own  $\mu$  with its chance of winning the whole rent. Chapter 14 returns to this.

Against all of these stands the appropriability effect of PROPOSITION 12.2, which pushes the other way. The honest conclusion — the one the text draws — is that the sign of the wedge between private and social innovation incentives is not determined by theory, and must be settled empirically, innovation by innovation.

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### Exercise 12.10

The consumption index is

$$C = \left[ \sum_{i=1}^N c_i^{\frac{\varepsilon-1}{\varepsilon}} \right]^{\frac{\varepsilon}{\varepsilon-1}},$$

and (12.10) states  $(c_i/C)^{-1/\varepsilon} = p_i/P$ , that is

$$c_i = C \left( \frac{p_i}{P} \right)^{-\varepsilon}. \quad (*)$$

(This is the definition of  $P$ : the first-order condition between varieties,  $(c_i/c_{i'})^{-1/\varepsilon} = p_i/p_{i'}$ , says that  $p_i(c_i/C)^{1/\varepsilon}$  is the same for every  $i$ , and  $P$  is that common value. It uses  $\partial C/\partial c_i = (C/c_i)^{1/\varepsilon}$ , which follows from differentiating the index.)



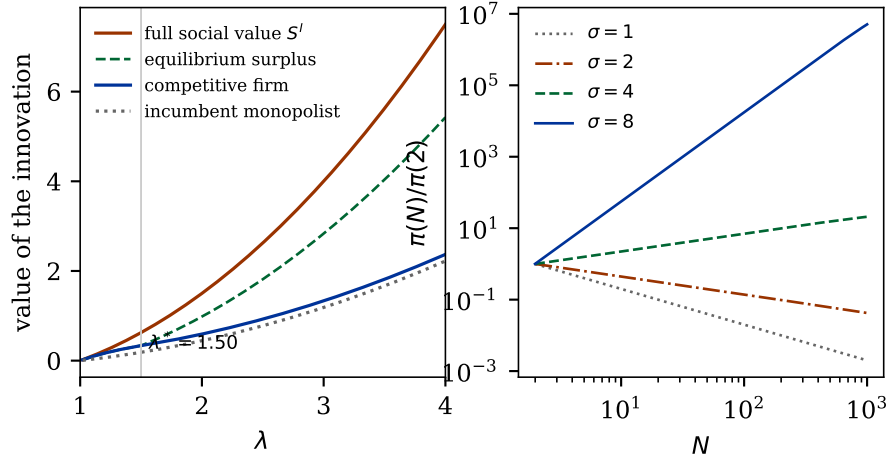


FIGURE 10. Left (Exercises 12.3, 12.4 and 12.6): private and social values of a process innovation with isoelastic demand. Below  $\lambda^*$  limit pricing makes the competitive firm's private value equal to the equilibrium surplus; above it the curves fan out, and the incumbent monopolist's value falls short of the competitive firm's by exactly  $\Pi^M(\psi)$ . Right (Exercise 12.12): Dixit–Stiglitz profits against the number of varieties, for a differentiated sector with a small expenditure share. Profits fall with  $N$  when  $\sigma = 1$  and rise once  $\sigma$  clears the threshold.

Substituting (\*) into the definition of  $C$ ,

$$C = \left[ \sum_{i=1}^N \left( C(p_i/P)^{-\varepsilon} \right)^{\frac{\varepsilon-1}{\varepsilon}} \right]^{\frac{\varepsilon}{\varepsilon-1}} = C \left[ \sum_{i=1}^N \left( \frac{p_i}{P} \right)^{1-\varepsilon} \right]^{\frac{\varepsilon}{\varepsilon-1}},$$

so the bracket must equal one:

$$\sum_{i=1}^N \left( \frac{p_i}{P} \right)^{1-\varepsilon} = 1 \quad \Longleftrightarrow \quad P^{\varepsilon-1} \sum_{i=1}^N p_i^{1-\varepsilon} = 1 \quad \Longleftrightarrow \quad \boxed{P = \left[ \sum_{i=1}^N p_i^{1-\varepsilon} \right]^{\frac{1}{1-\varepsilon}}}$$

which is (12.11). ■

$P$  deserves its name. Using (\*) again, total spending on the differentiated varieties is

$$\sum_{i=1}^N p_i c_i = C P^{\varepsilon} \sum_{i=1}^N p_i^{1-\varepsilon} = C P^{\varepsilon} P^{-(\varepsilon-1)} = PC,$$

so the budget constraint (12.9) collapses to  $PC + y \leq m$ , which is (12.12):  $P$  is exactly the price at which the composite  $C$  may be treated as a single good. This is what makes the two-stage budgeting of Section 12.4 legitimate, and it is why every model in the rest of the book can write demand for a variety as  $(p_i/P)^{-\varepsilon} C$  and be done with it.

*Love of variety in one line.* If all prices are equal at  $p$ , then  $P = N^{1/(1-\varepsilon)} p = p N^{-1/(\varepsilon-1)}$ , which is strictly decreasing in  $N$  since  $\varepsilon > 1$ . Adding varieties lowers the true cost of a unit of the composite even though no individual price has moved — the price-index counterpart of  $U(\bar{C}/N, \dots, \bar{C}/N, y) = u(N^{1/(\varepsilon-1)} \bar{C}, y)$ . The whole of the aggregate demand externality of Exercise 12.12, and much of the growth-through-variety literature of Chapter 13, rests on this single exponent.

**Exercise 12.12**

*Setting up.* With the symmetric price (12.15) the ideal price index is  $P = N^{-1/(\varepsilon-1)} \frac{\varepsilon}{\varepsilon-1} \psi$  by (12.16), and the text's expression for profits is

$$\pi = \frac{1}{\varepsilon N} [m - g(P, m)] = \frac{PC}{\varepsilon N},$$

using  $PC = m - g(P, m)$  from (12.13). Two forces act when  $N$  rises: the term  $1/N$  divides a given amount of spending over more firms, while  $P$  falls, which raises spending on the composite if households substitute toward it.

*The condition.* Differentiate, using  $\partial P / \partial N = -P / [(\varepsilon - 1)N]$ :

$$\frac{\partial \pi}{\partial N} = \frac{1}{\varepsilon} \left[ \frac{-g_P(P, m) \partial P / \partial N}{N} - \frac{m - g(P, m)}{N^2} \right] = \frac{1}{\varepsilon N^2} \left[ \frac{P g_P(P, m)}{\varepsilon - 1} - PC \right],$$

so

$$\boxed{\frac{\partial \pi}{\partial N} > 0 \iff g_P(P, m) > (\varepsilon - 1) C}$$

Spending on the outside good must respond strongly enough to the price index of the differentiated bundle. Equivalently, writing  $E \equiv PC$  for expenditure on the composite and  $\eta_E \equiv d \log E / d \log P = -g_P / C$ ,

$$\frac{d \log \pi}{d \log N} = -1 - \frac{\eta_E}{\varepsilon - 1} > 0 \iff \eta_E < -(\varepsilon - 1) \iff \left| \frac{d \log C}{d \log P} \right| > \varepsilon.$$

*The demand for the composite must be more elastic than the substitution among the varieties within it.*

*In terms of  $u$ .* Let  $u$  be CES with elasticity of substitution  $\sigma$  between  $C$  and  $y$ , and let  $s_C = PC/m$  be the expenditure share of the differentiated sector. Then  $\eta_E = -(\sigma - 1)(1 - s_C)$ , and the condition becomes

$$\sigma > 1 + \frac{\varepsilon - 1}{1 - s_C}.$$

Three cases are worth naming. If  $\sigma = 1$  (Cobb–Douglas  $u$ ) expenditure on the composite is fixed,  $\eta_E = 0$ , and  $d \log \pi / d \log N = -1$ : profits always fall, whatever  $\varepsilon$  or  $s_C$ . If  $\sigma < 1$  they fall faster still. Profits rise only when  $C$  and  $y$  are strong substitutes, and the requirement tightens as the differentiated sector grows — a sector that already absorbs all of spending has nowhere to draw further demand from. With  $\varepsilon = 3$ ,  $N = 10$  and  $m = 1$  the program gives

| $\sigma$                                        | 1     | 2     | 4     | 8     |
|-------------------------------------------------|-------|-------|-------|-------|
| $d \log \pi / d \log N$ ( $s_C$ small)          | -1.00 | -0.50 | +0.50 | +2.50 |
| $d \log \pi / d \log N$ ( $s_C \approx 0.5-1$ ) | -1.00 | -0.84 | -0.86 | -0.98 |

*The aggregate demand externality.* When the condition holds, each firm's entry makes the *other* firms more profitable, through a purely pecuniary channel: more varieties lower the ideal price index, which draws spending into the sector. In a competitive, complete-market economy such pecuniary externalities would net out and the First Welfare Theorem would apply; here they do not, because

prices already exceed marginal cost. That is what makes the effect a genuine externality with first-order welfare consequences, and it is the mechanism behind the multiple equilibria and poverty traps of Chapter 21 — and, in a different guise, behind the scale effects of Chapter 13.

## Chapter 13

# Expanding Variety Models

The eighteen exercises of Chapter 13 left unsolved in the instructor's manual: Exercises 13.2–13.4, 13.8–13.12, 13.14, 13.16–13.18, 13.20, 13.21, 13.23 and 13.25–13.27. The manual solves 13.1, 13.5–13.7, 13.13, 13.15, 13.19, 13.22 and 13.24. Notation follows the book:  $\beta$  is the machine-share parameter,  $\psi = 1 - \beta$  the normalized marginal cost of a machine,  $\eta$  the productivity of R&D,  $N(t)$  the measure of varieties,  $V(\nu, t)$  the value of a blueprint,  $L_E$  and  $L_R$  employment in production and research, and  $\varepsilon$  the elasticity of substitution among products in Section 13.4. It is convenient to write

$$\chi \equiv (1 - \beta)^{-1/\beta} > 1$$

for the factor by which the social planner's machine intensity exceeds the market's. The numerical parts are computed by `code/ch13.py`.

### Exercise 13.2

*Demand.* The first-order condition of (13.5) with respect to  $x(\nu, t)$  is

$$\frac{1}{1 - \beta} (1 - \beta) x(\nu, t)^{-\beta} L^\beta = p_x(\nu, t) \quad \implies \quad x(\nu, t) = p_x(\nu, t)^{-1/\beta} L,$$

which is (13.6): demand is isoelastic with elasticity  $\varepsilon_\beta = 1/\beta > 1$ .

*Pricing.* Because machines depreciate after use and are rented on the spot, the monopolist's problem separates across dates: at each  $t$  it solves the static problem

$$\max_{p_x} (p_x - \psi) p_x^{-1/\beta} L.$$

Differentiating,

$$p_x^{-1/\beta} - \frac{1}{\beta} (p_x - \psi) p_x^{-1/\beta - 1} = 0 \quad \implies \quad \beta p_x = p_x - \psi \quad \implies \quad p_x = \frac{\psi}{1 - \beta},$$

a constant markup  $1/(1 - \beta) = \varepsilon_\beta/(\varepsilon_\beta - 1)$  over marginal cost — the same formula as (12.2) and (12.15), for the same reason. The second-order condition holds because  $\varepsilon_\beta > 1$ . The solution is independent of  $t$ , of  $N(t)$  and of the interest rate, which is what makes the model tractable.

Normalizing  $\psi \equiv 1 - \beta$  gives

$$p_x(\nu, t) = p_x = 1, \quad x(\nu, t) = L, \quad \pi(\nu, t) = (1 - \psi)L = \beta L$$

which are (13.9), (13.10) and (13.11). ■

Substituting into (13.2) gives the derived aggregate production function  $Y(t) = N(t)L/(1 - \beta)$ , equation (13.12), and the first-order condition in  $L$  gives  $w(t) = \beta N(t)/(1 - \beta)$ , equation (13.13). The whole of the model's tractability rests on the fact that each monopolist's decision is a static problem whose answer never changes.

**Exercise 13.3**

The household owns the corporate sector, so its assets are

$$A(t) = \int_0^{N(t)} V(\nu, t) d\nu,$$

and it faces the flow budget constraint  $\dot{A}(t) = r(t)A(t) + w(t)L - C(t)$ , taking  $[r(t), w(t)]$  as given. The current-value Hamiltonian is

$$\hat{H}(A, C, \mu) = \frac{C(t)^{1-\theta} - 1}{1-\theta} + \mu(t)[r(t)A(t) + w(t)L - C(t)].$$

THEOREM 7.13 gives

$$\hat{H}_C = C(t)^{-\theta} - \mu(t) = 0, \quad \hat{H}_A = \mu(t)r(t) = \rho\mu(t) - \dot{\mu}(t), \quad \lim_{t \rightarrow \infty} [e^{-\rho t} \mu(t)A(t)] = 0.$$

The second gives  $\dot{\mu}/\mu = \rho - r(t)$ , while differentiating the first gives  $\dot{\mu}/\mu = -\theta\dot{C}/C$ . Hence

$$\frac{\dot{C}(t)}{C(t)} = \frac{1}{\theta}(r(t) - \rho),$$

which is (13.16). For the transversality condition, integrate the costate equation:  $\mu(t) = \mu(0) \exp(\rho t - \int_0^t r(s) ds)$ , so

$$e^{-\rho t} \mu(t)A(t) = \mu(0) \exp\left(-\int_0^t r(s) ds\right) \int_0^{N(t)} V(\nu, t) d\nu,$$

and since  $\mu(0) > 0$  the condition is exactly (13.17). ■

*Sufficiency.*  $\hat{H}$  is the sum of a strictly concave function of  $C$  and a function linear in  $(A, C)$ , so it is concave in  $(A, C)$  and strictly concave in  $C$ ; and  $\lim_{t \rightarrow \infty} e^{-\rho t} \mu A \geq 0$  holds along any feasible path because  $\mu > 0$  and the household's no-Ponzi condition bounds  $A$  below. THEOREM 7.14 therefore applies, so the Euler equation together with (13.17) characterizes the unique optimal consumption plan.

The *market value* form of (13.17) is worth a comment. In this economy the only store of value is the stock of blueprints, so the household's wealth *is* the market capitalization of the monopolists. The transversality condition then says that this capitalization must not grow faster than the interest rate — which, given free entry ( $\eta V = 1$ ) and hence  $A(t) = N(t)/\eta$ , becomes simply  $g^* < r^*$ . Exercise 13.4 shows that this is exactly the second half of condition (13.21).

**Exercise 13.4**

*Finite utility.* Along the BGP  $C(t) = C(0)e^{g^*t}$  with  $g^* = \theta^{-1}(\eta\beta L - \rho)$ , so

$$U = \int_0^\infty e^{-\rho t} \frac{C(0)^{1-\theta} e^{(1-\theta)g^*t} - 1}{1-\theta} dt$$

converges if and only if  $\rho > (1-\theta)g^*$ . Substituting  $g^*$ ,

$$\theta\rho > (1-\theta)(\eta\beta L - \rho) \iff \theta\rho + (1-\theta)\rho > (1-\theta)\eta\beta L \iff \rho > (1-\theta)\eta\beta L,$$

which is the second inequality in (13.21).

*Transversality.* Free entry holds with equality,  $\eta V(t) = 1$ , so total assets are  $A(t) = N(t)V^* = N(t)/\eta$ , growing at  $g^*$ ; and  $r(t) = r^* = \eta\beta L$ . Condition (13.17) therefore reads

$$\lim_{t \rightarrow \infty} \frac{N(0)}{\eta} e^{(g^* - r^*)t} = 0 \iff g^* < r^* = \eta\beta L \iff \eta\beta L - \rho < \theta\eta\beta L \iff (1 - \theta)\eta\beta L < \rho,$$

the same inequality. Finite utility and transversality are one condition, as always.

*The resource constraint.* From (13.12) and (13.15), net output is

$$\tilde{Y}(t) = Y(t) - X(t) = \left[ \frac{1}{1 - \beta} - (1 - \beta) \right] N(t)L = \frac{\beta(2 - \beta)}{1 - \beta} N(t)L,$$

while R&D absorbs  $Z(t) = \dot{N}(t)/\eta = g^* N(t)/\eta$ . Hence

$$C(t) = \tilde{Y}(t) - Z(t) = N(t) \left[ \frac{\beta(2 - \beta)L}{1 - \beta} - \frac{g^*}{\eta} \right],$$

which grows at  $g^*$ , as required, and is strictly positive because

$$\frac{g^*}{\eta} < \frac{r^*}{\eta} = \beta L < \frac{\beta(2 - \beta)L}{1 - \beta},$$

the first inequality being the transversality condition just established and the last because  $(2 - \beta)/(1 - \beta) > 1$ . ■

With  $\beta = 1/2$ ,  $\eta = 0.12$ ,  $L = 1$ ,  $\rho = 0.02$  and  $\theta = 2$  the program gives  $g^* = 0.02$  and  $C(0)/N(0) = 1.333$ .

### Exercise 13.8

*The static step.* For given  $N(t)$  the planner maximizes net output, the right side of (13.22), over  $x(\nu, t)$ . The first-order condition is  $x^{-\beta} L^\beta = \psi = 1 - \beta$ , so

$$x^S(\nu, t) = (1 - \beta)^{-1/\beta} L = \chi L > L,$$

the planner using each machine more intensively than the market precisely because it does not mark up. Net output is then

$$\tilde{Y}^S(t) = \frac{\chi^{1-\beta}}{1 - \beta} NL - (1 - \beta)\chi NL = \chi\beta N(t)L,$$

using  $\chi^{1-\beta} = (1 - \beta)\chi$ .

(a) *Sufficiency.* The reduced problem is

$$\max \int_0^\infty e^{-\rho t} \frac{C(t)^{1-\theta} - 1}{1 - \theta} dt \quad \text{s.t.} \quad \dot{N}(t) = \eta[\chi\beta N(t)L - C(t)],$$

with current-value Hamiltonian

$$\hat{H}(N, C, \mu) = \frac{C^{1-\theta} - 1}{1 - \theta} + \mu[\eta\chi\beta NL - \eta C].$$

This is strictly concave in  $C$  and linear in  $N$ , hence jointly concave in  $(N, C)$ ; and for every feasible path  $\lim_{t \rightarrow \infty} e^{-\rho t} \mu(t) N(t) \geq 0$ , because  $\mu > 0$  and  $N \geq 0$ . Provided the objective is finite — which is the condition in PROPOSITION 13.3,  $(1 - \theta)\eta\chi\beta L < \rho$ , verified in Exercise 13.9 — THEOREM 7.14 applies and the necessary conditions are sufficient, with strict concavity in  $C$  giving uniqueness.

(b) *The growth rate.* The conditions are

$$C(t)^{-\theta} = \eta\mu(t), \quad \mu(t)\eta\chi\beta L = \rho\mu(t) - \dot{\mu}(t), \quad \lim_{t \rightarrow \infty} e^{-\rho t} \mu(t)N(t) = 0.$$

The second gives  $\dot{\mu}/\mu = \rho - \eta\chi\beta L$ , and differentiating the first gives  $\dot{\mu}/\mu = -\theta\dot{C}/C$ . Hence

$$\boxed{\frac{\dot{C}^S(t)}{C^S(t)} = \frac{1}{\theta} \left( \eta(1 - \beta)^{-1/\beta} \beta L - \rho \right)}$$

which is (13.23). ■

Comparing with (13.20), the whole difference is the factor  $\chi = (1 - \beta)^{-1/\beta} > 1$  multiplying  $\beta L$ . The social value of a blueprint exceeds its private value not because of any technological spillover — there is none in the lab-equipment model — but because the planner, pricing at marginal cost, extracts more output from each machine variety. The inefficiency is entirely the pecuniary one created by the markup.

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### Exercise 13.9

*The two conditions.* By Exercise 13.4 the equilibrium requires  $(1 - \theta)\eta\beta L < \rho$ ; by the same computation applied to (13.23), the optimum requires

$$(1 - \theta)\eta\chi\beta L < \rho, \quad \chi = (1 - \beta)^{-1/\beta} > 1.$$

For  $\theta < 1$  the left side of the second is strictly larger, so the interval

$$(1 - \theta)\eta\beta L < \rho \leq (1 - \theta)\eta\chi\beta L$$

is nonempty, and for  $\rho$  in it the equilibrium is well defined with finite utility while the planner's objective diverges. With  $\beta = 1/2$ ,  $\eta = 0.12$ ,  $L = 1$  and  $\theta = 1/2$  the program gives the interval  $(0.03, 0.12]$ ; at  $\rho = 0.05$  the market allocation has finite utility and the planner's problem has none.

*Interpretation.* The planner's problem is an *AK* problem in  $N$  with return  $\eta\chi\beta L$ . When  $\theta < 1$  and that return is large relative to  $\rho$ , utility along *every* feasible growth path is unbounded: the planner can always do better by postponing consumption a little longer, and no maximum exists. The equilibrium escapes this only because the monopoly markup lowers the return on R&D from  $\eta\chi\beta L$  to  $\eta\beta L$  — the distortion is what keeps the market problem well posed.

*Does this make the optimum less compelling?* No. The pathology is the familiar one of infinite-horizon problems whose growth rate is too high relative to discounting — the same as Assumption 4 failing in Chapter 8, or condition (11.12) failing in the *AK* model. It says that the model has been taken outside the parameter region in which its normative question has an answer, not that the question is the wrong one. Nor does it rescue the equilibrium: even where the planner's problem is unbounded, the equilibrium is Pareto dominated by allocations with faster growth; there is simply no best such allocation.

*Under PROPOSITION 13.3's condition.* Suppose  $(1 - \theta)\eta\chi\beta L < \rho$ . Then  $\rho > (1 - \theta)g^S$  by the rearrangement of Exercise 13.4, so utility is finite; and  $\mu(t) = \mu(0) \exp(\rho t - \eta\chi\beta L t)$  gives

$$e^{-\rho t} \mu(t)N(t) = \mu(0)N(0)e^{(g^S - \eta\chi\beta L)t} \rightarrow 0 \iff g^S < \eta\chi\beta L,$$

which is the same inequality again. Both hold. ■

### Exercise 13.10

By Exercise 13.8 the planner's Euler equation is

$$\frac{\dot{C}(t)}{C(t)} = \frac{1}{\theta}(\eta\chi\beta L - \rho) = g^S$$

at *every* date, not merely asymptotically, because the right side contains no state variable: the planner faces a constant return  $\eta\chi\beta L$  on the only asset there is. Consumption therefore grows at  $g^S$  from  $t = 0$  whatever  $N(0)$  is.

Substituting  $C(t) = C(0)e^{g^S t}$  into the accumulation equation gives the linear nonautonomous equation

$$\dot{N}(t) = \eta\chi\beta L N(t) - \eta C(0)e^{g^S t},$$

whose general solution, exactly as in Exercise 11.1, is

$$N(t) = \kappa e^{\eta\chi\beta L t} + \frac{\eta C(0)}{\eta\chi\beta L - g^S} e^{g^S t}.$$

The transversality condition  $\lim_{t \rightarrow \infty} e^{-\rho t} \mu(t) N(t) = 0$  becomes, using  $e^{-\rho t} \mu(t) \propto e^{-\eta\chi\beta L t}$ ,

$$\lim_{t \rightarrow \infty} N(t) e^{-\eta\chi\beta L t} = \kappa = 0,$$

so  $\kappa = 0$  and

$$N(t) = N(0)e^{g^S t}, \quad C(0) = \frac{(\eta\chi\beta L - g^S)N(0)}{\eta} > 0,$$

positive because  $g^S < \eta\chi\beta L$  is the transversality condition of Exercise 13.9. The optimal path therefore grows at the constant rate  $g^S$  from the first instant, with no transitional dynamics. ■

Finally,  $g^S > g^*$  because  $\chi > 1$ , which completes PROPOSITION 13.3. With the program's parameters,  $g^* = 0.020$  against  $g^S = 0.110$ : the markup costs this economy nine percentage points of growth, which is a measure of how strong the pecuniary externality is when the elasticity of substitution among machines is only  $1/\beta = 2$ .

### Exercise 13.11

(a) *Research subsidies.* Let the government pay a fraction  $s_R$  of R&D spending, financed by lump-sum taxes. Free entry becomes  $\eta V = 1 - s_R$ , so  $V^* = (1 - s_R)/\eta$  and, from  $V^* = \beta L/r^*$ ,

$$r^* = \frac{\eta\beta L}{1 - s_R}, \quad g(s_R) = \frac{1}{\theta} \left( \frac{\eta\beta L}{1 - s_R} - \rho \right).$$

Setting  $g(s_R) = g^S$  requires  $\eta\beta L/(1 - s_R) = \eta\chi\beta L$ , that is

$$s_R = 1 - (1 - \beta)^{1/\beta}$$

so *yes*, the optimal growth rate is attainable. With  $\beta = 1/2$  this is  $s_R = 0.75$ .

It does *not* replicate the Pareto optimal path. The subsidy leaves the markup untouched, so machine use is still  $x = L$  rather than  $x^S = \chi L$ , output is still  $NL/(1 - \beta)$  rather than  $\chi NL$ , and



net output per variety is  $\beta(2 - \beta)L/(1 - \beta)$  rather than  $\chi\beta L$ . The growth rates coincide but the levels do not; the static distortion remains.

*Is it desirable?* No — it overshoots. Given the markup, welfare at  $t = 0$  is

$$W(g) = \frac{C(0)^{1-\theta}}{(1-\theta)[\rho - (1-\theta)g]} - \frac{1}{(1-\theta)\rho}, \quad C(0) = N(0) \left[ \underbrace{\frac{\beta(2-\beta)L}{1-\beta}}_{\equiv A} - \frac{g}{\eta} \right],$$

by Exercise 13.4. The first-order condition in  $g$  is

$$\frac{1}{\eta(A - g/\eta)} = \frac{1}{\rho - (1-\theta)g} \implies g^{SB} = \frac{\eta A - \rho}{\theta} = \frac{1}{\theta} \left( \frac{\eta\beta(2-\beta)L}{1-\beta} - \rho \right),$$

delivered by the subsidy

$$\frac{\eta\beta L}{1 - s_R} = \frac{\eta\beta(2-\beta)L}{1-\beta} \implies s_R^{SB} = \frac{1}{2-\beta}.$$

Since  $1 < \frac{2-\beta}{1-\beta} < \chi$ , we have

$$g^* < g^{SB} < g^S,$$

so the second-best subsidy raises growth but stops well short of the first-best rate. With the program's parameters,  $g^* = 0.020$ ,  $g^{SB} = 0.080$ ,  $g^S = 0.110$ , and  $s_R^{SB} = 0.667 < 0.750$ :

|         |       |       |       |              |       |
|---------|-------|-------|-------|--------------|-------|
| $s_R$   | 0     | 0.25  | 0.50  | 0.667        | 0.75  |
| $g$     | 0.020 | 0.030 | 0.050 | 0.080        | 0.110 |
| welfare | 31.25 | 34.00 | 36.81 | <b>38.00</b> | 36.81 |

Forcing the first-best *growth rate* while leaving the first-best *level* unattainable is a classic second-best error: it buys growth by sacrificing more consumption today than the distorted economy is worth.

(b) *Machine subsidies.* Let final good producers pay only  $(1 - s_x)p_x$  per machine, the difference financed lump-sum. The monopolist still faces elasticity  $1/\beta$  and still charges  $p_x = \psi/(1 - \beta)$ , but demand is now

$$x = [(1 - s_x)p_x]^{-1/\beta} L = (1 - s_x)^{-1/\beta} L$$

using  $\psi = 1 - \beta$ . Setting  $x = x^S = \chi L = (1 - \beta)^{-1/\beta} L$  requires

$$\boxed{s_x = \beta}$$

Profits then become  $\pi = (p_x - \psi)x = \frac{\beta\psi}{1-\beta}x = \beta\chi L$ , and free entry  $\eta V = 1$  with  $V = \pi/r$  gives

$$r^* = \eta\beta\chi L \implies g = \frac{1}{\theta}(\eta\chi\beta L - \rho) = g^S.$$

So the machine subsidy achieves the optimal growth rate *and* the optimal static allocation: it replicates the Pareto optimal path exactly.

*Why one instrument suffices.* There appear to be two distortions — too few machines per variety, and too little research — but they are the same distortion. At the efficient machine quantity, where

$x^{-\beta}L^\beta = \psi$ , net output per variety is

$$\frac{\tilde{Y}}{N} = \frac{1}{1-\beta}x^{1-\beta}L^\beta - \psi x = \frac{\beta\psi x}{1-\beta} = \beta x,$$

while the monopolist's flow profit is  $(p_x - \psi)x = \frac{\beta\psi}{1-\beta}x = \beta x$  as well. The two coincide: once machines are priced at marginal cost *to the user*, the innovator's private return equals the social return, and free entry delivers the optimal amount of research by itself. This is a feature of the Dixit–Stiglitz structure, in which the markup  $1/(1-\beta)$  and the output elasticity  $\beta$  are governed by the same parameter.

(c) *The combination.* Since (b) attains the first best on its own, adding research subsidies cannot improve on it, and any positive  $s_R$  on top of  $s_x = \beta$  would push research past the optimum. The combination is no better — which is the right conclusion from a Tinbergen count once one sees that there is only one independent distortion.

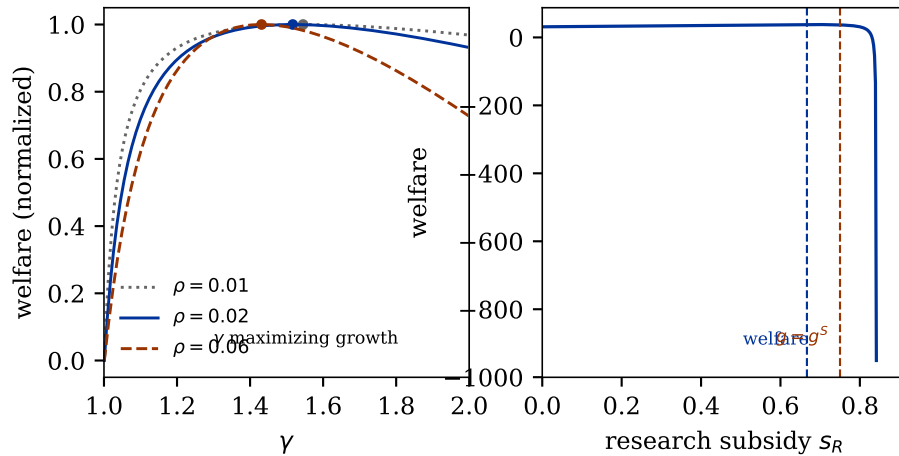


FIGURE 11. Left (Exercise 13.14): welfare against the competition-policy parameter  $\gamma$ . Growth is maximized at  $\gamma = 1/(1-\beta)$ , the weakest policy, but welfare peaks strictly inside, and the optimum moves toward stricter policy as the household becomes more impatient. Right (Exercise 13.11): welfare against the research subsidy. The welfare-maximizing subsidy  $s_R = 1/(2-\beta)$  lies strictly below the one that matches the Pareto optimal growth rate.

### Exercise 13.12

(a) Taxing profits changes nothing on the production side: machines are still priced at  $p_x = 1$ , quantities are still  $x = L$ , output is still  $Y = NL/(1-\beta)$  and wages  $w = \beta N/(1-\beta)$ . What changes is the value of a blueprint, since the monopolist now keeps only  $(1-\tau)\beta L$ :

$$V^* = \frac{(1-\tau)\beta L}{r^*}, \quad \eta V^* = 1 \quad \implies \quad r^* = \eta(1-\tau)\beta L,$$

and hence, by (13.16),

$$g(\tau) = \frac{1}{\theta} \left( \eta(1-\tau)\beta L - \rho \right)$$

As in the lab-equipment model without taxes, the argument of Section 13.1.4 applies unchanged: free entry pins  $V$  at  $1/\eta$  at every date, so  $\dot{V} = 0$ , the interest rate is constant, and there are no transitional dynamics. The equilibrium requires  $\eta(1 - \tau)\beta L > \rho > (1 - \theta)\eta(1 - \tau)\beta L$ .

(b) Two economies with the same  $N(0)$  and the same technology but taxes  $\tau < \tau'$  both grow from the first instant, so

$$\frac{Y(\tau, t)}{Y(\tau', t)} = \frac{N(\tau, t)}{N(\tau', t)} = \exp\left([g(\tau) - g(\tau')]t\right) = \exp\left(\frac{\eta\beta L(\tau' - \tau)}{\theta}t\right),$$

which diverges to infinity. With  $\beta = 1/2$ ,  $\eta = 0.12$ ,  $L = 1$ ,  $\rho = 0.02$ ,  $\theta = 2$ :

|                                               |        |        |        |        |
|-----------------------------------------------|--------|--------|--------|--------|
| $\tau$                                        | 0      | 0.10   | 0.20   | 0.30   |
| $g(\tau)$                                     | 0.0200 | 0.0170 | 0.0140 | 0.0110 |
| income relative to $\tau = 0$ after 100 years | 1.00   | 0.74   | 0.55   | 0.41   |

*What this means.* The model has exactly the property of the  $AK$  models of Chapter 11 (Exercise 11.7): policy has *growth* effects, not level effects, so arbitrarily small permanent policy differences generate arbitrarily large income differences in the long run. The mechanism is more satisfying here, because the linearity comes from the innovation possibilities frontier  $\dot{N} = \eta Z$  rather than being assumed of the production function, and the policy acts on a recognizable margin — the after-tax value of a patent. But the empirical objection is the same: the postwar world income distribution has been broadly stable, whereas tax and institutional differences have been large and persistent. The models without scale effects of Section 13.3, where the growth rate is pinned by demography and does *not* respond to policy, are one response; the Schumpeterian models of Chapter 14 are another.

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### Exercise 13.14

(a) *Equilibrium.* With a competitive fringe able to produce at  $\gamma\psi$ , and  $\gamma \in (1, 1/(1 - \beta))$ , the monopolist limit-prices at  $p_x = \gamma\psi = \gamma(1 - \beta)$ . Then

$$x = p_x^{-1/\beta} L = [\gamma(1 - \beta)]^{-1/\beta} L, \quad \pi(\gamma) = (p_x - \psi)x = \gamma^{-1/\beta}(\gamma - 1)(1 - \beta)^{-\frac{1-\beta}{\beta}} L,$$

and free entry  $\eta V = 1$  with  $V = \pi/r$  gives  $r = \eta\pi(\gamma)$ , hence

$$\widehat{g}(\gamma) = \frac{1}{\theta} \left( \eta \gamma^{-1/\beta} (\gamma - 1) (1 - \beta)^{-\frac{1-\beta}{\beta}} L - \rho \right),$$

the expression in the text. Output and net output per variety are

$$\frac{Y}{N} = \frac{[\gamma(1 - \beta)]^{-\frac{1-\beta}{\beta}} L}{1 - \beta}, \quad \Omega(\gamma) \equiv \frac{\widetilde{Y}}{NL} = [\gamma(1 - \beta)]^{-1/\beta} (\gamma - 1 + \beta).$$

At  $\gamma = 1/(1 - \beta)$  this reduces to  $\beta(2 - \beta)/(1 - \beta)$ , the unconstrained-monopoly value of Exercise 13.4; at  $\gamma = 1$  it reduces to  $\chi\beta$ , the planner's value. There are no transitional dynamics, by the argument of Section 13.1.4.

*Two monotonicities.* Differentiating logarithms,

$$\frac{d \log \pi}{d \gamma} = \frac{1}{\gamma - 1} - \frac{1}{\beta \gamma}, \quad \frac{d \log \Omega}{d \gamma} = \frac{1}{\gamma - 1 + \beta} - \frac{1}{\beta \gamma}.$$

The first vanishes exactly at  $\gamma = 1/(1 - \beta)$  and is positive below it: *profits, and hence growth, are increasing in  $\gamma$  over the whole relevant range and are maximized at the unconstrained monopoly price.* The second vanishes at  $\gamma = 1$  and is negative above it: *net output per variety is strictly decreasing in  $\gamma$ .* Weaker competition buys growth at the cost of the level.

(b) *Welfare.* Since  $C(t) = [\Omega(\gamma)L - \widehat{g}(\gamma)/\eta]N(t)$  with  $N(t) = N(0)e^{\widehat{g}t}$ ,

$$W(\gamma) = \frac{C(0)^{1-\theta}}{(1-\theta)[\rho - (1-\theta)\widehat{g}(\gamma)]} - \frac{1}{(1-\theta)\rho}, \quad C(0) = N(0)\left[\Omega(\gamma)L - \frac{\widehat{g}(\gamma)}{\eta}\right].$$

(c) *The optimum.* Maximizing numerically with  $\beta = 1/2$ ,  $\eta = 0.12$ ,  $L = 1$ ,  $\rho = 0.02$ ,  $\theta = 2$ :

|               |        |        |              |        |        |
|---------------|--------|--------|--------------|--------|--------|
| $\gamma$      | 1.2    | 1.4    | 1.6          | 1.8    | 2.0    |
| $\widehat{g}$ | 0.0067 | 0.0145 | 0.0181       | 0.0196 | 0.0200 |
| $\Omega L$    | 1.944  | 1.837  | 1.719        | 1.605  | 1.500  |
| $W$           | 30.15  | 33.10  | <b>33.27</b> | 32.49  | 31.25  |

with the maximum at  $\gamma^{\text{opt}} = 1.517$ , strictly inside  $(1, 2)$ .

(d) *Why not  $\gamma \geq 1/(1 - \beta)$ ?* Because growth is not welfare. Setting  $\gamma \geq 1/(1 - \beta)$  frees the monopolist to charge its ideal markup, which maximizes  $\widehat{g}$ ; but it also minimizes  $\Omega$ , and the level of consumption at every  $N$  falls. A household that discounts the future trades the two off: the level effect is felt immediately and in full, while the growth effect accumulates only gradually and is discounted. The interior optimum is exactly the point at which the marginal gain in  $\widehat{g}$ , valued at  $\partial W/\partial \widehat{g}$ , equals the marginal loss in  $\Omega$ . This is the same second-best logic as in Exercise 13.11(a): with the markup distortion unavoidable, the growth-maximizing policy is not the welfare-maximizing one.

(e) *The role of  $\rho$ .* A more impatient household weights the immediate level effect more and the distant growth effect less, so it prefers stricter competition policy. The program confirms this:

|                       |       |       |       |       |
|-----------------------|-------|-------|-------|-------|
| $\rho$                | 0.01  | 0.02  | 0.04  | 0.08  |
| $\gamma^{\text{opt}}$ | 1.545 | 1.517 | 1.470 | 1.400 |

and  $\gamma^{\text{opt}} \rightarrow 1/(1 - \beta)$  as  $\rho \rightarrow 0$ : a perfectly patient household would tolerate the full monopoly markup for the sake of growth. The left panel of Figure 11 shows the whole curve.

*Remark.* The prediction that stricter antitrust reduces growth is a genuine feature of this class of models, and it is extreme: growth falls monotonically as competition tightens, all the way to zero at  $\gamma = 1$ . The reason is that the only role of competition here is to reduce the rents that finance R&D. Real competition also disciplines incumbents and forces them to innovate to survive — the “escape competition” effect — which requires the strategic interaction the Schumpeterian models of Chapter 14 supply, and which can reverse the sign.

**Exercise 13.16**

*The value of a blueprint is constant.* Free entry (13.28) is  $\eta N(t)V(t) = w(t)$ , and the wage is still  $w(t) = \beta N(t)/(1 - \beta)$  from (13.13). Hence

$$V(t) = \frac{\beta}{\eta(1 - \beta)} \quad \text{for all } t,$$

a constant, so  $\dot{V}(t) = 0$  identically. The HJB equation (13.8) with  $\pi = \beta L_E(t)$  then gives the interest rate directly:

$$r(t) = \frac{\pi(t)}{V(t)} = (1 - \beta)\eta L_E(t).$$

*The labor allocation cannot move.* Consumption is  $C(t) = Y(t) - X(t) = \frac{\beta(2-\beta)}{1-\beta} N(t)L_E(t)$ , so

$$\frac{\dot{C}}{C} = \frac{\dot{N}}{N} + \frac{\dot{L}_E}{L_E} = \eta(L - L_E) + \frac{\dot{L}_E}{L_E},$$

using the innovation possibilities frontier (13.25). Equating this to the Euler equation  $\dot{C}/C = \theta^{-1}(r - \rho)$  gives a scalar differential equation in  $L_E$  alone:

$$\frac{\dot{L}_E}{L_E} = \frac{(1 - \beta)\eta L_E - \rho}{\theta} - \eta(L - L_E).$$

Its unique rest point is (13.31),

$$L_E^* = \frac{\theta\eta L + \rho}{(1 - \beta)\eta + \theta\eta},$$

and the right side is strictly *increasing* in  $L_E$ , with derivative  $(1 - \beta)\eta/\theta + \eta > 0$ . The rest point is therefore unstable. Since  $L_E$  is a jump variable — nothing is predetermined about the split of a given labor force — any  $L_E(0) \neq L_E^*$  sends  $L_E$  monotonically to  $L$  or to 0 in finite time, violating either labor market clearing or the free-entry equality. Hence  $L_E(t) = L_E^*$  for all  $t$ : there are no transitional dynamics. ■

*Finiteness and transversality.* With  $L_E$  constant,  $r(t) = r^* = (1 - \beta)\eta L_E^*$  and

$$g^* = \frac{1}{\theta}((1 - \beta)\eta L_E^* - \rho).$$

Utility is finite iff  $\rho > (1 - \theta)g^*$ , which rearranges as in Exercise 13.4 to  $\rho > (1 - \theta)(1 - \beta)\eta L_E^*$ ; and total assets  $A(t) = N(t)V$  grow at  $g^*$ , so (13.17) holds iff  $g^* < r^*$ , the same inequality. Positive growth requires  $\rho < (1 - \beta)\eta L_E^*$ . Together these are exactly (13.32).

With  $\beta = 1/2$ ,  $\eta = 0.12$ ,  $L = 1$ ,  $\rho = 0.02$ ,  $\theta = 2$  the program gives  $L_E^* = 0.8667$ ,  $L_R^* = 0.1333$ ,  $r^* = 0.052$  and  $g^* = 0.016$ .

**Exercise 13.17**

*The planner's problem.* Pricing machines at marginal cost, net output with  $L_E$  workers in production is  $\chi\beta N L_E$  (Exercise 13.8 with  $L \rightarrow L_E$ ), and all of it is consumed, since research uses labor rather than final output. The planner therefore chooses  $L_E(t) \in [0, L]$  to solve

$$\max \int_0^\infty e^{-\rho t} \frac{C(t)^{1-\theta} - 1}{1 - \theta} dt \quad \text{s.t.} \quad C(t) = \chi\beta N(t)L_E(t), \quad \dot{N}(t) = \eta N(t)(L - L_E(t)).$$

The current-value Hamiltonian is

$$\hat{H} = \frac{(\chi\beta N L_E)^{1-\theta} - 1}{1-\theta} + \mu\eta N(L - L_E).$$

*The conditions.* Differentiating in the control,

$$\hat{H}_{L_E} = \chi\beta N C^{-\theta} - \mu\eta N = 0 \quad \implies \quad \chi\beta C^{-\theta} = \mu\eta,$$

and in the state,

$$\hat{H}_N = L_E \chi\beta C^{-\theta} + \mu\eta(L - L_E) = \rho\mu - \dot{\mu}.$$

Substituting the first into the second, the term  $L_E \chi\beta C^{-\theta}$  becomes  $\mu\eta L_E$ , so the left side collapses to  $\mu\eta L$  and

$$\frac{\dot{\mu}}{\mu} = \rho - \eta L.$$

Since  $\mu \propto C^{-\theta}$ , this gives

$$g^S = \frac{\dot{C}}{C} = \frac{1}{\theta}(\eta L - \rho)$$

a constant, with the research allocation  $L_R^S = g^S/\eta$  and  $L_E^S = L - L_R^S$ , both interior provided  $\eta L > \rho > (1-\theta)\eta L$ . Since  $C = \chi\beta N L_E$  with  $L_E$  constant,  $N$  grows at  $g^S$  from  $t = 0$ : no transitional dynamics, by the same instability argument as in Exercise 13.16.

*The comparison.* The equilibrium growth rate is  $g^* = \theta^{-1}((1-\beta)\eta L_E^* - \rho)$ , so the two differ through

$$\underbrace{\eta L}_{\text{social return}} \quad \text{versus} \quad \underbrace{(1-\beta)\eta L_E^*}_{\text{private return}},$$

and  $\eta L > (1-\beta)\eta L_E^*$  strictly, for *two* separate reasons. The factor  $(1-\beta) < 1$  is the markup wedge already present in the lab-equipment model: the innovator captures only part of the surplus its variety creates. The replacement of  $L$  by  $L_E^* < L$  is new: it is the *knowledge spillover*. A research firm values a blueprint only for the profits it yields, whereas the planner also values it for raising the productivity of all future research through the term  $N(t)$  in (13.25) — and that benefit accrues to the whole labor force, not merely to the part employed in production.

With the program's parameters,  $\eta L = 0.120$  against  $(1-\beta)\eta L_E^* = 0.052$ , giving  $g^S = 0.050$  against  $g^* = 0.016$ . This model therefore has both sources of inefficiency, where the lab-equipment model of Section 13.1 had only the first.

### Exercise 13.18

The value of a blueprint is, by (13.7),

$$V(t) = \int_t^\infty e^{-r^*(s-t)} \pi(s) ds, \quad \pi(s) = \beta L_E(s).$$

Along the BGP a constant fraction of the labor force works in production, so  $L_E$  grows at the rate of population growth,  $L_E(s) = L_E(t)e^{n(s-t)}$ . Hence

$$V(t) = \beta L_E(t) \int_t^\infty e^{-(r^*-n)(s-t)} ds = \frac{\beta L_E(t)}{r^* - n},$$

the integral converging precisely because  $r^* > n$ . The free-entry condition  $\eta N(t)^\phi V(t) = w(t)$  therefore reads

$$\eta N(t)^\phi \frac{\beta L_E(t)}{r^* - n} = w(t)$$

which is (13.36). ■

*Why  $r^* - n$ .* In the baseline model of Section 13.1 the profit flow  $\beta L$  is constant and is discounted at  $r^*$ , giving  $V^* = \beta L/r^*$  as in (13.18). Here the flow is not constant: each monopolist sells one machine to each production worker, and the number of production workers grows at  $n$ , so its profits grow at  $n$  too. A stream growing at  $n$  and discounted at  $r^*$  has present value  $\pi(t)/(r^* - n)$ : the *effective* discount rate is the excess of the interest rate over the growth rate of the flow. This is the same arithmetic as the Gordon growth formula, and the same reason Exercise 11.3's human wealth was  $B/(r - n)$ .

Note also what the condition  $r^* > n$  is doing. In the BGP of Section 13.3,  $r^* = \theta n/(1 - \phi) + \rho > n$  whenever  $\rho > (1 - \phi - \theta)n/(1 - \phi)$  — exactly the condition of PROPOSITION 13.5. If it failed, a single patent would have infinite value and no equilibrium with positive research could exist: the market size effect would be unbounded.

### Exercise 13.20

Both countries have the same BGP growth rate  $g_N^* = n/(1 - \phi)$  by (13.37), which depends on neither  $L(0)$  nor anything else that differs between them, and the same interest rate  $r^* = \theta n/(1 - \phi) + \rho$ . So growth rates cannot separate them. Levels can.

*The production share is the same.* Combining the free-entry condition  $\eta N^{\phi-1}(1 - \beta)L_E = r^* - n$  with  $\dot{N}/N = \eta N^{\phi-1}L_R = g_N^*$  and dividing,

$$\frac{L_R(t)}{L_E(t)} = \frac{(1 - \beta) g_N^*}{r^* - n} = \frac{n(1 - \beta)}{(1 - \phi)(r^* - n)},$$

a number built only from  $\beta, \phi, n, \rho, \theta$ . Hence  $L_E(t)/L(t)$  is the same constant in both countries.

*Technology scales with population.* Solving the free-entry condition for  $N$ ,

$$N(t) = \left[ \frac{\eta(1 - \beta)L_E(t)}{r^* - n} \right]^{\frac{1}{1-\phi}},$$

so, since  $L_E$  is proportional to  $L$  with the same factor in both countries,

$$\frac{N_2(t)}{N_1(t)} = \left[ \frac{L_2(t)}{L_1(t)} \right]^{\frac{1}{1-\phi}} = \left[ \frac{L_2(0)}{L_1(0)} \right]^{\frac{1}{1-\phi}} > 1.$$

Finally, output per capita is  $y(t) = Y(t)/L(t) = N(t)L_E(t)/[(1 - \beta)L(t)]$ , and the last factor is common, so

$$\frac{y_2(t)}{y_1(t)} = \frac{N_2(t)}{N_1(t)} = \left[ \frac{L_2(0)}{L_1(0)} \right]^{\frac{1}{1-\phi}} > 1 \quad \text{at every } t.$$

■

The elasticity  $1/(1 - \phi) > 1$  is large: with  $\phi = 1/2$  the program gives

|           |      |      |      |
|-----------|------|------|------|
| $L_2/L_1$ | 1.5  | 2    | 5    |
| $y_2/y_1$ | 2.25 | 4.00 | 25.0 |

a twofold population difference producing a fourfold, permanent, income difference.

*Remark.* This is the caveat the text attaches to the label “growth without scale effects”. Removing the scale effect from the *growth rate* does not remove it from the *level*; it relocates it. Indeed the level effect here is stronger than anything in the neoclassical model, and it is no more visible in the data — large countries are not systematically richer. Together with the model’s other prediction that faster population growth raises the growth rate, for which the postwar evidence is at best absent, this suggests that the semi-endogenous formulation trades one awkward implication for two others.

### Exercise 13.21

*Two state-like variables.* Write  $n_E(t) \equiv L_E(t)/L(t)$  for the production share and

$$z(t) \equiv N(t)^{\phi-1}L(t)$$

for a transformed state;  $z$  is predetermined (it moves only with  $N$  and  $L$ ), while  $n_E$  is a jump variable.

*The interest rate out of the BGP.* Free entry  $\eta N^\phi V = w = \beta N/(1 - \beta)$  gives

$$V(t) = \frac{\beta N(t)^{1-\phi}}{\eta(1-\beta)} \quad \implies \quad \frac{\dot{V}}{V} = (1-\phi)\frac{\dot{N}}{N} = (1-\phi)\eta z(t)(1-n_E(t)),$$

using  $\dot{N}/N = \eta N^{\phi-1}L_R = \eta z(1-n_E)$ . The HJB equation  $rV - \dot{V} = \pi = \beta L_E$  then gives

$$r(t) = \frac{\pi}{V} + \frac{\dot{V}}{V} = \eta z(t) \left[ (1-\beta)n_E(t) + (1-\phi)(1-n_E(t)) \right] = \eta z \left[ (1-\phi) + (\phi-\beta)n_E \right].$$

*The planar system.* Differentiating  $z$  and using the Euler equation for  $c = C/L$  together with  $C \propto NL_E$ ,

$$\boxed{\dot{z} = z \left[ n - (1-\phi)\eta z(1-n_E) \right], \quad \dot{n}_E = n_E \left[ \frac{\eta z \left[ (1-\phi) + (\phi-\beta)n_E \right] - \rho}{\theta} - \eta z(1-n_E) \right].}$$

*The steady state.* Setting  $\dot{z} = 0$  gives  $\eta z^*(1-n_E^*) = n/(1-\phi) = g_N^*$ , recovering (13.37); setting  $\dot{n}_E = 0$  gives  $\eta z^* \left[ (1-\phi) + (\phi-\beta)n_E^* \right] = \rho + \theta n/(1-\phi) = r^*$ . Solving the pair,

$$n_E^* = \frac{(1-\phi)(r^* - n)}{r^*(1-\phi) + n(\phi-\beta)}, \quad \eta z^* = \frac{n}{(1-\phi)(1-n_E^*)},$$

which one checks is equivalent to the BGP free-entry condition  $\eta z^* n_E^* (1-\beta) = r^* - n$ .

*Saddle-path stability.* With  $\beta = 1/2$ ,  $\phi = 1/2$ ,  $n = 0.01$ ,  $\rho = 0.02$ ,  $\theta = 2$  and  $\eta = 0.12$  the program gives  $n_E^* = 0.8333$ ,  $z^* = 1.000$ , and Jacobian eigenvalues

$$\xi_1 = -0.01437, \quad \xi_2 = +0.10437, \quad \det J = -0.00150 < 0,$$

one of each sign. Since  $z$  is predetermined by  $N(0)$  and  $L(0)$  while  $n_E$  jumps, there is exactly one initial  $n_E(0)$  on the stable manifold, and the equilibrium path is unique.

*The economics of the transition.* Suppose  $N(0)$  is below its BGP level relative to  $L(0)$ , so  $z(0) > z^*$ . Research is then unusually productive relative to the stock of knowledge, so the economy devotes an unusually large share of labor to R&D:  $n_E(0) < n_E^*$ . Technology grows faster than  $n/(1-\phi)$ ,  $z$  falls toward  $z^*$ , and the research share declines to its BGP value. Convergence is slow — the



half-life is  $\log 2/|\xi_1| \approx 48$  periods — which is a point in the model's favor: unlike the lab-equipment model, where there are no transitional dynamics at all, this one predicts protracted convergence of the kind Chapter 3 documents.

### Exercise 13.23

(b) *first: rentals, not sales.* The hint matters. If the monopolist *sold* durable machines it would face the Coase problem: having sold to the high-valuation users today it would want to cut the price tomorrow, buyers would anticipate this, and with perfectly durable goods the monopolist's power would unravel. Renting avoids the issue entirely, because the monopolist retains ownership and re-optimizes each instant against the same demand curve. So let the monopolist build machines at cost  $\psi$  each and rent them at  $p_x(\nu, t)$  per unit of time.

A machine built at date  $t$  yields the rental stream  $p_x$  while its physical mass decays at  $\delta$ , so its value to the monopolist is  $\int_0^\infty e^{-(r+\delta)s} p_x ds = p_x/(r+\delta)$  along a path with constant  $r$  and  $p_x$ . The *user cost* of a unit of machine services is therefore

$$(r(t) + \delta)\psi,$$

interest forgone plus depreciation, and the monopolist's instantaneous problem is

$$\max_{p_x} [p_x - (r + \delta)\psi] p_x^{-1/\beta} L.$$

(a) and (c). This is the problem of Exercise 13.2 with  $\psi$  replaced by  $(r + \delta)\psi$ . Its solution is

$$p_x^* = \frac{(r^* + \delta)\psi}{1 - \beta}, \quad x^* = (p_x^*)^{-1/\beta} L, \quad \pi^* = [p_x^* - (r^* + \delta)\psi] x^* = \beta p_x^* x^*,$$

all constant along a BGP. Free entry  $\eta V = 1$  with  $V = \pi^*/r^*$  gives

$$r^* = \eta \beta p_x^* x^* = \eta \beta L \left[ \frac{(r^* + \delta)\psi}{1 - \beta} \right]^{-\frac{1-\beta}{\beta}},$$

an implicit equation whose left side is increasing in  $r^*$  and whose right side is decreasing, so there is a unique root; and then  $g^* = \theta^{-1}(r^* - \rho)$ , with no transitional dynamics by the argument of Section 13.1.4 ( $\eta V = 1$  at all dates forces  $\dot{V} = 0$  and hence constant  $r$ ).

Every structural feature of Section 13.1 survives: a constant markup  $1/(1 - \beta)$  over the user cost, a constant machine quantity per variety, constant profits, an interest rate pinned by free entry, and constant growth from the first instant. And under the natural normalization

$$(r^* + \delta)\psi \equiv 1 - \beta,$$

which replaces the text's  $\psi \equiv 1 - \beta$ , one gets  $p_x = 1$ ,  $x = L$ ,  $\pi = \beta L$ ,  $r^* = \eta \beta L$  and

$$g^* = \frac{1}{\theta}(\eta \beta L - \rho),$$

literally (13.20). ■

*Remark.* The exercise is a check that the model's conclusions do not depend on the odd assumption that machines evaporate after a single use. They do not: all that assumption does is set the user cost equal to  $\psi$  rather than  $(r + \delta)\psi$ . What *would* change the analysis is selling durable machines rather than renting them,

which is why the hint points to rentals — a reminder that “monopoly power” in a durable-goods market is a subtler object than a markup formula.

### Exercise 13.25

The household allocates a given total expenditure across varieties to maximize the Dixit–Stiglitz index (13.40). The first-order condition between two products  $\nu$  and  $\nu'$  is

$$\left( \frac{c(\nu, t)}{c(\nu', t)} \right)^{-1/\varepsilon} = \frac{p_c(\nu, t)}{p_c(\nu', t)} \quad \implies \quad c(\nu, t) = c(\nu', t) \left( \frac{p_c(\nu, t)}{p_c(\nu', t)} \right)^{-\varepsilon}.$$

Substituting this into the expenditure identity  $\int_0^{N(t)} p_c(\nu, t) c(\nu, t) d\nu = E(t)$  and solving for  $c(\nu', t)$ ,

$$c(\nu', t) p_c(\nu', t)^\varepsilon \int_0^{N(t)} p_c(\nu, t)^{1-\varepsilon} d\nu = E(t) \quad \implies \quad c(\nu', t) = \frac{p_c(\nu', t)^{-\varepsilon} E(t)}{\int_0^{N(t)} p_c(\nu, t)^{1-\varepsilon} d\nu}.$$

Finally, by Exercise 12.10 the ideal price index is  $P(t) = [\int_0^{N(t)} p_c(\nu, t)^{1-\varepsilon} d\nu]^{1/(1-\varepsilon)}$  and  $E(t) = P(t)C(t)$ , so

$$c(\nu, t) = p_c(\nu, t)^{-\varepsilon} \left[ \int_0^{N(t)} p_c(\nu, t)^{1-\varepsilon} d\nu \right]^{\frac{1}{1-\varepsilon}-1} C(t) = \frac{p_c(\nu, t)^{-\varepsilon}}{\left[ \int_0^{N(t)} p_c(\nu, t)^{1-\varepsilon} d\nu \right]^{\frac{\varepsilon}{1-\varepsilon}}} C(t),$$

which is (13.44). ■

The denominator is the ideal price index raised to the power  $-\varepsilon$ , as the text notes. The demand facing each producer is therefore isoelastic with elasticity  $\varepsilon$ , which is why the monopoly price is the constant markup  $p_c = \frac{\varepsilon}{\varepsilon-1}w$  — the same structure as the machine demand (13.6) with  $\varepsilon$  in place of  $1/\beta$ . The expanding product and expanding input models are the same model with different labels on the elasticity.

### Exercise 13.26

*The budget constraint.* By Exercise 13.25 the household’s expenditure on the differentiated goods is  $\int_0^{N(t)} p_c(\nu, t) c(\nu, t) d\nu = P(t)C(t)$ . With the normalization (13.45),  $P(t) \equiv 1$ , so expenditure is simply  $C(t)$  and  $C$  is real consumption. The household holds the corporate sector,  $A(t) = \int_0^{N(t)} V(\nu, t) d\nu$ , and supplies  $L$  units of labor, so

$$\dot{A}(t) = r(t)A(t) + w(t)L - C(t).$$

*The Hamiltonian.* With the logarithmic preferences (13.39),

$$\hat{H}(A, C, \mu) = \log C(t) + \mu(t)[r(t)A(t) + w(t)L - C(t)],$$

so

$$\hat{H}_C = \frac{1}{C(t)} - \mu(t) = 0, \quad \hat{H}_A = \mu(t)r(t) = \rho\mu(t) - \dot{\mu}(t), \quad \lim_{t \rightarrow \infty} e^{-\rho t} \mu(t) A(t) = 0.$$

The costate equation gives  $\dot{\mu}/\mu = \rho - r(t)$ , while  $\mu = 1/C$  gives  $\dot{\mu}/\mu = -\dot{C}/C$ . Hence

$$\boxed{\frac{\dot{C}(t)}{C(t)} = r(t) - \rho}$$

which is (13.46): the CRRA Euler equation with  $\theta = 1$ . ■

*Why the numeraire matters.* Had the wage or a single variety been chosen as numeraire, the interest rate in this equation would be a nominal one and the Euler equation would carry an extra  $\dot{P}/P$  term, exactly as in Exercise 11.19's second policy. Setting the ideal price index to one means measuring income in constant units of the composite at every date, so  $r(t)$  is the real interest rate and  $C(t)$  is real consumption. This is also what makes it legitimate to say, as the text does, that “real incomes grow at the same rate as  $C(t)$ ” even though no individual product's technology ever improves: the growth is entirely in the price index, which falls as  $N^{1/(1-\varepsilon)}$  because of love of variety.

### Exercise 13.27

(a) *Finiteness and transversality.* With logarithmic preferences and  $C(t) = C(0)e^{g^*t}$ ,

$$U = \int_0^\infty e^{-\rho t} [\log C(0) + g^*t] dt = \frac{\log C(0)}{\rho} + \frac{g^*}{\rho^2} < \infty$$

for any  $\rho > 0$  — no additional parameter restriction is needed, which is the advantage of the log specification. For transversality, the Euler equation (13.46) gives  $r^* = g^* + \rho > g^*$ . Total assets are  $A(t) = N(t)V(t)$ , and by the free-entry condition (13.50),  $NV = w/\eta$ , so  $A$  grows at the growth rate of the wage, which is  $g^*$ . Hence

$$\lim_{t \rightarrow \infty} e^{-r^*t} A(t) = A(0) \lim_{t \rightarrow \infty} e^{(g^* - r^*)t} = A(0) \lim_{t \rightarrow \infty} e^{-\rho t} = 0. \quad \checkmark$$

(b) *No transitional dynamics.* Write  $\ell(t) \equiv L_E(t)$ . With the numeraire (13.45) and the common price  $p_c = \frac{\varepsilon}{\varepsilon-1}w$ , the normalization  $N^{1/(1-\varepsilon)}p_c = 1$  gives

$$p_c(t) = N(t)^{\frac{1}{\varepsilon-1}}, \quad w(t) = \frac{\varepsilon-1}{\varepsilon} N(t)^{\frac{1}{\varepsilon-1}}, \quad V(t) = \frac{w(t)}{\eta N(t)} = \frac{\varepsilon-1}{\varepsilon\eta} N(t)^{-\frac{\varepsilon-2}{\varepsilon-1}},$$

the last from free entry. Profits (13.48) are  $\pi = \frac{1}{\varepsilon-1} \frac{\ell}{N} w = \frac{\ell}{\varepsilon} N^{-\frac{\varepsilon-2}{\varepsilon-1}}$ , so  $\pi/V = \eta\ell/(\varepsilon-1)$ , and the HJB equation gives

$$r(t) = \frac{\pi}{V} + \frac{\dot{V}}{V} = \frac{\eta\ell}{\varepsilon-1} - \frac{\varepsilon-2}{\varepsilon-1} \eta(L-\ell).$$

Since  $C = \ell N^{1/(\varepsilon-1)}$  and  $\dot{N}/N = \eta(L-\ell)$ , the Euler equation  $\dot{C}/C = r - \rho$  becomes, after cancelling,

$$\frac{\dot{\ell}}{\ell} = \frac{\eta\ell}{\varepsilon-1} - \eta(L-\ell) - \rho,$$

whose right side has derivative  $\eta/(\varepsilon-1) + \eta > 0$  in  $\ell$ : the rest point is unstable, so the jump variable  $\ell$  must sit at it for all  $t$ . Solving,

$$\ell^* = \frac{(\varepsilon-1)(\eta L + \rho)}{\varepsilon\eta}, \quad L_R^* = L - \ell^* = \frac{\eta L - (\varepsilon-1)\rho}{\varepsilon\eta},$$

which is (13.53), and  $g^* = \eta L_R^*/(\varepsilon-1)$  gives (13.54). There are no transitional dynamics. ■

(c) *The Pareto optimum.* Allocating  $\ell$  workers symmetrically across the  $N$  products gives  $c(\nu) = \ell/N$  and hence  $C = N^{\varepsilon/(\varepsilon-1)}(\ell/N) = N^{1/(\varepsilon-1)}\ell$ , the same expression as in equilibrium (there is no

markup distortion *across* varieties here, since all prices are equal). The planner therefore solves

$$\max \int_0^\infty e^{-\rho t} \log(N^{\frac{1}{\varepsilon-1}} \ell) dt \quad \text{s.t.} \quad \dot{N} = \eta N(L - \ell),$$

with  $\hat{H} = \log(N^{1/(\varepsilon-1)} \ell) + \mu \eta N(L - \ell)$ . The conditions are

$$\hat{H}_\ell = \frac{1}{\ell} - \mu \eta N = 0, \quad \hat{H}_N = \frac{1}{(\varepsilon-1)N} + \mu \eta (L - \ell) = \rho \mu - \dot{\mu}.$$

In a steady state  $\dot{\mu}/\mu = -\dot{N}/N = -\eta(L - \ell)$ ; substituting  $\mu = 1/(\eta N \ell)$  and multiplying through by  $N\ell$ , the terms in  $L - \ell$  cancel and

$$\frac{\ell}{\varepsilon-1} = \frac{\rho}{\eta} \quad \implies \quad \ell^S = \frac{(\varepsilon-1)\rho}{\eta}, \quad L_R^S = L - \frac{(\varepsilon-1)\rho}{\eta},$$

and therefore

$$g^S = \frac{\eta L_R^S}{\varepsilon-1} = \frac{\eta L - (\varepsilon-1)\rho}{\varepsilon-1} = \varepsilon g^*$$

The optimal growth rate is *exactly*  $\varepsilon$  times the equilibrium rate, and it is positive under the same condition  $\eta L > (\varepsilon-1)\rho$ . With  $\varepsilon = 3$ ,  $\eta = 0.12$ ,  $L = 1$  and  $\rho = 0.02$  the program gives  $g^* = 0.0133$  against  $g^S = 0.0400$ .

*Why the factor is  $\varepsilon$ .* The monopolist charges  $\frac{\varepsilon}{\varepsilon-1}w$  and so keeps a fraction  $1/\varepsilon$  of its revenue as profit. The planner values a new product at its full contribution to the consumption index — the love-of-variety term  $N^{1/(\varepsilon-1)}$  — which corresponds to the whole revenue. The appropriability wedge is therefore exactly  $1/\varepsilon$ , and as  $\varepsilon \rightarrow \infty$  (products becoming perfect substitutes) the equilibrium growth rate collapses to zero relative to the optimum: with no market power there is nothing to finance innovation, which is PROPOSITION 12.1 seen in general equilibrium.

## Chapter 14

# Models of Schumpeterian Growth

The twenty exercises of Chapter 14 left unsolved in the instructor's manual: Exercises 14.1, 14.3–14.5, 14.8–14.11, 14.16, 14.17, 14.23–14.25, 14.28–14.34. The manual solves 14.2, 14.6, 14.7, 14.12–14.15, 14.18–14.22, 14.26, 14.27 and 14.35. Notation follows the book:  $q(\nu, t)$  is the quality of machine line  $\nu$ ,  $\lambda > 1$  the size of a quality step,  $\eta$  the productivity of R&D,  $z$  the flow rate of innovation,  $Q = \int_0^1 q \, d\nu$  average quality,  $\phi$  the incumbent's incremental R&D productivity and  $\kappa$  the entrant's step size in Section 14.3, and  $n(\nu, t)$  the technology gap in Section 14.4. It is convenient to write

$$\chi \equiv (1 - \beta)^{-1/\beta} \geq e$$

for the planner's machine-intensity factor. The numerical parts are computed by `code/ch14.py`.

### Exercise 14.1

Take any machine line  $\nu$  with positive R&D. Then the free-entry condition (14.14) holds as an equality,

$$\eta V(\nu, t \mid q) = \lambda^{-1} q(\nu, t),$$

and in a BGP the right side is constant between innovations, so  $\dot{V}(\nu, t \mid q) = 0$  and (14.13) gives

$$V(\nu, t \mid q) = \frac{\pi(\nu, t \mid q)}{r^* + z(\nu, t \mid q)} = \frac{\beta q(\nu, t) L}{r^* + z(\nu, t \mid q)},$$

using  $\pi = \beta q L$  from (14.11). Combining the two,

$$\frac{\eta \beta q L}{r^* + z(\nu, t \mid q)} = \frac{q}{\lambda} \implies r^* + z(\nu, t \mid q) = \lambda \eta \beta L.$$

The quality  $q$  has cancelled: both the profit from an innovation and the cost of achieving it are proportional to quality, which is exactly what the specification of the innovation possibilities frontier was designed to deliver. Since  $r^*$  is common to all lines,

$$\boxed{z(\nu, t \mid q) = z^* \equiv \lambda \eta \beta L - r^* \quad \text{for every } \nu.}$$

It remains to rule out lines with *no* R&D. If line  $\nu$  had  $z(\nu, t) = 0$ , free entry would hold as a weak inequality,  $\eta \beta q L / r^* \leq \lambda^{-1} q$ , that is  $r^* \geq \lambda \eta \beta L$ . But  $r^*$  is common across lines, so this would then hold for *every* line, forcing  $z^* \leq 0$  everywhere and hence, by (14.22), zero growth — which contradicts the parameter restriction  $\lambda \eta \beta L > \rho$  of PROPOSITION 14.1. ■

*Remark.* This is the property that makes the model tractable and, arguably, realistic: research is spread evenly across the whole spectrum of machines rather than concentrated on the most or least advanced. It depends on the linearity of (14.3) in  $q$  together with the assumption that R&D on a machine of quality  $q$  is proportionately harder. Exercise 14.14 shows that changing the production function to  $q(\nu, t) x^{1-\beta} L_E^\beta$  with a common  $L_E$  concentrates all R&D on the single highest-quality line.

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**Exercise 14.3**

Suppose a firm pays  $\epsilon$  and acquires the innovator's technology for machine line  $\nu$  of quality  $q$ . The two firms then have *identical* constant marginal costs  $\psi q$  and produce a homogeneous good — machines of the same variety and quality are perfect substitutes. Bertrand competition between two firms with the same marginal cost has a unique equilibrium in which both price at marginal cost and both earn zero operating profits.

The copier therefore earns

$$0 - \epsilon = -\epsilon < 0,$$

a strict loss, whatever  $q$ , whatever the date, and however small  $\epsilon$  is. No firm copies. ■

Since no copying occurs on the equilibrium path, the innovator faces only the previous vintage  $\lambda^{-1}q$ , exactly as in the model with patents. Every equilibrium object is therefore unchanged: the price (14.6), the quantity (14.7), profits (14.8), the value function (14.13), free entry (14.14) and the growth rate (14.23).

*What the argument uses, and where it breaks.* Three things. First, *price* competition with a homogeneous product: under Cournot, two identical firms would each earn positive duopoly profits, and copying would pay whenever  $\epsilon$  was small enough. Second,  $\epsilon > 0$  *strictly*: the conclusion is discontinuous at  $\epsilon = 0$ , where copying becomes weakly optimal and the equilibrium unravels. Third, that the copier obtains *the same* technology, not a better one; a copier who could improve on the technology would be an entrant, and entry is already in the model.

*Remark.* The result belongs to the same family as contestable-markets arguments and Exercise 12.3's observation that trade secrecy can substitute for patents: what protects the innovator is not the legal monopoly but the fact that imitation destroys the very rents that would pay for it. It also shows that the extreme policy conclusions of Section 13.1.6 and of this chapter — that weaker intellectual property rights reduce growth — do not depend on patents *per se*. What they depend on is that the rents from an innovation accrue to whoever makes it, and Section 14.4 is where that presumption is finally relaxed.

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**Exercise 14.4**

*Uniqueness.* The BGP is determined by three linear relations: (14.19)  $r^* + z^* = \lambda\eta\beta L$ , the Euler equation (14.20)  $r^* = \theta g^* + \rho$ , and the aggregation identity (14.22)  $g^* = (\lambda - 1)z^*$ . Eliminating  $r^*$  and  $z^*$ ,

$$\theta g^* + \rho + \frac{g^*}{\lambda - 1} = \lambda\eta\beta L \quad \implies \quad g^* = \frac{\lambda\eta\beta L - \rho}{\theta + (\lambda - 1)^{-1}},$$

which is (14.23); the system is linear with a nonzero coefficient on  $g^*$ , so the solution is unique.

*Positivity.*  $g^* > 0$  if and only if  $\lambda\eta\beta L > \rho$ , the first inequality of PROPOSITION 14.1. Then  $z^* = g^*/(\lambda - 1) > 0$  as well.

*Transversality.* By (14.17) the value of every leading-edge patent is  $q(\nu, t)/(\lambda\eta)$ , so total corporate wealth is

$$\int_0^1 V(\nu, t \mid q) d\nu = \frac{Q(t)}{\lambda\eta},$$

which grows at  $g^*$ . Condition (14.16) therefore holds if and only if  $g^* < r^*$ . Using  $r^* = \theta g^* + \rho$ , this is  $(1 - \theta)g^* < \rho$ , and substituting (14.23),

$$(1 - \theta)(\lambda\eta\beta L - \rho) < \rho \left[ \theta + \frac{1}{\lambda - 1} \right] \iff (1 - \theta)\lambda\eta\beta L < \rho \left[ 1 + \frac{1}{\lambda - 1} \right] = \rho \frac{\lambda}{\lambda - 1},$$

that is

$$(1 - \theta)(\lambda - 1)\eta\beta L < \rho$$

exactly the second inequality of PROPOSITION 14.1. The same inequality makes household utility finite, by the rearrangement used in Exercise 13.4.

*Positive consumption.* R&D spending on line  $\nu$  is  $Z(\nu, t) = z^*q(\nu, t)/\eta$ , so  $Z(t) = z^*Q(t)/\eta$ , while net output is  $\tilde{Y} = Y - X = \left[ \frac{1}{1-\beta} - (1 - \beta) \right] QL = \frac{\beta(2-\beta)}{1-\beta} QL$ . Hence

$$C(t) = Q(t) \left[ \frac{\beta(2 - \beta)L}{1 - \beta} - \frac{z^*}{\eta} \right],$$

positive provided  $z^*/\eta < \beta(2 - \beta)L/(1 - \beta)$ . This is automatic when  $\theta \geq 1$ : then  $\theta(\lambda - 1) + 1 \geq \lambda$ , so  $z^*/\eta = [\lambda\beta L - \rho/\eta]/[\theta(\lambda - 1) + 1] \leq \beta L$ , which is less than  $\beta(2 - \beta)L/(1 - \beta)$ . With  $\beta = 1/2$ ,  $\eta = 0.12$ ,  $L = 1$ ,  $\rho = 0.02$ ,  $\theta = 2$  and  $\lambda = 2$  the program gives  $g^* = 0.0333$ ,  $r^* = 0.0867$ ,  $z^* = 0.0333$  and  $C/Q = 1.500 - 0.278 = 1.222 > 0$ . ■

### Exercise 14.5

*Free entry binds at every date.* By the argument of Exercise 14.1, if free entry were slack on some interval it would be slack for every machine line, so there would be no R&D and no growth on that interval; but then  $r$  would have to satisfy  $r \geq \lambda\eta\beta L$ , and the Euler equation would give consumption growth  $\theta^{-1}(r - \rho) \geq \theta^{-1}(\lambda\eta\beta L - \rho) > 0$  while output was constant — impossible in the long run given the resource constraint. Hence  $\eta V(\nu, t | q) = \lambda^{-1}q(\nu, t)$  for all  $t$ .

*The interest rate is constant.* Since  $q(\nu, t)$  is constant between innovations, the free-entry equality gives  $\dot{V}(\nu, t | q) = 0$  at every date, and (14.13) becomes

$$r(t) + z(t) = \frac{\pi(\nu, t | q)}{V(\nu, t | q)} = \lambda\eta\beta L \quad \text{for all } t.$$

*The R&D rate cannot move.* Write  $A \equiv \beta(2 - \beta)L/(1 - \beta)$ , so that  $C(t) = [A - z(t)/\eta]Q(t)$  by Exercise 14.4, and  $\dot{Q}/Q = (\lambda - 1)z(t)$  by (14.21). Then

$$\frac{\dot{C}}{C} = (\lambda - 1)z(t) - \frac{\dot{z}(t)/\eta}{A - z(t)/\eta},$$

while the Euler equation with  $r(t) = \lambda\eta\beta L - z(t)$  gives  $\dot{C}/C = \theta^{-1}(\lambda\eta\beta L - z(t) - \rho)$ . Equating and rearranging,

$$\dot{z}(t) = -\eta \left[ A - \frac{z(t)}{\eta} \right] F(z(t)), \quad F(z) \equiv \frac{\lambda\eta\beta L - z - \rho}{\theta} - (\lambda - 1)z.$$

$F$  is strictly decreasing, with the unique root  $z^*$  of (14.23), and  $A - z/\eta > 0$  at  $z^*$  by Exercise 14.4. Hence

$$\left. \frac{\partial \dot{z}}{\partial z} \right|_{z^*} = -\eta \left[ A - \frac{z^*}{\eta} \right] F'(z^*) > 0 :$$

the rest point is *unstable*. Since  $z$  is a jump variable — nothing about the R&D rate is predetermined — any  $z(0) \neq z^*$  would send  $z$  either to zero (contradicting free entry binding) or above  $\eta A$  (making consumption negative). Therefore  $z(t) = z^*$  for all  $t$ ,  $r(t) = r^*$ , and the economy grows at  $g^*$  from the first instant, whatever  $Q(0) > 0$ . ■

The economics is the same as in Chapter 13: free entry pins the value of a patent to a constant multiple of its quality at every date, which pins the effective discount rate  $r + z$ , which leaves no room for the interest rate or the R&D rate to move. Linearity of the innovation possibilities frontier is what removes the transitional dynamics, exactly as in the  $AK$  model.

### Exercise 14.8

*The static step.* Without markups the planner equates the marginal product of a machine to its marginal cost: from (14.3),  $qx^{-\beta}L^\beta = \psi q$ , so  $x^S = (1 - \beta)^{-1/\beta}L = \chi L$ , which is (14.24). Then  $Y^S = \chi Q^S L$  and  $X^S = \psi \chi Q^S L = (1 - \beta)\chi Q^S L$ , so net output is

$$\tilde{Y}^S = \chi Q^S L [1 - (1 - \beta)] = \beta \chi Q^S(t) L,$$

which is (14.25).

(a) *Sufficiency.* The reduced problem has the current-value Hamiltonian

$$\hat{H}(Q^S, C^S, \mu^S) = \frac{(C^S)^{1-\theta} - 1}{1-\theta} + \mu^S \eta (\lambda - 1) [\beta \chi Q^S L - C^S],$$

strictly concave in  $C^S$  and linear in  $Q^S$ , hence jointly concave; and  $\lim_{t \rightarrow \infty} e^{-\rho t} \mu^S(t) Q^S(t) \geq 0$  for every feasible path, since  $\mu^S > 0$  and  $Q^S \geq 0$ . Provided the objective is finite — the condition  $(1 - \theta)\eta(\lambda - 1)\beta\chi L < \rho$  of PROPOSITION 14.3 — THEOREM 7.14 applies, so the listed conditions are sufficient.

(b) *Uniqueness.* Strict concavity in  $C^S$  makes the maximizer of the Hamiltonian unique at each date; the Euler equation then determines the whole path from  $C^S(0)$ , and, exactly as in Exercise 8.11, the transversality condition selects a single  $C^S(0)$ : a larger one violates feasibility (capital is driven negative in finite time), a smaller one leaves  $\lim e^{-\rho t} \mu^S Q^S > 0$ .

(c) *The growth rate.* The conditions are

$$(C^S)^{-\theta} = \mu^S \eta (\lambda - 1), \quad \mu^S \eta (\lambda - 1) \beta \chi L = \rho \mu^S - \dot{\mu}^S.$$

The second gives  $\dot{\mu}^S / \mu^S = \rho - \eta(\lambda - 1)\beta\chi L$ , and differentiating the first gives  $\dot{\mu}^S / \mu^S = -\theta \dot{C}^S / C^S$ . Hence

$$g^S = \frac{\dot{C}^S}{C^S} = \frac{1}{\theta} \left( \eta(\lambda - 1)(1 - \beta)^{-1/\beta} \beta L - \rho \right)$$

which is (14.27). ■

As in Exercise 13.10, the right side contains no state variable, so the optimal allocation grows at  $g^S$  from  $t = 0$  with no transitional dynamics; the transversality condition eliminates the explosive homogeneous solution for  $Q^S$  and pins  $C^S(0)$ .



**Exercise 14.9**

*What the buyer compares.* A final good producer facing a machine of quality  $q$  at price  $p$  chooses  $x = (q/p)^{1/\beta} L$  by (14.4), and its net gain from that machine line is

$$\frac{1}{1-\beta} q x^{1-\beta} L^\beta - p x = \frac{\beta}{1-\beta} L q^{1/\beta} p^{-\frac{1-\beta}{\beta}}.$$

So the producer ranks offers by  $q^{1/\beta} p^{-(1-\beta)/\beta}$ , equivalently by  $q p^{-(1-\beta)}$ : a machine is better the higher its quality and the lower its price, with quality weighted more heavily the larger is  $\beta$ .

*The comparison.* The innovator offers quality  $q$  at the unconstrained monopoly price  $p = \psi q / (1-\beta)$ ; the previous vintage offers quality  $\lambda^{-1} q$  and, under Bertrand competition, will go down to its marginal cost  $\psi \lambda^{-1} q$ . The buyer prefers the new machine if and only if

$$\frac{q}{[\psi q / (1-\beta)]^{1-\beta}} \geq \frac{\lambda^{-1} q}{[\psi \lambda^{-1} q]^{1-\beta}}.$$

Cancelling  $q^\beta \psi^{-(1-\beta)}$  from both sides leaves

$$(1-\beta)^{1-\beta} \geq \lambda^{-\beta} \quad \Longleftrightarrow \quad \lambda^\beta \geq (1-\beta)^{-(1-\beta)} \quad \Longleftrightarrow \quad \boxed{\lambda \geq \left( \frac{1}{1-\beta} \right)^{\frac{1-\beta}{\beta}}}$$

which is exactly (14.5). ■

With  $\beta = 1/2$  the threshold is  $\lambda^* = 2$ : the quality step must at least double productivity before the innovator can ignore the machine it replaced. For  $\beta$  near 1 the threshold falls to 1 (quality matters overwhelmingly), and for  $\beta$  near 0 it rises to  $e$ .

**Exercise 14.10**

(a) *The limit price.* When (14.5) fails the buyer would prefer the old vintage at the new monopoly price, so the innovator must price low enough to make the buyer indifferent. Setting the two ranking indices of Exercise 14.9 equal,

$$\frac{q}{p^{1-\beta}} = \frac{\lambda^{-1} q}{(\psi \lambda^{-1} q)^{1-\beta}} \quad \Longrightarrow \quad p^{1-\beta} = \lambda (\psi \lambda^{-1} q)^{1-\beta} \quad \Longrightarrow \quad \boxed{p_x = \lambda^{\frac{\beta}{1-\beta}} \psi q}$$

This is below the unconstrained monopoly price  $\psi q / (1-\beta)$  precisely when  $\lambda^{\beta/(1-\beta)} < (1-\beta)^{-1}$ , that is when (14.5) fails — and the two coincide exactly at  $\lambda = \lambda^*$ , as they must.

(b) *The growth rate.* Write  $\Lambda \equiv \lambda^{\beta/(1-\beta)}$  and keep  $\psi = 1-\beta$ . Then  $x = (q/p_x)^{1/\beta} L = (\Lambda \psi)^{-1/\beta} L$  and flow profits per unit of quality are

$$\tilde{\pi} \equiv \frac{\pi}{q} = (\Lambda - 1) \Lambda^{-1/\beta} (1-\beta)^{-\frac{1-\beta}{\beta}} L.$$

Everything else in Exercise 14.1 goes through with  $\beta L$  replaced by  $\tilde{\pi}$ , so  $r^* + z^* = \lambda \eta \tilde{\pi}$  and

$$g^* = \frac{\lambda \eta \tilde{\pi} - \rho}{\theta + (\lambda - 1)^{-1}}.$$

Setting  $\Lambda = (1-\beta)^{-1}$  recovers  $\tilde{\pi} = \beta L$  and (14.23).

(c) *The optimum.* The planner never faces a price, so (14.27) is unchanged; the equilibrium falls further short of it, since  $\tilde{\pi} < \beta L$ .

(d) *Removing the rival.* If the previous producer disappears, the innovator charges its ideal markup and earns  $\beta L$  per unit of quality. Since  $p^M$  maximizes  $(p - \psi q)x(p)$  and the limit price differs from it,  $\beta L > \tilde{\pi}$  strictly, hence

$$g^{\text{hyp}} = \frac{\lambda \eta \beta L - \rho}{\theta + (\lambda - 1)^{-1}} > g^*.$$

With  $\beta = 1/2$ ,  $\eta = 0.12$ ,  $L = 1$ ,  $\rho = 0.02$ ,  $\theta = 2$  the program gives

|                  |         |         |                       |
|------------------|---------|---------|-----------------------|
| $\lambda$        | 1.2     | 1.5     | 2.0 ( $= \lambda^*$ ) |
| regime           | limit   | limit   | monopoly              |
| $g^*$            | 0.00286 | 0.01500 | 0.03333               |
| $g^{\text{hyp}}$ | 0.00743 | 0.01750 | 0.03333               |

*Explanation.* Competition from the vintage the innovator replaced forces a lower price, which lowers flow profits, which lowers the value of a patent, which — through free entry — lowers R&D and growth. The effect vanishes exactly when the innovation is large enough to make the old vintage irrelevant. This is the same message as Section 13.1.6 and Exercise 13.14: in this class of models competition is good for static efficiency and bad for growth. It is worth noting what makes the message so stark: the old vintage exerts competitive pressure but contributes nothing to innovation. Section 14.4, where the laggard is a live R&D competitor, is where the sign can flip.

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#### Exercise 14.11

Follow the hint: one unit of the final good spent on R&D for a machine of quality  $q$  generates a flow rate  $\eta/q^\phi$  of innovation with  $\phi > 1$ , and let population grow at  $n$ .

*Free entry.* Research aimed at a line whose current quality is  $\lambda^{-1}q$  generates quality  $q$  at flow rate  $\eta/(\lambda^{-1}q)^\phi$ , so

$$\frac{\eta}{(\lambda^{-1}q)^\phi} V(\nu, t \mid q) \leq 1, \quad \text{with equality when there is research.}$$

Flow profits are  $\pi = \beta q L(t)$  and grow at  $n$  along a BGP, so, as in Exercise 13.18,

$$V(\nu, t \mid q) = \frac{\beta q L(t)}{r^* + z^* - n},$$

and free entry becomes

$$\frac{\eta \lambda^\phi \beta L(t)}{r^* + z^* - n} = q^{\phi-1}.$$

*The growth rate.* The left side grows at  $n$ ; the right side grows at  $(\phi - 1)g_Q$ , where  $g_Q$  is the growth rate of quality. For free entry to hold at every date,

$$g^* = g_Q = \frac{n}{\phi - 1}$$

Output is  $Y = QL/(1 - \beta)$ , so output per capita  $Q/(1 - \beta)$  grows at  $n/(\phi - 1) > 0$  while aggregate output grows at  $n/(\phi - 1) + n$ . The interest rate follows from the Euler equation,  $r^* = \theta g^* + \rho$ ,

and the innovation rate from (14.22),  $z^* = g^*/(\lambda - 1) = n/[(\lambda - 1)(\phi - 1)]$ ; the level of  $Q$  is then pinned down by the free-entry condition. A finite  $V$  requires  $r^* + z^* > n$ .

*What has changed.* The growth rate depends on  $n$  and  $\phi$  alone — not on  $L$ ,  $\eta$ ,  $\beta$  or  $\lambda$ :

|                  |       |       |       |       |
|------------------|-------|-------|-------|-------|
| $\phi$           | 1.25  | 1.5   | 2     | 3     |
| $g^* (n = 0.01)$ | 0.040 | 0.020 | 0.010 | 0.005 |

The scale effect has been removed exactly as in Section 13.3, and for the same reason: research on a machine of quality  $q$  is now *more* than proportionately harder ( $\phi > 1$  rather than  $\phi = 1$ ), so a growing market is needed to keep the incentive to innovate constant. As in Exercise 13.20 a level scale effect survives — a larger  $L$  supports a higher  $Q$  at every date — and the model becomes semi-endogenous: policy no longer affects the growth rate.

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### Exercise 14.16

There is a single machine line. Between innovations its quality  $q$  is constant and the allocation of labor is constant at  $(L_E^*, L_R^*)$ , so output

$$Y(t) = \frac{q(t)L_E^*}{1 - \beta}$$

is constant: the economy does not grow at all. Output jumps by the factor  $\lambda$  at the instant of each innovation.

Each of the  $L_R^*$  research workers generates innovations at flow rate  $\eta$ , independently, so the aggregate arrival process is Poisson with rate  $\eta L_R^*$ . The waiting time between successive arrivals is therefore exponentially distributed with that rate,

$$\Pr[\text{no innovation in } [t, t + s]] = e^{-\eta L_R^* s},$$

whose mean is

$$E[\text{interval}] = \frac{1}{\eta L_R^*}$$

■ With the program's parameters ( $\lambda = 2$ ,  $\eta = 0.15$ ,  $\beta = 1/2$ ,  $L = 1$ ,  $\rho = 0.05$ ) one gets  $L_R^* = 1/3$  and an average interval of 20 periods.

*Remark.* This is the price of having one sector rather than a continuum. In Section 14.1 a law of large numbers across a continuum of independent machine lines makes  $Q(t)$  deterministic and growth perfectly smooth; here there is nothing to average over. As the text observes, real economies lie between the two — they do not grow at constant rates, but neither do they stand still for decades and then jump.

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### Exercise 14.17

(a) *The equilibrium.* Households are risk neutral, so  $r(t) = \rho$  at all dates. With the unconstrained monopoly price,  $\pi(q) = \beta q L_E$  and  $w(q) = \beta q / (1 - \beta)$ . A leader is replaced at the flow rate  $\eta L_R$ , so

$$V(q) = \frac{\beta q L_E}{\rho + \eta L_R}.$$

A research worker generates flow rate  $\eta$  of an innovation worth  $V(\lambda q)$  and costs  $w(q)$ , so free entry requires  $\eta V(\lambda q) = w(q)$ :

$$\frac{\eta \lambda \beta q L_E}{\rho + \eta L_R} = \frac{\beta q}{1 - \beta} \quad \implies \quad \eta \lambda (1 - \beta) (L - L_R) = \rho + \eta L_R,$$

whose unique solution is

$$L_R^* = \frac{\lambda(1 - \beta)\eta L - \rho}{\eta[1 + \lambda(1 - \beta)]}$$

Positive research requires  $\lambda(1 - \beta)\eta L > \rho$ ; and  $L_R^* < L$  holds automatically.

*The growth rate.* Let  $n(t)$  count innovations by date  $t$ , a Poisson process with rate  $\eta L_R^*$ . Then  $q(t) = \lambda^{n(t)} q(0)$  and  $Y(t) = q(t) L_E^* / (1 - \beta)$ , so

$$\frac{\log Y(t) - \log Y(0)}{t} = \frac{n(t)}{t} \log \lambda \xrightarrow{t \rightarrow \infty} \eta L_R^* \log \lambda$$

almost surely, by the strong law of large numbers for the Poisson process. Hence  $g^* = \eta L_R^* \log \lambda$ .

*The parameter condition.* With risk neutrality, utility is  $\int_0^\infty e^{-\rho t} C(t) dt$  with  $C$  growing at  $g^*$  on average, finite if and only if  $\rho > g^*$ . Substituting  $L_R^*$ ,

$$\rho > \log \lambda \frac{\lambda(1 - \beta)\eta L - \rho}{1 + \lambda(1 - \beta)} \quad \iff \quad \lambda(1 - \beta)\eta L < \rho \left[ 1 + \frac{1 + \lambda(1 - \beta)}{\log \lambda} \right].$$

Together with  $\lambda(1 - \beta)\eta L > \rho$  this is (14.30), and it is necessary and sufficient for the equilibrium of the proposition. ■

With  $\lambda = 2$ ,  $\eta = 0.15$ ,  $\beta = 1/2$ ,  $L = 1$ ,  $\rho = 0.05$ :  $L_R^* = 0.333$ ,  $g^* = 0.0347$ , and the upper bound is 0.194 against  $\lambda(1 - \beta)\eta L = 0.15$ .

(b)  $\log \lambda$  versus  $\lambda - 1$ . The two models average in different places.

In Section 14.1 there is a continuum of machine lines. In an interval  $dt$  a fraction  $z dt$  of them innovate, each multiplying its quality by  $\lambda$ , so the *arithmetic average*  $Q = \int_0^1 q d\nu$  grows deterministically at

$$\frac{\dot{Q}}{Q} = (\lambda - 1)z,$$

and since output is linear in  $Q$ , that is the growth rate of output.

In Section 14.2 there is one line. Its quality is  $\lambda^{n(t)} q(0)$ , a pure jump process, and what obeys a law of large numbers is not  $q$  but  $\log q$ :

$$\frac{\log q(t)}{t} \rightarrow z \log \lambda.$$

The long-run growth rate of the *level* of output is governed by the geometric mean, not the arithmetic one, and Jensen's inequality gives  $\log \lambda < \lambda - 1$ . (Indeed  $E[q(t)]$  does grow at  $(\lambda - 1)z$  in the one-sector model too, but that expectation is driven by rare paths with unusually many innovations and is not the rate almost every realization exhibits.) With  $\lambda = 2$  the difference is 0.693 against 1 — a third of the growth rate.

**Exercise 14.23**

(a) *The BGP.* Since profits  $\beta qL$  and both R&D costs are proportional to  $q$ , the value function is linear,  $V(q) = vq$ . The incumbent's first-order condition (14.43) then gives  $\phi(\lambda - 1)v = 1$ , so

$$v = \frac{1}{\phi(\lambda - 1)},$$

which is (14.44). Free entry (14.41) gives  $\eta(\hat{z})\kappa v = 1$ , hence

$$\eta(\hat{z}^*) = \frac{\phi(\lambda - 1)}{\kappa} \implies \hat{z}^* = \eta^{-1}\left(\frac{\phi(\lambda - 1)}{\kappa}\right),$$

which is (14.45): unique because  $\eta$  is continuous and strictly decreasing, and strictly positive by the Inada conditions (14.34). Equating  $vq$  with (14.46),

$$r^* = \frac{\beta L}{v} - \hat{z}^* \eta(\hat{z}^*) = \phi(\lambda - 1)\beta L - \hat{z}^* \eta(\hat{z}^*),$$

which is (14.47), and the Euler equation gives (14.48). Every step is an equality, so the BGP growth rate is unique.

*Incumbent R&D is positive.* From the decomposition (14.52),

$$z^* = \frac{g^* - (\kappa - 1)\hat{z}^* \eta(\hat{z}^*)}{(\lambda - 1)\phi} > 0 \iff \phi(\lambda - 1)\beta L - [1 + \theta(\kappa - 1)]\hat{z}^* \eta(\hat{z}^*) > \rho,$$

using (14.48) — the first inequality of (14.53).

*Transversality.* Total corporate wealth is  $\int_0^1 V(\nu, t | q) d\nu = vQ(t)$ , growing at  $g^*$ , so (14.16) holds iff  $g^* < r^* = \theta g^* + \rho$ , that is  $(1 - \theta)g^* < \rho$ , which rearranges to

$$\rho > (1 - \theta)\left(\phi(\lambda - 1)\beta L - \hat{z}^* \eta(\hat{z}^*)\right),$$

the second inequality of (14.53).

(b) *Uniqueness of the dynamic path.* Suppose first that (14.43) holds everywhere. Linearity gives  $V(\nu, t | q) = v(t)q$ , and (14.43) reads  $\phi(\lambda - 1)v(t) = 1$  for all  $t$ . Differentiating,  $\dot{v}(t) = 0$ , so  $v(t) = v$  is constant. Free entry  $\eta(\hat{z}(t))\kappa v = 1$  then forces  $\hat{z}(t) = \hat{z}^*$  at every date, and (14.40) becomes

$$r(t)v = \beta L - \hat{z}^* \eta(\hat{z}^*)v,$$

so  $r(t) = r^*$  for all  $t$ . The Euler equation then gives  $g(t) = g^*$ : every variable takes its BGP value immediately.

If instead (14.43) fails on some set of lines — so that those incumbents do no incremental R&D — then (14.40) with  $z = 0$  gives a differential equation for  $\hat{z}(\nu, t | q)$  along those lines. Its unique rest point is the BGP allocation, and, exactly as in Exercise 14.5, the rest point is *unstable*: a higher  $\hat{z}$  lowers the value of incumbency, which lowers  $V(\kappa q)$ , which by free entry calls forth still more entry. Since  $\hat{z}$  is a jump variable, it must sit at the rest point. Hence there is no equilibrium other than the BGP. ■

**Exercise 14.24**

Free entry by entrants holds with equality whenever there is entry, (14.41):

$$\eta(\hat{z})V(\nu, t \mid \kappa q) = q,$$

that is, one unit of final good spent on radical R&D buys a flow rate  $\eta(\hat{z})/q$  of an innovation worth  $V(\kappa q)$ , and the two exactly offset: entrants earn zero.

Now suppose the incumbent — which currently owns a machine of quality  $q$  worth  $V(q) > 0$  — spends one unit on the same technology. With probability flow  $\eta(\hat{z})/q$  it obtains the new machine of quality  $\kappa q$  worth  $V(\kappa q)$ , *but in doing so it destroys its own existing machine*, giving up  $V(q)$ . Its net return per unit spent is therefore

$$\frac{\eta(\hat{z})}{q} [V(\kappa q) - V(q)] - 1 < \frac{\eta(\hat{z})}{q} V(\kappa q) - 1 = 0,$$

strictly negative because  $V(q) > 0$ . The incumbent therefore sets its radical R&D to zero. ■

This is Arrow's replacement effect of PROPOSITION 12.3 in general equilibrium: the incumbent values the same innovation strictly less than an entrant does, by exactly the profits it would replace, and free entry has already driven the entrant's return to zero. It also explains the structure of Section 14.3: incumbents innovate only with the *incremental* technology, which entrants cannot use and which improves rather than replaces the incumbent's own machine, so that the loss  $V(q)$  is not incurred — the incumbent moves from  $V(q)$  to  $V(\lambda q)$  instead.

**Exercise 14.25**

(a) *The problem.* Pricing machines at marginal cost gives  $x^S = \chi L$  and net output  $\chi\beta QL$ , as in Exercise 14.8. R&D absorbs  $(z + \hat{z})Q$  by (14.35), and average quality evolves by (14.51). So the planner solves

$$\max \int_0^\infty e^{-\rho t} \frac{C^{1-\theta} - 1}{1-\theta} dt \quad \text{s.t.} \quad C = [\chi\beta L - z - \hat{z}]Q, \quad \frac{\dot{Q}}{Q} = (\lambda - 1)\phi z + (\kappa - 1)f(\hat{z}),$$

writing  $f(\hat{z}) \equiv \hat{z}\eta(\hat{z})$ , which is increasing by assumption; assume it is also concave, as the congestion interpretation suggests. The current-value Hamiltonian

$$\hat{H} = \frac{([\chi\beta L - z - \hat{z}]Q)^{1-\theta} - 1}{1-\theta} + \mu Q [(\lambda - 1)\phi z + (\kappa - 1)f(\hat{z})]$$

is then concave in the controls (a concave increasing transform of a linear function, plus a concave term) and THEOREM 7.14 applies.

*The first-order conditions.* Differentiating in  $z$  and in  $\hat{z}$ ,

$$C^{-\theta} = \mu(\lambda - 1)\phi, \quad C^{-\theta} = \mu(\kappa - 1)f'(\hat{z}),$$

so the planner's entry rate solves

$$(\lambda - 1)\phi = (\kappa - 1)f'(\hat{z}^S)$$

against the market's  $(\lambda - 1)\phi = \kappa \eta(\hat{z}^*) = \kappa f(\hat{z}^*)/\hat{z}^*$ . Since  $f$  is concave with  $f(0) = 0$ ,  $f'(\hat{z}) < f(\hat{z})/\hat{z}$ , and  $\kappa > \kappa - 1$ , so

$$(\kappa - 1)f'(\hat{z}) < \kappa \frac{f(\hat{z})}{\hat{z}} \implies \hat{z}^S < \hat{z}^* :$$

the planner always chooses less entry than the market, for two reasons at once — entrants ignore the congestion they impose on other entrants ( $f' < f/\hat{z}$ ) and they count the whole step  $\kappa$  rather than the increment  $\kappa - 1$  (business stealing).

Differentiating in  $Q$  and using  $C^{-\theta} = \mu(\lambda - 1)\phi$ , the costate equation and the requirement that  $C/Q$  be constant give

$$g^S = \frac{(\lambda - 1)\phi[\chi\beta L - \hat{z}^S] + (\kappa - 1)f(\hat{z}^S) - \rho}{\theta}$$

(b) *The comparison.* Subtracting (14.48),

$$\theta(g^S - g^*) = \underbrace{(\lambda - 1)\phi\beta L(\chi - 1)}_{\text{no markup}} + \underbrace{(\kappa - 1)[f(\hat{z}^S) - \hat{z}^S f'(\hat{z}^S)]}_{\text{less entry}} + \underbrace{f(\hat{z}^*)}_{\text{entry lowers } g^*}.$$

Every term is nonnegative: the first because  $\chi > 1$ ; the second because  $f$  is concave with  $f(0) = 0$ ; the third trivially. Hence

$$g^S > g^* \quad \text{always.}$$

With  $\eta(z) = \eta_0 z^{-\gamma}$  the program confirms this at every parameter combination tried:

| $(\phi, \lambda, \kappa, \eta_0, \gamma)$ | $\hat{z}^*$ | $\hat{z}^S$ | $g^*$  | $g^S$  |
|-------------------------------------------|-------------|-------------|--------|--------|
| (0.6, 1.2, 2.0, 0.0219, 0.5)              | 0.1332      | 0.0083      | 0.0160 | 0.1105 |
| (0.6, 1.2, 3.0, 0.0150, 0.5)              | 0.1406      | 0.0156      | 0.0172 | 0.1109 |
| (0.9, 1.3, 2.0, 0.0300, 0.5)              | 0.0494      | 0.0031      | 0.0542 | 0.2604 |

*Remark.* The exercise asks for numerical examples in which the optimal growth rate is greater *or less* than the equilibrium one. The displayed identity shows the second cannot happen once  $f = \hat{z}\eta(\hat{z})$  is concave — which is needed anyway for the planner's problem to be well behaved. The intuition the exercise offers is nonetheless right as far as it goes: the planner does cut entry, and cutting entry does remove one source of growth. But in this model more entry *lowers* the equilibrium growth rate as well, through (14.48), because it shortens the incumbent's expected life and so discourages incremental innovation. Cutting entry therefore pushes both growth rates the same way, and the markup effect — worth a factor  $\chi \geq e$  — settles the comparison. A genuine example of excessive growth needs the incumbent R&D margin to be absent, as in Section 14.1 with non-drastic innovations, or a convex  $f$ .

### Exercise 14.28

*The equilibrium is unchanged.* With  $Y = \frac{1}{1-\beta} [\int_0^1 q x^{1-\beta} d\nu] L^\beta$  and marginal cost  $\psi q$ , Exercise 14.1's computation applies verbatim: demand is  $x = (q/p_x)^{1/\beta} L$ , the monopoly price is  $p_x = q$  after the normalization  $\psi = 1 - \beta$ , and

$$x(\nu, t \mid q) = L, \quad \pi(\nu, t \mid q) = \beta q(\nu, t) L.$$

Profits are exactly as in (14.8), so the value functions (14.40), the free-entry condition (14.41), the incumbent's condition (14.42), the entry rate (14.45), the growth rate (14.48) and the decomposition (14.52) are all unchanged.

*But firm size is constant.* Sales in units are  $x = L$  for *every* firm, regardless of its quality. The stochastic process (14.54) collapses: a firm's size never changes while it survives, and drops to zero when it is replaced. There are no firm-size dynamics.

*Why.* In Section 14.3 the marginal cost of a machine is  $\psi$ , independent of quality, so a better machine is cheaper per unit of quality and final good producers buy more of it:  $x = qL$ . Here the cost is  $\psi q$ , proportional to quality, so improving a machine raises its price and its cost in the same proportion and leaves the quantity untouched. Quality shows up entirely in the price, not in the quantity.

*Profits do have dynamics.* Flow profits  $\pi = \beta qL$  are proportional to quality, so for small  $\Delta t$

$$\pi(\nu, t + \Delta t) = \begin{cases} \lambda \pi(\nu, t) & \text{with probability } \phi z^* \Delta t + o(\Delta t), \\ 0 & \text{with probability } \hat{z}^* \eta(\hat{z}^*) \Delta t + o(\Delta t), \\ \pi(\nu, t) & \text{otherwise,} \end{cases}$$

exactly the process (14.54) had for sales.

*The stationary distribution.* A firm that has survived to age  $a$  has taken a  $\text{Poisson}(\phi z^* a)$  number of incremental steps, and age is exponential with rate  $\hat{z}^* \eta(\hat{z}^*)$ . Integrating,

$$\Pr[n = k] = \int_0^\infty \hat{z}^* \eta e^{-\hat{z}^* \eta a} \frac{(\phi z^* a)^k}{k!} e^{-\phi z^* a} da = (1 - p) p^k, \quad p \equiv \frac{\phi z^*}{\phi z^* + \hat{z}^* \eta(\hat{z}^*)},$$

a geometric distribution. Relative profits are  $\lambda^k$ , so

$$\Pr[\pi/\pi_0 \geq \lambda^k] = p^k = (\lambda^k)^{-\zeta}, \quad \boxed{\zeta = \frac{\log(1/p)}{\log \lambda}}$$

— a *Pareto* tail with index  $\zeta$ . With the program's parameters  $\phi z^* = 0.0400$  and  $\hat{z}^* \eta(\hat{z}^*) = 0.0080$ , giving  $p = 0.834$  and  $\zeta = 1.00$ : Zipf's law, which is what the firm-size data show.

*Remark.* This is worth separating from the exercise's main point. Random proportional growth truncated by an exponential exit hazard generates a Pareto distribution whatever the variable being grown — sales in Section 14.3, profits here. The reason the baseline model of Section 14.1 is usually described as having no firm dynamics is that its natural size measure, physical sales, is constant; measured by revenue  $p_x x = qL$  or by profits, the same power law is there.

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### Exercise 14.29

Firm  $i$  leads with marginal cost  $w/q_i$ , firm  $-i$  follows with  $w/q_{-i} \geq w/q_i$ , the two varieties are perfect substitutes, and they compete in prices.

*The unconstrained monopoly price is infinite.* Demand (14.60) is  $y = Y/p^y$ , which is *unit elastic*: revenue  $p^y y = Y$  does not depend on the price at all. Profits are therefore

$$(p^y - MC) \frac{Y}{p^y} = Y \left( 1 - \frac{MC}{p^y} \right),$$



strictly increasing in  $p^y$  without bound. An unconstrained monopolist would charge an arbitrarily high price; what pins the price down is entirely the rival.

*Bertrand.* If the leader charged  $p > w/q_{-i}$ , the follower could set a price in  $(w/q_{-i}, p)$ , capture the whole market and make a strictly positive margin — so no such  $p$  is an equilibrium. If the leader charged  $p < w/q_{-i}$  it would still capture the whole market (the follower cannot profitably match) but would earn less than at  $w/q_{-i}$ , by the monotonicity just established. Hence the unique equilibrium price is

$$p_i^y(\nu, t) = \frac{w(t)}{q_{-i}(\nu, t)}$$

■

Substituting into (14.60) gives (14.64),  $y_i = q_{-i}Y/w$ , and the profits (14.69),

$$\Pi_i = \left( \frac{w}{q_{-i}} - \frac{w}{q_i} \right) \frac{q_{-i}Y}{w} = \left( 1 - \frac{q_{-i}}{q_i} \right) Y = (1 - \lambda^{-n})Y,$$

which depend only on the technology gap  $n$  and on aggregate output. That is the feature which makes the gap the single industry-level state variable, and it is a consequence of the Cobb–Douglas aggregator (14.59): with any other elasticity the profits would depend on the levels of  $q_i$  and  $q_{-i}$  separately, and the state space would be much larger.

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### Exercise 14.30

Write  $q(\nu, t) \equiv q_i(\nu, t)$  for the leader's quality, so that the follower's is  $q_{-i} = q(\nu, t)\lambda^{-n(\nu, t)}$ . Take logarithms of (14.59) and substitute the equilibrium quantity (14.64), which is  $y(\nu, t) = q_{-i}(\nu, t)Y(t)/w(t)$ :

$$\log Y(t) = \int_0^1 \log y(\nu, t) d\nu = \int_0^1 \left[ \log q(\nu, t) - n(\nu, t) \log \lambda + \log \frac{Y(t)}{w(t)} \right] d\nu.$$

The last term does not depend on  $\nu$ , so it integrates to itself; the first is  $\log Q(t)$  by the definition (14.74); and the second integrates to  $\log \lambda$  times the mean technology gap,

$$\int_0^1 n(\nu, t) d\nu = \sum_{n=0}^{\infty} n \mu_n(t).$$

Hence

$$\log Y(t) = \log Q(t) - \log \lambda \sum_{n=0}^{\infty} n \mu_n(t) + \log Y(t) - \log w(t),$$

and cancelling  $\log Y(t)$  from both sides leaves

$$w(t) = Q(t) \lambda^{-\sum_{n=0}^{\infty} n \mu_n(t)}$$

which is (14.75). ■

*Reading the formula.* The wage is the aggregate quality index discounted by the average technology gap. Two economies with the same  $Q$  but different distributions of gaps pay different wages: the one with larger gaps has higher markups, since by (14.69) a gap of  $n$  supports a markup factor  $\lambda^n$ , and so a smaller labor share. The mean gap  $\sum n \mu_n$  is thus a sufficient statistic for the aggregate

markup in this economy, which is why competition policy here works through the *composition* of industries and not only through their R&D decisions.

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**Exercise 14.31**

By (14.81),

$$z_n^* = \max \left\{ G'^{-1} \left( \frac{\delta_{n+1}}{\omega^*} \right), 0 \right\}, \quad \delta_{n+1} \equiv v_{n+1} - v_n.$$

The first part of PROPOSITION 14.8 establishes that  $\{v_n\}_{n=0}^\infty$  is bounded and strictly increasing, hence convergent, so its increments vanish:

$$\delta_{n+1} \longrightarrow 0 \quad \text{as } n \rightarrow \infty.$$

Now use the assumption  $G'(0) > 0$  — the absence of an Inada condition at zero R&D. Since  $G'$  is strictly increasing with  $G'(0) > 0$ , the inverse  $G'^{-1}(y)$  is defined and positive only for  $y > G'(0)$ ; for  $y \leq G'(0)$  the maximum in (14.81) is attained at  $z = 0$ . Therefore

$$\delta_{n+1} \leq \omega^* G'(0) \quad \implies \quad z_n^* = 0.$$

Because  $\omega^* > 0$  and  $\delta_{n+1} \rightarrow 0$ , there exists  $n^* \geq 1$  such that  $\delta_{n+1} \leq \omega^* G'(0)$  for all  $n \geq n^*$ , and hence

$$z_n^* = 0 \quad \text{for all } n \geq n^*.$$

■

*What drives it.* Two ingredients. Flow profits  $1 - \lambda^{-n}$  are bounded above by one, so the gain from moving one more step ahead shrinks geometrically: a leader  $n$  steps ahead already captures almost the whole available markup, and step  $n+1$  adds only  $\lambda^{-n} - \lambda^{-n-1}$ . And  $G'(0) > 0$  means R&D has a strictly positive marginal cost even at zero, so an arbitrarily small benefit does not justify any effort at all. Without that assumption — with an Inada condition at zero — every leader would do some R&D, however far ahead, and there would be no  $n^*$ .

This is what makes the composition effects of Section 14.4 operative: industries that drift too far from neck-and-neck stop contributing to growth altogether, so policies that pull industries back toward  $n = 0$  can raise aggregate R&D even though they reduce the reward to leadership.

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**Exercise 14.32**

Since  $G'^{-1}$  is strictly increasing,  $z_0^* > z_1^*$  is equivalent to  $\delta_1 > \delta_2$ , where  $\delta_{n+1} = v_{n+1} - v_n$ .

*A convenient form.* Define

$$\Phi(\delta) \equiv \max_{z \geq 0} \{-\omega^* G(z) + z\delta\},$$

which is convex and nondecreasing, with  $\Phi'(\delta) = z^*(\delta)$ . Writing  $\bar{\rho} \equiv \rho + z_{-1}^* + \kappa$ , the value functions (14.78)–(14.79) become

$$\bar{\rho} v_n = (1 - \lambda^{-n}) + \Phi(\delta_{n+1}) + (z_{-1}^* + \kappa) v_0 \quad (n \geq 1),$$

$$\bar{\rho} v_0 = \Phi(\delta_1) + z_0^* (v_{-1} - v_0) + (z_{-1}^* + \kappa) v_0.$$

Subtracting consecutive equations,

$$\bar{\rho} \delta_1 = (1 - \lambda^{-1}) + \Phi(\delta_2) - \Phi(\delta_1) - z_0^* (v_{-1} - v_0), \quad \bar{\rho} \delta_2 = (\lambda^{-1} - \lambda^{-2}) + \Phi(\delta_3) - \Phi(\delta_2).$$

*The argument.* Suppose, for contradiction, that  $\delta_1 \leq \delta_2$ . Then  $\Phi(\delta_2) - \Phi(\delta_1) \geq 0$ , and  $v_{-1} \leq v_0$  by PROPOSITION 14.8 gives  $-z_0^*(v_{-1} - v_0) \geq 0$ , so

$$\bar{\rho}\delta_1 \geq 1 - \lambda^{-1}.$$

On the other hand  $\delta_3 < \delta_2$  by the part of PROPOSITION 14.9 already proved, so  $\Phi(\delta_3) \leq \Phi(\delta_2)$  and

$$\bar{\rho}\delta_2 \leq \lambda^{-1} - \lambda^{-2} = \lambda^{-1}(1 - \lambda^{-1}) < 1 - \lambda^{-1},$$

since  $\lambda > 1$ . Combining,  $\bar{\rho}\delta_2 < \bar{\rho}\delta_1$ , that is  $\delta_2 < \delta_1$  — contradicting the hypothesis. Hence

$$\boxed{\delta_1 > \delta_2 \quad \text{and therefore} \quad z_0^* > z_1^*}.$$

And  $z_0^* \geq z_{-1}^*$ . Write  $d \equiv v_0 - v_{-1} \geq 0$ . From (14.80),  $\rho v_{-1} = \Phi(d) + \kappa d$ , and from the  $v_0$  equation above,  $\rho v_0 = \Phi(\delta_1) + z_0^*(v_{-1} - v_0)$ . Subtracting,

$$(\rho + z_0^* + \kappa)d = \Phi(\delta_1) - \Phi(d).$$

If  $d > \delta_1$  the right side would be nonpositive (as  $\Phi$  is nondecreasing) while the left side is strictly positive — impossible. So  $d \leq \delta_1$ , and therefore  $z_{-1}^* = G'^{-1}(d/\omega^*) \leq G'^{-1}(\delta_1/\omega^*) = z_0^*$ . ■

*The economics.* Two forces make neck-and-neck firms the most aggressive innovators. The flow profit  $1 - \lambda^{-n}$  is concave in  $n$ , so the first step ahead is worth far more than any later one — moving from a zero markup to a markup of  $\lambda$  is a bigger prize than moving from  $\lambda^4$  to  $\lambda^5$ . And a neck-and-neck firm that fails to innovate risks its rival innovating instead, which is a loss as well as a foregone gain. This is the “escape-competition” effect, and it is the ingredient missing from the models of Sections 14.1–14.3, where the reward to innovation does not depend on how close the competitor is.

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### Exercise 14.33

(a)  $\kappa = 0$  freezes the economy. With  $\kappa = 0$  a follower can close the gap only by innovating, and by PROPOSITION 14.8 there is an  $n^*$  beyond which the leader does no R&D either. Consider the states  $n \geq n^*$ . The transition equations (14.68) with  $\kappa = 0$  and  $z_n^* = 0$  say that such an industry leaves state  $n$  only if the follower innovates, at rate  $z_{-1}^*$ . So the question is whether followers keep investing.

They do not, under the exercise’s conditions. With  $\kappa = 0$  and  $z_{-1}^* = 0$ , (14.80) gives  $\rho v_{-1} = 0$ , so  $v_{-1} = 0$ ; and the follower’s optimality condition (14.82) then requires only  $\omega^* G'(0) \geq v_0$ . When  $G'(0)$  is large enough relative to the value of being neck-and-neck — which is what the two displayed inequalities of the exercise say, once  $(1 - \lambda)$  is read as  $1 - \lambda^{-1}$ , the flow profit of a one-step leader — this holds and  $z_{-1}^* = 0$ .

Then every state  $n \geq n^*$  is *absorbing*. Industries with  $n < n^*$  keep moving up as their leaders innovate, and none ever comes back, so the stationary distribution places all its mass on  $\{n \geq n^*\}$ :

$$\mu_n^* = 0 \text{ for } n < n^*, \quad \implies \quad g^* = \log \lambda \left[ 2\mu_0^* z_0^* + \sum_{n \geq 1} \mu_n^* z_n^* \right] = 0$$

by (14.88), since  $z_n^* = 0$  wherever  $\mu_n^* > 0$ . The economy ends up with every industry a permanent monopoly, and growth ceases. ■

(b)  $\kappa > 0$  restores growth. A positive patent expiry rate makes every state transition to  $n = 0$  at rate at least  $\kappa$ , so no state is absorbing and the stationary distribution has  $\mu_0^* > 0$ . By PROPOSITION 14.9,  $z_0^* > z_n^*$  for every  $n \geq 1$ , so the industries that  $\kappa$  keeps returning to the neck-and-neck state are exactly the ones that do the most R&D, and (14.88) gives  $g^* > 0$ .

*The contrast.* In the baseline Schumpeterian model of Section 14.1 — and in the expanding variety model of Section 13.1.6 — weakening intellectual property rights unambiguously reduces growth, because the only thing patents do is deliver rents to innovators, and rents are what finance R&D. Here patents do something else as well: they entrench leads. A permanent patent lets leaders accumulate gaps so large that neither they nor their rivals have any reason to innovate, and the economy grinds to a halt. Allowing patents to expire keeps industries competitive, and competitive industries innovate hardest.

There are therefore two effects of  $\kappa$  pulling in opposite directions: the standard *disincentive* effect, which lowers  $v_{n+1} - v_n$  and hence every  $z_n^*$ , and a *composition* effect, which shifts  $\mu^*$  toward the low-gap states where R&D is intense. Part (a) is the extreme case in which the composition effect is everything. This is why the empirical finding that more competitive industries grow faster — which Sections 14.1–14.3 cannot accommodate — is consistent with step-by-step innovation.

*Remark.* The exercise as printed writes  $G'(0) < (1 - \lambda)/\rho$  and  $z^* \equiv G'^{-1}((1 - \lambda)/\rho)$ . Since  $\lambda > 1$  these are negative, and  $G'^{-1}$  of a negative number is not defined; the intended quantity is  $1 - \lambda^{-1}$ , the flow profit of a one-step leader from (14.69), which is what makes the displayed conditions comparisons of a marginal cost of R&D with a value.

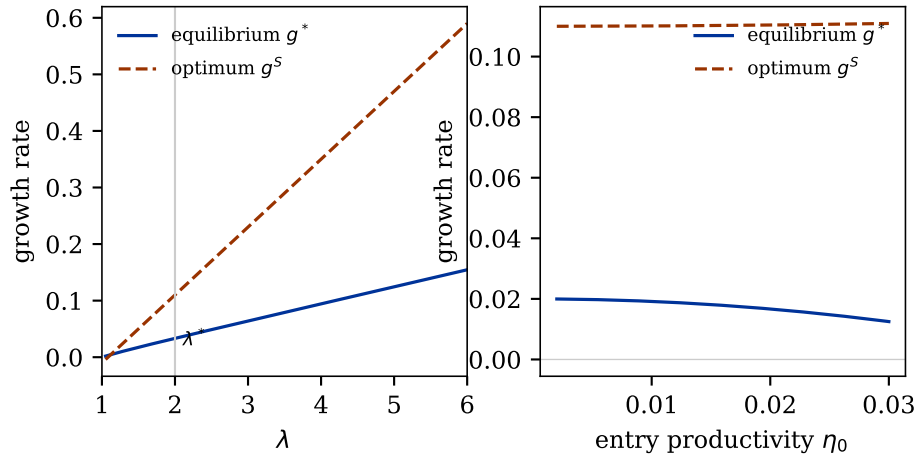


FIGURE 12. Left (Exercises 14.8 and 14.10): equilibrium and Pareto optimal growth in the baseline model of Section 14.1, against the size of a quality step. The vertical line is the drastic threshold  $\lambda^*$ ; the optimum lies above the equilibrium at every admissible  $\lambda$ . Right (Exercise 14.25): the same comparison in the model with incumbents and entrants, against the productivity of entry. More entry lowers the equilibrium growth rate, and the planner's allocation dominates throughout.

### Exercise 14.34

(a) and (b) *The value functions.* A follower who innovates — now at the flow rate  $z_{-1}$  from its own R&D, plus  $\kappa$  from patent expiry — may license the leader's technology and emerge one step *ahead*,

paying  $\zeta$  (normalized by  $Y$ , so that  $\zeta$  is measured in the same units as the  $v_n$ ). The old leader becomes the follower and receives  $\zeta$ . The normalized value functions of (14.78)–(14.80) become

$$\rho v_{-1} = \max_{z_{-1}} \left\{ -\omega^* G(z_{-1}) + (z_{-1} + \kappa) [v_1 - \zeta - v_{-1}] \right\},$$

$$\rho v_n = \max_{z_n} \left\{ (1 - \lambda^{-n}) - \omega^* G(z_n) + z_n [v_{n+1} - v_n] + (z_{-1}^* + \kappa) [v_{-1} + \zeta - v_n] \right\}, \quad n \geq 1,$$

with the neck-and-neck value (14.79) unchanged. The R&D decisions are

$$z_{-1}^* = \max \left\{ G'^{-1} \left( \frac{v_1 - \zeta - v_{-1}}{\omega^*} \right), 0 \right\}, \quad z_n^* = \max \left\{ G'^{-1} \left( \frac{v_{n+1} - v_n}{\omega^*} \right), 0 \right\},$$

and the steady state is completed by the flow equations (14.84)–(14.86), with the transition out of state  $n$  now going to state 1 rather than state 0, the labor market condition (14.87), and the growth rate (14.88).

For licensing to be used, both sides must gain relative to the no-licence outcome, which requires

$$\underbrace{v_1 - v_0}_{\text{follower's gain from leapfrogging rather than levelling}} \geq \zeta \geq \underbrace{v_{-1} \text{ forgone} - v_{-1}}_{\text{leader's loss, zero here}},$$

so any  $\zeta \in (0, \delta_1]$  is mutually acceptable: the follower pays at most the extra value of emerging ahead, and the leader — who was going to lose its lead in either case — accepts anything positive.

(c) *Why licensing raises growth.* Two channels, both operating through the composition of industries. First, licensing makes catching up *cheaper* for the follower: it obtains the leader's know-how instead of having to reproduce it, so  $z_{-1}^*$  rises and gaps close faster. Second, and more important, the state to which an industry returns is  $n = 1$  rather than  $n = 0$  — but the flow out of large gaps is faster, so the stationary distribution shifts mass toward small  $n$ , where PROPOSITION 14.9 says R&D is most intense. Since (14.88) weights each state's R&D by its share  $\mu_n^*$ , aggregate R&D and growth rise. Against this stands the usual disincentive: knowing it can be leapfrogged sooner, the leader's  $v_{n+1} - v_n$  falls and its own R&D declines. The licence fee  $\zeta$  is what limits that damage, since the leader is compensated rather than simply expropriated.

*The contrast with Exercise 12.9.* There, in a static Bertrand market, the innovator could never gain by licensing: handing a rival the same technology destroys exactly the rents licensing was supposed to monetize, and a take-it-or-leave-it fee cannot recover more than the monopoly profit the licence destroys. Two things differ here. The environment is *dynamic*: the leader is going to lose its position anyway, at rate  $z_{-1}^* + \kappa$ , so the licence sells something that has a limited life rather than a perpetual monopoly, and  $\zeta$  is a payment for rents that were partly going to evaporate. And the incentive to innovate is *state-dependent*: what matters for aggregate growth is not only how large the prize is but *where in the state space* industries spend their time, and licensing moves them to where the prize is most keenly contested. Neither feature exists in the one-shot problem of Chapter 12.

*Remark.* The same logic explains why the model can rationalize the empirical association between competition and growth. In Sections 14.1–14.3 any policy that moves rents from innovators to others reduces growth one for one. Once the reward to innovation depends on the technology gap, policies are evaluated by their effect on the *distribution* of gaps as well as on the level of rents, and the two can pull in opposite directions.

## Chapter 15

# Directed Technological Change

The twenty-one exercises of Chapter 15 left unsolved in the instructor's manual: Exercises 15.1–15.5, 15.7–15.10, 15.12–15.17, 15.21–15.23, 15.25, 15.26 and 15.30. The manual solves 15.6, 15.11, 15.18–15.20, 15.24, 15.27–15.29 and 15.31. Notation follows the book:  $\varepsilon$  is the elasticity of substitution between the two intermediate goods,  $\sigma \equiv 1 + (\varepsilon - 1)\beta$  the derived elasticity of substitution between the factors,  $\gamma \equiv \gamma_H/\gamma_L$ ,  $\eta \equiv \eta_H/\eta_L$ ,  $\delta$  the degree of state dependence in Section 15.4,  $\lambda$  the spillover parameter in Section 15.5, and  $S$  the supply of scientists. The numerical parts are computed by `code/ch15.py`.

### Exercise 15.1

With  $Y = [\gamma_L(A_LL)^{\frac{\sigma-1}{\sigma}} + \gamma_H(A_HH)^{\frac{\sigma-1}{\sigma}}]^{\frac{\sigma}{\sigma-1}}$ , differentiate in  $L$ :

$$\frac{\partial Y}{\partial L} = \frac{\sigma}{\sigma-1} [\cdot]^{\frac{\sigma}{\sigma-1}-1} \gamma_L \frac{\sigma-1}{\sigma} (A_LL)^{-\frac{1}{\sigma}} A_L = [\cdot]^{\frac{1}{\sigma-1}} \gamma_L A_L^{\frac{\sigma-1}{\sigma}} L^{-\frac{1}{\sigma}} = Y^{\frac{1}{\sigma}} \gamma_L A_L^{\frac{\sigma-1}{\sigma}} L^{-\frac{1}{\sigma}},$$

using  $[\cdot]^{1/(\sigma-1)} = Y^{1/\sigma}$ . The same computation in  $H$  gives  $\partial Y/\partial H = Y^{1/\sigma} \gamma_H A_H^{(\sigma-1)/\sigma} H^{-1/\sigma}$ , so the common factor  $Y^{1/\sigma}$  cancels in the ratio:

$$\boxed{\frac{MP_H}{MP_L} = \gamma \left(\frac{A_H}{A_L}\right)^{\frac{\sigma-1}{\sigma}} \left(\frac{H}{L}\right)^{-\frac{1}{\sigma}}, \quad \gamma \equiv \frac{\gamma_H}{\gamma_L},}$$

which is (15.1). ■

Three consequences follow by inspection, and they organize the whole chapter.

*$\sigma$  is the elasticity of substitution.* Taking logarithms,  $\log(MP_H/MP_L) = \text{const} - \sigma^{-1} \log(H/L)$ , so  $\sigma = -[\text{d} \log(MP_H/MP_L) / \text{d} \log(H/L)]^{-1}$ , as the footnote to (15.1) records. The constant-technology relative demand curve is downward sloping with slope  $-1/\sigma$ .

*Factor-augmenting is not factor-biased.* The exponent on  $A_H/A_L$  is  $(\sigma-1)/\sigma$ , so

$$\frac{\partial}{\partial(A_H/A_L)} \frac{MP_H}{MP_L} \gtrless 0 \quad \text{according as} \quad \sigma \gtrless 1.$$

*H-augmenting technological change is H-biased* only when the factors are gross substitutes. When they are gross complements it is L-biased, and when  $\sigma = 1$  it is neutral.

*Why complementarity reverses the sign.* With  $\sigma < 1$  the two factors must be used in near-fixed proportions, so raising the productivity of  $H$  creates an excess supply of  $H$ -services and an excess demand for  $L$ . In the Leontief limit  $\sigma \rightarrow 0$ , starting from  $\gamma_L A_L L = \gamma_H A_H H$ , any increase in  $A_H$  drives the price of  $H$  to zero.

**Exercise 15.2**

*The technology ratio.* If both (15.20) and (15.21) hold as equalities, dividing gives  $\eta_L V_L = \eta_H V_H$ , which is (15.26). Substituting (15.25),

$$\frac{\eta_H}{\eta_L} \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{N_H}{N_L} \right)^{-\frac{1}{\sigma}} \left( \frac{H}{L} \right)^{\frac{\sigma-1}{\sigma}} = 1 \quad \implies \quad \frac{N_H}{N_L} = \eta^\sigma \gamma^\varepsilon \left( \frac{H}{L} \right)^{\sigma-1},$$

which is (15.27).

*The growth rate.* Free entry in the  $L$  sector with  $V_L = \beta p_L^{1/\beta} L / r^*$  from (15.24) gives  $r^* = \eta_L \beta p_L^{1/\beta} L$ , so we need  $p_L$ . Condition (15.26) reads  $\eta_L p_L^{1/\beta} L = \eta_H p_H^{1/\beta} H$ , that is  $p_H = p_L (\eta_L L / \eta_H H)^\beta$ . Substituting into the price normalization (15.10), and using  $\beta(1 - \varepsilon) = -(\sigma - 1)$ ,

$$p_L^{1-\varepsilon} \left[ \gamma_L^\varepsilon + \gamma_H^\varepsilon \left( \frac{\eta_H H}{\eta_L L} \right)^{\sigma-1} \right] = 1 \quad \implies \quad p_L^{1-\varepsilon} = \frac{(\eta_L L)^{\sigma-1}}{\gamma_L^\varepsilon (\eta_L L)^{\sigma-1} + \gamma_H^\varepsilon (\eta_H H)^{\sigma-1}}.$$

Since  $1 - \varepsilon = -(\sigma - 1)/\beta$ , raising to the power  $-1/(\sigma - 1)$  gives  $p_L^{1/\beta}$ , and

$$r^* = \eta_L \beta L \cdot \frac{[\gamma_H^\varepsilon (\eta_H H)^{\sigma-1} + \gamma_L^\varepsilon (\eta_L L)^{\sigma-1}]^{\frac{1}{\sigma-1}}}{\eta_L L} = \beta [\gamma_H^\varepsilon (\eta_H H)^{\sigma-1} + \gamma_L^\varepsilon (\eta_L L)^{\sigma-1}]^{\frac{1}{\sigma-1}}.$$

The Euler equation (15.22) then gives (15.29),

$$g^* = \frac{1}{\theta} \left( \beta [\gamma_H^\varepsilon (\eta_H H)^{\sigma-1} + \gamma_L^\varepsilon (\eta_L L)^{\sigma-1}]^{\frac{1}{\sigma-1}} - \rho \right).$$

Note that  $r^*$  is symmetric in the two sectors — it is a CES aggregate of the two *effective* factor supplies  $\eta_f F$  — so the same expression would have followed from free entry in the  $H$  sector.

*The two conditions.* The first inequality in (15.28) says  $r^* > \rho$ , hence  $g^* > 0$ . The second says  $(1 - \theta)r^* < \rho$ ; since  $r^* = \theta g^* + \rho$ , this is equivalent to  $(1 - \theta)g^* < \rho$ , which makes  $\int_0^\infty e^{-\rho t} C(t)^{1-\theta} dt$  converge. It is also the transversality condition (15.23): free entry gives  $V_f = 1/\eta_f$ , so total corporate wealth is  $N_L/\eta_L + N_H/\eta_H$ , which grows at  $g^*$ , and (15.23) requires  $g^* < r^*$  — the same inequality.

*Both free-entry conditions bind.* Suppose one were slack, say  $\eta_H V_H < 1$ , so that  $Z_H = 0$  and  $N_H$  were constant while  $N_L$  grew. Then  $N_H/N_L$  would fall without bound, and by (15.25)  $V_H/V_L$  would rise without bound, so  $\eta_H V_H$  would eventually exceed  $\eta_L V_L = 1$  — a contradiction. Hence in a BGP both hold with equality, and (15.27) is the unique relative technology. ■

**Exercise 15.3**

By (15.25),

$$\frac{V_H(t)}{V_L(t)} = \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{N_H(t)}{N_L(t)} \right)^{-\frac{1}{\sigma}} \left( \frac{H}{L} \right)^{\frac{\sigma-1}{\sigma}},$$

which is *strictly decreasing* in  $N_H/N_L$ , whatever  $\sigma$ : a larger stock of  $H$ -augmenting machines lowers the relative value of inventing one more, because the intermediate good  $Y_H$  becomes relatively cheap.

Suppose  $N_H(0)/N_L(0) < (N_H/N_L)^*$  as given by (15.27). Then

$$\eta_H V_H(0) > \eta_L V_L(0),$$

so the two free-entry conditions (15.20)–(15.21) cannot both hold as equalities: the one that binds is the  $H$  condition,  $\eta_H V_H = 1$ , and  $\eta_L V_L < 1$ . Hence  $Z_H(t) > 0$  and  $Z_L(t) = 0$ : all research is directed at  $H$ -augmenting machines. This raises  $N_H/N_L$ , which lowers  $V_H/V_L$ , until the ratio reaches  $(N_H/N_L)^*$ , at which point both conditions hold as equalities and research is split between the two sectors so as to keep the ratio there. The symmetric argument applies when  $N_H(0)/N_L(0) > (N_H/N_L)^*$ . ■

*Uniqueness.* Along the transition only one sector receives research, so the path of  $N_H/N_L$  is pinned down; the level of  $N_L + N_H$  and the split of output between consumption and R&D follow from the Euler equation and the transversality condition exactly as in Exercise 13.10.

*Remark.* The dynamics are unusually simple: the relative technology moves monotonically and the economy specializes completely in one direction of research until balance is restored. That is a consequence of the lab-equipment specification, in which the two research technologies are perfectly substitutable uses of the final good. Exercise 15.11 shows that with knowledge spillovers and enough state dependence the same comparison can instead be *destabilizing*, sending  $N_H/N_L$  to zero or infinity.

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#### Exercise 15.4

Substitute (15.27) into the constant-technology relative wage (15.19):

$$\omega^* = \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{N_H}{N_L} \right)^{\frac{\sigma-1}{\sigma}} \left( \frac{H}{L} \right)^{-\frac{1}{\sigma}} = \gamma^{\frac{\varepsilon}{\sigma}} \left[ \eta^\sigma \gamma^\varepsilon \left( \frac{H}{L} \right)^{\sigma-1} \right]^{\frac{\sigma-1}{\sigma}} \left( \frac{H}{L} \right)^{-\frac{1}{\sigma}}.$$

Collecting the exponents: on  $\eta$ ,  $\sigma \cdot \frac{\sigma-1}{\sigma} = \sigma - 1$ ; on  $\gamma$ ,  $\frac{\varepsilon}{\sigma} + \frac{\varepsilon(\sigma-1)}{\sigma} = \varepsilon$ ; and on  $H/L$ ,

$$\frac{(\sigma-1)^2}{\sigma} - \frac{1}{\sigma} = \frac{\sigma^2 - 2\sigma}{\sigma} = \sigma - 2.$$

Hence

$$\boxed{\omega^* = \eta^{\sigma-1} \gamma^\varepsilon \left( \frac{H}{L} \right)^{\sigma-2}}$$

which is (15.30). ■

The exponent  $\sigma - 2$  is the whole content of PROPOSITION 15.4. It exceeds the constant-technology exponent  $-1/\sigma$  for every  $\sigma > 0$ , since  $\sigma - 2 + 1/\sigma = (\sigma - 1)^2/\sigma \geq 0$ : the endogenous-technology relative demand curve is always *shallower* than the constant-technology one, which is PROPOSITION 15.3. And it is positive — an upward-sloping relative demand curve — exactly when  $\sigma > 2$ .

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#### Exercise 15.5

Write  $A_f \equiv \eta_f F$  for the effective supply of factor  $f$  and

$$r^* = \beta R, \quad R \equiv [\gamma_H^\varepsilon A_H^{\sigma-1} + \gamma_L^\varepsilon A_L^{\sigma-1}]^{\frac{1}{\sigma-1}},$$

and recall  $\gamma_L + \gamma_H = 1$ , so raising  $\gamma = \gamma_H/\gamma_L$  means raising  $\gamma_H$  and lowering  $\gamma_L$ . Then

$$\frac{\partial R^{\sigma-1}}{\partial \gamma_H} = \varepsilon [\gamma_H^{\varepsilon-1} A_H^{\sigma-1} - \gamma_L^{\varepsilon-1} A_L^{\sigma-1}],$$



and since  $R = (R^{\sigma-1})^{1/(\sigma-1)}$ ,

$$\operatorname{sgn} \frac{\partial g^*}{\partial \gamma_H} = \operatorname{sgn}(\sigma - 1) \cdot \operatorname{sgn} \left[ \gamma_H^{\varepsilon-1} A_H^{\sigma-1} - \gamma_L^{\varepsilon-1} A_L^{\sigma-1} \right].$$

*A cleaner statement.* Let  $s_H \equiv \gamma_H^\varepsilon A_H^{\sigma-1} / [\gamma_H^\varepsilon A_H^{\sigma-1} + \gamma_L^\varepsilon A_L^{\sigma-1}]$  be the  $H$  sector's share of the aggregate inside  $R$ . Then the bracket is positive if and only if  $s_H/\gamma_H > s_L/\gamma_L$ , that is if and only if  $s_H > \gamma_H$ . So

$$\frac{\partial g^*}{\partial \gamma} > 0 \iff \text{either } \sigma > 1 \text{ and } s_H > \gamma_H, \text{ or } \sigma < 1 \text{ and } s_H < \gamma_H.$$

Recall  $\operatorname{sgn}(\sigma - 1) = \operatorname{sgn}(\varepsilon - 1)$ . With  $\beta = 1/2$ ,  $\eta_H H = \eta_L L$  the program gives

| $\varepsilon$ | $\gamma_H$ | $s_H$ | $s_H > \gamma_H$ | $\partial r^*/\partial \gamma_H$ |
|---------------|------------|-------|------------------|----------------------------------|
| 0.5           | 0.2        | 0.333 | yes              | -0.257                           |
| 0.5           | 0.8        | 0.667 | no               | +0.257                           |
| 2.0           | 0.2        | 0.059 | no               | -0.816                           |
| 2.0           | 0.8        | 0.941 | yes              | +0.816                           |

*Why it is ambiguous.* The growth rate is driven by the interest rate, which is the return to R&D, and in a BGP that return is the same in both sectors. Raising  $\gamma_H$  shifts demand from  $Y_L$  to  $Y_H$ : it raises the profitability of  $H$ -research and lowers that of  $L$ -research. Whether the common return rises depends on which sector was contributing more — and on whether the two are substitutes or complements. With gross substitutes ( $\sigma > 1$ ) the aggregate is dominated by the *larger* sector, so tilting weight toward a sector that already accounts for more than its weight raises  $r^*$ . With gross complements the aggregate is dominated by the *smaller* sector — the bottleneck — so the same tilt lowers it. There is nothing special about  $\gamma$  here: it is the familiar fact that a CES aggregate responds to a reweighting in a direction that depends on the elasticity.

### Exercise 15.7

Under (15.31), one scientist employed on  $L$ -augmenting research generates new machine varieties at the flow rate

$$\frac{\partial \dot{N}_L(t)}{\partial S_L(t)} = \eta_L N_L(t)^{\frac{1+\delta}{2}} N_H(t)^{\frac{1-\delta}{2}},$$

each worth  $V_L(t)$  by (15.8). Her cost is the market wage of scientists,  $w_S(t)$ . With free entry into research, the value of hiring one more scientist cannot be strictly positive, and must be exactly zero wherever research is actually undertaken:

$$\eta_L N_L^{\frac{1+\delta}{2}} N_H^{\frac{1-\delta}{2}} V_L(t) \leq w_S(t), \quad \text{with equality if } S_L(t) > 0,$$

which is (15.33), and symmetrically (15.34) with the exponents interchanged.

*Intuition.* Scientists are a *scarce* factor with a single market wage, so the two research sectors bid against each other for them. In any equilibrium with research in both directions their marginal value products must be equal, and equal to  $w_S$ . What differs between the two conditions is only the productivity term, and there the exponents matter: with  $\delta = 0$  both frontiers carry  $(N_L N_H)^{1/2}$ , so

the stock of knowledge helps the two sectors equally and drops out of the comparison; with  $\delta > 0$  a large  $N_L$  makes  $L$ -research more productive than  $H$ -research, so past research in a direction makes further research in the same direction cheaper. That is the state dependence, and it is what distinguishes this section from the lab-equipment model, where the frontier (15.7) carries no  $N$  at all.

### Exercise 15.8

Dividing (15.33) by (15.34), both holding as equalities, the wage  $w_S$  cancels and the half-powers combine:

$$\frac{\eta_L N_L^{\frac{1+\delta}{2}} N_H^{\frac{1-\delta}{2}} V_L}{\eta_H N_L^{\frac{1-\delta}{2}} N_H^{\frac{1+\delta}{2}} V_H} = 1 \quad \implies \quad \eta_L N_L^\delta V_L = \eta_H N_H^\delta V_H,$$

and in a BGP  $V_f = \pi_f/r^*$ , giving (15.35):  $\eta_L N_L^\delta \pi_L = \eta_H N_H^\delta \pi_H$ .

Now  $\pi_H/\pi_L = V_H/V_L$  is given by (15.25), so

$$\frac{1}{\eta} \left( \frac{N_L}{N_H} \right)^\delta = \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{N_H}{N_L} \right)^{-\frac{1}{\sigma}} \left( \frac{H}{L} \right)^{\frac{\sigma-1}{\sigma}} \quad \implies \quad \left( \frac{N_H}{N_L} \right)^{\frac{1-\delta\sigma}{\sigma}} = \eta \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{H}{L} \right)^{\frac{\sigma-1}{\sigma}},$$

using  $\frac{1}{\sigma} - \delta = \frac{1-\delta\sigma}{\sigma}$ . Raising both sides to the power  $\sigma/(1-\delta\sigma)$ ,

$$\left( \frac{N_H}{N_L} \right)^* = \eta^{\frac{\sigma}{1-\delta\sigma}} \gamma^{\frac{\varepsilon}{1-\delta\sigma}} \left( \frac{H}{L} \right)^{\frac{\sigma-1}{1-\delta\sigma}}$$

which is (15.36), and reduces to (15.27) at  $\delta = 0$ . ■

Substituting into (15.19) and collecting exponents exactly as in Exercise 15.4 gives (15.37), with the relative wage exponent  $\frac{\sigma-2+\delta}{1-\delta\sigma}$ ; strong bias therefore requires only  $\sigma > 2 - \delta$ , which is PROPOSITION 15.8. The sign of  $1 - \delta\sigma$  is what decides whether an increase in  $N_H/N_L$  raises or lowers the relative incentive to do more  $H$ -research, and hence whether the dynamics are stable — the subject of PROPOSITION 15.6.

### Exercise 15.9

*The scientist allocation.* A BGP requires both technologies to grow at the same rate. From (15.31),

$$\frac{\dot{N}_L}{N_L} = \eta_L \left( \frac{N_H}{N_L} \right)^{\frac{1-\delta}{2}} S_L, \quad \frac{\dot{N}_H}{N_H} = \eta_H \left( \frac{N_H}{N_L} \right)^{-\frac{1-\delta}{2}} S_H,$$

so equality gives

$$\frac{S_H}{S_L} = \frac{\eta_L}{\eta_H} \left( \frac{N_H}{N_L} \right)^{1-\delta},$$

with  $N_H/N_L$  pinned down by (15.36). Together with  $S_L + S_H = S$  this determines  $(S_L^*, S_H^*)$  uniquely, and substituting (15.36) gives (15.38).

*The growth rate.* Substituting  $S_L^* = S\eta_H/[\eta_H + \eta_L(N_H/N_L)^{1-\delta}]$  into  $\dot{N}_L/N_L$  and multiplying numerator and denominator by  $(N_H/N_L)^{\delta-1}$ ,

$$g^* = \frac{\eta_L \eta_H (N_H/N_L)^{\frac{\delta-1}{2}}}{\eta_H (N_H/N_L)^{\delta-1} + \eta_L} S$$

which is (15.39). It is unique because  $N_H/N_L$  is, and strictly positive.

*Transversality.* In a BGP the profits  $\pi_f$  are constant, so  $V_f = \pi_f/r^*$  is constant and total corporate wealth  $N_L V_L + N_H V_H$  grows at  $g^*$ . Condition (15.23) therefore requires  $g^* < r^* = \theta g^* + \rho$ , that is  $(1 - \theta)g^* < \rho$ , which is exactly the hypothesis of PROPOSITION 15.5; the same inequality makes utility finite. ■

Note the structural difference from Section 15.3: there the growth rate was the interest rate divided by  $\theta$  and depended on the *levels*  $\eta_f F$ ; here it is proportional to the supply of scientists  $S$  and does not involve  $\theta$  at all, because the R&D input is a scarce factor rather than final output. What  $\theta$  now determines is the interest rate, not the growth rate.

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### Exercise 15.10

From Exercise 15.9,  $S_H^*/S_L^* = \eta^{-1}(N_H/N_L)^{1-\delta}$ , and substituting (15.36) the elasticity with respect to  $\eta$  is

$$\frac{d \log(S_H^*/S_L^*)}{d \log \eta} = -1 + \frac{\sigma(1 - \delta)}{1 - \delta\sigma} = \frac{-(1 - \delta\sigma) + \sigma(1 - \delta)}{1 - \delta\sigma} = \boxed{\frac{\sigma - 1}{1 - \delta\sigma}}$$

Assuming  $\sigma < 1/\delta$ , so that the denominator is positive and the dynamics are stable by PROPOSITION 15.6, this is positive if and only if  $\sigma > 1$ . The program confirms it: with  $\beta = 1/2$ ,  $\delta = 0.3$ ,  $H/L = 0.5$ ,

| $\varepsilon$        | $\sigma$ | $\eta = 0.8$    | $\eta = 1.0$ | $\eta = 1.25$ |
|----------------------|----------|-----------------|--------------|---------------|
| 0.4 ( $\sigma < 1$ ) | 0.70     | $S_H^* = 0.567$ | 0.546        | 0.525         |
| 2.0 ( $\sigma > 1$ ) | 1.50     | $S_H^* = 0.344$ | 0.391        | 0.441         |

*Interpretation.* Two forces act, and the elasticity above is their sum. A higher  $\eta_H$  makes each  $H$ -scientist more productive, so *fewer* of them are needed to sustain any given growth rate of  $N_H$ : that is the  $-1$ . But it also raises the equilibrium stock  $N_H/N_L$ , by (15.36), and with state dependence a larger  $N_H$  makes further  $H$ -research more productive still: that is the  $+\sigma(1 - \delta)/(1 - \delta\sigma)$ .

Which dominates turns on  $\sigma$  because  $\sigma$  governs what happens to the price  $p_H$  as  $N_H$  expands. With gross substitutes the expansion of  $Y_H$  depresses  $p_H$  only mildly, so the profitability of  $H$ -research survives and scientists are drawn in. With gross complements the expansion depresses  $p_H$  sharply — the economy needs the two intermediates in near-fixed proportions, so producing more  $Y_H$  is of little use — and the improved research technology is more than offset: fewer scientists work on  $H$ . The same reversal is behind (15.1)'s distinction between factor-augmenting and factor-biased technological change.

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### Exercise 15.12

Weak equilibrium bias requires that an increase in  $H/L$  move  $(A_H/A_L)^{(\sigma-1)/\sigma}$  upward, where the factor-augmenting technologies are  $A_f \propto N_f$ . By (15.1) this is

$$\frac{d}{d \log(H/L)} \left[ \frac{\sigma - 1}{\sigma} \log \frac{N_H}{N_L} \right] \geq 0.$$

From (15.36),

$$\frac{d \log(N_H/N_L)}{d \log(H/L)} = \frac{\sigma - 1}{1 - \delta\sigma},$$

so the quantity to be signed is

$$\frac{\sigma - 1}{\sigma} \cdot \frac{\sigma - 1}{1 - \delta\sigma} = \boxed{\frac{(\sigma - 1)^2}{\sigma(1 - \delta\sigma)} \geq 0}$$

whenever  $1 - \delta\sigma > 0$ , with equality only at  $\sigma = 1$ . ■

The square is the point. Whether  $\sigma$  is above or below one changes *both* the direction in which  $N_H/N_L$  responds to  $H/L$  and the direction in which  $N_H/N_L$  shifts the relative marginal product — and the two reversals cancel. That is why weak bias is so robust: it holds in the lab-equipment model (PROPOSITION 15.3), with state dependence (PROPOSITION 15.7), and without scale effects (PROPOSITION 15.9), for every parameter value. Economically, it is the statement that the market size effect always dominates the price effect: a factor that becomes more abundant is a larger market for the technologies that complement it, and that is what directs research.

### Exercise 15.13

*The planner's problem.* Pricing machines at marginal cost gives  $x_f^S = (1 - \beta)^{-1/\beta} p_f^{1/\beta} F$  as in Exercise 15.6, and consumption is then a function  $C(N_L, N_H)$  of the two technology stocks alone — the R&D input is scientists, not output. The planner chooses the split  $S_L \in [0, S]$ , with  $S_H = S - S_L$ , to maximize (15.2) subject to (15.31). The current-value Hamiltonian is

$$\hat{H} = \frac{C(N_L, N_H)^{1-\theta} - 1}{1-\theta} + \mu_L \eta_L N_L^{\frac{1+\delta}{2}} N_H^{\frac{1-\delta}{2}} S_L + \mu_H \eta_H N_L^{\frac{1-\delta}{2}} N_H^{\frac{1+\delta}{2}} S_H.$$

*The allocation of scientists.*  $\hat{H}$  is linear in  $S_L$ , so an interior optimum requires the two coefficients to be equal:

$$\mu_L \eta_L N_L^\delta = \mu_H \eta_H N_H^\delta, \quad (\text{P})$$

which has exactly the form of the market condition (15.35) — but with the *shadow* values  $\mu_f$  in place of the private values  $V_f$ .

*The costates.* Writing  $\nu \equiv N_H/N_L$ ,  $g$  for the common growth rate and  $\Xi \equiv \mu_L \dot{N}_L + \mu_H \dot{N}_H$ , differentiation gives

$$\rho \mu_L - \dot{\mu}_L = C^{-\theta} C_{N_L} + \frac{1+\delta}{2} \frac{\mu_L \dot{N}_L}{N_L} + \frac{1-\delta}{2} \frac{\mu_H \dot{N}_H}{N_L},$$

and symmetrically for  $N_H$ . The two terms after the first are what the market ignores: they are the value of the *spillovers* that a larger  $N_L$  confers on future research in both sectors.

*The comparison.* In a stationary allocation  $\mu_H/\mu_L$  is constant, so  $\dot{\mu}_L/\mu_L = \dot{\mu}_H/\mu_H$ , and subtracting the two costate equations gives

$$\frac{C^{-\theta} C_{N_H}}{\mu_H} - \frac{C^{-\theta} C_{N_L}}{\mu_L} = \frac{1-\delta}{2} g \left[ \frac{S_H^S}{S_L^S} - \frac{S_L^S}{S_H^S} \right].$$

The market's counterpart is simply  $\pi_H/V_H = \pi_L/V_L = r^*$ , whose right-hand side is zero. The planner's condition therefore differs from the market's by the bracketed spillover term, which vanishes only in the knife-edge cases  $\delta = 1$  or  $S_H^S = S_L^S$ . Hence the stationary Pareto optimal ratio  $(N_H/N_L)^S$  differs from the equilibrium (15.36). ■

*Why this differs from Section 15.3.* There the innovation possibilities frontier (15.7) is  $\dot{N}_f = \eta_f Z_f$ : linear in resources, with no dependence on the existing stocks of knowledge. A unit of R&D spending in either sector creates exactly  $\eta_f$  new varieties, whatever has been discovered before, so the *only* wedge between private and social returns is the monopoly markup — and that markup is the same constant  $1/(1 - \beta)$  in both sectors, so it cancels in the ratio. The planner accumulates faster than the market (Exercise 15.6) but in the same proportions, and the optimal ratio is again (15.27).

With knowledge spillovers there is a second wedge, and it does *not* cancel: a unit of  $L$ -research raises the productivity of future research in both sectors, and by different amounts unless  $\delta = 0$  makes the two frontiers carry the same  $(N_L N_H)^{1/2}$ . Even then — as the displayed condition shows — the terms cancel only if the two sectors employ equal numbers of scientists. The direction of technological change is therefore inefficient here in a way it is not in the lab-equipment model, and the inefficiency is greater the larger is  $\delta$ .

### Exercise 15.14

With the limited-spillover frontier (15.40),  $\dot{N}_f = \eta_f N_f^\lambda S_f$ , the growth rate of each technology is

$$\frac{\dot{N}_f(t)}{N_f(t)} = \eta_f N_f(t)^{\lambda-1} S_f(t).$$

In a BGP the left side is constant, and a constant fraction of the population works in research, so  $S_f(t)$  grows at the population growth rate  $n$ . Taking logarithms and differentiating,

$$0 = (\lambda - 1)g_N + n \quad \implies \quad \boxed{g^* = g_N = \frac{n}{1 - \lambda}}$$

which is (15.41), requiring  $\lambda < 1$ . ■

Output per capita is  $Y/L \propto N$ , so it grows at  $n/(1 - \lambda)$  too, while aggregate output grows at  $n/(1 - \lambda) + n$ . This is exactly the mechanism of Section 13.3: with  $\lambda < 1$  research becomes harder as the stock of knowledge grows, and only a growing population of researchers can keep the growth rate from falling. The growth rate depends on demography and on  $\lambda$  alone — not on  $S$ ,  $\eta_f$ ,  $\beta$  or policy — so the model is semi-endogenous.

### Exercise 15.15

With  $\lambda = 1$  the frontier (15.40) becomes  $\dot{N}_f/N_f = \eta_f S_f(t)$ . In a BGP the allocation of researchers between the two sectors is constant *as a share*, so  $S_f(t) = s_f S(t)$  with  $s_f$  constant, and the research population grows with total population at the rate  $n > 0$ :

$$\frac{\dot{N}_f(t)}{N_f(t)} = \eta_f s_f S(0) e^{nt} \longrightarrow \infty.$$

The growth rate of technology — and hence of output and consumption — increases without bound, so it cannot be constant: there is no BGP. ■

In fact the situation is worse than a missing BGP. Since  $d \log N / dt$  grows exponentially,  $\log N(t)$  grows like  $e^{nt}$  and  $N(t)$  reaches infinity in finite time, so household utility is infinite and no equilibrium with a well-defined intertemporal allocation exists. This is the same explosion the text

warns about in Section 13.3, and it is precisely why  $\lambda < 1$  is imposed: with proportional spillovers, population growth compounds on itself.

The case  $\lambda = 1$  with *constant* population is the model of Section 15.4 with extreme state dependence ( $\delta = 1$ ), which does have a BGP — the difference being that there the research force is fixed at  $S$  rather than growing.

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### Exercise 15.16

(15.42). With (15.40), a scientist in sector  $f$  produces  $\eta_f N_f^\lambda$  varieties per unit time, so the free-entry conditions are  $\eta_f N_f(t)^\lambda V_f(t) \leq w_S(t)$  with equality when  $S_f > 0$ . Dividing the two,

$$\eta_L N_L^\lambda V_L = \eta_H N_H^\lambda V_H.$$

In a BGP, profits grow at the rate of population growth  $n$  (the market for each machine is the factor supply), so  $V_f = \pi_f / (r^* - n)$  by the argument of Exercise 13.18; the common denominator cancels and

$$\eta_L N_L^\lambda \pi_L = \eta_H N_H^\lambda \pi_H$$

which is (15.42), the analogue of (15.35) with  $\lambda$  in place of  $\delta$ .

(15.43). Substituting  $\pi_H / \pi_L$  from (15.25) and solving, exactly as in Exercise 15.8 with  $\delta$  replaced by  $\lambda$ ,

$$\left( \frac{N_H}{N_L} \right)^* = \eta^{\frac{\sigma}{1-\lambda\sigma}} \gamma^{\frac{\epsilon}{1-\lambda\sigma}} \left( \frac{H}{L} \right)^{\frac{\sigma-1}{1-\lambda\sigma}}$$

which is (15.43); and substituting into (15.19) gives (15.44), with relative-wage exponent  $(\sigma - 2 + \lambda)/(1 - \lambda\sigma)$ . ■

*What the section establishes.* The exponent structure is identical to Section 15.4 with  $\lambda$  playing the role of  $\delta$ , even though the growth rate is now  $n/(1 - \lambda)$  and carries no scale effect at all. The market size effect that governs the *direction* of technological change and the scale effect that governs its *rate* are therefore entirely separable: one can remove the counterfactual scale effect without touching the weak and strong bias results. That is the point of the section, and it matters because the scale effect is the most criticized feature of endogenous growth models while the bias results are the ones the chapter is trying to defend.

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### Exercise 15.17

(a) *Equilibrium.* Labor market clearing is now

$$H^E(t) + H_L^R(t) + H_H^R(t) \leq H, \quad L^E(t) + L_L^R(t) + L_H^R(t) \leq L,$$

and both research sectors combine the two factors with the same constant-returns technology  $\mathcal{R}(H^R, L^R)$ . Let

$$c(w_L(t), w_H(t))$$

be the unit cost function of that technology — the cost of one unit of “research input”. Since  $\mathcal{R}$  is the same in both sectors,  $c$  is too. The free-entry conditions replace  $w_S$  in (15.33)–(15.34) by  $c$ :

$$\eta_L N_L^{\frac{1+\delta}{2}} N_H^{\frac{1-\delta}{2}} V_L(t) \leq c(w_L, w_H), \quad \eta_H N_L^{\frac{1-\delta}{2}} N_H^{\frac{1+\delta}{2}} V_H(t) \leq c(w_L, w_H),$$

each with equality when the corresponding research activity is positive. An equilibrium is a path of consumption, machine prices and quantities, technologies, research inputs and factor prices satisfying these together with (15.10), (15.19), (15.22) and (15.23).

(b) *The BGP.* Dividing the two free-entry conditions, the common cost  $c$  cancels exactly as  $w_S$  did, leaving

$$\eta_L N_L^\delta V_L = \eta_H N_H^\delta V_H,$$

which is (15.35). Hence *the relative technology is again* (15.36), with  $H/L$  replaced by the ratio of the factors actually employed in final good production,

$$\left(\frac{N_H}{N_L}\right)^* = \eta^{\frac{\sigma}{1-\delta\sigma}} \gamma^{\frac{\varepsilon}{1-\delta\sigma}} \left(\frac{H^E}{L^E}\right)^{\frac{\sigma-1}{1-\delta\sigma}},$$

and  $H^E/L^E$  is itself determined by the research sector's factor demands at the equilibrium  $w_H/w_L$ . The growth rate is determined as in Exercise 15.9, with the quantity of research input replacing  $S$ .

(c) *Bias.* Since the relative technology condition is unchanged in form, the derivations of Exercises 15.4 and 15.12 go through verbatim with  $H^E/L^E$  in place of  $H/L$ : weak equilibrium bias holds always, with the elasticity  $(\sigma - 1)^2/[\sigma(1 - \delta\sigma)] \geq 0$ , and strong bias holds when  $\sigma > 2 - \delta$ . The analogues of PROPOSITIONS 15.3 and 15.4 therefore hold.

(d) *Transitional dynamics.* The comparison driving Exercise 15.3 is unchanged:  $V_H/V_L$  is decreasing in  $N_H/N_L$ , so when  $\sigma < 1/\delta$  research is directed entirely at whichever technology is scarce until the ratio (15.36) is restored, and both conditions then hold with equality. When  $\sigma > 1/\delta$  the comparison reverses and the dynamics are divergent, as in PROPOSITION 15.6.

(e) *The optimum.* The planner's allocation is characterized as in Exercise 15.13, with the research input in place of scientists. Its first-order condition for the direction of research again takes the form  $\mu_L \eta_L N_L^\delta = \mu_H \eta_H N_H^\delta$ , and the costate equations again carry spillover terms absent from the market's. The stationary ratio therefore coincides with the lab-equipment expression (15.27) only when those terms cancel — which happens when  $\delta = 0$  *and* the two sectors employ equal research inputs, and in the knife-edge case  $\delta = 1$ . The substantive point stands either way: the *direction* of technological change is governed by (15.36), and the fact that R&D uses produced factors rather than a separate stock of scientists changes none of the bias results.

*Remark.* The exercise is a robustness check with a clear moral. What drives the direction of technological change is the comparison of the *values*  $V_L$  and  $V_H$  against research costs that are *common to the two sectors*. Anything that leaves that symmetry intact — final output as in Section 15.3, scientists as in Section 15.4, or ordinary labor as here — delivers the same relative technology condition and the same bias results. What would break them is a research technology whose factor intensity differed systematically between the two directions, which is a question the chapter does not take up.

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### Exercise 15.21

(a) Let  $H(t) = K(t)$  with  $\dot{K}/K = s_K > 0$  by (15.45), and let  $\delta < 1$ . In any BGP with research in both directions, (15.36) holds:

$$\frac{N_K(t)}{N_L(t)} = \eta^{\frac{\sigma}{1-\delta\sigma}} \gamma^{\frac{\varepsilon}{1-\delta\sigma}} \left(\frac{K(t)}{L}\right)^{\frac{\sigma-1}{1-\delta\sigma}}.$$

Since  $K(t)$  grows at  $s_K$ , the relative technology must grow at

$$\frac{d}{dt} \log \frac{N_K}{N_L} = \frac{(\sigma - 1)s_K}{1 - \delta\sigma} \neq 0 \quad \text{unless } \sigma = 1.$$

So the two technologies grow at different rates. But balanced growth with  $K$  growing requires Harrod neutrality — all technological change asymptotically labor-augmenting, that is  $\dot{N}_K = 0$ . That is incompatible with an interior BGP: with  $\delta < 1$  the free-entry conditions hold as equalities in both sectors, so  $S_K > 0$  and  $N_K$  strictly grows. Hence no BGP exists. ■

(b) Suppose consumption grew at a constant rate. By (15.22) the interest rate would then be constant. But the interest rate is the rental rate of capital, and by (15.19) with  $H = K$ ,

$$r(t) = w(t) \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{N_K(t)}{N_L(t)} \right)^{\frac{\sigma-1}{\sigma}} \left( \frac{K(t)}{L} \right)^{-\frac{1}{\sigma}},$$

so  $r$  can be constant only if  $N_K$  and  $K$  move together in a particular way. Repeating the argument of part (a), an equilibrium with research in both directions forces  $N_K(t)$  to grow without bound, and then the term in  $N_K$  drives  $r(t)$  monotonically — the capital-augmenting technological change keeps raising the marginal product of capital, offsetting the diminishing returns from capital deepening. The interest rate therefore cannot settle down, and neither can consumption growth. ■

*The economics.* PROPOSITION 15.10 is the good news: with  $\sigma < 1$  capital deepening does direct technological change toward labor, so technology becomes *relatively* labor-augmenting. PROPOSITION 15.11 is the bad news: relatively is not enough. Balanced growth, by THEOREM 2.6, needs technological change to be *purely* labor-augmenting, and as long as there is any capital-augmenting research at all the economy cannot settle down. The special case that rescues it is  $\delta = 1$ , where, as Exercise 15.22 shows, factor shares are pinned down and  $N_K$  must asymptotically stop growing.

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### Exercise 15.22

With  $\delta = 1$  the innovation possibilities frontier becomes  $\dot{N}_f/N_f = \eta_f S_f$ , and the free-entry conditions (15.33)–(15.34) reduce to

$$\eta_L N_L(t) V_L(t) = w_S(t) = \eta_K N_K(t) V_K(t).$$

In a BGP  $V_f = \pi_f/r^*$ , so the interest rate cancels and

$$\eta_L N_L \pi_L = \eta_K N_K \pi_K.$$

Now  $N_f \pi_f$  is the total profit earned by the monopolists in sector  $f$ . In each sector, profits and factor payments are in a fixed ratio: as in (13.11)–(13.13), the machine producers earn  $\beta$  per unit of quality while the factor earns  $\beta/(1 - \beta)$  per unit, so

$$N_L \pi_L = (1 - \beta) w(t) L, \quad N_K \pi_K = (1 - \beta) r(t) K(t).$$

Substituting and cancelling  $(1 - \beta)$ ,

$$\eta_L w(t) L = \eta_K r(t) K(t) \quad \implies \quad \boxed{\frac{r(t) K(t)}{w(t) L} = \frac{\eta_L}{\eta_K} = \eta^{-1}}$$

which is (15.46). ■



*Why this is the decisive equation.* It says that with extreme state dependence, directed technological change pins the *factor shares* of national income at a constant determined purely by the relative productivity of the two research technologies. Constant factor shares together with capital deepening is exactly the configuration that forces Harrod neutrality: by (15.19),

$$\frac{rK}{wL} = \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{N_K}{N_L} \right)^{\frac{\sigma-1}{\sigma}} \left( \frac{K}{L} \right)^{\frac{\sigma-1}{\sigma}},$$

so constancy of the left side requires  $N_K K / N_L L$  to be constant, that is

$$\frac{\dot{N}_L}{N_L} - \frac{\dot{N}_K}{N_K} = s_K,$$

which is (15.47). Combined with Exercise 15.23's expression for the interest rate, this forces  $N_K$  itself to be asymptotically constant, so that all long-run technological change is labor-augmenting. The model therefore *derives* the assumption that growth theory has had to impose since THEOREM 2.6.

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### Exercise 15.23

The rental rate of capital is its marginal value product in the  $K$ -intensive sector. With machines priced at the monopoly markup, the derived production function of that sector is  $Y_K = \frac{1}{1-\beta} N_K p_K^{(1-\beta)/\beta} K$ , so by the same computation that gives (13.13),

$$r(t) = \frac{\beta}{1-\beta} p_K(t)^{1/\beta} N_K(t).$$

It remains to express  $p_K$  in terms of quantities. Final good producers equate the ratio of marginal products of the two intermediates to their relative price; using (15.3) and substituting the sectoral outputs  $Y_f = \frac{1}{1-\beta} N_f p_f^{(1-\beta)/\beta} F$ , together with the price normalization (15.10), one obtains after collecting exponents

$$r(t) = \beta \gamma_K N_K(t) \left[ \gamma_L \left( \frac{N_L(t)L}{N_K(t)K(t)} \right)^{\frac{\sigma-1}{\sigma}} + \gamma_K \right]^{\frac{1}{\sigma-1}}$$

which is (15.48). ■

*Reading it.* The interest rate is the product of two objects: the level of capital-augmenting technology  $N_K(t)$ , and a term depending only on the *ratio*  $N_L L / N_K K$  of the two effective factor supplies. That separation is what completes the argument of PROPOSITION 15.12. A BGP requires  $r$  constant; (15.47) already requires  $N_L L / N_K K$  to be constant, so the bracket is constant; therefore  $N_K(t)$  must be constant too. And if  $N_K$  is constant while  $N_L$  grows, all long-run technological change is purely labor-augmenting.

Note also that  $r$  is *increasing* in  $N_K$ : capital-augmenting technological change raises the return to capital directly. This is the force that Exercise 15.21 showed prevents a BGP when  $\delta < 1$  — there  $N_K$  keeps growing and  $r$  never settles.

**Exercise 15.25**

With  $\delta = 1$  the two technologies evolve according to  $\dot{N}_f/N_f = \eta_f S_f$ , so

$$\frac{d}{dt} \log \frac{N_K(t)}{N_L(t)} = \eta_K S_K(t) - \eta_L S_L(t),$$

and the allocation of scientists responds to the state through the free-entry conditions. By (15.36) with  $\delta = 1$ , the relative value of  $K$ -research satisfies

$$\frac{\eta_K N_K V_K}{\eta_L N_L V_L} = \eta \gamma^{\frac{\varepsilon}{\sigma}} \left( \frac{N_K}{N_L} \right)^{\frac{\sigma-1}{\sigma}} \left( \frac{K}{L} \right)^{\frac{\sigma-1}{\sigma}},$$

whose elasticity with respect to  $N_K/N_L$  is  $(\sigma - 1)/\sigma$ .

*Stability.* If  $\sigma < 1$  this elasticity is negative: an increase in  $N_K/N_L$  makes  $K$ -research relatively *less* attractive, so scientists move toward  $L$ -research,  $\eta_K S_K - \eta_L S_L$  falls, and  $N_K/N_L$  is pushed back. The system is self-correcting, and since the feedback operates at every level of the ratio the BGP is globally stable. The additional requirement  $S_K < \eta_L S$  ensures that the rate at which capital deepens does not exceed what labor-augmenting research can offset, so that  $N_L L/N_K K$  can be held constant with  $S_L \leq S$ .

*Instability.* If  $\sigma > 1$  the elasticity is positive: more  $K$ -augmenting technology makes further  $K$ -augmenting research more profitable still, so any departure from the BGP is amplified and the economy diverges. With  $\beta = 1/2$  the program tabulates the boundary:

|               |      |      |      |      |      |
|---------------|------|------|------|------|------|
| $\varepsilon$ | 0.4  | 0.8  | 1.0  | 1.5  | 2.5  |
| $\sigma$      | 0.70 | 0.90 | 1.00 | 1.25 | 1.75 |
| stable        | yes  | yes  | no   | no   | no   |

■

*The connection to Proposition 15.6.* That proposition required  $\sigma < 1/\delta$  for stable dynamics in the general state-dependent model. Here  $\delta = 1$ , so the requirement is  $\sigma < 1$  — exactly what was found. The two results are the same statement: state dependence creates increasing returns in the direction of research, and stability requires the price effect (which operates through  $\sigma$ ) to be strong enough to offset them.

This is a fortunate coincidence for the theory, since the empirical evidence on capital-labor substitution points to  $\sigma < 1$ , which is precisely the range in which PROPOSITION 15.12's purely labor-augmenting BGP is an attractor rather than a knife edge.

**Exercise 15.26**

*The mechanism.* Impose a wage floor  $\bar{w}$  above the market-clearing wage. Employment falls to the level  $L^d$  at which the marginal product of labor equals  $\bar{w}$ , and  $L - L^d > 0$  workers are unemployed. The effective relative supply of capital to *employed* labor,  $K/L^d$ , is therefore higher than it would have been. By PROPOSITION 15.10, with  $\sigma < 1$  an increase in  $K/L^d$  directs technological change

toward labor — that is,  $N_L/N_K$  rises — and since  $\sigma < 1$  reverses augmenting into biased, labor-augmenting change is *capital-biased*: it lowers the marginal product of labor relative to capital at given factor proportions.

That is the mechanism Blanchard describes. A wage push first raises unemployment directly; the induced technological response then makes labor *less* valuable at the margin, so unemployment persists even after the initial shock has passed. The two stages have very different time scales — the employment response is immediate, the technological response accumulates over decades — which matches the European experience of a wage push in the 1970s followed by persistently high unemployment through the 1980s and 1990s.

*The two cases.* The dynamics depend on how the floor evolves.

*A constant floor  $\bar{w}$ .* Real wages grow in the long run, so a fixed nominal or real floor is eventually overtaken by the market-clearing wage and ceases to bind. Unemployment then rises on impact, persists while the induced capital-biased technological change works through, and finally disappears as growth renders the floor irrelevant. The model predicts a long but ultimately temporary episode — a hump, not a permanent shift.

*A floor growing at the economy's growth rate.* Now the constraint binds forever. The economy settles on a new path with permanently lower employment, permanently more capital-biased technology, and — by PROPOSITION 15.12 — still a constant growth rate, since the technology ratio adjusts to keep factor shares constant. Unemployment is permanent, and the induced bias makes it worse than the static effect alone would imply.

*How much light does it shed?* Some, and less than one would like. The mechanism is real and gives a reason why a shock in one decade should still be visible two decades later, which purely static models of labor market institutions do not. It also predicts the right sign for the accompanying facts: capital deepening in Europe and a rising capital share. Against that, the model treats the wage floor as exogenous, says nothing about why it was imposed or why it persisted, and — because  $\sigma$  is difficult to estimate and the model's predictions reverse at  $\sigma = 1$  — rests on an elasticity that is not securely known. The most one should claim is that directed technological change supplies a propagation mechanism that turns a transitory institutional shock into a protracted one, not that it explains the shock.

---

### Exercise 15.30

The distribution is supported on  $[y_0, \infty)$  with  $y_0 = B^{1/\alpha}$ , since  $G(y_0) = 0$ , and its density is

$$g(y) = \alpha B y^{-\alpha-1} = \alpha y_0^\alpha y^{-\alpha-1}, \quad y \geq y_0.$$

For any  $k$ ,

$$E[y^k] = \int_{y_0}^{\infty} \alpha y_0^\alpha y^{k-\alpha-1} dy = \alpha y_0^\alpha \left[ \frac{y^{k-\alpha}}{k-\alpha} \right]_{y_0}^{\infty} = \begin{cases} \frac{\alpha y_0^k}{\alpha - k} & \text{if } k < \alpha, \\ +\infty & \text{if } k \geq \alpha, \end{cases}$$

the integral diverging at the upper limit whenever  $k \geq \alpha$ . In particular

$$E[y] = \frac{\alpha y_0}{\alpha - 1} \quad (\alpha > 1), \quad E[y^2] = \frac{\alpha y_0^2}{\alpha - 2} \quad (\alpha > 2),$$

and hence, for  $\alpha > 2$ ,

$$\text{Var}[y] = \frac{\alpha y_0^2}{\alpha - 2} - \frac{\alpha^2 y_0^2}{(\alpha - 1)^2} = \frac{\alpha y_0^2}{(\alpha - 1)^2(\alpha - 2)}$$

For  $\alpha \leq 2$  the variance is infinite, and for  $\alpha \leq 1$  even the mean is. With  $B = 1$  the program tabulates

|                 |          |          |       |       |
|-----------------|----------|----------|-------|-------|
| $\alpha$        | 1.5      | 2.0      | 2.5   | 4.0   |
| $E[y]$          | 3.000    | 2.000    | 1.667 | 1.333 |
| $\text{Var}[y]$ | $\infty$ | $\infty$ | 2.222 | 0.222 |

■

*Why this matters here.* The Pareto distribution is the one that arises from random proportional growth with an exponential exit hazard — as in Exercise 14.28, and as in the models of firm size, income and city size that Part VIII returns to. Its defining feature is that the tail is thick enough that moments fail in order: the variance goes first, at  $\alpha = 2$ , and the mean at  $\alpha = 1$ . Since the empirical estimates for firm sizes and top incomes cluster near  $\alpha = 1$ , the second moment is not a usable statistic for these variables, and inequality measures built on variances (or on log variances, which is why log specifications are preferred) can be badly behaved. Exercise 15.31 exploits the same algebra to show that the conditional mean  $E[y \mid y \geq y']$  is proportional to  $y'$  — the scale invariance that makes the Pareto distribution so tractable, and so unforgiving.

## Chapter 16

# Stochastic Dynamic Programming

The five exercises of Chapter 16 left unsolved in the instructor's manual: Exercises 16.1, 16.2, 16.5, 16.6 and 16.7. The manual solves 16.3, 16.4 and 16.8–16.16. Notation follows the book:  $Z = \{z_1, \dots, z_N\}$  with  $z_1 \leq \dots \leq z_N$  is the finite state space of the Markov chain,  $q_{jj'} \equiv \Pr[z' = z_j \mid z = z_{j'}]$  its transition probabilities,  $G(x, z)$  the feasibility correspondence,  $U(x, y, z)$  the payoff,  $\pi$  the policy function, and

$$(TW)(x, z) \equiv \sup_{y \in G(x, z)} \left\{ U(x, y, z) + \beta \mathbb{E}[W(y, z') \mid z] \right\}$$

the Bellman operator of PROBLEM 16.2, which THEOREM 16.3 shows is a contraction on the space of bounded continuous functions on  $X \times Z$  with unique fixed point  $V$ .

### Exercise 16.1

Part 3 states that  $\mathbb{E}[f(z') \mid z]$  is nondecreasing in  $z$  for every nondecreasing  $f : Z \rightarrow \mathbb{R}$ . Write  $f_j \equiv f(z_j)$ , so that  $f$  nondecreasing means  $f_1 \leq f_2 \leq \dots \leq f_N$ , and fix  $j'' > j'$ .

*Sufficiency.* Abel summation (summation by parts) rewrites any expectation over the chain in terms of its tail probabilities:

$$\sum_{j=1}^N q_{jk} f_j = f_1 \sum_{j=1}^N q_{jk} + \sum_{j=2}^N (f_j - f_{j-1}) \sum_{j=j}^N q_{jk}.$$

Since  $\sum_j q_{jj''} = \sum_j q_{jj'} = 1$ , the first terms are equal, and subtracting,

$$\mathbb{E}[f(z') \mid z_{j''}] - \mathbb{E}[f(z') \mid z_{j'}] = \sum_{j=2}^N \underbrace{(f_j - f_{j-1})}_{\geq 0} \underbrace{\left[ \sum_{j=j}^N q_{jj''} - \sum_{j=j}^N q_{jj'} \right]}_{\geq 0 \text{ by hypothesis}} \geq 0.$$

*Necessity.* Take the indicator  $f(z) = \mathbf{1}\{z \geq z_{\bar{j}}\}$ , which is nondecreasing. Then  $\mathbb{E}[f(z') \mid z_k] = \sum_{j=\bar{j}}^N q_{jk}$ , and part 3 applied to this  $f$  gives precisely

$$\sum_{j=\bar{j}}^N q_{jj''} \geq \sum_{j=\bar{j}}^N q_{jj'} \quad \text{for } j'' > j'.$$

■

*What it means.* The condition says that the conditional distribution of  $z'$  given  $z_{j''}$  *first-order stochastically dominates* the conditional distribution given  $z_{j'}$  whenever  $j'' > j'$ :

$$\Pr[z' \geq z_{\bar{j}} \mid z_{j''}] \geq \Pr[z' \geq z_{\bar{j}} \mid z_{j'}] \quad \text{for all } \bar{j}.$$

A Markov chain with this property is called *monotone*. Note how much stronger it is than the requirement that the conditional *mean*  $\mathbb{E}[z' \mid z]$  be nondecreasing: the latter would follow from taking  $f(z) = z$  alone, whereas monotonicity requires the whole distribution to shift right, which

is exactly what is needed to make expectations of arbitrary nondecreasing functions — such as a value function — inherit the ordering. An i.i.d. chain satisfies it trivially with equality; a chain in which a high state today made a very low state tomorrow likely would not.

### Exercise 16.2

Fix  $x(0) \in X$ ,  $z(0) \in Z$  and a feasible plan  $\mathbf{x} \equiv \{\tilde{x}[z^t]\}_{t=0}^\infty \in \Phi(x(0), z(0))$ , and recall

$$\bar{U}(\mathbf{x} \mid x(0), z(0)) = \mathbb{E} \left[ \sum_{t=0}^{\infty} \beta^t U(\tilde{x}[z^{t-1}], \tilde{x}[z^t], z(t)) \mid z(0) \right].$$

Assumption 16.1 guarantees that this limit exists and is finite, which is what licenses the manipulations below.

*Separate the first term.* At  $t = 0$  the history is  $z^0 = (z(0))$ , so  $\tilde{x}[z^0]$  is known once  $z(0)$  is, and the date-zero payoff  $U(x(0), \tilde{x}[z^0], z(0))$  is deterministic conditional on  $z(0)$ . Hence

$$\bar{U}(\mathbf{x} \mid x(0), z(0)) = U(x(0), \tilde{x}[z^0], z(0)) + \beta \mathbb{E} \left[ \sum_{t=1}^{\infty} \beta^{t-1} U(\tilde{x}[z^{t-1}], \tilde{x}[z^t], z(t)) \mid z(0) \right].$$

*Condition on  $z(1)$ .* By the law of iterated expectations, conditioning first on the finer information set that includes  $z(1)$ ,

$$\mathbb{E} \left[ \sum_{t=1}^{\infty} \beta^{t-1} U(\cdot) \mid z(0) \right] = \mathbb{E} \left[ \mathbb{E} \left[ \sum_{t=1}^{\infty} \beta^{t-1} U(\cdot) \mid z(1) \right] \mid z(0) \right],$$

where the inner expectation may be taken conditional on  $z(1)$  alone — rather than on the whole history  $z^1 = (z(0), z(1))$  — because  $z$  is a Markov chain, so the distribution of  $(z(2), z(3), \dots)$  given  $z^1$  depends only on  $z(1)$ .

*Recognize the continuation value.* Reindex the inner sum with  $s = t - 1$ . The plan from date 1 onward,  $\{\tilde{x}[z^t]\}_{t=1}^\infty$ , is feasible from the state  $\tilde{x}[z^0]$  with shock  $z(1)$ , that is, it belongs to  $\Phi(\tilde{x}[z^0], z(1))$ , and the inner expectation is by definition  $\bar{U}(\{\tilde{x}[z^t]\}_{t=1}^\infty \mid \tilde{x}[z^0], z(1))$ . Therefore

$$\boxed{\bar{U}(\mathbf{x} \mid x(0), z(0)) = U(x(0), \tilde{x}[z^0], z(0)) + \beta \mathbb{E} \left[ \bar{U}(\{\tilde{x}[z^t]\}_{t=1}^\infty \mid \tilde{x}[z^0], z(1)) \mid z(0) \right]}$$

■

*What the lemma is for.* It is the bookkeeping identity that makes the Principle of Optimality work: it says that the value of *any* feasible plan — optimal or not — splits into today's payoff plus the discounted expected value of its own continuation. In the deterministic case (LEMMA 6.1) this is almost a tautology; here two substantive facts are being used, the law of iterated expectations and the Markov property, and Assumption 16.1 is what rules out the one thing that could go wrong, namely an interchange of limit and expectation that is not justified. Section 16.2's proof of THEOREM 16.1 appeals to the lemma at exactly the point where it needs to compare  $V^*$  with the one-period-ahead decomposition of a plan chosen  $\varepsilon$ -optimally in each state.

**Exercise 16.5**

By THEOREM 16.3 the operator  $T$  maps the space  $\mathcal{C}$  of bounded continuous functions on  $X \times Z$  into itself and is a contraction, with unique fixed point  $V$ . Let

$$\mathcal{C}' \equiv \{W \in \mathcal{C} : W(\cdot, z) \text{ nondecreasing for each } z\}, \quad \mathcal{C}'' \equiv \{W \in \mathcal{C}' : W(\cdot, z) \text{ strictly increasing}\}.$$

$\mathcal{C}'$  is a closed subset of  $\mathcal{C}$  in the sup norm, since a uniform limit of nondecreasing functions is nondecreasing.

$T$  maps  $\mathcal{C}'$  into  $\mathcal{C}''$ . Take  $W \in \mathcal{C}'$ , fix  $z$ , and let  $x < x'$  in  $X$ . By Assumption 16.4,  $G(x, z) \subset G(x', z)$ , so every  $y$  feasible at  $x$  is feasible at  $x'$  and

$$(TW)(x', z) = \sup_{y \in G(x', z)} \left\{ U(x', y, z) + \beta E[W(y, z') | z] \right\} \geq \sup_{y \in G(x, z)} \left\{ U(x', y, z) + \beta E[W(y, z') | z] \right\}.$$

Also by Assumption 16.4,  $U(\cdot, y, z)$  is *strictly* increasing in its first  $K$  arguments, so  $U(x', y, z) > U(x, y, z)$  for every  $y$ ; and the continuation term  $\beta E[W(y, z') | z]$  does not involve  $x$  at all. Hence the last supremum strictly exceeds

$$\sup_{y \in G(x, z)} \left\{ U(x, y, z) + \beta E[W(y, z') | z] \right\} = (TW)(x, z),$$

the strictness surviving the supremum because the two objectives differ by an amount bounded below on the compact set  $G(x, z)$  (Assumption 16.2). Therefore  $TW \in \mathcal{C}''$ .

*Conclusion.* Since  $\mathcal{C}'' \subset \mathcal{C}'$  and  $\mathcal{C}'$  is closed,  $T$  maps the closed set  $\mathcal{C}'$  into itself, so by the contraction mapping theorem its unique fixed point lies in  $\mathcal{C}'$ . But  $T$  maps  $\mathcal{C}'$  into the smaller set  $\mathcal{C}''$ , and  $V = TV$ ; hence  $V \in \mathcal{C}''$ , that is,

$V(\cdot, z) \text{ is strictly increasing for each } z \in Z.$

■

The argument is word for word that of THEOREM 6.4 in the deterministic case. Nothing is added by the stochastic structure, for the simple reason that the expectation  $E[W(y, z') | z]$  is an average of values at *next* period's states and therefore does not depend on today's  $x$  except through the choice of  $y$  — which the monotonicity of  $G$  already handles.

**Exercise 16.6**

Fix  $z \in Z$  and a point  $x' \in \text{Int } X$  with  $\pi(x', z) \in \text{Int } G(x', z)$ , and write  $y' \equiv \pi(x', z)$ . Since  $G$  is continuous (Assumption 16.2) and  $y'$  is interior to  $G(x', z)$ , there is an open neighborhood  $D \subset \text{Int } X$  of  $x'$  such that

$$y' \in G(x, z) \quad \text{for every } x \in D,$$

that is, the date- $t$  choice  $y'$  remains feasible after a small perturbation of the state.

*An auxiliary function.* Define, for  $x \in D$ ,

$$W(x) \equiv U(x, y', z) + \beta E[V(y', z') | z].$$

Three properties hold.

- (1)  $W$  is concave on  $D$  and continuously differentiable there, by Assumptions 16.3 and 16.5, with

$$D_x W(x') = D_x U(x', y', z),$$

the second term being a constant in  $x$  — this is the only place the stochastic structure appears, and it appears as a constant.

- (2)  $W(x) \leq V(x, z)$  for every  $x \in D$ : the plan “choose  $y'$  today and behave optimally thereafter” is feasible at  $x$  but need not be optimal, and  $V$  is the value of the optimal plan.
- (3)  $W(x') = V(x', z)$ : at  $x'$  the choice  $y' = \pi(x', z)$  is optimal, by the definition of the policy function and (16.8).

*Benveniste–Scheinkman.* By THEOREM 16.4,  $V(\cdot, z)$  is concave on  $X$ . A concave function that is bounded below on a neighborhood of an interior point by a function differentiable at that point, with equality at the point itself, is differentiable there with the same gradient (THEOREM 6.6’s lemma; the argument is that (2) and (3) force every subgradient of  $V(\cdot, z)$  at  $x'$  to be a subgradient of  $W$  at  $x'$ , and (1) makes the latter unique). Therefore  $V(\cdot, z)$  is continuously differentiable at  $x'$  with

$$D_x V(x', z) = D_x W(x') = D_x U(x', \pi(x', z), z)$$

which is (16.10). ■

*Why the envelope theorem survives uncertainty.* The content of (16.10) is that, at the margin, a change in the state can be valued as if the policy were held fixed — the indirect effect through the optimal choice of  $y$  is second order. The stochastic version is no harder than the deterministic one because the perturbation is applied to today’s state only, and the entire continuation value  $\beta E[V(y', z') \mid z]$  is frozen along with  $y'$ . This result is what makes the stochastic Euler equations of Section 16.3 usable: combining (16.10) with the first-order condition for  $y$  eliminates the value function and leaves a relation between marginal utilities at adjacent dates, which is (16.26).

### Exercise 16.7

Run the argument of Exercise 16.5 in the other argument. Let

$$\begin{aligned} \mathcal{D}' &\equiv \{W \in \mathcal{C} : W(x, \cdot) \text{ nondecreasing for each } x\}, \\ \mathcal{D}'' &\equiv \{W \in \mathcal{D}' : W(x, \cdot) \text{ strictly increasing for each } x\}. \end{aligned}$$

and note that  $\mathcal{D}'$  is closed in the sup norm.

$T$  maps  $\mathcal{D}'$  into  $\mathcal{D}''$ . Take  $W \in \mathcal{D}'$ , fix  $x$ , and let  $z < \tilde{z}$  in  $Z$ . Three comparisons apply, one for each part of ASSUMPTION 16.6.

- (1) *The feasible set expands.*  $G(x, z) \subset G(x, \tilde{z})$  by part 1, so the supremum in  $(TW)(x, \tilde{z})$  is taken over a larger set.
- (2) *The current payoff rises.*  $U(x, y, \tilde{z}) > U(x, y, z)$  for every  $y$ , by part 2.
- (3) *The continuation value rises.* For each fixed  $y$ , the function  $z' \mapsto W(y, z')$  is nondecreasing because  $W \in \mathcal{D}'$ ; part 3 — equivalently, by Exercise 16.1, the fact that the chain is monotone



in the first-order stochastic dominance order — then gives

$$\mathbb{E}[W(y, z') \mid \tilde{z}] \geq \mathbb{E}[W(y, z') \mid z].$$

Combining,

$$\begin{aligned} (TW)(x, \tilde{z}) &\geq \sup_{y \in G(x, z)} \left\{ U(x, y, \tilde{z}) + \beta \mathbb{E}[W(y, z') \mid \tilde{z}] \right\} \\ &> \sup_{y \in G(x, z)} \left\{ U(x, y, z) + \beta \mathbb{E}[W(y, z') \mid z] \right\} = (TW)(x, z), \end{aligned}$$

the first inequality from (1) and the strict one from (2) together with (3). Hence  $TW \in \mathcal{D}''$ .

*Conclusion.*  $T$  maps the closed set  $\mathcal{D}'$  into itself, so its unique fixed point  $V$  lies in  $\mathcal{D}'$ ; and since  $T$  in fact maps  $\mathcal{D}'$  into  $\mathcal{D}''$  and  $V = TV$ ,

$V(x, \cdot) \text{ is strictly increasing for each } x \in X.$

■

*Remark.* Part 3 of ASSUMPTION 16.6 is doing indispensable work, and it is the part with no counterpart in Chapter 6. Without it a higher  $z$  today could raise the current payoff while making low values of  $z$  tomorrow more likely, and the continuation value would fall: the value function need not be monotone in  $z$  even though the flow payoff is. Exercise 16.1 shows that what rules this out is first-order stochastic dominance of the conditional distributions, not merely a higher conditional mean — precisely because what has to inherit the ordering is the expectation of an arbitrary nondecreasing function, and only stochastic dominance delivers that for all of them at once.

## Chapter 17

# Stochastic Growth Models

The twenty-three exercises of Chapter 17 left unsolved in the instructor's manual: 17.1–17.4, 17.6, 17.8–17.12, 17.14, 17.16, 17.17, 17.19–17.21, 17.23–17.29. The manual solves 17.5, 17.7, 17.13, 17.15, 17.18, 17.22 and 17.30. The numerical parts are computed by `code/ch17.py`, which solves the Brock–Mirman problem by the endogenous grid method; Figure 13 is its output.

### Section 17.1 The Brock–Mirman Model

#### Exercise 17.1

Write the problem in terms of *cash on hand*

$$x(k, z) \equiv f(k, z) + (1 - \delta)k,$$

so that the first-order condition for  $k' = \pi(k, z)$  is

$$u'(x(k, z) - k') = \beta W_1(k', z), \quad W(k', z) \equiv E[V(k', z') \mid z]. \quad (1)$$

Both  $u$  and  $W(\cdot, z)$  are strictly concave (ASSUMPTION 3 and PROPOSITION 17.1), so  $u'' < 0$  and  $W_{11} < 0$  and the denominators below never vanish.

*Monotonicity in  $k$ .* Differentiating (1) with respect to  $k$  at fixed  $z$ ,

$$u''(x_k - \pi_k) = \beta W_{11} \pi_k \implies \pi_k = \frac{u''}{u'' + \beta W_{11}} x_k \in (0, x_k),$$

and therefore

$$\boxed{\frac{\partial \pi_c}{\partial k} = x_k - \pi_k = \frac{\beta W_{11}}{u'' + \beta W_{11}} x_k > 0}$$

whenever  $x_k = f'(k, z) + 1 - \delta > 0$ . *No extra condition is needed:* strict concavity of  $u$  and of  $V$  in  $k$ , which PROPOSITION 17.1 already delivers, makes the marginal propensity to save out of cash on hand lie strictly between 0 and 1, so consumption and next period's capital both absorb a strictly positive share of any increase in  $k$ . This is just the statement that consumption today and consumption tomorrow are both normal goods.

*Monotonicity in  $z$ .* Here  $z$  enters twice — through cash on hand and through the conditional distribution of  $z'$ . Differentiating (1) with respect to  $z$ ,

$$u''(f_z - \pi_z) = \beta W_{12} + \beta W_{11} \pi_z \implies \pi_z = \frac{u'' f_z - \beta W_{12}}{u'' + \beta W_{11}},$$

and subtracting from  $f_z$ ,

$$\frac{\partial \pi_c}{\partial z} = f_z - \pi_z = \frac{\beta(W_{11} f_z + W_{12})}{u'' + \beta W_{11}}. \quad (2)$$

The denominator is negative, so

$$\frac{\partial \pi_c}{\partial z} > 0 \iff W_{12}(\pi(k, z), z) < |W_{11}(\pi(k, z), z)| f_z(k, z).$$

Two readable sufficient conditions follow.

- (1)  $W_{12} \leq 0$ , that is, a higher current shock does not raise the expected marginal value of capital. Since  $W_{12}(k', z) = \partial_z E[V_k(k', z') \mid z]$  and  $V_k(k, z) = u'(\pi_c(k, z))(f'(k, z) + 1 - \delta)$ , this holds when

$$V_{kz} = \underbrace{u'' \frac{\partial \pi_c}{\partial z} (f' + 1 - \delta)}_{\leq 0 \text{ if } \pi_c \text{ rises in } z} + \underbrace{u' f_{kz}}_{\geq 0 \text{ if } f_{kz} \geq 0} \leq 0,$$

so it is enough that the shock not be too strongly complementary with capital ( $f_{kz}$  small), together with the monotone chain of ASSUMPTION 16.6.

- (2)  $z$  *independently distributed across periods*, in which case  $E[V(k', z') \mid z]$  does not depend on  $z$  at all,  $W_{12} \equiv 0$ , and (2) gives  $0 < \partial \pi_c / \partial z < f_z$  unconditionally. This also re-proves the  $z$  part of PROPOSITION 17.2, since then  $\pi_z = u'' f_z / (u'' + \beta W_{11}) \in (0, f_z)$ .

Where it fails, and why. `code/ch17.py` solves the model with  $f(k, z) = zk^\alpha$ ,  $\alpha = 0.36$ ,  $\beta = 0.95$ ,  $\delta = 1$ , CRRA utility of curvature  $\theta$ , and a five-state monotone chain for  $\log z$  with autocorrelation 0.95 and innovation standard deviation 0.30. The smallest slope of each policy over the ergodic range is

| $\theta$ | $\min \partial \pi / \partial k$ | $\min \partial \pi_c / \partial k$ | $\min \partial \pi / \partial z$ | $\min \partial \pi_c / \partial z$ |
|----------|----------------------------------|------------------------------------|----------------------------------|------------------------------------|
| 0.10     | 0.00000                          | 0.00166                            | 0.0682                           | -0.0254                            |
| 0.20     | 0.00001                          | 0.00165                            | 0.0563                           | -0.0016                            |
| 0.35     | 0.00004                          | 0.00162                            | 0.0454                           | 0.0028                             |
| 1.00     | 0.00057                          | 0.00110                            | 0.0250                           | 0.0481                             |
| 5.00     | 0.00164                          | 0.00003                            | 0.0161                           | 0.0418                             |

$\pi$  is increasing in both arguments throughout, as PROPOSITION 17.2 asserts, and  $\pi_c$  is increasing in  $k$  at every  $\theta$ , as the argument above predicts. Monotonicity in  $z$  fails below  $\theta = 0.2565$ , an elasticity of intertemporal substitution of 3.90: when substitution is that easy, a good shock is read mainly as an investment opportunity, and the planner saves more than the whole of the extra output. Formally, a small  $\theta$  makes  $|u''|$  small relative to  $W_{12}$ , and (2) turns negative.

### Exercise 17.2

The book's timing is stated explicitly in Section 17.1: "consumption and saving decisions at time  $t$  are made after observing  $\dots z(t)$ ." Reversing it means that the date- $t$  decision is measurable with respect to  $z^{t-1}$  only. Since output  $f(k(t), z(t))$  is not yet known, the two choices cannot both be free: the planner commits to next period's capital  $k(t+1) = \tilde{k}[z^{t-1}]$  and consumption is the residual,

$$c(t) = f(k(t), z(t)) + (1 - \delta)k(t) - k(t+1).$$

This is the "investment decided one period ahead" timing familiar from time-to-build models.

(a) With  $z$  independent across periods there is nothing to condition on, so the only state is  $k$  and the problem is

$$V(k) = \max_{k' \in [0, \min_j f(k, z_j) + (1-\delta)k]} \left\{ \tilde{u}(k, k') + \beta V(k') \right\}, \quad \tilde{u}(k, k') \equiv E_z[u(f(k, z) + (1-\delta)k - k')]. \quad (3)$$

Problem (3) contains no random variable and no expectation over the future: it is a *deterministic* dynamic program. Hence  $k(t+1) = \pi(k(t))$  is a deterministic sequence converging monotonically to a unique steady state, exactly as in Chapter 6 — all the randomness has been pushed into consumption, which is the residual.

The reduction is to a certainty model *with a modified production function* in the exact sense that there is an  $\tilde{f}$  with  $\tilde{u}(k, k') = u(\tilde{f}(k) + (1-\delta)k - k')$  for all  $(k, k')$  if and only if  $u$  displays constant absolute risk aversion (or  $z$  is degenerate). With  $u(c) = -e^{-ac}/a$ ,

$$E_z[u(y(k, z) - k')] = -\frac{1}{a}e^{ak'} E_z[e^{-ay(k, z)}] = u(\tilde{f}(k) + (1-\delta)k - k'),$$

$$\boxed{\tilde{f}(k) \equiv -\frac{1}{a} \log E_z[e^{-af(k, z)}].}$$

The modified production function is the *certainty equivalent* of output, and by Jensen's inequality  $\tilde{f}(k) < E_z[f(k, z)]$ : risk shows up as a pure, capital-dependent productivity loss. For a general  $u$  the reduction is to a deterministic problem with a modified *return function*  $\tilde{u}(k, k')$  rather than a modified production function.

*Intuition.* Under the book's timing the shock is an observable state, so the policy must be indexed by it; here the shock arrives too late to be acted upon and carries no information about the future, so the planner faces the identical decision problem every period. Uncertainty then affects behaviour only through the risk premium built into  $\tilde{f}$  — it changes the *level* of the capital stock the economy settles at, not the fact that it settles.

(b) If  $z$  is a Markov chain,  $z(t-1)$  forecasts  $z(t)$ , so the state is  $(k, z_{-1})$  with  $z_{-1} \equiv z(t-1)$ :

$$V(k, z_{-1}) = \max_{k'} \left\{ E[u(f(k, z) + (1-\delta)k - k') \mid z_{-1}] + \beta E[V(k', z) \mid z_{-1}] \right\}.$$

The equivalent of PROPOSITION 17.1 holds verbatim, and by the same proof: the return function  $E[u(f(k, z) + (1-\delta)k - k') \mid z_{-1}]$  is continuous, bounded on the compact set  $[0, \max\{k(0), \bar{k}\}] \times Z$ , strictly concave in  $(k, k')$  and strictly increasing in  $k$ , and it is increasing in  $z_{-1}$  because the chain is monotone; so ASSUMPTIONS 16.1–16.6 hold and THEOREMS 16.1–16.7 give a unique  $V$ , strictly increasing in  $k$  and in  $z_{-1}$ , strictly concave and differentiable in  $k$ , with a unique policy  $\pi(k, z_{-1})$ . Differentiating and using the envelope condition  $V_k(k, z_{-1}) = E[u'(c)(f'(k, z) + 1 - \delta) \mid z_{-1}]$  gives the modified Euler equation

$$\boxed{E_{t-1}[u'(c(t))] = \beta E_{t-1}[(f'(k(t+1), z(t+1)) + 1 - \delta)u'(c(t+1))].}$$

Two differences from Section 17.1 stand out.

- (1) *Marginal utility is inside a date- $(t-1)$  expectation.* The intertemporal margin is no longer equated state by state, so the date- $t$  innovation in  $z$  is not shared between consumption and saving:  $\partial c(t)/\partial z(t) = f_z(k(t), z(t))$  exactly. Consumption absorbs the entire shock, and is therefore *more* volatile than in Section 17.1, while investment is smoother.

- (2) *Investment responds to news with a one-period lag.*  $k(t+1)$  depends only on  $z^{t-1}$ , so a shock at  $t$  moves capital only from  $t+1$  onward. This is precisely the device — time to build — that the Real Business Cycle literature adds to the model of Section 17.3 to generate a hump-shaped investment response.

### Exercise 17.3

*Law of motion.* With a constant saving rate out of output the capital-labor ratio obeys

$$k(t+1) = G(k(t), z(t)) \equiv s f(k(t), z(t)) + (1 - \delta)k(t),$$

a Markov process on  $\mathbb{R}_+$  driven by the chain  $z$  — the stochastic Solow model.  $G$  is strictly increasing in  $k$  and in  $z$ , strictly concave in  $k$ , and satisfies  $G(0, z) = 0$  with  $\lim_{k \rightarrow 0} G_k = \infty$  and  $\lim_{k \rightarrow \infty} G_k = 1 - \delta < 1$  by ASSUMPTIONS 1 AND 2. Hence:

- (1) define  $\underline{k}$  and  $\bar{k}$  by  $sf(\underline{k}, z_1) = \delta \underline{k}$  and  $sf(\bar{k}, z_N) = \delta \bar{k}$ . Both exist and are unique by the Inada conditions, and  $\underline{k} < \bar{k}$ . The interval  $[\underline{k}, \bar{k}]$  is forward invariant:  $G(k, z_1) \geq k$  for  $k \leq \underline{k}$  and  $G(k, z_N) \leq k$  for  $k \geq \bar{k}$ ;
- (2) from any  $k(0) > 0$  the process enters  $[\underline{k}, \bar{k}]$  in finite time and stays;
- (3) on that compact interval the process is monotone and satisfies a mixing condition, so it has a *unique invariant distribution*  $\Psi$  and is ergodic:  $k(t) \Rightarrow \Psi$  and time averages converge to  $\Psi$ -averages.

So, exactly as in Section 17.1, a “steady state” is a distribution, not a number.

*How it differs.* The one and only difference is that the saving rate is a constant rather than the function  $\pi(k, z)/[f(k, z) + (1 - \delta)k]$ , and that has four consequences.

- (1) *No consumption smoothing across states.* Here  $c(t) = (1 - s)f(k(t), z(t))$ , so  $\log c$  and  $\log y$  move one for one and  $\text{sd}(\log c)/\text{sd}(\log y) = 1$  exactly. The optimal rule uses investment as the buffer. In the calibration of `code/ch17.py` ( $\alpha = 0.36$ ,  $\beta = 0.95$ ,  $\delta = 0.08$ ,  $\theta = 2$ ,  $\rho = 0.9$ ,  $\sigma = 0.12$ ) the optimal path has an investment rate averaging 0.254 but ranging over  $[-0.475, 0.439]$ , and

$$\frac{\text{sd}(\log c)}{\text{sd}(\log y)} = 0.853 \text{ (optimal)} \quad \text{against} \quad 1.000 \text{ (Solow, same average rate),}$$

while the capital stock is correspondingly *more* volatile under the optimal rule ( $\text{sd}(\log k) = 0.629$  against 0.359). The stochastic Solow model therefore cannot reproduce the most robust business-cycle fact there is, that consumption is smoother than output.

- (2) *No response of saving to the state.* The optimal rate varies with  $k$  and with  $z$ ; the constant rate cannot, so the model has no mechanism by which news about future productivity affects today’s investment.
- (3) *Possible dynamic inefficiency.* Nothing prevents  $s$  from exceeding the golden-rule rate, in which case the economy over-accumulates in every state; the optimal path never does.
- (4) *One exact coincidence.* In Example 17.1 —  $u = \log$ ,  $f = zk^\alpha$ ,  $\delta = 1$  — the optimal policy is a constant saving rate,  $s = \alpha\beta$ . The numerical solution reproduces this to machine precision (the savings rate varies by  $3.3 \times 10^{-16}$  across the whole grid). So the Solow rule is

not merely a convenient approximation there; it is exactly optimal, which is why Example 17.1 is the one case in which the two models cannot be told apart.

#### Exercise 17.4

(a) From the derivation in Exercise 17.1,

$$\pi_k = \frac{u''}{u'' + \beta W_{11}} (f'(k, z) + 1 - \delta), \quad \pi_z = \frac{u'' f_z - \beta W_{12}}{u'' + \beta W_{11}}.$$

Both denominators are negative. Therefore

- $\pi_k > 0$  whenever  $f'(k, z) + 1 - \delta > 0$ , which holds for all  $k > 0$  under ASSUMPTIONS 1–2. Strict concavity of  $u$  and of  $V(\cdot, z)$  is all that is required, and PROPOSITION 17.1 supplies it;
- $\pi_z > 0$  iff  $u'' f_z < \beta W_{12}$ , for which

$$\boxed{W_{12}(k', z) = \partial_z E[V_k(k', z') \mid z] \geq 0}$$

is sufficient, since  $u'' f_z < 0$ . This says that a higher shock today does not lower the expected marginal value of capital tomorrow, and it holds when  $V_{kz} \geq 0$  together with the monotone chain of ASSUMPTION 16.6. Since  $V_{kz} = u'' \partial_z \pi_c (f' + 1 - \delta) + u' f_{kz}$ , a clean pair of primitive conditions is

$$f_{kz} \geq 0 \quad (\text{the shock raises the marginal product of capital})$$

together with the conditions of Exercise 17.1 — and when  $z$  is independent across periods,  $W_{12} \equiv 0$  and  $\pi_z = u'' f_z / (u'' + \beta W_{11}) \in (0, f_z)$  unconditionally, so *both*  $\pi$  and  $\pi_c$  are then strictly increasing in  $z$ .

(b) Suppose the chain is irreducible on  $Z = \{z_1, \dots, z_N\}$  with  $N \geq 2$ , and suppose, for a contradiction, that  $k(t) \rightarrow \bar{k}$  with probability one along some sample path, with  $\bar{k} > 0$ . Irreducibility makes every state recurrent, so for each  $j$  the event  $\{z(t) = z_j\}$  occurs infinitely often almost surely. Along the subsequence of dates at which  $z(t) = z_j$ ,

$$k(t+1) = \pi(k(t), z_j) \longrightarrow \pi(\bar{k}, z_j)$$

by continuity of  $\pi$ ; but  $k(t+1) \rightarrow \bar{k}$  as well, so  $\pi(\bar{k}, z_j) = \bar{k}$  for *every*  $j$ . This contradicts the strict monotonicity of  $\pi$  in  $z$  established in part (a), which gives  $\pi(\bar{k}, z_1) < \pi(\bar{k}, z_2)$ . Hence no such  $\bar{k}$  exists unless  $N = 1$ . ■

What replaces convergence is convergence of the *distribution* of  $k(t)$  to the unique invariant distribution. Its dispersion is proportional to that of  $z$  and does not shrink. In Example 17.1 this can be computed exactly: taking logs of  $k(t+1) = \alpha\beta z(t)k(t)^\alpha$ ,

$$\log k(t+1) = \log(\alpha\beta) + \log z(t) + \alpha \log k(t),$$

so with  $\log z$  an AR(1) of autocorrelation  $\rho$ ,

$$\frac{\text{sd}(\log k)}{\text{sd}(\log z)} = \sqrt{\frac{1 + \alpha\rho}{(1 - \alpha^2)(1 - \alpha\rho)}} ,$$

which equals 1.5001 at  $\alpha = 0.36$ ,  $\rho = 0.9$ . Simulating the model over 120,000 periods for four widths of the support of  $z$  gives

| sd(log $z$ ) | sd(log $k$ ) | range of log $k$ | ratio  |
|--------------|--------------|------------------|--------|
| 1.1647       | 1.75521      | 8.603            | 1.5070 |
| 0.5824       | 0.88074      | 4.302            | 1.5124 |
| 0.1456       | 0.22096      | 1.075            | 1.5177 |
| 0.0146       | 0.02205      | 0.108            | 1.5146 |

The ratio is constant, so the dispersion of  $k$  vanishes only as that of  $z$  does — which is part (b) restated quantitatively.

### Exercise 17.6

Let the transition kernel be  $\mathcal{Q}(z, dz')$  on  $(0, \infty)$ , and take the same guess  $\pi(k, z) = B_1 z k^\alpha$ . With  $\delta = 1$  and  $u = \log$ , the stochastic Euler equation (17.5) reads

$$\frac{1}{z k^\alpha - \pi(k, z)} = \beta \int \frac{f'(\pi(k, z), z')}{z' \pi(k, z)^\alpha - \pi(\pi(k, z), z')} \mathcal{Q}(z, dz').$$

Write  $P \equiv \pi(k, z) = B_1 z k^\alpha$ . Then

$$f'(P, z') = \alpha z' P^{\alpha-1}, \quad c' = z' P^\alpha - B_1 z' P^\alpha = (1 - B_1) z' P^\alpha,$$

so the integrand is

$$\frac{\alpha z' P^{\alpha-1}}{(1 - B_1) z' P^\alpha} = \frac{\alpha}{(1 - B_1) P},$$

which *does not involve  $z'$  at all*. Every feature of the conditional distribution therefore disappears, and only  $\int \mathcal{Q}(z, dz') = 1$  is used:

$$\frac{1}{(1 - B_1) z k^\alpha} = \frac{\beta \alpha}{(1 - B_1) B_1 z k^\alpha} \implies \boxed{B_1 = \alpha \beta}.$$

The verification of  $B_0 = 0$  is unchanged, since the same cancellation makes the left-hand side of (17.10) proportional to  $z$  for any kernel.

*Remark.* The cancellation is not an accident of the chain: it needs neither the Markov property nor even independence, only that  $z' > 0$  almost surely and that the relevant expectations exist. Its source is that  $\delta = 1$ ,  $u = \log$  and Cobb–Douglas production together make the *gross return per unit of consumption*,  $f'(k', z')/c'$ , a deterministic function of  $k'$  alone: the shock multiplies the marginal product and the level of consumption by the same factor. Equivalently, with unit elasticity of intertemporal substitution the income and substitution effects of a change in the rate of return cancel, so the saving rate is  $\alpha\beta$  whatever the distribution of returns. This is the dynamic counterpart of the myopic portfolio rule of logarithmic investors.

### Exercise 17.8

Keep  $u = \log$ ,  $f(k, z) = z k^\alpha$ , and try the same family of candidates  $\pi(k, z) = B_0 + B_1 z k^\alpha$ , writing  $P \equiv \pi(k, z)$ . The Euler equation is

$$\frac{1}{c} = \beta \mathbb{E} \left[ \frac{\alpha z' P^{\alpha-1} + 1 - \delta}{c'} \mid z \right], \quad c' = z' P^\alpha + (1 - \delta) P - \pi(P, z') = (1 - B_1) z' P^\alpha + (1 - \delta) P - B_0.$$

Numerator and denominator are now *affine* in  $z'$ , with nonzero intercepts  $1 - \delta$  and  $(1 - \delta)P - B_0$ . For the conditional distribution of  $z'$  to drop out — which it must, since the left-hand side does not depend on it and the guess makes  $P$  a function of  $(k, z)$  only — the two affine functions must be proportional:

$$\frac{\alpha P^{\alpha-1}}{(1 - B_1)P^\alpha} = \frac{1 - \delta}{(1 - \delta)P - B_0} \iff \alpha[(1 - \delta)P - B_0] = (1 - \delta)(1 - B_1)P,$$

that is

$$(1 - \delta)(\alpha - 1 + B_1)P = \alpha B_0.$$

$P$  varies with  $k$ , so this can hold identically only if both sides vanish; with  $\delta < 1$  that forces

$$B_0 = 0 \quad \text{and} \quad B_1 = 1 - \alpha.$$

Substituting this unique candidate back, the ratio collapses to

$$\frac{\alpha z' P^{\alpha-1} + 1 - \delta}{\alpha z' P^\alpha + (1 - \delta)P} = \frac{1}{P},$$

so the Euler equation becomes  $1/c = \beta/P$ , that is  $P = \beta c$ . With  $B_1 = 1 - \alpha$ ,

$$c = zk^\alpha + (1 - \delta)k - (1 - \alpha)zk^\alpha = \alpha zk^\alpha + (1 - \delta)k,$$

and  $P = \beta c$  reads

$$(1 - \alpha)zk^\alpha = \alpha\beta zk^\alpha + \beta(1 - \delta)k \quad \text{for all } k, z.$$

Matching the two powers of  $k$  requires simultaneously  $1 - \alpha = \alpha\beta$  and  $\beta(1 - \delta) = 0$ . The second is impossible for  $\beta > 0$  and  $\delta < 1$ . Hence

no policy of the form  $B_0 + B_1 zk^\alpha$  solves the Euler equation when  $\delta < 1$ .

■

*What breaks.* At  $\delta = 1$  the gross return  $\alpha z' k'^{\alpha-1}$  is proportional to  $z'$  and so is consumption, and the shock cancels; at  $\delta < 1$  the undepreciated capital adds a constant  $1 - \delta$  to the return but only  $(1 - \delta)P$  to resources, and the two affine functions of  $z'$  are no longer proportional. No amount of re-guessing repairs this, because the argument above exhausts the family.

Numerically, the savings rate  $\pi(k, z)/[f(k, z) + (1 - \delta)k]$  is exactly the constant  $\alpha\beta$  when  $\delta = 1$  and varies with  $k$  otherwise:

| $\delta$ | smallest | largest  | spread                |
|----------|----------|----------|-----------------------|
| 1.0      | 0.342000 | 0.342000 | $3.3 \times 10^{-16}$ |
| 0.9      | 0.352370 | 0.451320 | $9.9 \times 10^{-2}$  |
| 0.5      | 0.412445 | 0.759579 | $3.5 \times 10^{-1}$  |
| 0.2      | 0.507572 | 0.878032 | $3.7 \times 10^{-1}$  |

The  $\delta = 1$  row is machine precision — the endogenous grid method recovers  $\alpha\beta$  exactly — so the spread in the other rows is signal, not error. The left panel of Figure 13 plots these savings rates.

## Section 17.2 Equilibrium Growth under Uncertainty



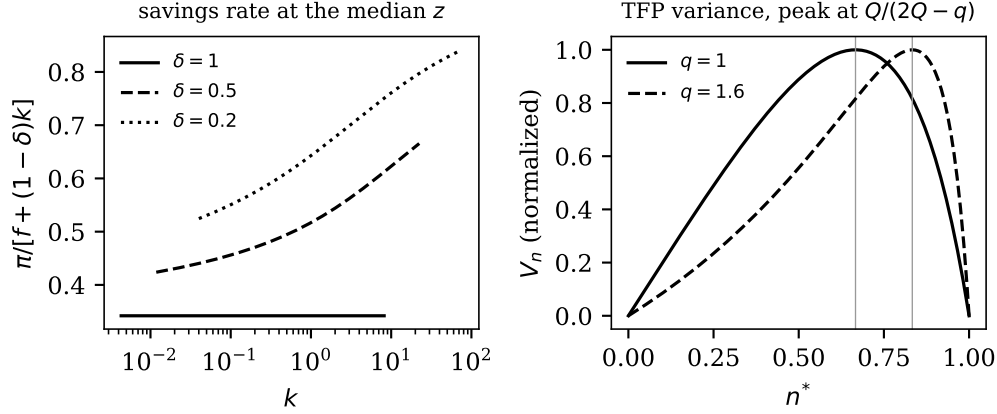


FIGURE 13. Left: the optimal savings rate  $\pi/[f + (1 - \delta)k]$  at the median shock, flat at  $\alpha\beta$  when  $\delta = 1$  and sloped otherwise (Exercise 17.8). Right: the conditional variance  $V_n$  of TFP against the measure of open sectors, peaking at  $Q/(2Q - q)$  (Exercise 17.28).

### Exercise 17.9

*The commodity space.* Index commodities by a date  $t \in \mathbb{N}$  and a history  $z^t \in Z^{t+1}$ ; since  $Z$  is finite, the index set  $\mathcal{I} \equiv \{(t, z^t)\}$  is countable. A commodity bundle is a triple of sequences  $(c[z^t], \ell[z^t], k[z^t])_{(t, z^t) \in \mathcal{I}}$ , and the commodity space is

$$L \equiv \left\{ x \in \mathbb{R}^{\mathcal{I}} : \|x\| \equiv \sup_{t, z^t} |x[z^t]| < \infty \right\} = \ell^\infty(\mathcal{I}),$$

a normed vector space. Boundedness is not an extra assumption: the proof of PROPOSITION 17.1 shows that every feasible path stays in  $[0, \max\{k(0), \bar{k}\}]$ , hence so do output and consumption.

*The planner's problem.* Maximize

$$U((c[z^t])) = \sum_{t=0}^{\infty} \beta^t \sum_{z^t} q[z^t | z^0] u(c[z^t])$$

over  $(c, \ell, k) \in L$  subject to

$$c[z^t] + k[z^t] \leq f(k[z^{t-1}], z(t)) + (1 - \delta)k[z^{t-1}], \quad \ell[z^t] = 1, \quad c[z^t], k[z^t] \geq 0,$$

for every  $(t, z^t)$ , with  $k[z^{-1}] = k(0)$  given.

*Verification of the hypotheses of THEOREM 5.7.*

- (1) *Consumption sets are convex.*  $X = \{x \in L : x \geq 0\}$  is a convex cone.
- (2) *Preferences are convex and continuous.*  $u$  is concave, so each term of  $U$  is concave and the sum of concave functions is concave;  $\beta < 1$  and the boundedness of  $c$  make the series converge uniformly, so  $U$  is continuous in the sup norm. Convexity of preferences is then immediate.
- (3) *Preferences are locally nonsatiated.*  $u$  is strictly increasing, so raising  $c[z^t]$  at any single  $(t, z^t)$  by  $\varepsilon > 0$  raises  $U$  while moving the bundle by  $\varepsilon$  in the sup norm.

(4) *The aggregate production set is convex.* Write

$$Y = \left\{ (y, \ell, k) \in L^3 : y[z^t] \leq F(k[z^{t-1}], \ell[z^t], z(t)) + (1 - \delta)k[z^{t-1}] \quad \forall (t, z^t) \right\}.$$

$F(\cdot, \cdot, z)$  is concave (ASSUMPTION 1) for each  $z$ , so each constraint defines a convex set, and  $Y$ , an intersection of convex sets, is convex. It contains the origin and displays free disposal.

(5) *The allocation is Pareto optimal.* There is one (representative) household, so the solution of the planner's problem is Pareto optimal by construction.

(6) *Nonempty interior / properness.* THEOREM 5.7 requires that the set of aggregate bundles preferred to the optimum have an interior point in  $L$ , which holds here: the bundle that adds a constant  $\varepsilon > 0$  to consumption at every node is preferred and has a sup-norm neighbourhood of preferred bundles.

By THEOREM 5.7 there exist prices  $(p_0[z^t], w_0[z^t], R_0[z^t]) \geq 0$ , not all zero, such that the optimal allocation minimizes cost over the preferred set and maximizes profits over  $Y$ . Comparing the supporting prices with the planner's first-order conditions identifies them as

$$p_0[z^t] = \frac{\beta^t q[z^t | z^0] u'(c[z^t])}{\lambda},$$

which is (17.13), and then (17.15) and (17.19) for  $w_0$  and  $R_0$ .

*From quasi-equilibrium to equilibrium.* THEOREM 5.7 delivers a price quasi-equilibrium; to conclude that the household is *maximizing* rather than merely cost-minimizing one needs a cheaper point, that is, household wealth strictly above the infimum of expenditure. Here wealth is  $\sum_t \sum_{z^t} w_0[z^t] + R_0[z(0)]k(0) > 0$ , because the Inada conditions give  $f(k, z) - kf'(k, z) > 0$  and hence  $w_0[z^t] > 0$ , while  $c \equiv 0$  costs zero. So the quasi-equilibrium is a competitive equilibrium. Finally,  $\sum_t \sum_{z^t} p_0[z^t]c[z^t] < \infty$  because (17.13) and the transversality condition (17.7) make the terms decline geometrically. PROPOSITION 17.3 follows.

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### Exercise 17.10

(a) Let  $(z, b)$  be the exogenous state, itself a Markov chain on the finite set  $Z \times B$  with transition probabilities  $q[(z', b') | (z, b)]$ ;  $z$  and  $b$  may be correlated. Nothing in Chapter 16 requires the exogenous state to be scalar, so the recursive problem is

$$V(k, z, b) = \max_{k' \in [0, f(k, z) + (1 - \delta)k]} \left\{ u(f(k, z) + (1 - \delta)k - k', b) + \beta E[V(k', z', b') | z, b] \right\}.$$

Assume  $u(\cdot, b)$  satisfies ASSUMPTION 3 for each  $b \in B$  and  $u(c, \cdot)$  is bounded. Then ASSUMPTIONS 16.1–16.5 hold exactly as in PROPOSITION 17.1, with the compact set  $[0, \max\{k(0), \bar{k}\}]$  constructed from  $z_N$ , so  $V$  is unique, strictly concave and differentiable in  $k$ , and there is a unique policy  $\pi(k, z, b)$ . (Monotonicity in  $b$  requires in addition that the chain be monotone in  $b$  and  $u$  increasing in  $b$ , which is not needed for the Euler equation.)

The first-order and envelope conditions,

$$u_c(\pi_c(k, z, b), b) = \beta E[V_k(k', z', b') | z, b], \quad V_k(k, z, b) = u_c(\pi_c(k, z, b), b)(f'(k, z) + 1 - \delta),$$

combine into the **modified stochastic Euler equation**

$$u_c(c(t), b(t)) = \beta E_t \left[ p(t+1) u_c(c(t+1), b(t+1)) \right]$$

with  $p(t+1) = f'(k(t+1), z(t+1)) + 1 - \delta$  as in (17.6). The difference from (17.6) is that the marginal utility on the right is evaluated at a *random* preference state. Writing  $u(c, b) = b c^{1-\theta} / (1-\theta)$  makes the point sharply:

$$c(t)^{-\theta} = \beta E_t \left[ p(t+1) \frac{b(t+1)}{b(t)} c(t+1)^{-\theta} \right],$$

so a preference shock enters exactly as a return shock would. If  $b(t+1)/b(t)$  is positively correlated with  $p(t+1)$ , the covariance term raises the effective return and depresses current consumption; consumption growth is now driven by the joint distribution of technology and taste, and an econometrician who ignored  $b$  would read the taste shocks as time-varying discounting.

(b) Index commodities by histories of the *pair*  $(z, b)$ ; the index set is still countable and the commodity space is again  $\ell^\infty$ . Every hypothesis checked in Exercise 17.9 survives:

- the objective  $\sum_t \beta^t \sum_{(z,b)^t} q[\cdot] u(c[\cdot], b(t))$  is a probability-weighted sum of functions each concave and strictly increasing in the corresponding coordinate of  $c$ , hence concave, continuous and locally nonsatiated — the preference shock affects only the weights and the shape of each term, not concavity;
- the production set is exactly as before, since  $b$  does not enter technology, so it is unchanged and convex;
- wealth is strictly positive for the same reason.

THEOREM 5.7 therefore applies, and the supporting prices are again

$$p_0[(z, b)^t] = \beta^t q[(z, b)^t | (z, b)^0] u_c(c[(z, b)^t], b(t)) / \lambda.$$

Note that the state-contingent prices now vary with  $b$  even at unchanged consumption: with complete markets, taste shocks are priced.

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### Exercise 17.11

The number of multipliers equals the number of constraints, and the number of constraints is determined by the set of markets.

In Section 16.5.1 the household trades a *single riskless bond*. It cannot move resources between two histories of the same length, so its budget must balance separately along each history: there is one constraint

$$c[y^t] + a[y^t] \leq Ra[y^{t-1}] + y(t) \quad \text{for every } y^t,$$

and hence one multiplier  $\tilde{\lambda}[y^t]$  per node. Those multipliers are genuinely distinct objects:  $\tilde{\lambda}[y^t]/\tilde{\lambda}[\hat{y}^t]$  is the household's *personal* valuation of a unit of the good in history  $y^t$  relative to  $\hat{y}^t$ , and it is not equated across households because no market exists in which to trade the difference away.

In Section 17.2.1 a claim to the final good after *any* history is a traded commodity with a price  $p_0[z^t]$  quoted at date 0. A surplus in one history can be sold and the proceeds spent in another, so only the single aggregate constraint (17.11) restricts the household, and there is a single multiplier

$\lambda$  — the marginal utility of date-0 wealth. The node-by-node shadow prices have not disappeared; they have been decomposed, since (17.13) gives

$$\underbrace{\beta^t q[z^t | z^0] u'(c[z^t])}_{\text{shadow value of goods at } z^t} = \lambda p_0[z^t],$$

so the whole family  $\{\tilde{\lambda}[z^t]\}$  collapses to one free scalar  $\lambda$  multiplied by the *market* prices  $p_0[z^t]$ .

The general principle: a multiplier is needed for each budget constraint that cannot be relaxed by trade. Completing markets replaces  $|Z|^{t+1}$  constraints per date with one, and the information that the household's personal valuations must agree with market prices is exactly the content of that collapse. It is also why the incomplete-markets model of Section 17.4 does not admit a representative household: there the  $\tilde{\lambda}$ 's differ across households, and no single set of weights aggregates them.

### Exercise 17.12

*The firm.* The representative firm now hires capital and labour period by period and owns nothing, so its date-0 value is

$$\sum_{t=0}^{\infty} \sum_{z^t} \left\{ p_0[z^t] F(K^e[z^t], L[z^t], z(t)) - \tilde{R}_0[z^t] K^e[z^t] - w_0[z^t] L[z^t] \right\}.$$

Profit maximization and constant returns give, in per capita terms,

$$p_0[z^t] f'(k^e[z^t], z(t)) = \tilde{R}_0[z^t], \quad p_0[z^t] (f - k^e f') = w_0[z^t]. \quad (4)$$

Note that  $1 - \delta$  has vanished from the first condition: the firm no longer owns the undepreciated capital.

*The household.* It now owns the capital, rents it out, and keeps the  $(1 - \delta)$  fraction that survives. Its lifetime budget constraint is

$$\sum_t \sum_{z^t} p_0[z^t] c[z^t] \leq \sum_t \sum_{z^t} w_0[z^t] + \sum_t \sum_{z^t} \left\{ \tilde{R}_0[z^t] + (1 - \delta) p_0[z^t] \right\} k[z^{t-1}] - \sum_t \sum_{z^t} p_0[z^t] k[z^t] + \Xi,$$

where  $\Xi$  collects the date-0 terms. The no-arbitrage condition governing the purchase of one unit of the final good at  $z^t$  to be rented out at  $t + 1$  is

$$p_0[z^t] = \sum_{z^{(t+1)} \in Z} \left\{ \tilde{R}_0[z^{t+1}] + (1 - \delta) p_0[z^{t+1}] \right\}. \quad (5)$$

*Equivalence.* Compare with (17.15) and (17.19) of the purchase formulation. Those read  $R_0[z^t] = p_0[z^t] (f' + 1 - \delta)$  and  $p_0[z^t] = \sum_{z^{(t+1)}} R_0[z^{t+1}]$ . Define

$$\boxed{R_0[z^t] \equiv \tilde{R}_0[z^t] + (1 - \delta) p_0[z^t].}$$

Then (4) becomes exactly (17.15) and (5) becomes exactly (17.19). The household's first-order conditions are unchanged, since only the total  $R_0$  enters its wealth. Every equilibrium of one formulation is therefore an equilibrium of the other under this change of variables, with identical allocations  $\{c[z^t], k[z^t]\}$  and identical prices  $p_0$  and  $w_0$ .

*Why.* The change of variables is a statement about spanning. Buying a unit of capital at  $z^t$  is the same portfolio as renting it for one period and simultaneously holding a claim to the  $1 - \delta$  units of *goods* that survive into every successor history  $z^{t+1}$ . With complete markets those claims are traded at the prices  $p_0[z^{t+1}]$ , so the two securities have the same payoff in every state and must have the same price; no allocation can depend on which one is written down. The decomposition would matter only if the contingent claims on undepreciated capital were *not* traded — which is exactly what happens in the incomplete markets economies of Sections 17.4 and 17.6.

### Exercise 17.14

The household maximizes

$$\sum_{t=0}^{\infty} \beta^t \sum_{z^t} q[z^t | z^0] u(c[z^t])$$

subject to one flow constraint per node,

$$c[z^t] + \sum_{z(t+1) \in Z} \bar{p}[z(t+1) | z^t] a[(z^t, z(t+1))] \leq w[z^t] + a[z^t], \quad (6)$$

together with the no-Ponzi condition  $\lim_{t \rightarrow \infty} \sum_{z^t} (\prod_{s \leq t} \bar{p}) a[z^t] \geq 0$  and  $a[z^0]$  given. Attach the multiplier  $\mu[z^t] \geq 0$  to (6). The first-order conditions are

$$c[z^t]: \quad \beta^t q[z^t | z^0] u'(c[z^t]) = \mu[z^t], \quad a[z^{t+1}]: \quad \mu[z^t] \bar{p}[z(t+1) | z^t] = \mu[z^{t+1}].$$

Eliminating the multipliers and using  $q[z^{t+1} | z^0] = q[z(t+1) | z(t)] q[z^t | z^0]$  gives the **pricing kernel**

$$\boxed{\bar{p}[z(t+1) | z^t] = \beta q[z(t+1) | z(t)] \frac{u'(c[z^{t+1}])}{u'(c[z^t])}.} \quad (7)$$

Each one-period Arrow security is priced by the discounted marginal rate of substitution between the node at which it is bought and the node at which it pays, times the probability of that node.

Now impose market clearing. Capital market clearing (17.26) is  $a[(z^t, z(t+1))] = R[z(t+1) | z(t)] k[z^t]$ ; substituting into (6) and comparing with the goods constraint  $c[z^t] + k[z^t] = w[z^t] + a[z^t]$  gives the no-arbitrage condition  $\sum_{z(t+1)} \bar{p} R = 1$ , which is (17.27) (see Exercise 17.16). Multiplying (7) by  $R[z(t+1) | z(t)]$  and summing over  $z(t+1)$  therefore yields

$$u'(c[z^t]) = \beta \sum_{z(t+1)} q[z(t+1) | z(t)] R[z(t+1) | z(t)] u'(c[z^{t+1}]) = \beta E[R u'(c(t+1)) | z^t],$$

which is (17.6) once  $R = f' + 1 - \delta$  from (17.15). The no-Ponzi condition, holding with equality by local nonsatiation, delivers the transversality condition (17.7) by the argument of Section 17.2.1. Since THEOREM 16.8 makes (17.6)–(17.7) sufficient, the equilibrium path coincides with the optimal growth path.

*Remark.* Comparing (7) with (17.13) shows the exact relation between the two market structures:  $\bar{p}[z(t+1) | z^t] = p_0[z^{t+1}]/p_0[z^t]$ . One-period Arrow securities traded sequentially replicate the entire date-0 set of contingent claims by compounding, which is the content of Section 5.8 — and the reason the model needs only  $N$  securities per node rather than the whole infinite set.

**Exercise 17.16**

Fix the current state  $z$  and let  $k[z]$  be the household's savings, chosen before  $z'$  is realized. Two accounts of the same transaction must agree.

*In goods.* The household's resources are  $w + a$ , and they are split between consumption and one unit of the final good per unit of capital carried forward:

$$c + k[z] = w + a. \quad (8)$$

There is nothing contingent here: a unit of the final good saved becomes a unit of capital, whatever happens next.

*In securities.* The same plan is implemented by buying, for each  $z' \in Z$ , a claim paying  $a'[z' | z]$  units of the final good in state  $z'$ . Capital market clearing (17.26) says these claims are exactly what the carried capital delivers,

$$a'[z' | z] = R[z' | z] k[z],$$

and the flow budget constraint charges the household the market value of the portfolio:

$$c + \sum_{z' \in Z} \bar{p}[z' | z] a'[z' | z] = c + k[z] \sum_{z' \in Z} \bar{p}[z' | z] R[z' | z] = w + a. \quad (9)$$

Subtracting (8) from (9),

$$k[z] \left( \sum_{z' \in Z} \bar{p}[z' | z] R[z' | z] - 1 \right) = 0,$$

so for any  $k[z] > 0$ ,

$$\sum_{z' \in Z} \bar{p}[z' | z] R[z' | z] = 1,$$

which is (17.27). ■

*Reading.* The left-hand side is the date- $t$  cost of the bundle of contingent claims that one unit of saved output delivers; the right-hand side is the cost of that unit of output. If the sum exceeded 1, a household could buy one unit of the good, save it, sell the resulting claims, and pocket the difference with no risk and no outlay; if it fell short of 1, the reverse trade would do the same. Both branches are riskless because the capital carried forward pays  $R[z' | z]$  in state  $z'$  *with certainty* — the uncertainty is about which state occurs, not about the payoff in a given state. So  $\sum \bar{p}R = 1$  is the exact counterpart of (17.19) in the date-0 formulation, as the substitution  $\bar{p}[z' | z] = p_0[z^{t+1}]/p_0[z^t]$  and  $R = R_0[z^{t+1}]/p_0[z^{t+1}]$  confirms.

**Section 17.3 Application: Real Business Cycle Models****Exercise 17.17**

Apply THEOREMS 16.1–16.7 to (17.28), taking the control to be the *pair*  $y = (L, K')$  — nothing in Chapter 16 requires the control to be scalar. Set

$$G(K, z) = \{(L, K') : L \in [0, \bar{L}], K' \in [0, F(K, L, z) + (1 - \delta)K]\},$$

$$U(K, (L, K'), z) = u(F(K, L, z) + (1 - \delta)K - K', L).$$

- (1) *Assumption 16.1 and 16.2.* Define  $\bar{K}$  by  $\bar{K} = F(\bar{K}, \bar{L}, z_N) + (1 - \delta)\bar{K}$ ; by the Inada conditions  $\bar{K}$  exists and is finite, and starting from  $K(0)$  the capital stock stays in the compact set  $\mathcal{K} = [0, \max\{K(0), \bar{K}\}]$ . On  $\mathcal{K} \times Z$  the correspondence  $G$  is nonempty, compact-valued and continuous (upper and lower hemicontinuous, by the continuity of  $F$  and Berge's theorem), and  $U$  is continuous and bounded. Boundedness of  $u$  from below is where  $\bar{L} < \infty$  is used.
- (2) *Assumption 16.3 (concavity).*  $F(\cdot, \cdot, z)$  is concave, so  $C = F(K, L, z) + (1 - \delta)K - K'$  is concave in  $(K, L, K')$ ;  $u$  is concave and increasing in  $C$ , so the composition  $u(C, L)$  is concave in  $(K, L, K')$ , jointly with the second argument. THEOREM 16.4 then gives concavity of  $V$  in  $K$ ; strict concavity follows from the strict concavity of  $F(\cdot, L, z)$  in  $K$ .
- (3) *Assumption 16.4 (monotonicity in  $K$ ).*  $F$  is strictly increasing in  $K$ , so  $U$  is strictly increasing in the state; and  $K_1 < K_2$  implies  $G(K_1, z) \subset G(K_2, z)$ . THEOREM 16.5 gives  $V$  strictly increasing in  $K$ .
- (4) *Assumption 16.5 (differentiability).*  $F$  and  $u$  are continuously differentiable, and at an interior optimum  $\pi_k(K, z) \in \text{Int } G$ , so THEOREM 16.6 applies and  $V(\cdot, z)$  is differentiable on  $K > 0$  with  $\partial V / \partial K = u_c \cdot (F_K + 1 - \delta)$ .
- (5) *Assumption 16.6 (monotonicity in  $z$ ).*  $z$  follows a monotone chain,  $F$  is increasing in  $z$  so  $U$  is, and  $G(K, z_1) \subset G(K, z_2)$  for  $z_1 < z_2$ . THEOREM 16.7 gives  $V$  strictly increasing in  $z$ .

Existence and uniqueness of the policy correspondence follow from THEOREM 16.2 and Berge; single-valuedness of  $\pi_k$  and  $\pi_l$  follows from strict concavity of  $U(K, \cdot, z) + \beta E[V(\cdot, z') \mid z]$  in  $(L, K')$ . ■

*Remark.* The last step deserves care. The chapter assumes only that  $u$  is *jointly concave*, and joint concavity is not enough for unique policies:  $U$  is strictly concave in  $K'$  (through  $u$  in  $C$ ), but strict concavity in  $L$  needs  $u$  to be strictly concave in  $L$  or  $F$  to be strictly concave in  $L$ . Example 17.2, with  $u(C, L) = \log C - \gamma L$ , is linear in  $L$ , and uniqueness there comes not from concavity but from the static first-order condition, which pins  $L$  down exactly (Exercise 17.19). So PROPOSITION 17.4 as stated requires either strict joint concavity of  $u$  or an interior static optimum; the second is what the applications actually use.

### Exercise 17.19

Keep  $F(K, L, z) = zK^\alpha L^{1-\alpha}$  and  $\delta = 1$ , and conjecture  $\pi_k(K, z) = BzK^\alpha L^{1-\alpha}$  as in Example 17.2. Because preferences are additively separable and the consumption term is logarithmic,  $h$  plays no part in the intertemporal margin: the first condition of (17.29) is unchanged from Example 17.2 and again gives

$$B = \alpha\beta, \quad C = (1 - \alpha\beta)zK^\alpha L^{1-\alpha}.$$

(The cancellation is the one exhibited in Exercise 17.6: with  $\delta = 1$  and log consumption utility,  $F_K/C$  is a deterministic function of  $K'$ .)

The static condition of (17.29) is  $w u_C = -u_L$ , that is

$$\underbrace{(1 - \alpha)zK^\alpha L^{-\alpha}}_{w=F_L} \cdot \frac{1}{(1 - \alpha\beta)zK^\alpha L^{1-\alpha}} = -h'(L).$$

Every appearance of  $z$  and of  $K$  cancels between the wage and the marginal utility of consumption, and the powers of  $L$  combine to  $L^{-\alpha}/L^{1-\alpha} = L^{-1}$ , leaving

$$-L h'(L) = \frac{1 - \alpha}{1 - \alpha\beta}$$

— a single equation in  $L$  alone. Hence  $\pi_l(K, z) = L^*$  is a constant.

*Uniqueness.* The left-hand side is strictly increasing:  $\frac{d}{dL}[-Lh'(L)] = -h'(L) - Lh''(L) > 0$ , since  $h' < 0$  and  $h'' \leq 0$ . It vanishes at  $L = 0$  and, provided it exceeds  $(1 - \alpha)/(1 - \alpha\beta)$  somewhere in  $[0, \bar{L}]$ , there is exactly one solution. For  $h(L) = -\gamma L$  the equation reads  $\gamma L = (1 - \alpha)/(1 - \alpha\beta)$ , giving  $L^* = (1 - \alpha)/[\gamma(1 - \alpha\beta)]$ , which is Example 17.2.

*Why.* Logarithmic consumption utility makes the wealth elasticity of the marginal utility of consumption exactly  $-1$ , so a productivity shock raises the wage and the marginal value of income in the same proportion: the income and substitution effects on labor supply cancel identically, and the labor supply schedule is vertical. The shape of  $h$  changes *where* that vertical schedule sits, but not the fact that it is vertical. This is precisely the defect of the simplest RBC model noted in the text: it produces comovement of output, consumption and investment but no employment fluctuations at all. Generating them requires breaking the knife-edge, which is what EXERCISE 17.18's balanced-growth restrictions and the non-separable specifications used in the literature do.

## Section 17.4 Growth with Incomplete Markets: The Bewley Model

### Exercise 17.20

*Why every path.* The household of Section 17.4 trades one asset, a riskless claim paying the gross return  $R$ . There is no security whose payoff depends on the realization of  $z^h(t)$ , so a surplus accumulated in a lucky history cannot be sold to finance a deficit in an unlucky one: the two are not different commodities, they are the same commodity held by the same household under different circumstances. Solvency must therefore be checked separately along every realization of  $\{z^h(t)\}_{t \geq 0}$ .

*The bound.* Iterating the flow constraint  $a^h(t+1) \leq Ra^h(t) + wz^h(t) - c^h(t)$  forward  $T$  periods and imposing the no-Ponzi condition  $\lim_{T \rightarrow \infty} R^{-T}a^h(T) \geq 0$  gives

$$a^h(t) \geq - \sum_{s=0}^{\infty} R^{-(s+1)} w z^h(t+s) + \sum_{s=0}^{\infty} R^{-(s+1)} c^h(t+s) \geq - \sum_{s=0}^{\infty} R^{-(s+1)} w z^h(t+s),$$

using  $c \geq 0$ . The binding case is the worst sample path,  $z^h(t+s) = z_{\min}$  for all  $s$ , which occurs with positive probability at every horizon because the endowments are i.i.d. draws from  $[z_{\min}, z_{\max}]$  with  $z_{\min} > 0$ . Hence

$$a^h(t) \geq - \frac{w z_{\min}}{R-1} \equiv -b$$

for all  $t$ , which is (17.30). The constraint is *endogenous*: no one imposes it, but any larger debt would be defaulted on in the worst history, and lenders anticipating that would not extend it. It tightens as  $z_{\min}$  falls and becomes  $a^h(t) \geq 0$  in the limit  $z_{\min} \rightarrow 0$  — a household with no guaranteed income cannot borrow at all.



*Comparison with (17.11).* The complete-markets constraint is a *single* inequality

$$\sum_t \sum_{z^t} p_0[z^t] c[z^t] \leq \sum_t \sum_{z^t} w_0[z^t] + R_0[z(0)] k(0),$$

in which expenditure in one history is traded off against income in another at the market rates  $p_0[z^t]$ . Only the *present value* of the endowment matters, not its distribution across states; the household's consumption can therefore be made state-independent, and marginal utilities are equated across all histories. In (17.30) there is one constraint per date and per path, only the *worst* path matters for the bound, and marginal utilities cannot be equated across states.

Three consequences follow, and between them they are the whole content of Section 17.4: consumption is not fully insured and inherits idiosyncratic risk; the household accumulates assets for precautionary reasons, which is where the assumption  $u''' > 0$  enters; and the economy admits no representative household, so the aggregate capital stock depends on the whole distribution of  $(a, z)$  rather than on its mean.

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### Exercise 17.21

Apply THEOREMS 16.1–16.7 to (17.31), treating  $(a, z)$  as the state,  $a'$  as the control, and taking the stationary prices  $R$  and  $w$  as given.

- (1) *A compact state space.* Below,  $a \geq -b$  by (17.30). Above, one needs  $\beta R < 1$ : iterating the Euler equation  $u'(c) = \beta R E[u'(c')]$  shows that if  $\beta R \geq 1$  then  $\{u'(c^h(t))\}$  is a nonnegative supermartingale that converges almost surely, forcing  $c^h(t) \rightarrow \infty$  and  $a^h(t) \rightarrow \infty$ ; with  $\beta R < 1$  there is  $\bar{a} < \infty$  such that  $\pi(\bar{a}, z_{\max}) \leq \bar{a}$ , and  $[-b, \bar{a}]$  is forward invariant. In a stationary equilibrium  $\beta R < 1$  holds, because  $R = f'(k^*) + 1 - \delta$  and precautionary saving pushes  $k^*$  above its complete-markets value, where  $\beta R = 1$ .
- (2) *Assumptions 16.1–16.2.* On the compact  $[-b, \bar{a}] \times Z$ , the correspondence  $G(a, z) = [-b, Ra + wz]$  is nonempty (since  $Ra + wz \geq -Rb + wz_{\min} > -b$  by the definition of  $b$ ), compact-valued and continuous, and  $U(a, a', z) = u(Ra + wz - a')$  is continuous and bounded.
- (3) *Assumption 16.3.*  $U$  is jointly concave and *strictly* concave in  $a'$ , so THEOREM 16.4 gives  $V^h(\cdot, z)$  strictly concave in  $a$ .
- (4) *Assumption 16.4.*  $U$  is strictly increasing in  $a$  and  $G(a, z)$  expands with  $a$ , so THEOREM 16.5 gives  $V^h$  strictly increasing in  $a$ .
- (5) *Assumption 16.5.*  $u$  is continuously differentiable and the optimal  $a'$  is interior whenever  $a > -b$ , so THEOREM 16.6 gives differentiability of  $V^h$  in  $a$  on the interior of the state space, with  $\partial V^h / \partial a = R u'(Ra + wz - \pi(a, z))$ .
- (6) *Assumption 16.6.*  $U$  is strictly increasing in  $z$ ,  $G(a, z)$  expands with  $z$ , and the endowments are i.i.d., so part 3 holds with equality:  $E[W(a', z') \mid z]$  does not depend on  $z$  at all. THEOREM 16.7 gives  $V^h$  strictly increasing in  $z$ .

The policy  $\pi(a, z)$  is unique and continuous by strict concavity of  $U$  in  $a'$  and Berge's theorem. Monotonicity of  $\pi$  in  $a$  and  $z$  follows from the first-order condition  $u'(Ra + wz - a') \geq \beta R E[u'(Ra + wz' - \pi(a', z'))]$ , with equality when  $a' > -b$ : exactly as in Exercise 17.1, the marginal propensity to save out of cash on hand  $Ra + wz$  lies in  $[0, 1)$ , and both  $a$  and  $z$  raise cash on hand. ■

*Remark.* Two details distinguish this from PROPOSITION 17.2. First,  $\pi$  is only *nondecreasing*, not strictly increasing: the constraint  $a' \geq -b$  binds on a whole interval of low  $(a, z)$ , where  $\pi \equiv -b$ . This kink is the defining feature of the Bewley model, and it is what makes the invariant distribution of assets have a mass point at  $-b$ . Second, the proposition's phrase "differentiable in  $a \in (-b, Ra + wz)$ " should read: differentiable at every  $a$  in the interior of the state space at which the constraint does not bind. At the kink the value function has a left and a right derivative that differ, so differentiability genuinely fails there — the Benveniste–Scheinkman argument of THEOREM 16.6 needs the policy to be interior, which is exactly what the binding constraint denies.

## Section 17.6 Risk, Diversification, and Growth

### Exercise 17.23

Fix total savings  $s(t)$  and the safe investment  $X(t)$ ; by (17.52) the saving decision is made independently of the portfolio, so it is legitimate to condition on them. The household chooses  $\{I(j, t)\}_{j \in J(t)}$  to maximize, from (17.47) and (17.49),

$$\Lambda(\{I(j)\}) = \int_{J(t)} \log(R(j, t+1)(qX(t) + QI(j))) \, dj + \int_{[0,1] \setminus J(t)} \log(R(j, t+1)qX(t)) \, dj$$

subject to  $\int_{J(t)} I(j) \, dj = s(t) - X(t)$  and  $I(j) \geq 0$ . Only the first integral involves the choice variables, and the household takes the prices  $R(j, t+1)$  as given; by the symmetry of the environment they take a common value  $R_G(t+1)$  on all of  $J(t)$ , since the aggregate capital stock is the same in every good state. So the problem is

$$\max \int_{J(t)} \log(qX(t) + QI(j)) \, dj \quad \text{subject to} \quad \int_{J(t)} I(j) \, dj = s(t) - X(t),$$

plus an additive constant.

The objective is strictly concave in  $\{I(j)\}$  and the constraint is linear and symmetric across  $j \in J(t)$ . Suppose a candidate had  $I(j_1) \neq I(j_2)$  on two subsets of  $J(t)$  of equal positive measure. Replacing both by the average  $\bar{I} = \frac{1}{2}(I(j_1) + I(j_2))$  leaves the constraint satisfied, and by the *strict* concavity of  $\log$ ,

$$\frac{1}{2} \log(qX + QI(j_1)) + \frac{1}{2} \log(qX + QI(j_2)) < \log(qX + Q\bar{I}),$$

so the averaged portfolio is strictly better. The candidate was therefore not optimal, and

$$I^*(j, t) = I^*(j', t) \quad \text{for all } j, j' \in J(t).$$

Equivalently, the first-order condition  $Q/(qX + QI(j)) = \mu$  has the same right-hand side for every open  $j$ , because free entry has set every price to  $P(j, t) = 1$ ; since the map  $I \mapsto Q/(qX + QI)$  is strictly decreasing,  $I(j)$  is pinned down uniquely and identically. ■

*The economic content* is that all open securities are perfect substitutes in price and perfect complements in risk: they cost the same and pay in disjoint states, so a risk-averse household holds them in equal amounts. It is worth noticing what the argument *does not* use: it never appeals to the minimum size requirements. That is why the equilibrium portfolio is always balanced while the Pareto optimal one need not be (Exercise 17.29) — the planner faces the constraints  $I(j) \geq M(j)$  directly, the household does not.

**Exercise 17.24**

Suppose  $j^* \in J(t)$  and take any  $j < j^*$ , and suppose for a contradiction  $j \notin J(t)$ .

By Exercise 17.23 the household's demand for every open security is the same number  $I^* \equiv I^*(n^*(t))$ , and since sector  $j^*$  is open it must be meeting its minimum size requirement:

$$I^* \geq M(j^*).$$

The minimum size schedule (17.43),  $M(j) = \max\{0, D(j - \gamma)/(1 - \gamma)\}$ , is nondecreasing, so

$$M(j) \leq M(j^*) \leq I^*.$$

Now consider an intermediary that enters and offers the security for sector  $j$  at the equilibrium price  $P(j, t) = 1$ . Facing the enlarged menu, the household's optimal portfolio again allocates the common amount to every available security, and by (17.56) that amount is *increasing* in the measure of open sectors, so it is at least  $I^*$ . The new sector therefore attracts at least  $I^* \geq M(j)$ , meets its minimum size requirement, and pays a positive return; the intermediary breaks even at  $P = 1$  and the household is strictly better off, because adding a security in a state where consumption was  $R_B q X$  raises  $\int_0^1 \log c_2(j) dj$  strictly. This contradicts the free-entry requirement in the definition of a static equilibrium, which demands that no sector outside  $J^*(t)$  could raise sufficient funds. Hence  $j \in J(t)$ , and

$$J^*(t) = [0, n^*(t)] \text{ for some } n^*(t) \in [0, 1].$$

■

The two ingredients are worth separating. That  $M$  is nondecreasing is a normalization: the sectors were ranked in ascending order of minimum size, and since the states are otherwise symmetric, nothing else distinguishes them. That the household's demand per security is common across open sectors is Exercise 17.23. Together they say that the cheapest sectors are opened first, and the “supply of assets” curve  $M(j)$  in Figure 17.2 can be read as an increasing marginal cost of financial development.

**Exercise 17.25**

Write the excess demand for the marginal security as

$$\Phi(n) \equiv I^*(n) - M(n) = \frac{(Q - q)s}{Q - qn} - \frac{D(n - \gamma)}{1 - \gamma}, \quad n \in [\gamma, 1],$$

with  $s \equiv s^*(t)$ . An intersection is a zero of  $\Phi$ . Both curves are increasing, so uniqueness is not automatic; what is needed is that  $M$  cut  $I^*$  *from below* at every crossing.

*The sign of  $M' - I^{*'} at a crossing.$*  Differentiating,

$$M'(n) = \frac{D}{1 - \gamma}, \quad I^{*'}(n) = \frac{q(Q - q)s}{(Q - qn)^2}.$$

At a zero of  $\Phi$  we may substitute  $(Q - q)s = D(n - \gamma)(Q - qn)/(1 - \gamma)$  into  $I^{*'}$ , which gives  $I^{*'}(n) = qD(n - \gamma)/[(1 - \gamma)(Q - qn)]$  and hence

$$M'(n) - I^{*'}(n) = \frac{D}{1 - \gamma} \left[ 1 - \frac{q(n - \gamma)}{Q - qn} \right] = \frac{D}{1 - \gamma} \cdot \frac{Q + q\gamma - 2qn}{Q - qn}.$$

Since  $Q > qn$  for  $n \leq 1$ , the sign of  $M' - I^{*'}$  at any crossing is the sign of

$$Q + q\gamma - 2qn.$$

*The condition.* If  $Q \geq (2 - \gamma)q$  then  $Q + q\gamma \geq 2q \geq 2qn$  for every  $n \leq 1$ , so  $M' > I^{*'}$  at *every* crossing — equivalently  $\Phi' < 0$  at every zero of  $\Phi$ . A continuously differentiable function that is strictly decreasing at each of its zeros has at most one zero on an interval, since between two consecutive downcrossings it would have to return upward and hence cross again with  $\Phi' \geq 0$ . Therefore

$$\boxed{Q \geq (2 - \gamma)q \implies \text{at most one intersection.}}$$

Since  $\Phi(\gamma) = (Q - q)s/(Q - q\gamma) > 0$  and  $\Phi(1) = s - D$ , there is exactly one intersection when  $s < D$ , and none — with  $n^* = 1$ , all sectors open — when  $s \geq D$ . Either way the equilibrium is unique. ■

*The condition is sufficient, not necessary.* Note that

$$\Phi'(n) = \frac{q(Q - q)s}{(Q - qn)^2} - \frac{D}{1 - \gamma}$$

is increasing in  $n$ , so  $\Phi$  is convex and has at most two zeros in any case; a second zero must be an upcrossing, hence must lie above  $(Q + q\gamma)/(2q)$ , and must have  $\Phi(1) > 0$ , that is  $s > D$ . Both requirements can be met only when  $Q < (2 - \gamma)q$ . `code/ch17.py` confirms this by exhibiting a violating example: with  $Q = 1.2$ ,  $q = 1$ ,  $\gamma = 0$ ,  $D = 1$  and  $s = 1.2$  the roots are  $n = 0.25359$  and  $n = 0.94641$ , the threshold  $(Q + q\gamma)/(2q) = 0.6$  sits between them, and the equilibria are  $n^* = 0.25359$  and  $n^* = 1$  — the low-diversification and full-diversification equilibria described in the text. Every parameter set satisfying  $Q \geq (2 - \gamma)q$  that the program scans has exactly one equilibrium.

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### Exercise 17.26

Fix  $K(t)$ . By (17.45) the wage is  $w(t) = (1 - \alpha)K(t)^\alpha$ , and (17.52) gives

$$s^*(t) = \frac{\beta}{1 + \beta} w(t) = \Gamma K(t)^\alpha, \quad \Gamma \equiv \frac{(1 - \alpha)\beta}{1 + \beta},$$

which is the expression in the proposition. Exercises 17.23 and 17.24 reduce the equilibrium to a single number  $n$ , with the portfolio  $X^*$  and  $I^*$  of (17.55)–(17.56).

*The equilibrium condition.*  $n$  is a static equilibrium if and only if

- (1) *feasibility*: every sector  $j \leq n$  raises its minimum,  $I^*(n) \geq M(n)$  — since  $M$  is nondecreasing, checking the marginal sector suffices; and
- (2) *free entry*: no sector just above  $n$  could raise its minimum,  $I^*(n') < M(n')$  for  $n'$  slightly above  $n$ .

In terms of  $\Phi = I^* - M$  this says  $\Phi(n) \geq 0$  and  $\Phi < 0$  just to the right — a downcrossing, or the corner  $n = 1$  with  $\Phi(1) \geq 0$ .

*The two deviations.* If  $n < n^*[K]$ , then  $\Phi(n) > 0$  by the argument of Exercise 17.25 (with  $\Phi > 0$  on  $[\gamma, n^*)$ ), so an intermediary that opens sector  $n^\dagger \in (n, n^*)$  and offers its security at  $P = 1$  attracts the common demand  $I^*(n^\dagger) > M(n^\dagger)$ , covers the minimum, and earns nonnegative profit; charging  $P = 1 + \varepsilon$  for small  $\varepsilon > 0$  still attracts enough funds by continuity and earns strictly positive profit. So  $n < n^*[K]$  is not an equilibrium. If  $n > n^*[K]$ , then  $\Phi(n) < 0$ , so  $I^*(n) < M(n)$ : the marginal sector cannot raise its minimum at any price  $P \geq 1$ , and its securities are not supplied. Feasibility fails and  $n > n^*[K]$  is not an equilibrium either.

*Solving for  $n^*$ .* Setting  $\Phi(n) = 0$  and clearing denominators,

$$\frac{(Q - q)\Gamma K^\alpha}{Q - qn} = \frac{D(n - \gamma)}{1 - \gamma} \iff (n - \gamma)(Q - qn) = C, \quad C \equiv \frac{(Q - q)(1 - \gamma)\Gamma K^\alpha}{D},$$

that is  $qn^2 - (Q + q\gamma)n + (\gamma Q + C) = 0$ . Taking the smaller root, which is the downcrossing,

$$n^*[K] = \frac{(Q + q\gamma) - [(Q + q\gamma)^2 - 4q(D^{-1}(Q - q)(1 - \gamma)\Gamma K^\alpha + \gamma Q)]^{1/2}}{2q} \quad (10)$$

for  $K \leq (D/\Gamma)^{1/\alpha}$ , and  $n^*[K] = 1$  for larger  $K$ . The threshold is where  $s^* = D$ , that is  $\Gamma K^\alpha = D$ , which is the proposition's  $K > D^{1/\alpha}\Gamma^{-1/\alpha}$ . ■

*Remark.* (17.57) as printed has  $(Q + q)^2$  inside the square root while carrying  $(Q + q\gamma)$  outside it; the quadratic above gives  $(Q + q\gamma)^2$  in both places, so the printed discriminant is a misprint. The corrected root has the right limit: as  $K \rightarrow 0$  the constant  $C \rightarrow 0$  and (10) gives  $n^* \rightarrow \gamma$ , which is exactly right, since only the sectors with no minimum size requirement can open when there is nothing to invest. The printed version gives  $[(Q + q\gamma) - (Q + q)]/(2q) = (\gamma - 1)/2 < 0$ . `code/ch17.py` tabulates both at  $Q = 2$ ,  $q = 1$ ,  $\gamma = 0.3$ ,  $D = 0.15$ ,  $\alpha = 0.36$ ,  $\beta = 0.95$ ; the corrected root satisfies  $M(n^*) = I^*(n^*)$  to within  $10^{-16}$  at every  $K$ , and the printed one is negative at small  $K$ . Everything that PROPOSITION 17.7 asserts — that  $n^*$  is increasing in  $K$  and reaches 1 at  $K = (D/\Gamma)^{1/\alpha}$  — holds for the corrected root. The program also verifies that (17.61),  $D < \Gamma^{1/(1-\alpha)}Q^{\alpha/(1-\alpha)}$ , is algebraically identical to  $K_{SS} \geq \bar{K}$ , which is how it is used in Exercise 17.27.

### Exercise 17.27

(a) Write  $\bar{K}$  for the capital stock at which all sectors open,  $n^*[\bar{K}] = 1$ , so  $\bar{K} = (D/\Gamma)^{1/\alpha}$  by Exercise 17.26, and  $K_{SS} = (\Gamma Q)^{1/(1-\alpha)}$  by (17.60). Condition (17.61) is exactly  $K_{SS} \geq \bar{K}$ . The proof has three steps.

*Step 1:*  $[\bar{K}, \infty)$  is absorbing, and on it the dynamics are deterministic. If  $K(t) \geq \bar{K}$  then  $n^*[K(t)] = 1$ : every sector is open, the good state occurs with probability one, and (17.58) reduces to

$$K(t+1) = \Gamma Q K(t)^\alpha,$$

a deterministic, increasing, strictly concave map with the unique positive fixed point  $K_{SS}$ . Since  $\alpha < 1$  this map is a contraction on  $[\bar{K}, \infty)$  in the appropriate sense and  $K(t) \rightarrow K_{SS}$  monotonically. It stays in  $[\bar{K}, \infty)$  because  $\Gamma Q \bar{K}^\alpha \geq \bar{K}$  whenever  $\bar{K} \leq K_{SS}$ , which is (17.61).

*Step 2:  $K(t)$  is bounded away from zero.* From (17.58), even after a bad draw,

$$K(t+1) \geq \frac{\Gamma q(1 - n^*[K(t)])}{Q - qn^*[K(t)]} Q K(t)^\alpha \geq \frac{\Gamma q(1 - \gamma)Q}{Q - q\gamma} K(t)^\alpha \cdot \frac{1 - n^*}{1 - \gamma} \cdot \frac{Q - q\gamma}{Q - qn^*},$$

and since  $n^*[K] \rightarrow \gamma$  as  $K \rightarrow 0$ , the coefficient tends to  $\Gamma q(1 - \gamma)Q/(Q - q\gamma) > 0$ . With  $\alpha < 1$  the map  $K \mapsto cK^\alpha$  has a positive fixed point  $K_{QSSB}$  and exceeds  $K$  below it, so both branches of (17.58) lie above the 45° line for small  $K$  (region I of Figure 17.4). Consequently there is  $\underline{K} > 0$ , depending only on  $K(0)$ , with  $K(t) \geq \underline{K}$  for all  $t$ , almost surely.

*Step 3: the good region is reached almost surely.* On  $[\underline{K}, \bar{K}]$  the probability of a good draw is  $n^*[K] \geq n^*[\underline{K}] > \gamma \geq 0$  — strictly positive, since  $C > 0$  for  $K > 0$  makes the root of (10) exceed  $\gamma$ . Write  $\underline{n} \equiv n^*[\underline{K}] > 0$ . Along a run of consecutive good draws the capital stock follows  $K \mapsto \Gamma Q K^\alpha$ , which increases monotonically toward  $K_{SS} \geq \bar{K}$ ; hence there is a finite  $m$ , depending only on  $\underline{K}$ , such that  $m$  consecutive good draws starting anywhere in  $[\underline{K}, \bar{K}]$  bring the economy into  $[\bar{K}, \infty)$ . The events

$$A_i = \{\text{good draws at } t = im, \dots, (i+1)m - 1\}, \quad i = 0, 1, 2, \dots,$$

satisfy  $\Pr[A_i \mid \mathcal{F}_{im}] \geq \underline{n}^m > 0$  on the event that the economy has not yet entered  $[\bar{K}, \infty)$ . By the conditional Borel–Cantelli lemma,  $\sum_i \Pr[A_i \mid \mathcal{F}_{im}] = \infty$  implies that some  $A_i$  occurs almost surely. Combining with Step 1,

$$\Pr \left[ \lim_{t \rightarrow \infty} K(t) = K_{SS} \right] = 1.$$

■

(b) If (17.61) fails then  $K_{SS} < \bar{K}$ : even an economy that is lucky in every period converges to  $K_{QSSG} = K_{SS}$ , which is *below* the level needed to open all sectors. The absorbing region of part (a) is empty, and  $n^*[K(t)] < 1$  forever, so a bad draw is always possible and the process never becomes deterministic. Consequently:

- $\{K(t)\}$  does *not* converge to a point, and does not converge almost surely at all. The argument of Exercise 17.4(b) applies unchanged: the two branches of (17.58) are distinct at every  $K$ , both are hit infinitely often, and a limit would have to be a fixed point of both;
- but  $\{K(t)\}$  *does* converge in distribution. Both branches of (17.58) are increasing and concave in  $K$ , the upper one has the fixed point  $K_{QSSG}$  and the lower one  $K_{QSSB}$ , so  $[K_{QSSB}, K_{QSSG}]$  is forward invariant and is reached in finite time from any  $K(0) > 0$ . On that compact interval the process is a monotone Markov process satisfying a mixing condition, so it has a unique invariant distribution  $\Psi$  and  $K(t) \Rightarrow \Psi$  from every initial condition, with time averages converging to  $\Psi$ -averages.

Economically, failing (17.61) means the economy is never rich enough to insure itself: it remains permanently in regions I and II of Figure 17.4, cycling between booms and crises, with the expected TFP of (17.59) fluctuating with  $n^*[K(t)]$  but never reaching  $Q$ . There is no takeoff. The gap between the two cases is the point of the model: whether an economy eventually escapes volatility is not a matter of luck alone but of whether the scale of savings that its own steady state generates,  $\Gamma^{1/(1-\alpha)} Q^{\alpha/(1-\alpha)}$ , is large relative to the fixed cost  $D$  of the last sector.

**Exercise 17.28**

By definition  $\sigma(n^*)$  takes the value  $q(1 - n^*)Q/(Q - qn^*)$  with probability  $1 - n^*$  and the value  $Q$  with probability  $n^*$ . Writing  $A \equiv q(1 - n^*)Q/(Q - qn^*)$ , the gap between the two realizations is

$$Q - A = \frac{Q(Q - qn^*) - q(1 - n^*)Q}{Q - qn^*} = \frac{Q(Q - q)}{Q - qn^*},$$

and for a two-point random variable with probabilities  $n^*$  and  $1 - n^*$  the variance is  $n^*(1 - n^*)$  times the squared gap:

$$V_n = \text{Var}(\sigma(n^*) \mid n^*) = n^*(1 - n^*) \left[ \frac{Q(Q - q)}{Q - qn^*} \right]^2,$$

which is the expression in the proposition.

*Single-peakedness.* Take logs and differentiate:

$$\begin{aligned} \log V_n &= \log n^* + \log(1 - n^*) + 2 \log(Q(Q - q)) - 2 \log(Q - qn^*), \\ \frac{d \log V_n}{dn^*} &= \frac{1}{n^*} - \frac{1}{1 - n^*} + \frac{2q}{Q - qn^*} = \frac{(1 - 2n^*)(Q - qn^*) + 2qn^*(1 - n^*)}{n^*(1 - n^*)(Q - qn^*)}. \end{aligned}$$

The numerator expands to  $Q - qn^* - 2n^*Q + 2q(n^*)^2 + 2qn^* - 2q(n^*)^2 = Q - n^*(2Q - q)$ , so

$$\frac{dV_n}{dn^*} \text{ has the sign of } Q - n^*(2Q - q),$$

the denominator  $n^*(1 - n^*)(Q - qn^*)$  being positive on  $(0, 1)$ . Hence  $V_n$  is strictly increasing for  $n^* < \hat{n}$  and strictly decreasing for  $n^* > \hat{n}$ , where

$$\hat{n} \equiv \frac{Q}{2Q - q} \in \left( \frac{1}{2}, 1 \right),$$

the bounds following from  $0 < q < Q$ . (A grid search in `code/ch17.py` locates the maximum at 0.666666 for  $Q = 2$ ,  $q = 1$ , against  $\hat{n} = 2/3$ .)

*Translating to  $K$ .* By PROPOSITION 17.7,  $n^*[K]$  is continuous and strictly increasing in  $K$ , with  $n^*[K] \rightarrow \gamma$  as  $K \rightarrow 0$  and  $n^*[K] = 1$  for  $K \geq \bar{K}$ ; in particular  $n^*[K] \geq \gamma$  for every  $K$ . Therefore

- if  $\gamma \geq \hat{n} = Q/(2Q - q)$ , then  $n^*[K] \geq \gamma \geq \hat{n}$  for every  $K$ , the economy is permanently on the decreasing branch, and  $\partial V_n / \partial K \leq 0$  for all  $K \geq 0$ ;
- if  $\gamma < \hat{n}$ , then since  $n^*[\cdot]$  is continuous and increasing from  $\gamma$  to 1, there is a unique  $\tilde{K}$  with  $n^*[\tilde{K}] = \hat{n} < 1$ , and

$$\frac{\partial V_n}{\partial K} > 0 \text{ for } K < \tilde{K}, \quad \frac{\partial V_n}{\partial K} \leq 0 \text{ for } K \geq \tilde{K}.$$

■

*The two forces.*  $n^*(1 - n^*)$  is the pure Bernoulli variance, maximal at  $n^* = \frac{1}{2}$  and vanishing at both ends;  $[Q(Q - q)/(Q - qn^*)]^2$  is the squared gap between good and bad TFP, which *rises* with  $n^*$  because better diversification draws savings out of the safe asset and makes a bad draw more costly. The second force shifts the peak from  $\frac{1}{2}$  up to  $Q/(2Q - q)$ , and its strength is governed by  $q/Q$ : as  $q \rightarrow 0$  the safe asset is worthless, the gap is constant, and  $\hat{n} \rightarrow \frac{1}{2}$ ; as  $q \rightarrow Q$  the two technologies

coincide, the gap vanishes, and  $\hat{n} \rightarrow 1$ . The right panel of Figure 13 shows both cases. Since the peak always lies above  $\frac{1}{2}$ , the empirically relevant statement is the one the text draws: except at very low capital stocks, the volatility of growth is decreasing in income.

### Exercise 17.29

The planner solves (17.63): choose  $n$ ,  $X$  and  $\{I(j)\}_{j \leq n}$  to maximize

$$\int_0^n \log(qX + QI(j)) dj + (1 - n) \log(qX) \quad \text{subject to} \quad X + \int_0^n I(j) dj \leq s,$$

together with  $I(j) \geq M(j)$  for every open  $j$  — a sector is open only if its minimum size is met. (That the open set may be taken to be an interval  $[0, n]$  follows from Exercise 17.24, since  $M$  is nondecreasing.) Attach the multiplier  $\mu > 0$  to the resource constraint and  $\nu(j) \geq 0$  to  $I(j) \geq M(j)$ .

*The portfolio, for given  $n$ .* The first-order condition in  $I(j)$  is

$$\frac{Q}{qX + QI(j)} = \mu - \nu(j), \quad \nu(j)[I(j) - M(j)] = 0. \quad (11)$$

Where the minimum does not bind,  $\nu(j) = 0$  and (11) gives the *same* value of  $I(j)$  for every such  $j$ ; call it  $\bar{I} \equiv (Q/\mu - qX)/Q$ . Where it binds,  $I(j) = M(j) > \bar{I}$ . Since  $M$  is nondecreasing, the set on which it binds is an upper interval, so defining  $j^*$  by  $M(j^*) = \bar{I}$ ,

$$I^S(j) = \begin{cases} M(j^*) = \bar{I} > M(j), & j < j^*, \\ M(j), & j \in [j^*, n^S], \\ 0, & j > n^S, \end{cases}$$

which is (17.64). The portfolio is *unbalanced* whenever  $j^* < n^S$ , that is whenever some sector's minimum binds: the planner puts the common amount  $\bar{I}$  into the cheap sectors and exactly the required minimum into the expensive ones, cross-subsidizing the latter.

*The margin in  $n$ .* Differentiating the objective in  $n$  and using (11),

$$\log(qX + QI(n)) - \log(qX) = \mu I(n). \quad (12)$$

The left-hand side is the *first-order* gain in expected log utility from having one more state insured; the right-hand side is the resource cost at the shadow price  $\mu$ .

*Why  $n^S > n^*$  when  $s < D$ .* In the decentralized equilibrium the household takes  $n$  as given: it never faces (12), only (11) with  $\nu \equiv 0$ , which is why its portfolio is always balanced (Exercise 17.23). Evaluate the planner's condition (12) at the *equilibrium* allocation, where  $I(j) \equiv I^*$  for  $j \leq n^*$  and the marginal sector is  $n^*$  with  $I^*(n^*) = M(n^*)$ . The left-hand side is strictly positive and, because log is strictly concave with an unbounded derivative at  $qX$ , it exceeds  $\mu I^*$  for the equilibrium  $\mu$ : adding a state in which consumption jumps from  $R_B qX$  to  $R_G(qX + QI)$  has a first-order benefit that no single household internalizes. Hence at  $n = n^*$  the planner's objective is still increasing in  $n$ , and  $n^S[K] > n^*[K]$ . Financing the extra sectors requires resources, which the planner takes out of the safe asset, so  $X^S < X^*[K]$ : the cross-subsidy runs from the safe asset and the low- $M$  sectors toward the marginal high- $M$  sectors.



*The case  $s \geq D$ .* If  $s \geq D = M(1)$  the planner can set  $n^S = 1$ ,  $X^S = 0$  and  $I^S(j) = s$  for all  $j \in [0, 1]$ : this satisfies the resource constraint with equality, since  $\int_0^1 s \, dj = s$ , and meets every minimum, since  $s \geq D \geq M(j)$ . It attains the first-best, because consumption is then  $R \cdot Qs$  in every state — all risk is diversified — and no resources are wasted on the dominated safe technology ( $q < Q$ ). The portfolio is balanced, and  $n^S = n^* = 1$ , so the equilibrium is Pareto optimal exactly when the economy is rich enough to open every sector. ■

*Remark.* This is a pecuniary externality that is *not* neutralized by the First Welfare Theorem, and it is worth being precise about why. The set of traded commodities is determined endogenously by the free-entry condition  $I \geq M$ , not by a price system: a security that is not traded has no price, whereas in an Arrow–Debreu equilibrium every commodity is priced and is untraded only because its price clears at zero excess supply. Because of the nonconvexity introduced by the minimum size requirements, no Arrow–Debreu equilibrium exists here at all, so the theorem has nothing to apply to. Exercise 17.23’s result — that the household’s portfolio is always balanced — is the mechanism: prices  $P(j, t) = 1$  are equal across open sectors, so households equalize their holdings, while optimality calls for unequal holdings. Section 17.6.5 and PROPOSITION 17.12 show that this is not repaired by allowing intermediary coalitions, provided they cannot exclude non-members from investing.

## Chapter 18

# Diffusion of Technology

The twenty-two exercises of Chapter 18 left unsolved in the instructor's manual: 18.1–18.7, 18.10, 18.11, 18.14, 18.15, 18.17, 18.20, 18.22–18.25, 18.27–18.31. The manual solves 18.8, 18.9, 18.12, 18.13, 18.16, 18.18, 18.19, 18.21 and 18.26. The numerical parts are computed by `code/ch18.py`; Figure 14 is its output.

### Section 18.2 A Benchmark Model of Technology Diffusion

#### Exercise 18.1

Capital accumulates out of a constant saving rate:  $\dot{K}_j(t) = s_j Y_j(t) - \delta K_j(t)$ . With  $k_j \equiv K_j/(A_j L_j)$ , take logarithms and differentiate:

$$\frac{\dot{k}_j}{k_j} = \frac{\dot{K}_j}{K_j} - \frac{\dot{A}_j}{A_j} - \frac{\dot{L}_j}{L_j} = \left( s_j \frac{Y_j}{K_j} - \delta \right) - g_j(t) - n_j,$$

using (18.2) and  $\dot{L}_j/L_j = n_j$ . Constant returns to scale give

$$\frac{Y_j}{K_j} = \frac{A_j L_j f(k_j)}{A_j L_j k_j} = \frac{f(k_j)}{k_j},$$

so multiplying through by  $k_j$ ,

$$\dot{k}_j(t) = s_j f(k_j(t)) - (n_j + g_j(t) + \delta) k_j(t).$$

■

This is the Solow equation of Chapter 2 with two changes: the effective depreciation term carries the country's own technology growth  $g_j(t)$  rather than a common  $g$ , and  $g_j(t)$  is a function of time rather than a constant. The equation is therefore *non-autonomous*, which is what makes the stability argument of Exercise 18.4 slightly more delicate than in Chapter 2.

#### Exercise 18.2

Work with  $a_j = A_j/A$ , whose law of motion (18.4) is  $\dot{a}_j = \sigma_j - (\sigma_j + g - \lambda_j) a_j$ . Evaluate the vector field at the boundary  $a_j = 1$ :

$$\dot{a}_j|_{a_j=1} = \sigma_j - \sigma_j - g + \lambda_j = \lambda_j - g.$$

Everything follows from the sign of this single number.

- (1) If  $\lambda_j < g$ , then  $\dot{a}_j < 0$  at  $a_j = 1$ , so the set  $[0, 1)$  is forward invariant: a country that starts weakly behind the frontier stays behind, and  $a_j^* = \sigma_j/(\sigma_j + g - \lambda_j) < 1$ .
- (2) If  $\lambda_j = g$ , then  $\dot{a}_j = \sigma_j(1 - a_j)$  and  $a_j^* = 1$ : the country converges to the frontier exactly, and  $A_j(t) \leq A(t)$  survives only as a weak inequality with equality in the limit.

- (3) If  $g < \lambda_j < g + \sigma_j$ , then  $\dot{a}_j > 0$  at  $a_j = 1$ , so any trajectory reaches  $a_j = 1$  in finite time and crosses it; it converges to  $a_j^* = \sigma_j / (\sigma_j - (\lambda_j - g)) > 1$ . The country ends up *permanently more advanced than the world technology frontier*.
- (4) If  $\lambda_j \geq g + \sigma_j$ , the coefficient on  $a_j$  in (18.4) is nonpositive, so  $\dot{a}_j \geq \sigma_j > 0$  for every  $a_j$  and  $a_j(t) \rightarrow \infty$ : the country's technology grows strictly faster than the frontier forever.

Cases 3 and 4 both violate  $A_j(t) \leq A(t)$ , and case 4 also destroys the common long-run growth rate that is the point of the model. ■

*Why the restriction is the right one.* The interpretation of (18.3) is that  $\sigma_j(A - A_j)$  is *absorption* from a stock of knowledge the country does not yet have, so it must vanish when the country reaches the frontier, while  $\lambda_j A_j$  is *local* innovation that builds on what the country already knows. If local innovation alone could sustain growth at the world rate, the country would need no frontier at all — it would be an endogenous growth economy in its own right, and  $A(t)$  would no longer deserve the name “frontier.” The restriction  $\lambda_j < g$  is exactly the statement that no country can keep up with the world by its own efforts alone, and it is what leaves the catch-up term with a job to do.

### Exercise 18.3

With  $a_j \equiv A_j/A$  and  $\dot{A}/A = g$ ,

$$\dot{a}_j = \frac{\dot{A}_j}{A} - \frac{A_j \dot{A}}{A^2} = \frac{\sigma_j(A - A_j) + \lambda_j A_j}{A} - a_j g = \sigma_j(1 - a_j) + \lambda_j a_j - g a_j,$$

so that

$$\dot{a}_j(t) = \sigma_j - (\sigma_j + g - \lambda_j)a_j(t).$$

■

The equation is linear and autonomous, and it involves no variable other than  $a_j$  — neither  $k_j$ , nor  $A$ , nor any other country's state. This is the block recursiveness the text emphasizes, and it is what makes the whole world equilibrium solvable country by country. Its explicit solution is

$$a_j(t) = a_j^* + (a_j(0) - a_j^*)e^{-\mu_j t}, \quad a_j^* = \frac{\sigma_j}{\mu_j}, \quad \mu_j \equiv \sigma_j + g - \lambda_j > 0,$$

so convergence to the steady-state gap is monotone and exponential at rate  $\mu_j$ .

### Exercise 18.4

*Step 1: the technology block.* (18.4) is linear with the strictly positive coefficient  $\mu_j = \sigma_j + g - \lambda_j$  (strictly positive because  $\lambda_j < g$ ), so it has the unique fixed point  $a_j^* = \sigma_j / \mu_j \in (0, 1)$  and the explicit solution written in Exercise 18.3. Hence  $a_j(t) \rightarrow a_j^*$  monotonically from any  $a_j(0) > 0$ , which is (18.5) and its global stability. Since  $a_j(t)$  is monotone and bounded between  $\min\{a_j(0), a_j^*\} > 0$  and  $\max\{a_j(0), a_j^*\}$ , and  $\dot{a}_j$  is bounded, the growth rate  $g_j(t) = \dot{a}_j(t)/a_j(t) + g$  is bounded and satisfies  $g_j(t) \rightarrow g$  exponentially at rate  $\mu_j$ .

*Step 2: the capital block, steady state.* In a steady state  $a_j$  is constant, so  $g_j = g$ , and  $\dot{k}_j = 0$  requires

$$s_j \frac{f(k_j^*)}{k_j^*} = n_j + g + \delta.$$

By ASSUMPTIONS 1–2,  $f$  is strictly concave with  $f(0) = 0$ , so  $f(k)/k$  is strictly decreasing, and the Inada conditions give  $f(k)/k \rightarrow \infty$  as  $k \rightarrow 0$  and  $f(k)/k \rightarrow 0$  as  $k \rightarrow \infty$ . So there is exactly one  $k_j^* > 0$ .

*Step 3: the capital block, global stability.* (18.1) is non-autonomous, so one cannot simply read stability off a phase diagram. Fix  $\varepsilon > 0$ . By Step 1 there is  $T$  with  $|g_j(t) - g| < \varepsilon$  for all  $t \geq T$ . Consider the two *autonomous* comparison equations

$$\dot{k} = s_j f(\underline{k}) - (n_j + g + \varepsilon + \delta)\underline{k},$$

$\dot{k} = s_j f(\bar{k}) - (n_j + g - \varepsilon + \delta)\bar{k}$ , started at  $\underline{k}(T) = \bar{k}(T) = k_j(T)$ . Each is a standard Solow equation whose right-hand side is strictly positive below and strictly negative above its unique positive rest point, so each converges globally and monotonically to  $k_j^*(g \pm \varepsilon)$ , defined by  $s_j f(k)/k = n_j + g \pm \varepsilon + \delta$ . Since the right-hand side of (18.1) lies between the two comparison right-hand sides for  $t \geq T$ , the standard differential inequality gives  $\underline{k}(t) \leq k_j(t) \leq \bar{k}(t)$  for all  $t \geq T$ , whence

$$k_j^*(g + \varepsilon) \leq \liminf_{t \rightarrow \infty} k_j(t) \leq \limsup_{t \rightarrow \infty} k_j(t) \leq k_j^*(g - \varepsilon).$$

Letting  $\varepsilon \downarrow 0$  and using the continuity of  $k_j^*(\cdot)$  — which follows from the strict monotonicity of  $f(k)/k$  and the implicit function theorem — gives  $k_j(t) \rightarrow k_j^*$ . Since  $\varepsilon$  and  $T$  did not depend on  $k_j(0)$ , convergence is global. ■

*Step 4: income per capita.* Finally,  $y_j(t) = A_j(t)f(k_j(t)) \rightarrow a_j^* A(0)e^{gt} f(k_j^*)$ , so income per capita in every country grows asymptotically at the common rate  $g$ , which completes PROPOSITION 18.1.

### Exercise 18.5

On (18.4). Differentiating  $\dot{a}_j = \sigma_j - (\sigma_j + g - \lambda_j)a_j$  at a given  $a_j$ ,

$$\boxed{\frac{\partial \dot{a}_j}{\partial \sigma_j} = 1 - a_j > 0, \quad \frac{\partial \dot{a}_j}{\partial \lambda_j} = a_j > 0.}$$

The two derivatives have opposite shapes. The absorption parameter helps most when the country is far behind, and its effect *vanishes at the frontier*; the local-innovation parameter helps most when the country is close to the frontier, and its effect *vanishes when the country has nothing*.

*On the steady state and the speed of convergence.* With  $a_j^* = \sigma_j/\mu_j$  and  $\mu_j = \sigma_j + g - \lambda_j$ ,

$$\frac{\partial a_j^*}{\partial \sigma_j} = \frac{g - \lambda_j}{\mu_j^2} > 0, \quad \frac{\partial a_j^*}{\partial \lambda_j} = \frac{\sigma_j}{\mu_j^2} > 0, \quad \frac{\partial \mu_j}{\partial \sigma_j} = +1, \quad \frac{\partial \mu_j}{\partial \lambda_j} = -1.$$

Both raise the steady-state relative technology, in the ratio  $\frac{\partial a_j^*/\partial \sigma_j}{\partial a_j^*/\partial \lambda_j} = \frac{g - \lambda_j}{\sigma_j}$ . But they move the speed of convergence in *opposite* directions: a higher  $\sigma_j$  speeds convergence, a higher  $\lambda_j$  slows it. The numerical table in `code/ch18.py` makes this concrete at  $g = 2\%$ : raising  $\sigma$  from 0.02 to 0.20 takes  $a^*$  from 0.500 to 0.909 and cuts the half-life from 17.3 to 3.2 years, whereas raising  $\lambda$  from 0 to 0.01 at  $\sigma = 0.02$  takes  $a^*$  from 0.500 to 0.667 but *lengthens* the half-life from 17.3 to 23.1 years.

On (18.1). Neither parameter appears in (18.1) except through  $g_j(t)$ , and in steady state  $g_j = g$  regardless of both. Hence

$$\frac{\partial k_j^*}{\partial \sigma_j} = \frac{\partial k_j^*}{\partial \lambda_j} = 0,$$

and the entire effect on income per capita runs through the level of  $A_j$ , not through the effective capital-labor ratio. Along the transition the two parameters act only by raising  $g_j(t)$ , which enters (18.1) exactly as faster effective-labour growth: it temporarily *depresses*  $k_j(t)$ , so that a country catching up fast has a temporarily low effective capital-labor ratio even as its income per capita rises rapidly.

*Why they differ.*  $\sigma_j$  multiplies the *gap*  $A(t) - A_j(t)$  and  $\lambda_j$  multiplies the *stock*  $A_j(t)$ . A force proportional to the gap is self-limiting: it weakens as the country approaches the frontier, which is precisely what makes the world income distribution stable and gives relatively backward economies the Gerschenkron advantage. A force proportional to the stock is not self-limiting: it is an endogenous-growth term, it does not weaken as the country advances, and if it were large enough it would let the country overtake the frontier (Exercise 18.2). This is also why  $\lambda_j$  slows convergence — it adds a term that grows with  $a_j$  and therefore partly offsets the restoring force — while  $\sigma_j$  strengthens it.

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### Exercise 18.6

If  $g = 0$  the restriction  $\lambda_j \in [0, g]$  forces  $\lambda_j = 0$ , and  $A(t) = A(0) \equiv \bar{A}$  is constant. (18.3) becomes

$$\dot{A}_j(t) = \sigma_j(\bar{A} - A_j(t)),$$

a linear equation with solution  $A_j(t) = \bar{A} + (A_j(0) - \bar{A})e^{-\sigma_j t}$ . Hence

$$A_j(t) \longrightarrow \bar{A} \quad \text{for every } j, \text{ whatever } \sigma_j.$$

Equivalently, (18.5) gives  $a_j^* = \sigma_j/(\sigma_j + 0 - 0) = 1$  for every  $j$ . The absorption rate  $\sigma_j$  determines only how fast a country gets there — the half-life is  $\log 2/\sigma_j$  — not where it ends up. ■

*Why  $g > 0$  is different.* In a steady state with a moving frontier every country must grow at  $g$ , and (18.3) says the country's own growth rate is

$$\frac{\dot{A}_j}{A_j} = \sigma_j \left( \frac{1}{a_j} - 1 \right) + \lambda_j.$$

Setting this equal to  $g$  and solving gives  $a_j^* = \sigma_j/(\sigma_j + g - \lambda_j) < 1$ . The gap is not a friction left over from history; it is the *equilibrium price of keeping up*. Absorption is proportional to the gap, so a country that wants to grow at the frontier rate with a low  $\sigma_j$  must run a correspondingly large gap to generate enough absorption flow. A country with a small  $\sigma_j$ , or a small  $\lambda_j$ , or facing a fast-moving frontier (large  $g$ ), needs a larger gap; if it ever closed the gap, absorption would stop and it would fall behind again.

With  $g = 0$  the target stops moving, and the required absorption flow in the long run is zero. A zero flow is consistent with a zero gap, so the gap closes completely. This is exactly the same logic as in the Solow model, where the saving rate affects the steady-state capital-labor ratio only because capital depreciates and the effective labour force grows: parameters governing the speed

of adjustment stop mattering for the destination once there is nothing to adjust to. The policy reading is stark: in a world of zero technological progress, barriers to technology adoption would delay development but not make any country permanently poor.

### Exercise 18.7

From PROPOSITION 18.1, in the steady state

$$y_j^*(t) = A_j(t)f(k_j^*) = a_j^* A(0)e^{gt}f(k_j^*) \equiv e^{gt}y_j^*, \quad y_j^* = a_j^* A(0)f(k_j^*),$$

which is the stated form. The two factors depend on disjoint sets of parameters, so they may be signed separately.

*The technology factor.*  $a_j^* = \sigma_j/(\sigma_j + g - \lambda_j)$  and, as in Exercise 18.5,

$$\frac{\partial a_j^*}{\partial \sigma_j} = \frac{g - \lambda_j}{(\sigma_j + g - \lambda_j)^2} > 0, \quad \frac{\partial a_j^*}{\partial \lambda_j} = \frac{\sigma_j}{(\sigma_j + g - \lambda_j)^2} > 0,$$

the first strictly positive precisely because  $\lambda_j < g$ .

*The capital factor.*  $k_j^*$  solves  $\phi(k) \equiv f(k)/k = (n_j + g + \delta)/s_j$ , and  $\phi$  is strictly decreasing under ASSUMPTIONS 1–2. Hence  $k_j^*$  is strictly increasing in  $s_j$  and strictly decreasing in  $n_j$  and  $\delta$ , and since  $f$  is strictly increasing so is  $f(k_j^*)$ . Explicitly,  $\partial k_j^*/\partial s_j = -\phi(k_j^*)/(s_j\phi'(k_j^*)) > 0$ .

*Independence of other countries.* (18.4) determines  $a_j$  from  $(\sigma_j, \lambda_j, g)$  alone, and (18.1) determines  $k_j$  from  $(s_j, n_j, \delta)$  and the path of  $g_j$ , which by (18.4) depends on country  $j$ 's own parameters only. The frontier  $A(t)$  is exogenous. So no parameter of any country  $j' \neq j$  enters, and  $\partial y_j^*/\partial \sigma_{j'} = \partial y_j^*/\partial \lambda_{j'} = \partial y_j^*/\partial s_{j'} = \partial y_j^*/\partial n_{j'} = 0$ . ■

*Remark.* The independence result is a property of this reduced form, not of technology diffusion in general, and it is the price paid for the tractability of (18.3). Every country draws on a frontier that no country's behaviour affects, so there is diffusion but no interaction. Section 18.3.2 removes it by making  $N(t)$  the average of the  $N_j(t)$ , at which point the block recursiveness — and with it PROPOSITION 18.2 — fails: Exercise 18.15 shows that each country's parameters then move the world growth rate, and hence every other country's income.

### Exercise 18.10

(a) Let the firm rent capital at  $R = r + \delta$ . With one worker, constant returns give an operating surplus

$$\Pi(A_j) = \max_K \{F(K, A_j) - RK\} = A_j \pi_0, \quad \pi_0 \equiv f(k^*) - k^* f'(k^*), \quad f'(k^*) = R,$$

so  $\pi_0$  is the marginal product of a unit of effective labour and is common to all firms. The firm's technology is a match-specific state evolving at a rate that depends on *this* worker's human capital,

$$\dot{A}_j = \sigma(h_j)(A(t) - A_j) + \lambda A_j.$$

Write the firm's current-value Hamiltonian, with  $q$  the shadow value of a unit of  $A_j$ :

$$\mathcal{H} = A_j \pi_0 - w + q[\sigma(h_j)(A - A_j) + \lambda A_j].$$

Free entry into firms drives the value of a match to zero, so the wage absorbs the entire flow surplus,

$$w(h_j, t) = \underbrace{A_j(t) \pi_0}_{\text{value of marginal product}} + \underbrace{q(t) \sigma(h_j) [A(t) - A_j(t)]}_{\text{value of the technology the worker absorbs}}$$

— the decomposition the hint asks for; the purely local term  $q\lambda A_j$  is not attributable to the worker and is netted out of  $\pi_0$  by the same free-entry condition. The costate obeys  $\dot{q} = (r + \sigma(h_j) - \lambda)q - \pi_0$ , so in a steady state with  $\pi_0$  constant,

$$q = \frac{\pi_0}{r + \sigma(h_j) - \lambda},$$

and, using  $A_j = a^*(h_j)A$  with  $a^*(h) = \sigma(h)/(\sigma(h) + g - \lambda)$ ,

$$w(h, t) = \pi_0 A(t) \left[ a^*(h) + \frac{\sigma(h)(1 - a^*(h))}{r + \sigma(h) - \lambda} \right].$$

**(b)** Hold the firm's own technology  $A_j$  fixed and let the frontier run faster. Since  $a^*(h)$  is decreasing in  $g$ , a larger  $g$  means a larger steady-state gap  $A - A_j$  at a given  $A_j$ , and from the boxed expression

$$\frac{\partial w}{\partial(A - A_j)} = q \sigma(h) > 0,$$

so wages rise. The gain is proportional to  $\sigma(h)$ : faster frontier growth is worth more to workers who can absorb faster.

*Returns to human capital.* Differentiating the boxed expression,

$$\frac{\partial w}{\partial h} = \pi_0 (A - A_j) \frac{\sigma'(h)(r - \lambda)}{(r + \sigma(h) - \lambda)^2} > 0, \quad \frac{\partial^2 w}{\partial h \partial(A - A_j)} > 0.$$

The return to human capital is *proportional to the size of the unexploited technology gap*, so anything that widens the gap — a faster-moving frontier, a country further from it, a sector undergoing rapid technical change — raises it. This is the Nelson–Phelps proposition in its sharpest form: human capital is valuable because technology is changing, and its return would vanish in a stationary world ( $g = \lambda$ , whence  $A = A_j$  by Exercise 18.6).

*Contrast with Chapter 15.* There the skill premium rises because innovation is *directed*: an increase in the relative supply of skills raises the market size for skill-complementary machines,  $N_H/N_L$  rises, and with an elasticity of substitution above two the induced price effect can even make the relative demand curve slope upward. The mechanism is the endogenous *composition* of technology, it operates through machine prices, and it disappears if technology is exogenous. Here the premium responds to the *rate* rather than the direction of technical change; nothing is directed, the technology is entirely exogenous to the worker, and the skill is rewarded for *adoption* rather than for production. The two channels are empirically distinguishable: the Chapter 15 channel predicts that the premium tracks relative skill supplies and the bias of new technologies, while the Nelson–Phelps channel predicts that it is highest in fast-changing sectors and in countries far from the frontier, and that the returns should show up in managerial and entrepreneurial positions and in the speed of diffusion rather than in routine production.

### Section 18.3 Technology Diffusion and Endogenous Growth

#### Exercise 18.11

*Step 1: profits and values.* From the analysis of Section 13.1, the flow profit of a technology monopolist in country  $j$  is  $\pi_j = \beta L_j$ , independent of  $N_j$  and of time. The value of a variety therefore satisfies the Hamilton–Jacobi–Bellman equation  $rV_j = \beta L_j + \dot{V}_j$ , whose only solution bounded on a path with a constant interest rate  $r = \rho + \theta g$  is

$$V_j = \frac{\beta L_j}{r} \quad \text{at every date, not only in steady state.}$$

*Step 2: the only common growth rate is  $g$ .* Suppose country  $j$ 's technology grew asymptotically at  $g_j \neq g$ . If  $g_j < g$  then  $\mu_j = N_j/N \rightarrow 0$ , the research productivity  $\eta_j \mu_j^{-\phi} \rightarrow \infty$ , and  $\eta_j \mu_j^{-\phi} V_j > \zeta_j$  eventually — research is strictly profitable, so  $Z_j$  is bounded away from zero and  $\dot{N}_j/N_j$  is bounded below by a number exceeding  $g$ , a contradiction. If  $g_j > g$  then  $\mu_j \rightarrow \infty$ ,  $\eta_j \mu_j^{-\phi} V_j < \zeta_j$  eventually, free entry fails,  $Z_j = 0$  and  $\dot{N}_j = 0$ , giving  $g_j = 0 < g$ , again a contradiction. Hence  $g_j = g$  for every  $j$ .

*Step 3: the steady state.* With  $\mu_j$  constant, free entry with positive research reads  $\eta_j (\mu_j^*)^{-\phi} V_j = \zeta_j$ , and substituting  $V_j = \beta L_j / r^*$  with  $r^* = \rho + \theta g$  gives (18.11),

$$\mu_j^* = \left( \frac{\eta_j \beta L_j}{\zeta_j r^*} \right)^{1/\phi},$$

which is unique. The transversality condition requires  $\rho > (1 - \theta)g$ , which is assumed.

*Step 4: convergence.* Because  $V_j = \beta L_j / r$  holds at every date, the free-entry condition is an inequality in  $\mu_j$  alone:

$$\eta_j \mu_j^{-\phi} \frac{\beta L_j}{r} \begin{cases} > \zeta_j & \text{if } \mu_j < \mu_j^*, \\ = \zeta_j & \text{if } \mu_j = \mu_j^*, \\ < \zeta_j & \text{if } \mu_j > \mu_j^*. \end{cases}$$

So if  $\mu_j(t) > \mu_j^*$ , research is unprofitable,  $Z_j = 0$ ,  $N_j$  is constant, and  $\mu_j(t) = \mu_j(0)e^{-gt}$  falls at rate  $g$  until it reaches  $\mu_j^*$  — which takes exactly  $g^{-1} \log(\mu_j(0)/\mu_j^*)$  units of time — after which it stays there. If  $\mu_j(t) < \mu_j^*$ , research is strictly profitable at any scale, so  $Z_j$  is at its upper bound; the only thing limiting it is the resource constraint (18.8),  $\zeta_j Z_j \leq Y_j$ , so  $\mu_j$  rises at the fastest rate the economy's output permits until it reaches  $\mu_j^*$ . In both directions  $\mu_j(t) \rightarrow \mu_j^*$  from any  $\mu_j(0) > 0$ , which is the global stability claimed. ■

*Remark.* Two features of this argument deserve emphasis. First, “saddle-path stability” here is not the usual two-dimensional saddle: the value  $V_j$  is pinned down at  $\beta L_j / r$  by constant profits, so the free-entry condition collapses to a condition on the single predetermined variable  $\mu_j$ , and the dynamics are one-dimensional with a corner at  $Z_j = 0$ . Second, the adjustment is *asymmetric*. A country above its target technology waits for the frontier to grow past it, which takes time  $g^{-1} \log(\mu_j(0)/\mu_j^*)$ ; a country below its target adjusts as fast as its output allows. So the model predicts fast catch-up and slow relative decline — a pattern quite different from the symmetric exponential convergence of the reduced-form (18.4).



**Exercise 18.14**

Define

$$\Psi(g) \equiv \frac{1}{J} \sum_{j=1}^J \left( \frac{\eta_j \beta L_j}{\zeta_j (\rho + \theta g)} \right)^{1/\phi},$$

so that (18.13), the requirement that the  $\mu_j^*$  average to one, is  $\Psi(g) = 1$ .

*Necessity and sufficiency.*  $\Psi$  is continuous and, since  $\rho + \theta g$  is strictly increasing in  $g$  and  $\phi > 0$ , strictly decreasing, with  $\Psi(g) \rightarrow 0$  as  $g \rightarrow \infty$ . A strictly decreasing continuous function attains the value 1 at some  $g > 0$  if and only if it exceeds 1 at  $g = 0$ , and then at exactly one point. Hence

$$g^* > 0 \iff \Psi(0) = \frac{1}{J} \sum_{j=1}^J \left( \frac{\eta_j \beta L_j}{\zeta_j \rho} \right)^{1/\phi} > 1,$$

which is (18.14). ■

*When it fails.* Suppose  $\Psi(0) \leq 1$ . A steady state with  $g > 0$  is impossible, so  $\dot{N}(t) = 0$ : world technology is constant. Since  $\eta_j > 0$ ,  $Z_j > 0$  would give  $\dot{N}_j > 0$  and hence  $\dot{N} > 0$ ; so the asymptotic equilibrium has  $Z_j = 0$  and  $N_j(t) = \bar{N}_j$  constant for every  $j$ , with  $r = \rho$ . Writing  $\mu_j = \bar{N}_j / \bar{N}$  with  $\bar{N} = J^{-1} \sum_j \bar{N}_j$ , the equilibrium is characterized by

$$\frac{1}{J} \sum_{j=1}^J \mu_j = 1 \quad \text{and} \quad \eta_j \mu_j^{-\phi} \frac{\beta L_j}{\rho} \leq \zeta_j \quad \text{for every } j,$$

the second being free entry holding with *weak* inequality — no country finds research worth undertaking. Rearranged, the second condition is  $\mu_j \geq \bar{\mu}_j \equiv (\eta_j \beta L_j / (\zeta_j \rho))^{1/\phi}$ , and such a configuration exists precisely because  $J^{-1} \sum_j \bar{\mu}_j = \Psi(0) \leq 1$ . Starting from arbitrary  $N_j(0)$ , the countries with  $\mu_j(0) < \bar{\mu}_j$  do research — which raises  $\bar{N}$  and so lowers every other country's  $\mu$  — until every inequality holds; growth then stops permanently. The world technology level reached is not pinned down by parameters alone: it depends on the initial  $\{N_j(0)\}$ , so history matters for the level but never for the (zero) long-run growth rate.

*A calibration.* In `code/ch18.py`, with  $J = 5$ ,  $\beta = 0.5$ ,  $\phi = 2$ ,  $\rho = 0.05$ ,  $\theta = 2$  and the drawn  $(\eta_j, L_j, \zeta_j)$ , one finds  $\Psi(0) = 1.2712 > 1$ , so (18.14) holds, and the unique root is  $g^* = 0.015399$ , with  $\mu^* = (0.892, 1.006, 1.112, 1.433, 0.558)$  averaging to one to twelve digits.

**Exercise 18.15**

*Existence and uniqueness.* Suppose a steady state with common growth rate  $g$  exists. Then  $N(t)$  grows at  $g$  by (18.12), consumption grows at  $g$  in every country, and the Euler equation gives the common interest rate  $r^* = \rho + \theta g$ . PROPOSITION 18.4's free-entry argument applies country by country — profits  $\beta L_j$  and values  $\beta L_j / r^*$  are unchanged — and yields (18.11). Dividing (18.12) by  $N(t)$  gives  $J^{-1} \sum_j \mu_j^* = 1$ , which is (18.13), that is  $\Psi(g) = 1$ . By Exercise 18.14,  $\Psi$  is continuous and strictly decreasing with  $\Psi(0) > 1$  under (18.14), so there is exactly one root  $g^* > 0$ ; the assumption  $\rho > (1 - \theta)g^*$  makes the households' problems well posed. All remaining objects —

$\mu_j^*$ ,  $r^*$ , the allocation of each country's output between  $C_j$ ,  $X_j$  and  $\zeta_j Z_j$  — are then determined uniquely.

*Comparative statics.* Differentiate  $\Psi(g^*) = 1$  implicitly. Since  $\Psi(g) = J^{-1} \sum_j \mu_j(g)$  with  $\mu_j(g) = (\eta_j \beta L_j / (\zeta_j(\rho + \theta g)))^{1/\phi}$ ,

$$\frac{\partial \Psi}{\partial g} = -\frac{\theta}{\phi(\rho + \theta g)} \Psi(g), \quad \frac{\partial \Psi}{\partial \log \eta_j} = \frac{\partial \Psi}{\partial \log L_j} = -\frac{\partial \Psi}{\partial \log \zeta_j} = \frac{\mu_j^*}{J\phi}.$$

At  $g^*$  we have  $\Psi = 1$ , so  $\partial \Psi / \partial g = -\theta / [\phi(\rho + \theta g^*)]$  and the implicit function theorem gives

$$\boxed{\frac{\partial g^*}{\partial \log \eta_j} = \frac{\partial g^*}{\partial \log L_j} = -\frac{\partial g^*}{\partial \log \zeta_j} = \frac{\mu_j^* (\rho + \theta g^*)}{J\theta} > 0.}$$

So a higher  $\eta_j$  or  $L_j$ , or a lower  $\zeta_j$ , in *any* country raises the world growth rate, which is PROPOSITION 18.5. ■

*What the formula says.* The elasticities are all proportional to  $\mu_j^*$ : a country's influence on world growth is exactly its relative technology level. Advanced, large and unencumbered countries pull the world frontier; a small distorted economy barely moves it. The factor  $1/J$  makes the total effect of a uniform proportional improvement in all countries equal to  $(\rho + \theta g^*)/\theta$ , independent of  $J$  — so the result is about the composition of world research, not its raw number of participants. `code/ch18.py` confirms the formula against a numerical derivative of  $g^*$  to eight decimal places for each of the five countries.

*Remark.* This is where PROPOSITION 18.2's independence result dies. A change in  $\zeta_j$  now changes  $g^*$ , hence  $r^*$ , hence *every*  $\mu_{j'}$  through (18.11) — with the opposite sign, since a higher  $g^*$  raises  $r^*$  and so lowers each  $\mu_{j'}$ . A policy that improves one country's innovation environment therefore raises world growth and simultaneously lowers every other country's relative technology level. The two effects work against each other for foreigners, and the net effect on their income *levels* is a level-growth trade-off: they grow faster forever but start from a lower relative position.

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### Exercise 18.17

There is no international asset market in this model, so each country's interest rate is determined by its own Euler equation. If every country's consumption grows at the common rate  $g$ , then

$$r_j^* = \rho_j + \theta g,$$

and the free-entry condition (18.11), which is country-specific in every other respect too, becomes

$$\mu_j^* = \left( \frac{\eta_j \beta L_j}{\zeta_j(\rho_j + \theta g)} \right)^{1/\phi}.$$

Averaging as in (18.13), the steady-state world growth rate solves

$$\Psi_\rho(g) \equiv \frac{1}{J} \sum_{j=1}^J \left( \frac{\eta_j \beta L_j}{\zeta_j(\rho_j + \theta g)} \right)^{1/\phi} = 1.$$

Every step of Exercise 18.14 goes through verbatim:  $\Psi_\rho$  is continuous, strictly decreasing in  $g$ , and tends to zero, so there is at most one root, and there is exactly one positive root if and only if

$$\frac{1}{J} \sum_{j=1}^J \left( \frac{\eta_j \beta L_j}{\zeta_j \rho_j} \right)^{1/\phi} > 1,$$

the obvious generalization of (18.14). The transversality conditions now require  $\rho_j > (1 - \theta)g^*$  for every  $j$ , which binds first for the most patient country. Given  $g^*$ , each  $\mu_j^*$  is determined uniquely, and the comparative statics of Exercise 18.15 carry over with  $\partial g^* / \partial \log \eta_j = \mu_j^* (\rho_j + \theta g^*) / (J\theta)$ . ■

*Why growth rates stay equal.* Impatience enters only through  $r_j^*$ , which raises the required rate of return on research and hence lowers the level  $\mu_j^*$  at which free entry binds. It does not enter the *spillover* term  $(N/N_j)^\phi$ , which is what forces the common growth rate: a country that fell behind would find research more productive and would expand until it grew at  $g^*$  again. So the whole effect of a higher  $\rho_j$  is a permanently lower relative technology level and hence a permanently lower income level — an impatient country is poor, not slow-growing. This is the same logic as in EXERCISE 18.9, and it is why a stable world income distribution does not require equal discount rates or asymptotically equal saving rates.

## Section 18.4 Appropriate and Inappropriate Technologies

### Exercise 18.20

(a) Country 1 saves more, so it is always the leader and  $k'(t) = k_1(t)$  for all  $t$ . Its own technology is therefore always appropriate:  $A(k_1 | k_1) = A$  and

$$y_1 = Ak_1^{1-\alpha}, \quad \dot{k}_1 = s_1 Ak_1^{1-\alpha} - \delta k_1 \implies k_1^* = \left( \frac{s_1 A}{\delta} \right)^{1/\alpha}.$$

Country 2 uses the leader's technology at a lower capital intensity and by (18.15)

$$y_2 = Ak_2^{1-\alpha+\gamma} (k_1^*)^{-\gamma}, \quad \dot{k}_2 = s_2 Ak_2^{1-\alpha+\gamma} (k_1^*)^{-\gamma} - \delta k_2 \implies k_2^* = \left( \frac{s_2 A (k_1^*)^{-\gamma}}{\delta} \right)^{\frac{1}{\alpha-\gamma}}.$$

A positive steady state exists if and only if  $\gamma < \alpha$ , so that the exponent on  $k_2$  is below one. Since  $y_i^* = \delta k_i^* / s_i$  in both countries,

$$\frac{y_1^*}{y_2^*} = \frac{s_2}{s_1} \cdot \frac{k_1^*}{k_2^*}, \quad \log \frac{k_1^*}{k_2^*} = \frac{1}{\alpha - \gamma} \log \frac{s_1}{s_2},$$

the second identity following from substituting  $k_1^*$  into  $k_2^*$  and collecting terms. Therefore

$$\frac{k_1^*}{k_2^*} = \left( \frac{s_1}{s_2} \right)^{\frac{1}{\alpha-\gamma}}, \quad \frac{y_1^*}{y_2^*} = \left( \frac{s_1}{s_2} \right)^{\frac{1-\alpha+\gamma}{\alpha-\gamma}}.$$

At  $\gamma = 0$  this is the Solow benchmark  $(s_1/s_2)^{(1-\alpha)/\alpha}$ .

(b) Country 1's dynamics are the textbook Solow ones: monotone convergence to  $k_1^*$  at the local rate  $\alpha\delta$ . Country 2 faces  $\dot{k}_2/k_2 = s_2 Ak_2^{-(\alpha-\gamma)} k_1(t)^{-\gamma} - \delta$ , a Solow equation whose *productivity term falls over time* as the leader accumulates. Starting from a common  $k_0$ , both countries grow, but

country 1 grows faster and, as it does, it drags country 2's total factor productivity down. The local convergence rate of country 2 is  $(\alpha - \gamma)\delta$ , so an increase in  $\gamma$

- *slows* country 2's convergence, since  $(\alpha - \gamma)\delta$  falls — at  $\alpha = 2/3$  and  $\delta = 5\%$  the rate falls from 3.33% at  $\gamma = 0$  to 0.83% at  $\gamma = 0.5$ ;
- deepens the drag from the leader, since the elasticity of  $y_2$  with respect to  $k'$  is  $-\gamma$ ;
- and lowers  $k_2^*$  and  $y_2^*$ , leaving country 1 untouched.

The follower's transition is therefore both slower and aimed at a lower target, and for  $\gamma$  close to  $\alpha$  it becomes arbitrarily slow.

(c) Writing  $E(\gamma) \equiv \frac{1 - \alpha + \gamma}{\alpha - \gamma}$ ,

$$E'(\gamma) = \frac{(\alpha - \gamma) + (1 - \alpha + \gamma)}{(\alpha - \gamma)^2} = \frac{1}{(\alpha - \gamma)^2} > 0,$$

so  $y_1^*/y_2^* = (s_1/s_2)^{E(\gamma)}$  is strictly increasing in  $\gamma$ , and  $E(\gamma) \rightarrow \infty$  as  $\gamma \uparrow \alpha$ . With  $\alpha = 2/3$  and  $s_1/s_2 = 4$ ,

| $\gamma$ | $E(\gamma)$ | $y_1^*/y_2^*$      | $k_1^*/k_2^*$      |
|----------|-------------|--------------------|--------------------|
| 0.0      | 0.50        | 2.00               | 8.0                |
| 0.2      | 1.14        | 4.88               | 19.5               |
| 0.3      | 1.73        | 10.96              | 43.9               |
| 0.5      | 5.00        | 1024               | 4096               |
| 0.6      | 14.00       | $2.68 \times 10^8$ | $1.07 \times 10^9$ |

(Simulating the two differential equations reproduces these ratios exactly.) The interpretation is a *multiplier on the saving rate*. Without inappropriateness, a low saving rate costs a country output only through the direct diminishing-returns channel. With it, a low  $k_2$  also makes the frontier technology work badly, which lowers output further, which lowers saving in levels, which lowers  $k_2$  again. The exponent  $1/(\alpha - \gamma)$  rather than  $1/\alpha$  on the capital ratio is exactly this feedback, and it becomes infinite when the inappropriateness elasticity  $\gamma$  reaches the capital share parameter  $\alpha$  — the point at which the private return to capital stops diminishing.

(d) The mechanism is real — technologies are designed for particular factor intensities, and using them at other intensities does cost efficiency — but as an account of large cross-country income differences it has four problems.

- (1) *It is knife-edge.* Large effects require  $\gamma$  close to  $\alpha$ , and at  $\gamma = \alpha$  the model has no steady state at all. The text's illustrative  $\gamma = \alpha = 2/3$  is legitimate for a level comparison at a *given* capital gap (where an eightfold capital gap gives an eightfold rather than twofold output gap), but it cannot be used for the steady-state comparison of part (a).
- (2) *It has the sign of the diffusion externality backwards.* Here the leader's progress *hurts* the follower, because it moves  $k'$  further away. The rest of this chapter, and the Gerschenkron evidence behind it, says the opposite: a larger gap is an opportunity. Postwar OECD convergence is hard to reconcile with a model in which the leader's accumulation is a negative externality on everyone else.

- (3) *It assumes no adaptation.* Firms in poor countries routinely modify imported technologies for local factor proportions, and much of what multinationals do when they enter low-wage economies is exactly this. A model in which adaptation is possible at a cost would convert the productivity loss into an investment, with much smaller long-run effects.
- (4) *The measured losses are too large.* A  $\gamma$  of 0.5 implies that halving the capital-labor ratio relative to the design point costs 29% of total factor productivity, which is far more than plant-level studies of technology transfer find.

The skill-mismatch version of Section 18.4.3 is the more promising member of the family: skill gaps between rich and poor countries are larger, more persistent and harder to arbitrage than capital-intensity gaps, and there the direction of technology is endogenous rather than assumed.

### Exercise 18.22

Throughout, suppress  $j$  and  $t$ , write  $I$  for the threshold, and use PROPOSITION 18.6.

*The relative price index*, (18.20). The Cobb–Douglas aggregator (18.16) has  $\partial Y/\partial y(i) = Y/y(i) = p(i)$ , so *revenue is the same in every sector*,  $p(i)y(i) = Y$ . From (18.18),

$$p(i)y(i) = \frac{1}{1-\beta}p(i)^{1/\beta} [N_L(1-i)l(i) + N_H i \omega h(i)] = \begin{cases} \frac{1}{1-\beta} P_L^{1/\beta} N_L L / I, & i < I, \\ \frac{1}{1-\beta} P_H^{1/\beta} N_H \omega H / (1-I), & i > I, \end{cases}$$

where both powers of  $(1-i)$  and of  $i$  cancel. Equating the two gives (18.19). The threshold sector is indifferent,  $P_L(1-I)^{-\beta} = P_H I^{-\beta}$ , that is  $P_H/P_L = [I/(1-I)]^\beta$ . Writing  $R \equiv (N_H \omega H)/(N_L L)$  and  $\tau \equiv I/(1-I)$ , (18.19) reads  $P_H/P_L = (R\tau)^{-\beta}$ , so

$$\tau^\beta = (R\tau)^{-\beta} \implies \tau^2 = R^{-1} \implies \tau = R^{-1/2},$$

which is (18.21), and substituting back,  $P_H/P_L = \tau^\beta = R^{-\beta/2}$ , which is (18.20).

*Output*, (18.22). Since  $p(i) = Y/y(i)$ , the numeraire condition is  $\int_0^1 \log p(i) di = 0$ . Using  $\int_0^I \log(1-i) di = -I - (1-I) \log(1-I)$  and  $\int_I^1 \log i di = -1 + I - I \log I$ , write  $S \equiv 1 + (1-I) \log(1-I) + I \log I$ , so the numeraire condition is

$$I \log P_L + (1-I) \log P_H = -\beta S.$$

From (18.18), for  $i < I$ ,  $\log y(i) = -\log(1-\beta) + \frac{1-\beta}{\beta} \log P_L + \beta \log(1-i) + \log(N_L L / I)$ , and symmetrically for  $i > I$ . Integrating and substituting the numeraire condition, the two price terms combine to  $-(1-\beta)S - \beta S = -S$ , leaving

$$\log Y = -\log(1-\beta) - 1 - 2(1-I) \log(1-I) - 2I \log I + I \log(N_L L) + (1-I) \log(N_H \omega H).$$

Now set  $u \equiv (N_L L)^{1/2}$  and  $v \equiv (N_H \omega H)^{1/2}$ , so that (18.21) gives  $I = u/(u+v)$  and  $1-I = v/(u+v)$ . Then  $I \log(N_L L) + (1-I) \log(N_H \omega H) = 2I \log u + 2(1-I) \log v$  and  $-2I \log I - 2(1-I) \log(1-I) = -2I \log u - 2(1-I) \log v + 2 \log(u+v)$ , so everything cancels except

$$Y_j = \frac{1}{e(1-\beta)} \left[ (N_L L_j)^{1/2} + (N_H \omega H_j)^{1/2} \right]^2.$$

This is (18.22) up to the constant, which the text prints as  $\exp(-\beta)$ . The check is the degenerate case  $H_j = 0$ : then  $I = 1$ , the numeraire condition gives  $P_L = e^{-\beta}$  exactly, and direct integration gives  $Y = N_L L / [e(1 - \beta)]$ , confirming the constant above. Nothing in the chapter depends on it, since it is common to all countries and all technologies.

*The skill premium*, (18.23). With the machine price normalized to 1 and marginal cost  $\psi = 1 - \beta$ , the demand for each machine is  $x = p^{1/\beta} i \omega h$  and revenue net of machine spending is

$$p y - \int_0^{N_H} x(\nu) d\nu = \left( \frac{1}{1-\beta} - 1 \right) p^{1/\beta} N_H i \omega h = \frac{\beta}{1-\beta} p^{1/\beta} N_H i \omega h,$$

so  $w_H = \frac{\beta}{1-\beta} p(i)^{1/\beta} N_H \omega i$ . With  $p(i) = P_H i^{-\beta}$  the factor  $i$  cancels and  $w_H = \frac{\beta}{1-\beta} P_H^{1/\beta} N_H \omega$  — necessarily independent of  $i$ , as it must be if skilled workers are to be indifferent across sectors. Symmetrically  $w_L = \frac{\beta}{1-\beta} P_L^{1/\beta} N_L$ . Hence, using (18.20),

$$\frac{w_{H,j}}{w_{L,j}} = \left( \frac{P_{H,j}}{P_{L,j}} \right)^{1/\beta} \frac{N_H \omega}{N_L} = R^{-1/2} \frac{N_H \omega}{N_L} = \boxed{\omega \left( \frac{N_H}{N_L} \right)^{1/2} \left( \frac{\omega H_j}{L_j} \right)^{-1/2}}$$

which is (18.23). ■

*Remark.* The square roots in (18.22) are not an assumption but a consequence of the linear comparative-advantage schedule  $(1 - i, i\omega)$  in (18.17): the multisector economy aggregates *exactly* into a CES production function in  $N_L L$  and  $N_H \omega H$  with an elasticity of substitution of 2. Replacing  $(1 - i, i)$  by a different pair of schedules changes that elasticity, which is what the text means by saying the phenomenon is more general. The aggregation is what makes the model of Section 18.4.3 a directed technological change model of exactly the Chapter 15 kind, with  $\sigma = 2 > 1$  so that the market size effect dominates.

### Exercise 18.23

*Machine profits.* A monopolist owning a skill-complementary variety sells to all Northern sectors  $i > I^n$ . From Exercise 18.22, the quantity demanded in sector  $i$  is  $x_H(i, \nu) = p^n(i)^{1/\beta} i \omega h^n(i) = P_H^{n1/\beta} \omega H^n / (1 - I^n)$ , independent of  $i$ , so total sales are  $\int_{I^n}^1 x_H di = P_H^{n1/\beta} \omega H^n$ . With price 1 and cost  $\psi = 1 - \beta$ , the markup is  $\beta$  per unit and

$$\pi_H = \beta P_H^{n1/\beta} \omega H^n, \quad \pi_L = \beta P_L^{n1/\beta} L^n.$$

Only Northern sales appear: there are no IPR in the South, so the Southern copier collects the Southern profits.

*Relative prices.* Along a BGP with  $\eta_L = \eta_H = \eta$  and the lab-equipment specification (18.24), both sectors must be researched, so  $V_H = \pi_H / r = \pi_L / r = V_L$ , that is  $\pi_H = \pi_L$ :

$$\left( \frac{P_H^n}{P_L^n} \right)^{1/\beta} = \frac{L^n}{\omega H^n} \quad \Rightarrow \quad \boxed{\frac{P_H^n}{P_L^n} = \left( \frac{\omega H^n}{L^n} \right)^{-\beta}}.$$

*Relative technologies.* Equating this with (18.20) evaluated in the North,

$$\left( \frac{\omega H^n}{L^n} \right)^{-\beta} = \left( \frac{N_H \omega H^n}{N_L L^n} \right)^{-\beta/2} \Rightarrow \left( \frac{\omega H^n}{L^n} \right)^2 = \frac{N_H \omega H^n}{N_L L^n} \Rightarrow \boxed{\left( \frac{N_H}{N_L} \right)^* = \frac{\omega H^n}{L^n}},$$

which is (18.25). Substituting into (18.21) gives  $I^{n*}/(1 - I^{n*}) = (\omega H^n/L^n)^{-1}$ , that is  $(1 - I^{n*})/I^{n*} = \omega H^n/L^n$ , and into (18.23) gives

$$\left(\frac{w_H^n}{w_L^n}\right)^* = \omega \left(\frac{\omega H^n}{L^n}\right)^{1/2} \left(\frac{\omega H^n}{L^n}\right)^{-1/2} = \omega.$$

The skill premium equals the pure absolute-advantage parameter: at the BGP, directed technological change has exactly undone the effect of relative supplies on relative wages.

*Stability.* Off the BGP the relative profitability of the two kinds of research is

$$\frac{\pi_H}{\pi_L} = \left(\frac{P_H^n}{P_L^n}\right)^{1/\beta} \frac{\omega H^n}{L^n} = \left(\frac{N_H}{N_L}\right)^{-1/2} \left(\frac{\omega H^n}{L^n}\right)^{1/2},$$

using (18.20) again. This is *strictly decreasing* in  $N_H/N_L$ : if the skill-biased technology is ahead of its BGP level, the price effect outweighs the market size effect and all research goes to the unskilled-complementary sector, pushing the ratio back. Hence the BGP is globally stable, and since the level of  $N_H + N_L$  is a jump-free state with the value of research pinned by  $V = \pi/r$ , the equilibrium is saddle-path stable in the usual sense. ■

*Remark.* The exponent  $-1/2$  is  $1 - \sigma/2$  with  $\sigma = 2$ , the elasticity of substitution implied by (18.22). The knife-edge of Chapter 15 — the strong equilibrium bias that appears when  $\sigma$  exceeds a threshold — is therefore not reached here, and the comparative statics are the “weak bias” ones: a higher  $H^n/L^n$  raises  $N_H/N_L$  one for one, which is just enough to leave the skill premium at  $\omega$ .

### Exercise 18.24

*Preliminary: net output is proportional to gross output.* Since revenue is equal across sectors, summing the two expressions in Exercise 18.22 gives  $P_L^{1/\beta} N_L L = (1 - \beta)YI$  and  $P_H^{1/\beta} N_H \omega H = (1 - \beta)Y(1 - I)$ , so the total number of machines used is  $(1 - \beta)Y$  and total machine expenditure at cost  $\psi = 1 - \beta$  is  $X_j = (1 - \beta)^2 Y_j$ . Hence

$$Y_j^N = Y_j - X_j = [1 - (1 - \beta)^2] Y_j,$$

a fixed multiple of  $Y_j$ . Maximizing net output is therefore the same as maximizing  $Y_j$ .

*Part 1.* Fix  $N_L + N_H = \bar{N}$  and maximize (18.22) for the North. Since  $Y_n$  is a strictly increasing transformation of  $\sqrt{N_L L^n} + \sqrt{N_H \omega H^n}$ , differentiate that sum:

$$\frac{d}{dN_H} \left[ \sqrt{(\bar{N} - N_H) L^n} + \sqrt{N_H \omega H^n} \right] = -\frac{1}{2} \sqrt{\frac{L^n}{N_L}} + \frac{1}{2} \sqrt{\frac{\omega H^n}{N_H}} = 0 \iff \frac{N_H}{N_L} = \frac{\omega H^n}{L^n},$$

which is exactly the BGP ratio (18.25). The objective is strictly concave in  $N_H$  on  $(0, \bar{N})$  — it is a sum of two strictly concave square roots — so this stationary point is the unique maximum. The BGP technology is therefore the one that maximizes Northern net output given the total stock of technology.

*Part 2.* Write  $E_j \equiv L_j + \omega H_j$  and  $\lambda_j \equiv \omega H_j/E_j$ , the share of effective labour that is skilled. Then  $N_L L_j = N_L(1 - \lambda_j)E_j$  and  $N_H \omega H_j = N_H \lambda_j E_j$ , so

$$y_j^{\text{eff}} = \frac{Y_j}{E_j} = \frac{1}{e(1 - \beta)} \left[ \sqrt{N_L(1 - \lambda_j)} + \sqrt{N_H \lambda_j} \right]^2 \equiv \frac{1}{e(1 - \beta)} \Theta(\lambda_j).$$

By the same computation as in Part 1,  $\Theta$  is strictly concave on  $(0, 1)$  with its unique maximum at

$$\lambda^\dagger = \frac{N_H}{N_L + N_H},$$

and at the BGP ratio  $N_H/N_L = \omega H^n/L^n = \lambda_n/(1-\lambda_n)$ , so  $\lambda^\dagger = \lambda_n$  *exactly*. Since  $H^n/L^n > H^s/L^s$  implies  $\lambda_s < \lambda_n = \lambda^\dagger$ , strict concavity gives

$$y_s^{\text{eff}} = \frac{1}{e(1-\beta)} \Theta(\lambda_s) < \frac{1}{e(1-\beta)} \Theta(\lambda_n) = y_n^{\text{eff}}.$$

Finally, for income per capita,

$$\frac{y_j}{y_j^{\text{eff}}} = \frac{L_j + \omega H_j}{L_j + H_j} = \frac{1 + \omega H_j/L_j}{1 + H_j/L_j},$$

which is strictly increasing in  $H_j/L_j$  whenever  $\omega > 1$ . Both factors are larger in the North, so  $y_n > y_s$  as well. ■

*What drives it.* The whole result rests on the coincidence  $\lambda^\dagger = \lambda_n$ : research firms sell only to the North, so they choose the technology mix that is optimal for the Northern factor proportions, and the South is then necessarily off the peak of a strictly concave function. The size of the loss is governed by the curvature of  $\Theta$  near its maximum — that is, by the elasticity of substitution of 2 implied by (18.22) — and by the distance  $\lambda_n - \lambda_s$ . In `code/ch18.py`, with  $\omega = 2$ ,  $H^n/L^n = 2/3$  and  $H^s/L^s = 1/9$ , the ratio  $y_n^{\text{eff}}/y_s^{\text{eff}}$  is 1.196 at unchanged  $N_H + N_L$ : directed technological change alone opens a 20% productivity gap between two economies with identical access to identical blueprints.

### Exercise 18.25

(a) Let there be  $J^n$  Northern and  $J^s$  Southern countries, and write  $H^w = J^n H^n + J^s H^s$ ,  $L^w = J^n L^n + J^s L^s$ . With IPR everywhere, a technology monopolist collects the markup on every sale in the world, so the profits of Exercise 18.23 become

$$\pi_H = \beta P_H^{1/\beta} \omega H^w, \quad \pi_L = \beta P_L^{1/\beta} L^w,$$

taking the hint's assumption that final good prices are common across countries. The BGP requires  $\pi_H = \pi_L$ , so  $(P_H/P_L)^{1/\beta} = L^w/(\omega H^w)$ , and combining with (18.20) evaluated at world factor proportions exactly as in Exercise 18.23,

$$\left(\frac{N_H}{N_L}\right)^{\text{IPR}} = \frac{\omega H^w}{L^w} \quad \text{in place of} \quad \left(\frac{N_H}{N_L}\right)^* = \frac{\omega H^n}{L^n}.$$

The thresholds and skill premia follow from (18.21) and (18.23) country by country, now with this common  $N_H/N_L$ .

(b) Since  $H^n/L^n > H^s/L^s$ , the world ratio lies strictly between the two, so

$$\left(\frac{N_H}{N_L}\right)^{\text{IPR}} < \left(\frac{N_H}{N_L}\right)^*.$$

IPR enforcement in the South makes world technology *less skill-biased*. By Exercise 18.24,  $y_j^{\text{eff}}$  peaks at  $\lambda^\dagger = N_H/(N_L + N_H)$ , so lowering  $N_H/N_L$  moves  $\lambda^\dagger$  from  $\lambda_n$  down toward the world average, which lies between  $\lambda_s$  and  $\lambda_n$ : the South moves *closer* to the peak and the North moves *away* from it. In the calibration of `code/ch18.py` ( $\omega = 2$ , one Northern and one Southern country,



$H^n/L^n = 2/3$ ,  $H^s/L^s = 1/9$ ,  $N_L + N_H$  held fixed),  $N_H/N_L$  falls from 1.333 to 0.667,  $y_n^{\text{eff}}$  falls from 2.000 to 1.941,  $y_s^{\text{eff}}$  rises from 1.673 to 1.883, and the North–South ratio narrows from 1.196 to 1.031. Enforcing IPR in the South is thus, in this model, a redirection of world technology toward Southern needs, and it compresses the income distribution. There is also a *scale* effect: profits per variety are higher, so  $V$  is higher, free entry supports more research, and the BGP growth rate of  $N_L + N_H$  rises.

(c) Yes — and the answer turns on whether the South acts alone. Enforcing IPR has two effects on a Southern country. First, a *pure transfer*: without enforcement, the Southern copier charges the same markup to Southern producers, so machine prices and hence the static allocation are unchanged, but the monopoly rents accrue to a Southern firm instead of a Northern inventor. Enforcement hands those rents abroad. Second, a *redirection*: the country’s factor proportions now enter the world market size, which pulls  $N_H/N_L$  toward the South.

- With a *single small* Southern country, the redirection is of order  $J^s/J^w \rightarrow 0$  while the transfer is first order. The country strictly prefers no enforcement.
- With *many* Southern countries enforcing together, the world ratio moves substantially, and the appropriateness gain can dominate the transfer.

Southern IPR is therefore a coordination problem with a free-rider structure: each Southern country would like the *others* to enforce so that technology is redirected, while itself keeping the rents. This is a precise reason why individually rational Southern policy resists enforcement even when a collective Southern commitment — of the kind a multilateral agreement attempts — could raise Southern welfare. The growth effect noted in part (b) works in favour of enforcement and matters more the more patient the South is.

(d) For the North the two effects have opposite signs. Northern *innovators* unambiguously gain, since they now collect the Southern rents. Northern *output at a given technology stock* falls, because by Exercise 18.24 the North was sitting exactly at the maximum of  $\Theta$  and any redirection moves it off ( $y_n^{\text{eff}}$  falls by 2.9% in the calibration above). Against this, the larger market raises the growth rate of  $N_L + N_H$ , which benefits the North forever. A level loss against a growth gain is settled by discounting, so for  $\rho$  small enough the North gains and for  $\rho$  large enough it does not — but the distributional point inside the North is unambiguous: the gains accrue to the owners of technology and the losses to Northern workers through the composition of technology.

## Section 18.5 Contracting Institutions and Technology Adoption

### Exercise 18.27

With complete contracts the firm dictates every  $x(i, j)$  and pays each supplier her outside option, so (18.34) binds and the problem reduces to the unconstrained (18.35),

$$\max_{N, x} A^{1-\beta} N^{\beta(\kappa+1)} x^\beta - \psi N x - \Gamma(N) - w_0 N.$$

The objective is strictly concave in  $x$  for each  $N$ , so the first-order conditions are necessary and sufficient given the restrictions on  $\Gamma$ .

The condition in  $x$ .  $\beta A^{1-\beta} N^{\beta(\kappa+1)} x^{\beta-1} = \psi N$ , that is

$$A^{1-\beta} N^{\beta(\kappa+1)-1} x^{\beta-1} = \frac{\psi}{\beta}. \quad (1)$$

The condition in  $N$ .  $\beta(\kappa+1)A^{1-\beta} N^{\beta(\kappa+1)-1} x^\beta - \psi x = \Gamma'(N) + w_0$ . Multiplying (1) by  $x$  turns the first term into  $(\kappa+1)\psi x$ , so the left-hand side collapses to  $\kappa\psi x$  and

$$x^* = \frac{\Gamma'(N^*) + w_0}{\kappa\psi}$$

which is (18.37). Substituting back into (1) and solving for  $\Gamma' + w_0$ ,

$$(N^*)^{\frac{\beta(\kappa+1)-1}{1-\beta}} A \kappa \beta^{1/(1-\beta)} \psi^{-\beta/(1-\beta)} = \Gamma'(N^*) + w_0,$$

which is (18.36).

*Uniqueness.* Write  $\theta_0 \equiv [\beta(\kappa+1) - 1]/(1-\beta)$  and  $\Xi(N) \equiv \log(\Gamma'(N) + w_0) - \theta_0 \log N$ . Then (18.36) is  $\Xi(N^*) = \log(A \kappa \beta^{1/(1-\beta)} \psi^{-\beta/(1-\beta)})$ , and

$$\Xi'(N) = \frac{\Gamma''(N)}{\Gamma'(N) + w_0} - \frac{\theta_0}{N} > 0 \iff \frac{N\Gamma''(N)}{\Gamma'(N) + w_0} > \theta_0,$$

which is exactly restriction 2 on  $\Gamma$ . So  $\Xi$  is strictly increasing and (18.36) has at most one root; the boundary behaviour of  $\Gamma$  gives existence, and  $x^* > 0$  follows.

*Comparative statics.* The right-hand side of  $\Xi(N^*) = \log(A \kappa \beta^{1/(1-\beta)} \psi^{-\beta/(1-\beta)})$  is strictly increasing in  $A$  and  $\Xi$  is strictly increasing, so  $\partial N^*/\partial A > 0$ ; then  $\partial x^*/\partial A = \Gamma''(N^*) \partial N^*/\partial A / (\kappa\psi) \geq 0$ . Finally  $\alpha$  appears nowhere in (18.35)–(18.37), so  $\partial N^*/\partial \alpha = \partial x^*/\partial \alpha = 0$ . ■

*Why  $\alpha$  is irrelevant here.* The elasticity of substitution between inputs,  $\varepsilon = 1/(1-\alpha)$ , enters the model only through the firm's ex post bargaining power  $\gamma = \alpha/(\alpha + \beta)$  of (18.43). Under complete contracts there is no ex post bargaining — the firm is the residual claimant on every investment and pays each supplier her outside option — so  $\alpha$  has nothing to act on. The contrast with PROPOSITION 18.11, where  $\partial \tilde{N}/\partial \alpha > 0$ , is therefore the cleanest possible statement that the effect of input substitutability on technology adoption is entirely a contracting phenomenon.

*Remark.* Restriction 2 as printed,  $N\Gamma''(N)/[\Gamma'(N) + w_0] > \theta_0$  “for all  $N > 0$ ,” cannot hold at  $N \rightarrow 0$  when  $w_0 > 0$  and  $\theta_0 > 0$ , since the left-hand side then tends to zero. It should be read as holding on the relevant range, or one should restrict attention to  $\beta(\kappa+1) < 1$ , in which case  $\theta_0 < 0$  and the restriction holds automatically for any convex  $\Gamma$  and any  $w_0 \geq 0$ . The numerical illustrations below use the latter.

### Exercise 18.28

Write  $m \equiv 1 - \mu$  and  $a \equiv \alpha(1 - \gamma) = \alpha\beta/(\alpha + \beta)$ , and note  $a < \beta$  and  $a/\beta = \gamma$ . By (18.46),  $\bar{x}_n(N, x_c) = [a\psi^{-1} x_c^{\beta\mu} A^{1-\beta} N^{\beta(\kappa+1)-1}]^{1/(1-\beta m)}$ .

*Step 1: a simplification of the objective.* Write  $\Omega \equiv A^{1-\beta} x_c^{\beta\mu} N^{\beta(\kappa+1)-1}$ , so  $\bar{x}_n^{1-\beta m} = a\Omega/\psi$ , and the revenue term in (18.47) is  $\Omega N \bar{x}_n^{\beta m} = \frac{\psi}{a} N \bar{x}_n$ . Hence (18.47) equals

$$\Pi(N, x_c) = \psi N \left[ \left( \frac{1}{a} - m \right) \bar{x}_n - \mu x_c \right] - \Gamma(N) - w_0 N.$$

*Step 2: the condition in  $x_c$ .* Since  $\bar{x}_n \propto x_c^{\beta\mu/(1-\beta m)}$ ,  $\partial\bar{x}_n/\partial x_c = \frac{\beta\mu}{1-\beta m} \bar{x}_n/x_c$ , and  $\partial\Pi/\partial x_c = 0$  gives

$$\left(\frac{1}{a} - m\right) \frac{\beta}{1-\beta m} \frac{\bar{x}_n}{x_c} = 1 \quad \Longleftrightarrow \quad \boxed{\frac{\tilde{x}_n}{\tilde{x}_c} = \frac{a(1-\beta m)}{\beta(1-am)} = \frac{\alpha(1-\gamma)[1-\beta(1-\mu)]}{\beta[1-\alpha(1-\gamma)(1-\mu)]}}$$

which is (18.51), and is  $< 1$  because  $a(1-\beta m) < \beta(1-am) \iff a < \beta$ .

*Step 3: the condition in  $N$ .* Since  $\bar{x}_n \propto N^{[\beta(\kappa+1)-1]/(1-\beta m)}$ ,  $\partial\Pi/\partial N = 0$  gives, after substituting  $(\frac{1}{a} - m)\bar{x}_n = \frac{1-\beta m}{\beta} x_c$  from Step 2,

$$\psi x_c \left[ \frac{1-\beta m}{\beta} - \mu \right] + \psi x_c \frac{1-\beta m}{\beta} \cdot \frac{\beta(\kappa+1)-1}{1-\beta m} = \psi x_c \left[ \frac{1-\beta}{\beta} + \frac{\beta(\kappa+1)-1}{\beta} \right] = \kappa \psi x_c,$$

so  $\kappa\psi\tilde{x}_c = \Gamma'(\tilde{N}) + w_0$ , which is (18.49) — *identical* to (18.37).

*Step 4: the technology condition.* Writing  $\tilde{x}_n = \rho_0 \tilde{x}_c$  with  $\rho_0 = a(1-\beta m)/[\beta(1-am)]$  and substituting into (18.46),  $\rho_0^{1-\beta m} x_c^{1-\beta m-\beta\mu} = a\psi^{-1} A^{1-\beta} N^{\beta(\kappa+1)-1}$ , and  $1-\beta m - \beta\mu = 1-\beta$ , so

$$x_c^{1-\beta} = \frac{a\rho_0^{-(1-\beta m)}}{\psi} A^{1-\beta} N^{\beta(\kappa+1)-1}.$$

Comparing with (1) of Exercise 18.27, incomplete contracts replace  $\beta$  by  $a\rho_0^{-(1-\beta m)}$ . Combining with Step 3,

$$\boxed{(\tilde{N})^{\theta_0} A \kappa \beta^{1/(1-\beta)} \psi^{-\beta/(1-\beta)} \Lambda = \Gamma'(\tilde{N}) + w_0, \quad \Lambda \equiv \left[ \frac{a}{\beta} \rho_0^{-(1-\beta m)} \right]^{\frac{1}{1-\beta}},}$$

so that  $\Xi(\tilde{N}) = \Xi(N^*) + \log \Lambda$ , and (18.50) follows from  $\tilde{x}_n = \rho_0 \tilde{x}_c$ . Existence and uniqueness are as in Exercise 18.27, since  $\Xi$  is strictly increasing.

*Step 5: the comparative statics.*  $\Xi$  is strictly increasing, so the sign of  $\partial\tilde{N}/\partial z$  is the sign of  $\partial \log(A\Lambda)/\partial z$ .

- $\partial\tilde{N}/\partial A > 0$  and hence  $\partial\tilde{x}_c/\partial A \geq 0$ , exactly as before; and  $\partial\tilde{x}_n/\partial A \geq 0$  since  $\tilde{x}_n = \rho_0 \tilde{x}_c$  with  $\rho_0$  independent of  $A$ .
- $\Lambda = 1$  at  $\mu = 1$  and  $\Lambda < 1$  for  $\mu < 1$ , and  $\Lambda$  is strictly increasing in  $\mu$  and in  $\alpha$ . The numerical table in `code/ch18.py` records, at  $\beta = 0.5$  and  $\kappa = 0.8$ ,  $\Lambda = 0.609, 0.813, 1$  at  $\mu = 0, 0.5, 1$  for  $\alpha = 0.3$ , and  $0.793, 0.913, 1$  for  $\alpha = 0.6$ . Hence  $\partial\tilde{N}/\partial\mu > 0$ ,  $\partial\tilde{N}/\partial\alpha > 0$ , and  $\partial\tilde{x}_c/\partial\mu \geq 0$ ,  $\partial\tilde{x}_c/\partial\alpha \geq 0$  through (18.49).
- $\partial(\tilde{x}_n/\tilde{x}_c)/\partial\mu > 0$ : from Step 2 the ratio is  $\rho_0(m) = a(1-\beta m)/[\beta(1-am)]$  and  $\frac{d \log \rho_0}{dm} = \frac{a}{1-am} - \frac{\beta}{1-\beta m} < 0$  because  $z \mapsto z/(1-zm)$  is increasing and  $a < \beta$ ; so  $\rho_0$  is decreasing in  $m$  and increasing in  $\mu$ .
- $\partial(\tilde{x}_n/\tilde{x}_c)/\partial\alpha > 0$ :  $a = \alpha\beta/(\alpha + \beta)$  is increasing in  $\alpha$ , and  $\rho_0$  is increasing in  $a$  (numerator up, denominator down).

■

*Numerical verification.* Maximizing (18.47) directly over  $(N, x_c)$  by Nelder–Mead, with  $\alpha = 0.6$ ,  $\beta = 0.5$ ,  $\kappa = 0.8$ ,  $A = 3$ ,  $\Gamma(N) = N^4/4$  and  $w_0 = 0.05$ , reproduces the boxed closed form at every  $\mu$  to six decimals, and confirms  $\kappa\psi\tilde{x}_c = \Gamma'(\tilde{N}) + w_0$  and the ratio (18.51):

| $\mu$ | $\tilde{N}$ (brute force) | $\tilde{N}$ (boxed) | $\tilde{x}_n/\tilde{x}_c$ | (18.51) |
|-------|---------------------------|---------------------|---------------------------|---------|
| 0.05  | 0.973935                  | 0.973935            | 0.38650                   | 0.38650 |
| 0.25  | 0.993601                  | 0.993601            | 0.42857                   | 0.42857 |
| 0.50  | 1.013847                  | 1.013847            | 0.47368                   | 0.47368 |
| 0.75  | 1.030523                  | 1.030523            | 0.51220                   | 0.51220 |
| 1.00  | 1.044519                  | 1.044519            | 0.54545                   | 0.54545 |

*Remark.* The exponent printed on the first bracketed term of (18.48) is  $-\frac{1-\beta(1-\mu)}{1-\beta}$  applied to  $\frac{1-\alpha(1-\gamma)(1-\mu)}{1-\beta(1-\mu)}$ , which is the reciprocal of what the algebra of Step 4 gives. With the printed exponent the implied  $\tilde{N}$  is 0.764, 0.882 and 0.959 at  $\mu = 0.05, 0.5$  and  $0.75$  against the true 0.974, 1.014 and 1.031; the two agree only at  $\mu = 1$ . The sign of the exponent does not affect any of the comparative statics in PROPOSITION 18.11, nor PROPOSITION 18.12, since both forms give  $\Lambda < 1$  increasing in  $\mu$  and  $\alpha$  — it changes only the magnitude of the distortion.

### Exercise 18.29

Three claims, in the order in which they follow.

(i)  $\tilde{N} < N^*$ . From Exercise 18.28,  $\Xi(\tilde{N}) = \Xi(N^*) + \log \Lambda$  with

$$\Lambda = \left[ \gamma \rho_0^{-(1-\beta m)} \right]^{\frac{1}{1-\beta}}, \quad \rho_0 = \frac{a(1-\beta m)}{\beta(1-am)}, \quad \gamma = \frac{a}{\beta} = \frac{\alpha}{\alpha + \beta}.$$

At  $\mu = 1$  ( $m = 0$ ) we have  $\rho_0 = \gamma$  and  $\Lambda = 1$ . For  $\mu < 1$ ,  $\Lambda < 1$ : the supplier is not the residual claimant on her own noncontractible investment, so  $\bar{x}_n$  falls short of what the firm would choose, and since  $x_c$  and  $x_n$  are complements in (18.28) this lowers the marginal return to a higher  $N$ . Since  $\Xi$  is strictly increasing,  $\log \Lambda < 0$  gives

$$\boxed{\tilde{N} < N^*}.$$

(ii)  $\tilde{x}_c < x^*$ . By (18.37) and (18.49) the two investment levels in contractible activities are given by the *same* function of the technology level,  $x = [\Gamma'(N) + w_0]/(\kappa\psi)$ , evaluated at  $N^*$  and  $\tilde{N}$  respectively. Since  $\Gamma'' > 0$  and  $\tilde{N} < N^*$ , it follows that  $\tilde{x}_c < x^*$ . Note what this says: for a *given* technology level the two environments would produce the same contractible investment, so the entire shortfall in  $\tilde{x}_c$  is inherited from the shortfall in technology.

(iii)  $\tilde{x}_n < \tilde{x}_c$ . Immediate from (18.51), since  $\alpha(1-\gamma) = \alpha\beta/(\alpha+\beta) < \beta$ , as shown in Exercise 18.28 Step 2. ■

*The chain of causation.* Contractual incompleteness bites in exactly one place: suppliers choose the noncontractible investments and capture only the fraction  $1-\gamma$  of the revenue they generate, so  $\tilde{x}_n < \tilde{x}_c$ . Because inputs are produced by a Cobb–Douglas aggregate of contractible and noncontractible activities (18.29), the shortfall in one lowers the marginal product of the other, and hence the payoff to a wider range of inputs; so the firm adopts a less advanced technology,  $\tilde{N} < N^*$ . The lower  $N$  then feeds back into *contractible* investment through (18.49). Measured productivity is  $\tilde{P} = \tilde{N}^\kappa < (N^*)^\kappa = P^*$ , so weak contracting institutions show up in the data as a total factor productivity gap even though nothing about the physical technology differs across countries.

Figure 14 plots  $\tilde{N}/N^*$  against  $\mu$  for three values of  $\alpha$ : the loss is largest when contracts are worst and when inputs are most complementary — at  $\mu = 0$  and  $\alpha = 0.3$  the firm adopts only 85% of the first-best technology, while at  $\alpha = 0.9$  it adopts 96%. The interaction is the model's sharpest prediction: weak courts should depress technology adoption most in exactly those industries whose inputs are least substitutable.

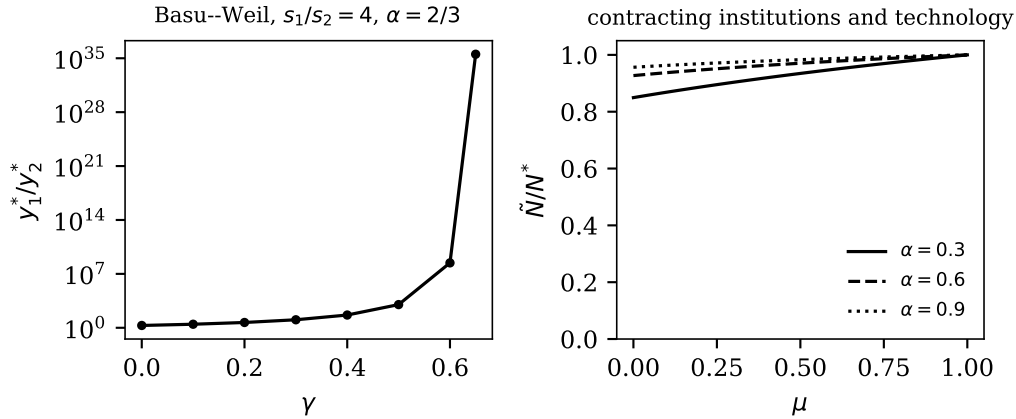


FIGURE 14. Left: the Basu–Weil steady-state income ratio against the inappropriateness parameter  $\gamma$  (Exercise 18.20), on a logarithmic scale; the exponent diverges as  $\gamma \uparrow \alpha$ . Right: technology adoption relative to the complete-contracts benchmark against the contractible share  $\mu$ , for three elasticities of substitution between inputs (Exercises 18.28 and 18.29).

### Exercise 18.30

(a) Labour is the only factor, and a worker is indifferent between the two occupations, so  $w_0 = w$ : the supplier's outside option *is* the wage. A product that adopts technology  $N$  employs  $N$  suppliers and  $\Gamma_0(N)$  adoption workers, so total labour demand is  $M[\Gamma_0(N) + N]$  and labour market clearing is

$$M[\Gamma_0(N^*) + N^*] = L.$$

The firm's condition is (18.48) with  $\Gamma'(N) = w\Gamma'_0(N)$  and  $w_0 = w$ , that is

$$(N^*)^{\theta_0} A \kappa \beta^{1/(1-\beta)} \psi^{-\beta/(1-\beta)} \Lambda(\mu, \alpha, \beta) = w[\Gamma'_0(N^*) + 1].$$

The equilibrium is the pair  $(N^*, w)$  solving these two equations, together with  $\tilde{x}_c = w[\Gamma'_0(N^*) + 1]/(\kappa\psi)$  and (18.50). Note the recursive structure: since  $\Gamma_0(N) + N$  is strictly increasing, market clearing determines  $N^*$  *by itself*, as the unique solution of  $\Gamma_0(N^*) + N^* = L/M$ , and the firm's condition then determines  $w$ .

(b) Therefore

$$\frac{\partial N^*}{\partial \mu} = 0.$$

Better contracting institutions raise the *demand* for technology at any given wage, exactly as in PROPOSITION 18.11, but with  $M$  fixed the supply of labour to be divided between adoption and supply is fixed too, so the technology level cannot move. The entire effect is absorbed by the wage:

from the firm's condition,  $\partial \log w / \partial \log \Lambda = 1$ , so  $w$  rises one for one with  $\Lambda$ . The partial equilibrium result of PROPOSITION 18.11 is thus a statement about the *returns* to better institutions, not about the quantity of technology adopted, once the resource constraint is imposed at fixed  $M$ .

(c) If each product  $z$  has its own  $\alpha$ , drawn from  $G$ , then each solves its own version of (18.48) facing the common wage  $w$ , giving  $N^*(\alpha)$  with  $\partial N^*(\alpha) / \partial \alpha > 0$  by PROPOSITION 18.11. Labour demand aggregates across products, so market clearing is

$$M \int_0^1 [\Gamma_0(N^*(\alpha)) + N^*(\alpha)] dG(\alpha) = L.$$

(d) Now a higher  $\mu$  raises  $\Lambda(\mu, \alpha)$  for *every*  $\alpha$ , so at a given  $w$  every  $N^*(\alpha)$  rises and aggregate labour demand exceeds  $L$ ; the wage rises until the integral is back to  $L$ . The *aggregate* amount of labour devoted to technology is therefore again unchanged, but the *composition* is not, because  $\partial \log \Lambda / \partial \mu$  is not the same for all  $\alpha$ : by the numbers in Exercise 18.28,  $\Lambda$  rises from 0.609 to 1 as  $\mu$  goes from 0 to 1 when  $\alpha = 0.3$ , but only from 0.872 to 1 when  $\alpha = 0.9$ . Improving contracting institutions therefore *reallocates* technology adoption toward the complementarity-intensive products — those with low  $\alpha$ , for which the hold-up problem was worst — at the expense of the substitutable ones. This is the general-equilibrium counterpart of Nunn's finding that contract-intensive industries are disproportionately large in countries with good courts, and it survives even when the aggregate scale of technology adoption is pinned down by resources.

(e) Endogenize  $M$  by free entry into product creation: let creating a product cost  $\chi$  units of labour, and require that the equilibrium profit of a producer,  $\Pi(N^*, w)$  from Exercise 18.28's Step 1, equal  $\chi w$ . Market clearing becomes  $M[\Gamma_0(N^*) + N^* + \chi] = L$ , and the two equations determine  $(M, N^*)$  jointly with  $w$  following. The insight this generates is a *variety–depth trade-off*: an improvement in contracting institutions raises producer profits, which draws entry, which raises  $M$ , which lowers  $L/M$  and hence *lowers*  $N^*$  per product. Better institutions may therefore show up as a wider range of goods produced with shallower supply chains rather than as deeper supply chains, and which margin dominates depends on  $\chi$  relative to the curvature of  $\Gamma_0$ . Since measured productivity in this model is  $N^\kappa$  per product but total output also rises with  $M$ , the two margins have opposite implications for firm-level and aggregate productivity — which is a useful caution when mapping PROPOSITION 18.12 to plant-level data.

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### Exercise 18.31

The model of Section 18.5 holds the organization of production fixed: arm's-length suppliers, one-shot interaction, Shapley bargaining. Each of those three assumptions can be relaxed, and each relaxation is a substitute for formal contract enforcement.

1. *Vertical integration.* Integration transfers residual control rights over the supplier's assets to the producer. Model it as in Grossman–Hart–Moore: for an integrated input, the producer can direct the activities that were noncontractible with an arm's-length supplier, so the effective contractible share rises from  $\mu$  to some  $\mu^V > \mu$ ; but the supplier, now an employee, loses her claim on the marginal return, so her bargaining share falls from  $1 - \gamma$  toward zero and the residual activities she still controls receive even less investment. The firm integrates input  $j$  when the first effect

dominates:

$$\Pi(\mu^V, \gamma^V) > \Pi(\mu, \gamma),$$

with  $\Pi$  the maximized objective (18.40). Two predictions follow. Integration is more attractive the lower is  $\mu$ , so weak-court economies should be more vertically integrated — which is what the data on firm boundaries across countries show. And integration is more attractive the higher is  $\beta$  relative to  $\alpha$ , since  $\gamma = \alpha/(\alpha + \beta)$  is then low and the producer is capturing little of the surplus anyway. Integration mitigates but does not undo PROPOSITION 18.12, because the activities the producer cannot monitor even inside the firm remain under-supplied.

2. *Relational contracts.* If the producer and its suppliers interact repeatedly with discount factor  $\delta$ , the producer can promise a discretionary bonus  $b$  conditional on an observed but unverifiable investment, enforced by the threat of terminating the relationship. The self-enforcement constraint is

$$\frac{\delta}{1 - \delta} [\Pi^{\text{rel}} - \Pi^{\text{spot}}] \geq Nb,$$

where  $\Pi^{\text{rel}}$  is the per-period profit under the relational contract and  $\Pi^{\text{spot}}$  the one-shot profit of Exercise 18.28. Whenever this binds slackly for activities in  $(\mu, \hat{\mu}]$ , the effective contractible share rises from  $\mu$  to  $\hat{\mu}(\delta)$ , and everything in PROPOSITIONS 18.11 and 18.12 goes through with  $\hat{\mu}$  in place of  $\mu$ . The comparative statics are the interesting part: since the constraint's left-hand side is increasing in the value of the relationship and hence in  $N$ , while the right-hand side is proportional to  $N$ , relational contracting is *hardest to sustain precisely where technology is most advanced* — a large  $N$  means many suppliers, each of whom is individually small and easily replaced, so the rents at stake in any one relationship are thin. This generates a complementarity between formal and relational enforcement rather than pure substitution.

3. *What this does to the cross-country predictions.* Both margins compress the technology gap that PROPOSITION 18.12 attributes to contracting institutions, so the raw correlation between  $\mu$  and productivity overstates the causal effect of courts. But both leave a residual, and they predict *where* it should be concentrated: in industries with many suppliers, high supplier turnover, thin or spot markets, and inputs that are neither standardizable (which would raise  $\alpha$ ) nor producible in house (which would allow integration). Other substitutes worth modelling the same way are input standardization, which raises  $\alpha$  and by PROPOSITION 18.11 raises  $\tilde{N}$  directly; third-party certification and reputation, which raise  $\mu$  at a cost; and business groups and family firms, which extend the relational mechanism to a network by making deviations observable across relationships.

## Chapter 19

# Trade and Growth

The twenty-two exercises of Chapter 19 left unsolved in the instructor's manual: 19.1, 19.5, 19.6, 19.8–19.10, 19.12, 19.14–19.23, 19.30–19.32, 19.35 and 19.36. The manual solves 19.2, 19.3, 19.4, 19.7, 19.11, 19.13, 19.24–19.29, 19.33, 19.34 and 19.37. The numerical parts are computed by `code/ch19.py`; Figure 15 is its output.

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### Section 19.1 Growth and Financial Capital Flows

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#### Exercise 19.1

PROPOSITION 19.1. Capital is rented by competitive firms in every country at the world rental rate  $r(t) + \delta$  — free capital flows make the opportunity cost of a unit of capital the same wherever it is installed. Profit maximization by the representative firm in country  $j$ ,

$$\max_{K_j} F(K_j, A_j(t)L_j(t)) - (r(t) + \delta)K_j,$$

has the first-order condition  $F_K(K_j, A_j L_j) = r(t) + \delta$ , and by constant returns  $F_K(K_j, A_j L_j) = f'(k_j(t))$  with  $k_j \equiv K_j/(A_j L_j)$ . Hence

$$\boxed{k_j(t) = f'^{-1}(r(t) + \delta) \equiv k(t) \quad \text{for every } j,}$$

the inverse being well defined because  $f'$  is strictly decreasing with range  $(0, \infty)$  under ASSUMPTIONS 1–2. ■

Note carefully what is *not* equalized:  $K_j/L_j = A_j(t)k(t)$  differs across countries in exact proportion to  $A_j$ . This is the observation that Section 19.2 turns into PROPOSITION 19.4.

PROPOSITION 19.2. Each country solves  $\max \int_0^\infty e^{-(\rho-n)t} \frac{c_j^{1-\theta}-1}{1-\theta} dt$  subject to (19.2), (19.4) and (19.5). The two constraints can be consolidated. Multiplying (19.4) by the discount factor  $\exp(-\int_0^t (r-g-n))$  and integrating, (19.5) is equivalent to the intertemporal budget constraint

$$\int_0^\infty \exp\left(-\int_0^t (r(s) - g - n) ds\right) b_j(t) dt = a_j(0),$$

so that the household may choose any path of  $b_j$  with this present value. Substituting into (19.2), the country's problem is the standard one-sector problem with the *additional* intertemporal technology of borrowing at  $r(t)$ .

Now the Euler equation and the two first-order conditions give

$$\frac{\dot{c}_j}{c_j} = \frac{1}{\theta}(r(t) - \rho), \quad r(t) = f'(k(t)) - \delta,$$

where the second is PROPOSITION 19.1. Both are the same for every  $j$ , so  $\dot{c}_j/c_j$  is common: the world behaves as a single closed neoclassical economy whose aggregate effective capital-labor ratio is  $k(t)$  and whose aggregate resource constraint is obtained by summing (19.2) and using  $\sum_j A_j b_j = 0$



from (19.6):

$$\dot{\tilde{k}}(t) = f(k(t)) - \tilde{c}(t) - (n + g + \delta)k(t),$$

with  $\tilde{c}$  the productivity-weighted average of  $\tilde{c}_j$ . Chapter 8 then gives a unique steady state with  $\dot{c} = 0$ , that is  $r^* = \rho + \theta g$  and

$$k_j^* = k^* = f'^{-1}(\rho + \delta + \theta g) \quad \text{for every } j,$$

with all per capita quantities growing at  $g$ , and ASSUMPTION 4 ( $\rho - n > (1 - \theta)g$ ) makes lifetime utility finite and the transversality condition hold.

*Why  $\dot{a}_j(t) \rightarrow 0$ .* From (19.4),  $\dot{a}_j = (r - g - n)a_j - b_j$ . In the steady state  $r^* - g - n = \rho + \theta g - g - n = \rho - n - (1 - \theta)g > 0$  by ASSUMPTION 4. Suppose  $\dot{a}_j(t) \rightarrow \alpha \neq 0$ . Then  $a_j(t)$  grows linearly in  $t$  while the no-Ponzi condition (19.5) requires  $a_j(t)e^{-(r^* - g - n)t} \rightarrow 0$  — which a linearly growing  $a_j$  satisfies, so (19.5) alone is not enough. Local nonsatiation makes (19.5) hold with equality, which combined with (19.4) forces the present value of the  $b_j$  path to equal  $a_j(0)$  exactly. If  $\dot{a}_j \rightarrow \alpha > 0$  the country is accumulating claims whose present value it never spends, which is dominated by consuming them; if  $\dot{a}_j \rightarrow \alpha < 0$  it is running down claims at a constant rate, which eventually violates (19.5). Hence  $\dot{a}_j(t) \rightarrow 0$ : in the steady state each country's *normalized* asset position is constant, and with equal  $\rho$  there is no systematic long-run lending. ■

*Remark.* The last step is the one that fails when discount rates differ (EXERCISE 19.2). With  $\rho_j < \rho_{j'}$  the patient country's consumption grows faster than the world rate for ever, so its asset position must keep rising relative to effective labour, and  $\dot{a}_j(t) \not\rightarrow 0$ . No steady state with a nondegenerate world distribution then exists — the same mechanism that Exercise 19.9 exhibits in the Heckscher–Ohlin model of Section 19.3.

### Exercise 19.5

*Why the interpretation fails.* The neoclassical reading of a 2% convergence rate is that capital-poor regions have a high marginal product of capital, accumulate faster, and close the gap slowly because of diminishing returns. That story requires capital to be *immobile*: its entire content is that a region can raise its capital stock only out of its own saving.

COROLLARY 19.1 says that when capital is mobile the transitional dynamics of an individual economy disappear. The effective capital-labor ratios  $k_j(t)$  are equalized at every instant by PROPOSITION 19.1; if a fraction  $\lambda$  of a region's capital is destroyed, capital flows in immediately ( $\dot{a}_j \rightarrow -\infty$ ) and  $k_j$  is restored at once. Between U.S. states the conditions for mobility are as close to ideal as anywhere in the world: a common currency and legal system, no capital controls, no exchange-rate or sovereign risk, an integrated banking and equity market, and firms that operate across state lines. Whatever is converging slowly, it is not the capital stock.

There is also a quantitative embarrassment. In the closed-economy model the convergence rate near the steady state is approximately  $(1 - \alpha)(\rho + \delta)$  with  $\alpha$  the capital share, so matching 2% per year requires  $\alpha \approx 0.75$  — roughly twice the measured share. This is the same puzzle that motivated broad capital in Chapter 3.

*An alternative.* What is slow across regions is *technology*, not capital. The Chapter 18 model gives the natural formulation: let  $A_j$  obey  $\dot{A}_j = \sigma_j(A - A_j) + \lambda_j A_j$  with  $A$  the national frontier. Capital-labor ratios adjust instantly to the world (national) rental rate, while  $a_j = A_j/A$  converges at the

rate  $\sigma_j + g - \lambda_j$ . The observed 2% is then an estimate of *that* rate, which requires no implausible capital share, and it is consistent with the microeconomic evidence in Section 18.1 that technologies diffuse slowly even within a country. This reading also explains why convergence is faster where the mechanisms of technology diffusion are stronger — more education, more mobility of managers, more entry — rather than where saving rates are higher.

Two further candidates, not exclusive of this one: *labour mobility*, which makes the relevant adjustment migration rather than accumulation, so that the regression coefficient on initial income partly measures the speed of population reallocation; and *sectoral reallocation* out of agriculture, which is a compositional convergence with its own time scale. Distinguishing these is exactly the empirical programme the corollary points to.

### Exercise 19.6

*The equilibrium.* With  $Y_j = AK_j$  in every country, the marginal product of capital is  $A$  regardless of where or how much capital is installed, so the world interest rate is

$$r = A - \delta \quad \text{at every date and in every country.}$$

Because  $r$  is independent of the capital stock, *there is no arbitrage incentive for capital to move at all*: a dollar earns  $A - \delta$  wherever it is placed. Free capital mobility is therefore vacuous here, and the no-flow allocation is an equilibrium (the location of the world capital stock is indeterminate, and autarky is one of the indeterminate allocations).

Each country's wealth obeys  $\dot{W}_j = rW_j - C_j$  with, from the CRRA Euler equation,  $C_j = \vartheta_j W_j$  and  $\vartheta_j = \rho_j + (1 - \frac{1}{\theta})(r - \rho_j)$ , which for  $\theta = 1$  is simply  $\rho_j$ . Hence

$$s_j = \frac{\dot{W}_j}{rW_j} = 1 - \frac{\vartheta_j}{r} \quad \text{and, in the no-flow allocation,} \quad i_j = s_j.$$

Saving and investment rates are constant, differ across countries with  $\rho_j$ , and are *perfectly correlated in the cross section* — with no financial friction whatsoever. The lesson is Obstfeld and Rogoff's: a saving–investment correlation is evidence of a common cause, not of immobility. Here the common cause is that the reason a country saves more — patience — does not change the return, so nothing pushes its saving abroad.

*Why this does not settle the puzzle.* Feldstein and Horioka's regression, and the literature after it, is not about the cross section of *levels* but about co-movement in *differences*: within a country over time, changes in the saving rate are matched almost one for one by changes in the investment rate. In the model just written,  $s_j$  and  $i_j$  are constants, so  $\Delta s_j = \Delta i_j = 0$  and the model has nothing to say about that regression. It explains the level correlation and is silent on the one that is puzzling.

*An extension that does.* Let productivity be country-specific and time-varying,  $Y_j(t) = A_j(t)K_j(t)$  with  $A_j$  following a persistent stochastic process. Then

- a positive shock to  $A_j$  raises the return  $A_j - \delta$ , so domestic investment rises — and with a country-specific return, capital now genuinely wants to flow in;
- the same shock raises current and permanent income; with  $\theta > 1$  the consumption response is less than one for one, so the saving rate rises too.

Both series move together in differences, with a coefficient that is closer to one the more persistent the shocks and the larger  $\theta$ . Nothing in this requires a barrier to capital flows: the correlation in differences comes from the fact that investment opportunity shocks are country-specific and are also income shocks. The same construction with  $\rho_j(t)$  stochastic would generate a negative co-movement instead, which is how one could in principle separate the two. What the exercise establishes is that the Feldstein–Horioka coefficient is not, by itself, a measure of capital market integration.

### Section 19.3 Economic Growth in a Heckscher–Ohlin World

#### Exercise 19.8

The rate of return to capital in country  $j$  is (19.10):

$$r_j(t) = p_K(t) - \delta \quad \text{for every } j,$$

because capital is used only in the production of the capital-intensive intermediate and that intermediate is freely traded at the world price  $p_K(t)$ . Two consequences follow immediately.

*No arbitrage exists to be exploited.* Rates of return are already equalized at every date, so an international bond paying  $r(t)$  can be introduced only at  $r(t) = p_K(t) - \delta$ . At that rate no country has any incentive to take a nonzero position for *arbitrage* reasons.

*The bond is a redundant asset.* The substantive question is whether the bond enlarges the country's intertemporal opportunity set. It does not. The country's own capital already offers exactly the same intertemporal technology: by (19.12) and conditional factor price equalization, one unit of the final good saved at  $t$  returns  $1 + (p_K(t) - \delta) dt$ , and — crucially — this return *does not depend on the country's own capital stock*, since  $p_K$  is a world price and the country is small. Each country therefore faces a linear (AK) intertemporal technology at precisely the rate a bond would pay, so a bond spans nothing new. Formally, replacing (19.11)–(19.12) by

$$\dot{K}_j = F(X_j^K, X_j^L) - C_j - \delta K_j + B_j, \quad \dot{\mathcal{A}}_j = r(t)\mathcal{A}_j - B_j$$

and eliminating  $B_j$  gives  $(K_j + \mathcal{A}_j) = p_K K_j + p_L A_j L_j - C_j - \delta K_j + r \mathcal{A}_j$ , which depends on  $K_j$  and  $\mathcal{A}_j$  only through  $K_j + \mathcal{A}_j$  when  $r = p_K - \delta$ . Only total wealth matters, and the split between domestic capital and foreign claims is indeterminate. Hence

the equilibrium allocation  $\{c_j(t), x_j(t), p_K(t), p_L(t)\}$  is unchanged.

■

The one caveat is the nonnegativity constraint  $K_j \geq 0$ : a country that wished to hold negative wealth could do so only with a bond. On the equilibrium path wealth is strictly positive in every country, so the constraint never binds.

*Remark.* This is the sharpest statement of the theme running through Sections 19.1–19.3. Trade in goods and trade in assets are substitutes for the purpose of equalizing rates of return, and either one suffices to make the world economy behave as a single integrated neoclassical economy. Since Heckscher–Ohlin trade already does the job, observing little net capital flow in the data is not evidence that capital markets are closed.

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**Exercise 19.9**

Suppose, for a contradiction, that a steady-state world equilibrium exists. By definition all prices are constant, say at  $p_K^*$  and  $p_L^*$ , and each  $k_j(t)$  and  $c_j(t)$  is constant. By (19.10) every country faces the same rate of return  $r^* = p_K^* - \delta$ , so the Euler equation of country  $j$  gives

$$\frac{\dot{c}_j(t)}{c_j(t)} = \frac{1}{\theta}(p_K^* - \delta - \rho_j).$$

Constancy of  $c_j$  requires  $p_K^* = \rho_j + \delta$  for every  $j$ . With  $\rho_j$  differing across countries this is impossible, so no steady state exists. ■

*What happens instead.* Order the countries so that  $\rho_1 < \rho_2 \leq \dots \leq \rho_J$ . At any constant  $p_K$ , country 1 grows at the highest rate and its share of the world capital stock rises without bound. Two things then happen.

- (1) By PROPOSITION 19.7, the world price satisfies  $f'(x) = p_K$  with  $x = \sum_j K_j / \sum_j A_j L_j$ , so as country 1 accumulates,  $x$  rises and  $p_K$  falls toward the level  $\rho_1 + \delta$  at which country 1 itself stops growing.
- (2) At that price every other country has  $\dot{c}_j/c_j = (\rho_1 - \rho_j)/\theta < 0$  and shrinks to zero.

The limit is therefore *degenerate*: the most patient country owns the entire world capital stock and the world income distribution collapses. Along the way the small-country assumption fails — which is the caveat the text attaches to PROPOSITION 19.9, and the reason the “growth miracle” there can only be a medium-run phenomenon.

*Why the model is knife-edge.* A country in this world faces an AK technology: its return  $p_K - \delta$  is independent of its own capital stock. Nothing inside the country stops accumulation, and the only restraining force is the world price, which responds to the world capital stock and therefore treats all countries symmetrically. With identical  $\rho$  this is enough; with different  $\rho$  it is not, because a common world price cannot simultaneously satisfy  $J$  different Euler equations. The model of Section 19.4 repairs exactly this by giving each country its *own* price — its terms of trade — which falls as it accumulates.

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**Exercise 19.10**

*The closed economy.* Without trade the country must use what it produces, so (19.11) is replaced by  $X_j^K = Y_j^K = K_j$  and  $X_j^L = Y_j^L = A_j L_j$ . Then

$$x_j(t) = \frac{K_j(t)}{A_j L_j(t)} = \frac{k_j(t)}{A_j} \quad \text{and} \quad Y_j(t) = A_j L_j(t) f\left(\frac{k_j(t)}{A_j}\right),$$

the standard neoclassical production function. Factor prices are now domestic:  $R_j = f'(k_j/A_j)$  and  $w_j = A_j[f - \frac{k_j}{A_j} f']$ , both functions of the country's own factor proportions. The resource constraint and the Euler equation give the Chapter 8 system

$$\dot{k}_j = A_j f\left(\frac{k_j}{A_j}\right) - \tilde{c}_j - (n + \delta)k_j, \quad \frac{\dot{c}_j}{c_j} = \frac{1}{\theta}\left(f'\left(\frac{k_j}{A_j}\right) - \delta - \rho\right),$$

with the unique saddle-path-stable steady state

$$f'\left(\frac{k_j^*}{A_j}\right) = \rho + \delta \implies \frac{k_j^*}{A_j} = x^* \text{ for every } j, \quad y_j^* = A_j f(x^*).$$

*Comparison.* Three differences matter and one similarity is worth stating.

- (1) *The steady-state effective ratio is the same.* (19.17) gives  $f'(x^*) = \rho + \delta$  under trade too. So in the long run trade changes neither the world's effective capital-labor ratio nor the rate of return.
- (2) *The transitional dynamics are completely different.* In the closed economy the return  $f'(k_j/A_j) - \delta$  is strictly decreasing in the country's own capital stock, so there is a within-country convergence force of the familiar strength and slow convergence to  $x^*$  is the central prediction. Under trade the return is  $p_K(t) - \delta$ , independent of  $k_j$ : there is *no* within-country convergence force at all, only convergence of the world average (PROPOSITION 19.8). This is the point Exercise 19.5 turns on.
- (3) *The cross-country distribution is pinned down in one case and not the other.* In the closed economy  $y_j^* = A_j f(x^*)$ : relative incomes are determined by technology alone and are independent of initial conditions. Under trade, the steady-state conditions leave  $(k_j^*, \tilde{c}_j^*)$  satisfying the single equation  $0 = (\rho - n)k_j^* + p_L^* A_j - c_j^*$  per country, with only the world average pinned down by (19.18). The distribution is therefore *history dependent*: a country that starts rich stays permanently richer than its technology alone would warrant, and a transitory episode of high saving has permanent level effects (which is PROPOSITION 19.9).
- (4) *A change in a country's discount rate.* In the closed economy a fall in  $\rho$  raises  $k_j^*$  and produces a transition with a declining growth rate. Under trade (PROPOSITION 19.9) it produces growth at the *constant* rate  $(\rho - \rho')/\theta$  for as long as the country stays small.

Trade therefore does not change where the world ends up; it changes the speed with which individual countries can get there, and it converts level differences from a technological consequence into a historical one.

### Exercise 19.12

(a) The only step in Section 19.3 that used  $L_j(t) = L(t)$  is the last line of the proof of PROPOSITION 19.5. Redo it without that assumption. Cost minimization in the final good sector gives, exactly as before,

$$\frac{f'(x_j(t))}{f(x_j(t)) - x_j(t)f'(x_j(t))} = \frac{p_K(t)}{p_L(t)},$$

whose left-hand side is strictly decreasing, so  $x_j(t)$  is the same for all  $j$ . World market clearing (19.13) then gives

$$x_j(t) = x(t) = \frac{\sum_{j=1}^J K_j(t)}{\sum_{j=1}^J A_j L_j(t)} \quad \text{for every } j.$$

Define the world aggregates

$$\bar{A}(t) \equiv \frac{\sum_j A_j L_j(t)}{\sum_j L_j(t)}, \quad k(t) \equiv \frac{\sum_j K_j(t)}{\sum_j L_j(t)}, \quad c(t) \equiv \frac{\sum_j C_j(t)}{\sum_j L_j(t)},$$

so that  $x(t) = k(t)/\bar{A}(t)$ . With a common  $n$ ,  $\bar{A}$  is constant and the proof of PROPOSITION 19.6 goes through verbatim with  $A$  replaced by  $\bar{A}$ : summing the country-level laws of motion and using the homogeneity of  $F$ ,

$$\frac{\dot{c}}{c} = \frac{1}{\theta} \left( f' \left( \frac{k}{\bar{A}} \right) - \delta - \rho \right), \quad \dot{k} = \bar{A} f \left( \frac{k}{\bar{A}} \right) - c - (n + \delta)k.$$

PROPOSITIONS 19.7 and 19.8 follow unchanged, with  $f'(x^*) = \rho + \delta$  and  $p_K^* = \rho + \delta$ . Unequal populations change the weights in the world average and nothing else — large countries count for more in determining world prices, exactly as they should.

(b) Now let  $n_j$  differ, with  $\rho > n_j$  for every  $j$  so that each country's utility is finite. Two things change.

- *The world average is no longer constant.* Let  $j^* = \arg \max_j n_j$  and suppose it is unique. Then  $L_{j^*}(t)/\sum_j L_j(t) \rightarrow 1$ , so  $\bar{A}(t) \rightarrow A_{j^*}$ : asymptotically the world's average productivity is that of the fastest-breeding country, whatever its level. A country with a high  $A_j$  and a low  $n_j$  becomes demographically negligible and stops influencing world prices.
- *A steady state in effective terms still exists.* The Euler equations are still identical across countries (they involve  $\rho$  and  $p_K$  only), so  $p_K^* = \rho + \delta$  and  $f'(x^*) = \rho + \delta$  as before, and  $x(t) \rightarrow x^*$ . What fails is stationarity of the *composition*:  $k(t) = \bar{A}(t)x^* \rightarrow A_{j^*}x^*$  and the world income distribution is dominated in the limit by country  $j^*$ . Per capita consumption still grows at the common rate in every country, so the differences remain level differences.

The substantive point is that with a common  $\rho$  the *prices* are insensitive to demographics, while the *weights* are not; a model in which demography mattered for growth would need  $\rho_j$  or  $A_j$  to respond to  $n_j$ .

## Section 19.4 Trade, Specialization, and the World Income Distribution

### Exercise 19.14

Write  $Z_j \equiv \left[ \int_0^N x_j(\nu)^{(\varepsilon-1)/\varepsilon} d\nu \right]^{\varepsilon/(\varepsilon-1)}$ , so that (19.24) is  $C_j = \chi(K_j^C)^{1-\tau} Z_j^\tau$ , a Cobb–Douglas in two composites.

*The inner nest.* Minimizing  $\int_0^N p(\nu)x(\nu) d\nu$  subject to  $Z = 1$  gives the familiar CES demands  $x(\nu) \propto p(\nu)^{-\varepsilon}$  and the ideal price index

$$P(t) \equiv \left[ \int_0^N p(t, \nu)^{1-\varepsilon} d\nu \right]^{\frac{1}{1-\varepsilon}}.$$

*The outer nest.* Minimize  $r_j K^C + PZ$  subject to  $\chi(K^C)^{1-\tau} Z^\tau = 1$ . The Cobb–Douglas first-order conditions make each factor's expenditure a fixed share of the unit cost  $c$ :  $r_j K^C = (1 - \tau)c$  and

$PZ = \tau c$ . Substituting into the constraint,

$$\chi \left( \frac{(1-\tau)c}{r_j} \right)^{1-\tau} \left( \frac{\tau c}{P} \right)^\tau = 1 \implies c = \frac{1}{\chi} (1-\tau)^{-(1-\tau)} \tau^{-\tau} r_j^{1-\tau} P^\tau.$$

So (19.27) holds exactly,  $B_j^C = r_j^{1-\tau} P^\tau$ , if and only if

$$\chi = (1-\tau)^{-(1-\tau)} \tau^{-\tau}.$$

For the investment good, (19.25) multiplies output by  $\zeta_j^{-1}$ , hence the unit cost by  $\zeta_j$ , giving (19.28),  $B_j^I = \zeta_j r_j^{1-\tau} P^\tau$ . ■

*Remark.*  $\chi$  is not innocuous. It is chosen so that the unit cost has *no*  $\tau$ -dependent constant in front of it, which means the model's normalization has removed the static level gain that a higher  $\tau$  would otherwise produce. Since  $p_j^I/p_j^C = \zeta_j$  regardless of  $\tau$ , the consumption function (19.31) gives  $C_j(t) = \rho_j \zeta_j K_j(t)$ , and *every* effect of openness on welfare in the AK version must therefore run through the growth rate  $g^*$ . This is what makes Exercise 19.23 as delicate as it is.

### Exercise 19.15

Write the household's problem as the maximization of (19.20) subject to (19.21). It is convenient to use the value of the capital stock,  $W_j(t) \equiv p_j^I(t)K_j(t)$ , as the state. The rate of return on a unit of that value is the rental yield plus the capital gain,

$$R_j(t) \equiv \frac{r_j(t)}{p_j^I(t)} + \frac{\dot{p}_j^I(t)}{p_j^I(t)},$$

and (19.21) becomes  $\dot{W}_j = R_j W_j - p_j^C C_j$ . The current-value Hamiltonian is  $\mathcal{H} = \log C_j + \lambda_j [R_j W_j - p_j^C C_j]$ , with

$$\frac{1}{C_j} = \lambda_j p_j^C, \quad \dot{\lambda}_j = \rho_j \lambda_j - \lambda_j R_j.$$

Taking logarithms of the first, differentiating and substituting the second,

$$-\frac{\dot{C}_j}{C_j} = \frac{\dot{\lambda}_j}{\lambda_j} + \frac{\dot{p}_j^C}{p_j^C} = \rho_j - R_j + \frac{\dot{p}_j^C}{p_j^C},$$

that is

$$\frac{r_j(t)}{p_j^I(t)} + \frac{\dot{p}_j^I(t)}{p_j^I(t)} - \frac{\dot{p}_j^C(t)}{p_j^C(t)} = \rho_j + \frac{\dot{C}_j(t)}{C_j(t)},$$

which is (19.29). The transversality condition of the maximum principle is

$$\lim_{t \rightarrow \infty} e^{-\rho_j t} \lambda_j(t) W_j(t) = 0,$$

and substituting  $\lambda_j = 1/(p_j^C C_j)$  and  $W_j = p_j^I K_j$  gives

$$\lim_{t \rightarrow \infty} \left[ \exp(-\rho_j t) \frac{p_j^I(t) K_j(t)}{p_j^C(t) C_j(t)} \right] = 0,$$

which is (19.30). ■

*Integrating to the consumption function.* Solving  $\dot{\lambda}_j = (\rho_j - R_j)\lambda_j$  and using (19.30) to rule out explosive paths, the intertemporal budget constraint  $\int_0^\infty e^{-\int_0^t R_j} p_j^C C_j dt = W_j(0)$  combines

with  $p_j^C C_j = \lambda_j^{-1} = \lambda_j(0)^{-1} e^{(R_j - \rho_j)t}$  to give  $p_j^C(t) C_j(t) = \rho_j p_j^I(t) K_j(t)$ , which is (19.31): with logarithmic utility the household spends the fraction  $\rho_j$  of its wealth at every instant, whatever the path of returns.

*Remark.* The symbol  $r_j$  does double duty in this section. In (19.23) it is the rental *price* of capital — and hence, by the one-for-one technology, the price of country  $j$ 's intermediates. In (19.29), (19.43) and (19.47) it must be read as the *rate of return* on the value of capital,  $r_j/p_j^I = \zeta_j^{-1} r_j^\tau$ , since  $p_j^I = \zeta_j r_j^{1-\tau}$  by (19.33). With the first reading, (19.29) would give  $\dot{K}_j/K_j = r_j - \rho_j$ , which contradicts (19.35). Everything is consistent once the substitution is made, and (19.35) is stated in the correct form.

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### Exercise 19.16

(a) Cobb–Douglas cost shares give the capital used in each activity. In the consumption and investment sectors capital takes the share  $1 - \tau$  of expenditure,

$$r_j K_j^C = (1 - \tau) p_j^C C_j, \quad r_j K_j^I = (1 - \tau) p_j^I I_j,$$

and the capital used to produce intermediates is valued at their sales. Each country spends the share  $\tau$  of its income on the world bundle of intermediates, so world spending on the  $\mu_j$  intermediates produced by country  $j$  — which by the CES demand system is the fraction  $\mu_j p_j^{1-\varepsilon}$  of all intermediate spending, using the normalization (19.32) — is

$$r_j K_j^\mu = \tau \mu_j r_j^{1-\varepsilon} Y(t),$$

where  $p_j = r_j$  by (19.23). Adding the three and imposing (19.26) with equality,

$$r_j K_j = (1 - \tau)(p_j^C C_j + p_j^I I_j) + \tau \mu_j r_j^{1-\varepsilon} Y = (1 - \tau) Y_j + \tau \mu_j r_j^{1-\varepsilon} Y,$$

using (19.21). Since  $Y_j = r_j K_j$  in the AK version, the left-hand side is  $Y_j$ , and cancelling  $(1 - \tau) Y_j$  and dividing by  $\tau$ ,

$$Y_j(t) = \mu_j r_j(t)^{1-\varepsilon} Y(t),$$

which is (19.34). Walras's Law is thus verified: capital market clearing and trade balance are the same equation.

(b) Country  $j$  spends  $\tau Y_j$  on intermediates, of which the fraction  $\mu_j r_j^{1-\varepsilon} = y_j^*$  is on its own goods. So

$$\text{imports} = \tau(1 - y_j^*) Y_j, \quad \boxed{\frac{\text{imports}}{\text{GDP}} = \tau(1 - y_j^*) \approx \tau}$$

for a small country. Exports are the rest of the world's spending on  $j$ 's goods,  $\tau y_j^*(Y - Y_j)$ , and setting exports equal to imports reproduces  $Y_j = y_j^* Y$  — balanced trade again. The parameter  $\tau$  is therefore directly measurable as the share of imported intermediates in GDP, which is what makes the calibration in Exercise 19.19 possible.

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### Exercise 19.17

*Reduction to the simplex.* Let  $y_j(t) \equiv Y_j(t)/Y(t)$  be country  $j$ 's share of world income, so that  $y \in \Delta^{J-1}$ . (19.36) says  $y_j = \mu_j r_j^{1-\varepsilon}$ , which inverts to

$$r_j = \left( \frac{\mu_j}{y_j} \right)^{\frac{1}{\varepsilon-1}},$$



a strictly decreasing function of the country's own income share — this is the terms-of-trade effect, stated as an identity. From  $Y_j = r_j K_j$  and (19.35),

$$\frac{\dot{Y}_j}{Y_j} = \frac{\dot{r}_j}{r_j} + \frac{\dot{K}_j}{K_j} = -\frac{1}{\varepsilon - 1} \frac{\dot{y}_j}{y_j} + \frac{r_j^\tau}{\zeta_j} - \rho_j,$$

while by definition  $\dot{Y}_j/Y_j = \dot{y}_j/y_j + g(t)$  with  $g \equiv \dot{Y}/Y$ . Solving,

$$\boxed{\frac{\dot{y}_j}{y_j} = \frac{\varepsilon - 1}{\varepsilon} \left[ h_j(y_j) - \bar{h}(y) \right], \quad h_j(y) \equiv \frac{1}{\zeta_j} \left( \frac{\mu_j}{y} \right)^{\frac{\tau}{\varepsilon - 1}} - \rho_j,} \quad (1)$$

where  $\bar{h}(y) = \sum_i y_i h_i(y_i)$  is forced by  $\sum_j \dot{y}_j = 0$ , and  $\bar{h}(y) = g(t)$ . This is a *replicator equation* on the simplex, autonomous, with each  $h_j$  continuous and strictly decreasing. There is no jump variable: (19.31) pins consumption to the predetermined capital stock, so the whole equilibrium is the solution of (1) from the given  $y(0)$ .

*The rest point.*  $\dot{y} = 0$  on the interior requires  $h_j(y_j) = \bar{h}$  for all  $j$ ; calling the common value  $g^*$  and inverting  $h_j$  gives  $y_j^* = \mu_j [\zeta_j(\rho_j + g^*)]^{(1-\varepsilon)/\tau}$ , which is (19.40), and  $\sum_j y_j^* = 1$  is (19.38). Since each  $h_j$  is strictly decreasing,  $y_j^*$  is a strictly decreasing function of  $g^*$ , so  $\sum_j y_j^*(g)$  is strictly decreasing and the rest point is unique.

*A Lyapunov function.* Take the Kullback–Leibler divergence of  $y$  from  $y^*$ ,

$$V(y) \equiv \sum_{j=1}^J y_j^* \log \frac{y_j^*}{y_j} \geq 0, \quad V(y) = 0 \iff y = y^*,$$

which is continuous on the interior of the simplex and tends to  $+\infty$  at its boundary. Along (1), and using  $\sum_j y_j^* = 1$  and  $\sum_j (y_j^* - y_j) = 0$ ,

$$\dot{V} = - \sum_j y_j^* \frac{\dot{y}_j}{y_j} = - \frac{\varepsilon - 1}{\varepsilon} \left[ \sum_j y_j^* h_j(y_j) - \bar{h}(y) \right] = - \frac{\varepsilon - 1}{\varepsilon} \sum_j (y_j^* - y_j) [h_j(y_j) - g^*].$$

Each summand is strictly positive unless  $y_j = y_j^*$ : if  $y_j < y_j^*$  then,  $h_j$  being strictly decreasing and  $h_j(y_j^*) = g^*$ , we have  $h_j(y_j) > g^*$ , so both factors are positive; if  $y_j > y_j^*$  both are negative. Hence

$$\boxed{\dot{V} < 0 \text{ for every } y \neq y^* \text{ in the interior of } \Delta^{J-1}.}$$

$V$  is a strict Lyapunov function with compact sublevel sets, so  $y^*$  is globally asymptotically stable on the interior, and  $g(t) = \bar{h}(y(t)) \rightarrow g^*$ . ■

*Verification.* `code/ch19.py` integrates (1) for  $J = 6$  with  $\varepsilon = 4$ ,  $\tau = 0.3$  and drawn  $(\mu_j, \zeta_j, \rho_j)$ , from the uniform distribution and from random Dirichlet draws. Every trajectory reaches (19.40) to within  $3 \times 10^{-14}$ ,  $V$  falls monotonically along each of them, and the realized growth rate converges to  $g^* = 0.024275$ . The left panel of Figure 15 shows the shares.

*Remark.* The reduction to a replicator equation explains the economics in one line. A country's “fitness”  $h_j(y_j)$  is its own growth rate  $\zeta_j^{-1} r_j^\tau - \rho_j$ , and it is *decreasing in the country's own share* because a larger share means worse terms of trade. Shares grow when fitness is above the average and shrink when it is below, and a strictly decreasing fitness is exactly frequency-dependent selection with a stable polymorphic rest point. It is the terms-of-trade effect, and nothing else, that supplies the monotonicity.

**Exercise 19.18**

*Autarky.* Country  $j$  now uses only the  $\mu_j$  intermediates it can produce, all priced at  $r_j$ , so the ideal price index of the bundle it buys is

$$P_j = \left[ \int_0^{\mu_j} r_j^{1-\varepsilon} d\nu \right]^{\frac{1}{1-\varepsilon}} = \mu_j^{-\frac{1}{\varepsilon-1}} r_j,$$

rather than the world index 1. The unit cost functions (19.27)–(19.28) become

$$p_j^C = r_j^{1-\tau} P_j^\tau = \mu_j^{-\frac{\tau}{\varepsilon-1}} r_j, \quad p_j^I = \zeta_j \mu_j^{-\frac{\tau}{\varepsilon-1}} r_j,$$

so the rate of return on the value of capital is

$$\frac{r_j}{p_j^I} = \frac{\mu_j^{\tau/(\varepsilon-1)}}{\zeta_j},$$

*independent of  $r_j$ :* a pure AK economy, exactly as the text says each country would be without the terms-of-trade effect. From (19.35) with  $p_j^I$  replaced by its autarky value,

$$g_j^A = \frac{\mu_j^{\tau/(\varepsilon-1)}}{\zeta_j} - \rho_j,$$

which differs across countries whenever  $(\mu_j, \zeta_j, \rho_j)$  do. There is no world income distribution: relative incomes diverge at the rate  $g_j^A - g_j^*$ , and the most advanced, least distorted, most patient country eventually has all of world output.

*Comparison.* Solve the boxed equation for  $\zeta_j$  and substitute into (19.38). Since  $\zeta_j(\rho_j + g^*) = \mu_j^{\tau/(\varepsilon-1)} \frac{\rho_j + g^*}{\rho_j + g_j^A}$ , the term  $\mu_j[\zeta_j(\rho_j + g^*)]^{(1-\varepsilon)/\tau}$  collapses to  $\left[ \frac{\rho_j + g_j^A}{\rho_j + g^*} \right]^{(\varepsilon-1)/\tau}$  and (19.38) becomes

$$\sum_{j=1}^J \left[ \frac{\rho_j + g_j^A}{\rho_j + g^*} \right]^{\frac{\varepsilon-1}{\tau}} = 1.$$

With  $J \geq 2$  these are  $J$  strictly positive numbers summing to one, so *every* one of them is strictly below one, and therefore

$$g^* > g_j^A \quad \text{for every } j.$$

The world growth rate under trade exceeds the autarky growth rate of *every* country, including the fastest-growing one. The intuition is love of variety: in autarky the effective productivity of capital is  $\mu_j^{\tau/(\varepsilon-1)}/\zeta_j$  and under trade it is governed by the whole world stock  $N = \sum_j \mu_j$ ; the terms-of-trade effect redistributes the gain but does not destroy it.

*Welfare.* Since  $p_j^I/p_j^C = \zeta_j$  in *both* regimes, (19.31) gives  $C_j(t) = \rho_j \zeta_j K_j(t)$  in both, and with  $K_j(0)$  given, steady-state welfare is

$$U_j = \frac{\log(\rho_j \zeta_j K_j(0))}{\rho_j} + \frac{g}{\rho_j^2}, \quad g \in \{g_j^A, g^*\}.$$

It is strictly increasing in  $g$ , so

no: every country, including the fastest-growing one, strictly prefers trade.

The calibration in `code/ch19.py` (with  $\varepsilon = 4$ ,  $\tau = 0.3$  and six drawn countries) gives  $g^* = 0.024275$  against autarky rates ranging from  $-0.014$  to  $0.018$ , and the displayed identity holds to twelve digits.

### Exercise 19.19

(a) (19.40) is immediate: (19.34) gives  $Y_j/Y = \mu_j r_j^{1-\varepsilon}$ , and substituting the steady-state terms of trade (19.39),  $r_j^* = [\zeta_j(\rho_j + g^*)]^{1/\tau}$ ,

$$y_j^* = \mu_j [\zeta_j(\rho_j + g^*)]^{\frac{1-\varepsilon}{\tau}}.$$

For (19.41), take the Solow model with  $Y_j = K_j^\alpha (A_j L_j)^{1-\alpha}$ , saving rate  $s_j$ , population growth  $n$ , depreciation  $\delta$  and common technology growth  $g^*$ . The steady-state effective capital-labor ratio solves  $s_j \kappa^{\alpha-1} = n + g^* + \delta$ , so  $\kappa_j^* = [s_j/(n + g^* + \delta)]^{1/(1-\alpha)}$  and

$$y_j^* = A_j (\kappa_j^*)^\alpha = A_j \left( \frac{s_j}{n + g^* + \delta} \right)^{\frac{\alpha}{1-\alpha}},$$

which is (19.41) once  $n + \delta$  is absorbed into  $g^*$ , as the text does.

(b) Taking logarithms of (19.40),

$$\frac{\partial \log y_j^*}{\partial \log \mu_j} = 1, \quad \frac{\partial \log y_j^*}{\partial \log \zeta_j} = \frac{\partial \log y_j^*}{\partial \log(\rho_j + g^*)} = -\frac{\varepsilon - 1}{\tau},$$

against  $\partial \log y_j^* / \partial \log A_j = 1$  and  $\partial \log y_j^* / \partial \log s_j = \alpha/(1 - \alpha)$  in the Solow model. The correspondence the text draws is exact:  $\mu_j$  plays the role of  $A_j$  with the same unit elasticity,  $\zeta_j$  and  $\rho_j$  play the role of the saving rate, and  $(\varepsilon - 1)/\tau$  replaces  $\alpha/(1 - \alpha)$  as the amplification factor.

The difference is one of magnitude. With  $\alpha = 1/3$  the Solow amplification is  $1/2$ , so a fourfold difference in saving rates produces only a twofold difference in income — the familiar failure of the neoclassical model. Here the amplification is  $(\varepsilon - 1)/\tau$ , and plausible values make it an order of magnitude larger:

| $\varepsilon$ | $\tau$ | $(\varepsilon - 1)/\tau$ | $2 \times \zeta$  | $4 \times \zeta$     |
|---------------|--------|--------------------------|-------------------|----------------------|
| 3             | 0.30   | 6.67                     | 102               | $1.0 \times 10^4$    |
| 4             | 0.30   | 10.0                     | 1024              | $1.0 \times 10^6$    |
| 4             | 0.15   | 20.0                     | $1.0 \times 10^6$ | $1.1 \times 10^{12}$ |
| 8             | 0.30   | 23.3                     | $1.1 \times 10^7$ | $1.1 \times 10^{14}$ |

$\tau$  is directly measurable as the import share of intermediates in GDP (Exercise 19.16), which puts it in the range 0.15–0.30 for most countries, and the trade literature estimates  $\varepsilon$  between 3 and 8. So the model can generate *any* observed income difference from tiny differences in  $\zeta_j$  or  $\rho_j$  — which is its strength relative to the neoclassical model and, equally, its weakness. A theory that can explain a factor of 30 with a 10% difference in distortions is not disciplined by the income data at all; what would discipline it is independent measurement of  $\zeta_j$ , of the terms of trade  $r_j^*$  (which

the model says are observable and satisfy  $y_j^* = \mu_j(r_j^*)^{1-\varepsilon}$ , and of  $\mu_j$  through the range of goods a country exports. That is the sense in which (19.40) is more useful as a set of cross-equation restrictions than as a calibration.

### Exercise 19.20

In the general model the household owns capital and supplies one unit of labour. Write, as in Exercise 19.15,  $R_j(t) \equiv r_j(t)/p_j^I(t) + \dot{p}_j^I(t)/p_j^I(t)$  for the rate of return on the value of capital. The flow constraint (19.21) is

$$\frac{d}{dt}[p_j^I K_j] = R_j p_j^I K_j + w_j - p_j^C C_j.$$

Multiply by  $\exp(-\int_0^t R_j)$ , integrate from  $t$  to  $\infty$ , and impose the transversality condition (19.30), which kills the boundary term. This gives the intertemporal budget constraint

$$\int_t^\infty \exp\left(-\int_t^z R_j(s) ds\right) p_j^C(z) C_j(z) dz = \underbrace{p_j^I(t) K_j(t) + \int_t^\infty \exp\left(-\int_t^z R_j(s) ds\right) w_j(z) dz}_{\equiv \mathcal{W}_j(t)},$$

so that total wealth is the value of the capital stock plus the present value of labour income, discounted at the return on capital.

From the first-order conditions of Exercise 19.15,  $p_j^C C_j = 1/\lambda_j$  and  $\dot{\lambda}_j/\lambda_j = \rho_j - R_j$ , so  $p_j^C(z) C_j(z) = p_j^C(t) C_j(t) \exp(\int_t^z (R_j - \rho_j))$ . Substituting into the left-hand side, the discount factors cancel and

$$p_j^C(t) C_j(t) \int_t^\infty e^{-\rho_j(z-t)} dz = \frac{p_j^C(t) C_j(t)}{\rho_j} = \mathcal{W}_j(t),$$

that is

$$p_j^C(t) C_j(t) = \rho_j \left[ p_j^I(t) K_j(t) + \int_t^\infty \exp\left(-\int_t^z R_j(s) ds\right) w_j(z) dz \right],$$

which is (19.43). ■

*The simplification* (19.45). Labour market clearing (19.44) makes  $w_j(t) = (1-\gamma)(1-\tau)p_j^C(t)C_j(t)$  at every date. Substituting this into the human wealth term and using the same discounting identity backwards,

$$\int_t^\infty e^{-\int_t^z R_j} w_j(z) dz = (1-\gamma)(1-\tau) \int_t^\infty e^{-\int_t^z R_j} p_j^C C_j dz = (1-\gamma)(1-\tau) \mathcal{W}_j(t),$$

so  $\mathcal{W}_j = p_j^I K_j + (1-\gamma)(1-\tau)\mathcal{W}_j$  and hence  $\mathcal{W}_j = \frac{p_j^I K_j}{1-(1-\gamma)(1-\tau)}$ , giving (19.45). Human wealth is a fixed multiple of physical wealth, which is what keeps the model as tractable as the AK version.

### Exercise 19.21

*The trade balance* (19.46). Repeat Exercise 19.16(a) with labour added. Cost shares now give

$$r_j K_j^C = (1-\tau)\gamma p_j^C C_j, \quad w_j = (1-\tau)(1-\gamma) p_j^C C_j, \quad r_j K_j^I = (1-\tau) p_j^I I_j, \quad r_j K_j^\mu = \tau \mu_j r_j^{1-\varepsilon} Y.$$

Adding the capital uses and imposing (19.26) with equality,

$$r_j K_j = (1-\tau)\gamma p_j^C C_j + (1-\tau) p_j^I I_j + \tau \mu_j r_j^{1-\varepsilon} Y.$$

Adding  $w_j = (1 - \tau)(1 - \gamma)p_j^C C_j$  to both sides and using  $Y_j = r_j K_j + w_j = p_j^C C_j + p_j^I I_j$ ,

$$Y_j = (1 - \tau)(p_j^C C_j + p_j^I I_j) + \tau \mu_j r_j^{1-\varepsilon} Y = (1 - \tau)Y_j + \tau \mu_j r_j^{1-\varepsilon} Y,$$

and cancelling,

$$r_j K_j + w_j = \mu_j r_j^{1-\varepsilon} \sum_{i=1}^J [r_i K_i + w_i],$$

which is (19.46).

*The labour share* (19.47). Combine (19.44) and (19.45):

$$w_j = (1 - \gamma)(1 - \tau)p_j^C C_j = \frac{(1 - \gamma)(1 - \tau)\rho_j}{1 - (1 - \gamma)(1 - \tau)} p_j^I K_j.$$

Write  $a \equiv \gamma + (1 - \gamma)\tau = 1 - (1 - \gamma)(1 - \tau)$  and divide by  $r_j K_j$ , using  $p_j^I = \zeta_j r_j^{1-\tau}$  so that  $p_j^I/r_j = \zeta_j r_j^{-\tau}$ :

$$\frac{w_j}{r_j K_j} = \frac{(1 - \gamma)(1 - \tau)\rho_j}{a \zeta_j^{-1} r_j^\tau},$$

and therefore

$$\frac{w_j}{r_j K_j + w_j} = \frac{(1 - \gamma)(1 - \tau)\rho_j}{[\gamma + (1 - \gamma)\tau] \zeta_j^{-1} r_j^\tau + (1 - \gamma)(1 - \tau)\rho_j},$$

which is (19.47) once  $r_j$  inside it is read — as in Exercise 19.15 — as the rate of return  $\zeta_j^{-1} r_j^\tau$  rather than the rental price. Equation (19.35) is unchanged, since it follows from (19.21) and (19.45) exactly as before. ■

*A check.* At  $g^* = 0$  the boxed expression reduces to  $w_j/Y_j = (1 - \gamma)(1 - \tau)$ , since  $\zeta_j^{-1}(r_j^*)^\tau = \rho_j + g^* = \rho_j$  then. That is right: with no growth all income is consumed, and labour's share of consumption-good expenditure is exactly  $(1 - \gamma)(1 - \tau)$ . It also confirms that the correct exponent on  $r_j$  is  $\tau$ : with  $r_j$  in place of  $r_j^\tau$  the check fails.

### Exercise 19.22

*A common growth rate.* In a steady state all prices, hence all  $r_j$ , are constant. By (19.47) the labour share  $s_j^w \equiv w_j/Y_j$  is then constant too, so  $Y_j = r_j K_j/(1 - s_j^w)$  is proportional to  $K_j$  and grows at  $\dot{K}_j/K_j$ . Taking the ratio of (19.46) for two countries  $j$  and  $j'$ ,

$$\frac{Y_j}{Y_{j'}} = \frac{\mu_j r_j^{1-\varepsilon}}{\mu_{j'} r_{j'}^{1-\varepsilon}} = \text{constant},$$

so  $Y_j$  and  $Y_{j'}$  grow at the same rate; call it  $g^*$ . Then (19.35) gives  $\zeta_j^{-1}(r_j^*)^\tau = \rho_j + g^*$ , that is (19.39), and substituting into (19.46) summed over  $j$  gives (19.38). Uniqueness is as in PROPOSITION 19.10: the left-hand side of (19.38) is strictly decreasing in  $g^*$ .

*Global stability.* Run the argument of Exercise 19.17. With  $y_j = Y_j/Y = \mu_j r_j^{1-\varepsilon}$  we still have  $\dot{r}_j/r_j = -\frac{1}{\varepsilon-1} \dot{y}_j/y_j$ , and now  $Y_j = r_j K_j/(1 - s_j^w(r_j))$  with, from (19.47),

$$\frac{1}{1 - s_j^w(r_j)} = 1 + \frac{(1 - \gamma)(1 - \tau)\rho_j \zeta_j}{a r_j^\tau}, \quad \Upsilon_j \equiv \frac{d \log[1/(1 - s_j^w)]}{d \log r_j} \in (-\tau, 0).$$

Hence

$$\frac{\dot{y}_j}{y_j} \left[ 1 + \frac{1 + \Upsilon_j}{\varepsilon - 1} \right] = h_j(y_j) - g(t), \quad h_j \text{ as in (1),}$$

and since  $\tau < 1 < \varepsilon$  the bracket is strictly positive. The system is therefore again a replicator equation with a strictly decreasing fitness  $h_j$  — only the (positive, state-dependent) speed factor differs — and the same Lyapunov function  $V(y) = \sum_j y_j^* \log(y_j^*/y_j)$  has

$$\dot{V} = - \sum_j \frac{y_j^* - y_j}{1 + (1 + \Upsilon_j)/(\varepsilon - 1)} [h_j(y_j) - g^*] < 0 \quad \text{for } y \neq y^*.$$

So  $y^*$  is globally asymptotically stable and  $g(t) \rightarrow g^*$ . ■

*The relative price of investment goods.* The substantive gain from the general model is

$$\frac{p_j^I}{p_j^C} = \zeta_j \left( \frac{r_j}{w_j} \right)^{(1-\tau)(1-\gamma)},$$

so investment goods are expensive not only where distortions  $\zeta_j$  are large but also where wages are low — and by (19.47) wages are low where  $\mu_j$  is small and  $\rho_j$  is large. The model therefore reproduces the observed cross-section of investment-good prices without attributing all of it to investment-sector distortions, which is a warning about the one-sector closed-economy calibrations that read the relative price directly as a measure of  $\zeta_j$ .

### Exercise 19.23

(a) Write  $\phi \equiv (\varepsilon - 1)/\tau$  and  $z_j \equiv \zeta_j(\rho_j + g^*) = (r_j^*)^\tau$ , so that (19.38) reads  $\Theta(g, \phi) \equiv \sum_j \mu_j z_j^{-\phi} = 1$ . The crucial observation is that the terms of this sum *are* the relative incomes: by (19.40),  $y_j^* = \mu_j z_j^{-\phi}$  and  $\sum_j y_j^* = 1$ . Differentiating,

$$\frac{\partial \Theta}{\partial \phi} = - \sum_j y_j^* \log z_j, \quad \frac{\partial \Theta}{\partial g} = -\phi \sum_j \frac{y_j^*}{\rho_j + g^*},$$

and since  $d\phi/d\tau = -\phi/\tau$ , the implicit function theorem gives

$$\boxed{\frac{dg^*}{d\tau} = \frac{\sum_j y_j^* \log z_j}{\tau \sum_j y_j^*/(\rho_j + g^*)} \implies \text{sgn } \frac{dg^*}{d\tau} = \text{sgn } \sum_j y_j^* \log r_j^*}.$$

So  $g^*$  rises with openness exactly when the income-weighted geometric mean of the terms of trade exceeds one. It need not. Using  $y_j^* = \mu_j z_j^{-\phi}$  to eliminate  $z_j$ ,

$$\sum_j y_j^* \log z_j = -\frac{1}{\phi} \sum_j y_j^* \log \frac{y_j^*}{\mu_j} = \frac{1}{\phi} [\log N - D(y^* \parallel \mu/N)],$$

where  $N = \sum_j \mu_j$  and  $D(\cdot \parallel \cdot)$  is the Kullback–Leibler divergence. Hence

$$\boxed{\frac{dg^*}{d\tau} > 0 \iff D(y^* \parallel \mu/N) < \log N.}$$

*Intuition.* A higher  $\tau$  shifts weight in production from domestic capital toward the world bundle of intermediates. That has two effects. The *variety* effect is a gain of  $\log N$ : the world bundle contains  $N$  goods and, with love of variety, is more productive per unit of expenditure than any single

country's own output — this is the only effect when countries are identical. The *dispersion* effect works the other way: relying more heavily on traded goods amplifies the differences in terms of trade  $r_j^*$  across countries, and since those differences are precisely what makes the income distribution unequal, they subtract  $D(y^*||\mu/N)$ . When the world income distribution is very unequal relative to the distribution of technological capabilities, openness lowers world growth. `code/ch19.py` confirms the sign rule against numerical derivatives in four configurations, including one with  $N > 1$  and  $D = 1.05 > \log N = 0.18$  where  $dg^*/d\tau < 0$ .

(b) In the AK version this cannot happen, and it is worth saying why. By Exercise 19.14,  $p_j^I/p_j^C = \zeta_j$  independently of  $\tau$ , so (19.31) gives  $C_j(t) = \rho_j \zeta_j K_j(t)$  and steady-state welfare is

$$U_j = \frac{\log(\rho_j \zeta_j K_j(0))}{\rho_j} + \frac{g^*}{\rho_j^2},$$

which depends on  $\tau$  through  $g^*$  alone. The normalization  $\chi = (1 - \tau)^{-(1-\tau)} \tau^{-\tau}$  has removed every static level gain from openness, so welfare and growth must move together.

The general model of Section 19.4.3 supplies the missing channel. There  $p_j^C = w_j^{(1-\tau)(1-\gamma)} r_j^{(1-\tau)\gamma}$  with  $w_j$  proportional to  $K_j$ , so  $p_j^C \propto K_j^b$  with  $b \equiv (1 - \tau)(1 - \gamma)$ , while  $p_j^C C_j \propto K_j$ . Hence *physical* consumption grows more slowly than capital,

$$\frac{\dot{C}_j}{C_j} = [\gamma + (1 - \gamma)\tau] g^* = (1 - b) g^*,$$

because the consumption good uses a fixed factor whose relative price rises. Openness raises  $1 - b = \gamma + (1 - \gamma)\tau$ , so

$$\frac{d}{d\tau} [(1 - b)g^*] = (1 - \gamma)g^* + (1 - b) \frac{dg^*}{d\tau},$$

which is positive whenever  $dg^*/d\tau > -(1 - \gamma)g^*/[\gamma + (1 - \gamma)\tau]$  — a strictly weaker requirement than  $dg^*/d\tau > 0$ . Trade raises welfare over a strictly larger range of parameters than it raises the growth rate of GDP, because part of its benefit is to reduce the economy's reliance on the fixed factor.

(c) Three readings for the empirical debate.

- (1) *The sign of the growth effect is not a theoretical matter.* It is the sign of  $\log N - D(y^*||\mu/N)$ , which mixes a parameter of the world technology with the *endogenous* dispersion of world income. A cross-country regression of growth on openness is therefore estimating something that is not a structural parameter and that can change sign across samples — which is precisely the fragility Rodriguez and Rodrik document.
- (2) *The growth effect is the wrong statistic.* Part (b) shows that welfare and measured GDP growth can move in opposite directions. Studies that ask whether trade raises growth are not asking whether trade is good.
- (3) *Level effects are not second order here.* In an endogenous growth world the static gains from trade are converted into permanently faster accumulation, so the distinction between “level” and “growth” effects that organizes much of the empirical literature is not one the model respects.

(d) A sufficient condition is

$$D(y^* \parallel \mu/N) < \log N,$$

of which the cleanest special cases are: all countries identical, so that  $y^* = \mu/N$ ,  $D = 0$  and the condition reduces to  $N > 1$ ; and, more generally, any configuration in which the world income distribution is close to the distribution of technological capabilities. Read economically: the gains from variety must outweigh the inequality that trade prices in. Since  $D$  grows with the dispersion of  $\zeta_j$  and  $\rho_j$  amplified by  $(\varepsilon - 1)/\tau$ , the condition is easiest to satisfy in a world of many varieties and similar policies, and hardest in a world of few varieties and very unequal distortions.

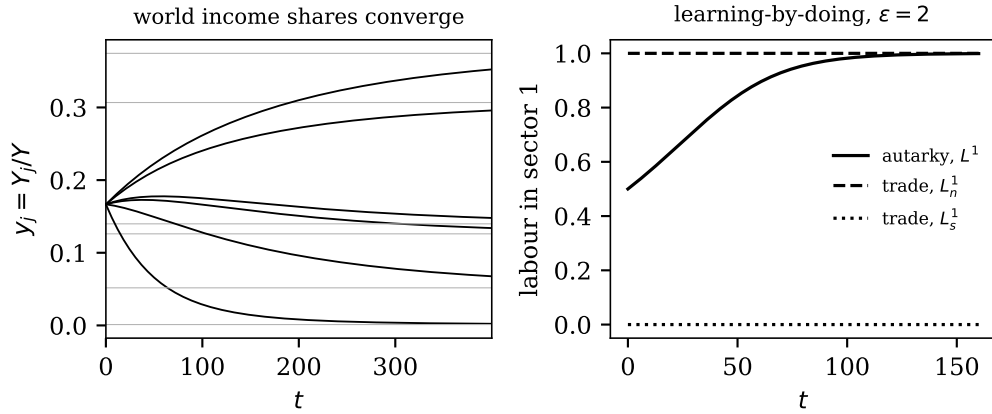


FIGURE 15. Left: world income shares converging to (19.40) under the replicator dynamics (1), from three initial conditions, with the steady-state shares marked (Exercise 19.17). Right: the allocation of labour to the learning sector under autarky and under trade,  $\varepsilon = 2$  (Exercises 19.35 and 19.36).

## Section 19.5 Trade, Technology Diffusion, and the Product Cycle

### Exercise 19.30

(a) Without trade each country consumes only what it produces. One worker produces one unit of any good the country can make, and by the symmetry of (19.48) labour is spread evenly over the available goods. In the North,  $L^n$  workers spread over  $N(t)$  goods give  $c_n(\nu) = L^n/N(t)$  for each, so

$$C_n = \left[ N(L^n/N)^{\frac{\varepsilon-1}{\varepsilon}} \right]^{\frac{\varepsilon}{\varepsilon-1}} = N^{\frac{1}{\varepsilon-1}} L^n,$$

and in the South, with only the  $N^o(t)$  old goods available,  $C_s = (N^o)^{1/(\varepsilon-1)} L^s$ . Since all income is labour income and each country has its own price level, the real wage is  $C_j/L^j$ :

$$w^n(t) = N(t)^{\frac{1}{\varepsilon-1}}, \quad w^s(t) = N^o(t)^{\frac{1}{\varepsilon-1}}.$$

Labour supplies drop out entirely: without trade the *only* thing that makes the North rich is that it consumes more varieties.



(b) Using the steady-state ratio (19.53),  $N^n/N^o = \eta/\iota$ , the autarky gap is

$$\Omega^A \equiv \frac{w^n}{w^s} = \left( \frac{N}{N^o} \right)^{\frac{1}{\varepsilon-1}} = \left( 1 + \frac{\eta}{\iota} \right)^{\frac{1}{\varepsilon-1}},$$

while with trade (19.54) gives  $\Omega^T = \max\{(\frac{\eta}{\iota} \frac{L^s}{L^n})^{1/\varepsilon}, 1\}$ . Since  $\Omega^A > 1$  always,  $\Omega^T > \Omega^A$  requires the first branch, and the condition is

$$\left( 1 + \frac{\eta}{\iota} \right)^{\frac{\varepsilon}{\varepsilon-1}} < \frac{\eta}{\iota} \cdot \frac{L^s}{L^n}.$$

It needs a *large South* and *substitutable goods*: at  $\varepsilon = 2$  it requires  $L^s/L^n > (1 + \eta/\iota)^2 \iota/\eta \geq 4$ , and as  $\varepsilon \rightarrow \infty$  it relaxes to  $L^s/L^n > 1 + \iota/\eta$ .

*Why.* Without trade the South's disadvantage is a pure love-of-variety loss, and it depends on the technology gap alone — the size of the South is irrelevant, because Southern workers produce for Southern consumers. With trade the South gains access to every variety, but its wage is now set in a world market for the old goods in which it specializes. If the South is large, it floods that market, the relative price of old goods collapses, and the terms-of-trade loss can exceed the variety gain. Trade therefore *converts a variety disadvantage into a terms-of-trade disadvantage*, and the latter is the one that scales with the South's size. This is exactly the concern raised by the entry of India and China as large low-cost producers that the text mentions.

(c) No. Relative income is not welfare, and here the two move in opposite directions. With trade the South consumes all  $N$  goods at prices  $p_n = w^n$  and  $p_o = w^s$ , so its ideal price index is  $P = w^s [N^n \Omega^{1-\varepsilon} + N^o]^{1/(1-\varepsilon)}$  with  $\Omega = w^n/w^s$ , and real consumption per worker is

$$c_s^T = \frac{w^s}{P} = [N^n \Omega^{1-\varepsilon} + N^o]^{\frac{1}{\varepsilon-1}}.$$

Against the autarky level  $c_s^A = (N^o)^{1/(\varepsilon-1)}$ ,

$$\frac{c_s^T}{c_s^A} = \left[ 1 + \frac{N^n}{N^o} \Omega^{1-\varepsilon} \right]^{\frac{1}{\varepsilon-1}} > 1 \quad \text{always.}$$

The South gains from trade unconditionally, because the bracket exceeds one for any finite  $\Omega$ . The same computation for the North gives  $c_n^T/c_n^A = [(N^n + N^o \Omega^{\varepsilon-1})/N]^{1/(\varepsilon-1)} > 1$  whenever  $\Omega > 1$ , which holds in the specialization equilibrium. `code/ch19.py` tabulates both: at  $\varepsilon = 3$ ,  $\eta/\iota = 2$  and  $L^s/L^n = 12$ , trade raises the relative gap from 1.73 to 2.88 while raising Southern real consumption by 11% and Northern by 85%.

The moral is the standard one about gains from trade, stated where it is easiest to lose sight of: a policy that widens the *ratio* of incomes can raise *both* levels. A Southern government reading only the relative-income statistic would draw the wrong conclusion.

## Section 19.6 Trade and Endogenous Technological Change

### Exercise 19.31

Each economy is the lab-equipment model of Section 13.1 with  $L = 1$ . Three steps.

*Profits.* A monopolist owning one machine variety charges the constant markup over the marginal cost  $\psi = 1 - \beta$  and earns the flow profit  $\pi = \beta L = \beta$ , independent of  $N$  and of time.

*The value of a variety.* The no-arbitrage condition is  $rV = \pi + \dot{V}$ . Free entry into research, with the innovation possibilities frontier  $\dot{N} = \eta Z$  and a unit cost of 1 per unit of  $Z$ , requires  $\eta V \leq 1$  with equality when  $Z > 0$ . Hence  $V = 1/\eta$  is constant,  $\dot{V} = 0$ , and

$$r = \eta\pi = \eta\beta.$$

*Growth.* The Euler equation gives

$$g^A = \frac{r - \rho}{\theta} = \frac{1}{\theta}(\eta\beta - \rho),$$

which is (19.56), and positive by the first part of (19.55). Both countries are identical and closed, so both grow at  $g^A$  from any initial  $N$  — with free entry and a linear innovation technology there are no transitional dynamics. Finally, finite utility and the transversality condition require  $(1 - \theta)g^A < \rho$ , that is  $(1 - \theta)\eta\beta < \rho$ . ■

*Remark.* The second condition in (19.55),  $2(1 - \theta)\eta\beta < \rho$ , is stronger than the autarky economy needs: it is exactly the transversality condition for the *trade* equilibrium,  $(1 - \theta)g^T < \rho$  with  $g^T = (2\eta\beta - \rho)/\theta$ . Stating both conditions at once lets PROPOSITIONS 19.13 and 19.14 share a hypothesis, at the cost of restricting the autarky case more than necessary. For  $\theta \geq 1$  both conditions are vacuous.

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### Exercise 19.32

Nothing in Exercise 19.31 changes except the market size. With costless trade in inputs, a monopolist that invents a variety sells it to final good producers in *both* countries, so the relevant labour force is  $L^1 + L^2 = 2$  and the flow profit becomes

$$\pi^T = \beta(L^1 + L^2) = 2\beta.$$

Free entry still gives  $V = 1/\eta$  and  $\dot{V} = 0$ , so the interest rate is

$$r^T = \eta\pi^T = 2\eta\beta,$$

and the Euler equation gives

$$g^T = \frac{1}{\theta}(2\eta\beta - \rho) = g^A + \frac{\eta\beta}{\theta} > g^A.$$

Since the two economies are identical and all inputs are traded, the integrated world economy has a single interest rate and a single growth rate, so both countries grow at  $g^T$ . Finite utility requires  $(1 - \theta)g^T < \rho$ , which is the second condition in (19.55). ■

*What is and is not robust.* The mechanism is the market size effect: doubling the market doubles the flow profit from an innovation, which doubles the return to research. It is the cleanest statement of why trade should promote growth, and it is present in any model of endogenous technological change. Three caveats limit it, and each is worth stating with the result.

- (1) *It is a pure scale effect.* The gain  $\eta\beta/\theta$  is exactly proportional to the increase in market size, which is the feature that the semi-endogenous growth models of Section 13.3 remove.

There, as EXERCISE 19.34 shows, trade opening raises innovation temporarily and leaves the long-run growth rate untouched.

- (2) *It relies on the lab-equipment specification.* If R&D used labour rather than final goods, trade opening would also raise the demand for production workers and bid up the wage that research must pay. EXERCISE 19.33 constructs a case in which this offset is complete.
- (3) *It assumes no knowledge spillovers.* With spillovers the answer depends on an assumption about how far knowledge travelled *before* trade opening, which is exactly the thing the lab-equipment specification was chosen to avoid having to assume.

Taken together with Section 19.7, the honest conclusion is the one the text draws: theory delivers both signs, so the question is empirical.

## Section 19.7 Learning-by-Doing, Trade, and Growth

### Exercise 19.35

*The allocation of labour.* With both sectors active, wages must be equal, which is (19.59):  $p_j^1 A_j = p_j^2$ . Profit maximization by the final good producer with  $\gamma = 1/2$  gives  $p_j^1/p_j^2 = (X_j^1/X_j^2)^{-1/\varepsilon}$ . Substituting  $X_j^1 = A_j L_j^1$  and  $X_j^2 = 1 - L_j^1$  and eliminating the price ratio,

$$\frac{1}{A_j} = \left( \frac{A_j L_j^1}{1 - L_j^1} \right)^{-1/\varepsilon} \implies \frac{L_j^1}{1 - L_j^1} = A_j^{\varepsilon-1} \implies \boxed{L_j^1(t) = \frac{A_j(t)^{\varepsilon-1}}{1 + A_j(t)^{\varepsilon-1}}}$$

which is (19.60).

*The case  $\varepsilon > 1$ ,  $\delta \rightarrow 0$ .* At  $t = 0$ ,  $A_j(0) \rightarrow 1$  so  $L_j^1(0) = 1/2$ . Then  $\dot{A}_j/A_j = \eta L_j^1 > 0$  by (19.57), so  $A_j$  increases; since  $\varepsilon > 1$ ,  $A_j^{\varepsilon-1}$  increases, and  $L_j^1$  is a strictly increasing function of it. So  $L_j^1$  rises monotonically, and since  $A_j \rightarrow \infty$  (its growth rate is bounded below by  $\eta/2$ ),  $L_j^1(t) \uparrow 1$  and  $\dot{A}_j/A_j \rightarrow \eta$ . As  $L_j^1 \rightarrow 1$ ,  $X_j^2 \rightarrow 0$  and  $Y_j \rightarrow 2^{-\varepsilon/(\varepsilon-1)} A_j$ , so output also grows at

$$\boxed{g^* = \eta.}$$

The feedback is the engine: more labour in sector 1 raises  $A_j$ , a higher  $A_j$  raises the marginal product of sector-1 labour relative to sector 2, which draws in more labour. The process is self-reinforcing precisely because  $\varepsilon > 1$ , so that the price of good 1 falls by less, proportionally, than its quantity rises.

*The case  $\varepsilon = 1$ .* With  $Y_j = (X_j^1)^{1/2}(X_j^2)^{1/2}$  the expenditure shares are fixed at one half, so  $p_j^1 X_j^1 = p_j^2 X_j^2$ . Combined with  $p_j^1 A_j = p_j^2$  this gives  $A_j L_j^1 \cdot \frac{1}{A_j} = 1 - L_j^1$ , whence  $L_j^1 = 1/2$  for all  $t$  — which is also (19.60) evaluated at  $\varepsilon = 1$ . Therefore

$$\boxed{\frac{\dot{A}_j}{A_j} = \frac{\eta}{2} \equiv g^{**} \text{ for all } t.}$$

Here the price effect exactly cancels the quantity effect at every date, so nothing draws labour toward the learning sector and the allocation is frozen. Note that output then grows at  $\eta/4$ , not  $\eta/2$ : with  $Y_j = \frac{1}{2} A_j^{1/2}$  the productivity gain is halved again by the Cobb–Douglas aggregation, so  $g^{**}$  in the proposition is the growth rate of *productivity* rather than of output. ■

**Exercise 19.36**

(a) With free trade there is one world price pair, and the wage in country  $j$  is  $\max\{p^1 A_j, p^2\}$ . Conjecture  $L_n^1 = 1$  and  $L_s^1 = 0$ . Then  $X^1 = A_n$  and  $X^2 = 1$  per North–South pair, so

$$\frac{p^2}{p^1} = \left(\frac{X^1}{X^2}\right)^{1/\varepsilon} = A_n^{1/\varepsilon},$$

and the conjecture is an equilibrium precisely when

$$A_s < A_n^{1/\varepsilon} < A_n.$$

At  $t = 0$ ,  $A_n = 1$  and  $A_s = 1 - \delta < 1 = A_n^{1/\varepsilon}$ , so the left inequality holds, and the right holds weakly. Thereafter  $L_n^1 = 1$  gives  $\dot{A}_n/A_n = \eta$  while  $L_s^1 = 0$  gives  $\dot{A}_s/A_s = 0$ , so  $A_n > 1$  strictly and both inequalities hold strictly for all  $t > 0$ : the conjecture is self-confirming. World output is  $\propto [\frac{1}{2}A_n^{(\varepsilon-1)/\varepsilon} + \frac{1}{2}]^{\varepsilon/(\varepsilon-1)} \rightarrow 2^{-\varepsilon/(\varepsilon-1)}A_n$ , so the world grows at  $\eta$ . Finally, with all income being labour income and one worker per country,

$$\frac{Y_n(t)}{Y_s(t)} = \frac{w^n}{w^s} = \frac{p^1 A_n}{p^2} = \frac{A_n}{A_n^{1/\varepsilon}} = A_n(t)^{\frac{\varepsilon-1}{\varepsilon}},$$

which diverges if  $\varepsilon > 1$  and is constant if  $\varepsilon = 1$ . ■

(b) Decompose the North's real income gain from a rise in  $A_n$ . A one percent increase in  $A_n$  raises  $X^1$  by one percent and lowers  $p^1/p^2$  by  $1/\varepsilon$  percent, so the North's real income rises by  $(1 - 1/\varepsilon)$  percent. At  $\varepsilon = 1$  this is zero: the deterioration of the North's terms of trade exactly offsets its productivity growth. Equivalently, with unit elasticity the expenditure share on each good is fixed at one half, so the South — which produces all of good 2 — captures a constant half of world income no matter how much better the North becomes at producing good 1. It is the same mechanism as the stable income distribution of Section 19.4, and it shows that the case against trade in this model is not about specialization as such but about the elasticity of substitution.

(c) With  $\varepsilon < 1$  the required inequality  $A_n^{1/\varepsilon} < A_n$  fails for  $A_n > 1$ : the price of good 2 rises so fast relative to good 1 that Northern workers prefer sector 2. Complete specialization is not sustainable. Instead the North diversifies, with  $p^1 A_n = p^2$  pinning

$$L_n^1 = \frac{2A_n^{\varepsilon-1}}{1 + A_n^{\varepsilon-1}} < 1,$$

which falls as  $A_n$  rises, so  $\dot{A}_n/A_n = \eta L_n^1 \rightarrow 0$  and Northern learning dies out. Meanwhile the South stays in sector 2 and, since the North is now the marginal producer of good 2,  $w^n = p^1 A_n = p^2 = w^s$ : incomes are equalized. So with complements rather than substitutes, trade does not impoverish the South at all — it equalizes incomes and kills growth in the North. The numerical run at  $\varepsilon = 0.5$  reproduces this:  $L_n^1$  falls to 0.249 after 160 periods and the wage ratio is exactly one.

(d) Suppose all economies are closed until  $T_0$ . By PROPOSITION 19.15 both blocks then have  $L_j^1 \rightarrow 1$  and  $A_j$  growing toward  $\eta$ , with  $A_n(T_0) > A_s(T_0)$  preserved. Opening at  $T_0$ , complete specialization requires  $A_s(T_0) < A_n(T_0)^{1/\varepsilon}$ , and after a period of protection this typically fails: both productivities are large and close together. The equilibrium then has the North fully in sector

1 and the *South diversified*, with  $p^1 A_s = p^2$  and

$$L_s^1 = \frac{A_s^\varepsilon - A_n}{A_s^\varepsilon + A_s} > 0, \quad \frac{w^n}{w^s} = \frac{A_n}{A_s}.$$

Writing  $x \equiv A_s^\varepsilon/A_n$  and  $u \equiv A_s/A_n$ , we have  $L_s^1 = (x - 1)/(x + u)$  and

$$\frac{d \log x}{dt} = \eta[\varepsilon L_s^1 - 1],$$

so the South's foothold expands if and only if  $L_s^1 > 1/\varepsilon$ , that is

$$\boxed{\frac{A_s(T_0)^\varepsilon}{A_n(T_0)} > \frac{\varepsilon + A_s(T_0)/A_n(T_0)}{\varepsilon - 1}}.$$

The condition is self-reinforcing —  $x$  rises and  $u$  falls, which lowers the threshold — so it is a genuine dichotomy. `code/ch19.py` evaluates it at  $\varepsilon = 2$ ,  $\eta = 0.05$ ,  $\delta = 0.02$ :

| $T_0$ | $A_n(T_0)$ | $A_s(T_0)$ | $x$   | threshold | outcome                                 |
|-------|------------|------------|-------|-----------|-----------------------------------------|
| 0     | 1.000      | 0.980      | 0.96  | 2.98      | locked out, $w^n/w^s$ grows at $\eta/2$ |
| 20    | 1.763      | 1.718      | 1.67  | 2.97      | locked out                              |
| 30    | 2.470      | 2.400      | 2.33  | 2.97      | locked out                              |
| 40    | 3.589      | 3.478      | 3.37  | 2.97      | keeps a foothold, $L_s^1 \rightarrow 1$ |
| 120   | 149.3      | 143.4      | 137.7 | 2.96      | keeps a foothold                        |

*Remark.* This is a correction to the remark that follows PROPOSITION 19.16 in the text, that “even if international trade is prevented in the South for a period of duration  $T > 0 \dots$  the ultimate outcome is the same.” That is true only for *short* protection. Because both blocks learn under autarky and  $A_s^\varepsilon$  grows faster than  $A_n$  when  $\varepsilon > 1$ , a long enough closure carries the South past the threshold above, after which it retains a share of the learning sector,  $L_s^1 \rightarrow 1$ , both blocks grow at  $\eta$ , and the wage ratio settles at a constant instead of diverging. In the calibration the critical duration is between 30 and 40 periods. Infant industry protection therefore does have a permanent effect in this model, provided it lasts long enough — which, read the other way, is not much comfort for the policy: the required duration is the time it takes for  $A_s^{\varepsilon-1}$  to grow by a factor of about  $(\varepsilon + 1)/(\varepsilon - 1)$ , and the analysis says nothing about the cost of forgoing the static gains from trade for that long.

## Chapter 20

# Structural Change and Economic Growth

The ten exercises of Chapter 20 left unsolved in the instructor's manual: 20.1, 20.2, 20.4, 20.10–20.15 and 20.20. The manual solves 20.3, 20.5–20.9, 20.16–20.19 and 20.21. The numerical parts are computed by `code/ch20.py`; Figure 16 is its output.

### Section 20.1 Nonbalanced Growth: The Demand Side

#### Exercise 20.1

*The demands.* The aggregator  $C = (c^A - \gamma^A)\eta^A (c^M)^{\eta^M} (c^S + \gamma^S)^{\eta^S}$  is Cobb–Douglas in the translated variables, so at prices  $(p^A, 1, p^S)$  and total expenditure  $e$  the demands are the Stone–Geary ones,

$$p^A(c^A - \gamma^A) = \eta^A \tilde{e}, \quad c^M = \eta^M \tilde{e}, \quad p^S(c^S + \gamma^S) = \eta^S \tilde{e},$$

where  $\tilde{e} \equiv e - p^A \gamma^A + p^S \gamma^S$  is *supernumerary* expenditure — what is left after the subsistence food bill has been paid and the notional services endowment has been sold. Note that  $c^S > 0$  requires  $\eta^S \tilde{e} > p^S \gamma^S$ , so services are demanded only above the threshold  $e > [(1 - \eta^S)p^S \gamma^S + \eta^S p^A \gamma^A]/\eta^S$ , which is the feature the text mentions.

*Engel's Law.* Dividing by  $e$ , the budget shares are

$$\begin{aligned} s^A &= \eta^A + \frac{(1 - \eta^A)p^A \gamma^A + \eta^A p^S \gamma^S}{e} & s^S &= \eta^S - \frac{\eta^S p^A \gamma^A + (1 - \eta^S)p^S \gamma^S}{e} \\ s^M &= \eta^M \left[ 1 - \frac{p^A \gamma^A - p^S \gamma^S}{e} \right] \end{aligned}$$

Since  $\gamma^A, \gamma^S > 0$ , the numerator in  $s^A$  is strictly positive and  $\partial s^A / \partial e < 0$ : *the budget share of food falls as income rises*, which is Engel's Law. Equivalently the income elasticity is  $\partial \log c^A / \partial \log e = \eta^A / s^A < 1$ , since  $s^A > \eta^A$ . Symmetrically  $\partial s^S / \partial e > 0$  and the income elasticity of services is  $\eta^S / s^S > 1$ : services are a luxury.

*Why (20.18) is the condition for a constant manufacturing share.* Manufacturing is the residual, and its share is constant *if and only if*  $p^A \gamma^A = p^S \gamma^S$ . By PROPOSITION 20.1,  $p^A = B^M / B^A$  and  $p^S = B^M / B^S$ , so this is

$$\frac{B^M \gamma^A}{B^A} = \frac{B^M \gamma^S}{B^S} \iff \frac{\gamma^A}{B^A} = \frac{\gamma^S}{B^S},$$

which is exactly (20.18). So the knife-edge condition for a CGP has a direct preference-side reading: it is the condition under which the value of the food subsistence requirement equals the value of the notional services endowment, so that the two nonhomotheticities cancel in the manufacturing budget. `code/ch20.py` exhibits this: with  $\eta = (0.3, 0.4, 0.3)$ ,  $B = (1, 1.2, 0.8)$  and  $\gamma^A = 0.4$ , imposing (20.18) gives  $\gamma^S = 0.32$  and  $s^M = 0.40000$  at *every* income, while  $s^A$  falls from 0.540 to

0.304 and  $s^S$  rises from 0.060 to 0.296 as  $e$  goes from 2 to 128; with  $\gamma^S = 0$ ,  $s^M$  rises from 0.304 to 0.399 instead. The left panel of Figure 16 plots both cases.

*Alternatives.* Stone–Geary is the simplest, but it has two defects: the income elasticities tend to one as income grows, so the structural change it generates dies out, and the subsistence terms make the demand system undefined at low incomes. Four alternatives avoid one or both.

- (1) *Quasi-homothetic (Gorman polar form) preferences* in general, with expenditure function  $e(p, u) = a(p) + b(p)u$ . Stone–Geary is the case in which  $b$  is Cobb–Douglas. Any  $a(p) \neq 0$  gives non-unit income elasticities while preserving exact aggregation across heterogeneous households — which is what makes the representative household assumption legitimate.
- (2) *Non-homothetic CES* (Hanoch; Comin, Lashkari and Mestieri), defined implicitly by  $\sum_i \Omega_i^{1/\varepsilon} C^{\varepsilon_i(\varepsilon-1)/\varepsilon} c_i^{(\varepsilon-1)/\varepsilon} = 1$ . The income elasticities are the constants  $\varepsilon_i$ , so structural change does *not* die out as the economy grows, and there are no subsistence terms. This is the specification most of the recent quantitative literature uses.
- (3) *PIGL preferences* (Boppart), which give Engel curves linear in the logarithm of income and are the only class consistent both with exact aggregation and with a balanced growth path in which relative prices trend.
- (4) *Hierarchic preferences* with indivisible goods (Foellmi and Zweimüller; Matsuyama): a continuum of goods consumed in zero-one amounts in a fixed hierarchy. Structural change then operates on the extensive margin — richer households consume *more kinds* of goods — and the income elasticity of any good not yet consumed exceeds one.
- (5) Simplest of all, additively separable utility with different curvatures,  $\sum_i \vartheta_i c_i^{1-\sigma_i}/(1-\sigma_i)$ , whose income elasticities are proportional to  $1/\sigma_i$ . It does not aggregate exactly, which is why the literature usually prefers the first three.

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### Exercise 20.2

*Equal effective capital-labor ratios.* All three sectors use the same  $F$  and the same labour-augmenting term  $X(t)$ , and factors are freely mobile, so competitive pricing equates the *values* of the marginal products:

$$p^j B^j F_K(K_j, XL_j) = r, \quad p^j B^j X F_L(K_j, XL_j) = w \quad \text{for } j \in \{A, M, S\},$$

with  $p^M = 1$ . Dividing the two and using that  $F$  has constant returns, so that  $F_K = f'(k_j)$  and  $F_L = f(k_j) - k_j f'(k_j)$  with  $k_j \equiv K_j/(XL_j)$ ,

$$\frac{f'(k_j)}{f(k_j) - k_j f'(k_j)} = \frac{r}{Xw} \quad \text{for every } j.$$

The left-hand side is the marginal rate of technical substitution, and it is strictly decreasing in  $k_j$ : its derivative has the sign of  $f''(f - kf') - f'(-kf'') = f''f < 0$  by strict concavity. A strictly monotone function takes the common value  $r/(Xw)$  at only one point, so

$$k_A(t) = k_M(t) = k_S(t).$$

Market clearing (20.5)–(20.6) then gives  $K = \sum_j K_j = \sum_j k_j X L_j = k X L$ , so the common value is

$$k_A = k_M = k_S = \frac{K(t)}{X(t)L(t)} \equiv k(t),$$

which is (20.14).

*Prices.* With  $k_j = k$  common, the rental rate read off each sector is  $r = p^A B^A f'(k) = B^M f'(k) = p^S B^S f'(k)$ , using  $p^M = 1$ . Cancelling  $f'(k) > 0$ ,

$$p^A(t) = \frac{B^M}{B^A}, \quad p^S(t) = \frac{B^M}{B^S}$$

for all  $t$ , which is (20.15). Condition (20.13) guarantees that the economy can produce more than the subsistence food requirement at  $t = 0$ , hence that all three sectors are active and the interior first-order conditions used above hold. ■

*Remark.* This proposition is doing more work than it looks. Because  $p^A$  and  $p^S$  are pinned at constants *for ever*, no relative price in this economy can ever move — the only Hicks-neutral differences  $B^A, B^M, B^S$  are constants, and the single labour-augmenting term  $X(t)$  is common. Every source of structural change in Section 20.1 is therefore a *quantity* phenomenon driven by Engel's Law, with no relative-price channel at all. That is the exact complement of Section 20.2, where preferences are homothetic and everything runs through relative prices, and it is also the reason the answer to Exercise 20.10 is the one given below.

#### Exercise 20.4

PROPOSITION 20.3. Suppose all three sectors grew at a common rate. By (20.8) and  $Y^M = c^M L + \dot{K}$ , per capita consumptions  $c^A, c^M, c^S$  would then grow at a common rate  $g_c$ . (20.17) requires

$$\frac{B^M(c^A(t) - \gamma^A)}{B^A \eta^A} = \frac{c^M(t)}{\eta^M} \quad \text{for all } t.$$

Differentiating logarithmically, the left-hand side grows at  $\frac{\dot{c}^A}{c^A - \gamma^A} = g_c \frac{c^A}{c^A - \gamma^A}$  and the right-hand side at  $g_c$ . Equality at every date forces

$$g_c \frac{c^A}{c^A - \gamma^A} = g_c \quad \implies \quad g_c \gamma^A = 0,$$

so either  $\gamma^A = 0$  or  $g_c = 0$ . The second equation of (20.17) gives  $g_c \gamma^S = 0$  in the same way. Finally  $g_c = 0$  is impossible when  $g > 0$ : a constant  $c^M$  requires, by (20.16),  $r = \rho$ , hence a constant  $k$  by PROPOSITION 20.1 and (20.12); but then  $K = k X L$  grows at  $g + n$  while  $Y^M$  and  $c^M L$  grow at  $n$ , contradicting (20.7). Hence with  $\gamma^A > 0$  or  $\gamma^S > 0$  there is no equilibrium with equal sectoral growth rates. ■

*Existence.* Reduce the equilibrium to two differential equations. Since  $Y^j = B^j X L_j f(k)$  by PROPOSITION 20.1, dividing by  $B^j$  and summing over  $j$  with (20.6) gives the resource identity

$$\frac{Y^A}{B^A} + \frac{Y^M}{B^M} + \frac{Y^S}{B^S} = X(t)L(t)f(k(t)).$$



Substituting  $Y^A = c^A L$ ,  $Y^S = c^S L$ ,  $Y^M = c^M L + \dot{K}$  from (20.7)–(20.8), dividing by  $XL$ , and writing  $\tilde{c}^j \equiv c^j/X$ ,

$$\frac{\tilde{c}^A}{B^A} + \frac{\tilde{c}^M}{B^M} + \frac{\tilde{c}^S}{B^S} + \frac{\dot{K}}{B^M XL} = f(k).$$

Now eliminate  $\tilde{c}^A$  and  $\tilde{c}^S$  with (20.17). Since  $\tilde{c}^A = \gamma^A/X + \frac{B^A \eta^A}{B^M \eta^M} \tilde{c}^M$  and  $\tilde{c}^S = -\gamma^S/X + \frac{B^S \eta^S}{B^M \eta^M} \tilde{c}^M$ , and  $\eta^A + \eta^M + \eta^S = 1$ ,

$$\frac{\tilde{c}^A}{B^A} + \frac{\tilde{c}^M}{B^M} + \frac{\tilde{c}^S}{B^S} = \frac{1}{X(t)} \left( \frac{\gamma^A}{B^A} - \frac{\gamma^S}{B^S} \right) + \frac{\tilde{c}^M}{B^M \eta^M}.$$

Using  $\dot{K}/(XL) = \dot{k} + (n+g)k$ , the equilibrium is therefore the two-dimensional system

$$\begin{cases} \dot{k} = B^M f(k) - \frac{\tilde{c}^M}{\eta^M} - \frac{B^M}{X(t)} \Delta - (n+g)k, \\ \frac{\dot{\tilde{c}}^M}{\tilde{c}^M} = \frac{B^M f'(k) - \rho}{\theta} - g, \end{cases} \quad (1)$$

with  $\Delta \equiv \frac{\gamma^A}{B^A} - \frac{\gamma^S}{B^S}$ .

Existence is now the standard argument of Chapter 8. Given  $k(0) > 0$  the system (1) is a non-autonomous planar system whose non-autonomy enters only through the term  $B^M \Delta/X(t)$ , which decays to zero at the rate  $g$ . Its limiting autonomous system has a unique saddle-point-stable rest point, and for each  $k(0)$  there is exactly one  $\tilde{c}^M(0)$  whose trajectory satisfies the transversality condition (by ASSUMPTION 4 and the sandwich argument between the autonomous systems with  $\Delta/X$  replaced by  $\pm\epsilon$ ). Feasibility holds along it: (20.13) makes  $c^A > \gamma^A$  at  $t = 0$ , and  $c^A$  is increasing along the path;  $c^S \geq 0$  holds once expenditure clears the threshold identified in Exercise 20.1. The sectoral labour allocations are then read off (20.8), and they move over time — which is PROPOSITION 20.3 — but nothing prevents the path from existing. ■

*Remark.* System (1) makes PROPOSITION 20.4 transparent as well. It is autonomous — and hence can have a rest point with  $k$  and  $\tilde{c}^M$  constant — if and only if  $\Delta = 0$ , that is if and only if  $\gamma^A/B^A = \gamma^S/B^S$ , which is (20.18). The rest point is then  $B^M f'(k^*) = \rho + \theta g$ , and (20.19) follows by differentiating (20.17) and (20.8). Conversely, if  $\Delta \neq 0$  the term  $B^M \Delta/X(t)$  is a moving target, so no pair  $(k, \tilde{c}^M)$  can be a rest point at two different dates.

### Exercise 20.10

Throughout, let  $X^A, X^M, X^S$  denote the *inputs* into the final good sector,  $p^Y$  the price of the final good and  $p^M = 1$  the numeraire.

*The demand system is unchanged.* Profit maximization by the final good sector gives

$$p^Y \eta^A \frac{Y}{X^A - \gamma^A L} = p^A, \quad p^Y \eta^M \frac{Y}{X^M} = 1, \quad p^Y \eta^S \frac{Y}{X^S + \gamma^S L} = p^S,$$

which are (20.9)–(20.10) with  $X^j$  in place of  $c^j L$  and  $p^Y Y$  in place of the consumption aggregate. PROPOSITION 20.1 is untouched, since it uses only the production side:  $k_A = k_M = k_S = k$  and  $p^A = B^M/B^A$ ,  $p^S = B^M/B^S$ . Two consequences follow immediately. First, the unit cost of the final good,  $p^Y = (p^A/\eta^A)^{\eta^A} (1/\eta^M)^{\eta^M} (p^S/\eta^S)^{\eta^S}$ , is a *constant*. Second, the final good sector's

profit is

$$p^Y Y - p^A X^A - X^M - p^S X^S = -B^M \Delta L, \quad \Delta \equiv \frac{\gamma^A}{B^A} - \frac{\gamma^S}{B^S},$$

so free entry into final good production requires  $\Delta = 0$ , that is (20.18), in either variant. The knife-edge condition has acquired a second interpretation: it is the condition under which the final good technology is genuinely constant returns.

(a) With investment out of  $Y^M$ , market clearing is  $Y^A = X^A$ ,  $Y^S = X^S$ ,  $Y^M = X^M + \dot{K}$ , and the household consumes  $C = Y$ . The resource identity  $\sum_j Y^j/B^j = XLf(k)$  and the demands above give  $\sum_j X^j/B^j = \Delta L + p^Y Y/B^M$ , whence

$$\dot{k} = B^M f(k) - p^Y \tilde{C} - \frac{B^M \Delta}{X(t)} - (n + g)k, \quad \tilde{C} \equiv \frac{C}{XL}.$$

This is (1) with  $p^Y \tilde{C}$  in the role of  $\tilde{c}^M/\eta^M$ . The Euler equation is unchanged, because the investment good is  $Y^M$  with price 1 and the consumption good is  $Y$  with the constant price  $p^Y$ , so no relative price moves:  $\dot{C}/C = (B^M f'(k) - \rho)/\theta$ . Hence every result of Section 20.1 — PROPOSITIONS 20.1–20.4 and the sectoral growth rates (20.19) — holds verbatim. ■

(b) Now  $Y^j = X^j$  for all  $j$  and  $\dot{K} + cL = Y$ . The same resource identity gives

$$Y = \frac{B^M}{p^Y} [X(t)L(t)f(k) - \Delta L(t)],$$

so

$$\dot{k} = \frac{B^M}{p^Y} \left[ f(k) - \frac{\Delta}{X(t)} \right] - \tilde{c} - (n + g)k, \quad \frac{\dot{c}}{c} = \frac{1}{\theta} \left( \frac{B^M f'(k)}{p^Y} - \rho \right),$$

the interest rate now being the marginal product of capital divided by the price of the investment good. This is again (1) up to the constant  $p^Y$ , and a CGP exists under exactly the same condition  $\Delta = 0$ , with  $B^M f'(k^*) = p^Y(\rho + \theta g)$  and a constant capital share  $k^* f'(k^*)/f(k^*)$ .

*Remark.* The exercise asserts that in case (b) a CGP does not exist, and the text draws from it the conclusion that the Kuznets and the Kaldor facts can no longer be reconciled. The computation above says otherwise, and it is worth being precise about why. Any difference between (a) and (b) must operate through the *relative price of the investment good in terms of the consumption good*, since that is the only thing the identity of the investment good can change — it is the term  $\dot{p}^I/p^I - \dot{p}^C/p^C$  in the two-sector Euler equation of Section 11.3. But in this model that relative price cannot move: by PROPOSITION 20.1 the three sectors share a production function and a technology term, so  $p^A$  and  $p^S$  are frozen at  $B^M/B^A$  and  $B^M/B^S$  for ever, and  $p^Y$  — a constant-elasticity aggregate of frozen prices — is frozen too. The composition of the investment good is therefore irrelevant here, and both variants deliver a CGP under (20.18).

The exercise's conclusion *is* correct in the model it is presumably reaching for, namely Rebelo's, where the investment sector has a different production function from the consumption sector. There  $p^I/p^C$  moves with the capital-labor ratio, an extra term enters the Euler equation, and a CGP requires a further restriction. What Exercise 20.10 shows in the Kongsamut, Rebelo and Xie environment is the weaker but still useful point made above: (20.18) is needed not only for a CGP but simply for the final good sector to break even, since its profit is  $-B^M \Delta L$ .

## Section 20.2 Nonbalanced Growth: The Supply Side

**Exercise 20.11**

Suppose for a contradiction that growth is balanced,  $\dot{Y}_l/Y_l = \varsigma$  for every  $l = 1, \dots, N$ . Since  $F$  has constant returns,  $p_l = \partial F / \partial Y_l$  is homogeneous of degree zero in  $(Y_1, \dots, Y_N)$ , so with all  $Y_l$  growing at the same rate every  $p_l$  is constant:

$$\frac{\dot{p}_l}{p_l} = 0 \quad \text{for every } l. \quad (2)$$

*Two conditions from factor pricing.* With  $g_l(k_l) \equiv G_l(K_l, L_l)/L_l$  and  $k_l \equiv K_l/L_l$ , competitive pricing gives  $r = p_l A_l g'_l(k_l)$  and  $w = p_l A_l [g_l(k_l) - k_l g'_l(k_l)]$ . Differentiating logarithmically and using (2),

$$\frac{\dot{A}_l}{A_l} + \varepsilon_{g'_l} \frac{\dot{k}_l}{k_l} = \frac{\dot{r}}{r}, \quad \frac{\dot{A}_l}{A_l} - \frac{\sigma_l}{1 - \sigma_l} \varepsilon_{g'_l} \frac{\dot{k}_l}{k_l} = \frac{\dot{w}}{w},$$

where  $\varepsilon_{g'_l} \equiv g''_l(k_l)k_l/g'_l(k_l) < 0$ ; the second uses  $\sigma_l = k_l g'_l(k_l)/g_l(k_l)$  and hence  $1 - \sigma_l = [g_l - k_l g'_l]/g_l$ . Applying both to the pair  $i, j$ , whose technological progress is balanced, and subtracting,

$$\varepsilon_{g'_i} \frac{\dot{k}_i}{k_i} = \varepsilon_{g'_j} \frac{\dot{k}_j}{k_j}, \quad \frac{\sigma_i}{1 - \sigma_i} \varepsilon_{g'_i} \frac{\dot{k}_i}{k_i} = \frac{\sigma_j}{1 - \sigma_j} \varepsilon_{g'_j} \frac{\dot{k}_j}{k_j}. \quad (3)$$

*Case 1: the common value in the first equation is nonzero.* Dividing the second equation by the first,

$$\frac{\sigma_i}{1 - \sigma_i} = \frac{\sigma_j}{1 - \sigma_j} \quad \implies \quad \sigma_i = \sigma_j,$$

contradicting the factor proportion differences.

*Case 2: the common value is zero.* Since  $\varepsilon_{g'_i} < 0$  strictly, this means  $\dot{k}_i = 0$ . But the wage-rental ratio can be read off *any* sector,

$$\frac{w}{r} = \frac{g_l(k_l)}{g'_l(k_l)} - k_l,$$

whose derivative in  $k_l$  is  $-g_l g''_l / (g'_l)^2 > 0$ . So each  $k_l$  is a strictly increasing function of the *common*  $w/r$ , and  $\dot{k}_i = 0$  forces  $\dot{k}_l = 0$  for *every*  $l$ . Then every  $\sigma_l = k_l g'_l(k_l)/g_l(k_l)$  is constant; balanced growth and (2) make every revenue share  $p_l Y_l/Y$  constant; hence every  $r K_l/Y = \sigma_l p_l Y_l/Y$  and every  $K_l/K$  is constant. Therefore each  $K_l$  grows at  $\dot{K}/K$ , and since  $k_l$  is constant each  $L_l$  does too, giving  $\dot{L}/L = \dot{K}/K$  — contradicting capital deepening.

Both cases are impossible, so growth cannot be balanced, and in particular  $\dot{Y}_i/Y_i \neq \dot{Y}_j/Y_j$ . ■

*The economics* is exactly PROPOSITION 20.5's. If capital and labour were allocated in fixed proportions, the more capital-intensive sector would grow faster under capital deepening. Relative prices then move against it, reallocating factors toward the less intensive sector — but that reallocation cannot be complete, because if it were, the price change that caused it would not have happened. The multi-sector version adds one observation: it is the *common* wage-rental ratio that ties the sectors together, which is why a single sector cannot be exempted from the capital deepening that the aggregate experiences.

**Exercise 20.12**

Profit maximization in the final good sector gives (20.38),

$$p_s(t) = \frac{\partial Y}{\partial Y_s} = \gamma_s \left( \frac{Y_s(t)}{Y(t)} \right)^{-1/\varepsilon}, \quad \gamma_1 \equiv \gamma, \quad \gamma_2 \equiv 1 - \gamma,$$

directly from (20.31). The intermediate producers are competitive and Cobb–Douglas, so

$$w = p_1 \frac{\partial Y_1}{\partial L_1} = p_1(1 - \alpha_1) \frac{Y_1}{L_1}, \quad r = p_1 \frac{\partial Y_1}{\partial K_1} = p_1 \alpha_1 \frac{Y_1}{K_1},$$

and substituting  $p_1$  gives (20.41) and (20.42),

$$w(t) = \gamma(1 - \alpha_1) \left( \frac{Y}{Y_1} \right)^{1/\varepsilon} \frac{Y_1}{L_1}, \quad r(t) = \gamma \alpha_1 \left( \frac{Y}{Y_1} \right)^{1/\varepsilon} \frac{Y_1}{K_1}.$$

Writing the same two expressions for sector 2 and equating — factors are mobile, so  $w$  and  $r$  are common — gives (20.39) and (20.40) respectively. ■

*The allocations* (20.43)–(20.44). Dividing (20.40) for the two sectors,

$$\frac{K_1}{K_2} = \frac{\gamma \alpha_1}{(1 - \gamma) \alpha_2} \left( \frac{Y_1}{Y_2} \right)^{\frac{\varepsilon-1}{\varepsilon}},$$

and with  $\kappa \equiv K_1/K$  this inverts to (20.43). Dividing (20.39) for the two sectors gives the same expression with  $(1 - \alpha_s)$  in place of  $\alpha_s$ , so taking the ratio of the two,

$$\frac{L_1/L_2}{K_1/K_2} = \frac{(1 - \alpha_1)/\alpha_1}{(1 - \alpha_2)/\alpha_2},$$

which with  $\lambda \equiv L_1/L$  rearranges to (20.44). Since  $\alpha_1 < \alpha_2$  the factor  $\alpha_1(1 - \alpha_2)/[\alpha_2(1 - \alpha_1)]$  is below one, so  $\lambda > \kappa$ : the less capital-intensive sector takes a larger share of labour than of capital, as it must.

**Exercise 20.13**

Write  $\Lambda \equiv \frac{\alpha_2}{\alpha_1} \frac{1 - \gamma}{\gamma} \left( \frac{Y_1}{Y_2} \right)^{(1-\varepsilon)/\varepsilon}$ , so that (20.43) is  $\kappa = (1 + \Lambda)^{-1}$  and  $1 - \kappa = \Lambda/(1 + \Lambda)$ . Then

$$d \log \kappa = -(1 - \kappa) d \log \Lambda = -(1 - \kappa) \frac{1 - \varepsilon}{\varepsilon} D, \quad D \equiv d \log Y_1 - d \log Y_2. \quad (4)$$

*Expressing D.* From (20.33) with  $K_1 = \kappa K$ ,  $K_2 = (1 - \kappa)K$ ,  $L_1 = \lambda L$ ,  $L_2 = (1 - \lambda)L$ ,

$$D = d \log \frac{A_1}{A_2} + (\alpha_1 - \alpha_2) (d \log K - d \log L) + \left[ \alpha_1 + \frac{\alpha_2 \kappa}{1 - \kappa} \right] d \log \kappa + \left[ (1 - \alpha_1) + \frac{(1 - \alpha_2) \lambda}{1 - \lambda} \right] d \log \lambda.$$

(20.44) says  $\frac{1 - \lambda}{\lambda} = \Theta \frac{1 - \kappa}{\kappa}$  with  $\Theta$  constant; differentiating its logarithm gives  $\frac{d \lambda}{\lambda(1 - \lambda)} = \frac{d \kappa}{\kappa(1 - \kappa)}$ , that is

$$d \log \lambda = \frac{1 - \lambda}{1 - \kappa} d \log \kappa.$$

Substituting, the two bracketed terms combine into

$$\frac{\alpha_1(1 - \kappa) + \alpha_2 \kappa + (1 - \alpha_1)(1 - \lambda) + (1 - \alpha_2) \lambda}{1 - \kappa} d \log \kappa = \frac{1 + (\alpha_2 - \alpha_1)(\kappa - \lambda)}{1 - \kappa} d \log \kappa,$$

since the numerator expands to  $1 + (\alpha_2 - \alpha_1)(\kappa - \lambda)$ .

*Solving.* Write  $S \equiv 1 + (\alpha_2 - \alpha_1)(\kappa - \lambda)$ . Substituting (4) for  $d \log \kappa$ ,

$$D = d \log \frac{A_1}{A_2} - (\alpha_2 - \alpha_1)(d \log K - d \log L) - S \frac{1 - \varepsilon}{\varepsilon} D,$$

so  $D[\varepsilon + (1 - \varepsilon)S]/\varepsilon$  equals the first two terms, and putting this back into (4),

$$d \log \kappa = \frac{-(1 - \kappa)(1 - \varepsilon)}{\varepsilon + (1 - \varepsilon)S} \left[ d \log \frac{A_1}{A_2} - (\alpha_2 - \alpha_1)(d \log K - d \log L) \right].$$

Finally  $\varepsilon + (1 - \varepsilon)S = 1 + (1 - \varepsilon)(\alpha_2 - \alpha_1)(\kappa - \lambda)$ , so

$$\boxed{\frac{d \log \kappa}{d \log K} = -\frac{d \log \kappa}{d \log L} = \frac{(1 - \varepsilon)(\alpha_2 - \alpha_1)(1 - \kappa)}{1 + (1 - \varepsilon)(\alpha_2 - \alpha_1)(\kappa - \lambda)}}$$

$$\boxed{\frac{d \log \kappa}{d \log A_2} = -\frac{d \log \kappa}{d \log A_1} = \frac{(1 - \varepsilon)(1 - \kappa)}{1 + (1 - \varepsilon)(\alpha_2 - \alpha_1)(\kappa - \lambda)}}$$

which are (20.45) and (20.46). ■

*Signs.* The denominator is always strictly positive. By Exercise 20.12,  $\kappa < \lambda$  whenever  $\alpha_1 < \alpha_2$ , so  $(\alpha_2 - \alpha_1)(\kappa - \lambda) < 0$ ; for  $\varepsilon > 1$  the factor  $(1 - \varepsilon)$  is also negative and the denominator exceeds one, while for  $\varepsilon < 1$  the product has magnitude below  $(\alpha_2 - \alpha_1)(\lambda - \kappa) < 1$ . Hence (20.45) has the sign of  $(1 - \varepsilon)(\alpha_2 - \alpha_1)$  and (20.46) the sign of  $1 - \varepsilon$ , as the proposition claims.

*Verification.* `code/ch20.py` solves the static equilibrium for  $\alpha_1 = 0.25$ ,  $\alpha_2 = 0.55$ ,  $\gamma = \frac{1}{2}$ ,  $K = 3$ ,  $L = A_1 = A_2 = 1$ , and compares the boxed formulas with two-sided numerical derivatives:

| $\varepsilon$ | $\kappa$ | $\lambda$ | $d \log \kappa / d \log K$ | (20.45)     | $d \log \kappa / d \log A_2$ | (20.46)     |
|---------------|----------|-----------|----------------------------|-------------|------------------------------|-------------|
| 0.3           | 0.3671   | 0.6802    | 0.14225877                 | 0.14225877  | 0.47419590                   | 0.47419590  |
| 0.7           | 0.3345   | 0.6482    | 0.06163747                 | 0.06163747  | 0.20545824                   | 0.20545824  |
| 1.5           | 0.2801   | 0.5879    | -0.10321815                | -0.10321815 | -0.34406050                  | -0.34406050 |
| 3.0           | 0.2075   | 0.4899    | -0.40660645                | -0.40660645 | -1.35535482                  | -1.35535482 |

### Exercise 20.14

(a) *The limiting allocation.* With  $\varepsilon > 1$  and  $g_1^* > g_2^*$  we have  $Y_1/Y_2 \rightarrow \infty$  and  $(1 - \varepsilon)/\varepsilon < 0$ , so  $(Y_1/Y_2)^{(1 - \varepsilon)/\varepsilon} \rightarrow 0$  and (20.43) gives  $\kappa^* = 1$ ; (20.44) then gives  $\lambda^* = 1$ . By PROPOSITION 20.9 with  $\varepsilon > 1$ ,  $g^* = \max\{g_1^*, g_2^*\} = g_1^*$ . So sector 1 is asymptotically dominant for the opposite reason to the case in the text — it grows *faster*, and with substitutable goods the economy moves toward the expanding sector.

*The rates.* With  $\kappa^* = \lambda^* = 1$ , sector 1 asymptotically absorbs all factors, so  $n_1^* = n$  and  $z_1^* = \dot{K}/K$ . The resource constraint (20.32) with consumption growing at  $g^*$  forces  $K$  to grow at  $g^*$  as well (if it grew more slowly the consumption–output ratio would rise above one; if faster, the transversality condition (20.56) would fail), so  $z_1^* = g^*$ . The sector-1 production function then gives  $g^* = a_1 + \alpha_1 g^* + (1 - \alpha_1)n$ , that is

$$\boxed{g^* = g_C^* = g_1^* = z_1^* = n + \frac{a_1}{1 - \alpha_1}},$$

which is (20.62). Now write  $x \equiv g^* - g_2^*$  and  $d \equiv \frac{\varepsilon-1}{\varepsilon}x$ . (20.57) and (20.58) give  $n_2^* = n - d$  and  $z_2^* = g^* - d$ , and the sector-2 production function gives  $g_2^* = a_2 + \alpha_2(g^* - d) + (1 - \alpha_2)(n - d)$ . Substituting and solving the resulting linear equation in  $x$ ,

$$x = \varepsilon \left[ (1 - \alpha_2) \frac{a_1}{1 - \alpha_1} - a_2 \right],$$

whence

$$\begin{aligned} g_2^* &= n + \varepsilon a_2 + [1 - \varepsilon(1 - \alpha_2)] \frac{a_1}{1 - \alpha_1}, & z_2^* &= n + (\varepsilon - 1)a_2 + [1 - (\varepsilon - 1)(1 - \alpha_2)] \frac{a_1}{1 - \alpha_1}, \\ n_2^* &= n - (\varepsilon - 1)(1 - \alpha_2) \left[ \frac{a_1}{1 - \alpha_1} - \frac{a_2}{1 - \alpha_2} \right], \end{aligned}$$

which are (20.63), (20.64) and (20.65) *verbatim*. So the closed forms are the same in both branches of (20.61); only the signs need care. Under (20.61) with  $\varepsilon > 1$  we have  $a_1/(1 - \alpha_1) > a_2/(1 - \alpha_2)$ , hence  $x > 0$  and  $d > 0$ , so

$$z_2^* < g^* \text{ and } n_2^* < n_1^* \quad (\text{as in (20.63) and (20.65)}), \text{ but } g_2^* < g^*$$

— the inequality in (20.64) *reverses*. That is as it must be: in this branch sector 1 is dominant because it is the fast one. ■

(b) Under the converse of (20.61) — either  $\varepsilon < 1$  with  $a_1/(1 - \alpha_1) > a_2/(1 - \alpha_2)$ , or  $\varepsilon > 1$  with  $a_1/(1 - \alpha_1) < a_2/(1 - \alpha_2)$  — the same reasoning applied to (20.43) gives  $\kappa^* = \lambda^* = 0$  and  $g^* = g_2^*$ . The model is symmetric in the two sectors apart from the labelling, so the statement is the mirror image.

**Proposition 20.10'.** *Suppose (20.34), (20.60) and the converse of (20.61) hold. Then there exists a unique CGP with*

$$\begin{aligned} g^* &= g_C^* = g_2^* = z_2^* = n + \frac{a_2}{1 - \alpha_2}, & n_2^* &= n, \\ g_1^* &= n + \varepsilon a_1 + [1 - \varepsilon(1 - \alpha_1)] \frac{a_2}{1 - \alpha_2}, & z_1^* &= n + (\varepsilon - 1)a_1 + [1 - (\varepsilon - 1)(1 - \alpha_1)] \frac{a_2}{1 - \alpha_2}, \\ n_1^* &= n - (\varepsilon - 1)(1 - \alpha_1) \left[ \frac{a_2}{1 - \alpha_2} - \frac{a_1}{1 - \alpha_1} \right], \end{aligned}$$

and  $z_1^* < g^*$ ,  $n_1^* < n_2^*$ ;  $g_1^* > g^*$  if  $\varepsilon < 1$  and  $g_1^* < g^*$  if  $\varepsilon > 1$ .

*Proof.* Interchange the indices 1 and 2 throughout part (a). The only asymmetry in the model is (20.34),  $\alpha_1 < \alpha_2$ , and it enters nowhere in the derivation above — (20.62)–(20.65) use only which sector is asymptotically dominant. ■

*Verification.* `code/ch20.py` evaluates all four sign configurations with  $\alpha_1 = 0.25$ ,  $\alpha_2 = 0.55$ ,  $n = 0.01$ , and checks five conditions in each: the two production functions, (20.57), (20.58) and PROPOSITION 20.9.

| $\varepsilon$ | $a_1$ | $a_2$ | branch   | dom. | $g^*$    | $g^*$ other | $z^*$ other | $n^*$ other |
|---------------|-------|-------|----------|------|----------|-------------|-------------|-------------|
| 0.4           | 0.010 | 0.030 | (20.61)  | 1    | 0.023333 | 0.032933    | 0.008933    | -0.004400   |
| 0.4           | 0.030 | 0.010 | converse | 2    | 0.032222 | 0.037556    | 0.024222    | 0.002000    |
| 2.5           | 0.030 | 0.010 | (20.61)  | 1    | 0.050000 | 0.030000    | 0.038000    | -0.002000   |
| 2.5           | 0.010 | 0.030 | converse | 2    | 0.076667 | -0.023333   | 0.016667    | -0.050000   |

All five checks pass in every row. Simulating the static equilibrium along  $K(t) = K(0)e^{g^*t}$  in the first configuration reproduces the predicted rates: at  $t = 1000$ , with  $1 - \kappa = 5.8 \times 10^{-7}$ , the measured  $(g_1, g_2, z_2, n_2)$  are  $(0.023333, 0.032933, 0.008933, -0.004400)$  against predictions  $(0.023333, 0.032933, 0.008933, -0.004400)$ .

*Remark.* Note the negative  $n_2^*$  in three of the four rows: employment in the non-dominant sector shrinks *absolutely*, not merely as a share. That is the strongest form of the Baumol prediction, and it is what (20.65) delivers whenever  $(\varepsilon - 1)(1 - \alpha_2) \left| \frac{a_1}{1 - \alpha_1} - \frac{a_2}{1 - \alpha_2} \right|$  exceeds the population growth rate.

### Exercise 20.15

*Constancy, directly.* From (20.42),  $r(t) = \gamma \alpha_1 \left( \frac{Y}{Y_1} \right)^{1/\varepsilon} \frac{Y_1}{\kappa(t)K(t)}$ , so

$$\frac{\dot{r}}{r} = \frac{1}{\varepsilon} (g(t) - g_1(t)) + g_1(t) - \frac{\dot{\kappa}}{\kappa} - \frac{\dot{K}}{K}.$$

Along the CGP,  $g(t) \rightarrow g^*$  and  $g_1(t) \rightarrow g_1^* = g^*$ , so the first term vanishes;  $\kappa(t) \rightarrow 1$ , so  $\dot{\kappa}/\kappa \rightarrow 0$ ; and  $\dot{K}/K \rightarrow z_1^* = g^*$ . Hence  $\dot{r}(t) \rightarrow 0$ : the interest rate is asymptotically constant. Equivalently,

$$\frac{Y}{Y_1} = \left[ \gamma + (1 - \gamma) \left( \frac{Y_2}{Y_1} \right)^{\frac{\varepsilon-1}{\varepsilon}} \right]^{\frac{\varepsilon}{\varepsilon-1}} \rightarrow \gamma^{\frac{\varepsilon}{\varepsilon-1}},$$

because under (20.61) the exponent and the limit of  $Y_2/Y_1$  have opposite characters in both branches, and  $Y_1/K_1$  is asymptotically constant since both grow at  $g^*$ .

*The closed form.* Along a CGP per capita consumption grows at the constant rate  $g_c^* = g^* - n$ , so the Euler equation (20.55) gives  $r^* = \rho + \theta g_c^*$ , and substituting (20.62),

$$r^* = \rho + \frac{\theta a_1}{1 - \alpha_1}$$

in the case where sector 1 is asymptotically dominant, and  $r^* = \rho + \theta a_2/(1 - \alpha_2)$  in the converse case of Exercise 20.14(b). In either case,

$$r^* = \rho + \theta \max \left\{ \frac{a_1}{1 - \alpha_1}, \frac{a_2}{1 - \alpha_2} \right\} \quad \text{if } \varepsilon > 1, \quad r^* = \rho + \theta \min \left\{ \frac{a_1}{1 - \alpha_1}, \frac{a_2}{1 - \alpha_2} \right\} \quad \text{if } \varepsilon < 1.$$

■

*What this says.* The interest rate is governed entirely by the *augmented* rate of technological progress  $a_s/(1 - \alpha_s)$  of the asymptotically dominant sector — Hicks-neutral progress amplified by the capital deepening it induces. Condition (20.60) is exactly  $\rho - n \geq (1 - \theta) \max_s a_s/(1 - \alpha_s)$ , which guarantees  $r^* > g^*$  and hence that the transversality condition holds. Equating this with the direct expression also yields a by-product: the asymptotic output–capital ratio of the dominant sector is  $\lim Y_1/K_1 = [\rho + \theta a_1/(1 - \alpha_1)] / [\alpha_1 \gamma^{\varepsilon/(\varepsilon-1)}]$ .

*Remark.* The Kaldor facts survive here for a reason worth stating. The interest rate and, by (20.48) evaluated at  $\kappa^* = 1$ , the aggregate capital share are asymptotically constant even though the two sectors grow at permanently different rates and one of them may be losing employment absolutely. The aggregate looks balanced because one sector comes to dominate the aggregate; the structural change is happening entirely in a sector whose share of output is vanishing. That is the sense in which Section 20.2 reconciles Kuznets with Kaldor, and it is a different reconciliation from Section 20.1's knife-edge (20.18).

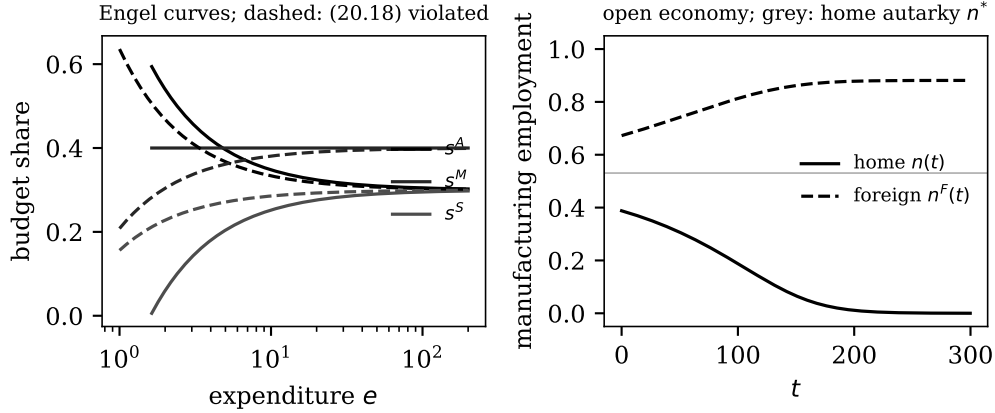


FIGURE 16. Left: Engel curves from the Stone–Geary aggregator (20.2); solid curves impose (20.18), which makes  $s^M$  exactly constant, dashed curves set  $\gamma^S = 0$  (Exercise 20.1). Right: manufacturing employment in the open-economy Matsuyama model, with the home economy's autarky share marked in grey (Exercise 20.20).

### Section 20.3 Agricultural Productivity and Industrialization

#### Exercise 20.20

(a) In either country the allocation of labour equates the value of the marginal product across sectors, which is (20.71):  $B^A G'(1 - n) = p X F'(n)$ , so the autarky relative price of manufactures is

$$p^{\text{aut}}(n) = \frac{B^A}{X} \cdot \frac{G'(1 - n)}{F'(n)}.$$

The second factor is common to the two countries —  $F$  and  $G$  are the same everywhere — so at any common allocation the ratio of the two autarky prices is

$$\frac{p^{\text{aut}}}{p^{F,\text{aut}}} = \frac{B^A/X}{B^F/X^F} = \frac{X^F(0)/B^F}{X(0)/B^A}.$$

Comparative advantage in manufacturing goes to the country with the *lower* autarky price of manufactures, that is

$$\text{home has a comparative advantage in manufacturing} \iff \frac{X(0)}{B^A} > \frac{X^F(0)}{B^F}.$$

*Interpretation.* Comparative advantage is Ricardian and depends on the *ratio* of manufacturing to agricultural productivity, not on absolute levels: a country can be better at both and still specialize in agriculture. The sting is that  $B^A$  enters with the wrong sign relative to the closed economy. In



autarky, (20.75) says a higher  $B^A$  raises manufacturing employment, because a smaller workforce suffices to feed the population; in the open economy a higher  $B^A$  is precisely what gives the country a comparative advantage in agriculture and so lowers it. Agricultural productivity is a spur to industrialization behind closed borders and a brake on it in an open economy.

(b) With free trade there is a single world price  $p(t)$ , and (20.71) holds in each country at that price:

$$p(t) = \frac{B^A G'(1 - n^*(t))}{X(t) F'(n^*(t))} = \frac{B^F G'(1 - n^{F*}(t))}{X^F(t) F'(n^{F*}(t))},$$

which rearranged at  $t = 0$  is exactly (20.78).

For the inequality, define  $\Psi(n) \equiv \frac{B^A G'(1 - n)}{X(0) F'(n)}$ . Since  $G'$  is decreasing,  $G'(1 - n)$  is increasing in  $n$ ; since  $F'$  is decreasing,  $1/F'(n)$  is increasing in  $n$ . So  $\Psi$  is strictly increasing, and  $n = \Psi^{-1}(p)$  is strictly increasing in the price of manufactures. Free trade places the world price strictly between the two autarky prices, and by part (a) the home autarky price of manufactures is the higher one; hence  $p(0) < \Psi(n^*) = p^{\text{aut}}$  and

$$n^*(0) = \Psi^{-1}(p(0)) < \Psi^{-1}(p^{\text{aut}}) = n^*.$$

Opening to trade immediately shifts labour out of home manufacturing.

(c) Take logarithms of (20.78) written for a general  $t$  and define  $H(n) \equiv \log F'(n) - \log G'(1 - n)$ , which is strictly decreasing. Then

$$\log X(t) + H(n(t)) - \log B^A = \log X^F(t) + H(n^F(t)) - \log B^F,$$

and differentiating with respect to time, using (20.70) and its foreign counterpart  $\dot{X}^F = \kappa Y^{M,F}$ ,

$$\kappa F(n(t)) + H'(n(t)) \dot{n}(t) = \kappa F(n^F(t)) + H'(n^F(t)) \dot{n}^F(t).$$

By part (b),  $n(0) < n^F(0)$ , so  $F(n(0)) < F(n^F(0))$  and the foreign manufacturing technology grows strictly faster from the first instant. The gap  $X^F/X$  therefore widens, which by part (a) strengthens the foreign comparative advantage, which by part (b) lowers  $n$  further. The process is self-reinforcing and  $n(t)$  declines monotonically to zero, while  $n^F(t)$  rises — not to one, because the world must still be fed, but to the constant at which the foreign country alone supplies the residual food demand.

Numerically, with  $F(x) = G(x) = x^{0.6}$ ,  $\eta = 0.4$ ,  $\gamma^A = 0.25$ ,  $\kappa = 0.02$ ,  $B^A = 1.6$ ,  $B^F = 1$  and  $X(0) = X^F(0) = 1$ , `code/ch20.py` gives the home autarky share  $n^* = 0.5307$  and

| $t$ | $n(t)$ | $n^F(t)$ | $X/B^A$ | $X^F/B^F$ |
|-----|--------|----------|---------|-----------|
| 0   | 0.3879 | 0.6723   | 0.625   | 1.00      |
| 50  | 0.3065 | 0.7417   | 1.065   | 2.25      |
| 150 | 0.0660 | 0.8619   | 2.182   | 13.1      |
| 300 | 0.0001 | 0.8813   | 2.591   | 209       |

The right panel of Figure 16 plots the paths. Note that the home economy is the *more productive farmer* and it is exactly that which de-industrializes it.

*Remark.* This is Section 19.7's mechanism with a different source of the initial asymmetry. There a small exogenous productivity gap  $\delta$  in the learning sector was amplified by learning-by-doing until the South was locked out; here the asymmetry is agricultural productivity, which is the very thing the closed-economy model of Section 20.3 identifies as the *cause* of industrialization. The juxtaposition is Matsuyama's point, and it is a caution about reading PROPOSITION 20.11 as a historical account of English industrialization: eighteenth-century England had both high agricultural productivity and substantial trade, and which force dominates depends on whether one thinks the relevant market for its manufactures was domestic or foreign. By the same token, the model gives an infant-industry argument with the same structure — and the same qualification — as Exercise 19.36: a temporary closure changes the asymptotic outcome only if it lasts long enough to reverse the comparative advantage, that is until  $X(T_0)/B^A$  exceeds  $X^F(T_0)/B^F$ , which it never does here because the foreign economy is learning faster throughout.

## Chapter 21

# Structural Transformations and Market Failures in Development

The six exercises of Chapter 21 left unsolved in the instructor's manual: 21.3, 21.5, 21.7, 21.8, 21.13 and 21.14. The manual solves 21.1, 21.2, 21.4, 21.6, 21.9–21.12. The numerical parts are computed by `code/ch21.py`; Figure 17 is its output.

### Section 21.2 Fertility, Mortality, and the Demographic Transition

#### Exercise 21.3

*The law of motion.* Individual maximization of (21.6) is unaffected by the shock, so  $n(t+1) = (1-\alpha)\eta_0^{-1}L(t+1)^{-\alpha}$  as in the text. Substituting,

$$L(t+1) = \epsilon(t) \frac{1-\alpha}{\eta_0} L(t+1)^{-\alpha} L(t) \implies L(t+1) = \left[ \epsilon(t) \frac{1-\alpha}{\eta_0} \right]^{\frac{1}{1+\alpha}} L(t)^{\frac{1}{1+\alpha}},$$

which is (21.10) multiplied by  $\epsilon(t)^{1/(1+\alpha)}$ . Taking logarithms with  $\ell \equiv \log L$  turns this into a *linear* first-order autoregression,

$$\ell(t+1) = \varphi \ell(t) + \mu + \frac{\log \epsilon(t)}{1+\alpha}, \quad \varphi \equiv \frac{1}{1+\alpha} \in (0, 1), \quad \mu \equiv \frac{1}{1+\alpha} \log \frac{1-\alpha}{\eta_0}. \quad (1)$$

*The stochastic correspondence.* The dynamics are described by *two* concave curves through the origin, one for each realization of  $\epsilon$ , differing by the constant factor  $[(1+\epsilon)/(1-\epsilon)]^{1/(1+\alpha)}$ . Each crosses the 45° line once, at

$$L^\pm = \left[ (1 \pm \epsilon) \frac{1-\alpha}{\eta_0} \right]^{1/\alpha} = (1 \pm \epsilon)^{1/\alpha} L^*,$$

with  $L^*$  from (21.11). Below  $L^-$  both branches lie above the 45° line, so population rises whatever the shock; above  $L^+$  both lie below it, so population falls. Hence  $[L^-, L^+]$  is forward invariant and absorbing, and this is the Malthusian counterpart of Figure 17.1. The left panel of Figure 17 plots it.

*The invariant distribution.* Iterating (1),

$$\log L_\infty = \log L^* + \sum_{s=0}^{\infty} \varphi^s \frac{\log \epsilon(t-s)}{1+\alpha},$$

using  $\mu/(1-\varphi) = \alpha^{-1} \log[(1-\alpha)/\eta_0] = \log L^*$ . With i.i.d. shocks,

$$\mathbb{E}[\log L_\infty] = \log L^* + \frac{\mathbb{E}[\log \epsilon]}{\alpha}, \quad \text{Var}(\log L_\infty) = \frac{\text{Var}(\log \epsilon)}{(1+\alpha)^2 - 1} = \frac{\text{Var}(\log \epsilon)}{\alpha(2+\alpha)},$$

and  $\text{Corr}(\log L(t), \log L(t+1)) = \varphi$ . Since  $E[\log \epsilon] = \frac{1}{2} \log(1 - \epsilon^2) < 0$ , *shocks lower average population*: the law of motion is concave, so by Jensen's inequality the mean of  $\log L$  falls by  $|E \log \epsilon|/\alpha$  — the effect being  $1/\alpha$  times the per-period effect, because the deviations are persistent.

The support is the whole interval  $[\ell^-, \ell^+]$ , where  $\ell^\pm = \log L^\pm$ . Each branch maps that interval onto a subinterval of length  $\Lambda/(1 + \alpha)$ , where  $\Lambda = \alpha^{-1} \log \frac{1+\epsilon}{1-\epsilon}$  is its length, and the two images cover it whenever  $2/(1 + \alpha) \geq 1$ , that is whenever  $\alpha \leq 1$ . So the invariant distribution has no gaps; for  $\alpha > 1$  it would be supported on a Cantor set.

*Income.* From (21.9),  $\log y(t) = \log(1 - \alpha) - \alpha \log L(t)$ , so income is an affine decreasing function of  $\log$  population and inherits the same autoregression with the opposite sign:

$$\text{sd}(\log y) = \alpha \text{sd}(\log L) = \frac{\text{sd}(\log \epsilon)}{\sqrt{(2 + \alpha)/\alpha}}, \quad \text{Corr}(\log y(t), \log y(t+1)) = \frac{1}{1 + \alpha}.$$

A favourable shock raises population, depresses the real wage, and the depressed wage then lowers fertility, bringing population back — the classical Malthusian cycle. The half-life of a shock is  $\log 2 / \log(1 + \alpha)$  generations, and a one-time shock  $u$  moves  $\log L$  by  $u$  and  $\log y$  by  $-\alpha u$ , both decaying geometrically at rate  $\varphi$ . The narrative fits the standard account of the Black Death: a large negative population shock raises real wages, and the wage gain erodes over a few generations as population recovers.

*Verification.* Simulating (1) for 400,000 generations with  $\alpha = 0.3$  and  $\epsilon = 0.15$  gives

|                     | analytic  | simulated |
|---------------------|-----------|-----------|
| $E[\log L]$         | -1.226845 | -1.227546 |
| $\text{sd}(\log L)$ | 0.181952  | 0.182488  |
| $\min \log L$       | -1.730646 | -1.725713 |
| $\max \log L$       | -0.723043 | -0.727835 |
| autocorrelation     | 0.769231  | 0.770787  |

— the simulated minimum and maximum confirming that the invariant support is exactly  $[\ell^-, \ell^+]$ .

*Remark.* The exercise as printed writes  $L(t+1) = \epsilon(t)(n(t+1) - 1)L(t)$ . Taken literally, population would shrink whenever  $n < 2$ , so that even the deterministic version of the model has no positive steady state unless  $\eta_0$  is small enough; the  $-1$  is presumably a misprint for the  $L(t+1) = \epsilon(t)n(t+1)L(t)$  used above. Nothing qualitative changes if one instead reads it as net-of-mortality growth  $L(t+1) = L(t) + \epsilon(t)(n(t+1) - 1)L(t)$ : the law of motion is still increasing and concave, and the two-branch correspondence and the invariant interval survive, though the log-linearity of (1) does not.

## Section 21.3 Migration, Urbanization, and the Dual Economy

### Exercise 21.5

*The problem.* Let  $v(\xi)$  be the consumption value of the enforcement services a villager enjoys and a city dweller forgoes. Population is normalized to one, the migration margin is  $X(t)F_L(L^U(t), Z) = B^A + \xi$  as in the text, so  $L^U(t) = \phi(X(t)/(B^A + \xi))$ , and aggregate consumption is

$$C(t; \xi) = [B^A + v(\xi)](1 - L^U(t)) + X(t)F(L^U(t), Z), \quad \dot{X} = \eta L^U(t) X(t)^\zeta.$$

Date-0 utility is  $U(\xi) = \int_0^\infty e^{-\rho t} \frac{C(t;\xi)^{1-\theta}-1}{1-\theta} dt$ .

*The first-order condition.* The equilibrium  $L^U$  maximizes  $C$  given  $(X, \xi)$  — that is what  $XF_L = B^A + \xi$  says — so the envelope theorem kills the indirect effect through  $L^U$  and

$$U'(\xi) = \int_0^\infty e^{-\rho t} C(t)^{-\theta} \left[ v'(\xi)(1 - L^U(t)) + F(L^U(t), Z) v(t) \right] dt = 0,$$

where  $v(t) \equiv \partial X(t)/\partial \xi < 0$  solves the variational equation

$$\dot{v} = \eta \left[ \phi' \left( \frac{X}{B^A + \xi} \right) \frac{X^\zeta}{B^A + \xi} + \zeta \phi \left( \frac{X}{B^A + \xi} \right) X^{\zeta-1} \right] v - \eta \phi' \left( \frac{X}{B^A + \xi} \right) \frac{X^{\zeta+1}}{(B^A + \xi)^2}, \quad v(0) = 0.$$

The bracket in the boxed expression is exactly the trade-off the text describes: a *static gain*, the extra enforcement services enjoyed by the  $1 - L^U$  villagers, against a *dynamic loss*, the reduction in modern-sector productivity caused by slower urbanization.

*But  $U$  is not concave, and the maximum is at a corner.* Two structural facts make the two terms fail to balance at an interior point.

- (1) *The dynamic cost is a bounded delay, not a permanent loss.* Since  $L^U$  is bounded above by one and reaches it, integrating the law of motion gives

$$X(t)^{1-\zeta} - X(0)^{1-\zeta} = (1 - \zeta) \eta \int_0^t L^U(s) ds,$$

and two paths with different  $\xi$  differ only by the bounded integral of the  $L^U$  gap. A higher  $\xi$  therefore *delays* the takeoff by a finite time and does not lower  $X$  permanently — a delay that is expensive only if it straddles the takeoff.

- (2) *The static gain accrues at every date before the takeoff*, when  $1 - L^U$  is close to one.

Consequently  $U(\xi)$  first *falls* — a small  $\xi$  buys little extra village consumption but already delays the takeoff — and then *rises* — a large  $\xi$  buys a lot and the economy simply never urbanizes within the horizon that matters. `code/ch21.py` tabulates  $U$  with  $v(\xi) = 3\xi/(1 + \xi)$ ,  $\eta = 1$ ,  $\zeta = \frac{1}{2}$ ,  $\theta = 1$ :

| $\rho$ | $\xi = 0$ | 1     | 2     | 3     | 4     | 6     | argmax    |
|--------|-----------|-------|-------|-------|-------|-------|-----------|
| 0.03   | 70.46     | 34.75 | 36.74 | 39.35 | 40.85 | 42.48 | $\xi = 0$ |
| 0.05   | 20.18     | 18.58 | 22.02 | 23.62 | 24.52 | 25.50 | $\xi = 6$ |
| 0.07   | 7.31      | 13.15 | 15.74 | 16.88 | 17.52 | 18.23 | $\xi = 6$ |
| 0.09   | 3.01      | 10.22 | 12.25 | 13.14 | 13.64 | 14.18 | $\xi = 6$ |

The right panel of Figure 17 plots the curves. So the welfare-maximizing  $\xi$  is at one end of the admissible range or the other, and which one wins switches with the discount rate:  $\xi = 0$  for a patient economy, the largest admissible  $\xi$  for an impatient one. (Under the alternative reading in which  $\xi$  is a pure deadweight urban cost, so that  $C = B^A(1 - L^U) + XF - \xi L^U$ , the envelope theorem gives  $dC/d\xi = -L^U < 0$  at every date, both effects point the same way, and  $\xi^* = 0$  trivially.)

*If the actual  $\xi$  is greater.* The answer is sharper than “welfare falls.” The economy is in a *development trap*: it stays rural, learning-by-doing never gets going, and — because  $U$  is falling on that branch — a *small* reduction in  $\xi$  makes matters *worse*. Only a reduction past the interior minimum

helps. This is the big-push logic of Section 21.5 applied to the dual economy: gradual institutional reform is counterproductive and the intervention has to be large.

*Remark.* The first-best remedy is different again, and better. The planner would choose  $L^U$  to internalize the learning externality, setting  $XF_L = B^A + \xi - \lambda(t)\eta X^\zeta$  with  $\lambda$  the shadow value of  $X$ , so the decentralized economy has too few urban workers for *every*  $\xi > 0$ . A Pigouvian subsidy to urban employment equal to  $\lambda(t)\eta X(t)^\zeta$  restores efficiency at any  $\xi$  and forfeits none of the static gain — which is why dismantling community enforcement is the wrong policy even when  $\xi$  is above its second-best level.

## Section 21.4 Distance to the Frontier and the Organization of Production

### Exercise 21.7

(a) Flow profits in this class of models are proportional to the firm's own productivity,  $\pi(\nu, t) = \pi_0 A(\nu, t)$ . Comparing the two organizational forms,

$$\pi^V = \pi_0 [\eta \bar{A}(t-1) + \gamma A(t-1)], \quad \pi^O = (1-\beta) \pi_0 [\eta \bar{A}(t-1) + (\gamma + \theta) A(t-1)].$$

Outsourcing is preferred iff  $\pi^O > \pi^V$ , that is

$$(1-\beta)\theta A(t-1) > \beta [\eta \bar{A}(t-1) + \gamma A(t-1)].$$

Dividing by  $\bar{A}(t-1)$  and writing  $a(t-1) = A(t-1)/\bar{A}(t-1)$ ,

$$\text{outsource} \iff a(t-1) > \bar{a} \equiv \frac{\beta\eta}{(1-\beta)\theta - \beta\gamma},$$

provided  $(1-\beta)\theta > \beta\gamma$ ; otherwise outsourcing is never profitable. So there is vertical integration for all  $a(t) \leq \bar{a}$  and outsourcing for all  $a(t) > \bar{a}$ , as claimed.

*Why.* The *benefit* of outsourcing,  $\theta A(t-1)$ , is proportional to the economy's own knowledge stock, because innovative effort builds on what the country already knows. The *cost*, a fraction  $\beta$  of profits, falls on the entire profit stream including the imitation component  $\eta \bar{A}(t-1)$ , for which the entrepreneur's effort is worthless. Far from the frontier most productivity comes from imitation, so paying  $\beta$  to buy innovative effort is a bad bargain; close to the frontier innovation is what matters and outsourcing pays. This is the same appropriate-organization logic as the  $R = 1$  to  $R = 0$  switch in the text, now applied to firm boundaries.

Note also that  $\bar{a} < 1$ , so that the switch ever occurs, requires  $\beta\eta < (1-\beta)\theta - \beta\gamma$ , that is

$$\beta < \frac{\theta}{\theta + \eta + \gamma}.$$

(b) The growth-maximizing organization is the one that maximizes  $a(t)$  given  $a(t-1)$ . Aggregating and dividing by  $\bar{A}(t)$  as in (21.39),

$$a(t) = \frac{1}{1+g} [\eta + \gamma a(t-1)] \text{ under integration,} \quad a(t) = \frac{1}{1+g} [\eta + (\gamma + \theta) a(t-1)] \text{ under outsourcing,}$$

and since  $\theta > 0$  the second is strictly larger for *every*  $a(t-1) > 0$ . Hence

the growth-maximizing threshold is 0 : outsource always.

The private threshold  $\bar{a}$  is strictly positive, so the economy is *vertically integrated too often*, for every  $a \in (0, \bar{a}]$ .

*The wedge* is a pure externality, and it is worth locating precisely. The entrepreneur does internalize the effect of  $\theta$  on his *own*  $A(\nu, t)$  — that is why his profit rises with  $\theta$ . What he does not internalize is that his higher  $A(\nu, t)$  raises the *aggregate*  $A(t)$ , which enters every firm's law of motion at  $t + 1$  through the term  $\gamma A(t)$ . The social benefit of outsourcing therefore exceeds the private one by the discounted value of that spillover, and a subsidy to outsourcing (or to innovation) of at least  $\beta$  restores the growth-maximizing organization.

*The consequence for convergence* is not merely transitional. Under permanent integration the economy converges to  $a^* = \eta/(1 + g - \gamma)$ , while under permanent outsourcing it converges to  $\min\{\eta/(1 + g - \gamma - \theta), 1\}$ . If  $\bar{a}$  exceeds the first of these, the economy never switches and is stuck permanently at  $a^*$  — an organizational nonconvergence trap of exactly the kind Figure 21.7 exhibits for *R. code/ch21.py* tabulates this with  $\eta = 0.1$ ,  $\gamma = 0.6$ ,  $g = 0.03$ :

| $\beta$ | $\theta$ | $\bar{a}$ | switches? | $a^*$ integrated | limit  |
|---------|----------|-----------|-----------|------------------|--------|
| 0.10    | 0.30     | 0.0476    | yes       | 0.2326           | 0.7692 |
| 0.20    | 0.30     | 0.1667    | yes       | 0.2326           | 0.7692 |
| 0.30    | 0.30     | 1.0000    | no        | 0.2326           | 0.2326 |
| 0.10    | 0.15     | 0.1333    | yes       | 0.2326           | 0.3571 |
| 0.35    | 0.15     | $\infty$  | no        | 0.2326           | 0.2326 |

A country with weak contracting institutions — a high  $\beta$ , in the sense of Section 18.5 — therefore ends up not merely with a slower transition but with a permanently larger distance to the frontier, because it is locked into the wrong firm boundaries.

## Section 21.5 Aggregate Demand Externalities and the Big Push

### Exercise 21.8

All households are identical and own all the firms, so Pareto dominance is simply higher utility. From the text, the two candidate allocations are

$$\text{no investment: } C(1) = C(2) = L, \quad \text{investment: } C(1) = L - F, \quad C(2) = \alpha L,$$

with lifetime utilities  $U^N = (1 + \beta)u(L)$  and  $U^I = u(L - F) + \beta u(\alpha L)$ , where  $u(c) = (c^{1-\theta} - 1)/(1 - \theta)$ .

*The argument.* Write the difference as

$$U^I - U^N = -[u(L) - u(L - F)] + \beta[u(\alpha L) - u(L)],$$

and bound each bracket by concavity:

$$u(L) - u(L - F) \leq u'(L - F)F = (L - F)^{-\theta}F, \quad u(\alpha L) - u(L) \geq u'(\alpha L)(\alpha - 1)L = (\alpha L)^{-\theta}(\alpha - 1)L.$$

Hence

$$U^I - U^N \geq \beta(\alpha L)^{-\theta}(\alpha - 1)L - (L - F)^{-\theta}F,$$

and the right-hand side is positive if and only if

$$\beta \left( \frac{\alpha L}{L-F} \right)^{-\theta} (\alpha - 1)L > F,$$

which is *exactly* the left half of (21.51) — the condition  $\Delta\pi^I > 0$  that makes investment profitable when all other firms invest. Since the existence of multiple equilibria requires (21.50), and (21.50) contains  $\Delta\pi^I > 0$ , the investment equilibrium Pareto dominates whenever both equilibria exist. ■

*The same statement without the inequalities.* The equilibrium interest rate in the investment allocation is  $\tilde{r}$ , and by the consumption Euler equation

$$\frac{1}{1+\tilde{r}} = \beta \left( \frac{\alpha L}{L-F} \right)^{-\theta} = \beta \frac{u'(C(2))}{u'(C(1))}.$$

So  $\Delta\pi^I = -F + \frac{(\alpha-1)L}{1+\tilde{r}}$  is positive precisely when the household's own marginal rate of substitution values the extra date-2 consumption above the date-1 sacrifice. Because households are identical and own the firms, *a profit gain evaluated at the equilibrium interest rate is a utility gain* — which is the whole content of the result, and the reason the concavity bound above is not merely sufficient but tight.

*Verification.* A random scan of 200,000 parameter draws over  $\alpha \in (1.01, 3)$ ,  $\beta \in (0.5, 0.99)$ ,  $\theta \in (0, 4)$ ,  $F/L \in (0.001, 0.8)$  in `code/ch21.py` finds 4,262 draws satisfying (21.50) — so that both equilibria exist — and 43,790 satisfying  $\Delta\pi^I > 0$ ; in none of them does the investment allocation fail to dominate.

*Remark.* The economics is Rosenstein-Rodan's, and the model makes the policy statement unusually clean. The failure here is *pure coordination*: the two allocations are both equilibria at the same parameters, they differ only in beliefs about what other firms will do, and one makes every household strictly better off. A “big push” that does nothing but coordinate expectations therefore achieves a Pareto improvement with no subsidies, no transfers and no distortions — unlike almost every other market failure in this chapter, where the remedy requires a Pigouvian instrument. The market cannot do it on its own only because each firm is infinitesimal and takes  $Y(2)$  and  $\tilde{r}$  as given, so the aggregate demand externality in (21.49) is external to every one of them.

## Section 21.6 Inequality, Credit Market Imperfections, and Occupational Choice

### Exercise 21.13

(a) With  $u = (1-\delta)^{-(1-\delta)}\delta^{-\delta}c^{1-\delta}b^{\delta} - z$  and end-of-period resources  $y$  to be split between  $c$  and  $b$ , the Cobb–Douglas optimum is  $c = (1-\delta)y$ ,  $b = \delta y$ , and substituting,

$$V = (1-\delta)^{-(1-\delta)}\delta^{-\delta}[(1-\delta)y]^{1-\delta}[\delta y]^{\delta} - z = y - z.$$

The normalizing constant is chosen precisely so that indirect utility is *linear* in resources — there is no risk aversion and no wealth effect in occupational choice, only the credit constraints. Comparing occupation 2 with occupation 1 gives  $\hat{r}w + v - 1$  against  $\hat{r}w$ , so nobody supplies labour at a wage below 1.



(b) Evaluate the three active occupations against subsistence at the reservation wage  $v = 1$ :

$$\underbrace{I(\bar{r} - \hat{r}) - 1}_{\text{self-employment}}, \quad \underbrace{\mu[I(\bar{r} - \hat{r}) - 1] - 1}_{\text{entrepreneurship}}.$$

The right inequality says self-employment beats subsistence, and the left says entrepreneurship beats self-employment — both at the *lowest possible wage*. So at  $v = 1$  the ranking is entrepreneurship  $\succ$  self-employment  $\succ$  subsistence, and it can only be reversed by a higher wage. This is what makes the two wage regimes of part (g) possible.

(c) With limited enforcement a lender will advance funds only against collateral, so the borrowing capacity is increasing in own wealth. Self-employment requires  $I$  and entrepreneurship  $\mu I > I$ , so the wealth thresholds satisfy  $w^{**} > w^*$ . The consequence is the defining feature of this literature: occupations are allocated *by wealth* rather than by ability or comparative advantage, so the wealth distribution is an input into the allocation of talent and hence into aggregate output.

(d) Expected indirect utilities at wealth  $w$  and wage  $v$  are

$$\hat{r}w; \quad \hat{r}w + v - 1; \quad \hat{r}w + I(\bar{r} - \hat{r}) - 1; \quad \hat{r}w + \mu I(\bar{r} - \hat{r}) - \mu v - 1.$$

Self-employment beats entrepreneurship iff  $I(\bar{r} - \hat{r}) > \mu I(\bar{r} - \hat{r}) - \mu v$ , that is

$$v > \bar{v} \equiv \frac{(\mu - 1)(\bar{r} - \hat{r})I}{\mu}.$$

(e) Only agents with  $w \geq w^{**}$  can be entrepreneurs, and each hires  $\mu$  workers. They prefer entrepreneurship iff  $v < \bar{v}$  and are indifferent at  $v = \bar{v}$ , so

$$x = 0 \text{ if } v > \bar{v}; \quad x \in [0, \mu(1 - G_t(w^{**}))] \text{ if } v = \bar{v}; \quad x = \mu(1 - G_t(w^{**})) \text{ if } v < \bar{v}.$$

(f) An agent supplies labour iff wage work beats his best alternative. Against subsistence the condition is  $v \geq 1$ ; against self-employment, available only to those with  $w \geq w^*$ , it is  $v - 1 \geq I(\bar{r} - \hat{r}) - 1$ , that is  $v \geq \tilde{v} \equiv (\bar{r} - \hat{r})I$ . So agents with  $w < w^*$  work whenever  $v \geq 1$ , and those with  $w \geq w^*$  only when  $v \geq \tilde{v}$ , giving exactly the correspondence in the exercise. Note  $\tilde{v} = (\bar{r} - \hat{r})I > \bar{v}$ , since  $(\mu - 1)/\mu < 1$ .

(g) Compare the two correspondences on  $(1, \tilde{v})$ , where supply is  $G_t(w^*)$ .

- If  $G_t(w^*) > \mu(1 - G_t(w^{**}))$ , supply exceeds the maximum demand at every  $v > 1$ , so there is excess supply and the wage falls to the reservation level  $v = 1$ , at which supply is the correspondence  $[0, G_t(w^*)]$  and can meet demand.
- If  $G_t(w^*) < \mu(1 - G_t(w^{**}))$ , demand exceeds supply just below  $\bar{v}$  and collapses to zero just above it, so the market clears at  $v = \bar{v}$ , where demand is the correspondence  $[0, \mu(1 - G_t(w^{**}))]$ .

(h) By part (a) each agent bequeaths the fraction  $\delta$  of end-of-period income, and the effort cost is borne in utility, not in income. Hence  $b = \delta \hat{r}w$  for subsistence,  $\delta(\hat{r}w + v)$  for a worker,  $\delta[\bar{r}I + \hat{r}(w - I)]$  for the self-employed — the amount  $I$  earns  $\bar{r}$  and the remainder  $\hat{r}$  — and  $\delta[\bar{r}\mu I + \hat{r}(w - \mu I) - \mu v]$  for an entrepreneur, whose wage bill is a genuine cost.

(i) Each of these is an affine map  $w \mapsto \delta\hat{r}w + \delta \cdot (\text{extra})$  with slope  $\delta\hat{r} < 1$  (this is where  $\hat{r} < 1/\delta$  is used), so it converges to

$$\boxed{w_w(v) = \frac{\delta v}{1 - \delta\hat{r}}, \quad w_{se} = \frac{\delta(\bar{r} - \hat{r})I}{1 - \delta\hat{r}}, \quad w_e(v) = \frac{\delta[(\bar{r} - \hat{r})\mu I - \mu v]}{1 - \delta\hat{r}}.}$$

If  $w_w(1) < w^*$ , a worker paid the reservation wage never accumulates enough to become self-employed; if  $w_e(\bar{v}) > w^*$ , an entrepreneur paid the high wage stays rich enough to remain one. Both are statements about the *wage*, which is itself determined by the occupational composition — circular causation, and hence multiplicity.

(j) Starting from a distribution with  $\mu(1 - G(w^{**})) < G(w^*)$ , part (g) gives  $v = 1$ ; by (i) the workers stay below  $w^*$ , so  $G(w^*)$  remains high and the configuration reproduces itself: a *low-wage steady state with no self-employment*. Starting from  $\mu(1 - G(w^{**})) > G(w^*)$ , part (g) gives  $v = \bar{v} > 1$ ; workers accumulate toward  $w_w(\bar{v})$ , which may exceed  $w^*$ , so a self-employed class emerges and the configuration again reproduces itself: a *high-wage steady state with self-employment*. Output is  $\hat{r}W + (\bar{r} - \hat{r})[I \cdot \# \text{self-employed} + \mu I \cdot \# \text{entrepreneurs}]$  with  $W$  aggregate wealth, so the second regime, which puts more wealth into the high-return technology, has *higher* output.

(k) The mechanism is attractive and the comparison is not.

- *In its favour.* The multiplicity requires no nonconvexity in technology — only the minimum scale  $I$  and the collateral constraint — and it delivers the striking and genuinely useful prediction that *cheap labour is a poverty trap*: the prosperous economy is the high-wage one, because high wages are what let workers accumulate past the collateral threshold. That is the opposite of the standard development prescription and it is testable.
- *Against.* The prosperous steady state has *more* self-employment and fewer wage employees. The data run the other way: the self-employment share falls sharply with development, and poor countries are characterized by a mass of tiny own-account firms, not by large employers. The model also has no productivity growth at all, so the output gap between the two steady states is bounded by  $(\bar{r} - \hat{r})$  times the wealth reallocated, which is far too small to speak to observed cross-country differences.
- *Against Galor–Zeira.* There the nonconvexity is in human capital, the multiplicity is in the *long-run distribution* rather than in the aggregate occupational structure, and the prediction — that initial inequality affects long-run output through education — maps directly onto schooling data. But Galor–Zeira takes the wage structure as exogenous and has no feedback from occupational composition to prices, which is exactly what Banerjee–Newman supplies.

The two are best read as complements: the dynastic human-capital channel and the general-equilibrium labour-market channel are different market failures, and a satisfactory account of persistent development differences needs both.

## Section 21.7 Toward a Unified Theory of Development and Growth

**Exercise 21.14**

1. The locus is  $sf(k, x) = \delta k$ . Implicit differentiation gives

$$\left. \frac{dx}{dk} \right|_{k=0} = - \frac{\partial[sf(k, x) - \delta k]/\partial k}{\partial[sf(k, x) - \delta k]/\partial x} = \frac{\delta - sf_k(k, x)}{sf_x(k, x)} = \boxed{\frac{f(k, x) - kf_k(k, x)}{kf_x(k, x)} > 0},$$

the last equality using  $sf = \delta k$  on the locus. The numerator is strictly positive because  $f(\cdot, x)$  is strictly concave with  $f(0, x) = 0$ , so  $f(k, x) > kf_k(k, x)$ ; the denominator is positive because  $f_x > 0$ . When  $f_x \equiv 0$  the derivative is infinite and the locus is the vertical line of Figure 21.10. ■

2. The Jacobian of  $(\dot{k}, \dot{x}) = (sf(k, x) - \delta k, g(k, x))$  at  $(k^*, x^*)$  is

$$J = \begin{pmatrix} sf_k - \delta & sf_x \\ g_k & g_x \end{pmatrix}.$$

Its entries have known signs. At the steady state  $sf = \delta k$ , so

$$sf_k - \delta = sf_k - s \frac{f}{k} = \frac{s}{k} (kf_k - f) < 0$$

by strict concavity, and  $g_x < 0$  by assumption. Hence

$$\text{tr } J = (sf_k - \delta) + g_x < 0 \quad \text{always.}$$

Local asymptotic stability therefore requires only  $\det J > 0$ , and

$$\det J = (sf_k - \delta)g_x - sf_x g_k = \underbrace{|sf_k - \delta| |g_x|}_{>0} - \underbrace{sf_x g_k}_{>0},$$

so

$$\boxed{\det J > 0 \iff f_x(k^*, x^*) < \frac{[f(k^*, x^*)/k^* - f_k(k^*, x^*)] |g_x|}{g_k}},$$

which is “ $f_x$  sufficiently small.” ■

*The geometric reading.* The condition is exactly that the  $\dot{k} = 0$  locus be *steeper* than the  $\dot{x} = 0$  locus at the intersection. The slope of the second is  $-g_k/g_x = g_k/|g_x|$ , so

$$\frac{f - kf_k}{kf_x} > \frac{g_k}{|g_x|} \iff (f - kf_k)|g_x| > kf_x g_k \iff (\delta - sf_k)|g_x| > sf_x g_k,$$

multiplying through by  $s/k > 0$  — the same inequality. This explains the figures. In Figure 21.12 the unique steady state has the  $\dot{k} = 0$  locus steeper and is globally stable; in Figure 21.11 the outer two intersections have that ordering and are stable, while the middle one has it reversed, so  $\det J < 0$  there and it is a *saddle* whose stable manifold is the boundary between the two basins of attraction.

*Verification.* `code/ch21.py` takes  $f(k, x) = k^{0.35} [1 + \psi / (1 + e^{-(x-x_0)/\varsigma})]$  and  $g(k, x) = 0.05k - x$ , with  $s = 0.25$ ,  $\delta = 0.06$ ,  $\psi = 3$ ,  $x_0 = 1.5$ . Shrinking  $\varsigma$  makes  $f_x$  large over a narrow range of  $x$  without changing  $f$  much — the text’s “ $f_x$  large over some range” — and produces the three intersections:

| $\varsigma$ | $k^*$  | $x^*$ | $\text{tr } J$ | $\det J$  | slope $\dot{k} = 0$ | slope $\dot{x} = 0$ |
|-------------|--------|-------|----------------|-----------|---------------------|---------------------|
| 1.00        | 61.128 | 3.056 | -1.039         | 0.016246  | 0.0857              | 0.05                |
| 0.30        | 10.607 | 0.530 | -1.039         | 0.028563  | 0.1868              | 0.05                |
| 0.30        | 25.627 | 1.281 | -1.039         | -0.046399 | 0.0228              | 0.05                |
| 0.30        | 75.775 | 3.789 | -1.039         | 0.038724  | 7.0630              | 0.05                |
| 0.10        | 8.986  | 0.449 | -1.039         | 0.038978  | 88.18               | 0.05                |
| 0.10        | 29.030 | 1.452 | -1.039         | -0.248522 | 0.0068              | 0.05                |
| 0.10        | 75.817 | 3.791 | -1.039         | 0.039000  | $1.0 \times 10^7$   | 0.05                |

The sign of  $\det J$  and the ordering of the slopes agree in every row, as they must, and the middle steady state is a saddle in both multiple-steady-state cases.

*Remark.* The result is the formal content of the chapter's closing argument. Multiple development traps require the social variable to feed back strongly enough into productivity —  $f_x$  large — and then history selects among them; a weak feedback leaves a unique globally stable steady state in which structural change is a by-product of capital deepening rather than a cause of it. Since  $\text{tr } J < 0$  unconditionally, the only thing that can ever go wrong in this model is  $\det J \leq 0$ , which is to say the only source of complicated dynamics is the interaction between  $k$  and  $x$ , never either equation on its own.

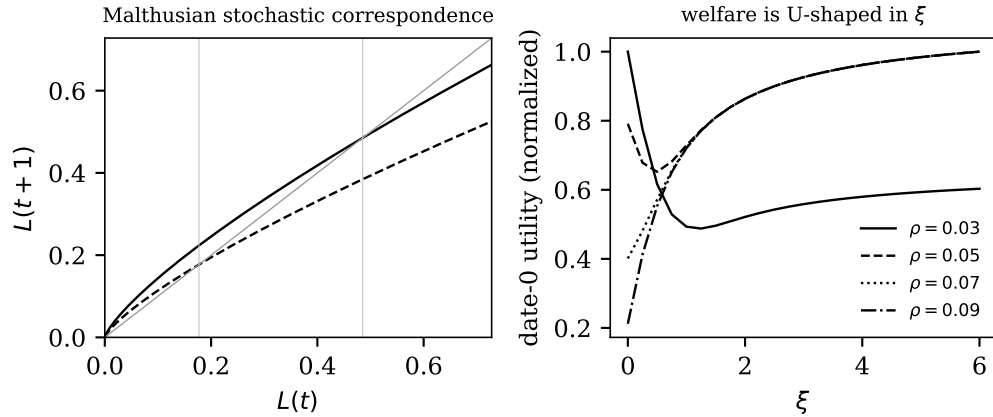


FIGURE 17. Left: the stochastic correspondence of the Malthusian model, with the invariant interval  $[L^-, L^+]$  marked (Exercise 21.3). Right: date-0 utility against the community-enforcement advantage  $\xi$ , normalized by its maximum, for four discount rates; the curve falls and then rises, so the optimum is at a corner (Exercise 21.5).